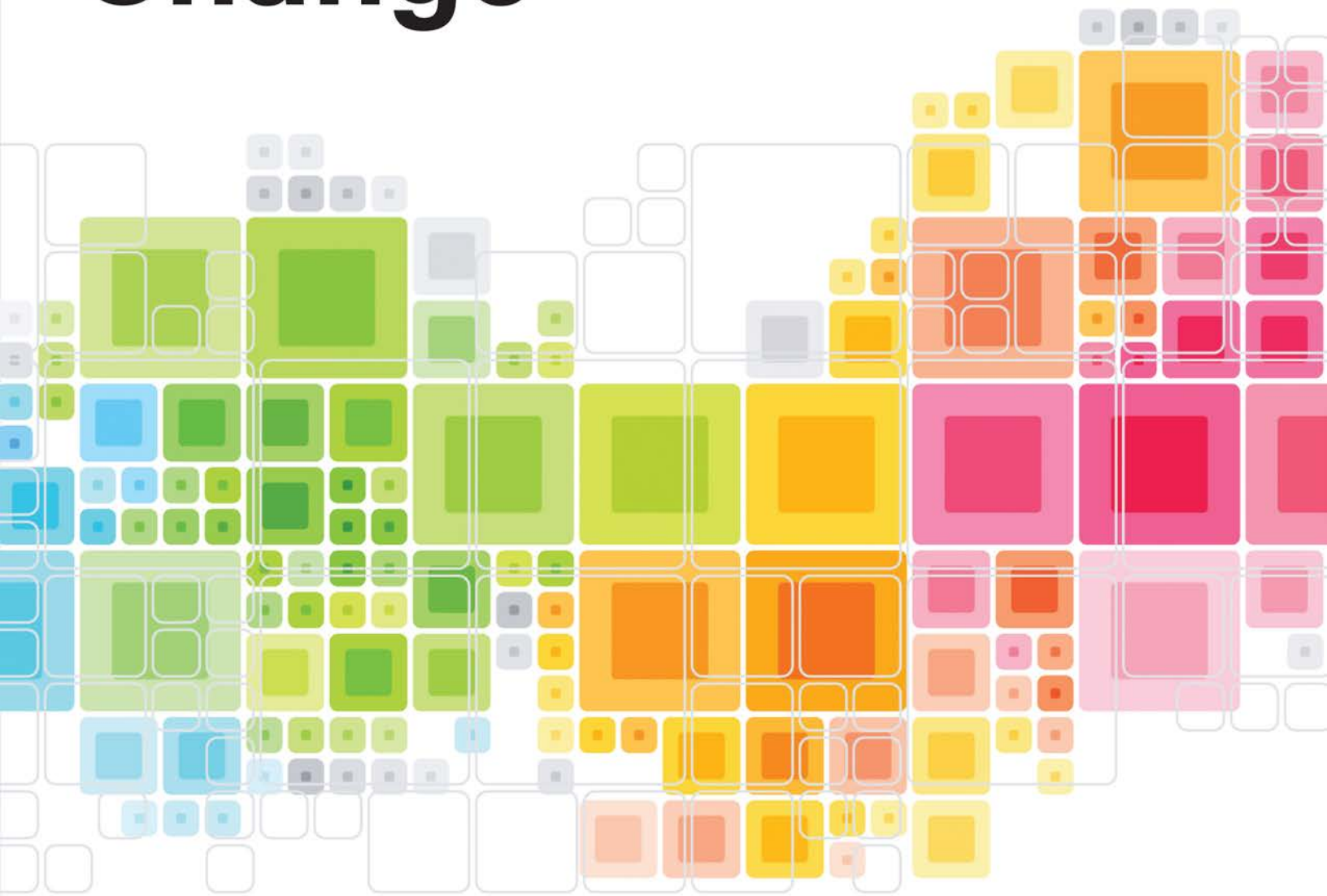
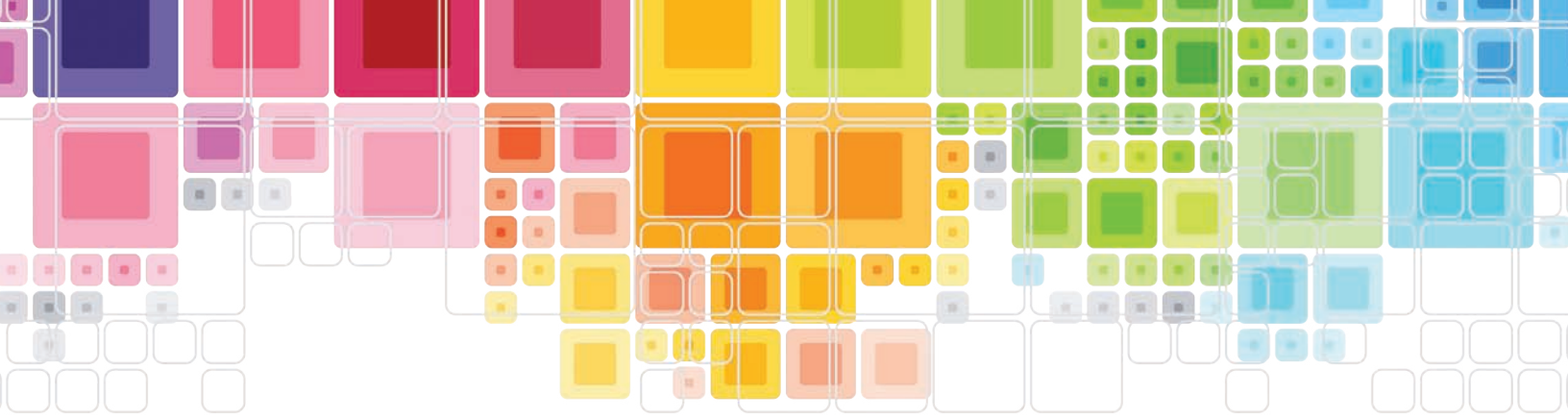


Organization Development & Change





Organization Development and Change

Twelfth Edition

Thomas G. Cummings
University of Southern California

Christopher G. Worley
Pepperdine University



Australia • Brazil • Canada • Mexico • Singapore • United Kingdom • United States

This is an electronic version of the print textbook. Due to electronic rights restrictions, some third party content may be suppressed. Editorial review has deemed that any suppressed content does not materially affect the overall learning experience. The publisher reserves the right to remove content from this title at any time if subsequent rights restrictions require it. For valuable information on pricing, previous editions, changes to current editions, and alternate formats, please visit www.cengage.com/highered to search by ISBN#, author, title, or keyword for materials in your areas of interest.

Important Notice: Media content referenced within the product description or the product text may not be available in the eBook version.

**Organization Development and
Change, Twelfth Edition**
Tom Cummings and Chris Worley

SVP, Product Management: Cheryl Costantini

VP, Product Management: Mark Santee

Portfolio Product Director: Joe Sabatino

Portfolio Product Manager: Michael Worls

Product Assistant: Carly Bekowies

Learning Designer: Emma Train

Content Manager: Alyssa Boulton

Content Project Manager: Flora Emmanuel

Digital Project Manager: Beth Ross

Marketing Manager: Danielle Dornbusch

Management, Subject Matter Expert: Tahia
Marcias

Manager, Product Marketing: Mary Reynolds

Content Acquisition Analyst: Rida Syed

Production Service: Straive

Designer: Sara Greenwood

Cover Image Source: 165965466 -
aleksandarvelasevic/DigitalVision Vectors/Getty
images

Copyright © 2025 Cengage Learning, Inc. ALL RIGHTS RESERVED.

WCN: 02-300

No part of this work covered by the copyright herein may be reproduced
or distributed in any form or by any means, except as permitted by U.S.
copyright law, without the prior written permission of the copyright owner.

For product information and technology assistance, contact us at
Cengage Customer & Sales Support, 1-800-354-9706
or **support.cengage.com**.

For permission to use material from this text or product, submit all
requests online at **www.copyright.com**.

Previous edition(s): © 2019, © 2015

Library of Congress Control Number: 2024941146

SE ISBN: 978-0-357-98615-8

LLF ISBN: 978-0-357-98616-5

Cengage

5191 Natorp Boulevard
Mason, OH 45040
USA

Cengage is a leading provider of customized learning solutions.
Our employees reside in nearly 40 different countries and serve digital
learners in 165 countries around the world. Find your local representative at:
www.cengage.com.

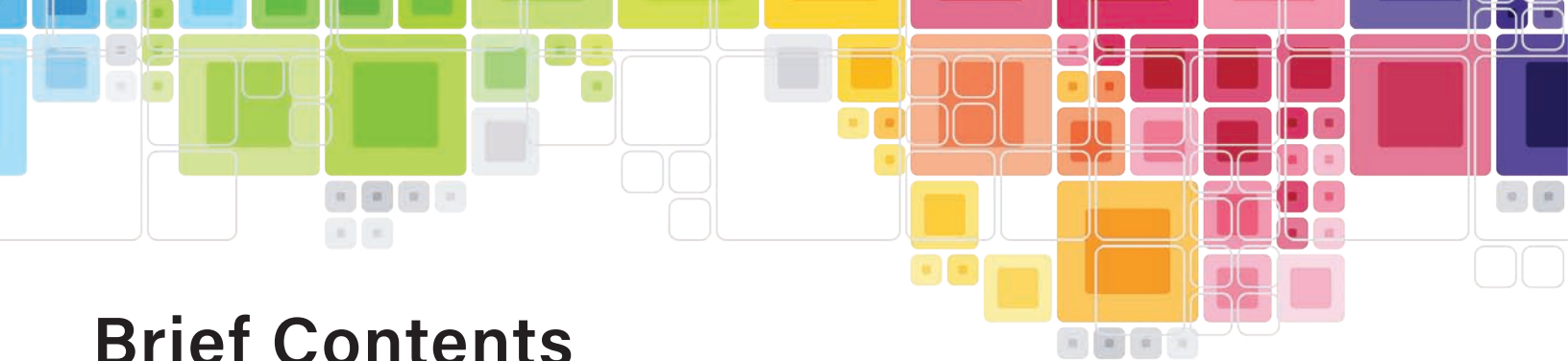
To learn more about Cengage platforms and services, register or access
your online learning solution, or purchase materials for your course,
visit **www.cengage.com**.

Dedication

To Chailin and Debbie—the loves of our lives
To our families—Catherine, Sarah, Hannah, Sam, and Evan
And to the newest member of the clan—June Diane

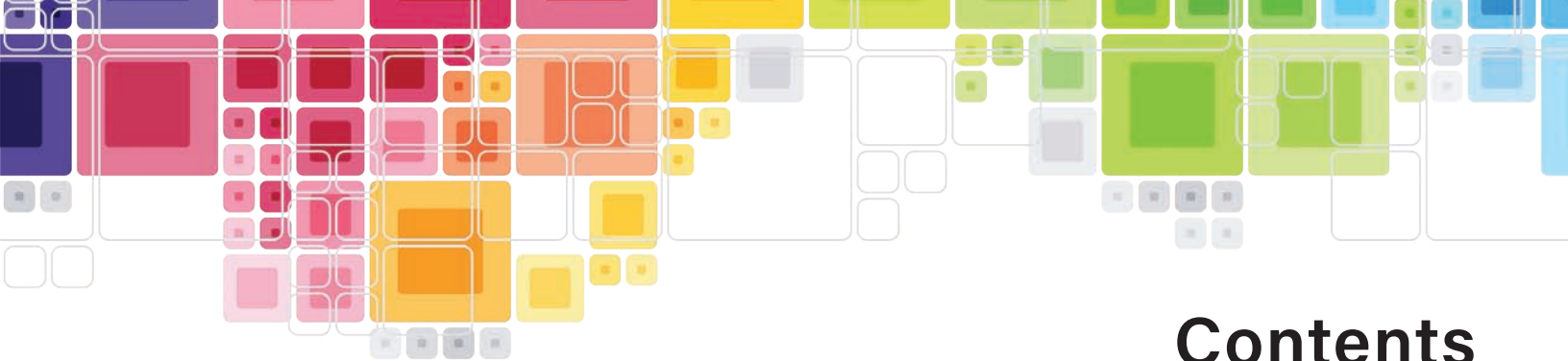
In Memory of the Fallen

Tony Petrella
Edgar Schein



Brief Contents

Preface	ix	Part 4 Technostructural Interventions	197
Acknowledgments	xii	Chapter 9	
About the Authors	xiii	Employee Involvement and Employee Engagement	198
Part 1 Overview of Organization Development	1	Chapter 10	
Chapter 1		Work Design	216
General Introduction to Organization Development	2	Part 5 Human Resource Interventions	247
Chapter 2		Chapter 11	
The Nature of Planned Change	18	Performance Management	248
Part 2 The Process of Organization Development	31	Chapter 12	
Chapter 3		Workforce Diversity, Development, and Wellness	265
Entering and Contracting	32	Part 6 Large-Scale Interventions	299
Chapter 4		Chapter 13	
Diagnosing	41	Fundamentals of Large-Scale Change	300
Chapter 5		Chapter 14	
Designing and Implementing OD Interventions	67	Large-Scale Organization Change Interventions	328
Chapter 6		Chapter 15	
Evaluating and Reinforcing Organization Development Interventions	84	Large-Scale Multi-organizational Change	346
Part 3 Human Process Interventions	131	Chapter 16	
Chapter 7		Future Directions in Organization Development	384
Interpersonal and Group Processes	132	Integrative Cases	396
Chapter 8		Glossary	427
Organization Processes	152	Name Index	436
		Subject Index	441



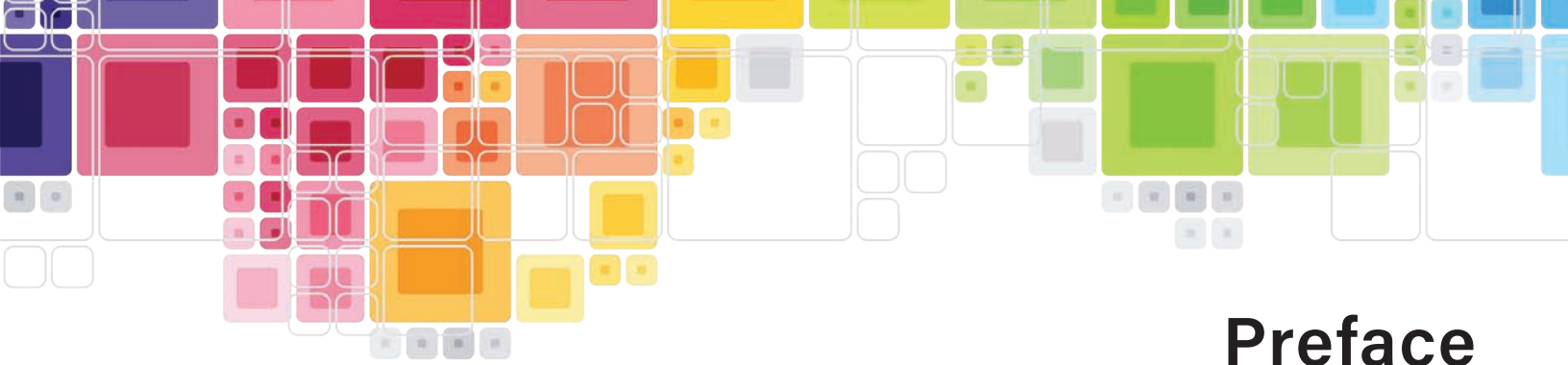
Contents

Preface	ix	2-4 Critique of Planned Change	27
Acknowledgments	xii	2-4a Knowledge of Planned Change	27
About the Authors	xiii	2-4b Practice of Planned Change	28
		Summary	29
		Notes	29
Part 1 Overview of Organization Development 1		Part 2 The Process of Organization Development 31	
Chapter 1: General Introduction to Organization Development 2		Chapter 3: Entering and Contracting 32	
1-1 Organization Development Defined 3		3-1 Entering into an OD Relationship 33	
1-2 The Growth and Relevance of Organization Development 4		3-1a Clarifying the Organizational Issue 33	
1-3 A Short History of Organization Development 5		3-1b Determining the Relevant Client 33	
1-3a Laboratory Training Background 6		3-1c Selecting an OD Practitioner 34	
1-3b Action Research and Survey-Feedback Background 7		Application 3.1 Entering Euro-Pharma 35	
1-3c Normative Background 7		3-2 Developing a Contract 36	
1-3d Quality-of-Work-Life Background 8		3-2a Mutual Expectations 36	
1-3e Strategic Change Background 8		3-2b Time and Resources 36	
1-4 Evolution in Organization Development 9		3-2c Ground Rules 36	
1-5 The Organization Development Practitioner 9		Application 3.2 Contracting With Euro-Pharma 37	
1-5a Organization Development Practitioner Role 10		3-3 Interpersonal Process Issues in Entering and Contracting 39	
1-5b Competencies of an Effective Organization Development Practitioner 10		Summary 39	
1-5c The Professional Values and Ethics of OD Practitioners 11		Notes 39	
1-6 Overview of the Book 12		Chapter 4: Diagnosing 41	
Summary 14		4-1 What Is Diagnosis? 42	
Notes 14		4-2 Organizations as Open Systems 42	
Chapter 2: The Nature of Planned Change 18		4-3 Diagnosing Organizational Systems 44	
2-1 Theories of Planned Change 19		4-3a Organization-Level Diagnosis 44	
2-1a Three-Step Change Model 19		Application 4.1 Steinway & Sons 49	
2-1b Action Research Model 20		4-3b Group-Level Diagnosis 50	
2-1c Appreciate Inquiry Model 22		Application 4.2 Top-Management Team at MOT 53	
2-2 General Model of Planned Change 23		4-3c Individual-Level Diagnosis 54	
2-2a Entering and Contracting 23		Application 4.3 Support Staff Job Design at Neoma Business School 56	
2-2b Diagnosing 24		4-4 Collecting, Analyzing, and Feeding Back Diagnostic Information 58	
2-2c Planning and Implementing Change 24		4-4a Data Collection 58	
2-2d Evaluating and Reinforcing Change 24		4-4b Analyzing Data 60	
2-3 Different Types of Planned Change 24		4-4c Feeding Back Diagnostic Data 61	
Application 2.1 Planned Change at Surgical Care Affiliates 25		Application 4.4 Collecting, Analyzing, and Feeding Back Diagnostic Data at C&W 63	
2-3a Magnitude of Change 26			
2-3b Timing of Change 27			

Summary	64	Application 7.1 Process Consultation at Christian Caring Homes, INC.	137
Notes	65	7-3b Facilitating the Conflict Resolution Process	139
Chapter 5: Designing and Implementing OD Interventions	67	7-4 Team Building	140
5-1 Designing Effective Interventions	67	Application 7.2 Conflict Management at Ross and Sherwin	141
5-1a Criteria for Designing Effective Interventions	67	7-4a Team-Building Activities	143
5-1b Contingencies in the Change Situation that Affect Intervention Effectiveness	68	7-4b Interventions Relevant to Individual Behavior	143
5-2 Implementing Interventions	71	7-4c Interventions Relevant to the Group's Behavior	145
Application 5.1 Revitalizing the Culture of Microsoft	72	7-4d Interventions Affecting the Group's Integration with the Organization	145
5-2a Motivating Change	73	7-4e The Manager's Role in Team Building	145
5-2b Developing Political Support	76	Application 7.3 Aligning Senior Teams at Vaycot Products	146
5-2c Managing the Transition	77	7-4f The Results of Team Building	149
5-2d Sustaining Momentum	78	Summary	149
Application 5.2 Managing Change at Driscoll's	79	Notes	149
Summary	80	Chapter 8: Organization Processes	152
Notes	81	8-1 Traditional Organization Process Interventions	153
Chapter 6: Evaluating and Reinforcing Organization Development Interventions	84	8-1a Organization Confrontation Meeting	153
6-1 Evaluating Organization Development Interventions	84	8-1b Intergroup Conflict Intervention	154
6-1a Implementation and Evaluation Feedback	85	8-1c Results of Traditional Organization Process Approaches	155
6-1b Measurement	87	8-2 Large-Group Interventions	155
6-1c Evaluation Design	88	Application 8.1 Addressing Intergroup Conflict at BetterCloud	156
Application 6.1 Evaluating Change at National Insurance	90	8-2a Application Stages	157
6-2 Reinforcing Organizational Changes	91	8-2b Results of Large-Group Interventions	160
6-2a Organization Characteristics	92	Application 8.2 Large-Group Intervention at Alegent Health	161
6-2b Intervention Characteristics	92	8-3 Organization Learning and Knowledge Management	163
6-2c Reinforcement Processes	93	8-3a Conceptual Framework	164
6-2d Indicators of Reinforcement	94	8-3b Organization Learning Interventions	165
Application 6.2 Reinforcing and Sustaining Change: The Case of New Zealand's All Blacks	95	8-3c Knowledge Management Interventions	167
Summary	96	8-4 Dynamic Strategy Making	168
Notes	97	Application 8.3 Organization Learning at DMT	169
Selected Cases	99	8-4a Conceptual Framework	171
Sunflower Incorporated	99	8-4b Application Stages	171
Kenworth Motors	101	8-5 Downsizing	172
Peppercorn Dining	105	Application 8.4 Dynamic Strategy Making at Whitbread PLC	173
Diagnosis and Feedback at Adhikar	124	8-5a Application Stages	174
Managing Change: Action Planning for The Vélo V Project in Lyon, France	129	8-5b Results of Downsizing	176
Part 3 Human Process Interventions	131	Application 8.5 Downsizing in Menlo Park, California	177
Chapter 7: Interpersonal and Group Processes	132	Summary	178
7-1 Diagnostic Issues in Interpersonal and Group Process Interventions	133	Notes	178
7-2 Process Consultation	133	Selected Cases	182
7-2a Basic Process Interventions	134	Lincoln Hospital: Third-Party Intervention	182
7-2b Results of Process Consultation	136	Large Group Interventions at Airbus' ICT Organization	188
7-3 Third-Party Interventions	136		
7-3a Episodic Model of Conflict	136		

Part 4 Technostructural Interventions	197	Selected Cases	238
Chapter 9: Employee Involvement and Employee Engagement	198	The Sullivan Hospital System	238
9-1 Employee Involvement and Employee Engagement: What Are They?	199	The Evolution of Mini-Factories at Favi	241
9-1a A Working Definition of Employee Involvement	199		
9-1b A Working Definition of Employee Engagement	199		
9-1c How Employee Involvement and Employee Engagement Affect Productivity	200		
9-2 Employee Involvement and Employee Engagement Interventions	201		
9-2a Parallel Structures	201		
Application 9.1 Using Employee Resource Groups at Cisco	203		
9-2b Total Quality Management	205		
9-2c High-Involvement Organizations	206		
Application 9.2 TQM at the Ritz-Carlton	207		
Application 9.3 Building a High-Involvement Organization at Mars, Incorporated	210		
Summary	212		
Notes	212		
Chapter 10: Work Design	216		
10-1 The Engineering Approach	217		
10-2 The Reengineering Approach	217		
10-2a Application Stages	218		
Application 10.1 BPR: The Customer Service Process at Hilti	219		
10-2b Results from Business Process Reengineering	221		
10-3 The Motivational Approach	221		
10-3a The Job Characteristics Model	221		
10-3b Application Stages	222		
Application 10.2 TechNova Solutions: Job Enrichment Program for Software Developers	224		
10-3c Results of Job Enrichment	225		
10-4 The Sociotechnical Systems Approach	225		
10-4a Conceptual Background	225		
10-4b Self-Managed Work Teams	226		
10-4c Application Stages	228		
Application 10.3 Home Care by Self-Managed Nursing Teams at Buurtzorg Nederlands	230		
10-4d Results of Self-Managed Teams	231		
10-5 Designing Work for Technical and Personal Needs	231		
10-5a Technical Factors	231		
10-5b Personal-Need Factors	232		
10-5c Meeting Both Technical and Personal Needs	233		
Summary	234		
Notes	234		
		Part 5 Human Resource Interventions	247
		Chapter 11: Performance Management	248
		11-1 A Model of Performance Management	249
		11-2 Application Stages	250
		11-3 Goal Setting	250
		11-3a Characteristics of Effective Goal-Setting Processes	250
		11-3b Effects of Goal Setting	251
		11-4 Performance Appraisal	252
		11-4a Characteristics of Effective Performance Appraisal Processes	252
		11-4b Effects of Performance Appraisal	253
		11-5 Reward Systems	253
		11-5a How Reward Systems Affect Performance	254
		11-5b Structural Components of Reward Systems	255
		11-5c Types of Extrinsic Rewards	256
		11-5d Reward-System Process Issues	259
		11-5e Effects of Reward Systems	259
		Application 11.1 Changing the Human Capital Management Practices at Cambia Health Solutions	260
		Summary	261
		Notes	262
		Chapter 12: Workforce Diversity, Development, and Wellness	265
		12-1 Conceptual Framework	266
		12-1a The Dimensions of Diversity	266
		12-1b Performance Management Complementarities	267
		12-1c Intended Outcomes	267
		12-2 Application Stages	268
		12-3 Diversity Interventions	269
		12-3a What Are the Intervention Options?	270
		12-3b The Results of Diversity Interventions	270
		Application 12.1 Aligning Strategy and Inclusion at L'Oréal	271
		12-4 Workforce Development Interventions	272
		12-4a Career Planning and Development Interventions	273
		12-4b Leadership Development Interventions	274
		Application 12.2 Career Planning and Development at PepsiCo	275
		Application 12.3 Leadership Development at Sound Physicians	277
		12-5 Wellness Interventions	279
		12-5a What Are the Implementation Options?	279
		12-5b The Results of Wellness Interventions	280
		Application 12.4 Johnson & Johnson's Health and Wellness Program	280

Summary	282	Chapter 15: Large-Scale Multi-organizational Change	346
Notes	282	15-1 Mergers and Acquisitions	347
Selected Cases	287	15-1a Conceptual Background	347
Designing and Implementing		15-1b Application Stages	347
A Reward System at Disk Drives, Inc.	287	Application 15.1 Effective Post-Merger Integration	349
Coaching and Change at the Southwestern Free Clinic	292	15-2 Strategic Alliance Interventions	350
Part 6 Large-Scale Interventions	299	15-2a Conceptual Background	350
Chapter 13: Fundamentals of Large-Scale Change	300	15-2b Application Stages	350
13-1 Characteristics of Large-Scale Change	301	15-3 Transorganizational Network Interventions	351
13-1a Change Is Triggered by Environmental and Internal Disruptions	301	15-3a Conceptual Background	351
13-1b Change Is Initiated by Senior Executives and Line Managers	301	Application 15.2 Cisco's Mastery of Strategic Alliance	352
13-1c Change Involves Multiple Stakeholders	302	15-3b Application Process	353
13-1d Change Is Systemic	302	Application 15.3 The Alaska Health Workforce Coalition	355
13-1e Change Involves Significant Learning	303	15-4 Organization Development Practitioner Roles and Skills in Transorganizational Networks	358
13-2 Organization Design	303	Summary	358
13-2a Components of Organization Design	303	Notes	359
13-2b Organization Structures for Dividing and Coordinating Work	305	Selected Cases	362
Application 13.1 The Zappos Network Structure	308	The Transformation of Meck Insurance	362
13-2c Worldwide Organization Designs	311	Cultural and Organisational Integration at Mmi:	
13-2d Application Steps	313	The Momentum and Metropolitan Merger	373
13-3 Self-Design	314	Chapter 16: Future Directions in Organization Development	384
Application 13.2 The Self-Design Process at Oracle	316	16-1 The Current State of Organization Development	385
13-4 Organization Culture	318	16-2 Changes in the Context of Organization Development	385
13-4a Defining and Diagnosing Organization Culture	318	16-2a The Socioeconomic Context	385
13-4b Implementing Culture Change	321	16-2b The Technology Context	387
Application 13.3 Culture Change at IBM	322	16-3 Implications for Organization Development's Future	387
Summary	324	16-3a Toward More Integrated Change Processes and Interventions	388
Notes	324	16-3b Toward Responsible Progress	389
Chapter 14: Large-Scale Organization Change Interventions	328	16-3c Toward More Inclusive Values	390
14-1 Integrated Strategic Change	329	Summary	392
14-1a Key Features	329	Notes	392
14-1b Implementing the ISC Process	329	Integrative Cases	396
14-2 Agile Organizations	330	B. R. Richardson Timber Products Corporation	396
Application 14.1 Integrated Strategic Change at Brioche Pasquier	331	Building the Cuyahoga River Valley Organization	410
14-2a Agile Design Features	333	Large-Scale Strategic Change: The Semen Indonesia Merger Integration Case	419
14-2b Application Stages	335	Glossary	427
Application 14.2 ING's Journey to Agility	337	Name Index	436
14-3 Sustainable Organizations	338	Subject Index	441
14-3a What Are the Goals?	338		
14-3b Design Guidelines and Application Stages	339		
Application 14.3 Building a Sustainable Organization at illycaffè	341		
Summary	343		
Notes	344		



Preface

Each new edition of this text gives us a chance to explain anew how organization development (OD) can help organizations adapt to the changes they are experiencing. We take our bridging position – as curators of the research showing overall patterns on the one hand and as observers and practitioners of what’s happening in organizations on the other – seriously. As we reflect on completing this revision, we are struck by the paradoxical nature of our world. The media showers us with news, examples, and advertisements of all the good things people and organizations are doing, of all of the amazing things that are being accomplished. The cost of alternative energy sources is declining rapidly. People are volunteering in record numbers, and they are being rightfully honored and recognized. There are well-organized attempts to fight corruption and child labor, promote ecologically and socially supportive behaviors and activities, work for peace, and comfort the victims of violence and war. The promises and visions of new technology are mind boggling. The list is endless. Surely things are getting better.

On the other hand, the bad news keeps coming. Four years after the pandemic, people are still dying from COVID and more powerful mutations continue to emerge. Hate and fearmongering are increasingly tolerated by a divided electorate; democracy may be facing an existential threat. Extreme weather events and their destruction are disrupting industries and communities, even as many claim that climate change is not really a matter of concern. Dysfunctional governments are ineffective in addressing systemic inequities along multiple dimensions. The war in Ukraine is now more than a year old and support is wavering; the War in Gaza and Israel’s response is testing and straining traditional alliances. Technology can use us as testing grounds, invade our privacy, and contribute to depths of despair. With each text revision, we have to admit to being more concerned with how OD contributes to or addresses this paradox. In writing the twelfth edition of the book, we are astounded by the sheer uncertainty that individuals, organizations, and societies are facing in a world of unprecedented complexity and change.

Managing organizations and leading people are challenging, to say the least. Competition in global and domestic markets is intense and precarious. Economic, political,

and cultural conditions are complex and can change unexpectedly. Traditional sources of competitive advantage, such as technical, product, or resource superiority, can quickly erode as can a firm’s storehouse of knowledge and human and social capital. Government agencies face increasing pressure to operate more efficiently and to offer faster, cheaper, and better services at lower cost. Yet funding is unpredictable and subject to shifting economic conditions, political priorities, and public mandates. Educational institutions are increasingly being asked to deliver more knowledge to larger numbers of more diverse students at lower costs in ways that transcend the physical classroom. At the same time, budgets for public education are dwindling, advances in information technology have far exceeded educators’ willingness and capability to apply them to student learning, and the bureaucracy inherent in curriculum change remains well intact.

In these times, OD and change has never been more relevant and essential for organization functioning and success. And yet, OD itself is increasingly criticized as too woke, too naïve, too theoretical, or too ineffective. For our part, this is the twelfth edition of the market-leading text in the field. OD is an applied field of change that uses social science knowledge to improve organizations’ functioning and performance and to increase their capability to change. OD goes well beyond the mechanistic, programmatic assumptions that organization change can simply be scripted by various methods of “involving” people and “enrolling” them in the change. OD is not concerned about change for change’s sake, a way to implement the latest fad, or being a pawn for doing management’s bidding. It is about learning and improving in ways that make individuals, groups, organizations, and ultimately societies better off and more capable of managing change in the future. Moreover, OD is more than a set of tools and techniques. It is not a bunch of “interventions” looking to be applied in whatever organization that comes along. It is an integrated theory and practice aimed at increasing an organization’s effectiveness and capability to change and improve itself. Finally, OD is more than a set of values; it is also a set of evidence-based ideas and practices about how organizations can produce sustainable high performance and human fulfillment.

The original edition of this text, authored by OD pioneer Edgar Huse in 1975, became a market leader because it faced the relevance issue. It took an objective, research perspective and placed OD practice on a strong theoretical footing. Ed showed that, in some cases, OD did produce meaningful results but that additional work was still needed. Sadly, Ed passed away following the publication of the second edition. His wife, Mary Huse, asked Tom Cummings to revise the book for subsequent editions. With the fifth edition, Tom asked Chris Worley, his valued colleague and friend, to join him in writing the text.

The most recent editions of the text have had an important influence on the perception of OD. While maintaining the book's comprehensive view and balanced treatment, the newer editions made important strides in placing OD on a strong conceptual and empirical foundation. They broadened the scope and increased the relevance of OD by including interventions that went beyond process to include substantive, value-added contributions, such as work design, employee involvement, organization design, and transorganization change. They took additional steps toward relevance by suggesting that OD had begun to incorporate a strategic perspective. This strategic orientation proposed that OD could be as concerned with effectiveness issues as it was with human potential. OD, from this newer perspective, relied as much on knowledge about organization theory and economics as it did on the more "micro" behavioral sciences. The most recent additions describe how OD has become more global. This global orientation includes the growing application of OD in cross-cultural settings. It also shows how OD can help organizations design their global structures and operations. We have worked hard to ensure that the current edition continues this tradition of rigor and relevance.

Revisions to and Pedagogical Features of the Twelfth Edition

The text's design facilitates the learning of OD theory and practice. Based on feedback from reviewers, this format allows instructors to teach the OD process and, as necessary and desired, relate OD practice to specific interventions. Although we have retained several features of the prior editions, we have made some important changes.

Organization

The twelfth edition retains its six-part organization. Part 1 provides an overview of organization development including a chapter that describes the definition and history of OD as well as the people who practice it (Chapter 1) and discusses the fundamental theories that underlie planned

change (Chapter 2). Part 2 is a four-chapter description of the OD process. It discusses how OD practitioners enter and contract with organizations (Chapter 3); collect, analyze, and feedback data to diagnose organizations, groups, and jobs (Chapter 4); design and implement OD interventions (Chapter 5); and evaluate and reinforce change (Chapter 6). In this manner, instructors can focus on the OD process without distraction. Parts 3, 4, 5, and 6 then cover the major OD interventions used today according to the same classification scheme used in previous editions of the text. Part 3 covers human process interventions; Part 4 describes technostuctural approaches; Part 5 presents interventions in human resource management; and Part 6 addresses Large-Scale change interventions. The final chapter (Chapter 16) addresses the future of OD. We believe this ordering provides instructors with considerable flexibility in teaching OD.

Integration and Flow

Although the chapter sequence from previous editions has been maintained, we have revised the number of chapters from 21 to 16 and better integrated the content. In fact, this was our primary objective for this revision. Over time, as new interventions, more research, and broader applications became available, we decided that the text could use a constructive edit. As always, all chapters received important updates and improvements, but at nearly 700 pages, the text was just too damn long. No longer; it is now more concise and efficient while retaining the fundamental, and including the latest, evidence-based OD knowledge and practice.

The primary change in Part 1 involves Chapter 1. It continues to review the history and values of the field, but now describe the professionals who practice OD, their roles, knowledge and skills, and ethics. This makes for a more integrated and comprehensive introduction to OD compared to the eleventh edition.

Chapter 1 also includes a more comprehensive definition of OD. It includes OD's foundational and enduring focus on the process of development and building the organization's capacity to change itself. We extend that foundation to include two key elements. First, we recognize that OD knowledge extends beyond the behavioral sciences to include a broader set of social science expertise. OD practitioners increasingly draw from strategic management, sociology, and economics as well as individual and social psychology. The broader range of OD interventions reflects those wider knowledge bases. Second, we acknowledge that the OD goal of "improving effectiveness" is too vague and often limited to financial outcomes. Today's organizations address financial, social, and ecological outcomes, and our comprehensive definition reflects those broader outcomes.

Part 2 was revised from five to four chapters. We combined material from separate chapters on designing interventions and managing change into a more comprehensive chapter on designing and implementing interventions (Chapter 5). As we discuss throughout the book, we wanted this revision to reflect a more integrated approach to OD. Combining change management with intervention design symbolizes that fragmentation and this chapter is a concrete expression of our integrative intent.

Part 3 retains the chapters on classic interpersonal and group process approaches (Chapter 7) and organization process interventions (Chapter 8). Now, Chapter 8 also includes change processes on dynamic strategy making, organization learning and knowledge management, and organizational downsizing here. Our view is that the focus of these interventions relies more on the process of change at the organization level than on particular elements of the organization's strategy and design.

Part 4 continues to include two chapters on technological interventions. Chapter 9 addresses employee involvement changes with the addition of employee engagement interventions that are developing rapidly in workplaces throughout the world. Chapter 10 involves various approaches to work design, with special applications to digitalized jobs and diverse workforces.

Part 5 has been integrated from three to two chapters. Chapter 11 on performance management remains but the separate chapters on talent development, diversity and inclusion, and wellness have been combined into a single chapter (Chapter 12). In today's world, workforce diversity is a core feature of the labor force, and development and inclusion of a healthy workforce in an integrated way best supports OD practice.

Part 6 retains the three-chapter focus on large-scale change. Chapter 13 describes the fundamentals of large-scale change and characterizes the large-scale change process. It provides the necessary foundation for understanding the organization and multiorganization interventions described in Chapters 14 and 15. Finally, Chapter 16, Future Directions in Organization Development, has received a requisite update based on the recent research and trends.

The Changing Context

As mentioned before in creating this edition of the text, enormous changes were occurring, and continue to occur, all around us. From the pandemic to global conflicts and

wars to economic and societal disputes, we spent a lot of time considering how to address all this in the text, not to mention the ongoing challenges of digitalization, diversity, and climate change. All of this has immensely impacted us, OD, and the world, and we have tried our best to address these contextual changes throughout the text, as appropriate.

Global Integration

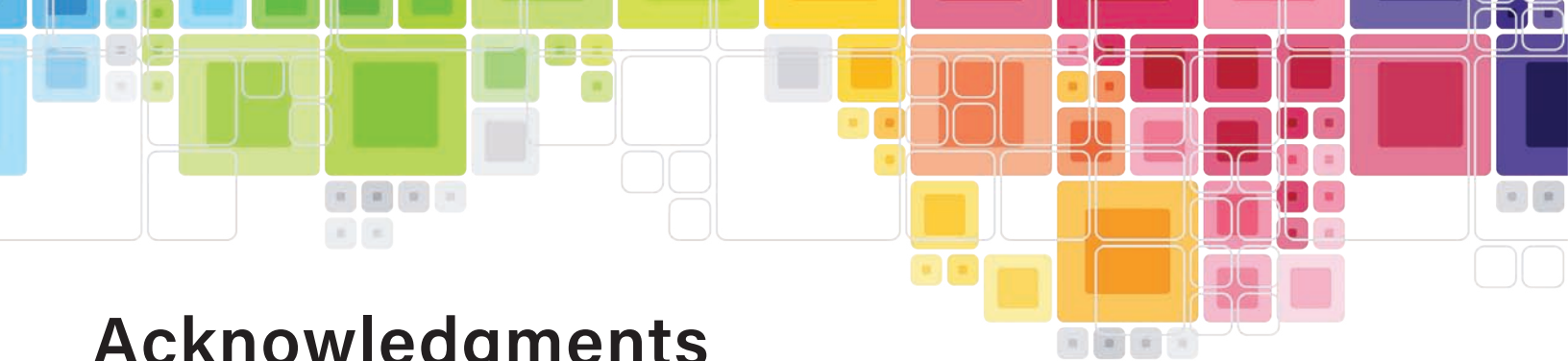
We began the internationalization of the text in the sixth edition. However, even as we expanded this material over time, the text could be rightly criticized for being "North America centric." With the eleventh edition, we explicitly reduced the North American bias and provided examples, applications, and case studies from European, Asian, Australian, South American, and African organizations. We have continued this globalization of OD in the twelfth edition addressing international issues and perspectives throughout the text.

Applications

Within each chapter, we describe actual situations in which different OD techniques or interventions were used. These applications provide readers with a chance to see how OD is actually practiced in organizations. In the twelfth edition, we retained many of the applications and their description of organization changes outside of North America. In addition, many other applications have been updated to maintain the text's currency and relevance. In response to feedback from reviewers, all of the applications describe a real situation in a real organization (although sometimes we felt it necessary to use disguised names). We have included applications based on our own OD practice or that have appeared in the popular literature. In addition, several of our colleagues provided descriptions of their own practice and they appear throughout the text.

Cases

At the end of each major part of the book, we have included case studies for a more in-depth application of the OD process. In response to feedback from users of the text, we have provided US-based and international cases as well as cases that vary in levels of detail, complexity, and sophistication. This provides instructors flexibility in teaching the material to either undergraduate or graduate students.



Acknowledgments

In the parlance of our time, we are privileged to have support and conveniences that facilitate our revising this text. Tom is able to write from his home office in Los Angeles and Chris from his home near Lake Tahoe; we have a lot of spiritual, emotional, and intellectual support. At the top of the list are our families: Chailin and Catherine Cummings; Debbie, Sarah, and Sam Worley; and Hannah, Evan, and their new arrival June Bray. That our families recognize and put up with our “textbook revision” behaviors and schedules is a sad testament to our good fortune. We readily admit to leading blessed lives.

We would like to thank the students and instructors who continue to support us. We hope that the move to a digital platform and our continued integration of the material will make the text more accessible and learnable. We also want to thank our own students and colleagues for their comments on the previous editions and for contributing many of the applications and cases. Over the years, Mary Jane Balasi-Sullivan, Andrea Baldo, Ginny Belden-Charles, John Childers, Irham Dilmy, Kitty Farnham, Judith Gebhardt, Charles Hathorn, David Jardin, Kimberley Jutze, Kimberly McKenna, Darlene O’Connor, Pat Pope, Kathy

Scalzo, Caren Scheepers, Sonja Swart, Becky Spears, Roby Tjiptadjaya, and Dieter von Staden have made this a better text by sharing their OD expertise and experience. A special word of thanks to Foster Mobley, Steve Cokkinias, Matt Brubaker, Cathy Mobley, Addam Marcotte, Jennifer Perry, and the team at FMG Leading for their contributions.

We acknowledge the continuing support of our colleagues at USC’s Marshall School of Business and its Center for Effective Organizations. Ed Lawler, Sue Mohrman, Beth Gunderson, John Boudreau, Alec Levenson, Gerry Ledford, Theresa Welbourne, and Jay Conger. To our friends at Pepperdine University’s MSOD program – Gary Mangiofico, Ann Feyerherm, Miriam Lacey, Terri Egan, Julie Chesley, Darren Good, and Kent Rhodes – we send our appreciation for their dedication to maintaining the “long grey line.”

We also would like to express our appreciation to members of the staff at Cengage Learning for their aid and encouragement. Special thanks go to Michael Worls and Emma Train for their help and guidance throughout the development of this revision. And Flora Emmanuel patiently made sure that the editing and producing of our book went smoothly.

Thomas G. Cummings
Rolling Hills Estates, California

Christopher G. Worley
Truckee, California



About the Authors

Tom Cummings is a leading international scholar and consultant on strategic change and high-performance organizations. He is Professor of Management and Organization at the Marshall School of Business, University of Southern California. Tom served as Chair of the Department of Management and Organization from 1996 to 2017. He is also a senior member of the renowned Center for Effective Organizations at USC, a world leader in applied knowledge of organization design, talent management, and large-scale change. Tom received BS and MBA degrees from Cornell University and a Ph.D. from the University of California at Los Angeles.

Tom has served as a senior consultant to government, higher education, and Fortune 100 organizations in the United States, Europe, and Mexico. Major projects have resulted in new strategies and innovative organizations with performance-driven structures, teams, and management practices. Tom has also conducted numerous workshops and organization retreats showing how to develop strategies, how to design high-performing organizations, and how to devise change programs for implementing them.

Tom is widely recognized in academic communities for his many contributions to knowledge about strategic change and high-performing organizations. He has authored over 80 articles and 25 books including the critically acclaimed: *Self-Designing Organizations: Learning How to Create High Performance* (with Susan Mohrman) and *Organization Development and Change, 11th Edition* (with Chris Worley).

Tom has held senior leadership positions in major scholarly and professional associations in the management field. He was President of the Western Academy of Management, Chair of the Organization Development and Change Division of the Academy of Management, and Founding Editor of the *Journal of Management Inquiry*. Tom was the 61st President of the Academy of Management, the largest professional association of management scholars in the world with a total membership of over 20,000 from 120+

countries. He is listed in *American Men and Women of Science* and *Who's Who in America*.

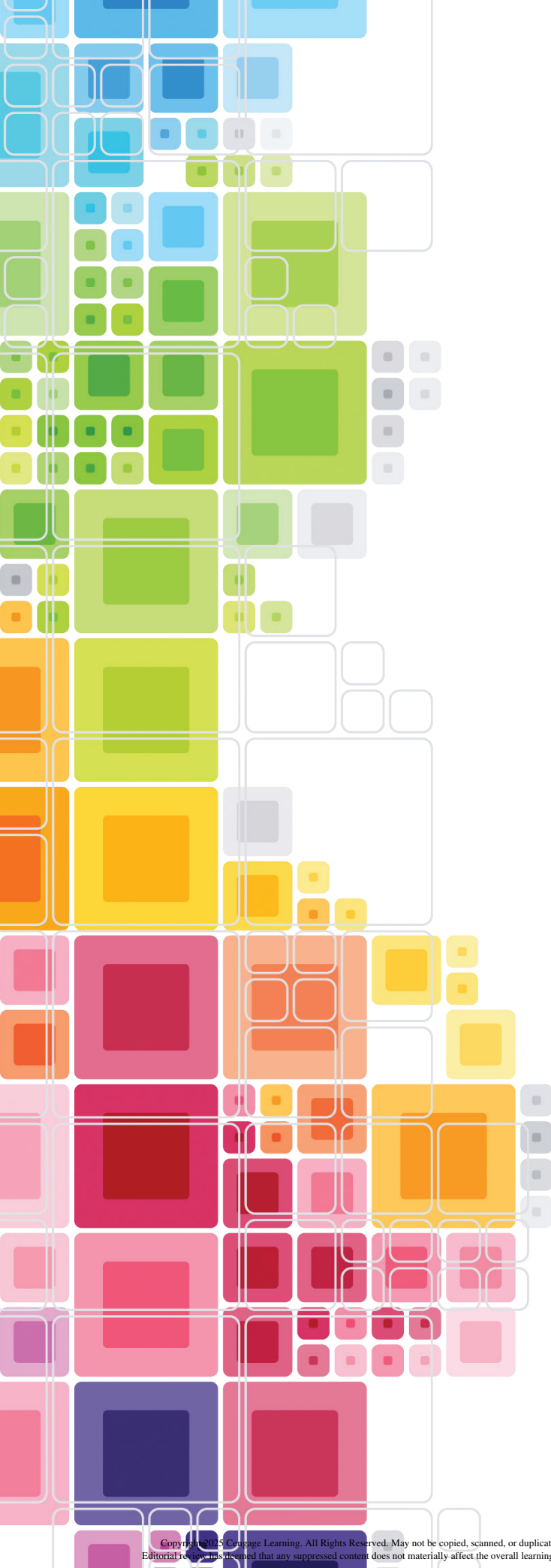
Chris Worley is the Research Professor of Management at Pepperdine University's Graziadio School of Business. He is also an affiliate researcher at USC's Center for Effective Organizations. Chris is a recognized researcher and consultant in the field of organization agility, development, and design. Prior to his current positions, he was a Professor of Strategy at the NEOMA Business School in France and Director of the Master of Science in Organization (MSOD) program at Pepperdine University. He served as past chair for the Academy of Management's Organization Development and Change Division.

Chris has authored or co-authored numerous books, chapters, and articles. His most recent books include *How to do Relevant Research*, *Becoming Agile*, *The Agility Factor*, *Assessing Organization Agility*, *Management Reset*, and *Built to Change*. In addition, he was series editor (with Sue Mohrman and Rami Shani) of *Organizing for Sustainable Effectiveness* that explored the organization design implications of environmental and social sustainability. With Tom Cummings, he has co-authored eight editions of *Organization Development and Change*, the leading textbook in the field. His articles on strategic change and organization design have appeared in the *Journal of Applied Behavioral Science*, the *Sloan Management Review*, *Organizational Dynamics*, and the *Journal of Organization Behavior*, among others. He was awarded the Larry Porter Communicating OD Knowledge Award by the ODNetwork in 2011, the Emerald Literati Network Outstanding Author Award in 2011, and the 2011 Douglas McGregor Memorial Award for the Best Paper in the *Journal of Applied Behavioral Science*. He has made presentations to scholarly and practitioner associations such as the Academy of Management, OD Network, Organization Design Forum (US and Europe), and the Conference Boards of the U.S. and Canada.

Chris's applied research and consulting practice is complemented by more than fifteen years of management

experience in academic, for-profit, and government organizations. His consulting clients include organizations in high technology, health care, energy, financial services, fast-moving consumer goods, the public sector, and natural resources. The primary focus of his efforts in these organizations has been on the development of agile capabilities, strategy implementation, organization design, and organization development.

Chris received his Ph.D. in strategic management from the University of Southern California, an M.S. in organization development from Pepperdine University, an M.S. in outdoor recreation from Colorado State University, and a B.S. in environmental psychology from Westminster College. He is a member of the Academy of Management, the Organization Development Network, the European Organization Design Forum, and the National Training Laboratories (NTL).



Part 1

Overview of Organization Development

Chapter 1

General Introduction to Organization Development

Chapter 2

The Nature of Planned Change

General Introduction to Organization Development

Learning Objectives

- Define and describe the practice and study of organization development (OD).
- Describe the growth and relevance of OD.
- Describe the history of OD.
- Describe the evolution of organization development research and practice.
- Describe the roles, skills and knowledge, and values and ethics of OD practitioners.

This is a book about organization development (OD)—a process to help organizations change; improve their financial, employee well-being, and environmental outcomes; and develop the ability to change themselves. OD differs from other planned change efforts, such as project management or new product development, because the focus is on building the organization's capability to assess its functioning and to make the necessary changes to achieve its objectives. Moreover, OD is oriented to improving the organization and its parts in the context of the larger environment that affects them.

This book provides an evidence-based foundation for understanding and practicing OD. It reviews OD's

history, explains its conceptual foundations and intervention methods, and describes its application across a broad range of organizations, competitive situations, and global contexts. This chapter presents a general introduction to the concept of OD. It explains why OD has expanded rapidly in the past 70 years in terms of people's need for a fulfilling and rewarding work life and organizations' need to adapt to a complex and changing world. OD's history is reviewed and its current state is summarized. Finally, the roles, skills, and values of those who practice OD are described. The chapter ends with an overview of the book.

1-1 Organization Development Defined

Organization development is both a professional field of social action and an area of scientific inquiry. OD practice covers a wide spectrum of activities that can be applied independently or combined to form comprehensive change programs. Strategic planning with a school board, team building for a software development group, and implementing self-managed teams in a hospital are all examples of OD. Similarly, OD research addresses a broad range of topics, including the methods of organizational change, the effects of OD interventions, and the factors influencing their success.

Old and new definitions of OD generally address the targets and processes of planned change, the values and knowledge underlying it, and the intended organizational outcomes.¹ They vary slightly in terms of emphasis, such as whether organizational culture is the target of change; OD's long-term focus and use of consultants; the process or stages of OD; the range of human, economic, and ecological outcomes; and the transfer of OD skills and knowledge to organizations. The following definition incorporates the key aspects of these views and is used in this book:

Organization development applies social science knowledge to help organizations develop the capability to change their strategies, structures, and processes and to adapt to their environment for greater effectiveness, member well-being, and sustainability.

This definition emphasizes features that differentiate OD from other approaches to organizational change and improvement, such as management consulting, project management, and operations management. The definition also helps to distinguish OD from *change management*, a related subject also addressed in this book.

First, OD is based on the application of social science knowledge and practice. OD has traditionally been defined as the application of behavioral science knowledge, drawing from psychology, sociology, and systems theory. More recently, anthropology, complexity science, economics, and political science have made important contributions. Thus, OD is an applied, multi-disciplinary social science that includes a range of micro-concepts, such as leadership, group dynamics, and work design, and macro-approaches, such as strategy, organization design, and culture. Applying social science knowledge distinguishes OD from management consulting, technological innovation, or operations management that emphasize the business and technical aspects of organizations rather than the personal and social sides.

Second, OD is distinguished by its explicit intent to transfer and embed social science knowledge and skill into organizations, so they are more capable of changing and developing themselves without continued reliance on OD experts.

Third, OD addresses how the elements that comprise organizations—their strategies, structures, and processes—function and relate to each other as well as how they help organizations adapt to external conditions. This dual internal–external focus differentiates OD from other approaches with an internal emphasis, such as operations management, or an external focus, such as strategy consulting.

Finally, OD is oriented to improving organizational effectiveness, employee well-being, and sustainability. Effectiveness refers to financial and technical performance, including sales growth, acceptable profits, quality products and services, and high productivity. Employee well-being includes members' intrinsic and extrinsic motivation, job satisfaction, and health and wellness. Sustainability outcomes can encompass the other two—as in the “triple bottom line” of social well-being, environmental health, and financial performance—but emphasizes an organization's ecological footprint. These diverse effects distinguish OD from other organization improvement approaches that tend to focus on a more limited set of outcomes, such as management consulting firms that attend to effectiveness, human resource management that focuses on employee well-being, and the growing number of climate advisors that emphasize the environmental aspects of sustainability.

Organization development can be distinguished from *change management*, a topic that has grown in popularity as organizations increasingly adapt to complex and changing environments.² OD and change management are often used interchangeably as if they are the same. They both address the effective implementation of organization change, and they are both concerned with the sequence of activities, the processes, and the leadership that produce organization improvements.

However, as Cummings and Cummings point out, OD and change management differ on both value orientation and goals: “OD's most distinct and basic feature comes from the ‘development’ part of its title, which is frequently passed over without considering its meaning and significance in an organization context.”³ At the personal level, development is deeply rooted in humanistic psychology, which promotes values of human self-actualization, potential, and growth. OD helps organizations create conditions where members can enact these values at work and develop to their full potential. At the organization level, development concerns an organization's capability to be self-regulating, to solve its own problems, and to adapt to its environment. OD helps

organizations develop the knowledge and skills to solve their own problems and to change and improve themselves.

Change management, on the other hand, focuses on helping organizations implement specific changes, such as a new organization structure, technology, or work practice. Its values and practices are highly pragmatic and aimed at making change processes more effective and efficient. Change management pays particular attention to how well change is implemented and at what cost and speed, not whether the organization and its members have learned how to change the organization.⁴

Cummings and Cummings argued that given these fundamental differences in values and goals between OD and change management, they should be treated as different approaches to organization change and improvement. OD addresses change from a developmental perspective whereas change management focuses on implementing organization changes effectively and efficiently, not necessarily from a developmental standpoint. In those cases where change management is conceived and practiced developmentally, it is synonymous with how change is implemented in OD and, consequently, it is more accurate and parsimonious to simply call it OD.

1-2 The Growth and Relevance of Organization Development

In previous editions of this book, we argued that organizations need to adapt to increasingly complex and uncertain technological, economic, political, cultural, and ecological changes. We also proposed that OD can help organizations respond to these changes more effectively and, in many cases, proactively influence them in more positive directions for the organization and society. Today's rapidly changing and often chaotic conditions vividly confirm our arguments and accentuate their relevance. Many organizations are in the midst of unprecedented change causing major disruptions in how they function and perform. Change capability is not only crucial for their success but for their survival as well.⁵ Trends in four major areas are shaping change in organizations and support OD's relevance: globalization, information technology, workforce, and managerial innovation.

First, *globalization* is changing the markets and environments in which organizations operate as well as the way they function.⁶ The world is becoming smaller and more tightly interconnected economically, socially, politically, and ecologically. Significant movements of goods and services, technology, human resources, and capital across

international borders have intensified the economic interdependence among nations and organizations. For example, the global cross-border e-commerce market, valued at \$785 billion in 2021, is expected to expand to almost \$8 trillion by 2030, with a compound annual growth rate of 26.19%.⁷ Escalating globalization opens new markets, makes new resources available, and provides sources of innovation and capital for organizations. It also creates the risk that problems in one sector of the world can spread rapidly to other sectors, such as we experienced during the COVID-19 pandemic. Even the nascent "antiglobalization" movement, which includes the United Kingdom's Brexit from the European Union, and other isolationist moves by multiple countries add to the ambiguity facing organizations.

Similarly, differences along cultural, political, and religious lines have rendered global markets increasingly uncertain, complex, and conflictive. Persistent tensions and open warfare in Ukraine, the Middle East, the Korean peninsula, South America, and Africa have had repercussions for organizations throughout the globe, making them more vulnerable to terrorist attacks, diplomatic and military conflicts, and energy supply disruptions. Globalization also affects organizations ecologically, expanding their access to natural resources yet making the planet more susceptible to abuse by organizations with questionable environmental practices and governments with loose environmental controls. Growing international attention to climate change and calls for more responsible and sustainable organizational practices underscore the ecological consequences of globalization. All of this presents organizations with unparalleled prospects for success and failure.

Second, *information technology (IT)* is revolutionizing how work is designed and performed, how knowledge is acquired and used, and how business is organized and transacted.⁸ Referred to as the "Fourth Industrial Revolution," the unprecedented fusion of emerging digital technologies, such as artificial intelligence, nanotechnology, robotics, and quantum computing, is progressing at an exponential rate. The combinational effects of digital technologies are impacting most industries and transforming the way organizations innovate, produce goods and services, and connect with suppliers, customers, and the larger environment. E-commerce giants Amazon, Pinduoduo, and Alibaba are rapidly replacing brick-and-mortar retailers, and Facebook, Tik-Tok, and LinkedIn are revolutionizing the way that we converse and interact with each other both personally and professionally. Organizations are analyzing enormous datasets, so-called big data, to discover underlying trends and patterns that can inform strategic decision making and innovation. Cloud computing and its recent offspring "edge" computing are offering tremendous

storage, bandwidth, and accessibility to information at relatively low costs, with Amazon, Google, IBM, and Microsoft competing for a cloud market of about \$500 billion in 2023.⁹ Digital publishing and online courses are transforming how we deliver knowledge and education. The fourth industrial revolution is not without serious risks and problems for individuals, organizations, and societies, however. Organizations may not have the capability to adapt to the changes; governments can fail to regulate new technologies and fully utilize their benefits; cybersecurity privacy and problems can have immense disruptive consequences; and inequality may grow and societies may fragment.

Third, changes in the *workforce* are transforming how organizations function and perform. The U.S. labor force, for example, is growing more racially diverse, female gendered, educated, elderly, and contingent.¹⁰ The share of U.S. workers who are non-White has nearly doubled to about 40% in the last 30 years, as did the 55-and-over age group, which now comprises 25% of the labor force. The percentage of women in the labor force has steadily increased from about 33% after World War II to almost 57% today, and employees with a bachelor's degree or higher now comprise 44% of the workforce compared to 26% two decades ago. Contingent workers, those hired on an on-demand basis, have swollen to around 40% of today's labor force, a two-fold increase in just 15 years. What all this means to organizations is increasing concern and genuine attention to diversity, equity, and inclusion (DEI), flexible work hours and hybrid work arrangements, employee wellness and work-life balance, and ongoing upskilling and enrichment of the workforce, to name a few. Globally, similar yet distinct changes are occurring in workforces, with varying degrees of organizational apprehension and resolve.

Fourth, *managerial innovation* has responded to the globalization, IT, and workforce trends and accelerated their impact on organizations. The ability to move information easily and inexpensively throughout and among organizations has fueled their downsizing, delayering, and restructuring. The Internet has enabled new forms of work and organizations, such as virtual teams, telecommuting, platform organizations, flash organizations, and network organizations. It has enabled many companies to outsource customer-service functions to global regions where labor is relatively inexpensive. In addition, change innovations, such as downsizing or reengineering, have radically reduced the size of organizations and increased their flexibility; new large-group interventions, such as the search conference and open space, have increased the speed with which organizational change can take place; and large-scale organization changes have increased the inclusion of diverse workforces and addressed the needs

for a better work-life balance of a growing segment of the labor force.¹¹

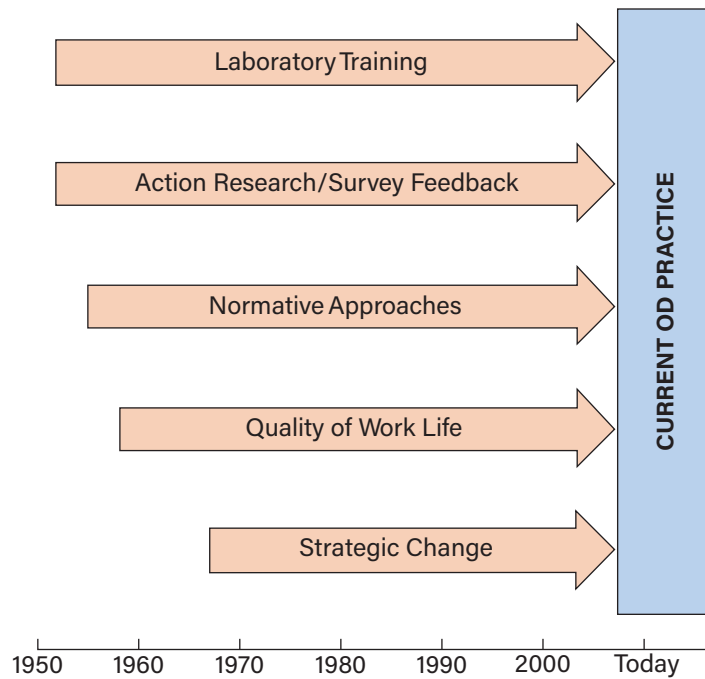
Organizations are discovering that the globalization, IT, and workforce dynamics trends are not just independently powerful but interrelated. Their interaction makes for a highly uncertain and complex environment for all kinds of organizations. Fortunately, a growing number are undertaking the kinds of organizational changes needed to survive and prosper in today's environment. They are making themselves more streamlined and agile, more responsive to external demands, and more ecologically and socially sustainable. They are involving employees in key decisions and paying for performance rather than for time. They are taking the initiative in innovating and managing change, rather than simply responding to what has already happened.

These trends in globalization, IT, workforce, and managerial innovation underscore the vital role that OD can play in helping organizations change themselves. OD facilitates organizations in assessing themselves and their environments as well as revitalizing and rebuilding their strategies, structures, and processes. OD helps organization members gain the skills and knowledge needed to continuously improve and change the organization. It helps members go beyond surface changes to transform the underlying assumptions and values governing their behaviors. The different concepts and methods discussed in this book are increasingly finding their way into government agencies, manufacturing organizations, multinational corporations, service industries, educational and health care institutions, and not-for-profit organizations. Perhaps at no other time has OD been more practically relevant and responsive to organizations' needs to operate effectively in a highly complex and changing world.

Church and Burke caution, however, that OD practitioners will need to broaden their knowledge and skills to operate effectively in this highly globalized and digitalized world.¹² They will need to augment their current expertise in systems thinking, social processes, and strategic change with a rudimentary understanding of and competence in global dynamics, digital technologies, and big data analytics.

1-3 A Short History of Organization Development

Summarizing the history of OD will help to clarify the evolution of the term as well as some of the problems and confusion that have surrounded it. As currently practiced, OD emerged from five major backgrounds or stems, as shown in Figure 1.1.

Figure 1.1**The Five Stems of OD Practice**

1-3a Laboratory Training Background

The growth of National Training Laboratories (NTL) and the development of training groups, otherwise known as sensitivity training or T-groups, represent the first stem of OD. The T-group—a small, unstructured group in which participants learn from their own interactions about such issues as interpersonal relations, personal growth, leadership, and group dynamics—emerged in the summer of 1946. The Connecticut Interracial Commission asked Kurt Lewin and his staff at the Massachusetts Institute of Technology’s (MIT) Research Center for Group Dynamics for help training community leaders. Their workshop brought community leaders together to learn about leadership and to discuss problems. At the end of each day, the researchers discussed privately what behaviors and group dynamics they had observed. Overhearing these conversations, the community leaders asked permission to sit in on these sessions. Reluctant at first, the researchers finally agreed. Thus, the first T-group was formed in which people reacted to data about their own behavior. The researchers drew two conclusions about this first T-group experiment: (1) feedback about group interaction was a rich learning experience and (2) the process of “group building” had potential for learning that could be transferred to “back-home” situations.¹³

As a result of this experience, the Office of Naval Research and the National Education Association provided financial backing to form NTL, and Gould Academy in Bethel, Maine, was selected as a site for further work (since then, Bethel has played an important part in NTL). The first Basic Skill Groups were offered in the summer of 1947, and the Carnegie Foundation provided support for programs in 1948 and 1949. This led to a permanent program for NTL within the National Education Association.

In the 1950s, regional laboratories emerged, the summer sessions expanded to year-round programs, and the T-group was extended into business and industry, with NTL members becoming increasingly involved with organizations. Notable among these industry efforts was the pioneering work of Douglas McGregor at Union Carbide, Herbert Shepard and Robert Blake at Esso Standard Oil (now ExxonMobil), McGregor and Richard Beckhard at General Mills, and Bob Tannenbaum at TRW Space Systems (now part of Northrop Grumman).¹⁴ T-group applications at these companies spawned the term “organization development” and, equally important, led corporate personnel and industrial relations specialists to expand their roles to offer internal consulting services to managers.¹⁵

Over time, T-groups became closely associated with that side of OD’s reputation as a “touchy-feely” process,

and their application in formal organizations has declined. However, NTL and Stanford continue to offer T-groups to the public, a number of proprietary programs continue to thrive, and Pepperdine University continues to utilize T-groups as part of its master's-level OD program. The practical aspects of T-group techniques for organizations gradually evolved to become “team building”—a process for helping work groups become more effective in accomplishing tasks and satisfying member needs. Team building is one of the most common OD interventions today.

1-3b Action Research and Survey-Feedback Background

Kurt Lewin was also instrumental in the second movement that led to OD's emergence as an applied social science—action research and survey feedback. Action research began in the 1940s with studies by John Collier, Lewin, and William F. Whyte that tied research to interventions for improving particular social systems. They discovered that research needed to be closely linked to action if system members were to use it to manage change. A collaborative effort was initiated between organization members and social scientists to collect research data about an organization's functioning, to analyze it for causes of problems, and to devise and implement solutions. After implementation, further data were collected to assess the results, and the cycle of data collection and action often continued. The results of action research were twofold: Members of organizations were able to use research on themselves to guide action and change, and social scientists were able to study that process to derive new knowledge that could be used elsewhere.

Among the pioneering action research studies were the work of Lewin and his students at the Harwood Manufacturing Company¹⁶ and the classic research by Lester Coch and John French on overcoming resistance to change.¹⁷ The latter study led to the development of participative management as a means of getting employees involved in planning change to increase their commitment to implementing it. Other notable action research included Whyte and Edith Hamilton's famous study of Chicago's Tremont Hotel,¹⁸ and Collier's application of action research to improve race relations when he was Commissioner of Indian Affairs from 1933 to 1945.¹⁹ These studies did much to establish action research as the backbone of OD changes.

A key component of many early action research studies was the systematic collection of survey data that were fed back to the client organization. Following Lewin's death in 1947, his Research Center for Group Dynamics at MIT moved to Michigan and joined with the Survey Research Center as part of the Institute for Social Research. Rensis Likert, a forerunner in developing scientific approaches to

attitude surveys, headed the institute. His doctoral dissertation at Columbia University developed the widely used five-point “Likert scale.”²⁰

In an early study by the institute, Likert and Floyd Mann administered a company-wide survey of management and employee attitudes at Detroit Edison.²¹ The process that evolved to feed the data back to the organization was an “interlocking chain of conferences.” The major findings of the survey were reported first to top management and then were transmitted throughout the organization. The feedback sessions were conducted in task groups, with supervisors and their immediate subordinates discussing the data together. A series of follow-up studies at Edison showed the positive effects of survey feedback on employee attitudes, such as job satisfaction. Likert, Mann, and many other social scientists applied survey feedback in action research studies of organization change in a variety of settings. This led to today's common pattern of action research and survey feedback in OD: data collection, data feedback, action planning, implementation, and follow-up data collection.

1-3c Normative Background

The intellectual and practical advances from the laboratory training stem and the action research and survey-feedback developments were followed closely by the belief that a human relations approach represented a “one best way” to manage organizations. This normative premise was exemplified in Likert's *Participative Management Program* and Blake and Mouton's *Grid Organization Development*[®] approaches to organization improvement.²²

Likert's Participative Management Program characterized organizations as having management systems varying in authoritative, consultative, and participative leadership practices.²³ His research and practice showed that “participative group systems” with member involvement in goal setting and decision making had positive attitudinal and performance outcomes. Likert applied participative management practices using a survey-feedback process. The survey, the Profile of Organizational Characteristics,²⁴ asked employee opinions about both the present and ideal conditions of various features of their organization. The data were fed back to different work groups within the organization and members examined the discrepancy between their present and their ideal situation, with participative group systems the ideal benchmark. Action plans to move the organization toward the participative system were implemented in a variety of organizations, with positive outcomes reported in many applications.

Blake and Mouton's Grid Organization Development originated from research about managerial and

organizational effectiveness.²⁵ Research on 198 organizations located in the United States, Japan, and Great Britain showed that the more managers were concerned with or addressed issues related to both production and people, the greater the organization performance and employee satisfaction. Blake and Mouton developed a normative model of leadership, the Managerial Grid,²⁶ to assess management styles varying on concern for production and employees. They applied the Grid as part of an organization-wide development program. It involved structured phases where members analyzed their managerial style, learned methods of problem solving, and engaged in team and intergroup development. They developed a model of organization excellence for the company and then implemented and assessed it.

Despite some research support, the normative approach to change has given way to a contingency view that acknowledges the influence of the external environment, technology, and other forces in determining the appropriate management practices and organization design. Still, Likert's participative management and Blake and Mouton's Grid OD frameworks are both used in organizations today.

1-3d Quality-of-Work-Life Background

The fourth stem in OD's history started in Europe and Scandinavia in the 1950s. A "sociotechnical systems" approach to work design was developed by Eric Trist and his colleagues at the Tavistock Institute of Human Relations in London. They designed work to jointly meet the requirements of technology and the needs of people, generally with the participation of unions and management. It resulted in quality-of-work-life (QWL) interventions aimed at designing work for high productivity and employee satisfaction. It pioneered what today is called "self-managed teams," composed of multiskilled workers with the autonomy and information to manage their own task performance.

As this approach migrated to America, QWL tended to emphasize employee job satisfaction and mental health, although specific techniques and approaches for improving work were developed, such as job enrichment, self-managed teams, and labor-management committees.²⁷ QWL projects at General Motors and Gaines Pet Food drew attention to these more enriching forms of work.

Starting in the late 1970s, however, as the United States faced unprecedented global competition both at home and abroad, QWL programs focused on performance outcomes as well as employee satisfaction. Interventions expanded beyond work design to include other features of the workplace that can affect both productivity and satisfaction, such as reward systems, management styles, and the physical work environment. This expanded focus resulted in highly visible, large-scale projects in corporations such

as General Motors, Ford, and Honeywell and with unions such as the United Automobile Workers; Oil, Chemical, and Atomic Workers; Communications Workers of America; and Steelworkers. At one point, QWL became so popular that it was called an ideological movement. This was particularly evident in the spread of quality circles within many companies. Popularized in Japan, they comprise groups of employees that meet regularly to resolve quality-control concerns and to develop more efficient work methods.

Today, the QWL stem of OD continues primarily under the banner of "employee involvement" (EI), employee engagement, and related approaches, such as total quality management and Six Sigma programs. For many OD practitioners, EI signifies how employees can contribute to running the organization so it can be more flexible, productive, and competitive.

1-3e Strategic Change Background

The fifth stem of OD, and the most recent influence on current theory and practice, involves strategic change interventions. As organizations have become more global and information intensive and their environments more complex and uncertain, the scale and speed of organizational change have increased. The need for strategic change is usually triggered by some major disruption to the organization, such as the lifting of regulatory requirements, a technological breakthrough, or a new chief executive officer coming in from outside the organization.²⁸ This calls for a strategic approach to OD, involving transformational change at the organization and multi-organization levels.²⁹

Strategic change interventions address the alignment among an organization's strategy, design, and environment.³⁰ They seek to improve both the organization's relationship to its environment and the fit among its technical, structural, informational, human resource, and cultural parts.³¹ One of the first applications of strategic change was Richard Beckhard's use of open systems planning.³² It focused on an organization's core mission and tried to reduce the differences between what the environment demanded and how the organization responded so that performance improved. Since then, OD has created a variety of strategic-change interventions, increasingly referred to as "large-scale" or "multi-organization" change.³³ Each of these approaches recognizes that strategic change tends to be driven from the top of the organization, involves multiple levels and components of the organization, and has important effects on performance. More recently, strategic change approaches to OD have been extended beyond the boundaries of a single organization to include mergers and acquisitions, strategic alliances among organizations, and multi-organization networks.³⁴

The strategic change background has significantly influenced the practice of OD. Practitioners have become more knowledgeable about competitive strategy, finance, and marketing, as well as more traditional team building, action research, and survey feedback. Together, these skills have improved OD's relevance to organizations and their members.

1-4 Evolution in Organization Development

Current knowledge and practice in OD are strongly influenced by the five previously mentioned backgrounds as well as by globalization, IT, workforce, and management innovation trends shaping organization change today. The laboratory training, action research and survey feedback, normative, and QWL roots of OD are evident in the strong humanistic focus that underlies its practice. The more recent influence of the strategic change background has greatly improved the relevance and rigor of OD practice. It has added financial and economic indicators of organization effectiveness to OD's traditional measures of employee satisfaction and personal growth. All of the backgrounds support the application of social science knowledge and skill to help organizations develop their own capability to change and improve themselves.

Today, OD is being carried out in many more countries and in many more organizations operating on a worldwide basis. This is generating an entirely new set of interventions as well as modifications to traditional OD practice.³⁵ OD is adapting its methods to the latest technologies being used in organizations. As IT continues to digitalize organizations and their environments, OD is managing change processes in cyberspace and the so-called "metaverse" as well as face-to-face. In addition, OD is creating interventions that attend to the needs of an increasingly diverse workforce. It is adapting its methods and change processes to organization members who differ in gender, age, race/ethnicity, nationality, and contingent employment, among other differences. The expanding breadth of this evolving field has led to tremendous growth in the number of professional OD practitioners, in the kinds of organizations involved with OD, in the range of countries within which OD is practiced, and in the kinds of interventions used to change and improve organizations.

Membership in the OD Network (www.odnetwork.org), which began in 1968, is one indication of this growth, from around 200 members to over 2,000 members from over 50 countries in the past 50 years. It holds annual conferences and publishes the journal *Organization Development Review*. The International Society for Organization Development and Change (ISODC) has members from 47 countries and

publishes the *OD Journal*. Division 14 of the American Psychological Association, formerly known as the Division of Industrial Psychology, changed its title to the Society for Industrial and Organizational Psychology (www.siop.org) in 1982. In 2023, the Society had nearly 9,000 members worldwide. In 1971, the Academy of Management established an Organization Development and Change Division (<https://odc.aom.org/home>), which had about 2,000 members in 2023. Pepperdine University (<https://bschool.pepperdine.edu/masters-degree/organization-development/>), Bowling Green State University (www.bgsu.edu), and Case Western Reserve University (www.cwru.edu) offered the first master's-degree programs in OD in 1975, and Case Western began the first doctoral program in OD.³⁶ Today, executive doctoral programs emphasizing OD are offered at such schools as Benedictine University, Fielding Graduate University, Pepperdine University, Bowling Green State University, Hult International Business School (Ashridge), and the University of Southern California, to name a few. Courses in OD are now being taught at the graduate and undergraduate levels at most universities worldwide.

Numerous private- and public-sector organizations have engaged in a variety of OD efforts. In many cases, organizations have been at the forefront of innovating new change methods and organization designs. Larger corporations with extensive experience in OD include PepsiCo, Nike, Boeing, Kaiser Permanente, American Airlines, Adidas, Intel, Microsoft, General Mills, Procter & Gamble, IBM, and Lockheed Martin. OD is also being applied in schools, communities, and local, state, and federal governments. Extensive OD work is being done in the armed services, including the Army, Navy, Air Force, and Coast Guard, although these activities have ebbed and flowed with changes in the size and scope of the military.

Organization development is increasingly being applied globally. Formal OD projects have generally taken place in developed regions with such prominent organizations as Saab (Sweden), Unilever (The Netherlands/United Kingdom), Orrefors (Sweden), Brioche Pasquier (France), Akzo-Nobel (The Netherlands), the Beijing Arbitration Commission and Neusoft Corporation (China), Air New Zealand, and Vitro (Mexico). Applications of OD to global social change are progressing in developing regions such as Africa, India, Latin America, and Indonesia.

1-5 The Organization Development Practitioner

A closer look at the roles, skills and knowledge, and values and ethics of OD practitioners provides a more personal perspective on the field.

1-5a Organization Development Practitioner Role

The term *organization development practitioner* typically refers to an internal or external consultant providing professional services—diagnosing organizations, developing interventions, and helping to implement them. A career in OD can be highly rewarding, providing challenging and interesting assignments working with organizations to improve themselves. In today’s environment, the demand for OD professionals is rising rapidly. The World Economic Forum’s 2023 *Future of Jobs* report forecasts a net increase in the need for OD specialists between 2023 and 2027.³⁷ These career opportunities will expand in the United States and abroad.

More recent perspectives expand the scope of OD practice to include professionals in related disciplines, such as industrial/organizational psychology, human resource management, or quality assurance and process improvement, as well as line managers. In these instances, they are OD practitioners in the sense that they apply their special competence or use their position in the organization to help members learn how to work effectively with others in task performance and innovation. They apply OD methods to help organizations solve complex problems, gain commitment to the solutions, build capability, and increase the chances for their successful implementation.

In the typical case, the OD practitioner’s role can be described in relation to its position: internal to the organization, external to it, or in a team comprising both internal and external consultants. Internal consultants are organization members who may belong to the human resources department or report directly to a line manager. Their roles may be exclusively OD focused or combined with other tasks like recruiting, training, or employee relations. They have the advantage of ready access to clients, understanding the organization’s culture, and insights into the root cause of many problems. They also have access to various forms of information, including rumors, company reports, and direct observations. However, internal OD practitioners may be overly cautious due to their strong ties to the organization, especially when powerful individuals can affect their career.

External OD consultants are not organization members and typically work for a consulting firm, a university, or independently. Organizations hire them for their expertise or for different and potentially more objective perspectives. External practitioners can use their own criteria to choose clients. They often have higher status than internal consultants, enabling them to probe difficult issues and assess the organization more objectively.

A promising approach to having the advantages of both internal and external OD consultants is to include them both as members of an internal–external consulting team.³⁸ These teams are prevalent in many large-scale OD interventions.

The OD practitioner role can also be examined in terms of its marginality in organizations and emotional demands. Both internal and external OD practitioners fill a “marginal” role, although internals may benefit from their existing relationships, trust within the organization, and advantages in navigating the system and crossing key organizational boundaries. Marginality refers to straddling the boundary between two or more groups with differing goals, value systems, and behavior patterns.³⁹ In this case, between an internal OD group and the client system or between an external practitioner and the organization customer. Practitioners who are effective at this bridging role tend to have personal qualities of emotional intelligence, flexibility, and adaptable information-processing ability. Rather than being upset by conflict, ambiguity, and stress, they thrive on it. People with a tolerance for marginal roles seem especially suited for OD practice because they can maintain neutrality and objectivity and develop integrative solutions that reconcile viewpoints among opposing organizational departments.⁴⁰

However, being in a marginal role can be emotionally demanding, even if one possesses the right personal qualities. Reports from OD practitioners support the importance of recognizing and expressing emotions appropriately in thoughts, decisions, and relating to others.⁴¹ From the client’s perspective, almost any change process can generate concerns over resistance and commitment and raise emotions such as fear of failure and rejection, anxiety, and anger.⁴² OD practitioners can provide psychological support, model appropriate emotional expression, and help clients reframe their perspectives.

With the increasing evidence that OD work can be stressful, burnout can come from taking on too many jobs, becoming overcommitted, and generally working too hard.⁴³ External OD practitioners’ number one complaint is spending much of their time in planes, cars, hotels, meetings, and restaurants.⁴⁴ They may spend a week working with one organization and then spend the weekend preparing for the next client. To cope with burnout, practitioners may learn to pace themselves better to avoid taking on too much work or engage in health and fitness programs. They may even move from external to internal OD roles to gain more predictable hours and reduce travel.

1-5b Competencies of an Effective Organization Development Practitioner

A great deal of attention has focused on the necessary core competencies of effective OD practitioners. This has resulted in several comprehensive—but largely overlapping—lists of basic OD skills and knowledge, including

(1) intrapersonal or self-management skills, (2) interpersonal skills, (3) general consultation skills, and (4) knowledge of OD theory.⁴⁵

Intrapersonal Skills Despite the growing knowledge base and sophistication of the field, OD remains a human craft, and the ability to inquire into oneself is a cornerstone skill.⁴⁶ The OD practitioner contends with complex, ambiguous information and makes informed judgments about its relevance to organizational issues. Practitioners must have the personal centering to know their own values, feelings, and purposes as well as the integrity to behave responsibly in a helping relationship. Bob Tannenbaum, one of the founders of OD, argued that self-knowledge is the most central factor in OD practice and worried that practitioners were becoming too enamored with techniques.⁴⁷ Practitioners need active-learning skills and a reasonable balance between their rational and emotional sides to deal with the uncertainty, constant adjustment, and innovation required in an OD process.

Interpersonal Skills OD practitioners rely on effective relationships with individuals and groups within the organization to help them gain the competence necessary to solve their own problems. Practitioners tend to have common training, skills, and experience in the social processes of group dynamics, decision making, and communications. These interpersonal competencies help to promote effective relationships between the OD practitioner and the client system. Because the helping relationship is jointly determined, practitioners need to be able to negotiate an acceptable role and to manage changing expectations and demands. These relationships require listening to clients' perceptions and feelings to understand how they see themselves and the organization—a process called “active listening.” This understanding provides a starting point for joint diagnosis and problem solving. Establishing trust and rapport with organization members invites the sharing of pertinent information and facilitates working effectively together. This requires being able to give and receive feedback about how the relationship is progressing. To help members learn new skills and behaviors, OD practitioners often serve as role models of what is expected.⁴⁸ They act in credible ways and provide members with the coaching necessary to develop and change.

General Consultation Skills The ability to manage the consulting process and design interventions is a core OD competency. As described in Part II of this book, OD practitioners need to know how to carry out an effective diagnosis, at least at a rudimentary level. In addition, they need to know how to design and implement an intervention,

including an action plan and gaining commitment to it. They also need to know how to tailor the intervention to the situation and use information about how the change is progressing to guide implementation.

Organization Development Theory Finally, practicing OD requires a general knowledge of the theories and frameworks that explain how and why OD works, such as is presented in Parts III–VI of this book. OD practitioners should understand the action research model and the different approaches to managing planned change. Depending on the practitioners' role and career, they should be familiar with micro-concepts in organization behavior as well as macro-concepts like strategy and organization design.

1-5c The Professional Values and Ethics of OD Practitioners

As in all helping professions, such as medicine and law, values and ethics play a central part in guiding OD practice. They ensure practitioners behave responsibly with clients in a legitimate and genuine helping relationship.

Professional Values Values have played a central role in OD from its beginning. The field has traditionally followed a core set of humanistic values, including participation and involvement, awareness of self and others, and openness, trust, and learning.⁴⁹ In recent years, those basic values have extended to organization effectiveness, ecological sustainability, and member diversity, equity, and inclusion.⁵⁰

These values have received widespread support in the OD profession as well as increasing encouragement from executives, labor leaders and workforces, government officials, and global organizations. Indeed, it would be difficult not to support these fundamental principles. In practice, however, organizations rely on a diversity of stakeholders often with different and conflicting interests. OD has increasingly worked with organizations to address these differences and their underlying power dynamics, with mixed results.⁵¹ To its credit, OD practice has adhered to its values in the face of societal, political, and economic forces that may question or conflict with them.

Professional Ethics Ethical issues in OD are concerned with how practitioners perform their helping relationship with organization members. Inherent in any helping relationship is the potential for misconduct and abuse. OD practitioners can let personal values stand in the way of good practice, use the power inherent in their professional role to abuse (often unintentionally) organization members, or favor one group of stakeholders at the expense of others. The OD field has always shown concern for

the ethical conduct of its practitioners. It has explicitly developed ethical codes for OD practice, with the help of its professional associations and research consortia.⁵²

The inherent complexity of organization change can make adherence to these codes difficult, however. It can present OD practitioners with certain ethical dilemmas.⁵³ The phases of planned change can clarify and address these dilemmas, but it is unreasonable to assume that all of them will be identified and resolved. The OD practitioner and client organization may each be pursuing different goals, and each may be using different skills and values to achieve them. Thus, the organization change process is subject to role conflict and role ambiguity because neither the practitioner nor the client may be clear about their respective responsibilities. This role conflict and ambiguity can produce the following ethical dilemmas:

- *Value and goal conflicts* can occur when the OD practitioner and a client system have different goals and values, when the purpose of the change effort is not clear, or when the client and the practitioner disagree over how to achieve the goals. As a practical matter, OD pioneer Gordon Lippitt suggested that the real question is: Assuming that some kind of change is going to occur anyway, doesn't the consultant have a responsibility to try to guide the change in the most constructive fashion possible?⁵⁴ That question may be of greater importance and relevance to an internal consultant or to a consultant who already has an ongoing relationship with the client. Chris Argyris took an even stronger stand, maintaining that the responsibilities of OD practitioners to clients are comparable to those of lawyers or physicians, who, in principle, may not refuse to perform their services. At the very least, the consultant can provide "first aid" to the organization, as long as the assistance does not compromise the consultant's values.
- *Misrepresentation* arises when an OD practitioner claims that an intervention will produce results that are unreasonable for the change program or the situation. The client can contribute to the problem by portraying inaccurate goals and needs. In either case, an ethical dilemma exists when one or both parties are operating under false pretenses.
- The *misuse of data* occurs when information gathered during the OD process is revealed inappropriately or used punitively. Large amounts of information are invariably obtained during the early phases of OD. For example, it is easy for an OD practitioner, under the guise of obtaining information, to gather data about whether a particular manager is good or bad. When, how, or if this information is used needs to be considered carefully.
- *Coercion* happens when organization members are expected or even forced to participate in an OD

intervention. People should have the freedom to choose whether to participate in a change program if they are to gain self-reliance to solve their own problems. However, freedom to make this choice requires rudimentary knowledge about OD interventions, what they involve, and the nature and consequences of becoming involved with them. This makes it imperative for OD practitioners to educate clients about interventions before choices are made about whether and how to proceed with them.

- *Technical ineptness* occurs when OD practitioners try to implement interventions for which they are not skilled or the client is not capable of carrying out. Critical to the success of any OD program is the selection of an appropriate intervention, which depends, in turn, on careful diagnosis of the organization. Selecting a favorite intervention instead of one derived from diagnosis or an intervention that does not align with the ability of the organization to implement constitutes technical ineptness.⁵⁵

To reduce the possibility of ethical dilemmas, OD practitioners need to be clear about their own motivations and competencies, what diagnostic data are to be collected and how they will be used, the goals of the intervention and its relevance to the client system, how it will be implemented, and members' choice to participate.

1-6 Overview of the Book

This book presents the process and practice of OD in a logical flow, as shown in Figure 1.2. Part I provides an overview of OD. In this chapter, we provided a general introduction to the field. Chapter 2 discusses the nature of planned change and presents models describing the change process.

Part II is composed of four chapters that describe the process of OD. Chapter 3 characterizes the first activity in this process: entering an organizational system and contracting with it for OD work. Chapter 4 presents the steps associated with the next major activity of the OD process: diagnosing. This involves helping the organization understand its current functioning and discover areas for improvement. It also reviews methods for collecting, analyzing, and feeding back diagnostic data. Chapter 5 addresses issues concerned with the third activity: designing OD interventions and implementing them. It presents an overview of the intervention design process and discusses the factors contributing to the successful implementation of change programs. The final activity of the planned change process, evaluating OD interventions and reinforcing their use in organizational functioning, is described in Chapter 6.

Figure 1.2**Overview of the Book****Part I: Overview of Organization Development***Chapter 1: General Introduction to Organization Development**Chapter 2: The Nature of Planned Change***Part II: The Process of Organization Development***Chapter 3: Entering and Contracting**Chapter 4: Diagnosing**Chapter 5: Designing and Implementing Organization Development Interventions**Chapter 6: Evaluating and Reinforcing Organization Development Interventions***Part III: Human Process Interventions***Chapter 7: Interpersonal and Group Processes**Chapter 8: Organization Processes***Part IV: Technostructural Interventions***Chapter 9: Employee Involvement and Employee Engagement**Chapter 10: Work Design***Part V: Human Resource Interventions***Chapter 11: Performance Management**Chapter 12: Workforce Diversity, Development, and Wellness***Part VI: Large-Scale Interventions***Chapter 13: Fundamentals of Large-Scale Change**Chapter 14: Large-Scale Organization Change**Chapter 15: Large-Scale Multi-Organization Change**Chapter 16: Future Directions in Organization Development*

Parts III through VI present the major interventions used in OD today. Part III (Chapters 7 and 8) is concerned with human process interventions aimed at the social processes occurring within organizations. These are the oldest and most traditional interventions in OD. Chapter 7 describes interpersonal and group process approaches, such as process consultation, third-party interventions, and team building. Chapter 8 presents organization process approaches, such as organizational confrontation meetings, intergroup relations, large-group interventions, organization learning and knowledge management, dynamic strategy making, and downsizing.

Part IV (Chapters 9 and 10) reviews technostructural interventions that are aimed at better integrating people and technology. Chapter 9 describes interventions for improving employee involvement and engagement. These change programs increase employee knowledge, power, information, and rewards through parallel structures, total quality management, and high-involvement

organizations. Chapter 10 describes change programs directed at work design, both of individual jobs and of work groups, for greater employee satisfaction and productivity.

Part V (Chapters 11 and 12) presents human resource management interventions that are directed at integrating people into an organization. These interventions are traditionally associated with the human resource function in the organization and have increasingly become a part of OD activities. Chapter 11 concerns the process of performance management. This cycle of activities helps groups and individuals to set goals, appraise work, and reward performance. Chapter 12 discusses workforce diversity, development, and wellness interventions. OD can help organizations leverage diversity to increase equity and inclusion. Development interventions, including career planning and development and leadership development, build a more competent workforce. Finally, OD can help improve employee wellness and lower stress.

Part VI (Chapters 13–15) concerns large-scale interventions that focus on positioning the organization's resources to gain a competitive advantage in the environment. These change programs are generally managed from the top of the organization and take considerable time, effort, and resources. Chapter 13 describes the fundamentals of large-scale change, including organization design, self-design, and culture change. Chapter 14 describes integrated strategic

change, organization agility, and sustainable organizations. Chapter 15 describes three multi-organizational interventions: merger-and-acquisition integration processes, alliance formation and management, and network development and change.

Finally, Chapter 16 concludes the book with speculation about the future of OD, including the trends affecting the field and the prospects for its influence on organization effectiveness.

Summary

This chapter introduced organization development as a planned change process applying social science knowledge and practices to help organizations achieve greater effectiveness. Managers and staff specialists need to work with and through people to achieve organizational objectives, and OD can help them form effective relationships. Organizations are faced with rapidly accelerating change, and OD can help them cope with the consequences of change. The concept of OD has multiple meanings. The definition provided here resolved some of the problems with earlier definitions. The history of OD reveals its five roots:

laboratory training, action research and survey feedback, normative approaches, quality of work life, and strategic change. OD practitioners can be internal or external to the organization and need to negotiate marginal and stressful roles. The values guiding OD practice today go far beyond its humanistic origins by incorporating concerns for effectiveness, diversity, and the environment. This complex set of values can present a set of challenging ethical dilemmas. However, the prolonged growth in OD approaches, practitioners, and involved organizations attests to the health of the field and a favorable prospect for the future.

Notes

1. W. Burke, *Organization Development: Principles and Practices* (Little, Brown, 1982); W. French, "Organization Development: Objectives, Assumptions, and Strategies," *California Management Review* 12, no. 2 (1969): 23–34; R. Beckhard, *Organization Development: Strategies and Models* (Addison-Wesley, 1969); M. Beer, *Organization Change and Development: A Systems View* (Goodyear Publishing, 1980); W. Burke and D. Bradford, "The Crisis in OD," in *Reinventing Organization Development*, eds. D. Bradford and W. Burke (Wiley, 2005): 1–14; C. Worley and A. Feyerherm, "Reflections on the Future of OD," *Journal of Applied Behavioral Science* 39 (2003): 97–115; "The State of OD 2023: An Exploration of the Field's Definition, Skillset, Impact and Future" (HR Zone, 2023), <https://hrzone.com/resource/the-state-of-od-2023/>; "Moving the OD Field Forward" (The Kaleel Jamison Consulting Group, 2021), <https://kjcgroup.com/od-gathering>.
2. W. Burke, "Reflections: Change Management Is Not Organization Development," in *Research in Organizational Change and Development*, vol. 29, eds. A. Shani and D. Noumair (Emerald, 2021): 261–74; C. Worley, "Repositioning Change Management: OD at Its Best" (LinkedIn, 2018), <https://www.linkedin.com/pulse/repositioning-change-management-od-its-best-chris-worley/>; G. Bushe and M. Nagaishi, "Imagining the Future Through the Past: Organization Development Isn't (Just) About Change," *Organization Development Journal* 36 (2018): 23–36.
3. T. Cummings and C. Cummings, "Appreciating Organization Development: A Comparative Essay on Divergent Perspectives," *Human Resource Development Quarterly* 25 (2014): 143.
4. J. Hayes, *The Theory and Practice of Change Management*, 3rd ed. (Palgrave, 2010); R. Paton and J. McCalman, *Change Management*, 3rd ed. (Sage, 2010).
5. A. Church and W. Burke, "Four Trends Shaping the Future of Organizations and Organization Development," *OD Practitioner* 49 (2017): 14–22; M. Meehan, "The Top Trends Shaping Business for 2017," *Forbes* (December 16, 2016).
6. E. Greenberg, M. Hirt, and S. Smit, "The Global Forces Inspiring a New Narrative of Progress," *McKinsey Quarterly* (April 2017).
7. K. van Gelder, "Global B2C Cross-Border E-commerce Market Size 2021–2030" (Statista, 2023), <https://www.statista.com/statistics/1296796/global-cross-border-ecommerce-market-value/>.
8. K. Schwab, *The Fourth Industrial Revolution* (Crown, 2017); D. Gates and M. Bremicker, *Beyond the Hype: Separating Ambition from Reality in i4.0* (KPMG International, 2017); E. Brynjolfsson and A. McAfee, *Race Against the Machine*:

- How the Digital Revolution is Accelerating Innovation, Driving Productivity, and Irreversibly Transforming Employment and the Economy* (Digital Frontier Press, 2012).
9. "Cloud Computing Market 2022 to 2032" (Precedence Research, 2023), <https://www.precedenceresearch.com/cloud-computing-market>.
 10. U.S. Bureau of Labor Statistics, "Labor Force Statistics from the Current Population Survey" (2023), <https://www.bls.gov/cps/demographics.htm>.
 11. M. Anderson, ed., *Fast Cycle Organization Development* (South-Western, 2000); M. Hammer and J. Champy, *Reengineering the Corporation* (HarperCollins, 1993); P. Senge, *The Fifth Discipline* (Doubleday, 1990).
 12. A. Church and W. Burke, "Four Trends Shaping the Future of Organizations and Organization Development," *OD Practitioner* 49 (2017): 14–22.
 13. A. Kleiner, *The Age of Heretics* (Doubleday, 1996); A. Freedman, "The History of Organization Development and the NTL Institute: What We Have Learned, Forgotten, and Rewritten," *Psychologist-Manager Journal* 3 (1999): 125–41; L. Bradford, "Biography of an Institution," *Journal of Applied Behavioral Science* 3 (1967): 127; A. Marrow, "Events Leading to the Establishment of the National Training Laboratories," *Journal of Applied Behavioral Science* 3 (1967): 145–50.
 14. Kleiner, *Age of Heretics*; M. Mortara, "Organization Development and Change at TRW Space Technology Laboratories" (Unpublished master's thesis, Pepperdine University, 2003).
 15. W. French, "The Emergence and Early History of Organization Development with Reference to Influences upon and Interactions Among Some of the Key Actors," in *Contemporary Organization Development: Current Thinking and Applications*, ed. D. Warrick (Scott, Foresman, 1985): 12–27.
 16. A. Marrow, D. Bowers, and S. Seashore, *Management by Participation* (Harper & Row, 1967).
 17. L. Coch and J. French, "Overcoming Resistance to Change," *Human Relations* 1 (1948): 512–32.
 18. W. Whyte and E. Hamilton, *Action Research for Management* (Irwin-Dorsey, 1964).
 19. J. Collier, "United States Indian Administration as a Laboratory of Ethnic Relations," *Social Research* 12 (May 1945): 275–76.
 20. French, "Emergence and Early History," 19–20.
 21. F. Mann, "Studying and Creating Change," in *The Planning of Change: Readings in the Applied Behavioral Sciences*, ed. W. Bennis, K. Benne, and R. Chin (Holt, Rinehart, & Winston, 1962), 605–15.
 22. R. Likert, *The Human Organization* (McGraw-Hill, 1967); S. Seashore and D. Bowers, "Durability of Organizational Change," *American Psychologist* 25 (1970): 227–33; D. Mosley, "System Four Revisited: Some New Insights," *Organization Development Journal* 5 (Spring 1987): 19–24; R. Blake and J. Mouton, *The Managerial Grid* (Gulf, 1964); R. Blake and J. Mouton, *Corporate Excellence Through Grid Organization Development: A Systems Approach* (Gulf, 1968); R. Blake and J. Mouton, *Building a Dynamic Corporation Through Grid Organization Development* (Addison-Wesley, 1969).
 23. Likert, *Human Organization*.
 24. Ibid.
 25. Blake and Mouton, *The Managerial Grid*; Blake and Mouton, *Corporate Excellence*; Blake and Mouton, *Building a Dynamic Corporation*; R. Blake and A. McCauley, *Leadership Dilemmas—Grid Solutions* (Gulf, 1991).
 26. Blake and Mouton, *Corporate Excellence*.
 27. R. Ford, "Job Enrichment Lessons from AT&T," *Harvard Business Review* 51 (January–February 1973): 96–106; J. Taylor, J. Landy, M. Levine, and D. Kamath, *Quality of Working Life: An Annotated Bibliography, 1957–1972* (Center for Organizational Studies, Graduate School of Management, University of California at Los Angeles, 1972); J. Taylor, "Experiments in Work System Design: Economic and Human Results," *Personnel Review* 6 (1977): 28–37; J. Taylor, "Job Satisfaction and Quality of Working Life: A Reassessment," *Journal of Occupational Psychology* 50 (December 1977): 243–52.
 28. D. Miller and P. Freisen, "Momentum and Revolution in Organization Adaptation," *Academy of Management Journal* 23 (1980): 591–614; M. Tushman and E. Romanelli, "Organizational Evolution: A Metamorphosis Model of Convergence and Reorientation," in *Research in Organizational Behavior*, vol. 7, ed. L. Cummings and B. Staw (JAI Press, 1985): 171–222.
 29. M. Jelinek and J. Litterer, "Why OD Must Become Strategic," in *Research in Organizational Change and Development*, vol. 2, ed. W. Pasmore and R. Woodman (JAI Press, 1988), 135–62; P. Buller, "For Successful Strategic Change: Blend OD Practices with Strategic Management," *Organizational Dynamics* (Winter 1988): 42–55; C. Worley, D. Hitchin, and W. Ross, *Integrated Strategic Change* (Addison-Wesley, 1996).
 30. Worley, Hitchin, and Ross, *Integrated Strategic Change*; N. Rajagopalan and G. Spreitzer, "Toward a Theory of Strategic Change: A Multi-Lens Perspective and Integrative Framework," *Academy of Management Review* 22 (1997): 48–79.
 31. R. Beckhard and R. Harris, *Organizational Transitions: Managing Complex Change*, 2nd ed. (Addison Wesley, 1987); N. Tichy, *Managing Strategic Change* (Wiley, 1983); E. Schein, *Organizational Culture and Leadership* (Jossey-Bass, 1985); C. Lundberg, "Working with Culture," *Journal of Organization Change Management* 1 (1988): 38–47.
 32. Beckhard and Harris, *Organizational Transitions*.
 33. T. Covin and R. Kilmann, "Critical Issues in Large-Scale Organization Change," *Journal of Organization Change Management* 1 (1988): 59–72; A. Mohrman, S. Mohrman, G. Ledford Jr., T. Cummings, and E. Lawler, eds., *Large-Scale Organization Change* (Jossey-Bass, 1989); W. Torbert, "Leading Organizational Transformation," in *Research in Organizational Change and Development*, vol. 3, eds. R. Woodman and W. Pasmore (JAI Press, 1989): 83–116; J. Bartunek and M. Louis, "The Interplay of Organization Development and Organization Transformation," in *Research in Organizational*

- Change and Development*, vol. 2, eds. W. Pasmore and R. Woodman (JAI Press, 1988): 97–134; A. Levy and U. Merry, *Organizational Transformation: Approaches, Strategies, Theories* (Praeger, 1986).
34. M. Marks and P. Mirvis, *Joining Forces* (Jossey-Bass, 1998).
 35. C. Porod, “Trends in the Evolution of International Organization Development,” *Organization Development Journal*, 28 (2010): 91–108; T. Yaeger, T. Head, and P. Sorensen, *Global Organization Development: Managing Unprecedented Change* (Information Age, 2006).
 36. G. Varney and A. Darrow, “Market Position of Master Level Graduate Programs in OD,” *OD Practitioner* 27 (1995): 39–43; OD Institute, *International Registry of O.D. Professionals and O.D. Handbook* (OD Institute, 1995); G. Varney and A. Darrow, “Name Recognition of Master’s Level Graduate Programs in Organization Development and Change,” *OD Practitioner* 30 (1998): 36–40.
 37. World Economic Forum, *Future of Jobs Report* (2023), <https://www.weforum.org/publications/the-future-of-jobs-report-2023/>.
 38. A. Foss, D. Lipsky, A. Orr, B. Scott, T. Seamon, J. Smend-zuik-O’Brien, A. Tavis, D. Wissman, and C. Woods, “Practicing Internal OD,” in *Practicing Organization Development*, 2nd ed., eds. W. Rothwell and R. Sullivan (Pfeiffer, 2005); E. Kirkhart and T. Isgar, “Quality of Work Life for Consultants: The Internal–External Relationship,” *Consultation* 5 (Spring 1986): 5–23.
 39. R. Ziller, *The Social Self* (Pergamon, 1973).
 40. W. Liddell, “Marginality and Integrative Decisions,” *Academy of Management Journal* 16 (March 1973): 154–56; P. Brown and C. Cotton, “Marginality, A Force for the OD Practitioner,” *Training and Development Journal* 29 (April 1975): 14–18; H. Aldrich and D. Gerker, “Boundary Spanning Roles and Organizational Structure,” *Academy of Management Review* 2 (April 1977): 217–30; C. Cotton, “Marginality—A Neglected Dimension in the Design of Work,” *Academy of Management Review* 2 (January 1977): 133–38; N. Margulies, “Perspectives on the Marginality of the Consultant’s Role,” in *The Cutting Edge*, ed. W. Burke (University Associates, 1978): 60–79.
 41. D. Goleman, *Emotional Intelligence* (New York: Bantam Books, 1995); J. Allen, *Emotional Intelligence: The Emotional Intelligence Book* (CreateSpace Independent Publishing Platform, 2013); C. Lundberg and C. Young, “A Note on Emotions and Consultancy,” *Journal of Organizational Change Management* 14 (2001): 530–38; A. Carr, “Understanding Emotion and Emotionality in a Process of Change,” *Journal of Organizational Change Management* 14 (2001): 421–36.
 42. J. Sanford, *Fritz Kunkel: Selected Writings* (Paulist Press, 1984); Lundberg and Young, “Note on Emotions”; Carr, “Understanding Emotion.”
 43. G. Edelwich and A. Brodsky, *Burn-Out Stages of Disillusionment in the Helping Professions* (Human Science, 1980); M. Weisbord, “The Wizard of OD: Or, What Have Magic Slippers to Do with Burnout, Evaluation, Resistance, Planned Change, and Action Research?” *OD Practitioner* 10 (Summer 1978): 1–14; M. Mitchell, “Consultant Burnout,” in *The 1977 Annual Handbook for Group Facilitators*, eds. J. Jones and W. Pfeiffer (University Associates, 1977): 145–56.
 44. D. Griffin and P. Griffin, “The Consulting Survey,” *Consulting Today*, Special Issue (Fall 1998): 1–11.
 45. S. Eisen, J. Cherbneau, and C. Worley, “A Future-Responsive Perspective for Competent Practice in OD,” in *Practicing Organization Development*, 2nd ed., eds. W. Rothwell and R. Sullivan (Pfeiffer, 2005); A. Church, “The Professionalization of Organization Development,” in *Research in Organization Change and Development*, eds. R. Woodman and W. Pasmore (JAI Press, 2001); A. Freedman and R. Zackrisson, *Finding Your Way in the Consulting Jungle* (Jossey-Bass, 2001); R. Sullivan and K. Quade, “Essential Competencies for Internal and External OD Consultants,” in *Practicing Organization Development*, eds. W. Rothwell, R. Sullivan, and G. McLean (Pfeiffer, 1995); C. Worley, W. Rothwell, and R. Sullivan, “Competencies of OD Practitioners,” in *Practicing Organization Development*, 2nd ed., eds. W. Rothwell and R. Sullivan (Pfeiffer, 2005); C. Worley and G. Varney, “A Search for a Common Body of Knowledge for Master’s Level Organization Development and Change Programs—An Invitation to Join the Discussion,” *Academy of Management ODC Newsletter* (Winter 1998): 1–4.
 46. M. Cheung-Judge and D. Jamieson, “Summary of the Global Use of Self (UoS) Research Report,” *Organization Development Review* 52 (2020): 64–70; McKnight and Jamieson, “The Critical Role”; Keister and Paranjpey, “Self as Instrument”; C. Worley and A. Feyerherm, “Reflections on the Future of Organization Development,” *Journal of Applied Behavioral Science* 39 (2003): 97–115; Worley, Rothwell, and Sullivan, “Competencies of OD Practitioners”; L. McKnight and D. Jamieson, “The Critical Role of Use of Self in Organization Development Consulting Practice,” in *Consultation for Organizational Change Revisited*, eds. D. Jamieson, R. Barnett, and A. Buono (Information Age, 2016); A. Keister and N. Paranjpey, “Self as Instrument: Dual Consulting Identities—the Evaluator and the Designer,” *Organization Development Journal* 30 (2012): 85–99.
 47. B. Tannenbaum, “Letter to the Editor,” *Consulting Practice Communique*, *Academy of Management Managerial Consultation Division* 21, no. 3 (1993): 16–17; B. Tannenbaum, “Self-Awareness: An Essential Element Underlying Consultant Effectiveness,” *Journal of Organizational Change Management* 8, no. 3 (1995): 85–86.
 48. L. McKnight, “Global Consulting: The Use of Self to Transfer OD Values into National Cultures,” *Organization Development Journal* 30 (Summer 2012): 67–77.
 49. S. Farley, H. Yoon, and C. Padilla, “What Values Will Define and Guide OD in the Future?” *Organization Development Review* 53 (2021): 27–34; H. Yoon, S. Farley, and C. Padilla, “Organization Development Values from a Future-Oriented Perspective: An International Delphi Study,” *Journal of Applied Behavioral Science* 57 (2020): 323–49; T. Cummings and C. Cummings, “Appreciating Organization Development:

- A Comparative Essay on Divergent Perspectives,” *Human Resource Development Quarterly* 25 (2014): 141–53; D. Jamieson and C. Worley, “The Practice of Organization Development,” in *Handbook of Organization Development*, ed. T. Cummings (Sage, 2008); R. Tannenbaum and S. Davis, “Values, Man, and Organization,” *Industrial Management Review* 10 (1969): 67–83.
50. Cummings and Cummings, “Appreciating Organization Development.”
 51. Jamieson and Worley, “The Practice of Organization Development”; M. Wheatley, R. Tannenbaum, P. Griffin, and K. Quade, *Organization Development at Work* (Pfeiffer, 2003).
 52. W. Gellerman, M. Frankel, and R. Ladenson, *Values and Ethics in Organization and Human System Development: Responding to Dilemmas in Professional Life* (Jossey-Bass, 1990); D. Jamieson and W. Gellermann, “Values, Ethics, and OD Practice,” in *The NTL Handbook of Organization Development and Change*, 2nd ed., eds. B. Jones and M. Brazzel (Pfeiffer, 2014); T. Egan and W. Gellermann, “Values, Ethics, and Practice in the Field of Organization Development,” in *Practicing Organization Development*, 2nd ed., eds. W. Rothwell and R. Sullivan (Pfeiffer, 2005); OD Network, “What is OD?,” <https://www.odnetwork.org/page/what-is-od>; International Society for Organization Development and Change, “Code of Ethics,” <https://www.isodc.org/ethics>.
 53. D. Bowen, “Value Dilemmas in Organization Development,” *Journal of Applied Behavioral Science* 13 (1977): 545–55; L. White and K. Wooten, “Ethical Dilemmas in Various Stages of Organization Development,” *Academy of Management Review* 8 (1963): 690–97; L. White and M. Rhodeback, “Ethical Dilemmas in Organization Development: A Cross-Cultural Analysis,” *Journal of Business Ethics* 11, no. 9 (1992): 663–70.
 54. G. Lippitt, *Organization Renewal* (Prentice Hall, 1969).
 55. J. Slocum Jr., “Does Cognitive Style Affect Diagnosis and Intervention Strategies?” *Group and Organization Studies* 3 (June 1978): 199–210.

The Nature of Planned Change

Learning Objectives

- Describe and compare three major theories of planned change.
- Introduce a general model of planned change that will be used to organize the material presented in the book.
- Explain how planned change can be adapted to fit different contexts.
- Critique the practice of planned change.

The rapid pace of societal, economic, and technological development makes change an inevitable feature of organizational life. However, change that happens to an organization can be distinguished from change that is planned by its members. In this book, the term *change* will refer to planned change. Organization development (OD) is directed at bringing about planned change to increase an organization's effectiveness and capability to change itself. Managers, often with the help of an OD practitioner from either inside or outside the organization, generally initiate and implement planned change. Organizations use planned change to adapt to the environment, to solve problems, and to improve performance and employee well-being.

All approaches to OD rely on a theory about planned change. These models describe the different stages through which planned change is applied in organizations. In this chapter, we first describe and compare three major theories of organizational change: the three-step change model, the action research model, and the appreciative inquiry model. Next, we present a general model of planned change that integrates the earlier theories and incorporates recent conceptual advances in OD. The general model has broad applicability to many types of planned change efforts and serves to organize the chapters in this book. We then discuss different types of change and how the process can vary depending on the change situation. Finally, we present critiques of planned change.

2-1 Theories of Planned Change

Conceptions of planned change focus on how change can be implemented in organizations. These frameworks describe the activities required to initiate and carry out successful organizational change. In this section, we describe and compare three theories of change: the three-step change model, the action research model, and the appreciative inquiry model. These frameworks have received widespread attention in OD and serve as the primary basis for a general model of planned change.

The three change models describe a set of activities by which planned change occurs in organizations. They share OD's fundamental humanistic and efficacy values that promote the growth and development of people and organizations. The models emphasize the application of behavioral science knowledge and the involvement of organization members in the change process to varying degrees. They recognize that any interaction between an OD practitioner and an organization comprises an intervention that may affect the organization.

The three change models derive from basic theoretical perspectives. The *three-step change model* and *action research model* both draw on the pioneering research of Kurt Lewin. Starting in the 1920s, he brought a cognitive perspective, relational thinking (i.e., field theory), and scientific pragmatism to psychology, group dynamics, and participatory forms of inquiry for social change and knowledge development.¹ Lewin's deep-rooted commitment to democratic and humanistic values drove his seminal hands-on research to combat religious and racial prejudice, improve worker well-being and performance, and develop participative leadership and decision making. The *appreciate inquiry model* of change is part of the growing attention in the social sciences to the positive side of organizations, what they are doing right, and building on those capabilities rather than focusing on the problems that need to be solved.² It rests on a "dialogic" or discursive perspective, which engages organization members in conversations of desirable futures and actions to make them happen.

2-1a Three-Step Change Model

Lewin conceived of change as a process modifying those forces keeping a social system's behavior stable.³ Specifically, behavior at any moment in time is the result of two sets of forces: those striving to maintain the status quo and those pushing for change. When both sets of forces are about equal, current behavior is maintained in what Lewin termed a state of "quasi-stationary equilibrium." To change that state, one can increase those forces pushing for change, decrease those forces maintaining the current state, or apply

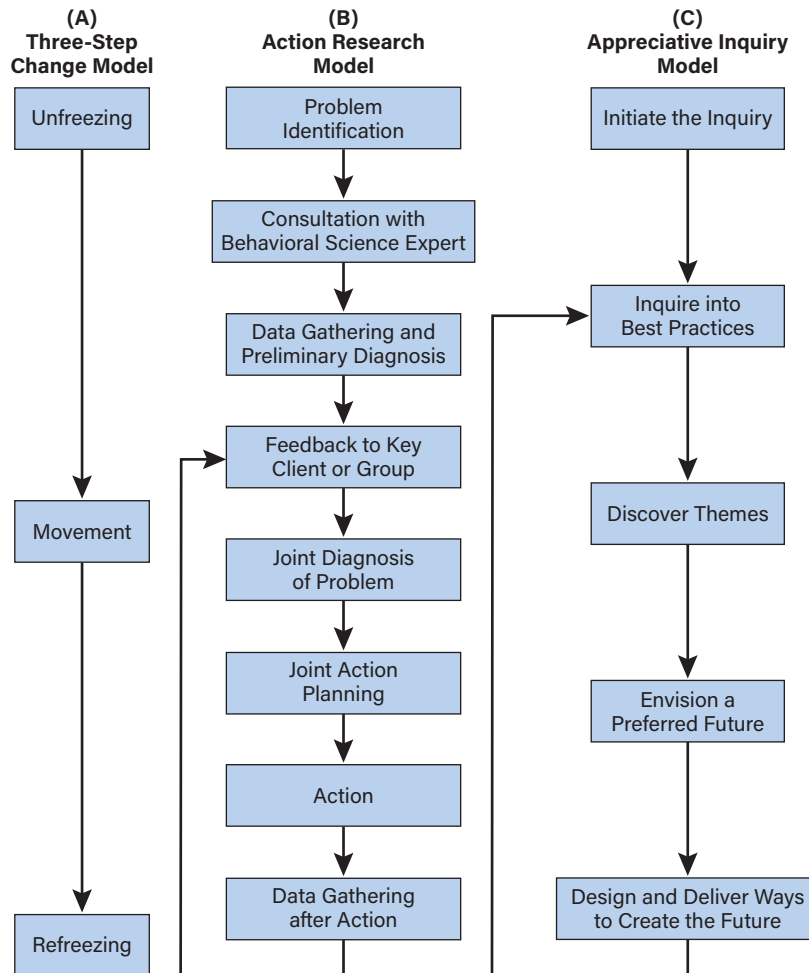
some combination of both. For example, the level of performance of a work team might be stable because group norms maintaining that level are equivalent to organizational pressures for higher performance levels. This level can be increased either by changing the group norms to support higher levels of performance or by increasing organizational pressures to produce at higher levels. Lewin suggested that decreasing the forces maintaining the status quo produces less tension and resistance than increasing the forces for change and consequently is a more effective change strategy.

Numerous researchers and OD advocates have translated Lewin's research and insights into a model of planned change consisting of the following three steps, which are shown in Figure 2.1(A):

1. **Unfreezing.** This step usually involves reducing those forces maintaining the organization's behavior at its present level. Unfreezing is sometimes accomplished through a process of "psychological disconfirmation." By introducing information that shows discrepancies between behaviors or results desired by organization members and those behaviors or results currently exhibited, members can be motivated to engage in change activities.
2. **Moving.** This step shifts the behavior of the organization, department, or individual to a new level. It involves intervening in the system to develop new behaviors, values, and attitudes through changes in organizational structures and processes.
3. **Refreezing.** This step stabilizes the organization at a new state of quasi-equilibrium. It is frequently accomplished using support mechanisms that reinforce the new organizational state, such as organizational culture, rewards, and structures.

This three-step model provides a general framework for understanding organizational change. Because the three steps of change are relatively broad, considerable effort has gone into elaborating them. For example, the planning model developed by Lippitt, Watson, and Westley arranges the three-step model into seven steps: scouting, entry, diagnosis (unfreezing), planning, action (moving), stabilization and evaluation, and termination (refreezing).⁴ Similarly, Kotter's eight-stage process can be mapped onto the three steps: establishing a sense of urgency, creating the guiding coalition, developing a vision and strategy, and communicating the change vision (unfreezing); empowering broad-based action and generating short-term wins (moving); and consolidating gains and producing more change and anchoring new approaches in the culture (refreezing).⁵

The three-step model remains closely identified with the OD field and is used to guide how organizational change can

Figure 2.1**Comparison of Planned Change Models**

be implemented. Recently, however, it has come under criticism as being too static, with the “refreezing” step seen as too rigid for organizations that need to change continuously in today’s rapidly changing environments. Unfortunately, some of this reproach has been directed at Lewin’s research, not just the translation of it depicted in the three-step model. This specific criticism is misplaced. Lewin only mentioned the three steps briefly in one of his numerous articles, and simply as an illustration or way of thinking about how forces for and against change need to achieve a new balance for changed behavior to continue in social systems.⁶

2-1b Action Research Model

Based on a pragmatist philosophy of science, Lewin developed action research as a form of inquiry for creating scientific knowledge for the change and improvement of social

systems.⁷ It involves researchers collaborating with organization members to change and improve their system and, in that process, to study the effectiveness of the change and create applied knowledge that can be used more broadly. Lewin felt strongly that action research created knowledge that was both scientific and practical, as coined in his epigram: “There is nothing so practical as a good theory.”⁸

The action research model focuses on planned change as a cyclical process in which initial inquiry about the organization provides information to guide subsequent action. Then, the results of the action are assessed to provide further information to guide additional action, and so on. This iterative cycle of research and action places heavy emphasis on researchers and organization members gathering and diagnosing data prior to action planning and implementation, as well as careful evaluation of results after change.

Figure 2.1(B) shows the cyclical phases of planned change as defined by the action research model. There are eight main steps:

1. **Problem identification.** This stage usually begins when someone with power and influence in the organization senses that the organization has one or more problems that might be solved with the help of an OD practitioner.
2. **Consultation with an OD practitioner.** During the initial contact, the OD practitioner and the client carefully assess each other. Practitioners have their own developmental theory or frame of reference and must be conscious of those assumptions and values. Sharing them with the client from the beginning establishes an open and collaborative relationship.
3. **Data gathering and preliminary diagnosis.** The OD practitioner usually completes this step, often in conjunction with organization members. It involves gathering appropriate information and analyzing it to determine the underlying causes of organizational problems. OD practitioners must be attentive so that when gathering diagnostic information, they may influence members from whom they are collecting data. Any action by the OD practitioner can be viewed as an intervention that will have some effect on the organization.
4. **Feedback to a key client or team.** Because action research is a collaborative activity, the diagnostic data are fed back to the client, usually in a team meeting. The feedback step, in which members are given the information gathered by the OD practitioner, helps them determine the strengths and weaknesses of their organization. The practitioner provides the client with all relevant and useful data, taking care to protect confidential sources of information and, at times, to withhold data judged too overwhelming or controversial for organization members to deal with at this time.
5. **Joint diagnosis of the problem.** At this point, organization members discuss the feedback and explore with the OD practitioner whether they want to work on identified problems. A close interrelationship exists among data gathering, feedback, and diagnosis because the practitioner summarizes the basic data from the organization members and presents it to them for validation and further diagnosis. A crucial point to consider is that the action research process is quite different from the doctor–patient model, in which the OD practitioner makes a diagnosis and prescribes a solution. Keeping upfront and open about the collaborative frame of reference in the client–practitioner relationship is essential to reduce the likelihood of a faulty diagnosis or a communication gap whereby organization members do not believe or accept the diagnosis.
6. **Joint action planning.** Next, the OD practitioner and the organization members jointly agree on further actions to be taken. This is the beginning of the moving process (described in the three-step change model), as the organization decides how best to reach a different quasi-stationary equilibrium. At this stage, the specific action to be taken depends on the diagnosis of the problem; the culture, technology, and environment of the organization; and the time and expense of the intervention.
7. **Action.** This stage involves the actual change from one organizational state to another. It may include installing new methods and procedures, reorganizing structures and work processes, and reinforcing new behaviors. Such actions typically cannot be implemented immediately but require a transition period as the organization moves from the present to a desired future state.⁹
8. **Data gathering after action.** Because action research is a cyclical process, data are also gathered after the action has been taken to measure and determine its effects and to feed the results back to the organization. This, in turn, may lead to re-diagnosis and new action.

The action research model underlies most current approaches to planned change and is often considered synonymous with OD. Recently, it has been refined and extended to new settings and applications and, consequently, practitioners have made requisite adaptations of its basic framework.¹⁰ Applications of action research have moved from smaller subunits of organizations to total systems and communities. In these larger contexts, action research is more complex and political than in smaller settings. (We describe these applications more thoroughly in Chapters 13–15.) Action research is applied more and more in international settings and has been tailored to fit cultural differences. (These cultural adaptations are discussed in the various OD interventions in Parts III–VI.) Action research is applied increasingly to promote social change to redress imbalances in power and resource allocations across different groups. (These social change applications are reviewed in Part VI: Large-Scale Interventions.) Lastly, there is a growing tendency in action research to involve organization members in learning how to change the organization themselves. Referred to as “participatory action research,” “action learning,” “action science,” or “self-design,” this adaptation emphasizes the need for organization members to learn firsthand about planned change if they are to gain the knowledge and skills needed to change the organization.¹¹ (Member learning is discussed in depth in Chapter 14.)

Although Lewin developed action research with the dual purpose of improving social systems and generating applied knowledge, its application in OD has been decidedly on the improvement or change side.¹² OD has grown immensely and offers ever-newer practices for organization success, often as part of the management consulting industry. Attention to the knowledge-generation side of action research resides with a much smaller number of scholar-practitioners with expertise in planned change and applied social research, and a willingness to apply them. They publish largely in applied outlets such as the *Journal of Applied Behavioral Science* and *Research in Organization Change and Development*. They have developed their own academic journals, including *Action Research* and *Educational Action Research*. This relatively small cadre of OD action researchers reflects the growing trend of applied social scientists away from practical inquiry toward theory-driven research and publication in academic journals aimed mainly at the research community. Ironically, Lewin openly lamented the paucity of action researchers in his time and called for developing many more social scientists with expertise in social change and scientific inquiry.¹³ Yet, he inherently understood the difficult challenge of learning how to do action research effectively, and history seems to have borne him out, particularly in the OD field.

2-1c Appreciate Inquiry Model

The third model of change, appreciative inquiry (AI), represents a marked departure from the three-step and action research models. Those models are primarily deficit based; they focus on the organization's problems and how they can be solved so it functions better. AI, on the other hand, focuses on what the organization is doing right. It helps members understand their organization when it is working at its best and builds off those capabilities to achieve even better results. It is part of a growing movement in the social sciences to "positive organizational scholarship," which focuses on the positive dynamics in organizations that give rise to extraordinary outcomes.¹⁴ Positive expectations about the organization can create an anticipation that energizes and directs behavior toward making those beliefs happen.

AI was originally developed by David Cooperrider and his colleagues at Case Western Reserve University in the 1980s.¹⁵ It is based on a "dialogic" or social constructionism perspective. Change happens through conversations among organization members that shift the way they make sense of or socially construct the organization and behave in it. AI encourages a positive orientation to how change is conceived and managed. It promotes broad member involvement in creating a shared vision about the organization's

positive potential, a powerful guiding image of what the organization could be. AI then facilitates member self-organizing to make it happen.

The AI model of planned change involves five phases, which are depicted in Figure 2.1(C):

1. **Initiate the inquiry.** This first phase determines the subject of change. It emphasizes member involvement to identify the organizational issue they have the most energy to address. For example, members can choose to look for successful collaboration among functional teams (as opposed to conflict), instances of customer satisfaction (as opposed to customer dissatisfaction), or product development processes that brought new ideas to market especially fast. If the focus of inquiry is real and vital to organization members, the change process itself will take on these positive attributes.
2. **Inquire into best practices.** This phase involves gathering information about the "best of what is" in the organization. If the topic is innovation, for example, members might develop an interview protocol that collects stories of new ideas that were developed and implemented in the organization. Members could interview each other and share stories of innovation in which they have personally been involved. These narratives are then pulled together to create a pool of information describing the organization as an innovative system.
3. **Discover the themes.** In this phase, members examine the best-practices information to identify a set of themes representing the common dimensions of people's experiences. For example, the stories of organizational innovation may contain themes about how managers gave people the freedom to explore a new idea, the support organization members received from their coworkers, or how the exposure to customers sparked creative thinking. No theme is too small to be represented; it is important that all the underlying mechanisms that helped to generate and support the themes be described. The themes represent the basis for moving from "what is" to "what could be."
4. **Envision a preferred future.** Members then examine the identified themes to envision a compelling future that challenges the status quo. Based on the organization's successful past, members collectively visualize its future and develop "possibility propositions"—statements that bridge the organization's current best practices with ideal possibilities for future organizing. These propositions should present a truly exciting, provocative, and possible picture of the future. Based on these possibilities, members identify the relevant

stakeholders and critical organization processes that must be aligned to support the emergence of the envisioned future. The vision becomes a statement of “what should be.”

5. **Design and deliver ways to create the future.** The final phase involves the design and delivery of ways to create the future. It describes the activities and creates the plans necessary to bring about the vision. It proceeds to the action and assessment phases like those of action research described previously. Members make changes, assess the results, make necessary adjustments, and so on as they move the organization toward the vision and sustain “what will be.” The process is continued by renewing the conversations about the best of what is.

AI has been applied across diverse organizational changes and settings. These include interventions related to organization design, strategic planning, and organization evaluation in public and private organizations in business, education, and health care, to name a few. A slightly shortened version of AI’s five phases, the “4-D Cycle” (discovery, dream, design, and destiny), is commonly used to describe the model.¹⁶ The AI model’s conceptual foundations, change process, and organizational applications appear in a wide range of books, articles, conference presentations, and workshops. AI scholars and practitioners have created the journal *Appreciative Inquiry Practitioner* and established The Taos Institute for the study and practice of social constructionist approaches to social change. Although reports of the success of AI interventions have been overwhelmingly positive, a scholarly assessment of the results of a broad range of different kinds of organizational interventions concluded that AI’s knowledge base is largely prescriptive with little direct empirical study.¹⁷ Like all OD change models, however, there is clearly the need for more rigorous research and assessment, as discussed later in Section 2-4.

2-2 General Model of Planned Change

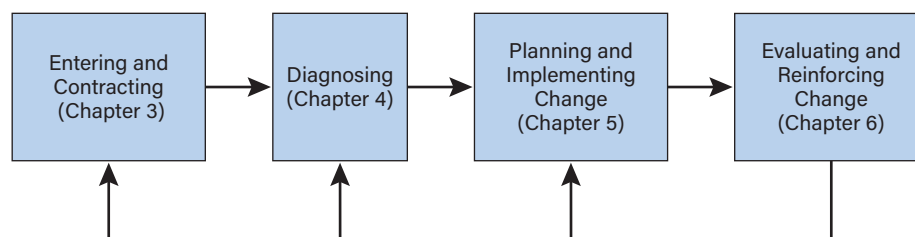
The three models of planned change suggest a general framework for planned change, as shown in Figure 2.2. The framework describes four basic activities that practitioners and organization members jointly carry out, from entering and contracting to diagnosing, planning and implementing change, and evaluating and reinforcing change. The arrows connecting the different activities show that planned change is not simply a straightforward, linear process but involves continuous overlap and feedback among the activities. Because the model serves to organize the remaining parts of this book, Figure 2.2 also shows which specific chapters apply to the four major change activities.

2-2a Entering and Contracting

The first set of activities in planned change involve entering and contracting (described in Chapter 3). They help OD practitioners and organization members decide whether they want to engage further in a planned change program and to commit resources to such a process. Entering an organization involves gathering initial data to understand the problems facing the organization, to determine the positive areas for inquiry, or to discover the other changes going on in the organization. Once this information is collected, practitioners and members discuss the problems or positive opportunities and whether to develop a contract or agreement to engage in planned change. The contract spells out future change activities and their likely timing, the resources that will be committed to the process, and how practitioners and members will be involved. In many cases, organizations do not get beyond this early stage of planned change because disagreements about the need for change surface, resource constraints are encountered, or other methods for change appear more feasible.

Figure 2.2

A General Model of Planned Change



2-2b Diagnosing

In this stage of planned change, the client system is carefully studied. Diagnosis can focus on understanding organizational problems, including their causes and consequences, or on collecting stories about the organization's positive attributes. Understanding how multiple changes may be supporting or competing with each other is also explored. The diagnostic process is one of the most important activities in OD. It includes choosing an appropriate model for understanding the organization and gathering, analyzing, and feeding back information to organization members about the problems or opportunities that exist (described in Chapter 4).

2-2c Planning and Implementing Change

Based on diagnosing, organization members and practitioners jointly plan and implement OD interventions (described in Chapter 5). They design changes to achieve the organization's vision or goals and make action plans to implement them. There are four major types of interventions in OD:

1. Human process interventions at the individual, group, and total system levels (Chapters 7 and 8)
2. Interventions that engage member involvement in the organization and design work for employee performance and fulfillment (Chapters 9 and 10)
3. Human resources interventions that improve performance management and develop member talent (Chapters 11 and 12)
4. Large-scale interventions that manage the organization's relationship to its environment, design its internal structure and processes necessary to support a strategy, and facilitate its collaboration with other organizations to achieve shared objectives (Chapters 13–15).

2-2d Evaluating and Reinforcing Change

This stage in planned change involves evaluating the effects of the OD intervention, making necessary adjustments if needed, and reinforcing successful changes to sustain them in a state of quasi-stationary equilibrium, where the forces for and resistant to change are balanced (described in Chapter 6).

It is important to emphasize that the general model of planned change is applied in OD developmentally. It is used to help organizations build their capacity to solve problems, to improve performance and quality of work life, and to

manage planned change. The model may not be applied to planned change developmentally, however. It may focus primarily on improving organizational operations and performance, with little if any attention to enhancing member work life or to building the organization's capability to manage future changes. For example, under the popular phrase “change management,” consultants may use the model's change activities to help firms adjust their marketing mix; drop or add products, services, or customers; downsize by cutting out marginal businesses and laying off employees; or tighten managerial and financial controls to wrest more out of the labor force.¹⁸ What is missing in this approach to change is attention to members' social and psychological needs and organizations' capability to effectively change themselves—the bedrocks of OD practice.

Application 2.1 describes a long-term planned change process at Surgical Care Affiliates.¹⁹ The OD practitioner engaged in several cycles of action research—data gathering, action planning, and implementation—to help the organization develop its leadership capabilities and the organizational systems necessary to sustain the new levels of effectiveness. The following questions can develop your learning from applying the general model of planned change to this OD intervention:

1. How well were each of the four major change activities carried out?
2. How might the change process been improved to achieve even better results?
3. What advice would you give to Andrew Hayek and his leadership team as they make future changes after the merger with Optum?

2-3 Different Types of Planned Change

The general model of planned change describes how the OD process typically unfolds in organizations. The different phases are not nearly as orderly as the model implies. OD practitioners tend to modify or adjust the activities to fit the needs of the situation. Steps in planned change may be implemented in a variety of ways, depending on the client's needs and goals, the change agent's skills and values, and the various features of the organization and its context, such as technology, strategy, and environmental uncertainty. Thus, planned change can vary enormously from one situation to another. Chapters 7 through 15 on OD interventions review the various contingencies that need to be considered in designing and implementing interventions to fit the situation.

Application 2.1

Planned Change at Surgical Care Affiliates

Surgical Care Affiliates, Inc. (SCA), is one of the largest providers of outpatient surgery in the United States. Based in Deerfield, Illinois, the company has a network of more than 200 ambulatory surgery centers located in 35 states performing 1 million procedures a year.

SCA's business model involves creating partnerships among health plans, physician groups, and health systems to acquire, develop, and optimize surgical facilities. SCA's affiliated physicians provide a range of surgical services, including orthopedics, ophthalmology, gastroenterology, pain management, cardiology, and gynecology as well as other general surgery procedures. SCA's partners include large surgeon groups, multispecialty groups, and health systems.

SCA began as the in-house surgical division of HealthSouth, a large health care provider. Under significant regulatory and performance pressures, SCA was sold to TPG, a private equity firm in the health care industry, in 2007. By 2008, and after four straight quarters of profit decline, TPG selected Andrew Hayek to become CEO of SCA. His clear mandate was to turn the company around fiscally and improve its market presence. To assist with the change, Hayek contacted an OD practitioner from the consulting firm FMG Leading with whom he had worked before. Hayek asked the OD consultant to (1) understand the quality and engagement levels of his current leadership ranks and (2) understand the company's current culture. Hayek wanted to use human capital levers to drive and support the organizational turnaround with which he was tasked.

The OD consultant conducted several diagnostic activities, including interviews, surveys, and observations. For example, a leadership survey measuring engagement, satisfaction, and other issues was conducted one week before Hayek's official start. The survey showed that 51% of SCA's top 170 leaders were actively disengaged, and interviews confirmed that considerable residual emotional toxicity remained from the recent sale of the company. In fact, less than 60% of the leaders at SCA even bothered to take the survey at all.

The diagnosis, in terms of how it was conducted as well as what it yielded, was fundamental to creating buy-in. The development strategies that were

subsequently deployed were not based on the new CEO's opinion alone but on data transparently shared with the team.

Armed with survey data, and supported by observations and interviews, the consultant worked with Hayek and his top team to design a turnaround based on engaged, high-quality leaders and a healthy and vibrant company culture. The process also allowed for executives and senior leaders who were not bought-in to the plan to "opt out." But in fact, no one did.

The change plan contained two important ingredients: senior management engagement and education. First, to engage and align executives and field leadership teams, a series of multiday off-site strategy retreats were conducted in the first five months. The workshops clarified SCA's strategy and consisted of exercises to align leaders around it. The retreats provided Hayek with the opportunity to establish leadership expectations and define the organizational capabilities needed to execute the strategy. The designs of the off-site retreats were also diagnostic in nature. They allowed Hayek and the leaders to understand how they interacted as a team and whether they had the foresight, will, and talent to partner with Hayek to drive the necessary change processes.

Once leadership expectations were established among the top levels of the company, the top 15 executives engaged in a multirater, 360-degree assessment. The assessment provided leaders with feedback on others' perceptions (including their new boss) of their effectiveness and an aggregate understanding of the collective strengths and developmental needs of senior leadership.

Second, to drive intentional change throughout this distributed organization, Hayek and his top leaders identified the individual leaders running each of their surgery centers as the most critical fulcrum of change. They recognized upgrading their skills, knowledge, and attitudes as strategically critical to SCA's success. As a result, Hayek asked the OD consultants to build a top-quality, internal university. "SCA University" conducted a qualitative needs assessment of all levels of leadership across the organization; convened and facilitated a multidisciplinary design team to provide input in the design of educational offerings for leaders; and designed and facilitated the first several offerings. The goal of SCA

Planned Change at Surgical Care Affiliates, continued

University was to touch and affect every facility leader in a short period. Hayek attended every one of the early sessions to model what he expected of leaders: accessibility, presence, humility, honesty, assertiveness in the marketplace, a market-driven attitude—all things that most legacy SCA leaders hadn't seen from their top leaders before. In addition to learning valuable concepts and receiving feedback, leaders participating in SCA University courses were also being solicited for opinions and ideas. These ideas were fed back to the SCA leadership team and acted on. Establishing SCA University with this philosophy and methodology was an important, early catalyst of SCA's "new" culture.

The SCA leadership team also began to reshape the reward and recognition system by implementing an annual leadership meeting. Initially designed to be a catalyzing and culture-building event, it was to be the one time each year to dramatically shape the message about who SCA is, what's important, and how it does what it does. The first meeting was held 12 months into Hayek's tenure and was attended by all leaders and key physicians. An example of the use of this meeting to build culture was applied. The consultant designed a participative and transparent process to develop SCA's company values. Through an iterative process, involving multiple rounds of voting and feedback, the new company values were unveiled. A framed picture of the final ballot still hangs outside the CEO's office.

An example of how the rewards and recognition system was changed was SCA's "night of honor," a moment Hayek used to ensure that all team members understood what was truly prized and valued in the SCA community. During the presentation, specific core values were honored and highlighted by publicly recognizing people who best exemplified them.

Once positive results and momentum were experienced among organization members, the leadership team asked the consultant to engage and align their critical physician partners. At the core of this strategy was the belief that if SCA's leaders couldn't authentically demonstrate their commitment to a new set of behaviors, there would be no point in asking the physicians to change. In a manner similar to the annual leadership meeting for its business leaders, the leadership team created an SCA Physicians' Summit, an unfiltered conversation with unfettered access to the CEO. It provided physicians an opportunity to ask the tough questions and get real, honest answers. By engaging physician leaders in dialogue about the changes the organization was undergoing, as well as asking them to be a part of that change, physician buy-in and engagement increased, and increases in the performance of individual centers was reflective of these changes.

During the first year of work, leader engagement rose 49% and began to positively impact financial metrics across the organization. Profits improved 11% from 2008 to 2009 and have continued to grow: from \$73 million in 2009 to over \$250 million today. The increased management capacity of the organization, supported by their leader engagement and development work, has enabled the company to aggressively pursue the addition of new facilities, growing from 120 facilities in 2009 to over 205 facilities in 2017. In 2015, the company was named one of Becker's ASC Review's "Best Places to Work in Healthcare."

In January 2017, SCA and Optum (part of UnitedHealth Group) announced the two companies would combine. In this agreement, SCA will become part of the OptumCare platform, with Andrew Hayek and the SCA leadership team continuing forward as part of SCA and the larger Optum organization.

To understand the situational differences better, planned change can be contrasted across organizations on two key dimensions: the magnitude of change and the timing of change. They have a significant effect on how the different stages of planned change are modified to fit situational contingencies.

2-3a Magnitude of Change

Planned change can be characterized as falling along a continuum ranging from incremental changes that fine-tune the existing organization to transformational

changes that radically alter how it operates.²⁰ Incremental changes tend to involve limited dimensions and levels of the organization, such as the decision-making processes of work teams. They occur within the context of the organization's existing strategy, structure, and culture and are aimed at improving the status quo. Diagnostic and change activities tend to be limited to those organizational systems having specific problems or opportunities for improvement.

Transformational changes, on the other hand, are directed at fundamentally altering how the organization operates. They tend to include several organizational

features, such as strategy, structure, culture, reward systems, information processes, and work design. They also involve changing multiple levels of the organization, from top-level management through departments and work teams to individual jobs. OD is increasingly applied to transformational change. As described in Chapter 1, the greater complexity and uncertainty of today's environments have led a growing number of organizations to drastically transform the way in which they operate. Firms such as Nintendo, Western Union, and IBM, for example, transformed themselves to operate and succeed in entirely new industries while gaining the capability to change and improve themselves. In these situations, planned change is far more complex and extensive than when applied to incremental change. Because transformational change involves most features and levels of the organization, it is typically driven from the top, where strategy and cultural values are set. OD practitioners facilitate senior executives in creating a vision of a desired future organization and energizing movement in that direction. They also help develop structures for managing the transition from the present to the future organization, which may include, for example, a variety of overlapping steering committees and teams to manage the change process. (We describe transformational types of change in more detail in Chapters 13–15.)

2-3b Timing of Change

Planned change can also occur along a continuum ranging from episodic changes that have a specific beginning and end to continuous changes that are ongoing and involve changing repeatedly to keep pace with emerging conditions.²¹ Many OD interventions are episodic and involve a particular organizational problem or opportunity. Once a successful outcome is achieved, the change process is completed. For example, a third-party intervention may address an emergent conflict between two interrelated departments (described in Chapter 7). The change process begins with the phases of entering and contracting and diagnosing and ends when the assessment phase shows that the conflict has been resolved. Although episodic changes can vary in length depending on the nature of the situation, they nonetheless address a particular organizational problem or opportunity and have a clear beginning and end.

Continuous OD interventions, on the other hand, build change capability into the organization so it can adapt to changing conditions repeatedly and keep improving itself. OD practitioners are actively involved in helping organization members gain these change capabilities. As members learn these skills and show that they can perform them well, practitioners gradually reduce their direct involvement in the change process. Continuous OD interventions can vary

widely in magnitude of change. They might occur at lower levels of the organization on the shop floor where change is aimed at fine-tuning how work is performed, such as Toyota's Kaizen process of total quality management on production lines. At the higher end of change magnitude, many transformational OD interventions alter most features of the organization, so they mutually support adapting to constantly changing conditions at all organizational levels. The rising application of OD to "organization agility" illustrates this large-scale form of continuous change²² (discussed Chapter 14).

2-4 Critique of Planned Change

Despite the continued refinement of the OD change models, their application is still evolving, and there is considerable room for improvement. Critics of OD have pointed out several problems with the way planned change has been conceptualized and practiced.

2-4a Knowledge of Planned Change

Planned change has typically been characterized as involving a series of activities for carrying out effective OD. The OD change models outline general phases to be followed. Considerably more information is needed, however, to guide how those steps facilitate particular organizational changes to achieve certain outcomes in specific situations. Ideally, application of the models to particular OD interventions would specify the organizational features to change, their intended outcomes, the causal mechanisms producing them, and the situational contingencies on which successful change depends. The OD field is decidedly deficient on this information and needs far more evidence-based knowledge to guide effective practice, particularly in light of the numerous popular organizational interventions based largely on prescriptive wisdom and spurred by proliferate success stories. Chapters 7 through 15 on OD interventions review what is currently known about change features, outcomes, causal mechanisms, and contingencies.

A related area where current knowledge about OD change models needs to be refined is understanding how the stages of planned change differ across situations. Most models specify a general set of steps that are intended to be applicable to most change efforts. However, change activities, such as the magnitude and timing of change, can vary depending on such factors as organizations' technology, competitive environment, and resources, to name a few. Considerable more study is needed to identify situational

factors that may require modifying the general stages of planned change. That would likely lead to a rich array of planned change models, each geared to a specific set of situational conditions.

Practitioners and researchers also tend to describe planned change as a rationally controlled, orderly process. This view may be comforting but may be seriously misleading. Planned change has a more chaotic quality, often involving shifting goals, discontinuous activities, and surprising events. For example, senior managers may initiate changes without plans that clarify change strategies and goals. As organizational change unfolds, new stakeholders may emerge and demand modifications reflecting previously unknown or unvoiced needs.

Finally, the relationship between planned change and organizational performance needs to be better understood. OD has faced difficulties assessing whether interventions are producing observed results. The complexity of the change situation, the long time periods for producing results, and the statistical challenges of assessing the causality of organizational changes contribute to problems evaluating OD interventions. Moreover, faced with pressures to succeed, managers often account for OD results with post hoc testimonials, reports of possible future benefits, and calls to support OD as the right thing to do. In the absence of rigorous assessment, it is difficult to make resource allocation decisions about change programs and to know which interventions are most effective in certain situations (Chapter 6 describes evaluation of OD interventions).

2-4b Practice of Planned Change

Critics have also voiced problems with the way planned change is carried out.²³ Their concerns are not with the planned change models themselves but with how change takes place and with the qualifications and activities of OD practitioners.

A growing number of OD practitioners have acquired skills in a specific technique, such as team building, employee involvement, or reward system interventions, and have chosen to specialize in that method. Although such specialization may be necessary, it can lead to a certain myopia given the complex array of interventions included in OD. Some OD practitioners favor particular techniques and ignore other interventions that might be more appropriate, tending to view organizational problems as requiring the favored technique. For example, it is not unusual to see practitioners favoring such methods as diversity training, organization learning, or self-managed work teams as solutions to most organizational problems.

Effective change depends on a careful diagnosis of how the organization is functioning. Diagnosis identifies the underlying causes of organizational problems or the positive opportunities that need to be promoted. It requires both time and resources, and some organizations are not willing to make the necessary investment. Rather, they rely on their own preconceptions about what the problem is and hire practitioners with skills appropriate to solve that problem. Managers may think, for example, that work design is the problem, so they hire an expert in job enrichment to implement a change program. The problem may be caused by other factors such as poor reward practices, and job enrichment would be inappropriate. Careful diagnosis can help to avoid such mistakes²⁴ (discussed in Chapter 4).

In situations requiring complex organizational changes such as continuous transformational change, planned change is a long-term process involving considerable innovation and learning on-site. It requires a good deal of time and commitment and a willingness to refine changes as the circumstances require. Some organizations demand more rapid solutions to their problems and seek quick fixes from experts. Unfortunately, some OD practitioners are more than willing to provide quick solutions. They sell prepackaged programs for organizations to adopt. Those changes appeal to managers because they typically include an explicit recipe to be followed, standard training materials, and clear time and cost boundaries. Quick fixes have trouble gaining wide support and commitment from organization members, however, and seldom produce the positive results that have been advertised.

Organizations may not understand the systemic nature of organizational change. Too often, they believe that intervention into one aspect or subpart of the organization will be sufficient to ameliorate the problems, and they are unprepared for the other changes that may be necessary to support an intervention. For example, the positive benefits of an employee involvement program may not begin to appear until after the organization has redesigned its reward system to support the cross-functional collaboration necessary to solve highly complex problems. Changing any one part or feature of an organization often requires adjustments in the other parts to maintain an appropriate alignment among them. Thus, change programs that focus on only one part or aspect of the organization may resolve some specific problems, but they generally do not lead to more transformational organizational change or increase members' capability to carry out change.²⁵

Summary

Theories of planned change describe the activities necessary to modify strategies, structures, and processes to increase an organization's effectiveness. The three-step change model, the action research model, and the appreciative inquiry model offer different approaches to the phases through which planned change occurs in organizations. The three-step change model views planned change as a process of unfreezing, moving, and refreezing. It provides a general description of the process of planned change. The action research model focuses on planned change as a cyclical process involving joint activities between organization members and OD practitioners. It involves multiple steps that overlap and interact in practice: problem identification, consultation with a behavioral science expert, data gathering and preliminary diagnosis, feedback to a key client or group, joint diagnosis of the problem, joint action planning, action, and data gathering after action. The action research model places heavy emphasis on data gathering and diagnosis prior to action planning and implementation and on assessment of results after action is taken. In addition, change strategies often are modified based on continued diagnosis, and completing one OD intervention

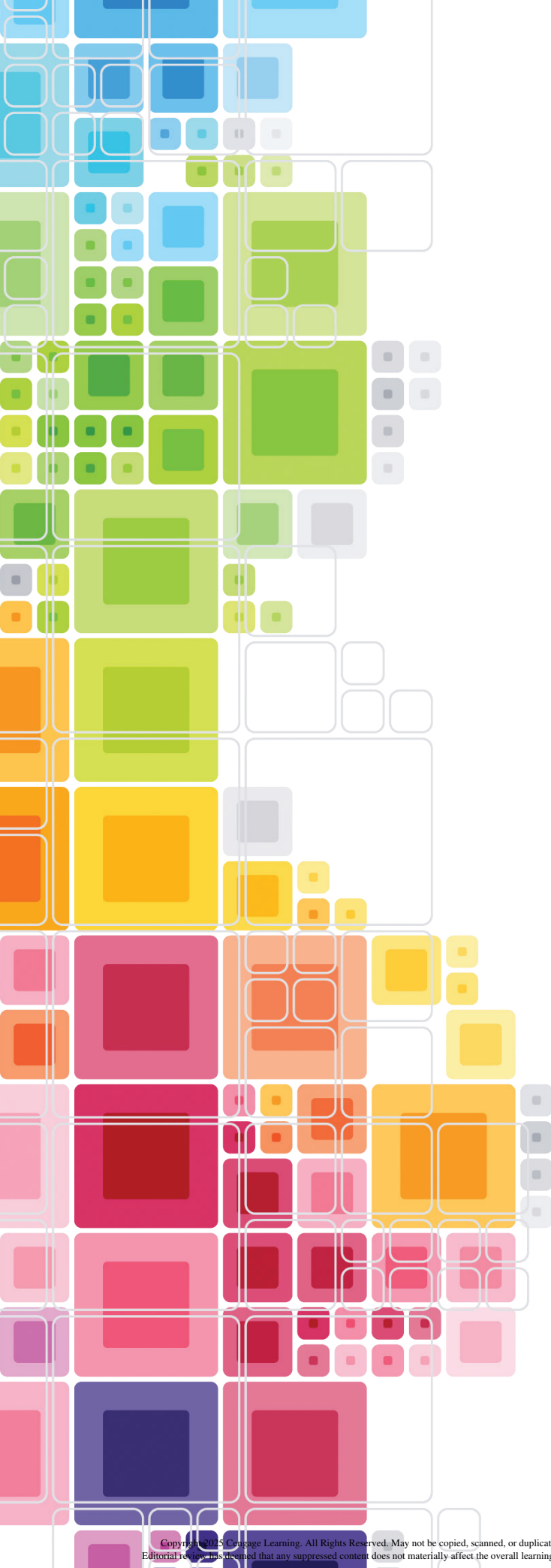
may lead to further work in other areas of the organization. The appreciative inquiry model is oriented to what the organization is doing right. It seeks to build on positive opportunities that can lead to extraordinary performance.

Planned change theories can be integrated into a general model. Four sets of activities—entering and contracting, diagnosing, planning and implementing, and evaluating and institutionalizing—describe how change is accomplished in organizations. They also describe the structure of the chapters in this book. The general model has broad applicability to planned change. It identifies the steps an organization typically moves through to implement change and specifies the OD activities needed to effect change. Although the planned change models describe general stages of how the OD process unfolds, there are different types of change depending on the situation. Planned change efforts can vary in terms of the magnitude and the timing of the change. When situations differ on those dimensions, planned change can vary greatly. Critics of OD have pointed out problems with the way planned change has been conceptualized and practiced and specific areas where planned change can be improved.

Notes

1. A. Marrow, *The Practical Theorist: The Life and Work of Kurt Lewin* (Basic Books, 1969); K. Lewin, "Frontiers in Group Dynamics: Concept, Method and Reality in Social Science," *Human Relations* 1 (1947): 5–41.
2. D. L. Cooperrider and S. Srivastva, "Appreciative Inquiry in Organizational Life," in W. A. Pasmore and R. W. Woodman (Eds.), *Research in Organizational Change and Development* (JAI Press, 1987): 3–27.
3. Lewin, "Frontiers in Group Dynamics."
4. R. Lippitt, J. Watson, and B. Westley, *The Dynamics of Planned Change* (Harcourt, Brace & World, 1958).
5. J. Kotter, *Leading Change* (Boston: Harvard Business School Press, 1996, 2012).
6. S. Cummings, T. Bridgman, and K. G. Brown, "Unfreezing Change as Three Steps: Rethinking Kurt Lewin's Legacy for Change Management," *Human Relations* 69 (2016): 33–60.
7. K. Lewin, "Action Research and Minority Problems," *Journal of Social Issues* 2 (1946): 34–46.
8. K. Lewin, "Psychology and the Process of Group Living," *Journal of Social Psychology* 17 (1943): 113–31.
9. R. Beckhard and R. Harris, *Organizational Transitions*, 2nd ed. (Addison-Wesley, 1987).
10. D. Szabla, D. Coghlan, W. Pasmore, and J. Kim, *Handbook of Research Methods in Organizational Change* (Wiley, 2023); L. Rowell, C. Bruce, J. Shosh, and M. Riel, *Palgrave International Handbook of Action Research* (Palgrave Macmillan, 2016); R. Shani and D. Coghlan, *Collaborative Inquiry for Organization Development and Change* (Edward Elgar, 2021).
11. D. Greenwood, W. Whyte, and I. Harkavy, "Participatory Action Research as Process and as Goal," *Human Relations* 46, no. 2 (1993): 175–92; G. Morgan and R. Ramirez, "Action Learning: A Holographic Metaphor for Guiding Social Change," *Human Relations* 37 (1984): 1–28; C. Argyris, R. Putnam, and D. Smith, *Action Science* (Jossey-Bass, 1985); S. Mohrman and T. Cummings, *Self-Designing Organizations: Learning How to Create High Performance* (Addison-Wesley, 1989).
12. T. Cummings and C. Cummings, "The Relevance Challenge in Management and Organization Studies: Bringing Organization Development Back In," *Journal of Applied Behavioral Science* 56 (2020): 521–46.

13. K. Lewin, "Action Research and Minority Problems."
14. K. Cameron, J. Dutton, and R. Quinn, eds., *Positive Organizational Scholarship: Foundations of a New Discipline* (Berrett-Kohler, 2003).
15. Cooperrider and S. Srivastva, "Appreciative Inquiry in Organizational Life"; D. Cooperrider, D. Whitney, and J. Stavros, *Appreciative Inquiry Handbook: For Leaders of Change*, 2nd ed. (Berrett-Koehler, 2008); G. R. Bushe & R. J. Marshak, eds., *Dialogic Organization Development: The Theory and Practice of Transformational Change* (Berrett-Koehler, 2015).
16. Cooperrider, Whitney, and Stavros, *Appreciative Inquiry Handbook*.
17. J. Stouten, D. Rousseau, and D. Cremer, "Successful Organizational Change: Integrating the Management Practice and Scholarly Literatures," *Academy of Management Annals* 12 (2018): 752–88.
18. T. Cummings and L. Cummings, "Appreciating Organization Development: A Comparative Essay on Divergent Perspectives," *Human Resource Development Quarterly* 25 (2014): 141–54.
19. The SCA application was submitted by FMG Leading. The contributions of Foster Mobley and Steve Cokkinias are gratefully acknowledged.
20. D. Nadler, "Organizational Frame-Bending: Types of Change in the Complex Organization," in *Corporate Transformation*, eds. R. Kilmann and T. Covin (Jossey-Bass, 1988).
21. T. G. Cummings and C. G. Worley, "Applying Management and Organization Theory to Organization Change: More Than Meets the Eye," in *Research in Organizational Change and Development*, vol. 30, eds. D. A. Noumair, A. B. (Rami) Shani, and D. P. Zandee (Emerald, 2023): 129–54.
22. C. G. Worley and T. G. Cummings, "How Organization Agility Produces Sustained Performance: Bringing Coherence to Diverse Conceptual Perspectives." White Paper, Center for Effective Organizations, Marshall School of Business, Los Angeles, CA.
23. D. Jamieson and C. Worley, "The Practice of Organization Development," in *Handbook of Organization Development*, ed. T. Cummings (Sage, 2008), 99–112.
24. C. Worley and D. Good, "Forward to the Past," *Journal of Applied Behavioral Science* 57 (2021): 471–77.
25. G. Roth and A. DiBella, *Systemic Change Management* (Palgrave Macmillan, 2015).



Part 2

The Process of Organization Development

Chapter 3

Entering and Contracting

Chapter 4

Diagnosing

Chapter 5

Designing and Implementing OD Interventions

Chapter 6

Evaluating and Reinforcing Organization Development Interventions

Entering and Contracting

Learning Objectives

- Describe the issues associated with entering into an OD process.
- Describe the issues associated with contracting for an OD process.
- Describe the interpersonal process issues associated with entering and contracting for an organization development process.

The planned change process described in Chapter 2 generally starts when one or more members believe that new capabilities need to be developed; sense an opportunity for their organization, department, or group; or decide that performance could be improved through organization development (OD). The organization might be successful yet have room for improvement. It might be facing competitive conditions that necessitate a change in how it operates. The organization could be experiencing problems, such as poor product quality, high rates of absenteeism, or dysfunctional conflicts among departments. Conversely, the problems might appear more diffuse and consist simply of feelings that the organization should be "more innovative," "more competitive," or "more effective."

Entering and contracting are the initial steps in the OD process. They involve defining in a preliminary manner the organization's problems or opportunities for development and establishing a collaborative relationship between the OD practitioner and members of the organization system about how to work on those issues. Entering and contracting

set the initial parameters for carrying out the subsequent phases of OD: diagnosing, designing and implementing changes, and evaluating and reinforcing them. They help to define what issues will be addressed by those activities, who will carry them out, and how they will be accomplished.

Entering and contracting can vary in complexity and formality depending on the situation. In those cases where the manager of a work group or department serves as their own OD practitioner, entering and contracting typically involve the manager and group members meeting to discuss what issues to work on and how they will jointly meet the goals they set. Here, entering and contracting are relatively simple and informal. They involve all relevant members directly in the process—with a minimum of formal procedures. In situations involving OD professionals, either from inside or from outside the organization, entering and contracting tend to be more complex and formal.¹ OD practitioners may need to collect preliminary information to help define the problem or development issues. They may need to

meet with representatives of the organization system rather than with the total membership; they may need to formalize their respective roles and how the change process will unfold; they may need to gain an understanding of the power dynamics in the organization and how they are likely to affect the OD process. In cases where the anticipated changes are strategic and large in scale, formal proposals from multiple OD practitioners may be requested and legal contracts drawn up.

This chapter first discusses the activities and issues involved in entering into and contracting for an OD initiative. The focus is on complex processes involving

OD professionals and organizations.² Similar entering and contracting issues need to be addressed, however, in even the simplest OD efforts, where organization members serve as OD practitioners for their own work units. Unless there is clarity and agreement about what issues to work on, who will address them, how that will be accomplished, and what timetable will be followed, subsequent stages of the OD process are likely to be confusing and ineffective. The chapter concludes with a discussion of the interpersonal processes involved in entering and contracting for OD changes.

3-1 Entering into an OD Relationship

An OD process generally starts when a member of an organization system contacts an OD practitioner about potential help in addressing an organizational issue.³ The member may be a manager, staff specialist, or some other key participant; the practitioner may be an OD professional from inside or outside of the organization. Determining whether the two parties should enter into an OD relationship typically involves clarifying the nature of the organization's current functioning and the issue(s) to be addressed, the relevant client system for that issue, and the appropriateness of the particular OD practitioner.⁴ In helping assess these issues, the practitioner may need to collect preliminary data about the organization. Similarly, the organization may need to gather information about the practitioner's competence and experience. This knowledge will help both parties determine whether they should proceed to develop a contract for working together.

This section describes the activities involved in entering an OD relationship: clarifying the organizational issue, determining the relevant client, and selecting the appropriate OD practitioner.

3-1a Clarifying the Organizational Issue

When seeking help from OD practitioners, organizations typically start with a *presenting problem (or opportunity for improvement)*—the issue that has caused them to consider an OD process. It may be specific (e.g., decreased market share, increased absenteeism) or general (e.g., “we’re growing too fast,” “we need to prepare for rapid changes”). The presenting problem often has an implied or stated solution. For example, managers may believe that because costs are high, laying off members is the obvious answer. They may even state the presenting problem in the form of a solution: “We need to downsize our organization.”

In many cases, however, the presenting problem or opportunity for improvement is only a symptom of an underlying issue. For example, high costs may result from several deeper causes, including ineffective product development or manufacturing processes, inappropriate customer-service policies and procedures, or conflict between two interdependent work groups. The issue facing the organization system must be clarified early in the OD process, so that subsequent diagnostic and intervention activities are focused correctly.⁵

Gaining a clearer perspective on the organizational issue may require collecting preliminary data.⁶ OD practitioners often examine company records and interview a few key members to gain an introductory understanding of the organization, its context, and the nature of the presenting problem or opportunity. Those data are gathered in a relatively short period—typically over a few hours to one or two days. They are intended to provide enough rudimentary knowledge of the organizational issue to enable the two parties to make informed choices about proceeding with the contracting process.

The diagnostic phase of OD involves a far more extensive assessment of the problem or development issue than occurs during the entering and contracting stage (see Chapter 4). The diagnosis also might discover other issues that need to be addressed, or it might lead to redefining the initial issue that was identified during the entering and contracting stage. This is a prime example of the emergent nature of the OD process: Things may change as new information is gathered and new events occur.

3-1b Determining the Relevant Client

A second activity in entering an OD relationship is defining the relevant client for addressing the organizational issue. Generally, the relevant client includes those organization members who can directly impact the change issue, whether it is solving a problem or improving an already

successful organization or department. Unless these members are identified and included in the entering and contracting process, they may withhold their support for and commitment to the OD process. In trying to improve the efficiency of a company's supply chain, for example, the relevant client may need to include representatives of external suppliers. It is not unusual for an OD project to fail because the relevant client was inappropriately defined.

Determining the relevant client can vary in complexity depending on the situation. When the organizational issue can be addressed in a specific organization system, members of that system constitute the relevant client. They or their representatives must be included in the entering and contracting process. For example, if a manager asked for help in improving the decision-making process of their team, the manager and team members would be the relevant client. Unless they are actively involved in choosing an OD practitioner and defining the subsequent change process, there is little likelihood that OD will improve team decision making.

Determining the relevant client is more complex when the organizational issue cannot readily be addressed in a single organization system. Here, it may be necessary to expand the definition of the client to include those from multiple units, from different hierarchical levels, and even from outside of the organization. The manager of a production department may seek help in resolving conflicts between their unit and other departments in the organization. The relevant client would extend beyond the boundaries of the production department because that department alone cannot resolve the issue. The relevant client might include those from all departments involved in the conflict as well as the executive to whom all the departments report. If that interdepartmental conflict also involved key customers from outside of the firm, the relevant client might include them.

In such complex situations, OD practitioners may need to gather additional information about the organization to determine the relevant client, generally as part of the preliminary data collection that typically occurs when clarifying the issue or opportunity to be addressed. When examining company records or interviewing personnel, practitioners can seek to identify the key members and organizational units that need to be involved. They can be asked questions such as these: Who can directly influence the organizational issue? Who has a vested interest in it? Who has the power to approve or reject the OD effort? Answers to those questions can help determine who the relevant client for the entering and contracting stage is. However, the client may change during the later stages of the change process as new data are gathered and changes occur. If so, participants may have to return to and modify this initial stage of the OD effort.

3-1c Selecting an OD Practitioner

The last activity involved in entering an OD relationship is selecting an OD practitioner who has the expertise and experience to work with members on the organizational issue. Unfortunately, little systematic advice is available on how to choose a competent OD professional, whether from inside or outside of the organization.⁷ To help lower the uncertainty of choosing from among external OD practitioners, organizations may request that formal proposals be submitted. In these cases, the OD practitioner must take all the information gathered in the prior steps and create an outline of how the process might unfold. A written proposal typically includes project objectives, outlines of proposed processes, a list of roles and responsibilities, recommended interventions, and proposed fees and expenses.

The late Gordon Lippitt, a pioneering scholar in the OD field, suggested several criteria for selecting an OD practitioner.⁸ These include the practitioner's ability to form sound interpersonal relationships; the skills of the practitioner relative to the problem; the extent that the practitioner clearly informs the client as to the practitioner's role and contribution; and whether the practitioner approaches the organization with openness and an insistence on diagnosis or appears to have a fixed program that is applicable to almost any problem or organization. In assessing these criteria, verifying references from other clients can help to answer, "How effective has the person been in the past, with what kinds of organizations, using what kinds of techniques?"

Practitioners are potentially the most important OD technology available. Because OD practice is as much a person as a task specialization, practitioners need both a repertoire of technical skills and the interpersonal competence to *use themselves as an instrument of change*. They need to apply OD knowledge and practice in an organic rather than in a mechanical way and behave consistent with OD values of openness, participation, and trust. This includes helping clients make informed decisions in choosing an effective practitioner. OD practitioners bear a heavy ethical responsibility in finding whether there is a match between their skills and knowledge and what the organization needs. Few organization members are sophisticated enough to detect or to understand subtle differences in expertise among OD professionals, and they often do not understand the difference between intervention specialties. Thus, practitioners need to help educate potential clients, being explicit about their strengths and weaknesses and their range of competence. If OD professionals realize that a good match does not exist, they need to inform the client and help them find more suitable help.

Application 3.1 describes an entering process at Euro-Pharmaceutical, a global health care organization. (We continue the application with the contracting phase of OD in the next section.) Like a growing number of OD

Application 3.1

Entering Euro-Pharma

Euro-Pharma (EP) is a global pharmaceutical and life sciences company with more than 100 years of history. Its strongly shared mission is to address some of the important challenges facing the world with innovative products and solutions. Headquartered in Europe, EP has sales, manufacturing, and research and development offices around the world. As part of a broad transformation to position itself for growth, EP needed to increase its capacity in organization design and change. Britta Olbert, the vice president of organization effectiveness (OE), was charged with building this capacity.

EP's subsidiary in the United States—generally seen as highly proactive in its design and change efforts—had used an external OD consultant, Deborah Williams, six months earlier to address some difficult coordination problems. It highly recommended Deborah to Britta, who, along with Hans Schneider, an EP colleague, contacted her with the following email message:

My name is Britta Olbert, and I am the VP of EP's organization effectiveness department. Along with my colleague, Hans Schneider, we are responsible for leading change and developing EP's organization design and change capabilities. We received your name from our U.S. subsidiary who worked with you last year. EP is making some important changes, and we would like to talk with you about helping us develop a training seminar to build our design and change capability. Could we arrange a Zoom meeting next week?

Deborah replied positively and proposed a few times for the meeting, noting the nine-hour difference between California and central Europe. She then searched the Internet for articles and stories about EP and reviewed its website.

In the Zoom meeting with Britta and Hans, Deborah introduced herself and described her background and experience with the U.S. subsidiary and her interest in OD in general. Britta and Hans also described their backgrounds, telling Deborah that Britta was new to EP, having joined the organization about a year ago from another pharmaceutical company in Europe, while Hans had been in the OE department

for over 10 years and had led several major change initiatives. They also described the recent changes at EP that prompted the call. Deborah asked a variety of questions about why the changes were taking place, the nature of the strategy for EP overall as well as the different businesses, and the data that led to the decision to start this project.

Britta and Hans were, in fact, fairly knowledgeable about OD and, according to them, EP had a strong history of work in organization design and change, including having published several papers on various design components such as lateral coordination and design criteria. (Organization design interventions are discussed in Chapter 13.) Finally, they provided some parameters regarding the scope of the design and change capability effort. The workshops would educate the human resources specialists in the businesses in various countries, and they wanted the workshops to be as "hands on" as possible. Finally, Britta and Hans noted that they were talking to other consultants but asked if Deborah could put a few ideas together about her approach and get together for another meeting on Zoom.

In the second meeting, Deborah presented her understanding of the project as a capability development effort that required the human resource specialists to learn new competencies, the development of a shared framework to facilitate organization design and change across groups or businesses, and importantly, some practice with respect to actually doing the work. She proposed the formation of a "design team" to review different organization design and change frameworks, develop program objectives and schedules, and build an initial curriculum that would meet EP's objectives. There was some conversation about who might be on that team, including Britta and Hans, several representative human resource specialists, and a few business managers as the ultimate customer of the program.

Subsequent email exchanges between Deborah and Britta led to a verbal agreement that the project would begin in October. Britta liked the idea of a collaborative process where Deborah's expertise could be shared and integrated with EP's existing processes and tools.

projects, the entry process was largely “virtual.” Zoom, a cloud-based video-conferencing platform, was used to connect the OD practitioner with two company representatives on a different continent. The application highlights how OD work can come in different forms and through different channels. It also reflects how quickly the entry process can occur. You can assess how well the entry process clarified the organizational issue, determined the relevant client, and selected an OD practitioner. If you were Deborah (or Britta), what would you have done differently?

3-2 Developing a Contract

Contracting is a natural extension of the entering process and clarifies how the OD process will proceed.⁹ It can be relatively informal and involve only a verbal agreement between the relevant client and the OD practitioner. A team leader with OD skills, for example, may voice concerns to members about how the team is functioning. After some discussion, they might agree to devote one hour of future meeting time to diagnosing the team with the help of the leader. Here, entering and contracting are done together, informally. When organizations employ outside OD practitioners, contracting tends to be more protracted and results in a formal document. Government agencies and large public companies generally have procurement regulations that apply to contracting with outside consultants.¹⁰

Regardless of the level of formality, all OD processes need some form of explicit contracting that results in either a verbal or a written agreement that clarifies the client’s and the practitioner’s expectations about how the OD process will take place. Unless there is mutual understanding and agreement about the process, there is considerable risk that someone’s expectations will be unfulfilled. That can lead to reduced commitment and support, to misplaced action, or to premature termination of the process. Moreover, even a well-constructed contract can change as the OD process unfolds; the OD practitioner should be ready and willing to re-contract if necessary.

The contracting step in OD generally addresses three key areas: setting mutual expectations or what each party expects to gain from the OD process, the time and resources that will be devoted to it, and the ground rules for working together.

3-2a Mutual Expectations

This part of the contracting process focuses on the expectations of the client and the OD practitioner. The client specifies the services and outcomes to be provided by the OD practitioner and describes what the organization expects from the process and the consultant. Clients are encouraged to state their wants in the form of outcomes, working

relationships, and personal accomplishments.¹¹ Similarly, the OD practitioner should also state what they expect to gain from the OD process such as opportunities to try new interventions, report the results to other potential clients, and receive appropriate compensation or recognition.

3-2b Time and Resources

To accomplish OD change, the organization and the practitioner need to commit sufficient time and resources to it. Failure to make explicit the necessary requirements of a change process can ruin an OD effort. For example, a client may understand the need to diagnose the causes of poor productivity in a work team yet expect the practitioner to do this without talking to the members. Typically, clients want to know how much time will be necessary to complete the assignment, who needs to be involved, how much it will cost, and so on.

Peter Block, a renowned OD consultant and author, has suggested that resources can be divided into “essential” and “desirable” parts.¹² Essential requirements are absolutely necessary if the change process is to be successful. From the practitioner’s perspective, they can include access to key people or information, enough time to do the job, and commitment from certain stakeholder groups. The client’s essential requirements might include a speedy diagnosis or assurances that the project will be conducted at the lowest price. Being clear about the constraints on carrying out the assignment will facilitate the contracting process and improve the chances for success. Desirable requirements, on the other hand, are those things that would be nice to have but are not necessary, such as access to special resources or written rather than verbal reports.

3-2c Ground Rules

The final part of the contracting process involves specifying how the client and the OD practitioner will work together. The parameters established may include such issues as confidentiality, if and how the OD practitioner will become involved in personal or interpersonal issues that might arise, and whether the practitioner is supposed to make expert recommendations or help the client make decisions. For internal OD practitioners, organizational politics make it especially important to clarify issues of how to handle sensitive information and how to deliver “bad news.” Such process issues are as important as the needed substantive changes. Failure to address them explicitly may result in the client or the practitioner having inappropriate assumptions about how the process will unfold.

Application 3.2 describes the contracting process for the organization design and change capability project at Euro-Pharma. In this case, the contracting process was

Application 3.2

Contracting With Euro-Pharma

Following the verbal approval to begin the project, Deborah Williams began working with Hans Schneider to formalize the agreement and plan the training program. The contracting process proceeded on two parallel paths. One track was the establishment of a formal contract—what, how much, and why—that was worked out with EP’s finance and vendor relations group, and the second track was the project definition—who, what, when, and where.

Formal Contracting Process

The contracting process started with Deborah completing a set of vendor agreement forms. They addressed a broad program description or statement of work, the proposed schedule and deliverables, and her fees and expected expenses. In broad strokes, Deborah proposed working with the design team during October and November to establish the objectives, frameworks, and a curriculum. A pilot program would be held in early December, with a final design team meeting before the holiday break to finalize the workshop’s activities and flow. Program delivery would begin after the first of the year.

The contracts office sent back a formal contract outlining the terms of the agreement. In addition to the material Deborah provided, the contract contained the typical “work made for hire” paragraph noting that all materials, tools, and other intellectual property used in or developed for the project would become the exclusive property of EP. It also included the typical nondisclosure agreement (NDA) covering confidentiality and asserting that Deborah could not share the work in any way. The message that accompanied the contract asked if someone from the contracts office could talk with Deborah to be sure that everything was clear. She agreed to the call, and especially wanted to discuss the “work made for hire” and the NDA language. As a senior OD practitioner, Deborah enjoyed writing about and sharing her experiences with others—activities that were forbidden by the contract. In working with other organizations, she developed legal language that was usually considered acceptable to the firm’s legal department.

During the call, the contract officer first asked if Deborah would consider lowering her fees. He noted that the contract represented a relatively long-term arrangement as well as the possibility of additional work. Deborah responded that although she appreciated this position, she was already giving EP her best rate since she had recently worked with the U.S. subsidiary. She agreed to think about a fee reduction, however, and asked to clarify the implications of the “work made for hire” and NDA language.

Deborah explained her position and provided the language that had been acceptable to other client companies. The contract officer was concerned because EP was a public company and very much in the public eye. He explained that EP was adamant about not using its name—not even on a client list—in any publications or presentations. Deborah indicated that she had no problem using a pseudonym and disguised data for any shared work.

With respect to the rights to various resources and intellectual property (IP), Deborah believed she should be able to use her frameworks/tools with others. The officer was also uncomfortable with this idea. He argued that they were paying for the development of the tools. Deborah responded that they were actually buying existing IP—developed by her—and that these resources could not become EP’s exclusively. She asked whether EP would be willing to discuss a licensing arrangement for any of her material that ended up in the program’s curriculum. The call ended with both sides agreeing that they needed to clarify some of their commitments.

After several email exchanges and red-lined versions of the contract, the two parties agreed that Deborah’s fees would remain as stated, she would not be able to use EP’s name in any form of publication or presentation, any descriptions about the EP project would require written approval prior to their release, and that Deborah’s IP—tools and frameworks—would be shared property.

Project Design Process

At the same time Deborah was negotiating with the contracts office, she and Hans were working out the broad approach to the project. She had forwarded

Contracting With Euro-Pharma, continued

several of her organization design and change tools and frameworks, and Hans had shared several of EP's materials. As they discussed objectives over emails and phone calls, the material Hans had sent began to take on increased importance. He explained that many of the changes EP was making needed to be shared during the training. In particular, a large consulting firm had recently recommended that EP reduce the "spans and layers" in its organization structure to address some important cost-cutting objectives. The consulting firm proposed that any new structures adhere to their recommendations and that a broad and prioritized organization design program could accelerate achievement of these objectives.

In addition, one of the publications the organization effectiveness group had authored extended the idea of "dotted" and "solid" lines popular in matrix organizations. EP had determined that, in fact, there should be three different reporting relationships to address operational, functional, and strategic issues. Finally, the head of human resources at EP had studied the idea of three reporting relationships and had compiled an exhaustive list of criteria for designing them. Hans indicated that the training needed to include these three features. Participants needed to know that any proposed structural changes should meet the spans and layers requirements, that any new design had to specify the three reporting relationships, and that redesigns could choose from among the provided list of design criteria to make that process move faster.

In Deborah's mind, these were serious threats to her understanding of the project objectives. It appeared that the project might be a vehicle to drive cost cutting and not capability development. She had experience with the large consulting firms that were trying to make organization design easier to address but, in doing so, had dumbed down structural design to a "numbers game." It contradicted what Deborah understood to be the best way to redesign organizations. She also understood well that the process of developing design criteria was more art than science.

It required a real understanding of the organization's business or functional strategy since the capabilities necessary for success were drawn from that. The long criteria list was interesting but to her way of thinking many of the items were actually goals or specific suggestions for change, such as "use a flexible reward system." The idea of three types of reporting relationships was new to her but her "little voice" was telling her this, too, seemed overly mechanistic for an organization that was trying to learn to design and change itself.

Over the course of several emails and phone calls, Deborah asked questions and provided her views on these subjects. In particular, she wanted to know if this project was a cover for cost cutting or if there was a real interest in building the capability to design and change. Was EP really asking her to develop and deliver a "cookie cutter" that anyone could apply to any situation without using the judgment of the people in the system? Deborah also believed the design team needed to discuss these issues together. Important constraints like these could seriously diminish the power of a process that she was told the company liked.

Although the timing of the program was pushed back, and there were times when Deborah wondered whether she should walk away from this engagement, she felt good about the compromises that were reached. She received clear confirmation that the program was about capability and not cost cutting. The spans and layers information would be presented as "best-practice" guidelines to help the human resource specialists implement and staff new designs. Similarly, the three types of reporting relationships would be presented as definitions and that EP believed good design involved clarity around the kinds of information and responsibilities needed in complex structures. Finally, the list of design criteria was to be a resource and starting point for ideas as the human resource specialists proceeded through the organization design development process. These compromises were agreed to be part of the design team's first meeting agenda.

much more complicated than the entry process. What would you list as the strengths and weaknesses of this contracting process? Do you think the OD consultant made the right decisions? What would you have done differently?

3-3 Interpersonal Process Issues in Entering and Contracting

The previous sections on entering and contracting addressed the activities and content issues associated with beginning an OD project. In this final section, we discuss the interpersonal issues that may need to be addressed to produce a successful agreement and project. In many cases, the client's expectations, resources, and working relationship requirements will not fit perfectly with the OD practitioner's essential and desirable requirements. Addressing and resolving these differences can be personally and interpersonally challenging.¹³

Entering and contracting are the first exchanges between a client and an OD practitioner. Establishing a healthy relationship at the outset makes it more likely that the client's desired outcomes will be achieved and that the OD practitioner will be able to improve the organization's capacity to manage change in the future. This initial stage of the OD process can be highly uncertain and stressful for both parties, however. From the client's perspective, they may feel especially vulnerable and believe that a request for OD help is an admission that they are incapable of solving

their own problems or providing the leadership necessary to achieve positive results. Consciously or unconsciously, clients may become overly defensive and resentful of their dependency on OD practitioners. They may resist settling the contract and coming to a mutual agreement on its terms. OD practitioners need to be alert to the signs of resistance, such as asking for extraordinary amounts of detail, and address them skillfully.

From the OD practitioner's perspective, they may have feelings of empathy, ineptness, and dependency. Practitioners may overidentify with the client's issues and want to be so helpful that they agree to unreasonable deadlines or inadequate resources. Practitioners' desire to be seen as competent and worthy may lead them to enter into an OD contract for which they have few skills or little experience. Practitioners may become overly defensive and challenge clients' reasonable requests, concerns, and queries.

Psychologist Edgar Schein noted that OD practitioners too often underestimate or ignore the power and impact of entry and contracting as an intervention in their own right.¹⁴ Even the simplest request for help poses a myriad of things the OD practitioner, entering a system for the first time, does not know. Establishing a relationship with a client must be approached carefully; the initial contacts and conversations must represent a model of how the OD process will be conducted—openly, with participation from both sides, and with a good deal of active listening and trust building. OD practitioners must be mindful of their own as well as the client's perspectives. Attending to those issues as well as to the content of the contract will increase the likelihood of OD success.

Summary

Entering and contracting constitute the initial activities of the OD process. They set the parameters for the phases of planned change that involve diagnosing, planning and implementing change, and evaluating and institutionalizing it. Organizational entry involves clarifying the organizational issue or presenting problem, determining the relevant client, and selecting an OD practitioner. Developing

an OD contract focuses on making a good decision about whether to proceed and allows both the client and the OD practitioner to clarify expectations about how the change process will unfold. Contracting involves setting mutual expectations, negotiating time and resources, and developing ground rules for working together.

Notes

1. M. Baaij, *An Introduction to Management Consultancy*, 2nd ed. (Sage, 2022); S. Parikh, *The Consultant's Handbook: A Practical Guide to Delivering High-Value and Differentiated Services in a Competitive Marketplace* (Wiley, 2015).

2. S. Whittle and R. Stevens, eds., *Changing Organizations from Within: Roles, Risks and Consultancy* (Gower, 2016); A. Qureshi, M. Qureshi, and S. Rathore, "Dilemma in Relationship of Consultant and Client," *Journal of Business Management* 14 (2013): 109–13.

3. P. Block, *Flawless Consulting: A Guide to Getting Your Expertise Used*, 4th ed. (Wiley, 2023); F. Poulfelt and T. Olson, eds., *Management Consulting Today and Tomorrow: Perspectives and Advice from Leading Experts*, 2nd ed. (Routledge, 2018).
4. S. Gallant and D. Rios, "Entry and Contracting Phase," in *The NTL Handbook of Organization Development and Change*, eds. B. Jones and M. Brazzel (Pfeiffer, 2006).
5. Block, *Flawless Consulting*.
6. D. Jamieson, "Pre-Launch," in *Practicing Organization Development*, 4th ed., eds. W. Rothwell, J. Starvos, and R. Sullivan (Wiley, 2016).
7. L. Forcella, "Marketing Competency and Consulting Competency for External OD Practitioners" (Unpublished master's thesis, Pepperdine University, 2003).
8. G. Lippitt, "Criteria for Selecting, Evaluating, and Developing Consultants," *Training and Development Journal* 28 (August 1972): 10–15.
9. Block, *Flawless Consulting*; Gallant and Rios, "Entry and Contracting Phase," in *The NTL Handbook of Organization Development and Change*.
10. H. Holtz, *How to Succeed as an Independent Consultant*, 4th ed. (Wiley, 2004), 161–175.
11. Block, *Flawless Consulting*.
12. Ibid.
13. S. Pellegrinelli, "Managing the Interplay and Tensions of Consulting Interventions. The Consultant–Client Relationship as Mediation and Reconciliation," *Journal of Management Development* 21 (2002): 343–65.
14. E. Schein, "Taking Culture Seriously in Organization Development: A New Role for OD," in *Practicing Organization Development*, 4th ed., eds. W. Rothwell, J. Starvos, and R. Sullivan (Wiley, 2016)

Diagnosing

Learning Objectives

- Discuss the purpose of diagnosis in organization development (OD).
- Explain the role of diagnostic models in OD, especially the open-systems model.
- Describe and apply diagnostic processes at the organization, group, and individual levels.
- Discuss collecting, analyzing, and feeding back diagnostic information.

Diagnosing is the second major phase in the general model of planned change described in Chapter 2 (see Figure 2.2). It follows the entering and contracting stage (Chapter 3) and precedes the designing and implementing phase (Chapter 5). When done well, diagnosis clearly points the organization toward a set of appropriate intervention activities that will improve organization effectiveness and employee well-being.

Diagnosis is the process of understanding a system's current functioning. It involves collecting pertinent information about existing operations, analyzing the data, and drawing conclusions about the reasons for current performance and the potential for change and improvement. Effective diagnosis provides the systematic knowledge of the organization needed to design

appropriate interventions. (Chapters 7–15 present the major interventions used in OD today.)

This chapter describes different aspects of the diagnostic process. It presents a general definition of diagnosis and discusses the need for diagnostic models in guiding the process. Diagnostic models derive from conceptions about how organizations function, and they tell OD practitioners what to look for in diagnosing organizations, groups, or jobs. They serve as a road map for discovering current functioning. A general, comprehensive diagnostic model is presented based on open-systems theory. We describe and apply the model to diagnostic situations at the organization, group, and job levels. We then discuss processes of data collection, analysis, and feedback.

4-1 What Is Diagnosis?

Diagnosis is the process of understanding how an organization is currently functioning to provide the information necessary to design change interventions.¹ It generally follows from successful entry and contracting, which sets the stage for effective diagnosis. Those processes help OD practitioners and organization members jointly determine which organizational issues to focus on, how to collect and analyze data to understand them, and how to work together to develop action steps from the diagnosis.

In OD, diagnosis may be problem oriented or focused on discovering areas for future improvement. When organizations have specific difficulties, diagnosis seeks the underlying causes of the problems so interventions can be designed to resolve them. On the other hand, when organizations take a positive perspective and look for ways to further develop themselves, diagnosis is intended to discover areas where changes can contribute to future progress. In both cases, diagnosis provides members and practitioners with a systematic understanding of the organization so they can jointly develop appropriate interventions to solve problems or enhance future opportunities.

Diagnosis can seek to understand either a whole system or some part, process, or feature of the organization. OD practitioners and organization members need to have an idea about what information to collect and analyze. Choices about what to look for depend on “diagnostic models,” conceptual frameworks used to understand organizations. They describe the relationships between different features of the organization and its environment, as well as its effectiveness. Diagnostic models point out what areas to examine and what questions to ask in assessing how an organization is functioning.

Organization development has an abundance of potential diagnostic models. Some derive from the thousands of articles and books that discuss, describe, and analyze how organizations function. They provide information about how and why certain organizational systems, processes, or functions are effective. Another source of diagnostic models is OD practitioners’ experience in organizations. So-called “field knowledge” offers a wealth of practical information about how organizations operate. However, all models represent simplifications of reality and therefore emphasize certain organizational features as critical while ignoring others. Focusing attention on particular features, often to the exclusion of others, can result in a biased diagnosis. Thus, OD practitioners must choose diagnostic models and processes carefully to address the organization’s presenting problems or opportunities as well as to ensure comprehensiveness.

This chapter presents a general framework for diagnosing organizations. It describes the systems perspective prevalent in OD today and integrates several of the more popular diagnostic models with special attention to those that are evidence based and derive from sound theory and research. The systems model provides a useful starting point for diagnosing organizations, groups, and individual jobs. (Chapters 7–15 present additional diagnostic models that are linked to specific OD interventions.)

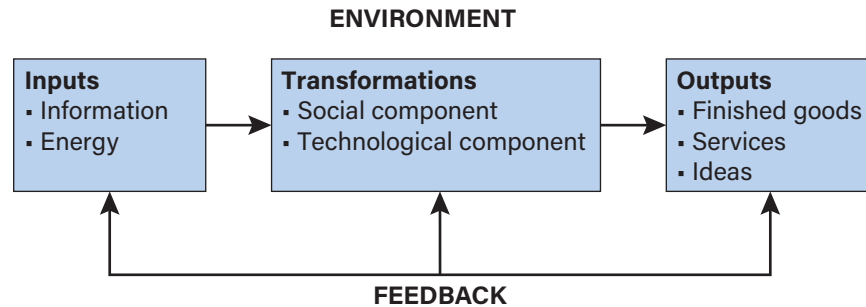
4-2 Organizations as Open Systems

This section introduces an open-systems model of organizations, a set of concepts and relationships describing the properties and behaviors of organizations, groups, and jobs as systems. It views these organizational systems as unitary wholes composed of parts or subsystems; the system serves to integrate the parts into a functioning unit. For example, organizational systems are composed of groups or departments, such as sales, operations, and finance. The organization serves to coordinate the behaviors of its departments so that they function together to achieve organization goals.

The open-systems model is shown in Figure 4.1. It recognizes that organizations exist in the context of a larger *environment* that affects how the organization performs and, in turn, is affected by how the organization interacts with it. The model suggests that organizations acquire specific *inputs* from the environment and *transform* them using social and technical processes. The *outputs* of the transformation process are returned to the environment, and information about the consequences of those outputs serve as *feedback* to the organization’s functioning.

The open-systems model also suggests that organizations and their subsystems—groups and individual jobs—display a hierarchical ordering. Each higher-level system is composed of lower-level systems: Systems at the level of society are comprised of organizations, organizations are comprised of groups, and groups are comprised of individual jobs. Although systems at different levels vary in many ways—in size and complexity, for example—they have the following common characteristics by virtue of being open systems: environments; inputs, transformations, and outputs; boundaries; feedback; and alignment.

Environments These consist of everything outside of the system that can directly or indirectly affect its outputs. Open systems, such as organizations and groups, exchange information and resources with their environments. Because these external forces influence the system, organizations cannot completely control their

Figure 4.1**The Open-Systems Model**

own behavior. Organizations, for example, are affected by such environmental conditions as the availability of labor and human capital, raw material, customer demands, competition, and government regulations. Understanding how these external forces affect the organization can help to explain some of its internal behavior.

Inputs, Transformations, and Outputs Organizational systems are composed of three related properties: inputs, transformations, and outputs. Inputs consist of human capital or other resources, such as information, financial capital, and materials, coming into the system from the environment. Transformations are the processes that convert inputs into outputs. In organizations, a production or operations function composed of both social and technological components generally carries out transformations. The social component consists of people and their work relationships, whereas the technological component involves tools, techniques, and methods of production or service delivery. Outputs are the results of what is transformed by the system and sent to the environment. Thus, inputs that have been transformed represent outputs that leave the system.

Boundaries These borders or limits of the system serve to distinguish organizational systems from their environments. Boundaries ensure that the right inputs enter the organization and the relevant outputs leave it. They also protect or buffer the organization's transformation process from external disruptions. An organizational system's boundaries can vary in permeability, with some systems, such as a highly cohesive work team on the shop floor, being relatively closed to the environment and other systems, such as a field sales force, being open to external forces. Organizational boundaries are determined not only by physical location but also can be defined for managerial,

technical, or social purposes. To facilitate managerial control, a department's boundaries could encompass all members reporting to a common administrator; to promote a smooth workflow, the department's boundaries might include suppliers, employees, and customers located along a common supply chain; or to foster cohesion among members, the department's boundaries could embrace those members sharing particular social connections and attitudes. Because organizational boundaries can serve different purposes, OD practitioners need to determine early in the OD process if the organizational system's boundaries are appropriate for the intended purpose of the change effort. This may result in redefining or changing the boundaries before diagnosis begins. For example, the boundaries that identify a particular organizational system on an organizational chart might be well suited for addressing leadership issues in that unit. However, the organizational system's boundaries might have to be enlarged to include other, related departments if the intent of OD is to improve coordination among interdependent organizational units.

Feedback As shown in Figure 4.1, feedback—information regarding the actual performance or the outputs of the system—is used to control the future functioning of the system. Feedback can be used to maintain the system in a steady state (e.g., keeping an assembly line running at a certain speed) or to help the organization adapt to changing circumstances. McDonald's restaurants have strict feedback processes to ensure that a meal in one outlet is as similar as possible to a meal in any other outlet. On the other hand, a salesperson in a consumer-products firm may report that sales are not going well and may insist on some organizational change to improve sales. A market research study may lead the marketing department to recommend a change to the organization's advertising campaign.

Alignment How well a system's different parts or features align with each other partly determines its overall effectiveness. This alignment or fit concerns the relationships between the organization and its environment as well as among the components that comprise the design of the organization. Alignment represents the extent to which the features and operations of one component support the effectiveness of another component. For example, a team-based reward system would support the performance of a highly interactive work team. Diagnosing environmental relationships and the interactions among the various components of an organizational system often uncovers misalignments among the various parts of an organizational system. The change process then focuses on realigning the parts.

4-3 Diagnosing Organizational Systems

When viewed as open systems, organizations can be diagnosed at three levels. The highest level is the overall organization and includes its strategy, structure, and processes. Large organization units, such as divisions, subsidiaries, or functions, also can be diagnosed at that level. The next lowest level is the group, which includes group design and methods for structuring interactions among members, such as norms and work schedules. The lowest level is the individual position or job. This includes ways in which jobs are designed to elicit required task behaviors.

Diagnosis can occur at all three organizational levels, or it may be limited to issues occurring at a particular level. The key to effective diagnosis is knowing what level or levels to focus on, what to look for at each level, and how the levels affect each other.² For example, diagnosing a work group requires knowledge of the variables important for group functioning and how the larger organization design affects the team. In fact, a basic understanding of organization-level issues is important in almost any diagnosis because they serve as crucial inputs to understanding groups and jobs.

Figure 4.2 presents a comprehensive model for diagnosing these different organizational-level systems. For each level, it shows (1) the inputs that the system has to work with, (2) the key components involved in designing the system, and (3) the system's outputs. The relationships shown in Figure 4.2 illustrate how each organizational level affects the lower levels. The external environment is the key input to organization design decisions. Organization design is an input to group design, which in turn serves as an input to job design. These cross-level relationships emphasize that organizational levels must fit with each other if the

organization is to operate effectively. For example, organization structure must fit with and support group task design, which in turn must fit with individual-job design.

The following sections address diagnosing at each of the three levels—organization, group, and job. General overviews of the dimensions (and their relationships) that need to be assessed at each level are presented. It is beyond the scope of this chapter to describe in detail the many variables and relationships reported in the extensive literature on organizations. Rather, specific diagnostic questions are identified, and exemplar case studies are included.

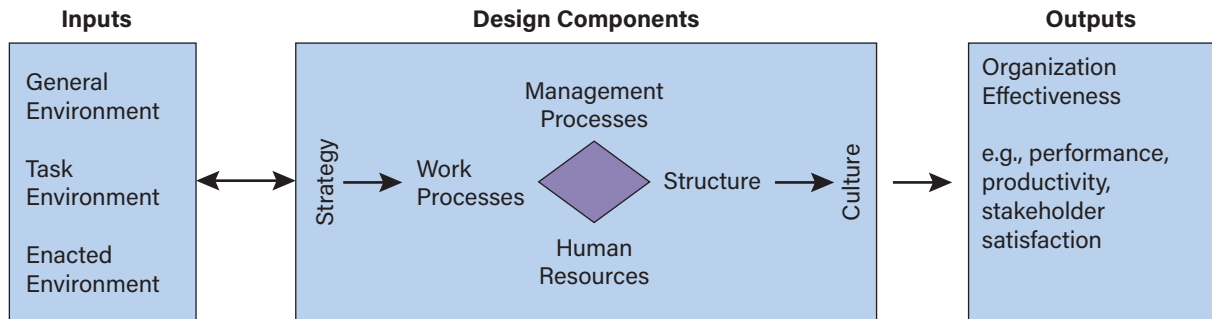
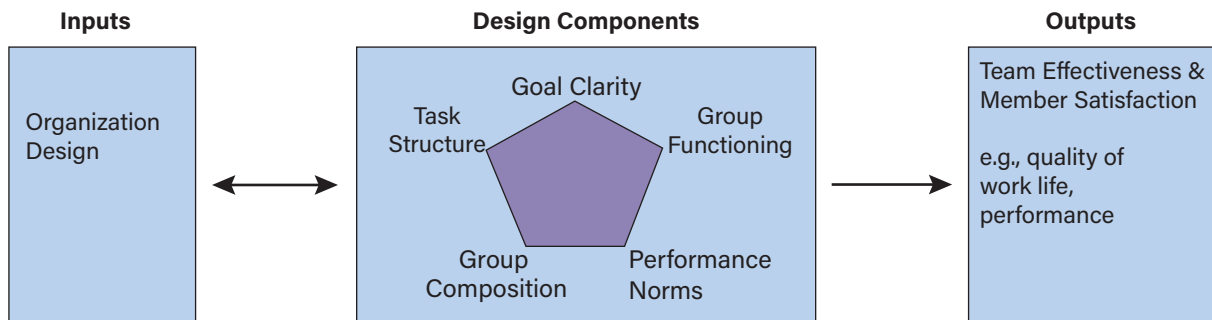
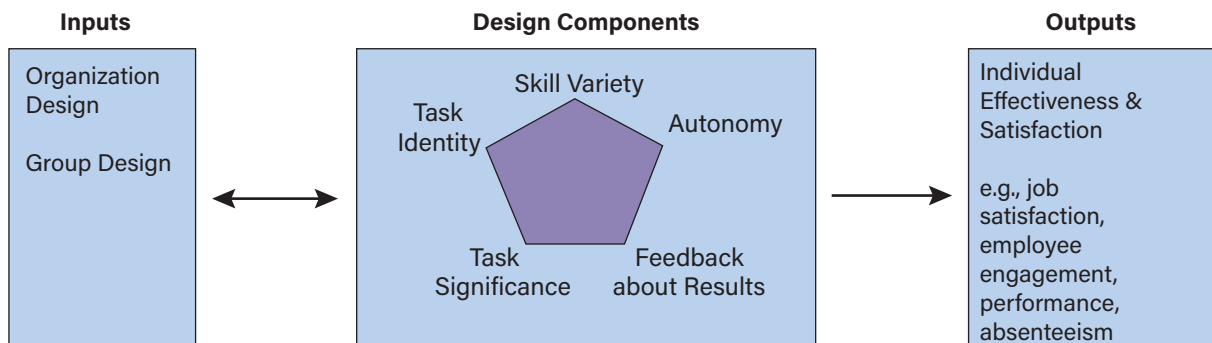
4-3a Organization-Level Diagnosis

The organizational level of analysis is the broadest systems perspective typically taken in diagnostic activities. (In some cases, OD is applied to a multi-organization system, and those diagnostic processes are discussed in Chapter 15.) The model shown in Figure 4.2 is similar to other popular organization-level diagnostic models. These include Weisbord's six-box model,³ Nadler and Tushman's congruency model,⁴ Galbraith's star model,⁵ Kotter's organization dynamics model,⁶ and McKinsey's 7-S model.⁷ Figure 4.2 shows that an organization's design components represent the way the organization organizes itself within an environment (inputs) to achieve specific results (outputs). To understand how a total organization functions, it is necessary to examine particular inputs, design components, outputs, and the alignment of the two sets of dimensions.

Inputs Figure 4.2 shows that three key environmental types are inputs to the way an organization is designed: the general environment, the task environment, and the enacted environment.⁸ We first describe these environments and then identify environmental dimensions that influence how organizations respond to external forces.

The *general environment* consists of all external forces that directly or indirectly affect an organization. They can include a variety of societal, technical, economic, and ecological forces, and even pandemics. These forces can interact in unique and unpredictable ways, posing both direct and indirect threats and opportunities to an organization. For example, an organization may have trouble procuring raw materials from a supplier because a national union is grieving the supplier's employment practices and a consumer group is boycotting its products.

The *task environment* includes those forces that directly affect the organization's goal achievement. They can involve powerful suppliers and customers, threats from substitutes for the organization's products or services, and rivalries among competitors. For example, influential suppliers can increase prices (and therefore lower an organization's

Figure 4.2**Comprehensive Model for Diagnosing Organizational Systems****A. ORGANIZATION LEVEL****B. GROUP LEVEL****C. INDIVIDUAL LEVEL**

profits) while powerful buyers, such as Costco and Carrefour, can force the organization to supply products or services at lower prices. New products or services can emerge as viable alternatives to what the organization has to offer, such as when frozen yogurt became a popular substitute for the products of ice cream manufacturers. Fierce rivalry among existing competitors and new entrants to the industry can force the organization to be exceptionally responsive to its product offerings and costs if it is to survive and prosper. Together, these forces in the task environment can

play a powerful role in determining an organization's success, whether it is a manufacturing or service firm, a non-profit organization, or a government agency.

While the general environment and the task environment describe the objective pressures an organization faces, the *enacted environment* consists of how organizations perceive and represent their general and task environments. An organization must make sense of environments before they can influence how it adapts to them.⁹ Thus, only the enacted environment affects which organizational

responses are chosen. However, the general and task environments influence whether those responses are successful. For example, members may perceive customers as relatively satisfied with the organization's products and decide to make only token efforts at developing new products. If those perceptions are wrong, the meager product development can disappoint customers further and drive them away. As a result, the organization needs to ensure that its enacted environment accurately reflects the general and task environments if its decisions and actions are to be successful.¹⁰ Effective enactment depends largely on how well the organization can process information to understand the environments. In today's complex and rapidly changing environments, organizations require considerable information processing capability if they are to know how to respond to them. A key element in organization-level diagnosis is assessing how well this capability matches the complexity and uncertainty of the environmental inputs.¹¹

Design Components Figure 4.2 shows that an organization's design is composed of four elements—work processes, structure, management processes, and human resources systems. It is guided by an intermediate input—*strategy*—and a transitional output—*culture*—that need to be considered along with the organization's design. Effective organizations align their strategy to environmental inputs and then fit the design components to each other to jointly promote strategic behaviors. (Chapter 14 describes strategy and organization design interventions.) The design elements also foster certain values and norms shared by organization members that comprise the organization's culture. It influences organization effectiveness outputs. (Chapter 14 discusses organization culture interventions in more detail.)

A *strategy* represents the way an organization uses its human, economic, or technical resources to achieve its goals and to gain a competitive advantage in a particular environment.¹² Because strategy defines how an organization positions itself to compete in an environment, it is shown in Figure 4.2 as an intermediate input between the environment and the four design components. Strategy describes both the ends to be achieved—the objectives—and the means—a broad mission statement that describes how those objectives will be pursued. Objectives include specific targets or outcomes that describe strategic success. They provide explicit direction, set organization priorities, provide guidelines for management decisions, and serve as the cornerstone for organizing activities and setting standards of achievement. The organization's mission defines the long-term purpose of the organization, the range of products or services offered and their differentiated features, the markets and customers served, and the societal

needs addressed. (Chapters 13 and 14 describe strategy interventions.)

Work processes describe the way an organization converts inputs into products and services. It represents the set of core transformation processes, such as development, manufacturing, and distribution, and includes production methods, workflow, and equipment. Two features of work processes can influence other design elements: interdependence and uncertainty.¹³ Work process interdependence involves the extent to which the different parts of a work system are related. High interdependence requires considerable coordination among tasks and groups, such as might occur when departments must work together to bring out a new product. Uncertainty refers to the amount of information processing and decision making required during work performance. Generally, when work processes require high amounts of information processing and decision making, they are difficult to routinize, and employees need to self-manage their work. (Work design interventions are discussed in Chapter 10.)

Structure is the basic organizing logic for dividing the overall operations of an organization into subunits that perform specific tasks and coordinating them for completion of the overall work.¹⁴ Structure, therefore, needs to be closely aligned with the organization's work processes. Organization structure can divide work several ways, by function (e.g., finance, sales, or production), by division (e.g., product, customer, or region), by a combination of both (e.g., a matrix composed of functions and divisions), or by work processes (e.g., new product development or sales and order fulfillment). Structures can coordinate work across subunits through the managerial hierarchy using plans, schedules, and budgets or by a variety of lateral mechanisms such as liaison positions and cross-departmental task forces. The amount of coordination required is a function of the degree to which subunits differ from and are interdependent with each other.¹⁵ As subunit differences and interdependence increase, more sophisticated coordinating mechanisms are required. (Chapter 14 discusses structural interventions.)

Management processes involve administrative methods for dealing with information, making decisions, and controlling the operation of the organization. They are directed at implementing organization strategy, which involves assessing progress toward strategic goals, making necessary adjustments, and communicating the results. Management processes also reinforce structural coordination, monitoring and facilitating effective relationships among interdependent organizational units. All of these administrative methods intend to provide accurate, understandable, and timely information that organization members see as legitimate and useful.

Human resources systems include practices for selecting, developing, and managing the mix of skills, personal characteristics, and behaviors of organization members required by the organization's strategy and technology. Appraisal processes identify whether that expertise is being applied to work effectively, and reward systems compensate performance that contributes to goal achievement based on measured results. (Chapters 11 and 12 discuss specific human resources systems interventions.)

Organization *culture* represents the basic assumptions, values, and norms shared by organization members.¹⁶ Those elements are generally taken for granted and serve to guide members' perceptions, thoughts, and actions. For example, McDonald's culture emphasizes efficiency, speed, and consistency. It orients employees to company goals and suggests the kinds of behaviors necessary for success. Culture initially derives from an organization founder's values and is reinforced and sustained through organization selection and socialization processes. As shown in Figure 4.2, culture is also shaped by the organization's strategy and design components and, together with them, influences organization effectiveness. Because organization culture is personally internalized, it can either hinder or facilitate an organization's ability to change its strategy and organization design components. In diagnosing organizations, the culture needs to be understood well enough to determine its alignment with the organization's strategy and the four design components. (Chapter 14 discusses culture change in more detail.)

Outputs The outputs of organization design are measures of how well the design, along with the organization strategy and culture, contribute to *organization effectiveness*. This can include financial outcomes, such as sales per employee and return on investment, and for nonprofit and government organizations, the costs and quality of benefits delivered. Overall, organization effectiveness reflects how well the organization has met the expectations of different stakeholders having an interest in the organization, including employees and their families, customers and suppliers, and government regulators and societal interest groups.

Alignment Diagnosing the effectiveness of an organization requires knowledge of the above elements to determine the alignment or fit among them.

1. Does the organization's strategy fit with the inputs?

To be effective, an organization's strategy needs to be responsive to the general and task environments. They include external forces, threats, and opportunities that need to be considered in making strategic choices about mission, objectives, and functional policies.

The organization makes those choices based on members' perceptions of the environment (the enacted environment). Thus, the organization's information-processing and strategy-making capabilities must match the information uncertainty of the general and task environments if the organization's perceptions and strategic choices are to accurately reflect external realities. Rapidly changing and complex environments are highly uncertain. In these situations, organizations need to constantly process information and monitor wide segments of their environments; their strategy-making process needs to be flexible, resulting in strategic choices that can quickly be adapted to changing external conditions. (Chapter 14 describes dynamic strategy-making interventions.) Conversely, organizations can periodically assess selected parts of the environment and make strategic choices that are stable over moderate to long periods of time when the information uncertainty of their general and task environments is relatively low.

2. **Do the organization design components fit with each other to jointly support the strategy?** For example, if the organization's strategy is highly flexible and responsive to environmental change, then the design components must mutually support and reinforce agile and adaptable organizational behaviors. Successful firms in Silicon Valley, such as Apple and Oracle, tend to have flexible strategies that promote innovation and change. Their organization design components include leading-edge technologies that are complex and uncertain; flexible structures that emphasize agility and fast responses; management processes that provide rapid information and feedback and promote employee decision making; and human resource policies that select, develop, and reward talented employees. These flexible and agile firms have organization cultures that value technical sophistication, member innovation, and customer loyalty.

Analysis Application 4.1 describes the Steinway organization and provides an opportunity to perform an organization-level analysis.¹⁷ A useful starting point is to examine *outputs* and to ask about the organization's current effectiveness. Steinway has an excellent market share in the high-quality segment of the grand piano market, a series of improving financial measures, and strong customer loyalty. However, the data on employee satisfaction and retention are mixed; there are long-tenured employees, yet some are leaving for other jobs. Financial improvements appear modest when contrasted with industry averages. Understanding the underlying causes of these effectiveness

issues begins with an assessment of the inputs and organization design and then proceeds to an evaluation of the alignments among the different parts.

In diagnosing the inputs, three questions are important.

1. **What is the company's general environment?** Steinway's general environment is only moderately uncertain and complex. It is part of the fine arts culture and is subject to its music trends in different regions. Similarly, Steinway operates globally with manufacturing plants in Germany and the United States and worldwide distribution and sales networks. It faces economic, political, and regulatory demands in different countries. Technologically, Steinway is subject to the latest breakthroughs in piano design, materials, and construction, while these are limited in high-end pianos. Together, these general environmental forces are knowable and can be forecast with some confidence. They paint a picture of relatively moderate uncertainty.
2. **What is the company's task environment?** Steinway is in a reasonably competitive industry, especially with emerging Asian rivals such as Yamaha and Kawai. However, the threat of competitor entry for high-end pianos is fairly low, as is the risk of substitute products. Steinway faces its biggest challenges in a highly skilled labor force with ample job mobility, the need for high-quality wood for top-end pianos, and expanding into a growing yet demanding Asian market.
3. **What is the company's enacted environment?** Overall, Steinway executives' perceptions of the general and task environments appear reasonably accurate. They have chosen to compete largely in the handcrafted upright piano field through a select network of independent dealers. Although they dominate that market segment, senior management may need to pay greater attention to Asian rivals and to expanding sales in that region.

The following questions are important in assessing Steinway's strategy, organization design, and culture:

1. **What is the company's strategy?** Steinway has a sophisticated niche and differentiation strategy. It aims to achieve its strategic objectives by offering a unique and high-quality product to sophisticated artists. Steinway's commitment to this niche strategy could be questioned, however, as its product line includes both Boston and Steinway brands in upright and grand models. No formal mission or goals are mentioned in the application, but it is reasonable to assume that Steinway intends to maintain its dominance in the high-end market. It makes sense to question, however, whether the company's strategic objectives emphasize

profitability or revenue growth, as these imply very different tactics.

2. **What are the company's work processes, structure, management processes, and human resources systems?** Steinway's core technology is highly uncertain and moderately interdependent. The manufacturing process is craft based and dependent on the nature of the materials, with each piano built and adjusted with the specific characteristics of the wood in mind. The technology is moderately interdependent because the major steps in the process are not closely linked in time. The parent company's structure is divisional (pianos and band instruments), with each division having manufacturing, distribution, and sales functions. Management processes are focused heavily on the quality of the product and the production system that creates it. Finally, the human resources system is moderately developed. It includes a reward system that is both hourly and piece rate and a unionized employee relationship. The company is facing an emerging problem of retaining a highly skilled labor force, with craft employees being highly mobile and sought after.
3. **What is the company's culture?** Steinway's dominant focus on high-end pianos, the craft nature of the production process, and the long history of family ties all point to cultural values and norms favoring quality, craftsmanship, and responsiveness. These values are manifest in the way the organization cares for the production process and its employees, caters to its prized customers, and works constantly to retain its first-class image.

Now that the organization inputs, design components, and outputs have been assessed, the crucial question is how well they fit together. The alignment between the environmental inputs and the strategy appears sound. The moderate complexity and uncertainty in the general and task environments argue for a strategy that is flexible enough to address the few critical dependencies but formal enough to control a sophisticated production process. Steinway's focus on the high-end segment of the industry and the moderate breadth in its product line support this flexibility. However, the market for unique high-quality pianos is much smaller than the market for lower-priced uprights and limits the growth potential of sales. Steinway may want to consider broadening its market, particularly in the emerging Asian region. To seriously consider this opportunity, it would need to clarify its strategic goals and policies that are currently ambiguous about growth or profitability. Even so, Steinway must be careful not to broaden its product line too much as this could dilute its strategic focus on the high-end market.

Application 4.1

Steinway & Sons

Steinway & Sons, which turned 170 years old in 2023, is generally regarded as the finest piano maker in the world. Founded in 1853 by the Steinway family, the firm was sold to CBS in 1972, taken private in the 1980s, and sold again in the 1990s to investors who took it public. Steinway & Sons is the piano division of the Steinway Musical Instruments Company that also owns Selmer Instruments and other manufacturers of band instruments (www.steinwaymusical.com). Since going public, Steinway's corporate revenues have grown a compounded 6–7% a year, while earnings per share have advanced, on average, a compounded 11%. The financial performance for Steinway's parent company has been slightly below industry averages.

The Steinway brand remains one of the company's most valuable assets. Despite only 2% of all keyboard unit sales in the United States, Steinway has 25% of the sales dollars and 35% of the profits. Its market share in the high-end grand piano segment is consistently over 80%, with over 1,300 of the world's top pianists performing solely on Steinways and endorsing the brand without financial compensation. Employees at Steinway & Sons manufacturing plants in New York and Germany have been with the company for an average of 15 years, with many of them being descendants of parents and grandparents who worked for the company.

The Environment

The piano market is typically segmented into upright pianos and grand pianos, with the latter being a smaller but higher-priced segment. The private (home) market accounts for about 90% of the upright piano sales and 80% of the grand piano sales, with the balance being sold to institutional customers and professional artists. Sales growth in the piano industry tends to reflect the ups and downs of the global economy. In the United States and Europe, the piano industry has consolidated over the years with only a few legitimate Steinway competitors in the high-end piano market including Baldwin, Bösendorfer, and Fazioli. Growth has come mainly from Asian companies such as Yamaha, Kawai, Young Chang, and Samick, which have rapidly gained global market share in both relatively inexpensive upright pianos and high-priced grand pianos. Today, for example,

Yamaha is the world's largest piano manufacturer with sales of over \$1 billion and a global market share of about 35%. With a strong emphasis on quality, it has been able to emulate and compete with Steinway.

The Steinway Organization

Steinway & Sons offers several different pianos, including two brands (Steinway and the less expensive Boston) and both upright and grand piano models. The company handcrafts its grand pianos in New York and Germany and sells them primarily through more than 200 independent dealers in North and South America. The dealer network is an important part of Steinway's strategy because of its role in the "concert bank" program. Once artists achieve a certain status, they can go to any Steinway dealer, try out different pianos, and pick the one they want to use at a performance for only the cost of bringing the piano to the concert hall. In return for the service, Steinway is given exclusive use of the performer's name for publicity purposes.

Creating a Steinway concert grand piano is an art, an intricate and timeless operation (although alternate methods have been created and improved, the basic process has not changed much). It requires more than 12,000 handcrafted parts and more than a little magic. The tone, touch, and sound of each instrument is unique, and 120 technical patents and innovations contribute to the Steinway sound. The production process involves three major steps that are largely independent of each other: wood drying (takes about a year), parts making, and piano making. Two years are required to make a Steinway grand as opposed to a mass-produced piano that takes only about 20 days.

Almost 430 people work in Steinway's New York plant and all but about 100 of them work in production. They are represented by the United Furniture Worker's union. Seventy-five percent of the workers are paid on a straight-time basis; the others, primarily craft-based artisans, are paid a per-piece rate. Retaining workers has proved increasingly difficult as well-trained Steinway craftspeople are coveted by other manufacturers, and many of them could easily set up their own shop to repair or rebuild older Steinway pianos.

The alignment of Steinway's design components to support its strategy seems to be a good fit. The differentiated high-end strategy requires technologies, structures, and systems that focus on creating sophisticated and unique products and specialized marketing and distribution. Steinway's flexible structure, independent dealer network, and responsive culture seem well suited for that purpose. The work processes are craft based and deliberately nonstandardized. Steinway's functional organization structure promotes specialization and professionalization of skills and knowledge. Management processes are geared to supporting those work processes and sustaining their high quality. Steinway's human resources system supports its responsive production and marketing functions as well as the global nature of the enterprise. The emerging difficulty of retaining key production personnel, however, warrants continuously improved retention systems. Finally, Steinway's culture of quality and responsiveness promotes coordination among the production tasks, serves to socialize and develop people, and establishes methods for moving information throughout the organization. Clearly, any change process at Steinway will have to acknowledge its long-established culture and design an intervention accordingly.

Based on this diagnosis of the Steinway organization, the OD practitioner could engage key stakeholders in a discussion of the strengths and weaknesses in the organization. This might result in clarifying Steinway's strategy and formalizing the strategy-making process. There are obvious advantages to a clearer sense of Steinway's future goals, its businesses, and the relationships among them. In addition to improved human resources systems to retain key production personnel, Steinway might consider collecting, codifying, and retaining key production knowledge in case these workers leave. This would apply to the marketing and distribution functions as well since they control an important interface with customers.

4-3b Group-Level Diagnosis

Work groups are prevalent in all types and sizes of organizations and are increasingly referred to as "teams" in the OD literature. Although there can be technical distinctions, we will use the terms groups and teams interchangeably. They generally consist of a relatively small number of people working together on a shared task either face-to-face or virtually via electronic communication. Work groups can be relatively permanent and perform an ongoing function, or they can be temporary and exist only to perform a certain task or to make a specific decision. Figure 4.2 shows the inputs, design components, outputs, and relational fits for group-level diagnosis. The model is similar to other popular group-level diagnostic models such as Hackman's

task group design model¹⁸ and Mohrman, Cohen, and Mohrman's team-based organizations model.¹⁹

Inputs *Organization design* is the major input to group design. It consists of the design components characterizing the higher-level organization within which the team is embedded—strategy, work processes, structure, management processes, human resources systems, and organization culture. Organization strategy shapes the overall purpose of the group in contributing to the company's competitive advantage and objectives. Work processes rooted in technology determine the characteristics of the team's task. Organization structure specifies where the group fits into the firm's hierarchy and workflow. Management processes influence how much corporate information the team receives and how much decision making and self-control it can exercise. The organization's human resources systems determine the team's membership composition and how its performance is appraised and rewarded. Organization culture influences the norms that groups develop to control member behavior. Information about the organization design context of the work team can greatly improve the accuracy of group diagnosis.

Design Components Figure 4.2 shows that groups have five major design components: goal clarity, task structure, group composition, group functioning, and performance norms.

Goal clarity involves how well the team understands its objectives. Considerable action research shows that goals should be moderately challenging and clearly understood. Their level of attainment should be measured accurately, and feedback of that information to members should be timely.²⁰

Task structure is concerned with how the group's work is designed. Task structures can vary along two key dimensions: coordination of members' efforts and regulation of their task behaviors.²¹ The coordination dimension involves the degree to which team tasks are structured to promote effective interaction among group members. Coordination is important in teams performing interdependent tasks, such as surgical teams and problem-solving groups. The regulation dimension involves the degree to which members can control their own task behaviors and work methods. Self-regulation is essential in teams performing tasks with high levels of uncertainty, like the surgical teams just mentioned. (Chapter 10 discusses OD interventions for designing group task structure.)

Group composition concerns the membership of teams, which can differ on a number of dimensions having relevance to group behavior. Demographic variables—such as age, education, and skills and abilities—can affect how

team members behave and relate to each other. Demographics can determine whether the group is composed of people having task-relevant skills and knowledge, including the interpersonal skills essential for work requiring high levels of coordination among members. People's internal needs and personal traits also can influence group behaviors. Individual differences in social needs can determine whether team membership is likely to be satisfying or stressful.²²

Group functioning is the underlying basis of group life. It involves group processes having to do with how members relate to each other and perform team tasks. The quality of those relationships is particularly important for group performance when tasks require high levels of coordination among members. In some teams, for example, interpersonal competition and conflict among members result in their providing little support and help for each other. Conversely, groups may become too concerned about sharing good feelings and spend too little time on task performance. OD invests considerable effort in helping team members develop healthy interpersonal relations, including an ability and a willingness to share feelings and perceptions about members' behaviors so that interpersonal problems and task difficulties can be worked through and resolved.²³ (Chapter 7 presents interpersonal and group process interventions.)

Performance norms are member beliefs about how the group should perform its task and what levels of performance are acceptable.²⁴ Norms derive from interactions among members and serve as guides to group behavior. Once members agree on performance norms, either implicitly or explicitly, then members routinely perform tasks according to those norms. For example, members of problem-solving teams often decide early in the life of the team that decisions will be made through voting; voting then becomes a routine part of team task behavior. (Chapter 7 discusses interventions aimed at helping groups to develop appropriate performance norms.)

Outputs These include how effectively the group performs its work and how satisfied members are with their membership in the group. Performance can include multiple dimensions such as the team's ability to control or reduce costs, increase productivity, or improve quality. It is a "hard" measure of effectiveness. Members' satisfaction involves how well the group meets their personal needs, which can determine members' willingness to stay in the group and perform in line with its norms.

Alignment Diagnosing group effectiveness requires assessment of how well the group elements described above fit with each other.

1. **Does the group design fit with the inputs?** As shown in Figure 4.2, the key inputs into group design are the higher-level organization design components: strategy, work processes, structure, management processes, human resources systems, and organization culture. When those elements are highly flexible and promote agile and adaptive organizational behaviors, work teams composed of highly skilled and experienced members performing highly interdependent and self-regulating tasks are generally a good fit.²⁵ Conversely, organization-level design components that are bureaucratic and support standardized behaviors largely align with work groups that have clear, quantitative goals and norms and structures that support routine task behaviors and interactions. The underlying rationale is that congruence between the organization design and the group design supports overall integration of task behaviors within the organization. When group designs are not compatible with organization design inputs, groups often conflict with the organization. They may even develop norms that run counter to organizational effectiveness, such as occur in teams supportive of horseplay, goldbricking, and other counterproductive behaviors. Members may be highly satisfied with maintaining their team membership while performing at minimal acceptable levels.
2. **Do the group design components fit with each other?** The nature of a group's task determines how the design components should align with each other to achieve high performance.²⁶ When the task is highly interdependent and requires coordination among group members, goal clarity, task structure, group composition, group norms, and group functioning all need to promote effective task interaction among members. For example, task structure might physically locate related tasks together; group composition might include members with similar interpersonal skills and social needs; group norms would support task-relevant interactions; and group functioning would involve strong interpersonal relations among members. Conversely, when a group's task is independent, the design components should promote individual task performance. The other relevant task dimension concerns task uncertainty, which has to do with the amount of information processing and decision making that need to occur during task performance. When a work team has an uncertain task, then task structure, group composition, group norms, and group functioning should all promote group self-regulation and decision making. Members should have the necessary freedom, information, and skills to assign members to appropriate tasks,

decide on production methods, and set performance goals. On the other hand, when technology is relatively certain, group design components should promote standardized behavior with the team controlled externally by supervisors, schedules, and plans.

Analysis Application 4.2 presents an opportunity to apply group-level diagnosis to a top-management team at MOT, a rapidly growing, cloud-based software developer.

Examination of the team's *outputs* shows that the team is ineffective at problem solving. Members report a backlog of unresolved issues, poor use of meeting time, lack of follow-through and decision implementation, and a general dissatisfaction with the team meetings. Examining group inputs and design components and assessing the fit among them can uncover the causes of those problems.

The key inputs into a work group are the design of the larger organization. MOT is informally designed around functional areas, each specialized in a part of software development, sales, and service. The departments must work together closely to deliver cloud-based software solutions to customers. The company's design components promote a highly entrepreneurial and informal workplace, which provides employees with considerable freedom in performing work and interacting with each other, area leaders, and members from other areas. This fosters participation, flexibility, and innovation. The top-management team's meetings reflect this interdependence among the areas as coordination among team members is needed to resolve company-wide issues. The meetings also involve many issues that are complex and not easily solved, so there is uncertainty in the technology or work process. This ambiguity is typical in a high-tech startup and makes it difficult for a team to determine the causes of problems or to find acceptable solutions. Consequently, members of the top-management team must process considerable information during problem solving.

Diagnosis of the team's design components answers the following questions:

1. **How clear are the group's goals?** The team's goals seem relatively broad yet clear. They are to share pertinent information, deal with issues affecting all the areas, and propose product and organizational innovations. There appears to be less agreement, however, on the specific problems to be addressed. Thus, members come late because they have "more pressing" problems needing attention.
2. **What is the group's task structure?** The team's task structure includes face-to-face interaction during the weekly meetings. This structure enables members from different areas to come together physically to share

information and to solve problems mutually affecting them. It facilitates coordination of problem solving among the areas. The structure also seems to provide team members with the freedom necessary to regulate their task behaviors in the meetings. They can adjust their behaviors and interactions to suit the flow of the discussion and problem-solving process.

3. **What is the composition of the group?** The team is composed of the CEO, the managers of the different work areas, and a few select administrators. All members appear to have task-relevant skills and experience, both in their respective functions and in their administrative roles. They also seem to be interested in solving problems collaboratively. This shared interest suggests that members have job-related social needs and should feel relatively comfortable participating in group problem-solving situations.
4. **What are the group's norms?** Group norms cannot be observed directly but can be inferred from member behaviors. The norms involve member beliefs about how the group should perform its task, including acceptable levels of performance. A useful way to describe norms is to list specific behaviors that complete the sentences "A good group member should . . ." and "It's okay to . . .". Examination of the MOT team's behaviors suggests the following norms:
 - It's okay to come late to team meetings.
 - It's okay to interrupt meetings to respond to phone calls and emails.
 - It's okay to hold meetings longer than the scheduled two hours.
 - A good group member should not openly disagree with others' views.
 - It's okay to vote on decisions.
 - A good group member should be cordial to other members.
 - It's okay to postpone solutions to immediate problems.
 - It's okay not to follow through on previous agreements.
5. **What is the nature of group functioning in the team?** Interpersonal relations among members do not appear effective on the top management team. Members do not seem to confront differences openly. Indeed, the CEO purposely deflects issues when conflicts emerge. Members feel dissatisfied with the meetings but spend little time talking about those feelings. Relationships are strained, but members fail to examine the underlying causes.

The problems facing the team can now be explained by assessing how well the group design fits the inputs. MOT's organization design requires coordinated problem solving among functional areas. The interdependence and

Application 4.2

Top-Management Team at MOT

MOT provides cloud-based software for customer relations management to small- and medium-sized firms in North America. In a little over a decade, the company has grown rapidly with annual revenues of about \$275 million and a workforce approaching 300 product development, sales, and support personnel. MOT has a strong entrepreneurial culture and informal structure with few rules and procedures. Its highly talented and relatively young workforce is afforded considerable freedom and flexibility in how software products are developed, sold, and supported. Tasks and personnel are loosely organized into four areas addressing software development, marketing and sales, service support, and administrative staff. Employees in each area report directly to an area manager who, in turn, reports to the CEO, who founded the company and helped develop and sell its first software application. This flat hierarchy promotes fluid interaction among area members and their manager and, when combined with an informal structure, it enables area members to interact freely with members from other areas on work-related or personal matters.

Initially, MOT's CEO and area managers only met as a team informally when problems arose and circumstances demanded an integrative solution. These were usually quick stand-up discussions aimed at solving a specific problem. Scheduled meetings were frowned upon and rarely occurred. However, as the firm grew in size and complexity, problems needing information sharing and coordinated decision making across the areas escalated. Informal problem-solving meetings increased dramatically as did the number of solutions that were ineffective, delayed, or poorly executed.

Reluctantly, the CEO decided that a more formal problem-solving process was needed. She scheduled a weekly two-hour meeting with the area managers and a few key administrative personnel. This top team was intended to share pertinent information, deal with issues affecting all the areas, propose product and organizational innovations, and address

a host of emergent issues. Members described these meetings as informative but often chaotic in terms of decision making. The meetings typically started late as members meandered in at different times. The latecomers generally offered excuses about more pressing problems occurring elsewhere at the workplace. Once started, the meetings were often interrupted by "urgent" email or phone messages for various members, including the CEO. In most cases, the recipient would leave the meeting hurriedly to respond to the message in the hallway outside the meeting room.

The team had problems arriving at clear decisions on issues, particularly important ones that affected all the areas. Discussions often rambled from topic to topic, and members tended to postpone the resolution of problems to future meetings. This led to a backlog of unresolved issues, and meetings often lasted beyond the two-hour limit. When group decisions were made, members often reported problems in their implementation. They typically failed to follow through on agreements, and there was often confusion about what had been agreed upon. Everyone expressed dissatisfaction with the team meetings and their results.

Relationships among team members were cordial yet somewhat strained, especially when the team was dealing with complex issues in which members had varying opinions and area interests. Although the CEO publicly stated that she wanted to hear all sides of the issues, she often interrupted the discussion or attempted to change the topic when members openly disagreed in their views of the problem. This interruption was typically followed by an awkward silence in the team. In many instances, when a solution to a pressing problem did not appear forthcoming, members either moved on to another issue or informally voted on proposed options, letting majority rule decide the outcome. Team members rarely discussed the need to move on or vote; rather, these habits emerged informally over time and became acceptable ways of dealing with difficult issues.

the uncertainty of the technology result in complex, company-wide issues that require considerable information processing to resolve. The weekly team meetings are an attempt to address and resolve these interdependent and complex problems. The company's organization design promotes involvement in problem solving and the team meetings reflect that participation. The top-management group design fits pretty well with MOT's organization design except for the group norms, which promote team behaviors that fly in the face of complex, interdependent problem solving.

Next, alignment among the group design components is assessed to determine how well they fit together to promote interdependent and complex problem solving. The team's task structure and composition appear to fit the type of issues that the team is meant to address. Face-to-face meetings help to coordinate problem solving among the area managers and, except for interpersonal and group problem-solving skills, members seem to have the necessary task-relevant expertise to address company-wide problems. There appears to be a conflict in the priority between the problems to be solved by the team and those faced by individual area managers. Moreover, as previously identified, there looks to be a mismatch between the demands of the problem-solving task and the team's norms and interpersonal relations. Complex, interdependent problems require norms that support sharing of diverse and often conflicting kinds of information. The norms must encourage members to generate novel solutions and to assess the relevance of problem-solving strategies in light of new issues. Members need to address explicitly how they are using their knowledge and skills and how they are weighing and combining members' individual contributions. The team's norms fail to support complex problem solving; rather, they promote a problem-solving method that is often superficial, haphazard, and subject to external disruptions. Members' interpersonal relationships reinforce adherence to the ineffective norms. Members do not confront personal differences or dissatisfactions with the group process, and their boss reinforces this neglect. Members fail to examine the very norms contributing to their problems. In this case, diagnosis suggests the need for group interventions aimed at improving norms and developing effective interpersonal relationships. (Chapter 7 describes interpersonal and group process interventions.)

4-3c Individual-Level Diagnosis

The final level of organizational diagnosis is the individual job or position. An organization consists of numerous groups; a group, in turn, is composed of several individual jobs. This section discusses the inputs, design components,

outputs, and alignment needed for diagnosing jobs. The model shown in Figure 4.2 is similar to other popular job diagnostic frameworks, such as Hackman and Oldham's job diagnostic survey.²⁷

Inputs Two major inputs affect job design: organization design and group design.

Organization design is concerned with the larger organization within which the individual job is the smallest unit. Organization design is a key part of the larger context surrounding jobs and can have a powerful impact on the way jobs are designed and on people's experiences in them.²⁸ For example, company reward systems can orient employees to particular job behaviors and influence whether people see job performance as fairly rewarded. In general, work processes characterized by relatively uncertain tasks support job designs allowing employees flexibility and discretion in performing tasks. Conversely, low-uncertainty tasks promote standardized job designs requiring routinized task behaviors. Similarly, an organization's culture can influence job designs. The more an organization culture promotes member participation and innovation, the more likely job designs will be highly flexible and involve member decision making.

Group design, like organization design, is an essential part of the context of group members' individual jobs. Group task structure, goal clarity, group composition, group norms, and group functioning serve as inputs to job design. They typically have a more immediate impact on jobs than do the larger, organization design components.²⁹ That is, group task structure can determine how individual jobs are grouped together—as in groups requiring coordination among jobs or in ones comprising collections of independent jobs. Group composition influences the kinds of people who fill the jobs. Their personal characteristics, such as age, skills, and psychological and social needs, can affect how they react to job designs and perform. For example, individuals' growth needs for self-direction and learning can determine their level of satisfaction with jobs having high levels of skill variety, autonomy, and feedback about results. Group norms can affect the kinds of job designs that are considered acceptable, including the level of expected performance. Group functioning can affect how powerfully the norms influence individual-job behaviors. When members maintain close relationships and the group is cohesive, group norms are more likely to be enforced and followed. Finally, goal clarity helps jobholders to prioritize work.

Design Components Figure 4.2 shows that individual jobs have five key dimensions: skill variety, task identity, task significance, autonomy, and feedback about results.³⁰

Skill variety is the degree to which a job requires a range of activities and abilities to perform the work. Assembly-line jobs, for example, generally have limited skill variety because employees perform a small number of repetitive activities. On the other hand, most professional jobs include a great deal of skill variety because people engage in diverse activities and employ several different skills in performing their work.

Task identity measures the degree to which a job requires the completion of a relatively whole, identifiable piece of work. Skilled craftspeople, such as tool-and-die makers and carpenters, generally have jobs with high levels of task identity. They can see a job through from beginning to end. Assembly-line jobs involve only a limited piece of work and score low on task identity.

Task significance identifies the degree to which a job has a significant impact on other people's lives. Custodial jobs in a hospital are likely to have more task significance than similar jobs in a toy factory because hospital custodians are likely to see their jobs as affecting someone's health and welfare.

Autonomy indicates the degree to which a job provides freedom and discretion in scheduling the work and determining work methods. Assembly-line jobs generally have little autonomy; the work pace is scheduled, and people perform preprogrammed tasks. College teaching positions have more autonomy. Professors can usually determine how a course is taught, even though they may have limited say over class scheduling.

Feedback about results involves the degree to which a job provides employees with direct and clear information about the effectiveness of task performance. Assembly-line jobs often provide high levels of feedback about results, whereas college professors must often contend with indirect and ambiguous feedback about how they are performing in the classroom.

Those five job dimensions can be combined into an overall measure of job enrichment. Enriched jobs have high levels of skill variety, task identity, task significance, autonomy, and feedback about results. They provide opportunities for self-direction, learning, and personal accomplishment at work. Many people, especially those with high growth needs, find enriched jobs intrinsically motivating and satisfying. (Chapter 10 discusses job enrichment more fully.)

Outputs Individual-job effectiveness includes two kinds of outputs: those related to how well the job is performed and those having to do with how people experience their job. Performance is measured in terms of the quantity, quality, time, and cost of producing a particular job outcome such as a product or service. Indicators of an

individual's experience of the job include job satisfaction, employee engagement, absenteeism, and intention to leave the job or organization.

Alignment The diagnostic model in Figure 4.2 shows that the job-design elements must align with the inputs and with each other to produce effective job outputs.

1. **Does the job design fit with the inputs?** Job design needs to be congruent with the larger organization design and group design within which the job is embedded. The individual job is the lowest organizational level at which the work of the organization and the group levels is converted into a product or service. Thus, both the organization and the group serve as powerful contexts for how jobs are designed and performed. A highly flexible, participative organization design and a work group with members who are able and satisfied to self-regulate their behavior align with enriched jobs.³¹ These organization and group inputs promote autonomy, flexibility, and innovation at the individual-job level. Conversely, bureaucratic organizations and groups with external controls and members with low growth needs are congruent with standardized, routine jobs. As described earlier, congruence across the designs of the different organizational levels promotes integration of the organization, the group, and the job. Whenever the three levels of design do not fit each other, organizational outputs are likely to be less effective.
2. **Do the job-design components fit with each other?** The five job-design components need to align with each other to provide a clear and consistent direction to how the job should be performed. Enriched job designs that score high on skill variety, task identity, task significance, autonomy, and feedback of results signal the need for flexibility, active engagement, and decision making to perform the job.³² Conversely, traditional job designs that score low on these design components indicate the need for routine and standardized job performances.

Analysis Application 4.3 presents an example of diagnosis of individual-level job design at a European business school. Based on feedback and listening, the manager is considering a change in the job design of a group of staff assistants. The application provides information about the assistants' current job. Diagnosing the individual-level elements and the alignment among them can help to address whether the proposed change makes sense.

Application 4.3

Support Staff Job Design at Neoma Business School

The NEOMA Business School (NBS) is one of France's top "grand écoles" and the result of a merger between the Reims Management School and the Rouen Business School. It offers undergraduate, MBA, specialized masters, and doctoral business-degree programs. To serve this broad range of programs, NEOMA has over 200 faculty members in different academic departments and a support staff that provides administrative help for them. Called the Administrative and Operational Support Unit (AOSU), this group includes four longstanding staff who assist in a variety of tasks related to course syllabi, expense reimbursements, database management, and faculty recruiting, to name a few. The AOSU staff, who had all been at the Reims school before the merger, enjoy a 35-hour work week, generous vacation and health care benefits, and a relaxed academic work environment. They occupy the same large office, appreciate each other's company, and greet professors warmly when they visit the office, usually with some good-natured joking. Each staff assistant is assigned to support a specific set of faculty by name, not academic department. Thus, each assistant services faculty across the different departments, not within a specific department.

The AOSU reports to a manager who, in turn, reports to the associate dean overseeing the faculty and research programs at NEOMA. Other administrative units at the school provide other types of support services related to grading, class scheduling, and communication with students. Although their work is clearly differentiated from that of the AOSU, this separation is not readily obvious to new faculty, and the AOSU staff often have to re-direct faculty requests to the other appropriate offices.

Support procedures at NEOMA are highly formalized and reflect the French tradition of hierarchical control. The AOSU is required to follow the protocols including when and how faculty are to

request services, the quality and speed of service to be achieved, and so on. However, because each professor, class, or department is somewhat unique, the specific tasks or actions cannot always be specified in advance and there are several exceptions and unique situations that arise during each day, month, or year. Faculty recruiting activities, for example, are highly variable, often differing in arrangements for candidate visits to campus.

The AOSU's manager received troubling feedback from faculty, administrative chairs of departments, and the AOSU staff themselves suggesting that the way work was being done in the unit and the level of satisfaction among the staff was not up to the level or standard that everyone wanted. The staff assistants were concerned that requests from faculty in different departments varied greatly in terms of complexity, timing, and urgency. Finance professors might want large spreadsheets to be produced while marketing professors might want different cases prepared. This often required understanding the specific academic needs that differed across the departments. Similarly, the department chairs were concerned because different AOSU staff performed different tasks in different ways. This led to confusion about staff support.

To improve the performance of the AOSU unit and the satisfaction of its staff, the manager, with the counsel of the associate dean, began thinking about how the staff jobs were designed. Were the performance problems and staff discontent due to personal skill differences, inconsistent procedures, or task structure? Before the merger, the staff's work had been assigned by department, not faculty name. Each assistant was responsible for supporting all of the faculty in one or two departments. The manager wondered if returning to this way of working would improve the AOSU's performance and satisfaction of its staff.

A diagnosis of individual-level inputs answers the following questions:

1. **What is the design of the organization within which the individual job is embedded?** The NEOMA Business School strategy is broad with many different

undergraduate and graduate programs. Its organization structure has functional academic departments and support units, and its culture likely reflects typical French higher-education values and norms that favor work processes and management processes that are hierarchical and formal, particularly in support units. This range of

programs, structure, and culture likely translate into AOSU jobs that are moderately enriched, with modest task variety, task identity, and task significance but lower levels of autonomy and feedback of results. The school's functional organization structure also increases the possibility of conflict among its different support units.

2. **What is the design of the group containing the individual jobs?** The AOSU team task structure involves independent jobs with low needs for coordination among them. The tasks are highly standardized yet can vary according to faculty needs, which suggest low to modest levels of team self-regulation and goal clarity. The team composition points to members having personal characteristics in line with employment loyalty and social needs for relating to each other and various faculty. Team norms and group functioning seem to support reliable work behaviors and friendly task and informal relationships.

Diagnosing individual jobs involves the following design components:

1. **How much skill variety is included in the job?** There appears to be a moderate amount of skill variety. Different professors from different departments will have different kinds of requests. As a result, the AOSU staff can expect to perform tasks that meet the requirements of different academic disciplines. However, since other service departments perform other kinds of faculty support, the level of task variety may be lower than it could be.
2. **How much task identity does the job contain?** Sometimes the AOSU staff have to direct faculty to other support units for help that is outside their responsibility but within the teaching support process. This division of the support process reduces the task identity of jobs. For example, the AOSU staff focus on some aspects of faculty support but do not participate in other parts of managing a course from beginning to end. In combination with the lack of feedback (see below), task identity is affected adversely.
3. **How much task significance is involved in the job?** The AOSU jobs score above average on task significance, but it could be higher. By interacting directly with the faculty, the staff are able to see and understand how their work impacts the quality of professors' work. Their job is an integral part of the educational process, which contributes to its task significance.
4. **How much autonomy is included in the job?** There is relatively low autonomy in the AOSU jobs. The formal work procedures afford the staff relatively little discretion over how and when to perform a task. Although there is some opportunities to choose which faculty

request is more important than another, this is insufficient to afford the job a high level of discretion.

5. **How much feedback about results does the job contain?** The AOSU jobholders receive little feedback from the work itself or from others. They likely only hear back from faculty when something goes wrong, so no news is good news. Even the negative performance feedback that caught the eye of their manager was not given directly to them.

Assessing individual-level *outputs* involves measures of performance, job satisfaction, absenteeism, and the like. The AOSU staff assistants perform their tasks well but appear to be frustrated with some aspects of the work, including an uncontrollable amount of variety in their job tasks. The negative feedback from both the staff and the department chairs suggests that the job outputs are variable and inconsistent, not that the work is shoddy.

These poor job outcomes suggest that there may be misalignments between the job design and the inputs or among the job-design components themselves. The broad array of tasks needed to service a diverse mix of professors, programs, and courses suggests the need for flexibility and discretion around job tasks that are relatively certain when addressed individually. However, NEOMA's culture and work processes are quite formal. Enriched jobs would fit the tasks of the AOSU unit, but when the AOSU job components are examined together, the jobs are only moderately enriching. Skill variety is moderate and task significance is high, but the level of task identity, autonomy, and feedback are all relatively low. The significance of the AOSU jobs to the educational process, the core work of NEOMA, appears to be their best feature.

The manager's thoughts about realigning the jobs with the departments rather than the faculty names are interesting in this regard. Much of the unnecessary complexity and variability in the job seems to be coming from the nature of the requests themselves—from different faculty in different departments teaching very different classes at different times. The idea to rearrange the sources of the requests—from alphabetic to departmental—so that all requests come from a similar academic source would smooth out the variability in the types of requests, allow the AOSU staff to develop a better familiarity (task identity) with the academic disciplines they service, and increase task significance further by helping the staff members to see how their work impacts a department rather than an individual professor. Working with a particular department and department chair may also increase job autonomy, as the staff may be better able to prioritize work requests given their understanding of departmental priorities. (Chapter 10 describes interventions for matching people, technology, and job design.)

4-4 Collecting, Analyzing, and Feeding Back Diagnostic Information

In addition to selecting and applying an appropriate diagnostic framework, the diagnostic process involves gathering and analyzing information about the system—the organization, group, or job—and feeding it back to organization members to jointly design a relevant OD intervention. The quality of the information gathered and analyzed, and the effectiveness of the feedback, are vital to the success of the change process. Data collection involves gathering information on the features of one or more of the organization-level systems included in the comprehensive diagnostic model in Figure 4.2. Data analysis organizes and examines the information to discover the underlying causes of the organizational problem or to identify opportunities for future development. Data feedback presents diagnostic information to organization members so they can determine how their system is functioning and what changes are most relevant.

4-4a Data Collection

In most OD processes, practitioners play an active role in gathering data for diagnostic purposes either directly from the organization or indirectly from external data sources, such as industry reports and other relevant accounts. For example, they might interview members of a work team about causes of conflict among members; they might assess company production records about factors contributing to poor product quality; they might examine global economic reviews to help a top-management team do strategic planning. Prior to collecting data directly from the organization, however, OD practitioners establish a diagnostic relationship with organization members who will provide and subsequently use the information.³³ Similar to a contract, it clarifies the data collection process and members’ role in it. A trustworthy diagnostic relationship not only contributes to the validity and subsequent usefulness of the data collection process but to members’ commitment to the change process.

Data collection starts with sampling and includes four major methods for gathering diagnostic information: questionnaires, interviews, observations, and unobtrusive

Table 4.1 Strengths and Weaknesses of Different Data Collection Methods		
Data Collection Method	Primary Strengths	Primary Weaknesses
Questionnaires	▪ Member beliefs and attitudes can be quantified easily ▪ Can gather large amount of data from many people ▪ Inexpensive on a per-person basis	▪ Relatively impersonal ▪ Mechanistic and rigid—assumes all the right questions are asked ▪ Easy to “overinterpret” the data ▪ Response bias
Interviews	▪ Very flexible—can adapt to interviewee and data collection subject ▪ Data is “rich” ▪ Interview process builds rapport and empathy	▪ Relatively expensive ▪ Interviewer responses can be biased ▪ Difficult to code and interpret ▪ Self-report bias
Observations	▪ Collects data on actual behavior rather than reports of behavior ▪ Real time, not retrospective ▪ Adaptive and objective	▪ Difficult to code and interpret ▪ Sampling may be inconsistent ▪ Observer bias and reliability can be questioned ▪ Can be expensive
Unobtrusive measures	▪ No response bias ▪ High face validity ▪ Easily quantified	▪ Privacy, access, and retrieval difficulties ▪ Validity concerns ▪ Difficult to code and interpret

measures. Table 4.1 compares the methods and lists their major advantages and problems. No single method can fully measure the kinds of diagnostic variables important to OD because each has certain strengths and weaknesses.³⁴ For example, perceptual measures, such as questionnaires and surveys, are open to self-report biases, such as respondents' tendency to give socially desirable answers rather than honest opinions. On the other hand, observations are susceptible to observer biases, such as seeing what one wants to see rather than what is really there. Because of the biases inherent in any data collection method, the use of more than one method can increase the chances that the diagnostic information is valid.

Sampling. Application of the different data collection techniques described below invariably raises sampling questions: "How many people should be interviewed and who should they be?", "What events should be observed and how many?", "How many records should be inspected and which ones?" These sampling issues need to be addressed when data are collected from selected members, behaviors, or records, which is often the case when diagnosing organization-level systems. In these situations, it is important to ensure that the sample of people, behaviors, or records represents the characteristics of the entire organization. If done correctly, the sample can provide useful and valid information about the entire organization or unit.

Sampling design can involve considerable technical detail, which is beyond the scope of this text. In situations when satisfactory sampling is critical to gathering valid diagnostic data, OD practitioners need elementary knowledge of sampling or can use professional help if necessary. For example, rudimentary understanding of sampling can be learned from reading J. Daniel's book, *Sampling Essentials: Practical Guidelines for Making Sampling Choices* (Sage, 2012).

Questionnaires. One of the most efficient ways to collect data is through questionnaires or surveys. Because they typically contain fixed-response queries about various features of an organization, these measures can be administered to large numbers of people simultaneously. Also, they can be analyzed and fed back to organization members quickly. Applied research institutes, such as the Center for Effective Organizations at the University of Southern California, and consulting firms, such as McKinsey and Gallup, have developed standardized instruments for measuring most of the organizational features included in the comprehensive diagnostic model shown in Figure 4.2. These questionnaires can also include organization-specific additions, modifications, or

omissions depending on the specific needs and issues of the OD situation.

Like all data collection methods, questionnaires have several drawbacks. Responses are limited to the questions asked and provide little opportunity to probe for additional data or to ask for points of clarification. Questionnaires tend to be impersonal, and employees may not provide honest responses, or they may answer questions in a socially acceptable manner.

Interviews. Interviews are probably the most widely used technique for collecting data in OD. They permit the interviewer to ask direct questions and to probe for further clarification while exploring emergent issues. The interviewer can develop an empathetic relationship with employees, resulting in frank disclosure of pertinent information. Interviews can vary in structure, from asking standardized questions like those in a questionnaire to informally inquiring about broad features of organizational functioning. They can also differ in the number of interviewees, from one-to-one interaction between an OD practitioner and an employee to multiple real-time interactions involving employees in an intact work team or *focus group*.³⁵

A major drawback of interviews is the amount of time required to conduct and analyze them. Personal biases also can distort the data. Like questionnaires, interviews are subject to the self-report biases of respondents and, equally important, to the biases of the interviewer. These problems suggest that interviewers need considerable skills and self-understanding to know their own biases, establish empathy with respondents, and pursue emergent issues.

Observations. One of the more direct ways of collecting diagnostic data is simply to observe organizational behaviors as they occur.³⁶ For example, an OD practitioner can observe the interpersonal relations of members of a work group or simply count the number of times a phone call is answered after three rings in a service department. Observations put the OD practitioner directly in touch with organizational behaviors without having to rely on the biases and distortions inherent in relying on others' perceptions. Observations are also adaptive and can be modified depending on what the practitioner chooses to observe. The major downsides of observations are interpreting the meaning of what is being seen and, of course, the biases of the observer.

Unobtrusive Measures. Unobtrusive data are collected from secondary sources such as company records and archives, not directly from respondents.³⁷ They are especially helpful in diagnosing the organization, group, and job outputs shown in Figure 4.2. For example, unobtrusive

measures might include accounts of absenteeism or tardiness; grievances; quantity and quality of production or service; financial performance; and correspondence with key customers, suppliers, or governmental agencies. Unobtrusive data are free from respondent and consultant biases and provide a relatively objective view of organizational functioning. They tend to be quantified and reported at periodic intervals, permitting statistical analysis of behaviors over time.

The major problems with unobtrusive measures occur in collecting such information and drawing valid conclusions from it. Company records may not be in a form that is usable by the OD practitioner, such as performance data measured only at the department level, not at team or job levels. Unobtrusive data also may have its own built-in biases. Changes in methods of recording data can affect company records independently of what is happening in the organization. Despite these drawbacks, unobtrusive data can serve as a valuable adjunct to other diagnostic measures, such as interviews and questionnaires. For example, they might be used in preliminary diagnosis to identify those organizational units with absenteeism, grievance, or production problems.

4-4b Analyzing Data

Data analysis methods fall into two broad classes: qualitative and quantitative. Qualitative techniques generally are easier to use because they do not rely on numerical data. That fact also makes them more open to subjective biases but also easier to understand and interpret. Quantitative techniques, on the other hand, can provide more accurate readings of the organizational system.

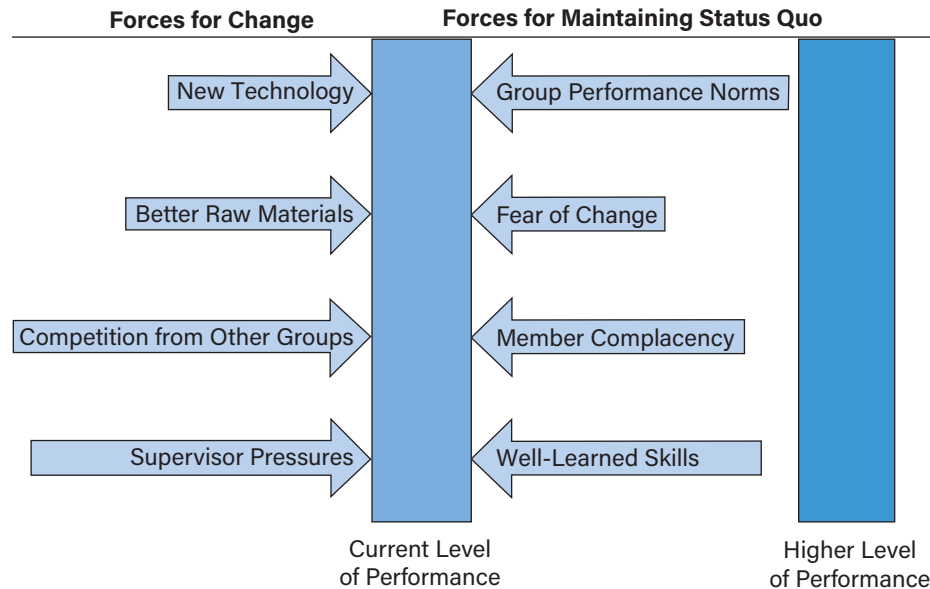
Qualitative Tools Content analysis and force-field analysis are two of the most important methods for qualitatively summarizing diagnostic data. *Content analysis* summarizes comments, such as interview responses, into meaningful categories. It can reduce hundreds of interview comments into a few themes that effectively summarize the issues or attitudes of respondents. Content analysis varies in formality and can use computer-aided text analysis when there is large amounts of data.³⁸ In general, content analysis involves three major steps: (1) reading responses to gain familiarity with the range of comments and to determine whether some answers are occurring repeatedly, (2) generating themes that say essentially the same thing to capture recurring comments, and (3) placing respondents' answers to a question into one of the theme categories. The categories with the most responses represent those themes that are most often mentioned and may reveal important organizational issues that need to be addressed.

Force-field analysis derives from Kurt Lewin's conception of change described in Chapter 2.³⁹ It organizes information into two major categories: forces for change and forces for maintaining the status quo or resisting change. Using data collected through interviews, observations, or unobtrusive measures, the first step in conducting a force-field analysis is to develop a list of all the forces promoting change and all those resisting it. Then, based either on the OD practitioner's judgment or input from organization members, the different forces are rank-ordered or rated on strength to determine the most powerful positive and negative forces.

Figure 4.3 illustrates a force-field analysis of the performance of a work group. The arrows represent the forces, and the length of the arrows corresponds to their strength. The information could have been collected in a group interview in which members were asked to list and rate the strength of those factors maintaining the current level of group performance and those factors pushing for a higher level. This analysis reveals two strong forces pushing for higher performance: competition from other work groups performing similar work and pressures from the supervisor of the team. These forces for change are offset by two strong forces for maintaining the status quo: group norms supporting present levels of performance and well-learned skills that are resistant to change. According to Lewin's research, efforts to change to a higher level of group performance, shown by the darker band in Figure 4.3, should focus on reducing the forces maintaining the status quo as this is likely to result in organizational change with little of the tension or conflict typically accompanying change caused by increasing the forces for change.⁴⁰

Quantitative Tools There are innumerable methods for analyzing quantitative diagnostic data that vary in scope and sophistication. Three of the most utilized in OD are descriptive statistics, relational analysis, and difference tests. They are described here. Their basic statistical foundations can be found in Peck and Case's *Statistics: Learning from Data* (3rd ed., Cengage, 2024) and statistical software packages such as *IBM SPSS Statistics*.

Descriptive statistics such as means, standard deviations, and frequency distributions are straightforward ways to summarize quantitative data. They represent the measure's average score, the spread or variability of its scores, and the number of times a particular score occurred in the measure, respectively. Descriptive statistics are efficient but need to be used together to provide a clear and accurate summary of the data. That is, the mean only describes the average value of a measure with no information on how the scores are distributed. Different patterns of scores can produce the same mean score. The standard

Figure 4.3**Force-Field Analysis of Work-Group Performance**

Source: Figure adapted from D. Nadler, *Feedback and Organization Development*, 1977, Pearson Education, Upper Saddle River, NJ.

deviation along with the frequency distribution can provide a clearer understanding of the mean score. A high standard deviation shows considerable disagreement in the scores comprising the mean, and the frequency distribution reveals how those different scores are spread across the data. These statistics can tell a lot about how members agree or vary on survey measures of various features of their organization.

Relational analysis, such as correlation coefficients, assesses the direction, strength, and significance of the association between different diagnostic measures. For example, a correlation may reveal that the direction of the relationship between employee tenure and intention turnover is negative and large enough to suggest they are actually related. This would imply that increased attention to employee retention efforts might be helpful in addressing a turnover problem. It is important to note, however, that relational analysis can only reveal whether diagnostic measures are related, not that one is causing the other. Causal inference requires additional conditions that are described in Chapter 6 on evaluating OD interventions.

Difference tests, such as t-scores, indicate statistical differences between measures. They can be used to determine whether two groups score differently from each other on a diagnostic measure, whether a group's measure has changed over time, or how a group's measure compares to some standard or norm. All of these applications can be

useful for OD diagnosis. For example, comparing how two interdependent teams each score on measures of conflict and cooperation can guide the design of an intervention aimed at resolving conflict and improving cooperation between them. Comparing how those scores change over time or how the scores match to some standard can aid in assessing the effectiveness of the intervention.

4-4c Feeding Back Diagnostic Data

Perhaps the most important step in the diagnostic process is feeding back the analyzed information to the organization, so members can use it to devise appropriate OD interventions. Although the data may have been collected with members' help, the OD practitioner often organizes and presents it to the organization. Effective application of diagnostic data depends largely on members taking ownership of it and directing their energy toward organizational change. Both the content and the process of feedback influence this commitment.

Content of Feedback Diagnosis often involves a large amount of data, more than members need or can interpret in a realistic period of time. Therefore, feedback information needs to be summarized in ways that enable members to understand and draw action implications from it. Although the techniques for data analysis described here

can inform this task, effective feedback information also needs to be *relevant*, *verifiable*, and *provisional*.⁴¹

Organization members are likely to use feedback data for change when they find the information relevant to their issues or opportunities for improvement. Including members in the initial data collection activities can increase the relevance of the data, as can limiting the feedback to those things that organization members can do something about. Feedback data should allow members to verify whether it is valid and accurately describes their situation. For example, questionnaire data might include information about the sample of respondents as well as frequency distributions for each item or measure. Finally, feedback is primarily a stimulus for action and thus should be treated as provisional to spur further diagnosis and problem solving. Members could be encouraged to use the data as a starting point for more in-depth discussion of organizational issues.

Process of Feedback In addition to providing effective diagnostic data, it is equally important to attend to the process by which it is fed back to the organization. Typically, data are provided to members in a meeting or series of meetings that provide a forum for discussing the data, drawing relevant conclusions, and devising preliminary OD interventions. Participation in these sessions needs to include members experiencing a common problem who can benefit from working on it together. It is important that they have clear boundaries on which issues they can make changes, only recommend changes, or have no control. Because the feedback data might include sensitive material about members' behaviors, participants may have considerable anxiety that can result in defensive behaviors aimed at denying the information or providing rationales. OD practitioners apply their group process skills to manage the feedback process so that constructive discussion and problem solving occur.⁴² They can help members stay focused on the feedback information to facilitate discussion, problem solving, and ownership of the data. This can reduce members' resistance to change and ensure they own the data and are willing take responsibility for using it to devise relevant and feasible organizational changes.

Survey Feedback As discussed in Chapter 1, survey feedback is a major change method in the history and development of OD.⁴³ It is popular today in the form of employee engagement and organization health surveys. It is a powerful intervention and a special case of data feedback, particularly in situations where OD involves organizational systems with large numbers of members. Like the name implies, survey feedback applies the guidance outlined in this chapter on collecting data with questionnaires, analyzing it with quantitative methods, and

addressing the content and process of feeding it back to the organization. Over time, survey feedback has supplemented questionnaire data with selected interviews and other quantitative measures of productivity, absenteeism, and turnover. Another trend is the use of survey feedback to guide the design and implementation of OD interventions involving large-scale organizational change such as those described in Chapters 13–15.

Survey feedback has been used widely in business organizations, schools, hospitals, federal and state governments, and the military. Positive results have been reported in such diverse settings as the staff department of a Norwegian college, an industrial organization in Sweden, and units of the Israeli Army and the U.S. Navy.⁴⁴ Comprehensive reviews of these interventions have reached different conclusions on the effects of survey feedback. Some assessments have suggested that survey feedback can best be viewed as a bridge between the diagnosis of organizational problems and the implementation of organizational changes because little evidence suggests that survey feedback alone will result in changes in individual behavior or organizational output.⁴⁵ Other reviews have concluded that survey feedback can have positive effects on both outcome variables (e.g., productivity, costs, and absenteeism) and process variables (e.g., employee openness, decision making, and motivation), although the pattern and strength of these findings vary across studies.⁴⁶ Success factors rely heavily on the OD expertise of those leading the survey feedback, organization members' understanding of the process, and the extent to which the survey focuses on issues important to participants. Survey feedback also works best when organization members are closely involved in developing and carrying out the survey, management plays an active role in feeding back data to employees and helping them to work with the data, and OD practitioners provide technical assistance in designing, analyzing, and interpreting the survey results.

Application 4.4 describes a comprehensive OD process of collecting, analyzing, and feeding back diagnostic data at C&W, a large electric-utility company in Asia. The firm was facing difficulties with the digital transformation of its extensive network monitoring system and worked with OD practitioners to diagnose the causes of its problems. The following questions can help you apply the key learning of this stage of the OD diagnostic process:

1. How well did the OD practitioners apply the interview, survey, and unobtrusive data collection methods? What changes would you suggest?
2. Do you agree with how the OD practitioners analyzed the diagnostic data? How would you analyze the data?
3. How well did the OD practitioners feed the diagnostic information back to the regional management team?

Application 4.4

Collecting, Analyzing, and Feeding Back Diagnostic Data at C&W

C&W (a fictitious name for privacy purposes) manages the distribution of electricity across a large Asian country. Its employees oversee the operation, maintenance, and development of an extensive distribution network. C&W is responsible for securing and modernizing the network and works hard to stay on top of technological changes in the industry. It was aggressively implementing an electronic metering system that would allow C&W to monitor energy usage, make maintenance updates, and generally contribute to a “smart grid.” This digitalization technology would require significant changes in how work is managed and performed and the human resource practices supporting the workforce. C&W turned to one of its premier regional groups and asked its management team to experiment with alternative structures and work processes, learn how to change more frequently and effectively, and be more adaptable to future changes. The regional director, in turn, contacted OD practitioners with broad experience diagnosing organizations and helping them change themselves. Over a few meetings, the regional management team contracted with the practitioners to assess the organization’s current operations and to facilitate the region’s application of that information to develop requisite changes. The following describes how the OD practitioners collected and analyzed interview, survey, and observational data and fed that information back to the regional management team.

Interview Measures

The OD practitioners began the diagnosis with one-on-one interviews of members of the management team. Standard organization-level issues were probed such as the region’s strategy, structure, and ways of operating; how change and innovation were conducted; and how people and work were managed. The interviews were gradually expanded upward to include executives from C&W’s corporate headquarters. The interview data were content-analyzed for key themes and perspectives. There was strong agreement about the region’s strategy and its role in executing the larger corporate strategy. Most of the regional interviewees expressed the strategy in terms of goals such as improving customer satisfaction, keeping workers safe, and increasing cost

efficiency. However, there was divergence about what that meant. The respondents interpreted the strategy in terms of their respective functional responsibilities. They also varied in how much discretion they experienced in achieving the objectives.

Organizationally, nearly everyone agreed that the region, like other C&W regions, was hierarchically managed and functionally structured. There was also agreement that change and innovation were happening all the time but very slowly. Many interviewees ascribed the slowness to the region’s culture, labor relationships, and the generally slow pace of change in the past. There was also a general sense that change did not happen well because there was no shared or explicit process for managing change or innovation. Finally, there was considerable concern about how well the regional organization coordinated its different functional units.

When the interview data were separated between the regional and corporate headquarters responses, important differences emerged. The C&W corporate executives were able to describe a clear, well-thought-out transition of technology, skills, and work processes to accompany the digitalization transformation. Conversely, while the regional management team knew about the change, they had difficulty describing how it would unfold and the key milestones to be accomplished.

Survey Measures

The OD practitioners also collected survey data from the region. Based on the region’s need to adapt to digital technology, the survey measured various facets of organization agility. These included four categories assessing how well the region was able to (1) keep its strategy aligned to changing conditions; (2) collect and utilize knowledge about technology, customer demands, and regulatory changes; (3) experiment and learn from new ways of delivering service; and (4) manage organizational change.

The seasoned OD practitioners had access to an extensive comparable database and were able to compare the region’s scores to other firms, including those in the electric-power industry. Compared to other power companies, the region scored slightly better on all four categories. The management team

Collecting, Analyzing, and Feeding Back Diagnostic Data at C&W, continued

felt that their regional organization had a more change-friendly identity, a more flexible structure, and a stronger ability to innovate, learn, and change. Compared to a wider set of firms in various industries, there were no dimensions of the four categories where the regional managers rated their organization significantly lower. Thus, contrary to the results of the interviews, the survey data gave a more positive picture of the region's ability to manage and adapt to change.

Unobtrusive Measures

The final dataset consisted of observations and informal chats with the employees of one of the region's local field offices that first implemented the new digital system. Like other regional field offices, several layers of responsibility, administration, and regulations controlled the office's two key functions of maintenance and service operations. Skilled technicians performed the maintenance work that was generally more difficult, more dangerous, and harder to learn than the service function, which required more interpersonal skills to relate effectively with clients and customers.

A key part of the planned digital changes included merging the maintenance and service functions into a multitasked job providing the field office with greater performance flexibility. Beyond that understanding, however, most of the office personnel were not sure what was happening with the digital system implementation. For example, they were unsure and a bit worried about how the maintenance and service jobs were going to be combined and how the required cross-training would happen. They heard indirectly that their union was working with staff at C&W headquarters on this issue.

Feeding Back the Data

The OD practitioners meaningfully summarized the diagnostic information and fed it back to the regional management team in an offsite, two-day retreat. The purpose of the retreat was to jointly interpret what the data implied, openly discuss different interpretations and perspectives of it, and arrive at a sufficient consensus to make preliminary plans for creating needed changes. The practitioners started the retreat facilitating the team to set norms to guide the feedback process and ensure its success. These included openly responding to the data and being nonjudgmental in listening to each other's views. The practitioners facilitated the feedback process. They helped to clarify the data, summarized members' reactions, periodically led the team in assessing its normative behavior, and kept the whole process on track and moving forward.

The team members gradually came to the shared view that their region was indeed struggling to adapt to significant technological change and lacked the ability to make requisite organizational changes in a timely and effective manner. They concluded that their traditionally organized and hierarchically managed region was good at controlling and coordinating routine technical work. However, they were relying too heavily on that strength, trying to plan, measure, and control everything, including the digitalization change process. These change activities require flexibility, experimentation, and learning. Next steps included sharing their feedback interpretations with a wider set of regional stakeholders and then engaging with them to translate the diagnosis into plans for moving in a more agile direction.

Summary

This chapter presented information for diagnosing organizational systems. Diagnosis is a collaborative process involving both organization members and OD practitioners in collecting pertinent data, analyzing them, and drawing implications for OD change. Diagnosis may be aimed at discovering the causes of specific problems, or it may be directed at finding areas for future development.

Diagnosis is based on conceptual frameworks about how organizations function. They serve as road maps,

identifying areas to examine in determining how an organization is functioning. The comprehensive model for diagnosing organizational systems presented here views organizations as open systems operating at three hierarchical levels: organization, group, and job. Each organizational-level system consists of inputs, design components, and outputs. For each organizational-level system, diagnosis involves understanding each of the parts in the model and then assessing how the design components align with each

other and with the inputs to produce outputs. Effective outputs are likely to result from good alignment.

Guided by the comprehensive model, diagnosis collects, analyzes, and feeds back data to organization members. Methods of data collection include questionnaires, interviews, observations, and unobtrusive measures. Methods of analysis include qualitative and quantitative techniques. Qualitative methods, such as content analysis and force-field analysis, are often used to summarize interview data. Quantitative techniques provide descriptive statistics of the data and assess the relationship between diagnostic measures. Quantitative methods can also test

for differences between a group's diagnostic measures and normative measures between two or more groups' data or compare differences in a group's measures over time. Feeding back data to an organizational system involves identifying the content of the data to be fed back and designing a feedback process that ensures ownership of the data. If members own the data, they will be motivated to use it to make relevant organizational changes. Survey feedback is a special application of the data collection and feedback process. It enables OD practitioners to collect diagnostic data from a large number of organization members and to feed back that information to them in an efficient manner.

Notes

1. C. Lundberg, "Organization Development Diagnosis," in *Handbook of Organization Development*, ed. T. Cummings (Sage, 2008).
2. M. Poole and A. Van de Ven, eds., *Handbook of Organizational Change and Innovation* (Cambridge University Press, 2004).
3. M. Weisbord, "Organizational Diagnosis: Six Places to Look for Trouble with or without a Theory," *Group and Organizational Studies* 1 (1976): 430–37.
4. D. Nadler and M. Tushman, *Competing by Design: The Power of Organizational Architecture* (Oxford University Press, 1997).
5. J. Galbraith, *Designing Organizations* (Jossey-Bass, 2002).
6. J. Kotter, *Organizational Dynamics: Diagnosis and Intervention* (Addison-Wesley, 1978).
7. T. Peters and R. Waterman Jr., *In Search of Excellence: Lessons from America's Best-Run Companies* (Harper, 1982).
8. R. Daft, *Organization Theory and Design*, 13th ed. (South-Western, 2020).
9. K. Weick, *The Social Psychology of Organizing*, 2nd ed. (Addison-Wesley, 1979).
10. J. Pfeffer and G. Salancik, *The External Control of Organizations: A Resource Dependence Perspective* (Harper & Row, 1978); H. Aldrich, *Organizations and Environments* (Prentice Hall, 1979); L. Hrebiniak and W. Joyce, "Organizational Adaptation: Strategic Choice and Environmental Determinism," *Administrative Science Quarterly* 30 (1985): 336–49.
11. F. Emery and E. Trist, "The Causal Texture of Organizational Environments," *Human Relations* 18 (1965): 21–32.
12. M. Porter, *Competitive Advantage* (Free Press, 1985); M. Hitt, R. D. Ireland, and R. Hoskisson, *Strategic Management*, 14th ed. (Cengage, 2023).
13. J. Thompson, *Organizations in Action* (McGraw-Hill, 1967); D. Gerwin, "Relationships between Structure and Technology," in *Handbook of Organizational Design*, vol. 2, eds. P. Nystrom and W. Starbuck (Oxford University Press, 1981): 3–38.
14. Galbraith, *Designing Organizations*; Daft, *Organization Theory and Design*.
15. P. Lawrence and J. Lorsch, *Organization and Environment* (Harvard University Press, 1967); J. Galbraith, *Competing with Flexible Lateral Organizations*, 2nd ed. (Addison-Wesley, 1993).
16. K. Cameron and R. Quinn, *Diagnosing and Changing Organizational Culture: Based on the Competing Values Framework*, 3rd ed. (Jossey-Bass, 2011); E. Schein with P. Schein, *Organizational Culture and Leadership*, 5th ed. (Jossey-Bass, 2016).
17. Adapted from material in R. Brammer, "Sizing Up Small Caps: Stay Tuned," *Barrons* (April 19, 2002); A. Serwer, "Happy Birthday, Steinway," *Fortune* (March 17, 2003), 96–98; D. Garvin, "Steinway & Sons," Harvard Business School Case 628-025 (Harvard Business School, 1981); J. Gourville and J. Lassiter, *Steinway & Sons: Buying a Legend* (Harvard Business School Press, 1999).
18. J. Hackman, ed., *Groups That Work (and Those That Don't): Creating Conditions for Effective Teamwork* (Jossey-Bass, 1989).
19. S. Mohrman, S. Cohen, and A. Mohrman, *Designing Team-Based Organizations* (Jossey-Bass, 1995).
20. E. A. Locke and G. P. Lathan, "The Development of Goal Setting Theory: A Half Century Retrospective," *Motivation Science* 5 (2019): 93.
21. G. Susman, *Autonomy at Work* (Praeger, 1976); T. Cummings, "Self-Regulating Work Groups: A Socio-Technical Synthesis," *Academy of Management Review* 3 (1978): 625–34.
22. J. R. Hackman and G. Oldham, *Work Redesign* (Addison-Wesley, 1980).
23. E. Schein, *Process Consultation*, vols. 1–2 (Addison-Wesley, 1987).
24. T. Cummings, "Designing Effective Work Groups," in *Handbook of Organizational Design*, vol. 2, ed. P. Nystrom and W. Starbuck (Oxford University Press, 1981): 250–71.
25. Susman, *Autonomy at Work*; Cummings, "Self-Regulating Work Groups."

26. Ibid.
27. Hackman and Oldham, *Work Redesign*.
28. Hackman and Oldham, *Work Redesign*; J. Pierce, R. Dunham, and R. Blackburn, "Social Systems Structure, Job Design, and Growth Need Strength: A Test of a Congruence Model," *Academy of Management Journal* 22 (1979): 223–40.
29. Ibid.
30. Hackman and Oldham, *Work Redesign*.
31. Hackman and Oldham, *Work Redesign*; J. Pierce, R. Dunham, and R. Blackburn, "Social Systems Structure, Job Design, and Growth Need Strength."
32. Hackman and Oldham, *Work Redesign*.
33. A. Shani and D. Coghlan, *Collaborative Inquiry for Organization Development and Change* (Edward Elgar, 2021).
34. P. Pullman and C. Stawarski, *Data Collection: Planning for and Collecting All Types of Data* (Pfeiffer, 2008); R. Sapsford and V. Jupp, *Data Collection and Analysis*, 2nd ed. (Sage, 2006).
35. R. Krueger and M. Casey, *Focus Groups: A Practical Guide for Applied Research*, 5th ed. (Sage, 2015).
36. P. Yoder and F. Symons, *Observational Measurement of Behavior* (Springer, 2010).
37. E. Webb, D. Campbell, R. Schwartz, and L. Sechrest, *Unobtrusive Measures*, revised ed. (Sage, 2000); R. Lee, *Unobtrusive Methods in Social Research* (Open University Press, 2000).
38. K. Neuendorf, *The Content Analysis Guidebook*, 2nd ed. (Sage, 2017).
39. K. Lewin, *Field Theory in Social Science* (New York: Harper & Row, 1951).
40. Ibid.
41. A. Stopper and J. Staggs, "Feeding Back Data and Action Planning for Organization Development," in *Assessment and Diagnosis for Organization Development*, eds. W. Rothwell, A. Stopper, and J. Myers (CRC Press, 2017).
42. E. Schein, *Process Consulting Revisited: Building the Helping Relationship* (Addison-Wesley, 1998).
43. D. Nadler, *Feedback and Organization Development: Using Data-Based Methods* (Addison-Wesley, 1977).
44. M. Townsend, *To Change or Not to Change: A Qualitative Investigation into Employees' Experiences of a Survey-Feedback Process in Connection to an Organizational Level Health Intervention* (Master's thesis, Norwegian University of Science and Technology, 2016); S. Rubenowitz, Göteborg Universitet, personal communication, 1988; D. Eden and S. Shlomo, "Survey-Based OD in the Israel Defense Forces: A Field Experiment" (Undated manuscript, Tel Aviv University); R. Forbes, "Quo Vadis: The Navy and Organization Development" (Paper presented at the Fifth Psychology in the Air Force Symposium, United States Air Force Academy, Colorado Springs, CO, April 8, 1976).
45. F. Friedlander and L. Brown, "Organization Development," in *Annual Review of Psychology*, eds. M. Rosenzweig and L. Porter (Annual Reviews, 1974); D. Born and J. Mathieu, "Differential Effects of Survey-Guided Feedback: The Rich Get Richer and the Poor Get Poorer," *Group and Organization Management* 21 (1996): 388–404; A. Church, L. Golay, C. Rotolo, M. Tuller, A. Shull, and E. Desrosiers, "Without Effort there can be no Change: Reexamining the Impact of Survey Feedback and Action Planning on Employee Attitudes," in *Research in Organizational Change and Development*, vol. 20 (Emerald, 2012): 223–64.
46. J. Porras and P. O. Berg, "The Impact of Organization Development," *Academy of Management Review* 3 (April 1978): 249–66; J. Nicholas, "The Comparative Impact of Organization Development Interventions on Hard Criteria Measures," *Academy of Management Review* 7 (October 1982): 531–42; G. Neuman, J. Edwards, and N. Raju, "Organizational Development Interventions: A Meta-Analysis of Their Effects on Satisfaction and Other Attitudes," *Personnel Psychology* 42 (1989): 461–83; J. Gavin, "Observation from a Long-Term Survey-Guided Consultation with a Mining Company," *Journal of Applied Behavioral Science* 21 (1985): 201–20.

Designing and Implementing OD Interventions

Learning Objectives

- Describe how to design effective OD interventions.
- Discuss the change activities for implementing OD interventions effectively.

An OD intervention is a sequence of activities, actions, and events intended to help an organization improve its effectiveness and member well-being. Designing OD interventions derives from careful diagnosis and aims to resolve specific problems or take advantage of opportunities for improvement. OD interventions vary from standardized programs that have been developed and used in many organizations to relatively unique programs tailored to the specific needs of the organization.

The various kinds of OD interventions are described in detail in Parts III–VI of this text. This chapter discusses the general process for designing interventions and how to manage the change process to implement them. First, the guidelines for creating an effective intervention and the situational contingencies that affect its success are discussed. Second, the activities needed to implement the intervention are described.

5-1 Designing Effective Interventions

OD interventions involve a set of planned changes intended to help an organization increase its effectiveness, change capability, and member development. They purposely disrupt the status quo to change the organization toward a different and more effective state. Design of OD interventions starts from general criteria that have been shown to produce effective change.¹ Then, the interventions are

tailored to fit contingencies in the change situation that affect their success.

5-1a Criteria for Designing Effective Interventions

Three major criteria define an effective OD intervention. They include the extent to which the intervention (1) fits the needs of the organization, (2) is based on causal knowledge of intended outcomes, and (3) helps members gain competence in managing change.

Fits Needs of Organization The first criterion concerns how well the intervention fits the needs of the organization and its members. This relevance stems from creating an intervention with an *envisioned future* of what members want the organization to look like and become.² Although the organizational diagnosis identifies specific problems or opportunities for change, the envisioned future derives from a more fundamental yet often neglected perspective: the organization's core values and purpose.³ The core values are typically depicted as the culture of an organization, the shared values and norms that guide member decisions and behavior. The core purpose describes why the organization exists, its identity as captured in the organizations' brand and reputation. Together, the core values and purpose provide the context for creating the envisioned future. They shape the outcomes the intervention should achieve and what the organization should look like when those goals are attained.

The envisioned future is specific to the intervention at hand and can vary in complexity and scope depending on the changes being considered. A relatively straightforward team-building intervention may be based on a less complex envisioned future than the transformation of an entire organization. An envisioned future often includes specific performance and human outcomes that the intervention is intended to achieve. It may also include a desired future identifying the organizational features toward which change activities should move. Some envisioned futures include decisively bold, energizing outcomes and compelling and exciting organizational qualities as rallying points for change. These features can have a powerful emotional impact that spurs member commitment to the intervention. The risk is positive emotions can turn negative and give way to rancor if change does not proceed as advertised.

Fitting the intervention to organization needs also derives from *valid information* about the organization's functioning based on diagnostic data that accurately reflect organization members' concerns and issues. Relevance also comes from members having *free and informed choice* for making decisions about the changes that will affect them.⁴ This freedom is an important distinction between "change management," where change can legitimately be imposed on people, and OD, where the intent of the change process is to increase organization effectiveness *and* build members' capacity for change. Finally, intervention relevance stems from member *commitment* to accept ownership of the intervention and to take responsibility for implementing it.

Causal Knowledge of Outcomes The second criterion of an effective intervention involves knowledge of outcomes.

Because interventions are intended to produce specific results, they need to be based on valid causal knowledge that those outcomes can actually be produced. Otherwise, there is no scientific basis for designing an effective OD intervention. Unfortunately—and in contrast to other applied disciplines, such as medicine and engineering—knowledge of OD's intervention effects is in a rudimentary stage of development. Much of the evaluation research lacks sufficient rigor to make strong causal inferences about the success or failure of change programs. (Chapter 6 discusses how to evaluate OD programs rigorously.) Moreover, few attempts have been made to examine the comparative effects of different OD techniques, making it difficult to know whether one intervention is more effective than another.

Given these problems, more research is being directed at systematically studying the strengths and weaknesses of OD interventions and comparing the impact of different techniques on organization effectiveness.⁵ Many of the OD interventions that are discussed in Parts III–VI of this text have been subjected to evaluative research, and the chapters include the research appropriate to them.

Capability to Manage Change The third criterion of an effective intervention involves the extent to which it increases the organization's capability to manage change. The values underlying OD suggest that interventions should facilitate learning how to carry out change activities. Member participation in designing and implementing interventions can help them gain knowledge and skill in managing change. This is essential in today's environments, where technological, economic, and societal changes are rapid and persistent. Many organizations, such as Capital One, General Mills, and Microsoft, recognize this need and systematically build their change capabilities.

5-1b Contingencies in the Change Situation that Affect Intervention Effectiveness

Designing effective OD interventions also requires tailoring them to account for contingencies in the change situation that can affect their success. Although knowledge of contingencies is still at a rudimentary stage of development in OD, specific contingencies for many of the interventions reviewed in this book have been identified. They are presented in respective chapters describing the change programs in Parts III–VI. Discussed here are three generic contingencies for applying OD to different regional contexts, organizational issues, and organizational levels.

Regional Context The application of OD in regions outside of the United States is growing rapidly in line with the globalization of organizations and their environments.⁶ Because OD was developed predominantly by American and western European practitioners, its practices and methods are heavily influenced by the cultural values and the economic conditions of these industrialized countries. Thus, traditional approaches to planned change may conflict with the cultural values and economic development levels of other societies. Answers to the following kinds of questions are essential for designing effective OD interventions in global organizations today. How should OD be conducted in an American firm operating in India or an Indian firm operating in the United States? What does effective OD change look like in developing nations in Africa, Central America, and eastern Europe?

There is a tremendous amount of research on the cultural values and economic conditions of different countries and regions. Some of it has been applied to organizational and management practices in these different regions.⁷ This research suggests that interventions grounded in OD's basic values of open communication, participative decision making, and development of both the organization and its members would likely face difficulties in organizations operating in the Middle East, Central America, and Latin America. Here cultural values tend to accept power disparities among people, assertive behaviors, and the acquisition of material goods. OD interventions, such as team building, high-involvement organizations, and job enrichment, can face problems in those countries yet be welcomed in regions favoring equality, human development, and social consensus such as Scandinavia, western Europe, and the United States.

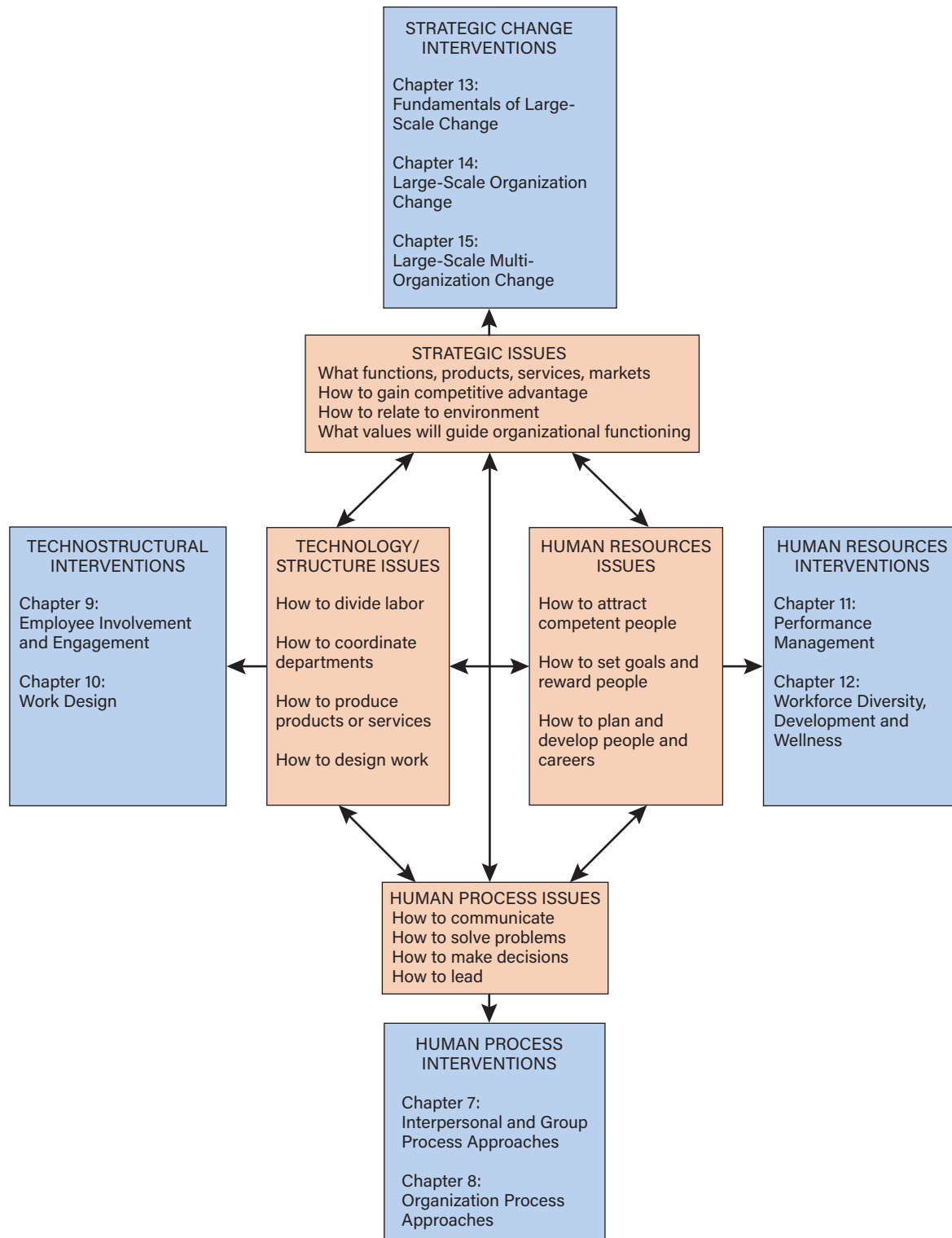
Similarly, research on the economic conditions of different countries suggests that traditional OD interventions pioneered in highly developed economies such as Sweden, Great Britain, and United States may not be suitable for organizations in developing economies such as Malaysia, the Philippines, and Venezuela.⁸ Organizations in these countries tend to rely on technological improvements, efficient operations, and revenue for growth and development. They would likely benefit more from organizational interventions focusing on operations management and industrial engineering than those from OD.

Because regional differences in national culture and economic development can strongly affect the success of OD changes, these contingencies need to be carefully assessed and considered in designing interventions. At the two extremes in regions where cultural values and economic conditions are likely to either support or conflict with OD interventions, design choices are relatively straightforward. In general, the more humanistic the cultural values and the

more developed the economy, the more effective the OD interventions described in this book are likely to be. However, this does not mean that these OD changes should not be applied to organizations in regions with less supportive values and economies. OD practitioners have successfully adapted and tailored interventions to fit the contingencies of organizations in these regions. For example, in Asia, OD tends to be an orderly process where organizational changes are implemented slowly and methodically, and roles and behaviors are highly specified, so change-related uncertainty is reduced.⁹ In South Africa after abolishment of apartheid and the Reconstruction and Development Program, OD interventions in corporations such as Spoor-net, Eskom, and Telkom focused on developing business strategies for entering global markets and acquiring new technologies.¹⁰ Government-mandated affirmative action quotas led to OD interventions focused on revising human resources policies and practices.

Target of Change OD interventions often seek to change specific features or parts of organizations, and the kinds of organizational issues that these changes are targeted to address can impact their effectiveness. Figure 5.1 lists these issues along with the OD interventions intended to resolve them. (The parts and chapters of this book that describe the specific interventions are also identified in the figure.) It shows the following four interrelated issues that are key targets of OD interventions:

1. **Strategic issues.** Organizations need to decide how to relate to their environments and how to transform themselves to keep pace with changing conditions. This includes decisions on what products or services they will provide and the markets in which they will compete. These strategic issues are among the most critical ones facing organizations in today's changing and highly complex environments. Strategic change interventions address these issues.
2. **Technological and structural issues.** Organizations need to decide how to divide work into departments and then how to coordinate among them to support strategic directions. They must also make decisions about how to produce products or services and how to link employees to tasks to accomplish this. Techno-structural interventions deal with these structural and technological issues.
3. **Human resources issues.** These issues are concerned with attracting talented people to the organization, setting goals for them, appraising and rewarding their performance, and ensuring that they develop their careers and sustain their wellness. Human resources management interventions address these issues.

Figure 5.1**Types of OD Interventions and Organizational Issues**

4. **Human process issues.** These issues have to do with social processes occurring among organization members, such as communication, decision making, leadership, and group dynamics. Human process interventions focus on these kinds of issues.

Consistent with systems theory as described in Chapter 4, these organizational issues are interrelated and need to be integrated with one another. The double-headed arrows connecting the different issues in Figure 5.1 represent the linkages among them. Organizations need to match answers to one set of questions with answers to other sets of questions to achieve high levels of effectiveness. For example, decisions about gaining competitive advantage need to fit with choices about organization structure, setting goals for and rewarding people, communication, and problem solving.

The OD interventions presented in this book are meant to resolve these different concerns. As shown in Figure 5.1, particular interventions apply to specific issues. Thus, the design of effective OD interventions needs to create changes fitting the organization's envisioned future and addressing the issues identified in diagnosis. Moreover, because the organizational issues are themselves linked together, OD interventions need to be integrated with one another, so they mutually reinforce member behavior in a strategic direction. For example, a goal-setting intervention aimed at establishing goals for motivating performance may need to be integrated with supporting interventions, such as a reward system that links pay to goal achievement.

The key point in designing effective OD interventions is to think systemically. Changes aimed at one kind of organizational issue will invariably have repercussions on other kinds of issues. Careful thinking about how OD interventions affect the different kinds of issues identified in Figure 5.1, and how different change programs might be integrated to bring about a broader and more coherent impact on organizational functioning, is critical to designing effective OD interventions.

Organizational Levels This last generic contingency concerns the organizational level at which OD interventions are directed: organization, group, or job. OD changes tend to address issues and opportunities occurring at specific organizational levels. Technostructural interventions, such as work design, affect mainly groups and jobs, whereas strategic changes such as organization design impact the total organization. Systems theory shows that these organizational levels are interrelated and can affect each other. Thus, OD interventions aimed at strategic issues can

have a secondary impact on groups and jobs because they set the broad parameters for designing them.

Again, OD practitioners need to think systemically to design effective interventions. The design of OD changes for specific organizational levels needs to account for the possibility of cross-level effects and integrate interventions affecting different levels to achieve overall success. An intervention to create self-managed work teams may need to be linked to human resources management changes in reward systems to promote team-based work.

Application 5.1 describes how Microsoft, under then new CEO Satya Nadella, sought to create an envisioned future by revitalizing its organization culture.¹¹ You can assess how well the design of the intervention fits Microsoft's needs; is based on causal knowledge of intended outcomes; and helps members gain competence in managing change. Also, how well does the design of the intervention fit with Microsoft's regional context and its target of change and organizational level of change?

5-2 Implementing Interventions

The design of effective OD interventions determines the organizational changes needed to implement them successfully. These changes can vary in complexity from improving the decision-making processes of a small work team to transforming the strategies and design features of the whole organization to engaging with multiple organizations in a region to address problems of inequality and poverty. Although organizational change can differ across situations, the activities typically performed in implementing any kind of organizational change are presented here. (Tasks applicable to specific kinds of changes are examined in the chapters on OD interventions in Parts III–VI.)

The OD literature directs considerable attention to managing change.¹² Much of the material is highly prescriptive, advising organizations about how to implement various interventions. Traditionally, change management focused on identifying sources of resistance to change and offering ways to overcome them.¹³ Other contributions have challenged this focus on resistance and have pointed to creating visions of desired futures and managing the organization's transition toward them.¹⁴ Still others have focused on the organizational learning that can accelerate complex change.¹⁵

The diversity of practical advice for implementing OD interventions can be organized into four major activities, as

Application 5.1

Revitalizing the Culture of Microsoft

Soon after Satya Nadella became Microsoft's third CEO following Bill Gates and Steve Ballmer, he faced a growing number of criticisms from a variety of stakeholders. The critiques included an overly competitive culture that discouraged collaboration; a too-slow rate of innovation that prevented it from keeping pace with Google, Apple, and other, more nimble organizations; a strategic focus on sales and margins; and a stock price stuck below \$40 a share. Almost everyone agreed it was time for a shake-up, but almost no one but Nadella had an answer to how to shake up a 40-year-old giant.

Nadella's early moves included streamlining engineering processes, speeding up decision making, describing a "mobile-first, cloud-first" world, announcing a reversal of the closed mindset to an open-source policy, acquiring Minecraft, and divesting the Nokia acquisition. Behind the scenes, however, Nadella envisioned a far deeper set of interventions intended to change the culture at Microsoft. He tapped Kathleen Hogan, who previously led 22,000 employees in Microsoft's Services Business, to head up human resources. And Nadella quickly made it clear that her job was to orchestrate a culture change under the banner of a new "vision and mission." But refashioning a vision or culture cannot be done overnight, nor can it be done by declaration and edict. When Hogan was asked about how one goes about changing the vision, mission, and culture of a 100,000+ person organization, she said, "humbly and intentionally."

Getting Started

Intentionality involved getting input and support from a lot of people. In the first year of the process, Hogan led an elaborate process of employee surveys, roundtable discussions, off-site meetings, and internal focus groups. Hogan and her human resources team conducted a battery of surveys at different levels of the organization. They organized focus groups that looked at different dimensions: sales versus engineering, millennials versus nonmillennials, men versus women, U.S. versus non-U.S. The idea was to take a step back and look at every possible angle, be as inclusive as possible, and work to ensure a culture that reflects both what people already valued about

Microsoft as well as aspirations for an envisioned future.

In a three-day, off-site retreat, Nadella asked his senior leadership team and corporate vice presidents to tackle the company's culture. They examined Microsoft's core beliefs and recognized that some required updating while other beliefs were at the center of Microsoft's long-term success and should not change. At the top of the success list was Bill Gates's legacy of taking on big, bold, ambitious projects as well as a commitment to giving back. Microsoft strongly values taking on big projects and then persisting to achieve them. That tenacity is a hallmark of the organization. Additionally, the spirit of giving is paramount, both through creating technology that matters but also through company and employee philanthropic efforts.

At the retreat, 17 breakout groups addressed the current and future culture at Microsoft. The leader of each breakout group, in turn, became a member of a "culture cabinet." Over the next three months, the culture cabinet provided feedback and guidance to Nadella resulting in a revised Microsoft cultural aspiration grounded in the idea of a "growth mindset." It was aimed squarely at becoming more customer obsessed, more diverse and inclusive, focused on "One Microsoft," and all in the service of making a difference in the lives of employees, customers, and partners.

The Guiding Letter

The guide for the culture change at Microsoft was a letter from Nadella to all Microsoft employees. It opened with Microsoft's new official mission: "Empower every person and every organization on the planet to achieve more." It then described Microsoft's strategy to build best-in-class platforms and productivity services for a mobile-first, cloud-first world—a strategy that addresses the interests of end users, developers, and information technology better than any competing ecosystem or platform.

Nadella then outlined Microsoft's envisioned future in terms of the culture it wanted to create: "We fundamentally believe that we need a culture founded in a growth mindset. It starts with a belief that everyone can grow and develop; that potential

Revitalizing the Culture of Microsoft, continued

is nurtured, not predetermined; and that anyone can change their mindset. Leadership is about bringing out the best in people, where everyone is bringing their A game and finding deep meaning in their work. We need to be always learning and insatiably curious. We need to be willing to lean into uncertainty, take risks, and move quickly when we make mistakes, recognizing failure happens along the way to mastery. And we need to be open to the ideas of others, where the success of others does not diminish our own."

For Microsoft, continuity in its mission and culture is better than disruption. The various parts of Microsoft's culture change are extensions of what has made it successful, not radical departures from its values and identity. A "too different" mission might be viewed suspiciously by organization members as "this is not who we are." But a mission of what could be done by an organization with its ambitions was a

great way to inspire a successful 40-year-old organization operating in over 190 countries.

Early Results

In the first two years of Microsoft's culture intervention, there were measurable strides in its annual employee poll around culture, leadership, and pride to work for the company. Employee churn was reducing, and many of those who had left the company in the past returned. Even with positive feedback from employees and customers about the evolving Microsoft, the company didn't rest on its laurels. Hogan noted the importance to "stay humble and stay the course. Our Senior Leadership Team continues to meet weekly to discuss our progress on our journey, because it is a journey, not a destination. It's important to not declare victory; culture is something you will need to work on in perpetuity to see success."

shown in Figure 5.2. They are listed roughly in the order in which they typically occur. The first activity involves *motivating change* and includes creating a readiness for change among organization members and helping them address resistance to change. The second activity involves *developing political support* among key organizational stakeholders to gain their commitment to implement the changes. The third activity is concerned with *managing the transition* from the organization's current state to its desired future. It involves planning change activities, creating special structures for managing the change process, and developing methods for learning how to change including how to modify the change process when necessary. The fourth activity involves *sustaining momentum* for change so it is carried through to completion. It includes providing resources for implementing the changes, building a support system for change agents, developing new competencies and skills, and reinforcing the new behaviors needed to implement the changes.

The following sections of this chapter discuss more fully each of these change activities.

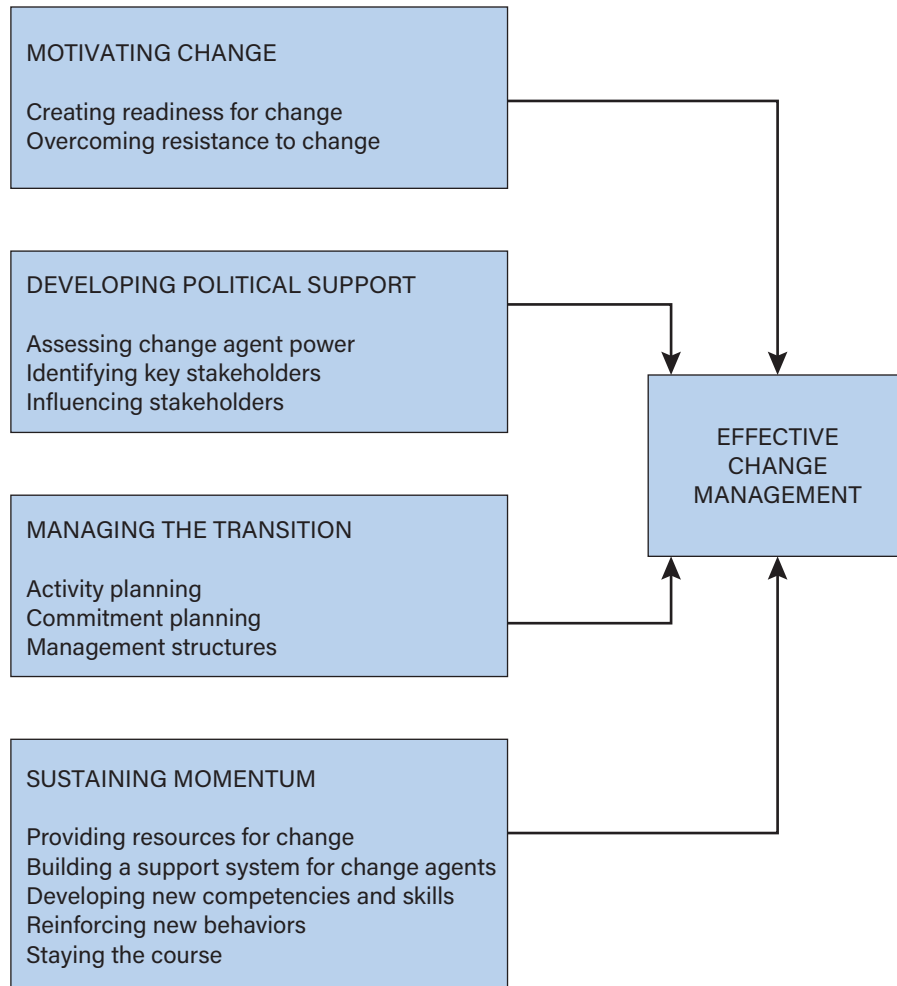
5-2a Motivating Change

Implementing OD interventions involves moving from the known to the unknown. Because the future is uncertain and may adversely affect organization members'

competencies, worth, and coping abilities, they can be predictably cautious about supporting change unless compelling reasons exist to do so. Similarly, organizations tend to be heavily invested in the status quo, and they may resist changing it in the face of uncertain future benefits. Although a participative diagnostic process may contribute to change readiness, how to motivate commitment among members to the changes is often required. As shown in Figure 5.2, motivating change addresses two related tasks: creating readiness for change and lowering resistance to change.

Creating Readiness for Change One of the more traditional axioms of managing change is that people's readiness for change depends on creating a felt need for change. This involves highlighting organization members' dissatisfaction with the status quo and motivating them to try new work processes, technologies, or ways of behaving. Creating sufficient dissatisfaction for change can be difficult, as anyone knows who has tried to lose weight or change some other habitual behavior. Two methods for generating sufficient dissatisfaction to motivate change involve attention to pressures for change and communication of credible positive expectations for change.

Innumerable pressures for change operate both externally and internally to organizations. Before they can serve as triggers for change, however, organization members

Figure 5.2**Activities Contributing to Effective Change Management**

need to pay attention to them. As described in Chapter 1, today's organizations face unprecedented external pressures to change, including globalization of economies, technological disruptions, and geopolitical uncertainties. Internal pressures to change can result from new leadership, mounting performance problems, and growing employee dissatisfaction. Methods for increasing members' attention to these pressures include support for devil's advocacy; cultivation of external networks of people or organizations with different perspectives and views; and persuasive communication of how the organization's current functioning is decidedly below desired states of operation.¹⁶ A major goal of diagnosing, as described in Chapter 4, is to provide members

with feedback about current organizational functioning, so it can be compared with goals or with desired future states. Such feedback can energize action to improve the organization.

Organization members invariably have expectations about the results of organizational changes. The positive approaches to planned change described in Chapter 2, such as appreciative inquiry, suggest that communication of credible positive expectations for the change can play an important role in motivating change. Expectations can serve as a self-fulfilling prophecy, leading members to invest energy in change programs that they expect will succeed. When members expect success,

they are likely to develop greater commitment to the change process and to direct more energy to learning the behaviors needed to implement it.¹⁷ The key to achieving these positive effects is to convey realistic, positive prospects about the organizational changes. Research suggests that information about why the change is occurring, how it will benefit the organization, and how people will be involved in its implementation is most helpful.¹⁸ Organization members can also learn about the benefits of positive expectations and be encouraged to set credible positive expectations for the change program.

Overcoming Resistance to Change This second major task in motivating change addresses the problem of member resistance to change. Implementing OD interventions can generate deep resistance in organization members, thus making it difficult, if not impossible, to implement organizational improvements. Resistance can emerge from personal, organizational, and change-specific sources.¹⁹ At a personal level, change can arouse considerable anxiety about letting go of the known and moving to an uncertain future. People may be unsure whether their existing skills and contributions will be valued in the future or whether they will still be employed. They may have significant questions about whether they can learn to function effectively and to achieve rewards in the new situation. At the organizational level, resistance to change can have technical, political, or cultural sources. The organization may be committed to a particular method of production that results in technical resistance. Conflicts between those who will gain influence and resources from the change and those who will lose them may lead to political resistance. Diversity in existing values, norms, and beliefs may result in cultural resistance. Finally, resistance may be associated with change itself. Organization members might worry about whether the right change is being implemented or if there was a flaw in the change process.

There are at least three major strategies for positively dealing with resistance to change: empathy and support, communication, and participation and involvement.²⁰ Each approach attempts to answer one or more of the following concerns:

1. Is the change necessary,
2. is this the correct change,
3. are the right people involved and supportive,
4. is there a good chance the change will be successful, and
5. what's in it for me?²¹

A key method to overcome resistance is empathy and support for how organization members are experiencing change. This can help to identify those who are having trouble accepting the changes, the nature of their resistance, and possible ways to overcome it. It requires a willingness to suspend judgment and to see the situation from another's perspective, a process called *active listening*.²² When people feel that those responsible for managing change are genuinely interested in their feelings and perceptions, they are likely to be less defensive and more willing to share their concerns and fears. This not only provides useful information about resistance but also helps establish the basis for the kind of joint problem solving needed to overcome barriers to change.

Members resist change when they are uncertain about its causes or consequences. Lack of information fuels rumors and gossip and adds to the anxiety generally associated with change. Communication can help to overcome this uncertainty. Keeping members informed about the changes, why they are occurring, and their likely results can help to allay their fears and realistically prepare them for change. However, communication can readily overload members' attention and frustrate their reaction to change. Organization members constantly receive information about current operations and future plans as well as informal rumors about people, changes, and politics. Communication about organizational change needs to break through this excessive data overload and make change information more salient and useful. One solution is to communicate about change through new or different information channels. If most information is delivered through memos and emails, then communication about organizational change can be delivered through meetings and presentations. Another method is to deliberately substitute change information for normal operating data. This sends a message that changing one's activities is a critical part of one's job.

One of the oldest and most effective strategies for overcoming resistance is member participation and involvement in planning and implementing change. It can lead both to designing high-quality changes and to overcoming resistance to implementing them.²³ Members can provide a diversity of information and ideas. This can contribute to making the intervention effective and appropriate to the situation as well as identifying pitfalls and barriers to implementation. Involvement in planning the changes increases the likelihood that members' interests and needs will be accounted for in the intervention and, consequently, they will be more committed to implementing it.

5-2b Developing Political Support

From a political perspective, organizations can be seen as loosely structured coalitions of stakeholders having different preferences and interests.²⁴ For example, shop-floor workers may want secure, high-paying jobs and top executives may be interested in diversifying the organization into new businesses. The marketing department might be interested in developing new products and markets and the production department may want to manufacture standard products in the most efficient ways. These different stakeholders compete with one another for scarce resources and influence. They act to preserve or enhance their self-interests while managing to arrive at a sufficient balance of power to sustain overall commitment to the organization and achieve effectiveness.

Given this political view, implementing OD interventions can threaten the balance of power among stakeholders, thus resulting in political conflicts and struggles. Individuals and groups may be concerned with how the changes affect their own power and influence, and they will act accordingly. Some stakeholders will become less powerful; others will gain influence. Those whose power is threatened by the changes will act defensively and seek to preserve the status quo. They may try to present compelling evidence that change is unnecessary or that only minor modifications are needed. On the other hand, those stakeholders who will gain power from the changes will push heavily for them, perhaps bringing in seemingly impartial consultants to legitimize the need for change. Consequently, conflicting interests, distorted information, and political turmoil frequently accompany significant organizational changes.

Methods for managing the political dynamics of implementing interventions are relatively recent additions to OD.²⁵ Traditionally, practitioners have neglected political issues mainly because OD's humanistic roots promoted collaboration and power sharing among individuals and groups. Today, they are paying increased attention to power and political activity, particularly as they engage in large-scale organizational change involving most parts and features of organizations (described in Chapter 14). Nonetheless, some practitioners are concerned about whether power and OD are even compatible.

A growing number of advocates suggest that OD practitioners can use power in positive ways.²⁶ They can build their own power base to gain access to other powerful stakeholders within the organization. Without such access, those who influence or make decisions may not have the advantage of an OD perspective. Practitioners can use power strategies that are open and aboveboard

to get those in power to consider OD interventions. They can facilitate processes for examining the uses of power in organizations and help stakeholders devise more creative and positive strategies than political bargaining, deceit, and the like. OD practitioners can help stakeholders confront the need for change and help ensure that the interests and concerns of those with less power are considered. Although power can be used constructively in organizations, there will likely be continued ambivalence about whether such uses promote OD values or whether they represent the destructive, negative side of power. That tension can be healthy and can guide the wise use of power in OD.

Although research on the use of power in implementing OD interventions is still in its infancy, the following three activities can facilitate the effective application of power in organizational change: assessing change agent power, identifying key stakeholders, and influencing stakeholders.

Assessing Change Agent Power The first task is to evaluate change agents' own sources of power. Agents can include key members of the organizational system undergoing change as well as the OD practitioner if professional help is being used. By assessing their power bases, change agents can determine how to use their influence to support change. They also can identify areas in which they need to enhance their sources of power.

Greiner and Schein, in the first OD book written entirely from a power perspective, identified three key sources of personal power in organizations (in addition to one's formal position): knowledge, personality, and others' support.²⁷ Knowledge bases of power include having expertise that is valued by others and controlling important information. OD practitioners, for example, typically gain power through their expertise in organizational change. Personality sources of power can derive from change agents' charisma, reputation, and professional credibility. Charismatic leaders can inspire devotion and enthusiasm for change. Others' support can contribute to change agent power by providing access to information and resource networks. For example, leaders of organizational systems undergoing change can call on their informal networks for resources and support. They can encourage subordinates to exercise power in support of the change.

Identifying Key Stakeholders Important stakeholders can thwart or support organizational change, so it is important to gain their support to minimize the risk that they will block the changes. This includes key stakeholders

within the organization, such as staff groups, unions, and related departments, as well as those external to it, such as customers, suppliers, and regulatory agencies. Identifying key stakeholders can start with the simple question, “Who stands to gain or to lose from the changes?” Once stakeholders are identified, it can be useful to create a map showing the relationships among them in terms of who influences whom and what the stakes are for each party. This would provide essential information about which people and groups need to be influenced to accept and support the changes.

Influencing Stakeholders This activity involves gaining the support of key stakeholders for the changes. It can involve three major strategies for using power to influence others: playing it straight, using social networks, and going around the formal system.²⁸ Playing it straight is the most widely used influence strategy in OD. It involves determining the needs of particular stakeholders and presenting information about how the changes can benefit them. This relatively straightforward approach relies heavily on the change agent’s knowledge base, expertise, and information to persuade stakeholders that the changes are a logical way to meet their needs. This might include diagnostic data revealing productivity and absenteeism problems or educational information explaining how organizational changes can address pertinent issues.

The social networks power strategy involves using social relationships to gain support for changes. This can include forming alliances and coalitions with other powerful stakeholders, dealing directly with key decision makers, and using formal and informal contacts to gain useful information. In this strategy, change agents seek others’ support to gain the resources, commitment, and political momentum needed to implement change. This social networking might include using informal contacts to discover key roadblocks to change or meeting with powerful groups and forming alliances to support specific changes such as union and management cooperative efforts to improve performance and reduce costs.

The power strategy of going around the formal system is probably least used in OD and involves purposely circumventing organizational structures and procedures to get the changes implemented. Existing organizational arrangements can be roadblocks to change, and working around the barriers may be more expedient and effective than taking the time and energy to remove them. This strategy relies on the change agent’s charisma, reputation, or professional credibility to lend legitimacy to going

around the system and to reduce the likelihood of negative reprisals. For example, managers with reputations as winners can often bend the rules to implement organizational changes. Their judgment is trusted by those whose support they need to enact the changes. This power strategy is relatively easy to abuse, however, and OD practitioners should carefully consider the ethical issues and possible unintended consequences of circumventing formal policies and practices.

5-2c Managing the Transition

Implementing organizational change involves moving from an existing way of operating to a desired future one. Such movement does not occur immediately but requires a transition period during which organization members learn how to implement the changes. Beckhard and Harris pointed out that activities during the transition may be quite different from the present way of functioning, and consequently may require special management activities and structures.²⁹ Three major activities and structures facilitate the transition process: activity planning, change-management structures, and learning processes.

Activity Planning Like the name implies, activity planning involves making a road map for change, citing specific activities and events that must occur if the transition is to succeed. These activities also need to be cost-effective, adaptable, and have sufficient organization approval. Activity planning starts from the OD intervention’s envisioned future and proceeds to identify, sequence over time, and integrate change activities needed to create it. Because envisioned futures can be quite general, it may be necessary to set midpoint goals as part of the activity plan.³⁰ Midpoint goals are clearer and more detailed than a desired future state, and thus they provide more concrete and manageable steps and benchmarks for change. They provide members with the direction and security they need to work toward the desired future. For example, if the organization is implementing self-managed work teams, an important midpoint goal can be a certain variety of task and decision skills members should learn by that time.

Change-Management Structures Because organizational transitions tend to be ambiguous and to need direction, special structures for managing the change process may need to be created. These management structures should include people who have the power to mobilize resources to promote change, the respect of organization

leadership and change advocates, and the interpersonal and political skills to guide the change process. Alternative structures for managing the transition could include a senior manager or project manager, a steering committee of representatives from the major stakeholders, or, in large-scale OD changes, a program office with appropriate experts in organizational change and other technical areas.

Learning Processes The learning needed to implement OD interventions involves both the acquisition of new knowledge and skills to perform new work behaviors and the feedback-adjustment process that assesses how the intervention is progressing so alterations can be made when needed. Research suggests that the acquisition of new knowledge and skills is facilitated when organization members understand how their work contributes to organizational functioning and fits with the changes.³¹ The use of informative frameworks and language describing the intervention can help members make sense of the changes and can lower their anxiety and reservations about learning new skills and behaviors. Similarly, engaging in “after-action reviews” or other processes that reflect on members’ change experience can provide the timely and supportive feedback needed for learning new work behaviors.

Closely related to the acquisition of knowledge and skills, feedback and adjustment characterizes the action learning needed to implement the overall OD intervention.³² It comprises an ongoing cycle of implementing and assessing change activities (discussed in the intervention on self-designing organizations in Chapter 14). Members take action to implement the activity plan, then collect relevant data to assess whether the implementation process is progressing as proposed and, if not, make plans to modify it. The core of this feedback-adjustment process is learning to implement change through change. In those cases where the organization is implementing a continuous change intervention (like those described in Chapter 14), action learning may continue indefinitely as new changes are created and implemented repeatedly.

5-2d Sustaining Momentum

This last set of activities for implementing OD interventions involves sustaining energy and commitment for change. The initial excitement and activity of change often dissipate in the face of practical problems associated with learning new ways of operating. Performance may temporarily decline or unanticipated costs may arise. This can steer organization members to return to old behaviors and well-known processes. It can result in ending the change process prematurely. Receiving sustained support and reinforcement for staying the course and carrying the

changes through to completion are needed. The following three activities can help to sustain momentum for carrying change through to completion: providing resources for change, building a support system for change agents, and reinforcing new behaviors.

Providing Resources for Change Implementing organizational change generally requires additional financial and human resources, particularly if the organization continues day-to-day operations while trying to change itself. These extra resources are needed for such change activities as training, consultation, and data collection and feedback. Additional resources can also provide a buffer as performance may drop during the transition period. Because the need for special resources for change can be seriously underestimated, they need to be explicitly planned for and provided if meaningful change is to occur.

Building a Support System for Change Agents Organizational change can be difficult and filled with tension not only for participants but for change agents as well.³³ They often give members emotional support but may receive little support themselves. Change agents typically need to maintain “psychological distance” from others to gain the perspective needed to lead the change process. This separation can produce considerable tension and isolation and change agents may need to create their own support system to help them cope with such problems. This may involve a network of people with whom the change agent has close personal relationships—people who can give emotional support, serve as a sounding board for ideas and problems, and challenge untested assumptions. For example, OD practitioners often use trusted colleagues as “shadow consultants” to help them think through difficult issues with organizations and to offer conceptual and emotional support. Similarly, a growing number of companies, such as AbbVie, Eaton, and Adidas, have formed internal networks of change agents to provide mutual learning and support.

Reinforcing New Behaviors People generally do those things that bring them rewards. Consequently, one of the most effective ways to sustain momentum for change is to reinforce the kinds of behaviors needed to implement the changes. Monetary rewards can be tied directly to the desired behaviors, as can informal recognition and praise.³⁴ Members can also experience intrinsic rewards through active participation in change activities. This involvement can make them feel good about themselves and their behaviors, and thus reinforce the drive to change.

Application 5.2 describes how Driscoll’s, one of the world’s most famous producers and distributors of fresh

Application 5.2

Managing Change at Driscoll's

As a privately owned family business, Driscoll's mission is "To continually delight Berry Consumers through alignment with our Customers and our Berry Growers." Although the company was over 100 years old, it was facing several new and unique challenges, including the demand for scarce resources, such as water, labor, and land. For example, it was increasingly dependent on migrant labor for harvesting and the international labor organizations overseeing this critical stakeholder. The business was becoming more complex as it broadened the types of berries it offered and expanded internationally. Finally, an increasingly sophisticated customer demanded to know how the berries were grown and when their offerings of organic berries were going to be increased.

For Driscoll's, a large proportion of its business came from the relatively mature North American market, and its large size relative to other geographic markets made it an ideal choice to redesign how Driscoll's was going to have to operate in the future. It also made the change risky. The Driscoll's of the Americas (DOTA) organization engaged in a review and redesign of its business model, strategy, organization, and grower relationships. A design team from across the different berry businesses, regions, and functions was brought together to learn about organization design and OD and to engage in a large-scale change process.

Over about six months, the design team analyzed diagnostic data that had been collected and developed guiding principles for designing a new DOTA organization. The proposed organization included a refined business strategy, a new berry-oriented structure that focused attention and resources on optimizing each berry type, a series of "lateral" or horizontal structures that helped to coordinate the businesses with a sophisticated supply chain and other global functions at the headquarters organization, and a set of revised human resources practices. The president of the DOTA organization, a key stakeholder throughout the process, approved of the new design and asked the design team for an implementation approach to guide the transition.

In developing an implementation plan, the design team had long discussions about which parts of the new design should be implemented quickly or could wait. What was the right sequencing of the different changes? Eventually, the team decided that those actions that had immediate and long-term impact on strategy achievement, that provided important building blocks for the effectiveness of other units, functions, or processes, and that had little disruption to current performance should be prioritized for early implementation. Those actions with a high degree of complexity at lower levels in the organization should be implemented later so that the broader context of the design could be established first.

The design team proposed a high-level action plan and a governance structure to guide the overall implementation. For each of these high-level changes, the design team identified specific groups, processes, and structures and proposed more detailed action plans. These implementation activities would be managed locally and within the guiding principles that were used by the design team.

In thinking about the implementation process and its governance, the team identified three broad areas, including the specific roles and structures that were suggested by the action plan, the kind of support that would be needed to allow implementation to move forward, and the most critical elements of support that should be prioritized. For example, it was clear that the DOTA president and his leadership team were key stakeholders in the process and their support was crucial to implementation success. In addition, the design team recognized that other internal stakeholders needed to demonstrate their support and would go a long way in leveraging the leadership team's efforts, that the communication processes had to be planned, that the development of appropriate budgets for implementation were necessary, and that there were key decisions that only the leadership team could make. Although these additional support issues were important, the design team believed that the visible support—in words and deeds—of leadership was the most critical and had to be prioritized for the implementation to succeed.

Managing Change at Driscoll's, continued

Other areas that would be required for implementation included the following.

- The definition of clear roles and responsibilities for the change management, human resources, organization effectiveness, and communications groups.
- The identification and commitment of key resources, such as budget, people, and time, for each phase of implementation and each activity within each phase.
- The development of feedback and monitoring mechanisms to track change progress.
- The development of appropriate training and resources to support the acquisition of necessary skills and knowledge for the new design.
- The recruitment and appointment of local leaders to manage local changes.

The design team proposed that a steering and governance team should manage and monitor the change process. The steering and governance team would report to the DOTA leadership team and be composed of two subgroups.

The Business Leader group would be composed of representative leaders from the different businesses and functions, and they would be responsible for providing collective input into the change, assuring that business needs were being acknowledged and serving as change champions in the organization.

A change management office, called the Implementation Advisory Team (IAT), would be composed of people with expertise in project management, OD, change management, human resources, and communication; a subset of leaders from the business; and members from a Steering Committee and Sponsor Team that had advised the Design Team during the process. The IAT would be chartered to drive the implementation of the action plan in coordination with the businesses and their leaders. It was also responsible for integrating and orchestrating these different change projects and initiatives with other changes taking place in the organization. Finally, the IAT was responsible for ensuring that all of the support activities, such as training, communicating, business decisions, assessments, and feedback/learning processes, were undertaken at the appropriate time.

strawberries, raspberries, blueberries, and blackberries, prepared to manage a large-scale organization redesign process. You can assess how well Driscoll's designed the implementation activities for the OD intervention: motivating change,

developing political support, managing the transition, and sustaining momentum. Also, you can consider how well the change program is likely to work. What problems might it face? What improvements do you suggest?

Summary

This chapter discussed designing, planning, and implementing OD interventions. Designing OD interventions is based on a thorough diagnosis of the organization or subunit. Effective interventions are designed to fit the needs of the organization, are based on causal knowledge of intended outcomes, and transfer competence to manage change to organization members. Researchers have identified three kinds of contingencies on which the success of OD interventions depends. One type of contingency involves the regional context of the change situation and includes the

national culture and stage of economic development of the country within which the intervention is applied. Another has to do with the target of change and includes the organizational issue that the intervention is intended to resolve. The third contingency involves the organizational level at which the intervention is expected to have a primary impact. OD interventions need to be designed to fit these contingencies to achieve expected outcomes.

This chapter also described four kinds of activities that change agents carry out when planning and implementing

changes. The first activity is motivating change, which involves creating a readiness for change among organization members and addressing their resistance. The second concerns developing political support for the changes. Change agents first must assess their own sources of power, then identify key stakeholders whose support is needed for change and devise strategies for gaining their support. The third activity concerns managing the transition of the organization from its current state to the desired future state. This requires planning a road map for the change

activities, as well as planning how to gain commitment for the changes. It also may involve creating special change-management structures and a set of learning processes that accelerate the transition. The fourth change task is sustaining momentum for the changes so that they are carried to completion. This includes providing resources for the change program, creating a support system for change agents, developing new competencies and skills, reinforcing the new behaviors required to implement the changes, and staying the course.

Notes

1. A. Da Ros, M. Vainieri, and N. Bellé, "An Overview of Reviews: Organizational Change Management Architecture," *Journal of Change Management* 23 (2023): 113–42; I. Mladenova, "Relation between Organizational Capacity for Change and Readiness for Change," *Administrative Sciences* 12 (2022): 135–50.
2. J. Collins and J. Porras, *Built to Last* (Harper Business, 1994).
3. J. Anwar and S. Hasnu, "Ideology, Purpose, Core Values and Leadership: How They Influence the Vision of an Organization," *International Journal of Learning and Development* 3 (2013): 168–84; J. Amis, T. Slack, and C. Hinings, "Values and Organization Change," *Journal of Applied Behavioral Science* 38 (2002): 436–65; E. Lawler and C. Worley, *Built to Change* (Jossey-Bass, 2006).
4. C. Argyris, *Intervention Theory and Method: A Behavioral Science View* (Addison-Wesley, 1970).
5. C. Worley, S. Mohrman, and J. Nevitt, "Large Group Interventions: An Empirical Field Study of Their Composition, Process, and Outcomes," *Journal of Applied Behavioral Science* 47 (2011): 404–31; R. Woodman, J. Bingham, and F. Yuan, "Assessing Organization Development and Change Interventions," in *Handbook of Organization Development*, ed. T. Cummings (Sage, 2008), 187–215; M. Beer, "Developing an Effective Organization: Intervention Method, Empirical Evidence, and Theory," in *Research in Organizational Development and Change*, vol. 19, eds. W. Pasmore, A. B. Shani, and R. Woodman (Emerald, 2011): 1–54.
6. J. Neumann, M. Chung, and C. Worley, "Ready for Consideration: International Organizational Development and Change as an Emerging Field of Practice," *Journal of Applied Behavioral Science* 45 (2009): 171–85; S. Camden-Anders and T. Knott, "Contrasts in Culture: Practicing OD Globally," in *Global and International Organization Development*, 5th ed., eds. P. Sorensen, T. Head, T. Yaeger, and D. Cooperrider (Stipes, 2011); T. Yaeger, T. Head, and P. Sorensen, *Global Organization Development: Managing Unprecedented Change* (Information Age, 2006).
7. N. Richter, J. Strandkov, S. Hauff, and V. Taras, *International Business Strategy and Cross-Cultural Management* (Edward Elgar, 2022); K. Stahl, C. Miska, H. Lee, and M. Sully De Luque, "The Upside of Cultural Differences: Towards a More Balanced Treatment of Culture in Cross-Cultural Management Research," *Cross Cultural and Strategic Management* 24 (2017): 2–12; G. Hofstede, *Culture's Consequences* (Sage, 1980); *International Journal of Cross Cultural Management* (Sage).
8. M. Tadaro and S. Smith, *Economic Development*, 13th ed. (Pearson, 2020); T. Head and J. Cicarelli, "The Role of a Country's Economic Development in Organization Development Implementation," in *Global and International Organization Development*, eds. P. Sorensen, T. Head, T. Yaeger, and D. Cooperrider (Stipes, 2011): 25–34.
9. K. Johnson, "Estimating National Culture and O.D. Values," in *Global and International Organization Development*, eds. P. Sorensen, T. Head, T. Yaeger, and D. Cooperrider (Stipes, 2011): 329–44; Jaeger, "Organization Development and National Culture."
10. G. Sigmund, "Current Issues in South African Corporations: An Internal OD Perspective" (Unpublished master's thesis, Pepperdine University, 1996).
11. This application was developed based on the following materials: S. Nadella with G. Shaw and J. Nichols, *Hit Refresh: The Quest to Rediscover Microsoft's Soul and Image a Better Future for Everyone* (Harper, 2017); J. Hempel, "Microsoft in the Age of Satya Nadella," *Wired* (February 2015), <https://www.wired.com/2015/01/microsoft-nadella/>; T. Bishop, "Exclusive: Satya Nadella Reveals Microsoft's New Mission Statement, Sees 'Tough Choices' Ahead" (Geekwire, June 25, 2014), <https://www.geekwire.com/2015/exclusive-satya-nadella-reveals-microsofts-new-mission-statement-sees-more-tough-choices-ahead/> on

- July 30, 2017; E. Salinas, "Leading Microsoft with Kathleen Hogan," *The Women in Tech Show* (2016), <https://thewomenintechshow.com/transcript-leading-microsoft-with-kathleen-hogan/>.
12. W. Bridges and S. Bridges, *Managing Transitions: Making the Most of Change* (Da Capo Press, 2017); W. Burke, *Organization Change: Theory and Practice*, 5th ed. (Sage, 2017).
 13. L. Coch and R. French, "Overcoming Resistance to Change," *Human Relations* 1 (1948): 512–32; J. Kotter and L. Schlesinger, "Choosing Strategies for Change," *Harvard Business Review* 57 (1979): 106–14; R. Ricardo, "Overcoming Resistance to Change," *National Productivity Review* 14 (1995): 28–39; A. Armenakis, S. Harris, and K. Mossholder, "Creating Readiness for Organizational Change," *Human Relations* 46 (1993): 681–704.
 14. S. Piderit, "Rethinking Resistance and Recognizing Ambivalence: A Multidimensional View of Attitudes Toward an Organizational Change," *Academy of Management Journal* 25 (2000): 783–94; B. Mathews and C. Linski, "Shifting the Paradigm: Reevaluating Resistance to Organizational Change," *Journal of Organizational Change Management* 29 (2016): 963–72; E. Dent and S. Goldberg, "Challenging 'Resistance to Change,'" *Journal of Applied Behavioral Science* 35 (March 1999): 25; M. Weisbord, *Productive Workplaces* (Jossey-Bass, 1987); R. Beckhard and W. Pritchard, *Changing the Essence* (Jossey-Bass, 1991); J. Collins and J. Porras, *Built to Last* (Harper Business, 1994); J. Conger, G. Spreitzer, and E. Lawler, *The Leader's Change Handbook* (Jossey-Bass, 1999).
 15. P. Tolchinsky, "Accelerating Change: New Ways of Thinking About Engaging the Whole System," *Organization Development Journal* 33 (2015): 45–63; R. Tenkasi, S. Mohrman, and A. Mohrman, "Accelerated Learning During Organizational Transition," in *Tomorrow's Organization: Crafting Winning Capabilities in a Dynamic World*, eds. S. Mohrman, J. Galbraith, E. Lawler, and Associates (Jossey-Bass, 1998).
 16. M. Vakola, "What's in There for Me?: Individual Readiness to Change and the Perceived Impact of Organizational Change," *Leadership and Organization Development Journal* 35 (2014): 195–209; A. Rafferty, N. Jimmieson, and A. Armenakis, "Change Readiness: A Multilevel Review," *Journal of Management* 39 (2013): 110–35.
 17. M. Choi and W. Ruona, "Individual Readiness for Organizational Change and its Implications for Human Resource and Organization Development," *Human Resource Development Review* 10 (2011): 46–73.
 18. D. Eden, "OD and Self-Fulfilling Prophecy: Boosting Productivity by Raising Expectations," *Journal of Applied Behavioral Science* 22 (1986): 1–13; L. Szamosi and L. Duxbury, "Development of a Measure to Assess Organizational Change," *Journal of Organizational Change* 15 (2002): 184–201.
 19. B. Mathews and C. Linski, "Shifting the Paradigm: Reevaluating Resistance to Organizational Change," *Journal of Organizational Change Management* 29 (2016): 963–72; J. Ford and L. Ford, "Resistance to Change: A Reexamination and Extension." In *Research in Organizational Change and Development*, vol. 23, eds. A. Shani and D. Noumair (Emerald, 2015): 211–39; B. Burnes, "Understanding Resistance to Change—Building on Coch and French," *Journal of Change Management* 15 (2015): 92–116; R. van Dijk and R. van Dick, "Navigating Organizational Change: Change Leaders, Employee Resistance and Work-Based Identities," *Journal of Change Management* 9 (2009): 143–63; P. Block, *Flawless Consulting: A Guide to Getting Your Expertise Used* (Learning Concepts, 1981); S. Piderit, "Rethinking Resistance and Recognizing Ambivalence"; D. Self and M. Schraeder, "Enhancing the Success of Organizational Change: Matching Readiness Strategies with Sources of Resistance," *Leadership and Organization Development Journal* 30 (2009): 167–82.
 20. D. Kirkpatrick, ed., *How to Manage Change Effectively* (Jossey-Bass, 1985); J. Ford and L. Ford, "Stop Blaming Resistance and Start Using It," *Organizational Dynamics* 39 (2009): 24–36.
 21. M. Pardo-del-Val, C. Martinez-Fuentes, and S. Roig-Dobon, "Participative Management and Its Influence on Organizational Change," *Management Decision* 50 (2012): 1843–60; Self and Schraeder, "Enhancing the Success of Organizational Change."
 22. H. Younger, *The Art of Active Listening: How People at Work Feel Heard, Valued, and Understood* (Berrett-Koehler, 2023)
 23. Pardo-del-Val, Martinez-Fuentes, and Roig-Dobon "Participative Management and Its Influence on Organizational Change"; J. O'Toole and E. Lawler, *The New American Workplace* (Palgrave Macmillan, 2006).
 24. D. Swenson and J. Conbere, "Stakeholder Management in Organization Development," *Organization Development Review* 53 (2021): 15–22; P. Fleming and A. Spicer, "Power in Management and Organization Science," *Academy of Management Annals* 8 (2014): 237–98; J. Pfeffer, *Power in Organizations* (Pitman, 1982).
 25. G. Maes and G. Van Hootegeem, "Power and Politics in Different Change Discourses," *Administrative Sciences* 12 (2022): 64–82.
 26. D. Buchanan and R. Badham, *Power, Politics, and Organizational Change*, 2nd ed. (Sage, 2008); T. Bateman, "Organizational Change and the Politics of Success," *Group and Organization Studies* 5 (June 1980): 198–209; A. Cobb, "Political Diagnosis: Applications in Organization Development," *Academy of Management Review* 11 (1986): 482–96; L. Greiner and V. Schein, *Power and Organization Development: Mobilizing Power to Implement Change* (Addison-Wesley, 1988).
 27. Greiner and Schein, *Power and Organization Development*.
 28. Ibid.
 29. R. Beckhard and R. Harris, *Organizational Transitions: Managing Complex Change*, 2nd ed. (Addison-Wesley, 1987).

30. Ibid.
31. R. Tenkasi, S. Mohrman, and A. Mohrman, "Accelerated Learning During Organizational Transition," in *Tomorrow's Organization*, eds. S. Mohrman, J. Galbraith, E. Lawler, and Associates (Jossey-Bass, 1998).
32. Mohrman and Cummings, *Self-Designing Organizations*.
33. A. Garden, *The Roles of Organization Development* (Routledge, 2015).
34. C. Worley and E. Lawler, "Winning Support for Organizational Change: Designing Employee Reward Systems That Keep on Working," *Ivey Business Journal* (March/April 2006), <http://iveybusinessjournal.com/publication/winning-support-for-organizational-change-designing-employee-reward-systems-that-keep-on-working/>; S. Stumpf, W. Tymon Jr., N. Favorito, and R. Smith, "Employees and Change Initiatives: Intrinsic Rewards and Feeling Valued," *Journal of Business Strategy* 34 (2013): 21–29.

Evaluating and Reinforcing Organization Development Interventions

Learning Objectives

- Illustrate the research design and measurement issues associated with evaluating organization development (OD) interventions.
- Explain the key elements in the process of reinforcing OD interventions.

This chapter focuses on the final stage of the OD cycle: evaluation and reinforcement. *Evaluation* is concerned with providing feedback to OD practitioners and organization members about the progress and impact of interventions. Such information may suggest the need for further diagnosis and modification of the change program, or it may show that the intervention is successful. *Reinforcement* is a process for supporting and maintaining a particular change for an appropriate period of time. It ensures that the results of successful change programs continue.

Evaluation processes consider both the implementation success of the intended intervention and the long-term results it produces. Two key aspects of effective evaluation are measurement and research design. The persistence of intervention effects is examined in a framework showing the organization characteristics, intervention dimensions, and processes contributing to reinforcement of OD interventions in organizations.

6-1 Evaluating Organization Development Interventions

Assessing OD interventions involves judgments about whether an intervention has been implemented as intended and, if so, whether it is having desired results. Organization members investing resources in OD efforts are increasingly being held accountable for results—being asked to justify

the expenditures in terms of hard, bottom-line outcomes. More and more, organizations are asking for rigorous assessment of OD interventions and are using the results to make important resource allocation decisions about OD, such as whether to continue to support the change program, to modify or alter it, or to terminate it and try something else. And, like the field of medicine, there is a growing interest in *evidence-based management*, where

decisions and organizational practices are informed by the best available scientific evidence.¹ Rigorously evaluating OD interventions can provide practitioners and members with the scientific evidence essential to make wise and effective choices about OD interventions.²

There are two distinct types of OD evaluation: *implementation feedback*, intended to guide the implementation of interventions, and *evaluation feedback*, aimed at assessing their overall outcomes. The key issues in evaluation are measurement and research design.

6-1a Implementation and Evaluation Feedback

Most discussions and applications of OD evaluation suggest that it is something done after intervention. It is typically argued that once the intervention is implemented, it should be assessed to discover whether it is producing the intended effects. For example, a successful job enrichment program (see Chapter 10) is expected to lead to higher employee performance and satisfaction. After implementing job enrichment, evaluation would involve assessing whether these positive results indeed did occur. This view of evaluation is only partially correct. It assumes that OD interventions have been implemented as planned and that the key purpose of evaluation is to assess their effects. However, in many, if not most, OD programs, implementing interventions cannot be taken for granted.³ Most OD interventions require significant changes in members' behaviors and organization characteristics, but they typically offer only broad prescriptions for how such changes are to occur. For example, job enrichment calls for adding discretion, variety, and meaningful feedback to employees' jobs. Implementing such changes requires considerable experimentation and learning as employees discover how to translate these general prescriptions into specific job behaviors and procedures. This learning process involves considerable trial and error and needs to be guided by information about whether behaviors and procedures are being changed as intended.⁴ Consequently, OD evaluation needs to include both "during-implementation" assessments about if and how well changes are being implemented and "after-implementation" evaluation of whether they are producing expected results.

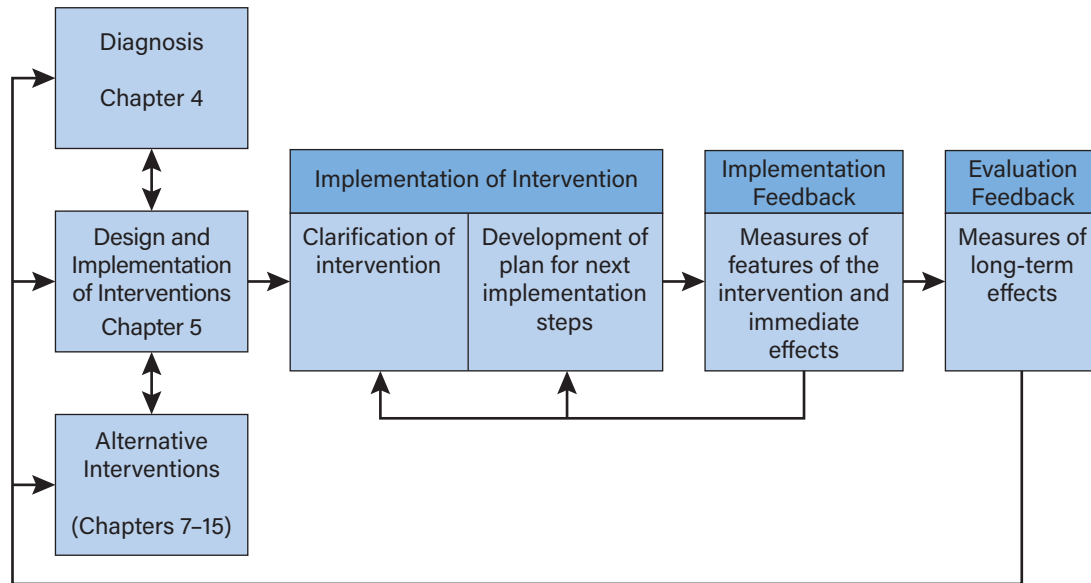
Both kinds of evaluation provide organization members with feedback about interventions. Implementation feedback is targeted at guiding the change process, and evaluation feedback is aimed at discovering intervention outcomes. Figure 6.1 shows how the two kinds of feedback fit with the diagnostic and intervention stages of OD. The application of OD to a particular organization

starts with a thorough diagnosis of the situation (Chapter 4). It identifies specific organizational problems or areas for improvement, as well as the likely causal mechanisms underlying them. Next, from an array of possible interventions (Chapters 7–15), one or some set is chosen to improve the organization. This choice is based on knowledge linking interventions to diagnosis and implementation (Chapter 4).

In most cases, the intervention chosen provides general guidelines for change and leaves members with the task of learning how to translate those guidelines into specific behaviors and procedures. Implementation feedback informs this learning process by providing data about the implementation of the different features of the intervention and their immediate effects. These data are collected repeatedly and at short intervals. They provide a series of snapshots about how the intervention is progressing. Organization members can use this feedback (1) to gain a clearer understanding of the intervention (the kinds of behaviors and procedures required to implement it) and (2) to plan for the next implementation steps. This feedback-adjustment learning cycle might proceed for several rounds, with each round providing members with knowledge about the intervention and ideas for the next stage of implementation.

Once implementation feedback shows that the intervention is sufficiently carried out, evaluation feedback begins. In contrast to implementation feedback, it is concerned with the overall effect of the intervention on intended outcomes. It drives decisions about whether resources should continue to be allocated to the intervention or to other possible changes. Evaluation feedback takes longer to gather and interpret than implementation feedback. It may include a broad array of outcome measures, such as the quantity and quality of performance, job satisfaction, and employee turnover. Negative results on these measures inform organization members either that the initial diagnosis was seriously flawed or that the wrong intervention was chosen. Such feedback might prompt additional diagnosis and a search for a more effective intervention. Positive results, on the other hand, reveal that the intervention produced expected outcomes and might prompt a search for ways to reinforce the changes, making them more engrained in the organization's normal functioning.

The job enrichment example can help to clarify the OD stages and feedback linkages shown in Figure 6.1. Suppose the initial organizational diagnosis reveals that employee performance and satisfaction are low and that jobs are highly structured and routinized, which is an underlying cause of this problem. A review of alternative

Figure 6.1**Implementation and Evaluation Feedback**

OD interventions to improve productivity and satisfaction, such as goal setting and performance management, suggests that job enrichment is the most applicable change for this situation. Job enrichment theory proposes that increasing job discretion, task variety, and feedback can lead to improvements in work motivation and satisfaction, and these effects are especially strong for employees with growth needs for challenging forms of work. Initial diagnosis shows that most of the employees have high growth needs and that the existing job design thwarts the fulfillment of these needs. Therefore, job enrichment seems particularly suited to this situation.

Managers and employees now start to translate the general prescriptions offered by job enrichment theory into specific behaviors and practices. At this stage, the intervention is relatively broad and must be tailored to fit the specific job situation. To implement the intervention, organization members must learn the following kinds of behaviors and practices to make job enrichment happen: participatory styles of supervision and decision making (job discretion), inspecting job outputs (task variety), and quicker and more specific information about job performance (feedback).

After about three months of learning how to make these changes, implementation feedback is used to assess how the intervention is progressing. Questionnaires (similar to those used in diagnosis) are administered to

members to measure how well they are translating the different features of job enrichment (discretion, variety, and feedback) into daily work behaviors and practices and how satisfied employees are with their jobs. Company records and questionnaire data are analyzed to assess the intervention's short-term effects on productivity and job satisfaction. The data reveal that productivity and job satisfaction have changed very little since the initial diagnosis. Job discretion and feedback have also shown negligible change, and employees seem confused about the expectations of managers. Job task variety has shown significant improvement, however. In-depth analysis and discussion of this first round of implementation feedback helps organization members gain a better feel for the kinds of behaviors needed to move toward enriched jobs. These include clarifying and improving participative leadership through supervisory training that develops the appropriate skills and knowledge and making feedback on job performance more meaningful by translating performance data into simple bar graphs, rather than continuing to provide voluminous statistical reports.

About three or four months after implementing these intervention adjustments, members gather a second round of implementation feedback to assess how the intervention is progressing. The data now show that productivity and satisfaction have moved moderately higher than in the first round of feedback and that employee perceptions of

task variety and feedback are both high. Employee perceptions of discretion, however, remain relatively low. Members conclude that the variety and feedback dimensions of job enrichment are sufficiently implemented but that the discretion component needs further improvement. They decide to put more effort into supervisory training and to ask OD practitioners to provide counseling and coaching to supervisors to help them learn how to behave in a more participative manner.

After four more months, a third round of implementation feedback is sought. The data now show that performance and satisfaction are significantly higher than in the first round of feedback and moderately higher than in the second round. The data also show that discretion, variety, and feedback are all high, suggesting that the job enrichment intervention has been implemented successfully. Now evaluation feedback is used to assess the overall effectiveness of the program.

The evaluation feedback includes all the data from the performance and satisfaction measures used in the implementation feedback. Because both the immediate and broader effects of the intervention are being evaluated, additional outcomes are examined including employee absenteeism, maintenance costs, and reactions of other organizational units not included in job enrichment. The full array of evaluation data might suggest that after one year from the start of implementation, the job enrichment program is having the expected effects and thus should be continued and reinforced.

6-1b Measurement

Providing useful implementation and evaluation feedback involves two activities: selecting the appropriate variables and designing good measures of them.

Selecting Appropriate Variables The variables measured in OD evaluation derive from the theory or conceptual model underlying the intervention. It needs to specify the key features of the intervention as well as its expected results, like the job enrichment example just discussed. The general diagnostic models described in Chapter 4 meet this criterion, as do the more specific models underlying the OD interventions described in Chapters 7 through 15.

Measuring both intervention and outcome variables is essential for implementation and evaluation feedback. Unfortunately, OD has tended to measure only outcome variables while neglecting intervention variables altogether.⁵ It is generally assumed that the intervention has been implemented, and attention, therefore, is directed

to its impact on such organizational outcomes as performance, absenteeism, and satisfaction. As discussed earlier, implementing OD interventions generally takes considerable time and learning. It must be empirically determined that the intervention has been implemented appropriately; it cannot simply be assumed. Implementation feedback serves this purpose, guiding the change process and helping to interpret outcome data. Outcome measures are ambiguous without knowledge of how well the intervention has been implemented. For example, a negligible change in measures of performance and satisfaction could mean that the wrong intervention has been chosen, that the correct intervention has not been implemented effectively, or that the wrong variables have been measured. Measurement of the intervention variables helps to determine the correct interpretation of outcome measures.

As suggested, the selection of intervention variables to be measured derives from the conceptual framework underlying the OD intervention. OD research and theory have identified specific organizational changes needed to implement particular interventions (much of that information is discussed in Chapters 7–15). These variables need to guide not only implementation of the intervention but also choices about what change variables to measure for evaluative purposes. Additional sources of knowledge about intervention variables can be found in the numerous references at the end of each of the chapters on intervention in this book.

The choice of what outcome variables to measure also draws on intervention theory, which specifies the kinds of results that can be expected from particular change programs. Historically, OD assessment has focused on attitudinal outcomes, such as job satisfaction, while neglecting hard measures, such as performance. Increasingly, however, organizations are calling for bottom-line measures of OD outcomes, such as work behaviors related to joining, remaining, and producing. Again, the material in this book and elsewhere identifies numerous outcome measures, such as job satisfaction, intrinsic motivation, employee engagement, absenteeism, turnover, and productivity.

Designing Good Measures Each of the measurement methods described in Chapter 4—questionnaires, interviews, observations, and unobtrusive measures—has advantages and disadvantages. Many of these characteristics stem from how well a measure is operationally defined, reliable, and valid. These assessment qualities are summarized below. A more extensive and technical understanding of them can be found in current measurement textbooks.⁶

A good measure is *operationally defined* to the extent that it provides precise guidelines about what characteristics of the situation are to be observed and how they are to be used. They inform OD practitioners and organization members how diagnostic, intervention, and outcome variables will be measured. A measure of product quality might be operationally defined as “the number and dollar value of customer returns in a given period.”

Measurement *reliability* concerns the extent to which a measure represents the “true” value of a variable—that is, how accurately the operational definition translates data into information. There is little doubt about the accuracy of the number of cars leaving an assembly line each day as a measure of plant productivity. On the other hand, when people are asked to rate their level of job satisfaction on a scale of 1 to 5, there is considerable room for variation in their response. They may just have had an argument with their supervisor, suffered an accident on the job, been rewarded for high levels of productivity, or been given new responsibilities. Each of these events can sway the response to the question on any given day. The individuals’ “true” satisfaction score is difficult to discern from this one question and the measure lacks reliability.⁷

Measurement *validity* involves the extent to which a measure actually reflects the variable it is intended to measure. Although the number of cars leaving an assembly line each day might be a reliable measure of plant productivity, it may not be a valid measure. The number of cars is only one aspect of productivity; they may have been produced at an unacceptably high cost or at exceptionally low quality. Because the number of cars does not account for cost and quality, it is not a completely valid measure of plant productivity. It can be difficult to establish the validity of a measure, however, until it has been used and analyzed. OD practitioners can resolve this problem by utilizing measures that already have been validated through prior application and research. As described in Chapter 4, applied research institutes and consulting firms have developed high-quality measures of most of the organizational features included in the comprehensive diagnostic model. Using measures that have been rigorously validated improves confidence in the results and their usefulness.

6-1c Evaluation Design

In addition to measurement, OD practitioners and organization members need to make choices about how to design the evaluation to achieve valid results. The key issue is how to design the assessment to show whether the intervention did in fact produce the observed results.

This is called *internal validity*. The secondary question of whether the intervention would produce similar results in other situations is referred to as *external validity*. External validity is immaterial without first establishing an intervention’s causal effectiveness, so internal validity is the essential minimum requirement for assessing OD interventions. Unless organizations can have confidence that the outcomes are the result of the intervention, they have no rational basis for making decisions about accountability and resource allocation.

Assessing the internal validity of an intervention is, in effect, testing a hypothesis—namely, that specific organizational changes lead to certain outcomes. Moreover, testing the validity of an intervention hypothesis means that alternative hypotheses or explanations of the results need to be rejected. That is, to claim that an intervention is successful, it is necessary to demonstrate that other explanations—in the form of rival hypotheses—do not account for the observed results. If a job enrichment program appears to increase employee performance, other possible explanations such as new technology, improved raw materials, or new employees must be rejected.

OD interventions often have a number of features that make it difficult to determine whether they produced the observed results.⁸ They are complex and often involve several interrelated changes that obscure whether individual features or combinations of features are accounting for the results. Many OD interventions are long-term projects and take considerable time to produce desired outcomes. The longer the time period of the change program, the greater are the chances that other factors, such as technological improvements, will emerge to affect the results. Finally, OD interventions usually are applied to existing organizational systems rather than to randomized groups of organizational systems. Therefore, ruling out alternative explanations associated with randomly selected intervention and comparison groups is difficult.

Given the problems inherent in assessing OD interventions, practitioners have turned to *quasi-experimental research designs*.⁹ These designs are not as rigorous and controlled as are randomized experimental designs, but they enable evaluators to rule out many rival explanations for OD results. Although several quasi-experimental designs are available, those with the following three features are particularly powerful for assessing changes:

1. **Longitudinal measurement.** This involves measuring results repeatedly over relatively long time periods. Ideally, the data collection should start before the intervention is implemented and continue for a period considered reasonable for producing expected results.

2. **Comparison unit.** It is desirable to compare results in the intervention situation with those in another situation where no such change has taken place. Although it is never possible to get a matching group identical to the intervention group, most organizations have a number of similar work units that can be used for comparison purposes.
3. **Statistical analysis.** Whenever possible, statistical methods should be used to rule out the possibility that the results are caused by random error or chance. Various statistical techniques are applicable to quasi-experimental designs, and OD practitioners can use these methods or seek help from those who can apply them.

Quasi-experimental research designs using longitudinal data, comparison groups, and statistical analysis permit reasonable assessments of intervention effectiveness. Repeated measures can often be collected from company records without directly involving members of the intervention and comparison groups. These unobtrusive measures are especially useful in OD assessment because they do not interact with the intervention and affect the results. Measures that are more obtrusive, such as questionnaires and interviews, can sensitize people to the intervention, making it difficult to know whether the observed findings are the result of the intervention, the measuring methods, or some combination of both.

Considerable research has identified three types of change—alpha, beta, and gamma—that can occur when using obtrusive perceptual measures.¹⁰

Alpha change refers to movement along a measure that reflects stable dimensions of reality. If longitudinal and comparative measures of perceived job discretion show an increase after a job enrichment program, and this increase represents alpha change, it can be assumed that the job enrichment program actually increased employee perceptions of discretion.

Beta change involves the recalibration of the intervals along some constant measure of reality. This is often indicated by before-and-after measures of change. If perceived job discretion decreases after a job enrichment program, this apparent intervention failure can be explained by beta change. The first measure of discretion may accurately reflect the individual's belief about the ability to move around and talk to fellow workers in the immediate work area. During implementation of the job enrichment intervention, however, the employee may learn that the ability to move around is not limited to the immediate work area. At a second measurement of discretion, the employee, using this new and recalibrated

understanding, may rate the current level of discretion as lower than before.

Gamma change involves fundamentally redefining the measure because of an OD intervention. In essence, the framework within which a phenomenon is viewed changes. For example, the presence of gamma change would make it difficult to compare measures of job discretion taken before and after a job enrichment program. The measure taken after the intervention might use the same words, but they represent an entirely different concept. As described previously, the term *discretion* may originally refer to the ability to move about the department and interact with other workers. After the intervention, discretion might be defined in terms of the ability to make decisions about work rules, work schedules, and productivity levels. In sum, the job enrichment intervention changed the way discretion is perceived and how it is evaluated.

These three types of change apply to perceptual measures. When changes other than alpha ones occur, interpreting measurement changes becomes far more difficult. Powerful OD interventions may produce both beta and gamma changes, and this severely complicates interpretations of findings reporting change or no change. Furthermore, the distinctions among the three different types of change suggest that the heavy reliance on questionnaires, so often cited in the literature, should be balanced by using other measures, such as interviews and unobtrusive records. Analytical methods have been developed to assess the three kinds of change, and OD practitioners would benefit from familiarity with these techniques.¹¹

In sum, multiple measures of intervention and outcome variables can minimize measurement and intervention interactions. Obtrusive measures such as questionnaires could be used sparingly, perhaps once before and once after the intervention. Unobtrusive measures, such as productivity and absentee records, could be used repeatedly, thus providing a more extensive time series than the questionnaires. When used together, the two kinds of measures can increase the accuracy and nonreactivity of evaluations of OD interventions.

Application 6.1 describes the collection and use of implementation and evaluation feedback for a culture change at National Insurance. The OD consultants used classic measurement methods—interviews and a survey—to provide the organization with information about how the change was proceeding. Were the appropriate variables measured, and how good were the measures? Was the assessment designed to yield valid results about the effects of the changes? What next steps would you recommend for the Customer and Enterprise Services change process?

Application 6.1

Evaluating Change at National Insurance

National Insurance is among the largest publicly held insurance companies in the United States. With approximately 37,000 employees, it provides insurance products to more than 17 million households. Recently, National merged its Accounting Services department with its Agency and Customer Support department—two organizational systems with similar missions but used to working in silos—to form the Customer and Enterprise Services (CES) organization. CES employs 5,000 workers in 18 locations to operate the company's call centers and perform a variety of back-office functions, including accounting, document printing, mailing, archiving and imaging, policy processing, and property inspections.

Customers and internal businesses within National were both seeking change from the new CES organization. Customer feedback suggested that improving direct sales/service processes and the total value of products/services would go a long way to raising customer loyalty. Internal businesses wanted CES to help them grow their business, improve its cost effectiveness, and establish service agreements in line with business goals.

The leader of the CES organization noted that although the challenges facing CES were operationally oriented, they were culturally based. They were a function of National's long bureaucratic history. To improve performance, changes in behavior as well as processes and systems needed to take place. In response, a culture transformation intervention was launched, with the help of an internal design team, internal OD resources, and external OD consultants. The objective of the change was to create an innovative, cost-effective, and inclusive organization that would "thrill our customers."

In keeping with the inclusive part of the objective, the change process was highly participative. It began with interviews with a broad set of CES members. These data were then fed back to the leadership team. With the OD consultants, they formulated and implemented a transformation roadmap. About 12 months into the change process, the head of CES asked the consultants to do a midterm evaluation of the change process. This included another round of interviews and a survey of all CES members. The results of the evaluation, in terms of implementation and evaluation feedback, are summarized below.

Implementation Feedback

Interviews of the CES leadership team, design team members, and participants in the change process provided two broad areas of implementation feedback. The first area represented attitudes and beliefs about how the change process had been planned and implemented. There was a strong belief that the design and implementation of the transformation was sound. Respondents agreed that there was a "clear need for change" and that leadership had been "clear about its responsibilities for change." In addition, half of the interviewees believed there was a "defined common purpose" and that a strength of the implementation was the way it "integrated inclusion and transformation." Four other themes supported the conclusion that the change had been well designed and implemented.

A second broad area of implementation feedback involved next steps in the change process. By far the biggest recommendation was to focus more attention on supporting and developing leadership capabilities in the middle-management levels of CES. The issue became known as the "unpopped kernel" problem. There was a sense that not enough middle managers were making the behavior changes required to support the transformation. The interviewees recommended a series of complimentary actions, including clarifying "what's in it for me" (rewards and recognition) and what the next steps in the change process would be. Except for the call for more leadership development, there was no clear or shared sense regarding the need for new CES capabilities. The leadership team and OD practitioners wondered about the need for developing new capabilities, about whether a shared consensus existed regarding what that specific capability might be, or if the felt need to address middle managers was truly accurate.

Evaluation Feedback

The survey and interview data provided preliminary evaluation feedback. The survey asked about the extent to which people saw different organizational characteristics as present in the new organization, including a clear purpose, flexible processes, rewards

Evaluating Change at National Insurance, continued

for performance, and the ability to manage change. In all, 14 different dimensions were measured.

Scores on the survey ranged from 3.56 to 4.12 (out of 5 or “to a great extent”). The highest-rated themes were a sense of shared purpose (4.12) and encouraging innovation (4.02). The transformation had produced an organization that was clear in its direction and mission, more innovation oriented, and more aligned across subunits. The lowest scores were for flexible reward systems (3.56) and the ability to quickly move resources to their best use (3.68). Based on similar surveys in other companies, the OD consultants judged the CES scores as relatively high.

Because the transformation was aimed at changing the CES culture, the survey also included measures of cultural values. Respondents were asked to indicate whether the culture at CES was externally (vs. internally) focused, organic (vs. hierarchical), creative and innovative (vs. stable), people (versus results) oriented, and long-term (vs. short-term) focused. Overall, CES had a good balance of internal and external focus, was slightly more rulebound and hierarchical, more innovative, more results oriented, and more long-term focused. The CES leadership team and OD practitioners viewed these results as movement in a positive direction.

The interview data also provided useful information about the effects of the transformation on the CES organization and its performance. About 80%

of interviewees believed that employee engagement had increased, and slightly over half reported that a new culture was emerging, the organization was getting better at managing change, and customer/client relationships were improving. Half of the interviewees talked about improvements in customer satisfaction, 40% mentioned gains on other business measures, and 20% commented on budget savings. In fact, a widely shared measure of customer satisfaction has been increasing over the last several months.

The CES leadership team and the OD consultants agreed that the interview and survey data painted a clear picture that the culture change transformation was having a pervasive and positive effect on the organization. It was designed well, was executed with speed and enthusiasm, clearly affected the organization, and was beginning to show important financial and customer benefits. Continuing the transformation would likely generate additional benefits.

There was also a clear warning to heed going forward. CES employees were concerned about middle management support. People who held a lot of power in the organization and were, in general, supporting the transformation were also its biggest threat. A few “unpopped kernels,” if left unmanaged, could damage the leadership team’s commitment and credibility regarding the change.

The CES leadership team and OD practitioners began thinking about what comes next.

6-2 Reinforcing Organizational Changes

Once it is determined that changes have been implemented and are effective, attention is directed at reinforcing the changes—maintaining them as a normal part of the organization’s functioning for as long as they are making an appropriate contribution.¹² This helps to ensure that the changes are not overly dependent on any one person but exist as a part of the norms and procedures of an organization. Traditionally, reinforcing organizational changes has been considered the last stage of the classical unfreezing, moving, and refreezing cycle. Yet, in today’s complex and changing environments, some changes are only part of a constant journey of organization adaptation. For example, new product innovation is not a one-time change but a continuous process that must be implemented repeatedly. Other changes, such as the process for appraising performance, may need to persist longer. There is little to

be gained from making front-line supervisors learn a new performance rating system every year.

The applicability of reinforcing organizational changes has come under increasing attack from OD pundits and management consultants who argue strongly for organizations to “change constantly,” to “change before you have to,” and “if it’s not broke, fix it anyway.” Why endeavor to make any change permanent given that it may require changing again soon? Rather than lead to an incessant conflict, however, these admonitions have resulted in revisions that conceptualize and apply reinforcing change in new, effective ways. Change itself has become the focus of reinforcement. Self design, organization learning, and agile organization interventions, described in Chapter 14, are all aimed at enhancing the organization’s change capability.¹³ In this vein, processes of reinforcement are aimed at supporting and strengthening this change capability and the organizational learning processes underlying it.

This section presents a framework, outlined in Figure 6.2, for identifying factors and processes that contribute to the reinforcement of OD interventions, including the process of change itself. It identifies organization and intervention characteristics and reinforcement processes affecting the degree to which change programs are reinforced.¹⁴ The model shows that two key antecedents—organization and intervention characteristics—affect different reinforcement processes operating in organizations. These processes, in turn, affect various indicators of reinforcement. The framework also shows that organization characteristics can influence intervention characteristics.

6-2a Organization Characteristics

Figure 6.2 shows that the following two dimensions of an organization can affect intervention characteristics and reinforcement processes:

1. **Congruence.** This is the degree to which an intervention is perceived as being in accord with the organization's culture, strategy, and organization design; its general, task, and enacted environments; and other changes taking place in the organization. The more an intervention is congruent with these dimensions, the more likely it will gain member commitment and diffuse to wider segments of the organization. This partly explains why OD interventions promoting employee participation and growth have often faced dire commitment and diffusion problems in highly bureaucratic organizations with formalized structures and autocratic managerial styles.
2. **Stability of environment and technology.** This involves the degree to which the organization's task environment

and technology are changing. Interventions tend to persist in organizations facing stable environments. Under these conditions, embedding changes in an organization's norms and procedures makes sense. On the other hand, when demand for an organization's products or services is more volatile, changes in the composition of employees involved in the intervention may vary accordingly, which can undermine commitment to the changes. Similarly, new personnel may be brought on board at a rate faster than they can be socialized effectively into the change process.

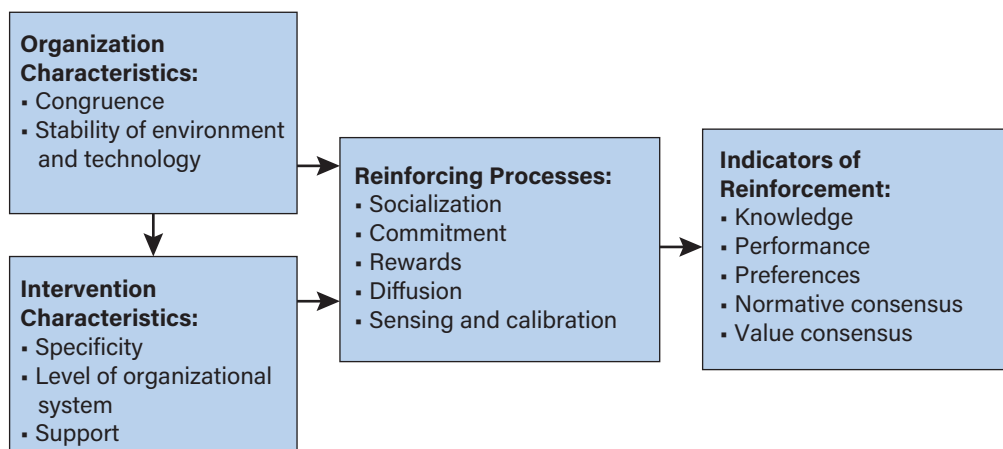
6-2b Intervention Characteristics

Figure 6.2 shows that the following three features of OD interventions can affect reinforcement processes:

1. **Specificity.** This involves the degree to which the organizational changes and their goals are sufficiently specified to direct socializing activities, such as training and orienting new members, and to tie rewards to implementation results. For example, job enrichment specifies three targets of change: employee discretion, task variety, and feedback. The change program can be planned and designed to promote those specific features. Rewards can be linked to how many different tasks employees can learn to perform effectively (skill-based pay systems are described in Chapter 11).
2. **Level of organizational system.** This concerns whether the focus of the intervention is on the organization, group, or job. Facilitators and inhibitors of reinforcing change operate at each of these levels. Interventions in groups, for example, are susceptible to countervailing

Figure 6.2

Reinforcement Framework



forces from other units in the organization. This can reduce the wider diffusion of the intervention to other groups and lower its overall impact on organization effectiveness. Naturally, this does not preclude reinforcing the change within a group that is purposefully detached from the rest of the organization, such as an innovation skunkworks project or think tank. Such isolation may help to create a task-relevant subculture within the organization. Targeting changes to wider segments of the organization, on the other hand, can also help or hinder change reinforcement. Widespread belief about an intervention's value can be a powerful incentive to maintain the change and extend it to other organization units. However, targeting change at the larger system level can also inhibit reinforcement. The intervention can become mired in political resistance because of the "not invented here" syndrome or because powerful constituencies oppose it.

3. **Support.** This refers to the degree to which there is a support system to guide the change process. Change support is typically provided by a change-management team or internal OD practitioner and helps organization members implement the intervention and sustain commitment to it. Similarly, powerful organization sponsors of the change can allocate resources and legitimize support for the intervention. They have the visibility and power to nurture the intervention and see that it remains viable.

6-2c Reinforcement Processes

The framework depicted in Figure 6.2 shows the following five reinforcement processes that can directly affect the degree to which OD interventions persist:

1. **Socialization.** This concerns the transmission of information about beliefs, norms, and values with respect to the intervention and training and mentoring for learning new behaviors. Because implementation of OD interventions generally involves considerable learning and experimentation, a continual process of socialization promotes persistence of the change program. Members involved in the change can communicate its evolving nature and meaning to other organization employees. This information can help to spread the intervention to other organizational systems while reaffirming participants' own beliefs and values about the changes. Ongoing training and mentoring in the behaviors needed to implement the changes can reinforce them, help to diffuse them to wider segments of the organization, and assist in bringing new employees on board.
2. **Commitment.** This binds organization members to the intervention and needs to recur over time. Commitment is reinforced to the extent that members can choose the changes freely, explicitly, and publicly. This promotes acceptance and stability of the change behaviors, especially when commitment derives from both those directly involved in the intervention and those at higher organizational levels who can support or thwart it. In many early employee involvement programs, attention was directed at gaining workers' commitment to the programs. Unfortunately, middle managers were often ignored, resulting in considerable resistance to the interventions.
3. **Rewards.** A skillful combination of intrinsic and extrinsic rewards can enhance the persistence of OD interventions. Intrinsic rewards are internal to people, and organizational changes that involve challenging and meaningful work can be intrinsically motivating, especially for members with growth and development needs. Relying exclusively on intrinsic rewards for reinforcing interventions can be problematic, however. Over time, members may feel that their increased contributions to organization improvements also need to be more fairly compensated with extrinsic rewards such as pay. Linking pay to the performance of change behavior can also reinforce it (Chapter 11 discusses reward system interventions). Because the value of extrinsic rewards tends to diminish over time, however, it may be necessary to revise this reward system to sustain high levels of change behavior. All of this suggests that the use of rewards to reinforce OD interventions requires the skillful blending of both intrinsic and extrinsic rewards over time. Initial change persistence can rely more on intrinsic rewards, yet a combination of both rewards is essential for longer-term change reinforcement.
4. **Diffusion.** This refers to the process of transferring changes from one organizational system to others. Diffusion facilitates reinforcement by providing a wider organizational base to support the new behaviors. Many interventions fail to persist because they run counter to the values, purpose, or identity of the larger organization. Rather than support the intervention, the larger organization rejects the changes and often puts pressure on the change target to revert to old behaviors. Diffusion of a change to other organization units can reduce this countervailing force. It tends to reinforce change behaviors by providing broader consensus for them from other parts of the organization. Moreover, the act of diffusing change behaviors to other systems reinforces commitment to the changes.
5. **Sensing and calibration.** This involves detecting deviations from desired intervention behaviors and taking corrective action. Reinforced behaviors invariably encounter destabilizing forces, such as changes in the

environment, new technologies, and pressures from other departments to nullify changes. These factors can cause some variation in performances, norms, and values. To detect this variation and take corrective actions, organizations must have some sensing mechanism, such as that provided by implementation feedback. This provides information about the occurrence of deviations from the intervention, and the organization can then initiate corrective actions to ensure that behaviors are more in line with the intervention. For example, if a high level of job discretion associated with a job enrichment intervention does not persist, information about this problem might initiate corrective actions, such as renewed attempts to socialize people or to gain commitment to the intervention.

6-2d Indicators of Reinforcement

Reinforcement is not an all-or-nothing concept but reflects degrees of persistence of the changes. Figure 6.2 shows five indicators of the extent of an intervention's persistence:

1. **Knowledge.** This involves the extent to which organization members have knowledge of the behaviors associated with an intervention. It is concerned with whether members know enough to perform the behaviors and to recognize the consequences of that performance. In job enrichment interventions, members must understand a number of new behaviors, such as performing a greater variety of tasks, analyzing information about task performance, and making decisions about work methods and plans.
2. **Performance.** This is concerned with the degree to which intervention behaviors are performed routinely. It may be measured by counting the proportion of relevant people performing the behaviors. For example, 60% of the employees in a particular work unit might be performing the job enrichment behaviors just described. Another measure of performance is the frequency with which the new behaviors are performed. In assessing frequency, it is important to account for different variations of the same essential behavior, as well as highly reinforced behaviors that need to be performed only infrequently.
3. **Preferences.** This involves the degree to which organization members privately accept the organizational changes. This contrasts with acceptance based primarily on organizational sanctions or group pressures. Private acceptance is usually reflected in people's positive attitudes toward the changes and can be measured by the direction and intensity of those attitudes across the members of the organizational system involved with the intervention. For example, a questionnaire assessing members' perceptions of a job enrichment program

might show that most employees have a strong positive attitude toward making decisions, analyzing feedback, and performing a variety of tasks.

4. **Normative consensus.** This focuses on the extent to which members share agreement about the appropriateness of the organizational changes. This indicator of reinforcement reflects how fully changes have become part of the normative structure of the organization. Changes persist to the degree members feel that they should support them. Job enrichment programs would become reinforced to the extent that employees support them and see them as appropriate to organizational functioning.
5. **Value consensus.** This is concerned with social agreement on the values relevant to the organizational changes. Values are beliefs about how people ought or ought not to behave. They are abstractions from more specific norms. Job enrichment, for example, is based on values promoting employee self-control and responsibility. Different behaviors associated with job enrichment, such as making decisions and performing a variety of tasks, would persist to the extent that employees widely share values of self-control and responsibility.

These five indicators can be used to assess the level of change persistence. The more the indicators are present in a situation, the higher the degree of reinforcement. Moreover, they follow a specific development order: knowledge, performance, preferences, norms, and values. People must first understand new behaviors or changes before they can perform them effectively. Such performance generates rewards and punishments, which in time affect people's preferences. As many individuals come to prefer the changes, normative consensus about their appropriateness develops. Finally, if there is normative agreement about the changes reflecting a particular set of values, over time there should be some consensus on those values among organization members.

This developmental view of intervention reinforcement implies that whenever one of the indicators is present, all the previous ones are automatically included as well. If employees normatively agree with the behaviors associated with job enrichment, then they also have knowledge about the behaviors, can perform them effectively, and prefer them. An OD intervention is fully reinforced and persists only when all five indicators are present.

Application 6.2 describes how the New Zealand All Blacks, the country's immensely successful rugby team, recognized the need for change and made changes in a way that reinforced a set of beliefs and values about the best way to win.¹⁵ You can identify and assess the steps the team took to reinforce the substantial changes. What might it have done differently to make sure the intervention persists?

Application 6.2

Reinforcing and Sustaining Change: The Case of New Zealand's All Blacks

The All Blacks are New Zealand's professional rugby team, and a great example of sustaining change. Depending on when you start counting, the All Blacks have won between 75 and 85% of their games since the early 1900s. They are the first team to win two Rugby World Cups in a row. Their story isn't just about maintaining a particular change but sustaining a winning culture over time.

The All Blacks' story of reinforcing change begins in 2004 when, despite their storied history of sustained success, they finished last in the annual Tri-Nations tournament (now called the Rugby Championships). They had won the tournament in the previous two years. Following the final game, the All Blacks team members got so drunk, the players from the winning team who were staying at the same hotel had to drag some of them to safety. Many key players and coaches were talking about quitting. It was a time of both threat and opportunity for an organization that was already considered successful.

When the team returned home, the coaching staff had a long meeting to discuss the team's dysfunctions on and off the field and to make future plans. What emerged from that conversation was a broad overall vision for the changes they wanted to see: "To create an environment that would stimulate the players and make them want to take part in it," as captured in the phrase, "Better People Make Better All Blacks."

It wasn't an issue of skill or talent. All of New Zealand and many of the surrounding territories and countries were completely oriented toward identifying and supplying talent to the All Blacks team. Many young men dream of playing for the All Blacks and, to a person, current and past team members say that one of the best days in their lives, sometimes the best day, was the day they were selected to be a part of the All Blacks organization. The objective and the vision, what the team needed if it was to maintain its preeminent position in the sport, was to create an organization that engaged the players' hearts and minds.

As described in multiple accounts of the change and the organization, the All Blacks—both players and coaches—set themselves on a path of change that followed an OD process. The case for change, a decline in sustained performance both on and off the

field, was clear. As a result, the All Blacks developed a compelling vision of their future and, through their strategy and actions, established a sustained capability to change. By looking at the elements of the All Blacks culture, we gain insight into the organizational systems that have sustained the changes made following the 2004 season.

For example, some of the leadership practices—there is a strong norm in the All Blacks organization that players do the leading, an idea consistent with the vision—are an evolution of practices started early in the team's history. Importantly, these practices were driven by the nature of the work they do. The "back seat of the bus" ritual—where senior players on the team literally sit in the rear of the bus—was started because of an arcane rule that prevented a team from gathering face-to-face until 48 hours before the game. Since it was difficult for the team to discuss tactics and strategy in advance, the senior players would gather during travel periods to talk over how to approach the next game. Such discussions were among the players; the coaches were not involved. Eventually, the meeting in the back of the bus was less about game specifics and became more about communicating the culture and enforcing the norms.

This ritual has evolved. After the Tri-National loss in 2004, the All Blacks instituted a clear, but shared, leadership system. Their long-held belief—it's the players who play—led to the formation of leadership groups within the organization where senior players had a portfolio of accountabilities including the on-boarding of new players, public relations, game planning, and internal communications. In the time leading up to a game, the coaching staff lays out high-level issues and proposes strategies. During the week, responsibility for the plan is transferred to the players and, a few days before the game, the players own all facets of the strategy.

The culmination of this period of preparation, the reinforcement of who is responsible for the performance of the team, is among the most visible and famous artifacts of the All Blacks culture: the pre-game haka. It is a ritualistic set of motions (that do change from time to time) led by the team captain and derived from Maori culture. The ritual itself has

Reinforcing and Sustaining Change: The Case of New Zealand's All Blacks, continued

a long history; it was almost abandoned because the players did it so badly and it had lost its meaning. Far from being a war ritual (a common, if mistaken, interpretation), the haka is a sequence of moves and chants to remind the players of who they are, what they share as beliefs, and why they are playing. As one writer put it, the opposing team isn't playing the All Blacks team, they are playing against a system and a culture that is sustained.

Another change that was initiated by the Tri-National loss is the creation of a learning organization. To sustain the All Blacks' record of performance excellence, they needed an organization that could continuously learn, improve, and adapt. Their competition was not standing still. The creation of the right environment for learning began with selection. The All Blacks decided that it wasn't about selecting the most talented rugby player, it was about selecting the rugby player with character. Players who do not behave with a "growth mindset" or who put their own achievements ahead of the team's success are asked to leave.

Surrounded by others who want to learn, who stand for and believe in the purpose of the organization, everyone is encouraged and supported by systems and processes to get better. After every game, while things are still fresh, win or lose, there is

a debrief by the players and the coaches about what was done well and what could be improved. Whether it is learning a new skill, learning to perform an existing skill better, or learning how to think about some part of the game differently, everyone is expected to improve themselves in service of the team's performance. Toward that end, the organization has developed a unique language to remind the players about right and proper behavior, including "sweep the shed" (which means never avoiding the small things that need to be done) or "keep a blue head" (which refers to practicing under pressure so you can play well when the pressure is on).

Recognizing the organizational dysfunctions that were manifest in one disappointing loss, the All Blacks made specific changes to the way they planned and played their game. Specific changes in recruiting, practice schedules, new member on-boarding, or playing were made in alignment with a vision and a strategy: Better People Make Better All Blacks. Over the course of months and sometimes years, these practices became routines imbued with meaning. In the end, they have been able to achieve a learning organization where the values and the ways of behaving were embedded in the organization, a system where everyone knows the principles and believes they represent the right way to do things.

Summary

In this chapter, we discussed the final two stages of planned change: evaluating interventions and reinforcing them. Evaluation was discussed in terms of two kinds of necessary feedback: implementation feedback, concerned with whether the intervention is being implemented as intended, and evaluation feedback, indicating whether the intervention is producing expected results. The former comprises data about features of the intervention, perceptions of the people involved, and its immediate effects, which are fed back repeatedly and at short intervals. The latter comprises data about the long-term effects of the intervention, which are fed back at long intervals.

Evaluation of OD interventions also involves decisions about measurement and research design. Measurement issues focus on selecting variables and designing good

measures. Ideally, measurement decisions should derive from the theory underlying the intervention and should include measures of the features of the intervention and its immediate and long-term consequences. Furthermore, these measures should be operationally defined, reliable, and valid. They should involve multiple methods, such as a combination of questionnaires, interviews, and company records.

Research design focuses on setting up the conditions for making valid assessments of an intervention's effects. This involves ruling out explanations for the observed results other than the intervention. Although randomized experimental designs are rarely feasible in OD, quasi-experimental designs exist for eliminating alternative explanations.

OD interventions are reinforced when the change program persists and becomes part of the organization's normal functioning. A framework for understanding and improving the reinforcement of interventions identified organization characteristics (i.e., congruence and stability of environment and technology) and intervention characteristics (i.e., specificity, level of organizational

system, and support) that affect reinforcement processes. The framework also described specific reinforcement processes (socialization, commitment, rewards, diffusion, and sensing and calibration) that directly affect indicators of intervention persistence (i.e., knowledge, performance, preferences, normative consensus, and value consensus).

Notes

1. P. Antunes, D. Johnstone, N. Hoang Thuan, and G. de Vreede, "Delivering Evidence-Based Management Services: Rising to the Challenge Using Design Science," *Knowledge Management Research and Practice* 21 (2023): 806–21; D. Rousseau and S. ten Have, "Evidence-Based Change Management," *Organizational Dynamics* 51 (2022); D. M. Rousseau, ed., *The Oxford Handbook of Evidence-Based Management* (Oxford University Press, 2012); J. Pfeffer and R. I. Sutton, *Hard Facts, Dangerous Half-Truths and Total Nonsense: Profiting from Evidence-Based Management* (Harvard Business School Press, 2006).
2. A. Church, "The Art and Science of Evaluating Organization Development Interventions," *OD Practitioner* 49 (2017): 26–35; A. Shufutinsky, W. Brendel, and T. Matthews, "In Need of Evidence: A Call for Organization Development Research," *Organization Development Review* 54 (2022): 43–52.
3. W. Burke, *Organization Change: Theory and Practice*, 6th ed. (Sage, 2023).
4. T. Cummings and S. Mohrman, "Self-Designing Organizations: Towards Implementing Quality-of-Work-Life Innovations," in *Research in Organizational Change and Development*, vol. 1, eds., R. Woodman and W. Pasmore (JAI Press, 1987): 275–310.
5. Cummings and Mohrman, "Self-Designing Organizations."
6. N. Salkind, *Tests and Measurement for People Who (Think They) Hate Tests and Measurement*, 3rd ed. (Sage, 2017); G. Walford, E. Tucker, and M. Viswanathan, *The SAGE Handbook of Measurement* (Sage, 2010).
7. L. Price, *Psychometric Methods: Theory into Practice* (Guilford Press, 2017); J. Nunnally, *Psychometric Theory* (McGraw-Hill, 1978).
8. E. Barends, B. Janssen, W. ten Have, and S. ten Have, "Difficult but Doable: Increasing the Internal Validity of Organizational Change Management Studies," *Journal of Applied Behavioral Science* 50 (2014): 50–54.
9. D. Campbell and J. Stanley, *Experimental and Quasi-Experimental Design for Research* (Rand McNally, 1966); T. Cook and D. Campbell, *Quasi-Experimentation: Design and Analysis Issues for Field Settings* (Rand McNally, 1979); C. Reichardt, *Quasi-Experimentation: A Guide to Design and Analysis* (Guilford Press, 2019); W. Shadish, T. Cook, and D. Campbell, *Experimental and Quasi-Experimental Designs for Generalized Causal Inference*, 2nd ed. (Cengage, 2001); A. Grant and T. Wall, "The Neglected Science and Art of Quasi-Experimentation: Why-to, When-to, and How-to Advice for Organizational Researchers," *Organizational Research Methods*, 12 (2009): 653–86.
10. R. Golembiewski, K. Billingsley, and S. Yeager, "Measuring Change and Persistence in Human Affairs: Types of Change Generated by OD Designs," *Journal of Applied Behavioral Science* 12 (1976): 133–57; A. Armenakis, "A Review of Research on the Change Typology," in *Research in Organizational Change and Development*, vol. 2, eds. W. Pasmore and R. Woodman (JAI Press, 1988): 163–94.
11. J. Terborg, G. Howard, and S. Maxwell, "Evaluating Planned Organizational Change: A Method for Assessing Alpha, Beta, and Gamma Change," *Academy of Management Review* 7 (1982): 292–95; R. Millsap and S. Hartog, "Alpha, Beta, and Gamma Change in Evaluation Research: A Structural Equation Approach," *Journal of Applied Psychology* 73 (1988): 574–84; R. Thompson and J. Hunt, "Inside the Black Box of Alpha, Beta, and Gamma Change: Using a Cognitive-Processing Model to Assess Attitude Structure," *Academy of Management Review* 21 (1996): 655–91.
12. D. Buchanan, L. Fitzgerald, D. Ketley, R. Gollop, J. Jones, S. Lamont, A. Neath, and E. Whitby, "No Going Back: A Review of the Literature on Sustaining Organization Change," *International Journal of Management Reviews* 7 (2005): 189–205; P. Nilsen and S. Birken, *Handbook on Implementation Science* (Edward Elgar, 2020).
13. C. Worley, T. Williams, and E. Lawler, *The Agility Factor: Building Adaptable Organizations for Superior Performance* (Jossey-Bass, 2014); P. Senge, *The Fifth Discipline* (Doubleday, 1990); Cummings and Mohrman, "Self-Designing Organizations"; L. Greiner and T. Cummings, *Dynamic Strategy Making: A Real-Time Approach for the 21st Century Leader* (Jossey-Bass, 2009).
14. This section is based on the work of D. Buchanan et al., "No Going Back"; P. Goodman and J. Dean, "Creating Long-Term Organizational Change," in *Change in Organizations*, ed. P. Goodman (Jossey-Bass, 1982): 226–79; G. Ledford, "The Persistence of Planned Organizational Change: A Process Theory Perspective" (Doctoral dissertation, University of Michigan, 1984).

15. J. Smyth, "Why Are the All Blacks So Good?" *Financial Times* (June 23, 2017), <https://www.ft.com/content/b5afe588-560b-11e7-80b6-9bfa4c1f83d2>; S. Cocking, "The All Blacks 'Digital Strategy' or X's, Y's & C & S > 1's & 0's & S," *Irish Tech News* (December 1, 2016), <http://irishtechnews.ie/the-all-blacks-digital-strategy-or-xs-ys-c-s-1s-0s-s/>; T. Johnson, A.

Martin, F. Palmer, G. Watson, and P. Ramsey, "Artefacts and the All Blacks: Rites, Rituals, Symbols, and Stories," *Sporting Traditions* 30 (2013): 43–59; J. Kerr, *Legacy: What the All Blacks Can Teach Us About the Business of Life* (Constable & Robinson, 2013).

Selected Cases

Sunflower Incorporated*

Sunflower Incorporated is a large distribution company with over 5,000 employees and gross sales of over \$700 million (1991). The company purchases and distributes salty snack foods and liquor to independent retail stores throughout the United States and Canada. Salty snack foods include corn chips, potato chips, cheese curls, tortilla chips, and peanuts. The United States and Canada are divided into 22 regions, each with its own central warehouse, salespeople, finance department, and purchasing department. The company distributes national as well as local brands and packages some items under private labels. The head office encourages each region to be autonomous because of local tastes and practices. The northeast United States, for example, consumes a greater percentage of Canadian whisky and American bourbon, while the West consumes more light liquors, such as vodka, gin, and rum. Snack foods in the Southwest are often seasoned to reflect Mexican tastes.

Early in 1989, Sunflower began using a financial reporting system that compared sales, costs, and profits across regions. Management was surprised to learn that profits varied widely. By 1990, the differences were so great that management decided some standardization was necessary. They believed that highly profitable regions were sometimes using lower-quality items, even seconds, to boost profit margins. This practice could hurt Sunflower's image. Other regions were facing intense price competition in order to hold market share. National distributors were pushing hard to increase their market share. Frito-Lay, Borden's, Nabisco, Procter & Gamble (Pringles), and Standard Brands (Planter's peanuts) were pushing hard to increase market share by cutting prices and launching new products.

As these problems accumulated, Mr. Steelman, president of Sunflower, decided to create a new position to monitor pricing and purchasing practices. Agnes Albanese was hired from the finance department of a competing organization. Her new title was director of pricing and purchasing, and she reported to the vice president of finance, Mr. Mobley. Steelman and Mobley gave Albanese great latitude in

organizing her job and encouraged her to establish whatever rules and procedures were necessary. She was also encouraged to gather information from each region. Each region was notified of her appointment by an official memo sent to the regional managers. A copy of the memo was posted on each warehouse bulletin board. The announcement was also made in the company newspaper.

After three weeks on the job, Albanese decided that pricing and purchasing decisions should be standardized across regions. As a first step, she wanted the financial executive in each region to notify her of any change in local prices of more than 3 percent. She also decided that all new contracts for local purchases of more than \$5,000 should be cleared through her office. (Approximately 60 percent of items distributed in the regions was purchased in large quantities and supplied from the home office. The other 40 percent was purchased and distributed within the region.) Albanese believed that the only way to standardize operations was for each region to notify the home office in advance of any change in prices or purchases. Albanese discussed the proposed policy with Mobley. He agreed, so they submitted a formal proposal to the president and board of directors, who approved the plan. Sunflower was moving into the peak holiday season, so Albanese wanted to implement the new procedures right away. She decided to send an e-mail to the financial and purchasing executives in each region notifying them of the new procedures. The change would be inserted in all policy and procedure manuals throughout Sunflower within four months.

Albanese showed a draft of the e-mail to Mobley and invited his comments. Mobley said the Internet was an excellent idea but wondered if it was sufficient. The regions handle hundreds of items and were used to decentralized decision making. Mobley suggested that Albanese ought to visit the regions and discuss purchasing and pricing policies with the executives. Albanese refused, saying that the trips would be expensive and time-consuming. She had so many things to do at headquarters that a trip was impossible. Mobley also suggested waiting to implement the procedures until after the annual company meeting in three months. Albanese said this would take too long because the procedures would not take effect until after the peak sales season. She believed

*Adapted from R. Daft, *Organization Theory and Design* (St. Paul: West, 1983), pp. 334–36.

Selected Cases

Sunflower Incorporated, continued

the procedures were needed now. The e-mail went out the next day.

During the next few days, replies came in from most of the regions. The executives were in agreement with the e-mail and said they would be happy to cooperate.

Eight weeks later, Albanese had not received notices from any regions about local price or purchase changes. Other executives who had visited regional warehouses indicated to her that the regions

were busy as usual. Regional executives seemed to be following usual procedures for that time of year.

Questions

1. How well did Albanese manage the pricing and purchasing changes at Sunflower? Were the changes implemented successfully? How would you find this out?
2. What might Albanese have done differently? What should she do now?

Selected Cases

Kenworth Motors*

It began with a telephone call, as did so many of my engagements. The person calling identified himself as Robert Denton, the plant manager of Kenworth Motors' Seattle truck manufacturing operations. Denton said he'd gotten my name from Charles Wright, a client of mine in Seattle. Charlie is the OD manager for a major timber products company. I'd been doing several projects with Charlie's group of internal consultants for the past three years and occasionally served as the OD group's consultant. Denton noted that Charlie and he were members of the same sailing club. He went on to say that when, as someone relatively new to Seattle, he'd asked Charlie if he knew any consultants, Charlie had spoken highly of me. I remember thinking that Charlie probably wouldn't have mentioned me unless he thought I could be useful to Denton. My trust in Charlie's competence and judgment was very high.

Denton went on to explain that he'd been the plant manager for only eight months, that things seemed to be going well, but that he had a gnawing sense that things could be better. I must have murmured something appropriate because Denton invited me to visit him and become acquainted with his operation.

I was both flattered by and interested in Denton's invitation. After all, I thought to myself, it's nice to be wanted, a consulting engagement might come out of it, I always wanted to get behind the gate of the Kenworth plant, and Denton sounded like a basically smart guy and nice besides. However, reality intruded into my thoughts, as it often does.

Thoughts on the Road

I reminded Denton that I lived across the state in Spokane and added that I had limited time available in the short run. I noted that I had plans to visit Seattle in three weeks and could see him then, otherwise it might not be for a month. Denton sounded almost eager as he agreed to a 10 a.m. appointment on April 11.

The drive westward from Spokane across the state of Washington on Interstate 90 begins with several hours of boring highway. I had purposely put off thinking about my appointment with Denton until I was on the road. As the interstate stretched out

over the rolling sagebrush hills and checkered wheat fields, I turned my thoughts to Kenworth Motors and Denton. Uppermost in my mind was that I was about to talk with a man I knew little about, consult with a firm I knew very little about, and I had no focused agenda. What should I say and do?

As the miles went by, I envisioned several alternative scenarios for my upcoming appointment with Denton. I saw his office in several possible ways. It could be spartan and centrally located to the production floor. It could be conventionally furnished but of a fair size. It could be large. It might even be opulent. It could be personalized with mementos of career, hobbies, or family. It might be far from the production floor, or even in a separate building. The more I tried to envision Denton's office, the more alternatives came to mind. So I focused on Denton, trying to imagine him from the voice cues on the telephone—not old, probably fit, probably clean shaven. Again the futility of trying to imagine came home to me.

What did I think I knew? I didn't know much beyond a handful of facts about his title and his job tenure, the fact that he knew Charlie, believed things were generally going OK at the plant, and had some vague notion something wasn't quite right. I also had the distinct impression he had been fairly eager to talk with me—after all, he'd initiated calling me and had quickly settled for an appointment convenient to me.

What did I really want to accomplish when I met with Denton? The more I considered this question, the more I pared down my answers. At minimum, it seemed for me a low-cost situation—a couple of hours of my time, perhaps some impressions of me that would be communicated to Charlie (though I believed Charlie and I had a relationship of mutual respect and trust based on a lot of shared work). On the other hand, there was potentially a lot to gain—perhaps another consulting job, perhaps more visibility and reputation in Seattle, which would be good for my business.

I decided I couldn't plan for our meeting in much detail; about all I could reasonably do was to be true to the posture I found to be useful in situations like this. I had to be myself, be as real as possible. I see myself as a curious, friendly person who basically likes others. I also know I can be bold and thought I might have to be to get the conversation going, to

*Craig C. Lundberg, *Cornell University*.

Selected Cases

Kenworth Motors, continued

help Denton become clear as to why we were talking together, and to clarify my role.

I also wanted to leave our meeting with a decision to either go forward or not. While I didn't mind investing a little time, my time was valuable. I also felt strongly, as I always do, that I didn't want to work with anyone who I didn't basically like as a person or who didn't seem to genuinely want to do some real work. Seeing the Cascade mountains on the horizon, I began to feel easier. I'd be myself, whatever happened. Only one question nagged: Could Denton and I connect swiftly enough so there would be time to push for clarity in our possible work relationship?

Making Contact

At the Kenworth plant, the uniformed guard at the plant gate checked his clipboard, slipped around my car, and copied down my license plate number. Returning to my open window, he pointed ahead to a one-story brick building attached to the multi-storied plant and told me I could park in the space in front and then go inside and identify myself to the receptionist.

The floor of the wide hallway inside the double glass doors of the office building was freshly waxed. Framed photographs of trucks and large buildings lined the walls. A middle-aged woman in a suit looked up from her desk and smiled. After I identified myself, she led me down a side corridor to an alcove and informed the secretary there who I was and that I was there to see Mr. Denton. She then turned to me, smiled again, and wished me a good day. The seated secretary told me Mr. Denton was expecting me, but was on the telephone. She gestured toward a bank of chairs and asked me to wait. As I sat down, I observed the corridor traffic, busy but quiet. I settled back to wait.

About 10 minutes later, a man of medium height and build wearing a sports jacket over an open-collared shirt came through the door behind the secretary and walked directly to me. He extended his hand, smiled, introduced himself as Bob Denton and motioned me into his office.

The office was larger than I expected. It was paneled and a large Persian rug was centered on the floor. At one end were a clean desk with side chairs and a table full of papers behind it. At the other side of

the office were a couch and two stuffed chairs around a low coffee table. Drapes framed one large window that looked out on the parking lot. Denton asked if I wanted coffee, and I said I did. He went to the door and asked the secretary to bring us both coffee and added we were not to be disturbed. While waiting for the coffee, we sat on the two stuffed chairs and made small talk. He asked about my drive across the state; I asked about the framed sailing prints on the wall and whether he'd been sailing lately. We chatted about the Sonics, the Kingdome, and the coming World's Fair in Vancouver. After our coffee arrived, I asked him to tell me about his plant and products.

Denton spoke excitedly for 10 or 12 minutes on a wide range of topics—the daily production rate of 23 trucks, the cost of a truck, the sales order backlog, some equipment updating just finished, his coming to this job from a plant in the Midwest, his spending a lot of time lately with the next year's budget, and so forth. My impression of Denton was that he was highly involved in his work. He spoke rapidly but clearly with enthusiasm. Finally, he leaned back, smiled, and said, "Well, I've been going on, haven't I?" I remember thinking I liked Denton's ease and his willingness to talk about his plant and himself. I'd already learned a lot about the plant and his job without more than looking interested. Denton certainly did seem likable, and he was younger and more casual than I expected.

Getting down to Business

I clearly recall my response to Denton's question. "Actually, I've appreciated your sharing all this background with me. I've always been curious about this plant. Years ago, I had a part-time job when I was in college and used to deliver some industrial supplies in this end of town and always wanted to know what happened in this plant. All I could see from the road were those lines of big shiny trucks. It's nice to know they're built with care. But you asked for this meeting, Bob. Remember, you told me that while things were going well here you sensed something wasn't quite right. Can you tell me a little more now?"

"Not really. I know the plant is doing fine. I feel pretty much on top of my job. I like what I'm doing here very much. My department heads—all nine of them—are all good people. All but two have been here quite a while. They're dependable, damn good

Selected Cases

Kenworth Motors, continued

at what they do, get along fine, and basically are good managers," he said.

"I get along good with everyone. I go out in the plant every day and circulate around. Things are moving smoothly. My two newer managers—one runs our purchasing and inventory, the other is in personnel—couldn't be working out better. Yet some things nag at me that I can't put my finger on. I guess it boils down to some crazy notion I have that while we get along fine and work together well, we haven't jelled together as a team quite like I'd hoped."

I bombarded Denton with questions, trying to find something that didn't hang together or might indicate a problem. No matter what I asked about—from union relations to accounts receivable, from engineering-production relations to turnover figures—Denton's responses were consistently factual and full, and everything seemed to be in remarkably good shape.

I caught myself from going on with more questions. Instead I said, "Bob, everything I've been asking about tells me you're OK. Maybe things here really are OK. Maybe you've just got some apprehension that things couldn't be that good. After all, you've been here long enough to really know. While there is some chance that you're not well informed, and some things aren't so hot, the odds are against it. About all I can suggest is whether you might want someone like me to independently confirm how things are going." Denton smiled as if to himself and replied, "Hmm, maybe, what would you suggest?"

"What's usually done in situations like this, if there is the interest and if there is the money to pay for it, is to engage someone like me to spend a few days interviewing a sample of managers and other key staff people to see what might turn up."

"From what you've heard so far, do you think that makes sense here?" Denton asked.

"Frankly, I don't know. It might be worth it to you just to learn things really are OK. What usually happens, however, is that I do find out about something that could be improved. After all, that's what I'm supposed to be good at, finding problems. One way or another, Bob, the mere fact I was here would have some impact. The word would spread pretty fast that some outsider was snooping around. What impact that might have I can't say. If things really are OK, my presence might mean little. If there are real problems,

my being here would probably create some tensions, it could raise expectations that something would be done about them, and it could even cause problems."

Denton nodded, "I see what you mean. If you came in, it would cost me some bucks, it would have some risks in how my people reacted; one way or another I'd have to do something." He paused and then went on. "Well, to tell the truth, I don't want to upset things if they're OK, but just finding out whether they are or not appeals to me. Isn't there some other way to do this?"

Denton seemed to me to be open to some minimal work by me. He'd responded as I'd hoped to my candor about the risks of some conventional diagnostic snooping. He'd really seemed to pay attention to what I'd said, and I was beginning to like him and was intrigued with the situation. At times like this, my thought processes seem to jump into high gear. After all, a careful response was called for and there were a number of considerations to factor in. The things I recall noting to myself went like this: apparently some minimal motivation on Bob's part; my real lack of information about the Kenworth situation; my own schedule for the coming months—which was pretty full; my intuition that probably nothing major was wrong with Bob and his managers; and that whatever I proposed had to be of modest cost.

Let's Have a Retreat

I said to Bob: "Let me sketch out one idea that comes to mind. We could do a modest retreat. You, your department managers, and I could meet away from here for a couple of days, say on a weekend, to jointly explore how things are going. At minimum, I see several probable outcomes from such a meeting: everyone would get somewhat better acquainted with one another; we'd know better if there were serious issues to tackle; we'd have the experience of jointly going through problem identification; and you'd get a sense of whether or not your team was open to working with an outsider like myself."

I paused and went on: "Such a meeting would be relatively efficient. It wouldn't take time away from work, and it wouldn't cost an arm and a leg." Bob nodded, sipped his coffee and looked at me intently. "OK," he said, "I can see your points. Just what would we be doing?"

Selected Cases

Kenworth Motors, continued

Seeing Bob's interest as well as warming to the idea myself, I went on to outline a retreat. I suggested doing it at a country club or lodge within a few hours' drive of Seattle. This setting was to provide a symbolic break from the customary business environment, and because it would cost everyone weekend time and the company the expense of travel, food, and lodging, it would show Bob's seriousness about the event. I then suggested we begin with cocktails and dinner on a Friday evening, work all day Saturday with appropriate breaks, and conclude by noon Sunday. Again, Bob nodded. He then asked, "But what would we do? What would you charge?"

I did some quick calculations and responded, "As for my fee, I'd have to bill you for a minimum of three days at my daily rate of \$___ per day, and travel expenses—assuming Kenworth would provide food and lodging. As for what we'd actually do, that's more difficult to say exactly. Frankly, while I have several ways to get us started, I'd need to play it by ear. In general, it would be my responsibility to see we talked straight and a lot with one another to surface our concerns both big and small. I'm afraid you'd have to trust me on this." I said these last couple of sentences with

some trepidation, knowing from my experience that most managers would want much more clarity, but I needed to know how Bob was viewing me.

I was surprised at what happened next. Denton quickly agreed to have a retreat weekend as I'd outlined. We also selected a weekend a month-and-a-half away. He would find a site and let me know. In addition, we agreed he would use the phrase "a communications workshop" when he informed participants. Glancing at my watch as I left Denton's office, I saw it was just 11:30.

Questions

1. How well did the OD consultant prepare for the meeting with Denton? Would you have done anything differently?
2. In the discussion between the OD consultant and Denton, what was effective and ineffective about the consultant's behavior?
3. How effective was the contracting process described in the last part of the case? What is the scope and clarity of the agreement?
4. How would you design the upcoming retreat?

Selected Cases

Peppercorn Dining*

The partners of Square One Consulting were having lunch at Peppercorn Dining on the campus of All-American University. Although Square One was headquartered nearby, most of the consultants' business was conducted in other cities. The partners were enjoying having the opportunity to attend a seminar on a campus in their hometown. By chance, Drew Randall, the manager of Peppercorn, noticed the trio and recognized Erica, who had worked her way through college as a student manager at the dining unit. Drew pulled up a chair and started to catch up on the two years that had transpired since she had graduated. The other consultants, Roger and Lynn, listened as they began to reminisce about the "good old days" at Peppercorn.

Erica recalled the time a swim test coincided with her first shift at the dining hall. She called to let the unit know she would be detained, and she finally arrived about an hour late. When Erica entered the unit, she was greeted by a supervisor who took her downstairs to change into the uniform of blue pants, blue-and-white-checkered shirt, a hair net, and a name tag, an outfit similar to what was being worn by the current employees. Erica was then taken to the dish room and informed she was receiving a verbal warning for being late. As the group laughed, the consultants chided Erica further by commenting that her sense of timing hadn't changed. Drew, however, suggested that times had changed.

Developing a Contract

The consultants were eager to learn about Peppercorn, and Erica, eager to learn about the changes Drew had alluded to, asked about current operations at the unit. Drew, sipping on his coffee, commented, "Staffing is a nightmare. We can't find qualified people anywhere; recruiting and retention has become a constant challenge." Drew went on to explain that the labor market in the county had become tight due to the prosperous Reagan years. Garden County had become a boomtown and, as a result, the university was having difficulty gaining employees. Roger

wondered aloud about the general steps Peppercorn had taken to offset the current labor shortage.

Drew, sensing the consultant's interest, openly discussed his perceptions of the dining unit. He stated:

I would like to make Peppercorn a more pleasant place for everyone to work. I get great productivity out of these guys and they really care. It's just that there needs to be something more. Maybe morale is a little low. There's not much creativity involved in most of the tasks, but the cooks feel great when they sell out of stuff. However, when we sell out, it's probably because the forecast was incorrect rather than as a response to a good product. I take a humanistic management approach, maybe they just need some kind of support. On the other hand, I may give them too much autonomy since I let them manage themselves to a large degree.

I believe that scheduling is management's right. I base my scheduling on operational need. Ultimately, the manager is responsible for the success or failure of the operation, therefore, I should have the right to put the people where I deem best. You know, niche management. Although, I did inherit a lot of the schedule.

As Erica tentatively nodded her head in response to Drew's comments, Roger and Lynn caught each other's gaze and shrugged inquisitively. By the consultants' behavior, it was apparent they were wondering about the meaning behind Drew's words. However, because he was obviously in the mood to talk, the consultants did not interrupt.

Warming up to his listeners, Drew continued, "Some employees have been at Peppercorn, working in the same position, for 20 plus years. Bob, the day cook, has been working here for 28 years. Can you believe that Doug, the night cook, has been here for 10 years and is waiting for Bob to retire so that he can transfer to the day shift? Doug may have to wait a long time since Bob won't be retiring for at least 15 years. It's hard for me to believe that Doug looks forward to that time and that he refuses to transfer to another dining unit."

"That's amazing," said Roger. "You seem to have loyal employees. It must be easy to manage people who know their job so well."

*JoAnn Carmin, Cornell University; Todd Comen, Cornell University; Yariels Kerr, Cornell University.

Selected Cases

Peppercorn Dining, continued

Drew responded:

It's not that simple. The union contract forms a second set of rules and operating parameters. The contract deals with turnover, sick leave, pay, promotion, and all of the other usual stuff. It seems that there is no reward for non-sickness, but there is a reward for sickness. Now people get one and a half times the pay for sick days if they are on overtime. If they are on overtime, absenteeism is more of a contractual issue than a workplace issue.

Frankly, I believe that staffing affects attitudes and attitudes affect quality; both of which affect productivity. Increased productivity means making better use of time. Perhaps I should structure the tasks in a better way, but managing and working behind the lines makes it difficult for me to see the trees through the forest. There's no time for anyone to stand back and see what's happening.

Drew paused and, as if speaking more to himself than to the consultants, said, "Since I've been so busy, maybe I've lost track of some of my priorities." Turning to the consultants, Drew inquired about their experience with situations of this type and what advice they might offer.

The partners explained they are usually contacted by organizations when management believes an external opinion could provide a fresh outlook on operations. They went on to state they normally begin their work by performing an operations audit, the results of which are presented to management. Additionally, when the situation warrants, strategic interventions are designed to facilitate the achievement of management objectives. The partners further indicated they believe it is essential to become familiar with an organization before appropriate suggestions can be made.

Without hesitation, Drew said to the consultants, "The situation here at Peppercorn has been concerning me for quite some time. I know that you must be very busy, but perhaps you could find the time to work with me. Erica already knows a lot about the operation, and it wouldn't take long for her to become reacquainted."

Because the consultants were planning to be in the area for several days to attend the seminar

and to complete some paperwork, Erica suggested they observe operations at Peppercorn. The group, discussing Erica's suggestion, agreed that the first stage should be a preliminary evaluation of the unit, followed by a feedback session with management. Then, based on the outcome, management could conduct an in-depth operations audit. Drew concurred that evaluation and feedback could be useful first steps in achieving his goals. He restated that his goals for Peppercorn were to increase productivity and to improve morale among the workers.

The consultants concluded their discussion by telling Drew they would drop off a written contract by the following afternoon. The contract would include their fee structure as well as a schedule of the dates and times they would like to be on the premises.

Reviewing Background Information

Two days later, the team gathered around the table in Roger's office to discuss the Peppercorn consultation. Roger and Lynn initiated the discussion by reintroducing the subject of Erica's objectivity. It became obvious that all three of the partners were concerned about how Erica's past experiences would bias her view of the operation. The partners also discussed the fact that Erica's views would influence Roger and Lynn's perceptions of the dining unit. Although Erica believed she could recognize and work with her bias, she suggested she focus on gathering current managerial data. Because their time was limited, Lynn recommended that Erica also conduct a few on-site interviews with people who would be more candid with an old friend than with strangers.

As he was reaching for a notepad, Roger asked Erica about the general operating procedures and the key personnel at Peppercorn. Erica began outlining the operation:

Peppercorn's hours are 11 a.m. to 7:30 p.m., Monday through Friday. When I first started, we served about 1,500 to 1,600 lunches and 900 to 1,000 dinners daily. By the time I graduated, the counts were down by about 30 percent at lunch and approximately 50 percent at dinner.

When I was a student worker at Peppercorn, there were full-time employees, all of whom were union members. There were also student workers, and we had our own student management staff.

Selected Cases

Peppercorn Dining, continued

When I first started working, there were more student workers than when I graduated. Some of the gaps were filled by full-time temporary workers.

Lynn pointed out that it would be important to determine if these changes were affecting the operation. Erica agreed and indicated that by the time she had graduated, minor conflicts were arising between student and temporary workers at Peppercorn. Erica continued her briefing by providing an overview of the key personnel during her tenure with All-American Dining, the parent organization of Peppercorn.

Erica stated:

Drew is obviously the manager of Peppercorn. He was also the manager of the Salt Mill over at the "B"-School. He was responsible to Stan O'Malley, one of the assistant directors of All-American Dining. Stan supervised Drew and Beth Clarkson, the manager of food service in the student union.

John Cerrano was the receiving clerk. He always worked closely with Drew. There never seemed to be any problems with his work; he always knew where everything was because he received the goods and then put them in storage. John, or "Bo-bo" as we called him, was the shop steward. He had a close relationship with most of the employees and a bunch of us used to go out drinking with him regularly.

Matt Copperfield was definitely a key player. Matt was the professional supervisor who handled inventory, purchasing, scheduling, and other administrative tasks. It always seemed as if he was at the heart of the operation. I can't remember her name, but there was a secretary who was also in a pivotal position. She had access to a lot of information and she was the source and respondent of all official Peppercorn communication.

The student supervisors were the only other key players that I can think of at this point, and they had extensive responsibilities which included daily management, scheduling, and hiring of the student workers.

The partners' conversation shifted to the amount of time available for the investigation. Lynn asked her partners how much time they thought was necessary for conducting the initial investigation. "Well, Lynn,"

replied Roger, "based on the information we have so far, it's possible that the longtime employees may not be as open as we might like. They may be protective of their turf." Lynn agreed but added that they shouldn't jump to any conclusions. She noted that often it was the old-time employees who were most interested in talking about their work.

The consultants agreed that three days should be an ample amount of time to gather the necessary data and to develop a presentation for the management of Peppercorn Dining. The consultants concluded the meeting by agreeing that Lynn would concentrate on the production areas of the unit while Roger would survey front-of-house operations.

Day One: Interviews And Observations

Lynn was the first to arrive at Peppercorn the following morning. As she approached the facility, she noticed that three female employees were smoking cigarettes on the loading dock, joking around with a purveyor. Lynn introduced herself and lingered with the workers for a few minutes.

Back of House

Entering the kitchen from the loading dock, Lynn noticed it was clean and most of the equipment looked relatively new. The kitchen had fairly good fluorescent lighting, and natural lighting was provided by windows in the pot washing and food preparation areas.

As Lynn placed her coat and briefcase on a rack in the storage area, she observed that the dry goods were neatly arranged, although the supplies were not plentiful. From the storeroom doorway, she could see that the workers were busy, but not rushed. The members of the kitchen staff chatted as they worked and they appeared to know what tasks to perform without needing direction.

The kitchen was divided into five areas (as shown in Figure 1). After introducing herself to the workers and taking a brief tour of the kitchen, Lynn positioned herself near the walk-in cooler where she could easily see most of the kitchen operations. She noticed that the walk-in cooler and freezer were clean and were stocked with a moderate amount of supplies. She also observed that the workers' uniforms were clean.

Selected Cases

Peppercorn Dining, continued

However, some of the workers were wearing aprons and some were not. As if reading her thoughts, a student worker passing through the room commented to no one in particular, "We're out of aprons again. Oh well, it's no big deal." Lynn wondered what else might not be a "big deal" to the workers.

The doors to the dining facility were opened at 10:55 a.m. at which time the pantry workers took a break.

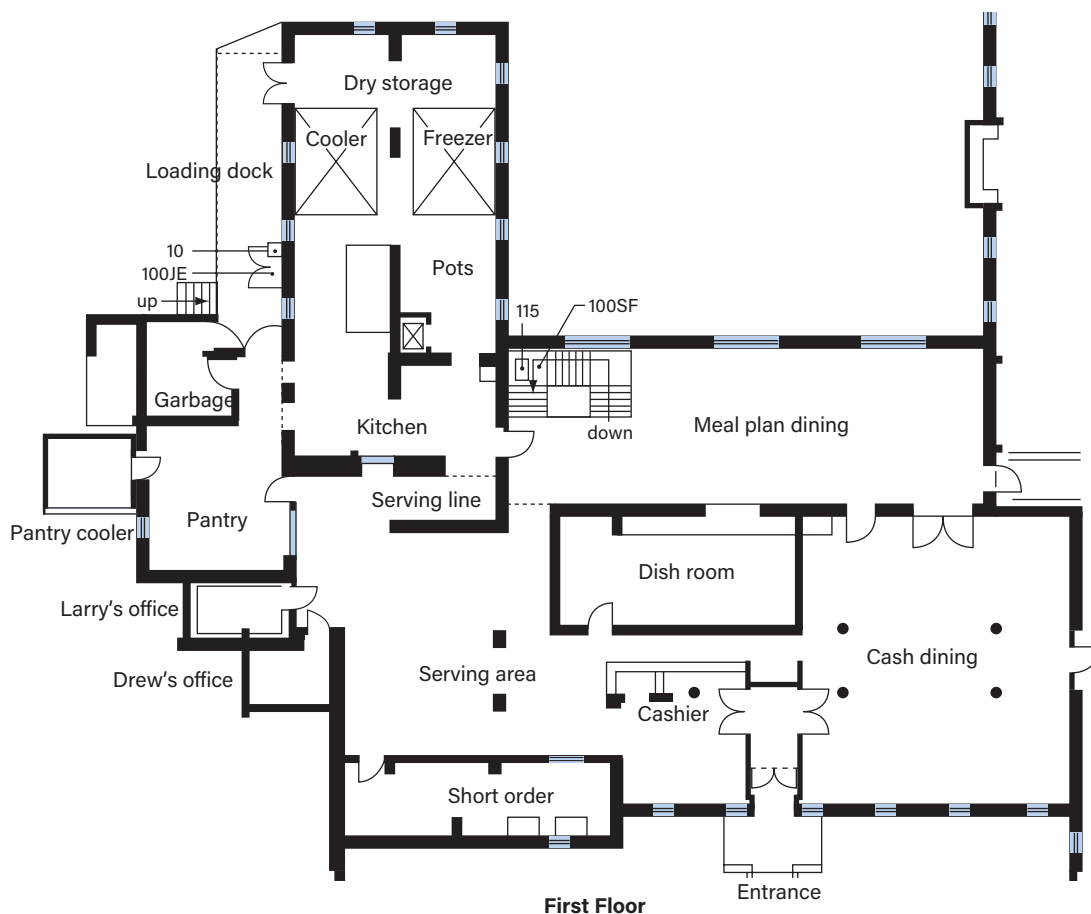
Bob, the day chef, was grilling sandwiches in the tilt brazier while Robert, the day cook, was breading

pork. Robert moved between food preparation, the fryer, and the steamer. During lunch service, the kitchen staff appeared to be relaxed. Although there was not much talking, they did joke with each other from time to time.

Shortly after 11 a.m., a man wearing a chefs uniform entered the kitchen and greeted the other workers. He then took a clipboard and a stack of computer printouts to a table near where Lynn was standing. Lynn felt a bit awkward until he introduced himself as Doug, the dinner chef.

Figure 1

Floor Plan of Peppercorn Dining

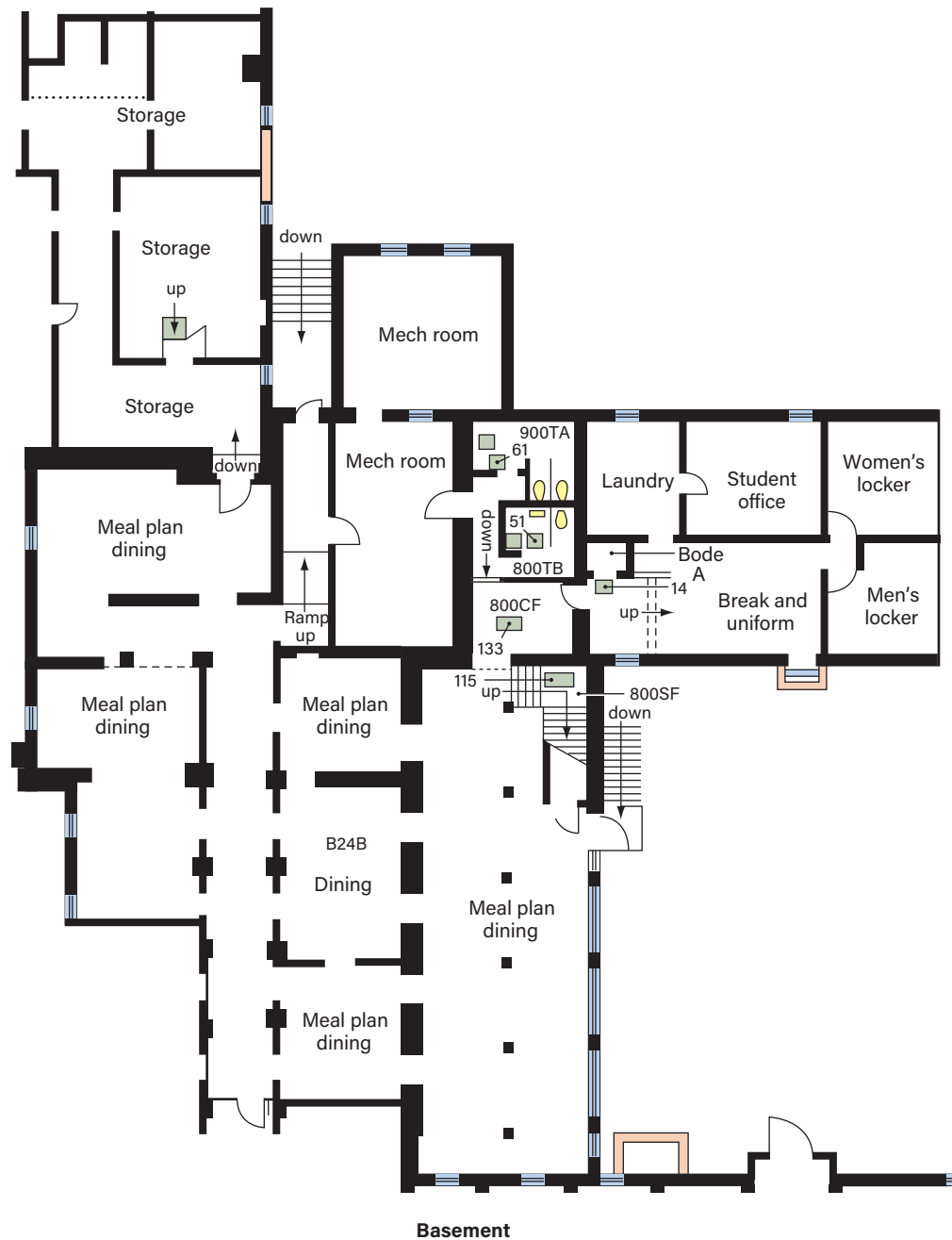


Selected Cases

Peppercorn Dining, continued

Figure 1

Floor Plan of Peppercorn Dining (*continued*)



Selected Cases

Peppercorn Dining, continued

Lynn explained she was observing the facility in order to become familiar with the operation. Doug showed interest in Lynn's curiosity and stated:

I want the kitchen to run as smoothly as possible. I believe that it takes organization, morale, communication, and a system to have an efficient operation. Communication is important. I ask the servers how things are working out so that I know if I should change anything. I try to maintain a routine system so there won't be many questions during service. I train all of my workers and I enjoy having the opportunity to teach. I've been in food service for 25 years and at Peppercorn for 10 years. I started working in the food service industry when I was about 11.

I think that Peppercorn has the best food on campus. Some of my own recipes have been accepted by management and are now a part of the menu database. I've also developed ideas that have been adopted here and at other campus dining facilities. For example, I started the trend of keeping plastic tasting spoons by the steam kettles. I'm also the person who started using a yellow marker to highlight important items on the computer printouts.

As Lynn and Doug were talking, a man came over and listened to their conversation. Doug's speech became hesitant in this man's presence. After only a few minutes, the man left. Lynn wondered who the man was and why he had such an effect on Doug. From the way he was dressed, there was no way to determine if he worked at Peppercorn, was from the union, or was part of the All-American management staff.

Coincidentally, Doug explained to Lynn that the man was Larry, the professional supervisor. He went on to say Larry plans the menus and tries to balance the use of ovens and kettles so the equipment is not overloaded. According to Doug, Larry prints out the menus from a computer located in the office. Doug added that the system does not always work the way it should. It is supposed to print menus, compile order lists, and check the inventory. Doug commented, "Sometimes it works well, and sometimes not. Sometimes the menus have to be changed at the last minute because of short stock. We haven't had any salt all semester. This is mostly a result of computer errors."

Doug went on to talk about some of his coworkers. Bob, the lunch chef, has been at Peppercorn for 28 years. Chris, the assistant dinner chef, has been with the unit for about three years. Chris, who moved to the kitchen from the short-order station, was trained by Doug. They enjoy sharing ideas and they always try to prepare the food a day in advance.

While Lynn was talking with Doug, she could see the cafeteria line by way of a pass-through window. She noticed that a steady flow of diners was entering the facility. Realizing that Doug enjoyed talking about the unit and being curious about Doug's responses, Lynn felt comfortable continuing the conversation. Observing a student supervisor restocking the hot food line, Lynn asked Doug how he felt about working with students.

He replied, "Some student workers are reliable, while others are less committed." Lynn asked Doug about the role of the student supervisor and in response Doug called the student over. The student seemed unhurried and went on to explain that student supervisors do not have any power over the regular workers; only over temps and other students. Students have their own management structure that includes a student coordinator, managers, and pay clerk. The student personnel coordinator handles complaints. Temps and regular workers take complaints to the regular personnel worker. More temps have been needed recently since there are less student workers at Peppercorn than in previous years.

As Lynn, Doug, and the student were talking, Larry entered the kitchen again. When the student noticed him, he quickly went back to work restocking the food line.

The activity in the kitchen seemed to be getting busier, and Lynn decided she should move to another position so Doug could continue his work. Before she left, Doug commented about the union. He stated, "Skilled workers are on the same union contract as unskilled workers. I think that this arrangement holds back the skilled workers and helps the unskilled to get ahead. It doesn't work well, and we don't even have a shop steward. The only way that I can move up in the organization is to become part of management."

Lynn bid Doug farewell and went into the service area to get some lunch. As she went through the cafeteria line, she noticed Roger observing the cafeteria service. Lynn invited him to join her for lunch, but

Selected Cases

Peppercorn Dining, continued

Roger declined, saying he had just begun his observation and he wanted to spend some time watching service during the busiest hours.

Service Areas

Roger immediately noticed the line servers interacted a great deal with the customers. He also noted there was no portion control. The students would ask the line servers for "a little more spaghetti, just meatballs, no corn, more sauce, or a small cup of soup." Each customer wanted the standard portions or combinations of food items altered to meet their personal needs, and they were accommodated.

The first line server plates the entrees and the second worker serves the side dishes (see Figure 2). The workers must communicate in order to properly fill each order. The overall atmosphere in the serving area was relaxed. Roger timed the service and discovered it took two to four minutes for a customer to enter the line and be served during a busy period.

As the flow of customers slowed, Roger initiated a conversation with a line worker who introduced herself as Carrie. She told Roger she had been at Peppercorn for 10 years and was a door checker for 9½ of those years. She explained the door checker made sure that only diners on the university meal plan were allowed in the noncash dining area. She went on to say she had become bored with her position. She was also dissatisfied with her former hours, which were from 11 a.m. to 7:30 P.M. Carrie attained her new position with Drew's help. He facilitated a trade between her and a line server. Now that the swap is final, Carrie believes the other woman, who is now the door checker, may not think the trade was equitable.

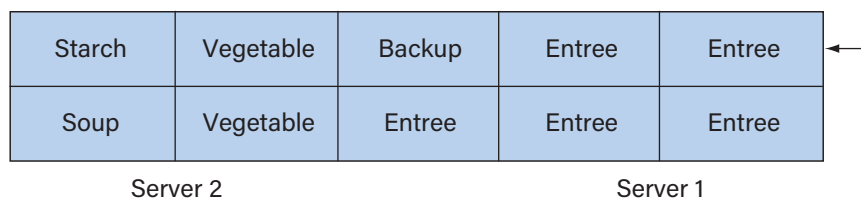
During his conversation with Carrie, Roger saw the chef come out of the kitchen and pick up an empty pan. The chef lingered for a minute. He appeared to be watching the line service. Roger returned his attention to Carrie and continued the conversation by asking her about line staffing. Carrie explained, "Usually there are three main workers on the line, two full-timers at one station and one student or temp at the other. We choose our own positions on the line and we usually stick to the same spots. When it gets busy, additional student workers fill in. Today one full-timer is sick, so a temp from another area filled the position. Sometimes they can't find substitutes, so we just have to work that much harder."

Roger stepped aside as a student worker carrying a tray of soup cups began to restock the service line. Roger apologized for any inconvenience and explained he was a member of a group learning about the operations at Peppercorn. Roger asked the student if he could take a moment to tell him about the relationship between student and nonstudent workers.

The student explained that Peppercorn is supposed to be staffed primarily by students. The students are grouped into three segments: student managers, student supervisors, and student workers. However, he said, "Since the supply of students has been diminishing over the years, more temps have had to fill the positions. There's a lot of tension between students and temps as well as between students and full-timers. This isn't surprising since the students supervise the operation. They call us 'students' as opposed to 'supervisors' and we seem to be stereotyped."

Figure 2

Line Servers Setup



Selected Cases

Peppercorn Dining, continued

He clarified his statement, saying, "There's a discrepancy with age, economic status, and experience in many cases. Only the full-timers and the professional managers are not under the supervision of students. Students have a difficult time supervising older people, and older people have a difficult time taking orders from young people who they probably consider similar to their own children."

The student went back to work, leaving Roger to his thoughts. He was reminded of the conversation that he had with his partners about the conflicts between student and nonstudent workers. It was becoming clear to Roger that this was an important issue.

Just as Roger was beginning to consider the problems that can arise from role conflict and role ambiguity, he was startled by the sound of shattering glass. Roger turned in time to notice a student stepping away from a broken glass, acting as if nothing had happened. Several dishwashers, on their way to the drink station, also saw the broken glass as they walked by. Roger was curious to see how long it would take for someone to clean up the mess. Two minutes later, a dishwasher returned and swept up the glass. During this time, a student supervisor was informed of the problem. Roger noted she never returned to make sure the situation was corrected.

Roger followed the dishwasher toward the dish room. As he rounded the corner of the serving area, Roger heard the sound of blaring music. He had to weave his way through a narrow passage that was blocked with customers at the cashier's station.

As he entered the dish room through an open doorway, Roger was greeted by a mixture of machinery noise, loud music, and a hot, humid atmosphere. The machinery was arranged in a pattern that allowed many people to perform different tasks simultaneously. The five workers gave Roger a cursory glance and continued with their tasks.

Roger, feeling a bit out of place and self-conscious, stood to one side of the work area and watched the activity. There was a lot of joking, talking, and interacting as the workers sorted and cleaned dishes, silverware, glasses, and trays. Full dish trays were stacked at the rinse station. Each rack was rinsed and then sent through the dishwashing machine. When the dishes completed their cycle, a worker sorted the dishes. Roger noted the worker

put several freshly washed dishes into racks with dirty dishes. He also noticed the silverware was run through the dishwasher twice.

Roger wanted to know why the silverware had to go through the wash cycle two times, so he asked the dish sorter who was positioned at the end of the line. The sorter said, "We're concerned that plates and especially the silver are clean. We wouldn't want people catching something from someone else."

The sorter asked Roger what he was doing in the dish room. Roger explained and then asked the worker how long he had been at Peppercorn. The worker said he had been at Peppercorn for a year. Further discussion revealed the worker is on a split shift. He works from noon to 4 P.M. and then from 6 P.M. until 10 P.M. He said he likes having a midday break in order to get things done in his personal life. He explained that he knew three of the other workers before he started the job. Because he was the newest employee in the dish room, he was stationed at the hottest position. He pointed out that the two full-timers he worked with had held their positions for four and two years, respectively. The other three workers, including him, were temps.

The worker finished sorting and left the dish room to get his coworkers a cold drink. Roger went over to the area where workers were scraping and sorting dirty plates. The dishes and filled racks were piling up. Roger noted the dish machine was not able to keep up with the demand. He also saw that the paper items were shredded with the food scraps and that Styrofoam was sorted separately.

The oldest woman in the dish room yelled out from time to time, "Come on, keep it movin." Roger spent a few more minutes observing. As he recalled Erica's story about her first day at Peppercorn, Roger wondered why there were no students working in the dish room. As he was leaving, a student supervisor came in to get trays for the service area.

Roger proceeded to the cashier station where he found the dish sorter chatting with the cashier. After a minute, the sorter returned to the dish room. Roger struck up a conversation with the cashier. After briefing her about his project, the cashier proceeded to tell Roger about some of her observations and experiences at Peppercorn.

She explained that the cashier's job is a full-time, nonunion position she has held for two years.

Selected Cases

Peppercorn Dining, continued

She replaced the person who is currently the secretary. She enjoys having the opportunity to meet people and getting to know the regulars, but she has found that some of the students are rude.

The cashier stated, "I usually get along well with management. Everyone has their good and bad days. I was a manager in my previous job, so I understand what Drew has to deal with. I also understand the problems that the student supervisors have." Roger wondered what the cashier meant by this statement. What does Drew have to deal with and what problems do the student supervisors really have to deal with? Thus far, he had noted that the operation appeared effective, although some communication problems were evident.

The cashier, seeing Drew passing by, stopped him and asked him for more change and small bills. Roger asked if it was standard procedure for her to ask managers for more money, or if she was able to get it herself. She replied she is authorized to get cash, but it is difficult for her to leave her station.

While the cashier was waiting for Drew to return, Roger asked her about work conditions. The cashier replied:

I get cold in the winter because I'm so close to the entrance and the wind blows in. It's ironic because the rest of the workers complain about it being too hot at their stations. Peppercorn is built over heating ducts, so it's very hot everywhere except at my station. People's biggest complaint is the heat. There isn't adequate ventilation or air flow. Another common complaint is that there's not enough room in the dining, kitchen, and service areas. This is because Peppercorn used to be a riding stable.

In the winter I get sick easily, but I only miss about five days per year. I've learned to live with not feeling well on the job. I have a sore back every night because I sit on a bar stool all day.

Before Roger could inquire if she had ever talked to management about her work conditions, she stated, "I'm the only cashier. I have to call on the secretary when it's really busy, but I know she has a lot of work to do. I also restock silverware. This entails shutting down the register, running to the dish room, and then restocking before the register line gets too long. Our job descriptions say that if someone sees

something that needs doing, they are supposed to do it. Therefore, during slow periods I help clean tables, do the menu board, and look around for other things to do."

Roger asked the cashier about her plans for the future, and she explained she would like to have a secretarial job so she could get away from food service for a while. The cashier went on to say there are temps and students that make more money than she does as a full-timer and this disparity makes her resentful. The wages seem to be based on job position or union membership. Only four positions are nonunion. These positions include the cashier, secretary, supervisor, and manager. The rest of the workers at Peppercorn are temporary, union members, or students. The cashier added there are only five single people on the staff.

When Roger asked the cashier about the relationship between student and full-time workers, she replied there is a lot of pressure in the dish room. She believes the pressure builds up because the student supervisors never send student workers in to help. The supervisors' excuse is that they are short of help elsewhere. Drew returned with the cash, and Roger went to see if he could find his partners.

Administrative Information

Roger found Lynn and Erica sitting in the dining area. Erica was telling Lynn she had arranged for them to have dinner with some students that evening. Roger sat down with his partners and asked Erica if she could clarify some details about the organizational structure.

Erica responded, "There are three tiers of management at Peppercorn (Figure 3). There is the professional management staff, which consists of Drew and Larry. They oversee the full-time workers. There are also student managers and student supervisors. The student managers oversee student supervisors as well as the student workers. The student supervisors are responsible for daily operations. The student workers and the temporary employees report to them. It seems, however, that the temporary workers also report to, and are trained by, the professional managers."

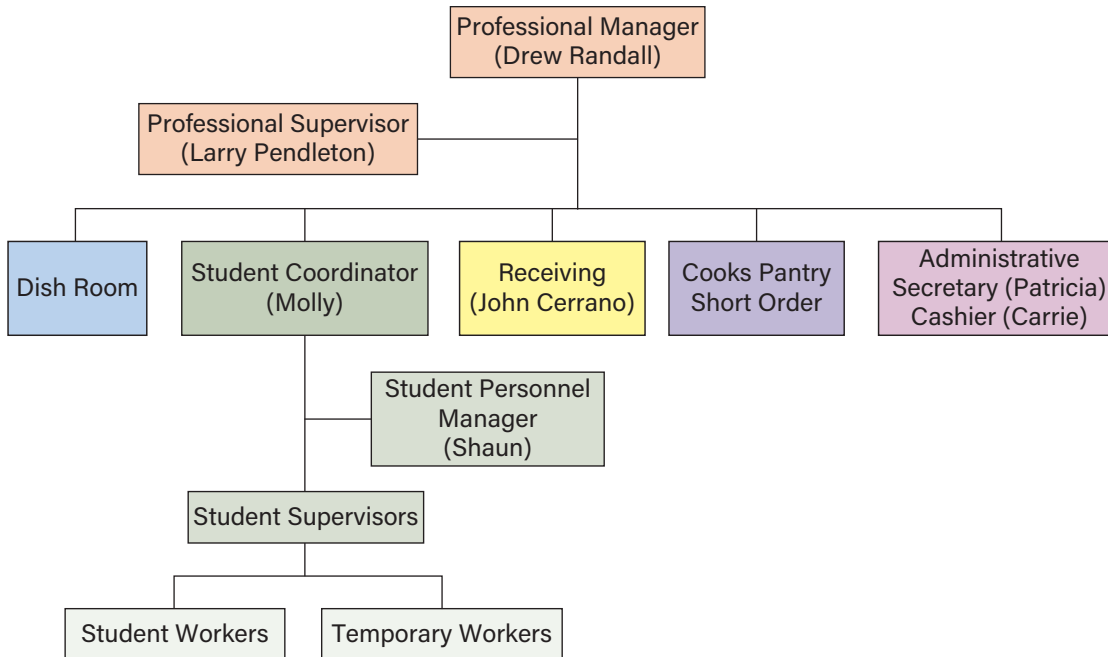
Roger and Lynn interjected that they had noticed difficulties between the students and the other workers at Peppercorn. Lynn asked Erica if she would

Selected Cases

Peppercorn Dining, continued

Figure 3

Peppercorn Dining Organizational Chart



clarify the distinction between the different levels of employees. Erica clarified the organizational structure stating:

There are full-time union employees, full-time nonunion temporary employees, and student labor. Full-time employees hold the positions of cooks, short order chefs, pantry workers, and cashiers. In past years, students filled all the other supplementary positions, including dishwashers, servers, cooks, helpers, short order helpers, pantry helpers, beverage servers, and serving area floaters. For the past four to five years, fewer students have wanted jobs at Peppercorn. This phenomena has resulted in the addition of the third type of employee, the full-time temporary worker.

Erica went on to tell her partners that she had gathered enough information to update them on the key players at All-American Dining. She explained that Larry Pendleton is the new professional supervisor,

replacing Matt Copperfield at Peppercorn. In the central office, Nancy Lawrence is still the director of All-American Dining (Figure 4). She has been spending a great deal of time traveling to different universities in order to analyze their food service operations. Stan O'Malley is still an assistant director of All-American Dining. Although there is a central office, each unit is independently operated.

Roger asked Erica if she had the opportunity to speak with any employees and if she had been able to uncover any information about management-employee relations. Erica told her partners she had spoken with John Cerrano and some of the pantry workers.

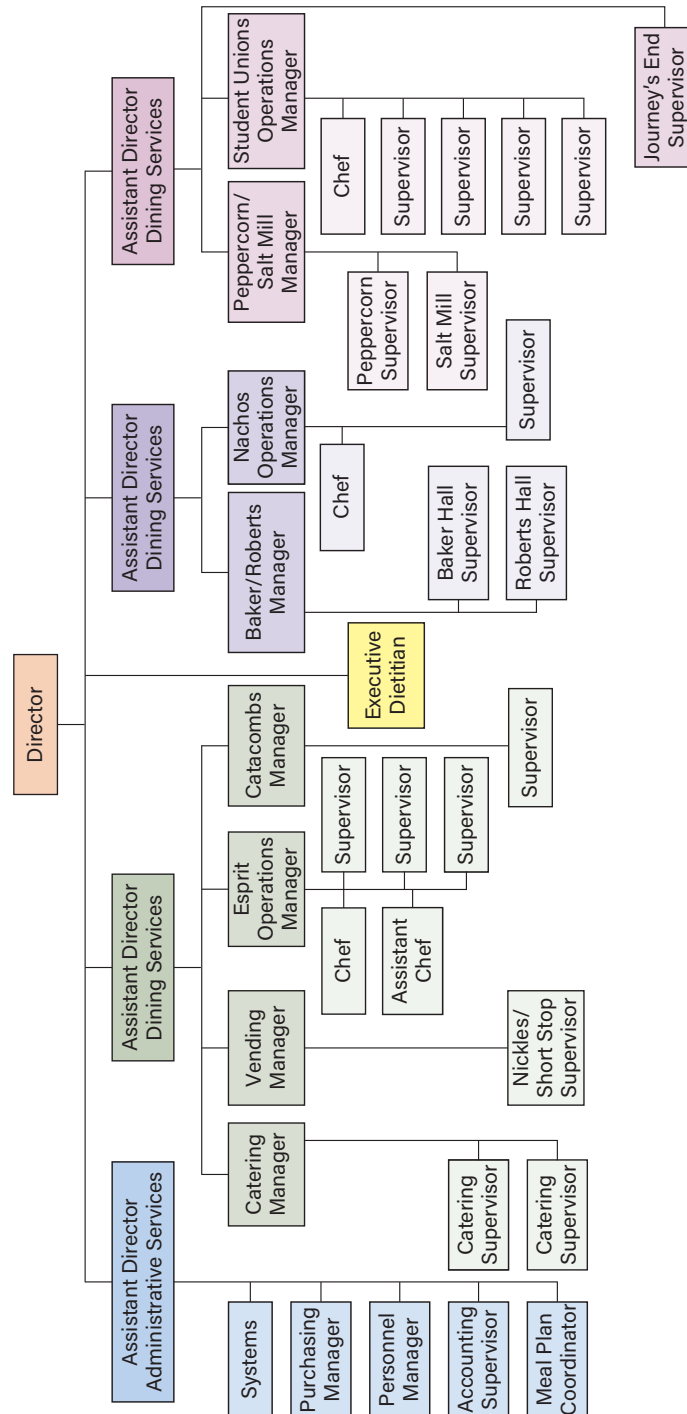
Erica went on to say she and John spoke about changes that had occurred at Peppercorn since she had left. John told Erica the lack of student help has hurt operations at the unit. For example, a special dining event that Peppercorn sponsored last night was difficult for the workers. There were virtually no

Selected Cases

Peppercorn Dining, continued

Figure 4

Department of Dining Services



Selected Cases

Peppercorn Dining, continued

students on the staff. As a result, the full-time workers and temps had to pick up the slack.

John also commented that Larry doesn't listen to his advice about ordering food. John spends a lot of his time getting food items that should have come in from the suppliers from the other units on campus. According to John, Larry doesn't have the respect of the staff. He doesn't take anyone's advice and acts like a know-it-all. The situation is made worse because Larry doesn't do his job very well.

Erica went on to discuss the pantry workers stating:

The workers seemed to indicate a general belief that the management of All-American Dining, as well as the management at Peppercorn, doesn't really care about them. They mentioned how All-American's previous personnel director used to visit the different dining units at least once a month and talk with the full-time employees. During that time, the workers felt that someone cared about them. They said that the new personnel director doesn't come around at all and probably doesn't even know who the full-time employees are.

The workers also told me that there is minimal union representation for food service employees. According to the workers, food service members are a minority faction of the union and aren't considered important unless a strike is in progress. Apparently, the union's primary concern is with maintenance workers, groundskeepers, janitors, and bus drivers. There's no shop steward and union officials don't come to Peppercorn unless there is an official grievance.

Lynn added that Doug had also commented on the union. She stated, "Based on what we have heard so far, no one is thrilled with the union. Workers and management alike seem to find the union a burden."

Roger asked Erica about how each unit on the campus was staffed. Erica explained that the units were independently staffed and at the beginning of each semester, the different units held recruitment campaigns.

Erica became quite excited as she stated, "OK, enough of the routine stuff. One thing that I found out today is that the university is building a new 400-seat dining facility. Also, a privately funded food service

operation that will include a variety of dining concepts is opening nearby. Of course, these things will impact Peppercorn, but the scoop is that Drew will be the manager of the new facility!"

Erica, acting quite pleased, sat back, smiled, and waited for her partners to respond. Lynn paused only for a moment and then, turning to Erica, said, "This isn't making much sense, but, before I ask the obvious, why don't you tell us the rest of the facts?"

Erica, a little disappointed at the response her comment evoked, went on to explain that Drew would be leaving Peppercorn in about five months and that Eric Weston, the current vending manager, would take charge of the unit as soon as Drew left.

As Lynn and Erica began to engage in an intense discussion about the future of Peppercorn Dining, Roger, in true form, looked at his watch and stated, "Well, not only do we have a contract, we also have a dinner engagement in 20 minutes. Let's get some fresh air before we meet with the students!" The partners began laughing and, recognizing the sanity of Roger's comment, decided a break was in order.

Dinner with Student Managers

After freshening up, the trio returned to Peppercorn to meet the students for dinner. Molly, the student coordinator, and Shaun, the student personnel manager, were waiting for the consultants at Peppercorn's main entrance. The five of them went through the cafeteria line and then entered the dining room, where they found a quiet table to have their dinner.

Shaun seemed to know why the consultants had asked them to dinner and began to tell them about his tenure at Peppercorn. Shaun explained that when he had started at Peppercorn four years ago, there were two to three times the number of student workers. He went on to say more students made the work fun and the operation ran more efficiently. Shaun explained it is hard for the students who have been at Peppercorn for a long time because they know how it used to be.

Molly agreed with Shaun, saying students would work at Peppercorn because it had a reputation for being social. "To attract student workers," Molly said, "Peppercorn must become special, more conducive to meeting students' needs. In the early days, students were proud to be Peppies and looked forward to seeing their coworkers." She proceeded to say they have to treat students well because they can't risk

Selected Cases

Peppercorn Dining, continued

alienating anyone. They can't afford to fire students or give them too many warnings.

Erica asked the students to comment on working with the temporary workers. Shaun said, "The temp-student relationship is not great. Temps are under the student supervisors' authority, but it doesn't really work that way. Temps are less efficient than students, but they are needed to fill the vacant positions. They are probably not as efficient because they have less loyalty to Peppercorn than the students."

Molly interjected, "This year, no students and temps work in the same areas except for emergencies. Temps are trained by the professional management but are supervised by students. Last year, it was unclear who was in charge of the temps. This year it is better. Most things are written in manuals."

"The regular and temporary workers don't talk much to the students," continued Molly. "Temps and full-timers think students are stupid; they have an attitude toward students. It's hard for the students to get cooperation and respect from the temps."

Lynn asked the students about their relationships with Drew. Shaun and Molly explained that while most students don't interact with Drew frequently, they, as supervisors, meet with him regularly. Most of the students think Drew is rude and cold and unapproachable, but they have found he can be very patient. Additionally, many students don't believe Drew is knowledgeable about food service operations. Molly and Shaun have discovered that he is, in fact, an astute person. They attributed his reputation to a lack of accessibility, noting that Drew is generally more accessible to the full-time and temporary workers than to the students.

Lynn further inquired about the students' reactions to the forthcoming management changes. Molly replied, "Since most of the students don't work closely with Drew, we really can't foresee the change having much of an effect on them. Most students don't have any preconceived ideas about the new management."

Shaun disagreed with Molly stating, "It's going to be hard for a new manager to come in mid-year. The transition will cause problems since the new manager won't have the experience. I think that the new manager should change things quickly. New student workers are recruited by us in the spring and meet their supervisors when they begin working in the fall. They immediately have some respect for their

supervisor. I think that the new manager will be in a bind."

Molly said she believed the change would have a greater effect on the full-time and temporary workers than on the students. She has heard some workers mention they are concerned because Peppercorn's future is unclear. Many of the full-time workers are loyal to Drew; they have become comfortable with his management style.

Roger, addressing Molly, asked about communication at Peppercorn. Molly responded:

Communication has been a major problem. The students thought that if they left me notes, things would get done. I would take the notes to management, but important things were not noted as being important. Mostly, the problems were repair and maintenance issues. People brooded that things didn't get done quickly. They didn't realize that most things have to go through a lot of channels, which takes time. There is so much paperwork involved. Now the students make special notations when issues are urgent so that I can establish priorities.

An area that is related to communication is ordering. There are a lot of problems with Larry. Last year, we had a problem with the person who filled a similar job but the job description has changed. Last year, the kitchen workers were getting burnt out. Larry revised the menus and for a while the kitchen seemed better. Larry just doesn't do his job well and we constantly run out of things.

Roger asked about the student pay structure at Peppercorn. Molly told him the pay rate has been changed twice. The effect is that workers are kept on the same pay grade because the raises push people back to level one. The only workers who benefit from the changes are the student managers.

Shaun noted that one of the most frustrating situations at Peppercorn was the lack of student interest, something that could not be controlled. Even when the wages were raised, no one applied for jobs. Shaun added that the student supervisors are upset about paying for their meal plan tickets because many of them worked their way through school.

It was getting late and the students had to attend classes the next morning. The consultants thanked

Selected Cases

Peppercorn Dining, continued

the students for being so candid with them. After the students left, the consultants discussed their impressions of Peppercorn.

Roger commented that their earlier concerns about the willingness of employees to speak with them were unfounded. Lynn agreed, noting that although most of the workers seemed to be quite open, Doug was an exception. He was eager to talk, but the discussion seemed contrived. He seemed to be conveying information that he thought she should know and was careful to portray himself and the operation in a favorable light. Lynn said she thought he was concerned about possible repercussions from his responses.

Lynn went on to recount the interactions she had observed earlier in the day between Larry, Doug, and the student supervisor. She then commented, "Larry is an interesting player. All of the workers mention him. He seems to have a lot of power over the other workers, yet he seems to govern by fear. The workers become timid in his presence, nonetheless, they don't appear to have much respect for him."

Picking up on Lynn's train of thought, Roger noted that in his conversations and observations throughout the day, he had begun to wonder about the social system at the unit. He commented, "Although the organization was highly stratified, operations still seem to run smoothly. While workers may be timid around Larry and even fear Drew, the fact that operations are smooth and that the workers appear to be loyal indicates that personality conflicts and role ambiguity are symptoms of a larger problem."

"That's true," said Erica. "The unit always had a reputation for being a social environment. In the past, we were able to overlook personality and role conflicts because there was a strong culture at the unit."

Noticing that the cleaning crew was beginning to break down the dining room, the partners decided to call it a night.

Day Two: Interviews and Observations

Erica arrived at the dining hall at 10:30 a.m. As she climbed the stairs beside the loading dock, she noticed a worker was in the car wash, hosing down the trash cans. As she entered the kitchen, Erica spotted Drew helping out in the pantry. They greeted each other cordially and chatted for a few minutes. Drew, taking off his lab coat, said he was due at a meeting on the other side of the campus.

Erica left the kitchen and went into the office to gather more information on the structure and operations of Peppercorn. When she entered through the open office door, she found Larry working at the computer, placing orders with the central purchasing system. Larry explained to Erica that the computer system had not been working properly. It is supposed to generate order lists and inventories based on the menus that he inputs. He indicated, however, there must be some problem with the system because the orders are not coming in, and when they do, they frequently are late. After providing Erica with some literature such as employee handbooks, Larry suggested she talk to Patricia, the secretary at the main office.

Erica followed Larry's suggestion and on her way out of the unit she met Roger. She explained she was planning to visit the main office and said she would meet her partners in the late afternoon to discuss her findings.

Roger wandered around the unit for over an hour, observing the lunch service. During the first hour, the cafeteria was packed with customers. Roger noticed the student supervisors were busy refilling the salad and beverage stations. Shaun helped by restocking glasses and trays. The cafeteria line became long and at one point, Drew, having returned from his meeting, helped serve food. Roger noted that by the end of the lunch period, the cafeteria was short on silverware.

As the lunch service slowed, Roger decided to take a look at the student office. As he entered the downstairs dining room, he immediately noticed it was very hot, that a large percentage of the tables were dirty, and that many of the light bulbs in the dining room needed replacement. Roger located the student office and what appeared to be a small gathering or meeting area.

From the open office doorway, Roger could see a bank of time cards on the wall. Roger also noted the office contained a suggestion box. As he peered in the door, he was greeted by the sound of a woman's voice. Roger entered and introduced himself. In response, the woman identified herself as Sarah Lange. Roger asked Sarah if she would be willing to discuss her work experiences at Peppercorn.

Sarah began by saying she had worked at Peppercorn for three years and had been a student supervisor two years. Sarah stated, "Working at Peppercorn is not as much fun as it used to be. Although the job

Selected Cases

Peppercorn Dining, continued

was never easy, it has become increasingly difficult. As supervisors, we don't really manage any more, and the upper-level student managers like Shaun don't work and don't care. He won't even help out when we are short staffed."

Sarah described an incident when Naomi, another student supervisor, was working a snack shift that was understaffed. Shaun, aware of the problem, stayed downstairs at his desk. When Naomi went downstairs to ask him for help, he acted ambivalent. Shaun finally helped in the dining room for about 20 minutes.

"In contrast to Shaun," Sarah commented, "Molly is willing to pitch in when we are short staffed, but this has caused her to become burnt out. Molly has a hard time dealing with problems that arise among the student supervisors. A few days ago, she called a meeting and told us there was a new policy restricting the snacks that we were allowed to eat. She also told us that we were scheduled to work on special dining programs, which are always at dinnertime. The whole time that Molly spoke with us, she was really curt and acted like she was annoyed. We don't even have a student rep to complain to anymore. At least Molly is leaving at the end of the school year."

Sarah said that although she is not very happy working at Peppercorn, she does not want to quit. She has loyalty to both her fellow workers and to the unit. Sarah said she would definitely quit if some of her friends, who are also supervisors at Peppercorn, stopped working at the unit.

Roger thanked Sarah for talking with him and wished her luck in the future. As he walked up the stairs to the service area, Roger made a mental note to talk to his partners about information flow and to further discuss coalitions within the unit.

While Roger had been observing service, Lynn, who arrived at 12:30, had entered the unit from the loading dock. Hoping the workers would be less self-conscious if she was undetected, Lynn quietly observed operations for almost an hour. During that time, Lynn noticed the steam kettles were draining, and much like the previous day, the kitchen workers appeared unhurried but attentive to their tasks. The manner in which they worked seemed highly professional and reflective of the long years the employees had worked together.

When Doug finally noticed Lynn, he greeted her warmly and began to chat with her. As Doug and Lynn

were talking, a man who Doug said was a short-order cook walked through the kitchen. He stopped and stared at Lynn for a moment and then asked, "Are you with the health department or the union?" Lynn introduced herself and explained the nature of her project. The man stared at her again briefly and then walked away.

Doug excused himself and Lynn, left to her thoughts, wondered if the man had accurately stated the paranoia she had perceived in Doug the previous day. Doug returned a few minutes later with a cup of soup and offered it to Lynn, saying he thought she should have the opportunity to taste Peppercorn's good food. As Lynn was finishing the soup, she saw two students walk through the kitchen carrying tacos. They proceeded to the loading dock and began to eat their meal. Lynn, wanting some fresh air, went out to the dock and began to converse with the students.

The students told Lynn they had worked at Peppercorn for three years. One of the students said, "Peppercorn used to be a better place to work. We used to have more students working here. The unit always used to be cheerful, and they used to buy beer and have parties on Friday nights."

Lynn asked what had caused the situation to change and the second student replied, "Drew is much tighter about things. The management is only concerned about customers and not about workers. When I first started working here, we had to mop the floor, but there were a lot of students so it was more fun. Then they didn't make us mop any more. Now we have to mop again, but there is not as much camaraderie among the workers."

The worker continued, "What makes the situation worse is that we can't even mop properly because we are always short of supplies. We haven't had any bleach for a week."

Doug came out to the loading dock and said he was going on break. He wanted the students to come inside so he could give them instructions before he left. Doug told the students that because there was not much work to be done, they could work at a slow pace or even sweep the floor so they could work their full shift.

Lynn followed Doug and the students back into the kitchen. Bob and Robert were finishing the lunch cleanup, and Chris was looking at the dinner menu while eating a snack. When Chris saw Lynn standing

Selected Cases

Peppercorn Dining, continued

alone, he approached her and immediately began to tell her about his work experiences and views of Peppercorn.

Chris told Lynn he likes working at Peppercorn. In the same breath, he said he had recently seen ads for positions at a hotel and plans on applying for jobs. Chris said, "I think the food service industry is hard. We're always working when other people are off, and it's hard to get good financial compensation."

Chris went on to explain that the management at Peppercorn does not give the kitchen staff feedback. He believes this is because management does not eat at Peppercorn often. He also said the management is very cost oriented and won't bring in the best quality products.

Chris went on to state:

Dining used to pay for us to attend professional culinary classes. Now they don't want to spend the money, so they present lectures by campus chefs. It doesn't accomplish much since we are usually taught things that we already know how to make or things that are not within the budget constraints. It doesn't make sense that they are willing to shell out bucks for things like unit specials and management classes and not spend any money on us.

It's hard to get new recipes on the menu. I've tried, but I'm usually met with resistance. I guess that in large quantities they can't afford mistakes. Once, they let us try to test market a new recipe by putting out small chaffing dishes in the meal plan dining room and then asking students for

comments on the product. It worked out fairly well and we've used the recipe several times.

As Lynn was wondering about Drew's comment on being a participatory manager, Erica entered the kitchen and came over to tell her she was able to gather some information from the main office. Lynn thanked Chris for speaking with her, and she and Erica went into the service area to find Roger. Roger was chatting with some customers near the salad bar. When he saw his partners approaching, he concluded his conversation.

The consultants each purchased a beverage and on their way to the dining room, Roger told his partners that customers generally had a favorable impression of Peppercorn. They like the food but thought the service was too slow. The only other comment the customers made was that the dining areas were too warm. Erica added that when she had worked at Peppercorn there were rarely any complaints about the food, but they constantly received negative feedback about the heat.

After the consultants were seated, Roger asked Erica what she was able to discover about the structure of the All-American Dining organization. Erica showed her partners copies of the organizational chart, mission statement (Figure 5), and goals and objectives (Figure 6). Erica went on to describe a few of the things she had discovered that day. For example, menu and staffing changes had to be approved by the central office. She also found out that managers are frequently transferred between units.

Figure 5

Mission

The mission of All-American Dining is to meet the nutritional, social, aesthetic, and economic needs of the university community with varied and innovative dining services. By meeting these needs we:

- Exert a strong and positive influence on community life.
- Provide educational opportunities for students, staff, and faculty.
- Create a living environment that will help maintain All-American's position as an outstanding center of learning.

The challenge is to accomplish all this within the framework of the enterprise concept.

Selected Cases

Peppercorn Dining, continued

Figure 6

Goals and Objectives

The goals of All-American Dining are closely interwoven with those of the Division of Campus Living and the University. These goals and related objectives are outlined below.

- I. Customer Satisfaction.** The primary goal is to provide the All-American community with a nutritious, economical, and quality dining program. The objectives are to:
 - Provide high-quality cuisine at an affordable price.
 - Conduct surveys to determine customer satisfaction and provide guidelines for change.
 - Maintain a variety of quality dining services, including: cafeterias, professional catering, vending, and retail food outlets.
 - Offer special dining experiences such as gourmet cuisines, unit specials, and community dining events.
 - Create flexible and cost-effective meal plans and options that give customers a wide choice of dining times and locations.
 - Maintain the highest standards of health and safety.
- II. Excellent Facilities.** The department's goal is to maintain dining facilities in superior condition. The objective is to continually assess and maintain the functional and aesthetic design of facilities in the comprehensive context of the following:
 - An ever-changing and varied customer market.
 - The need to assure that production and service areas are clean, safe, efficient, and comfortable.
 - Budgetary constraints.
 - Department and university master facilities planning processes.
 - Energy conservation goals.
- III. Professional Management.** Recruit and maintain a professional management staff that can meet the challenges of a dynamic food service enterprise. The objectives are to:
 - Encourage a participatory, decentralized management style.
 - Recruit exceptional talent and support internal promotions.
 - Provide a stimulating work environment through interunit transfers, challenging staff assignments, and intradepartmental competition of programs and services.
 - Maintain a compensation program that attracts and motivates an innovative, skilled staff.
 - Maintain open and positive lines of communication among management, staff, and customers.
 - Provide and encourage education and training opportunities that promote professional and personal growth.
 - Conduct regular performance evaluations that are based on predetermined goals and objectives.
 - Maintain policy and procedural manuals that will ensure consistent and efficient administration.
- IV. Sound Financial Management.** Develop and maintain effective financial accounting and reporting systems that facilitate effective planning, decision making, and accountability. The objectives are to:
 - Be financially self-sufficient.
 - Encourage financial responsibility by providing timely, accurate statements, emphasizing the management budget process and requiring managers to be financially accountable.
 - Maintain an effective system of internal controls.

Selected Cases

Peppercorn Dining, continued

Figure 6

Goals and Objectives (*continued*)

- Control labor costs through efficient use of employee time and control the costs of goods with purchasing, menuing, forecasting, and precosting policies and procedures.
- Protect the department against fluctuation in meat costs through hedging in the commodities market.
- Evaluate and budget effectively for future facilities and equipment replacement needs.
- Conduct thorough cost-benefit analyses of potential programs and products.
- Cut costs with a comprehensive energy conservation program.
- Use resources in a reasonable manner.
- Evaluate short-term possibilities with long-range perspective.

V. Contribution to the University Mission. Dining's program must contribute to the educational, economic, and community service goals of the University. The objectives are to:

- Support the educational goals of the University through staff teaching and lecturing.
- Provide educational opportunities for the students.
- Use the diverse dining facilities as laboratories for student research and job training.
- Contribute professional time in support of the community.
- Encourage staff participation in University committees and projects.

VI. Industry Leadership. Maintain Dining's position as a leader through continual educational and professional contributions to the food service industry. The objectives are to:

- Develop active and creative food service leaders.
- Participate in professional organizations and committees.
- Communicate our ideas and problem-solving techniques to others in the industry.

Erica then asked her partners what their thoughts were on the structure of All-American Dining and what effect it had at the unit level. Roger suggested that from the information that Erica had gathered, the organization seemed highly centralized. However, workers at the unit level are interested in making their own decisions. He added that the structure of the organization could be contributing to the problems that Drew perceived with productivity and morale.

Lynn, looking over the mission and goal statements that Erica had collected, commented, "All-American professes to be decentralized. Also, Drew believes he is a participatory manager. It seems as if this organization doesn't play by its own rules. I haven't seen any indication of participation, let alone adequate communication between management and line employees."

The consultants continued to talk for a while about the tension they had noticed at the unit. Since

Drew was leaving, they wondered if their presence at the unit would have any affect and if the feedback session would really serve its purpose. The consultants decided they would spend several hours the following morning reviewing the information they had gathered. In order to facilitate their meeting, they quickly constructed a partial list of the individuals they had encountered during their observations. This list included characteristics the consultants believed might be important to their analysis (Figure 7).

As the consultants sat at the table, several of the employees came over to speak with them. The workers seemed relaxed and joked with the consultants. Doug commented he was working on putting his résumé together, and Chris told the partners about some new recipes he was developing. The pantry workers and dish room workers made small talk until the consultants said they had to depart. Roger, Lynn,

Selected Cases

Peppercorn Dining, continued

Figure 7

All-American Dining and Peppercorn Dining Personnel Chart (partial)

Name	Job Title	Education	Seniority	Age	Full-time	Part-time Student	Management
Peppercorn							
Drew	Manager	A.S.-Restaurant	8 yrs.	37			X
Bob	Day chef		28 yrs.	48	X		
Robert	Day cook	Navy cook	11 yrs.	44	X		
Doug	Night chef	Navy cook	10 yrs.	36	X		
Chris	Night cook		3 yrs.	31	X		
Carrie	Server		10 yrs.	28	X		
Larry	Supervisor	A.S.-Mgmt.	1 mo.	32			X
John	Receiving		11 yrs.	35	X		
Bonnie	Cashier		2 yrs.	28	X		
Molly	Coordinator	Senior-A&S	4 yrs.	21		X	
Shaun	H.R. manager	Senior-E.E.	4 yrs.	21		X	
Sarah	Supervisor	Senior-Gov't.	4 yrs.	21		X	
All-American Dining							
Nancy	Director	A.S.-Restaurant	12 yrs.	41			X
Stan	Asst. director	B.S.-Hotel	9 yrs.	32			X
Larry	Supervisor	A.S.-Mgmt.	6 yrs.	32			X
Eric	Vending manager	B.A.-English	8 yrs.	34			X

and Erica thanked the workers for being so cooperative and said they hoped to see them sometime soon.

Questions

- How effective was the OD consultants' data gathering? The content of the data? The process of how the data were collected?
- What concepts or models might help you analyze the data? What conclusions would you draw from the analysis?
- How should the feedback session be designed?

Selected Cases

Diagnosis and Feedback at Adhikar*

Adhikar[†] is a human rights-based, nongovernmental organization (NGO). Headquartered in Jharkhand, India, it was founded in 1985 to empower society's poor and marginalized populations. It has worked from within socially marginalized communities to organize against the unjust distribution of wealth, resources, or power. Rajan Mishra founded the organization and demonstrated the importance of self-determination by organizing people into unions and other collectives. The organization has grown from a handful of people inspired by Mishra's vision during its early days to over 200 employees.

Adhikar's scope of work and involvement are outlined in Figure 1. Under the umbrella of the Adivasi Sangathan unit, Adhikar organizes regional laborers into unions. Adhikar also works in the area of budgetary analysis and expenditure monitoring of the state government through its financial education unit called Arthik Siksha. In addition, Adhikar administers a scholarship program that seeks to fund and train local level leaders and an emergency response program that delivers relief services in times of natural disasters.

Initiating a Change Process—Entry and Contracting

The Adhikar engagement began with contact between Ms. Pia Mishra, an Adhikar regional coordinator and an OD practitioner with whom she had worked previously, to discuss the possibility of an intervention. The organization had grown substantially, and its founder had recently joined the central government, necessitating his withdrawal from day-to-day management. A second meeting was arranged to explain the nature of the intended engagement and seek formal permission to enter the organization, gather information, and report back on the analysis and recommendations for action.

Together, Pia and the OD practitioners agreed to one- to two-hour interviews with each coordinator concerning their views of the organization, its

culture, and any concerns or suggestions. All the respondents were to be assured of the confidentiality of their responses. In addition, the OD practitioner would visit a field location in Ghatsila to interact with the workers and interview the regional coordinator, Mr. Dubey. During this visit, she would sit in on one of the regional meetings and interview the field workers in small groups of four or five. This was done to understand the organization from the view of the fieldworkers and gain insight into its issues through their lens.

Finally, the OD practitioner would make systematic observations of nonverbal behaviors, patterns of interaction, and descriptions of the relationships among members during interviews, focus groups, and the meetings she attended. This would provide indications of the organization's climate.

Following the data collection, a session would be held with all the coordinators to present the findings. This would serve as both a mirroring (feedback) activity as well as a forum for initiating dialogue and communication across the various units and members of the organization.

Prior to the interviews, the OD practitioner familiarized herself with Adhikar and its activities through a study of various reports and publications, including annual reports, budget analysis reports of Arthik Siksha, newspaper clippings, and other documents relating to the organization. The OD practitioner then met each of the coordinators of Adhikar, starting with Pia, who served as the point of contact throughout. Most of the issues and concerns described below surfaced through these sessions. She observed that while most coordinators opened up freely to discuss their concerns, others, like Ms. Devi (the Chaibasa Regional Coordinator), were less open and did not share much about their views on Adhikar and its functioning.

Most coordinators had been with the organization since its inception. All of them echoed a strong sense of organizational identification and commitment. There was high regard for the founder, Mr. Mishra. However, Pia has had to prove herself in the organization, although she is professionally qualified and has been actively working in the field. Interestingly, during meetings with Pia, she never mentioned that she was the daughter of the founder. The OD practitioner

*This case was abridged and adapted from N. Nair and N. Vohra, "The case of OD in an NGO in India," *Journal of Management Development*, 30 (2011): 148–59.

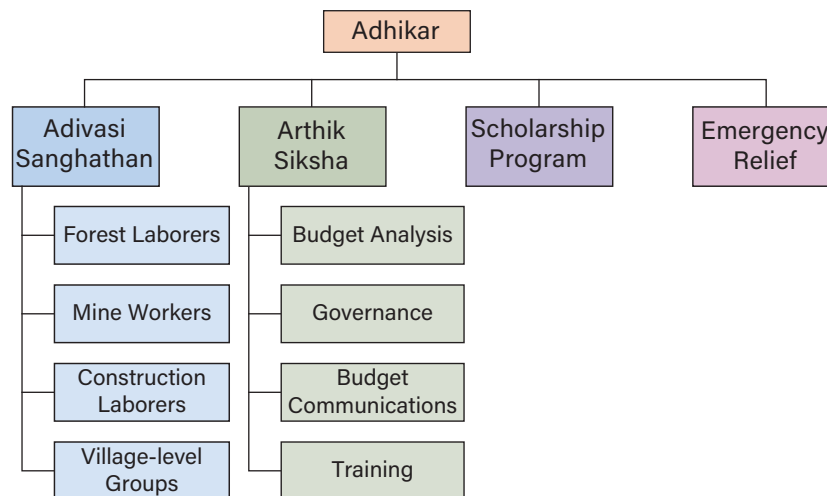
[†]The names of the organization, its location, and the various individuals have been disguised to maintain confidentiality.

Selected Cases

Diagnosis and Feedback at Adhikar, continued

Figure 1

Adhikar's Scope of Work



came to know this only during the course of her later interviews.

Diagnostic Data

The data from the interviews were categorized using Weisbord's six-box model (Figure 2) and are described below.

Issues Related to Purpose

There was considerable agreement on the organization's objective: facilitating social change through rights-based mobilization and advocacy. However, some coordinators believed that the organization needed to work more toward the *capacity building development* of the tribal/regional unions and not just their formation. The vision and future direction of Adhikar as either rights-based or developmental or a combination of both did not have a consensus among all the coordinators. The view posed by some was that it was time for Adhikar to move into developmental work, given that much of the rights-based work had been successful and the future lay in the area of capacity building.

Issues Related to Structure

There appeared to be a lack of clarity regarding Adhikar's structure. As the organization had grown, its structure had evolved. Adhikar was currently structured along both geographic and program dimensions (Figure 3). The various unions and programs were managed by different coordinators that all reported directly to the managing trustee, Mr. Mishra. In addition, location coordinators in Chaibasa, Ghat-sila, and Saraikela worked to see that the programs were implemented locally and also reported to the managing trustee.

The structural confusion existed primarily because of considerable overlap in reporting relationships and responsibilities between programs and regions. Interviewees cited instances when this caused conflict regarding reporting relationships or precedence of command.

Coordinators had considerable autonomy. However, some felt that the sense of responsibility and accountability that comes with empowerment was lacking in Adhikar. Various coordinating mechanisms, such as periodic meetings among coordinators to make decentralization effective, were absent. In such

Selected Cases

Diagnosis and Feedback at Adhikar, continued

Figure 2

Weisbord's Six-Box Model

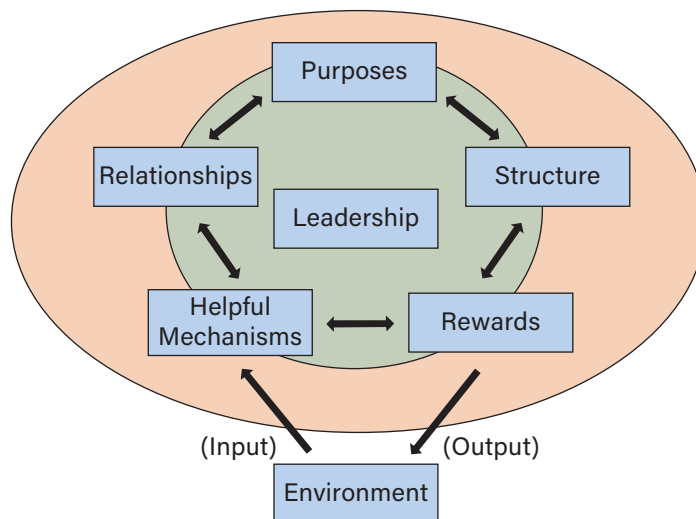
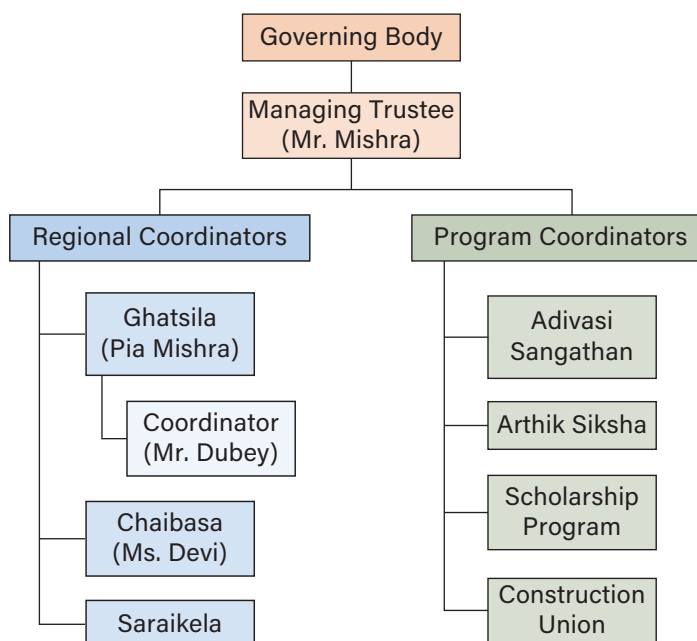


Figure 3

Adhikar Reporting Structure



Selected Cases

Diagnosis and Feedback at Adhikar, continued

a scenario, the different units seemed to be operating in silos with little coordination and a total absence of centralization at any level.

Issues Related to Relationships

The most common theme in the interviews was the concern over a lack of coordination. Most of the program coordinators thought that there should be more integration among them. Each unit of Adhikar was performing well, but there was little sharing of information. Although there was a high degree of decentralization and autonomy at the coordinator level, the coordinating mechanisms were absent. There had been a noticeable decline, over time, in the number of meetings when all the coordinators met, and many cited this as a reason for the disconnect they felt with Adhikar as a whole.

In talking with old versus new coordinators, the data supported the conclusion that there was little trust between the two groups. The new coordinators felt their professional growth and program initiatives were stymied by the old guard who appeared to be protecting their turf. New coordinators did not feel welcomed by the more senior coordinators. On the other hand, the older members in the organization believed that the new coordinators were over-ambitious and got right into the field without making an effort to understand the organization. This concern was voiced by a few but not all coordinators, but the OD practitioner believed it had the potential to grow and create conflict if not properly addressed.

A related theme was that new entrants did not go through any formal socialization process, which also manifested in a feeling of not being welcomed into the organization. The interviewees provided examples where new entrants had to seek information and figure things out for themselves, which further created a feeling of isolation.

Issues Related to Rewards

Adhikar began as a rights-based organization and most of the older employees chose to work there because of their dedication to the original cause. The newer employees (some better qualified professionally) were getting paid higher wages, which was perceived to be discriminatory and was a source of discontent among the older members.

As an NGO that depended on external funding, the issue of job security was also a matter of concern. With Mr. Mishra's declining involvement, there was a palpable fear that Adhikar might close its doors in the not too distant future. The interviewees suggested that some form of assurance from the leadership of Adhikar might ease the sense of insecurity.

Issues Related to Helpful Mechanisms

Some coordinators were concerned about the irregularity of reporting. While some coordinators made progress reports on time, others were consistently tardy and this was pointed out as an example of inconsistency in leadership and authority. Most coordinators in the past had reported verbally on a regular basis to Mr. Mishra, who was able to fill in gaps of information whenever required for other coordinators. Thus, the formal system of submitting and reading others' reports had never been emphasized.

Issues Related to Leadership

Adhikar's founder and leader was considered dynamic and charismatic—a number of people had been attracted to the organization by his personality. At the time of the interviews, Mr. Mishra had taken a position in India's central government and was moving away from day-to-day management. This behavior was interpreted as an appropriate response to keep political alignments transparent. However, it did create a leadership vacuum.

Perhaps because of his absence, many in the organization were worried about a dearth of second-level leaders in the organization. Even in his absence, Mr. Mishra still appeared to be the de facto leader. The organization seemed to be facing a crisis in terms of a leader who could command the same level of respect and following.

Two women, Ms. Devi and Pia, were most often cited as potential future leaders of Adhikar. The Chaibasa coordinator, Ms. Devi, had been with the organization since its founding and was supported by the people in her region. In the eyes of some others, however, Ms. Devi was a shadow of Mr. Mishra and a surrogate leader for Pia. Ms. Devi was viewed consistently as a good worker, but lacked the vision needed to lead a highly motivated team. Ms. Devi had not been very forthcoming in the interview.

Selected Cases

Diagnosis and Feedback at Adhikar, continued

In the absence of her father, Pia appeared to be the chief decision maker. She had been with the organization for five years as the program director of Ghatsila, and operated from the headquarters while Ms. Devi preferred to work from her Chaibasa location.

Both women, independently, echoed reservations as potential next leaders and mentioned their gender as one of the reasons. They felt that the other male coordinators and the community they served might not be ready for a female leader. In discussions with most of the other coordinators, however, the OD practitioner got the sense that they were open to having a woman leader. Some of the coordination issues were expected to be addressed if a new leader was appointed.

Questions

1. Based on the data provided in the case, what's your *analysis* of the situation at Adhikar? Is the organization in trouble? If so, how big is the problem? Is the organization "doing fine?" That is, are all the data presented just symptoms of an organization that is young and growing?
2. Design the feedback meeting. What's the purpose of the meeting, what's the agenda, how will you present the data?
3. What activities do you believe the Adhikar organization should take? What problems do you think these actions would solve?

Selected Cases

Managing Change: Action Planning for The Vélo V Project in Lyon, France

The city of Lyon is located in the central part of France, about two hours south of Paris via TGV. It has a long and rich history as the capital of Gaul in the Roman Empire, a worldwide center of silk production, and a stronghold of the French resistance during World War II. Today, Lyon is the third largest city in France, has a thriving high tech and pharmaceutical industry, and is considered the gastronomic capital of a country known for its cuisine and wine. Unfortunately, with size and industry came pollution, overcrowding, and traffic jams. In the mid-1990s, only 18 percent of its citizens had easy access to public transportation versus 30 percent in other towns of equivalent size.

By 2000, Lyon's city government had constructed an above-ground light rail system to complement the existing underground metro and bus network in an effort to extend public transportation to more people. However, the outdoor station's stops needed shelters to protect waiting passengers from the wind, rain, and snow. In an innovative program, the marketing and advertising firm, JCDecaux, in cooperation with Lyon's development office, created "street furniture" to house the benches, ticket vending machines, route maps, and timetables. JCDecaux constructed and maintained the sites in exchange for the revenue from advertisements placed on the shelters. The program was a win-win for both organizations.

The success of the cooperative tram and bus shelter project, and the city's continued interest in easing pollution and traffic jams in the commercial center of the city, led them to seek out additional change. They asked JCDecaux for input. JCDecaux had been testing the idea of a self-service bicycle program in Vienna, Austria and Córdoba and Gijón, Spain and they proposed adopting and implementing a "bike exchange" network in and around Lyon in mid-2002. For Lyon and its neighboring city of Villeurbanne, it was a risky and large-scale proposal.

The vision—common now in many European cities, but completely novel at the time—was that commuters and pedestrians could pick up a

bicycle at installations around the city—near metro stops, businesses, or large public venues—and use it to shop, go to work, or simply get from one part of town to the other more conveniently than a car or the bus, metro, or light-rail system. The original idea was that the bike could be used for free for less than an hour and at very low prices if used for longer periods. (To get a picture of the system and its different parts today, go to www.velov.grandlyon.com.) "It is our intent to turn bicycles into a mode of daily travel for workers in the city," said one government official.

An initial budget of €2 million per year was estimated to invest in bikes, registration systems, installations, and support operations until about 2007. To support the project, the city also envisioned construction or remodeling of several parking garages to encourage people to park their cars on the outskirts of town and then pick up a bike to finish the commute. Two parking garages in the downtown area had already begun offering free bicycles for those who parked their vehicle there.

The project—named Vélo V—was presented by the city's mayor before the second annual "day without a car" festival. Vélo V would be managed by JCDecaux. They would own and maintain the bikes and finance operations through advertising receipts. The head of the city's development function suggested that it was a bold attempt to "effect a radical change in the philosophy" of the urban community. At the time, less than 3 percent of the people in Lyon used a bicycle, against 10 percent in Strasbourg and other cities. The proposal was supported by *Les Verts*, France's Green political party, but the president of the local nongovernmental transportation union was upset that there had been little dialogue with various concerned organizations.

The goal was to launch a 24 hours/day operation in May 2005 with 1,200 bicycles in 120 stations. According to a JCDecaux regional manager, they expected 2,000 bikes in 180 stations by October and projected 3,000 bikes in 2006 and 4,000 bikes in 2007.

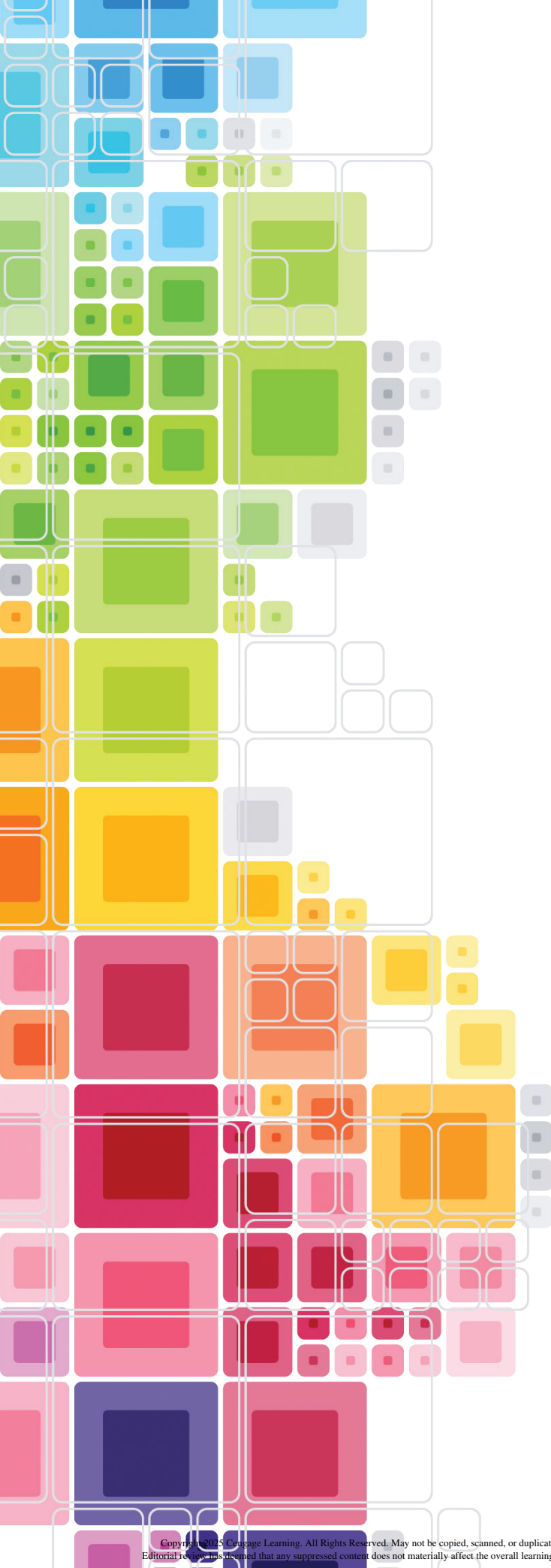
Selected Cases

Managing Change: Action Planning for The Vélo V Project in Lyon, France continued

Questions

1. Assume you are a project manager at JCDecaux and have been assigned to work with the City of Lyon to implement this physical, organizational, and social change. What are the practical and philosophical implications of this work?
2. Using the tools, methods, and processes described in Chapter 8, construct a comprehensive “action

plan” for this project. Where would you start? Who are the key stakeholders and how will you manage them? What are the practical categories of activities that need to be addressed? What are the sequences of change that have to happen? What do you see as the key activities and initiatives?



Part 3

Human Process Interventions

Chapter 7

Interpersonal and Group Processes

Chapter 8

Organization Processes

Interpersonal and Group Processes

Learning Objectives

- Understand key diagnostic issues associated with interpersonal relations and group process interventions.
- Discuss the philosophy and principles of process consultation.
- Describe the third-party conflict resolution process.
- Discuss and evaluate the team-building intervention.

This chapter discusses interpersonal relations and group process interventions. These human process approaches can help organization members understand their relationships and devise more effective ways of working together. Interpersonal and group process approaches are among the earliest and most popular interventions in OD, and they are still considered a bedrock of the field. They have been adapted for use in a variety of cross-cultural and virtual settings.

Interpersonal and group process interventions include process consultation, third-party interventions, and team building. Process consultation helps group members diagnose and improve their interactions. They learn to use their own resources to identify and address the attitudes and behaviors that can block work-related problem solving. Third-party interventions focus on dysfunctional interpersonal conflict. This approach is used when both parties are willing to address the conflict

directly. Team building helps a team perform better and satisfy individual needs. It helps groups clarify their goals, roles, and norms and facilitates team members in resolving difficulties and problems.

These fundamental OD interventions are increasingly applied in cross-cultural settings, and they need to be adapted to fit with different value systems. Traditional OD values, rooted in North American and some European cultures, favor openness, directness, and participation. Other regional cultures may not favor these same values, requiring adjustments in these interpersonal and group process interventions. For example, third-party interventions are less likely in Asia given the “saving face” norms prevalent in that region. Similarly, team-building processes need to account for norms of uncertainty avoidance and deference to authority during problem-solving activities or interventions intended to alter group processes.

7-1 Diagnostic Issues in Interpersonal and Group Process Interventions

Chapter 4 introduced the diagnostic process associated with OD interventions, and interpersonal and group process approaches draw on group-level diagnostic concepts. The organization's design—its work processes, structure, management processes, and human resources systems—are the primary inputs to group effectiveness. As described in Chapter 13, for example, some structures, like functional and matrix forms, are more likely to generate conflict than others. Management concerns over the levels of conflict and requests for conflict resolution interventions may be inappropriate because the organization's design can be a more important driver of conflict than individual skill levels or group functioning problems. OD practitioners can help organization members diagnose whether interpersonal or group problems are exacerbating those tendencies.

Goal clarity, task structure, group composition, group functioning, and performance norms are the primary design components of group effectiveness. Each of these components needs to be considered in interpersonal and group process interventions. For example, if a group's goals are not clear, improving its decision-making processes may only allow it to be more effective at solving the wrong problems.

In general, however, individual and group process interventions address the task structures, group functioning, and performance norm components that directly and indirectly affect how work is accomplished. When group processes promote effective interactions, groups are likely to perform tasks successfully.¹ Group processes include:

- **Communications.** All the interventions in this chapter address the nature and style of communication, or the process of transmitting and receiving thoughts, facts, and feelings for some purpose. Communication can be overt—who talks to whom, about what, for how long, and how often—or expressed in body language, such as facial expressions, fidgeting, posture, and hand gestures. Communication can also be covert, as when a manager says, “I’m not embarrassed” as their face turns scarlet. Covert communication is “hidden,” and the OD process consultant often seeks to find the best way to make the message more explicit.
- **The functional roles of group members.** OD practitioners need to be aware of the different roles individual members take on in a group. Entering new groups or being part of an ongoing group requires individuals to balance their self-identity and influence needs with the behaviors necessary to accomplish group goals. Group members can take on roles that enhance (1) task-related activities, such as giving and seeking information

or clarifying, coordinating, and evaluating work processes, or (2) group-maintenance activities that create a cohesive team, including encouraging, compromising, and setting standards. Ineffective groups often perform little group maintenance, and this is a primary reason for engaging an OD practitioner.

- **Group problem solving and decision making.** To be effective, a group must be able to identify problems, examine alternatives, and make decisions. The OD practitioner can help the group understand how it makes decisions and the consequences of each decision process, as well as help diagnose which type of decision process may be the most effective in each situation. Decision by unanimous consent or consensus, for example, may be appropriate when product quality is key to success but too time-consuming or costly when speed is more important.
- **Group norms.** Groups of people who work together over time develop norms or standards of behavior about what is good or bad, allowed or forbidden, right or wrong. The OD practitioner can help the group understand and articulate its own norms and determine whether those norms are helpful or dysfunctional. By understanding its norms and recognizing which ones are helpful, the group can grow and deal realistically with its environment, make optimum use of its own resources, and learn from its own experiences.²
- **The use of leadership and authority.** OD practitioners need to understand processes of leadership and how different leadership styles can help or hinder a group's functioning. They can help leaders adjust their style to fit the situation.

Each interpersonal and group process intervention includes diagnosis as an essential ingredient and is guided by the client's objectives and understanding of these processes.

7-2 Process Consultation

Process consultation (PC) is a general framework for carrying out helping relationships.³ Schein proposes that process consultation involves the creation of a relationship where clients can perceive, understand, and act on the relevant process events that improve the situation as they define it.⁴ Process consultants do not offer expert help or form solutions to problems, as in the doctor–patient model. Rather, they work to help managers, employees, and groups assess and improve *human processes*, such as communication, interpersonal relations, decision making, and task performance. Schein argues that OD practitioners should be good helpers, aiding others in getting things done and in achieving the goals they have set.⁵

Process consulting is as much a philosophy as a set of techniques. The philosophy ensures that those who are

receiving help take responsibility for their problems, gain the skills and expertise to diagnose them, and solve them themselves. Thus, PC is an approach to helping people and groups help themselves.

Schein proposes 10 principles to guide the process consultant's actions.⁶

- **Always try to be helpful.** Process consultants must be mindful of their intentions, and each interaction must be oriented toward being helpful.
- **Always stay in touch with the current reality.** Each interaction should produce diagnostic information about the current situation. It includes data about the client's opinions, beliefs, and emotions; the system's current functioning; and the practitioner's reactions, thoughts, and feelings.
- **Access your ignorance.** An important source of information about current reality is the practitioner's understanding of what is known, what is assumed, and what is not known. Process consultants must use themselves as instruments of change.
- **Everything you do is an intervention.** Any interaction in a consultative relationship generates information as well as consequences. Simply conducting preliminary interviews with group members, for example, can raise members' awareness of a situation and help them see it in a new light.
- **The client owns the problem and the solution.** This is a key principle in all OD practice. Practitioners help clients solve their own problems and learn to manage future change.
- **Go with the flow.** When process consultants access their own ignorance, they often realize that there is much about the client system and its culture that they do not know. Thus, practitioners must work to understand the client's motivations and perceptions.
- **Timing is crucial.** Observations, comments, questions, and other interventions intended to be helpful may work in some circumstances and fail in others. Process consultants must be vigilant to occasions when the client is open (or not open) to suggestions.
- **Be constructively opportunistic with confrontive interventions.** Although process consultants are willing to go with the flow, they also need to be willing to take appropriate risks. From time to time and in their best judgment, practitioners learn to recognize "teachable moments." A well-crafted process observation or piece of feedback can provide a group or individual with great insight into their behavior.
- **Everything is information; errors will always occur and are the prime source for learning.** Process consultants never can know fully the client's reality and invariably will make mistakes. The consequences of these mistakes, the unexpected and surprising reactions, are

important data that can be used in the ongoing development of the relationship.

- **When in doubt, share the problem.** The default intervention in a helping relationship is to model openness by sharing the dilemma of what to do next.

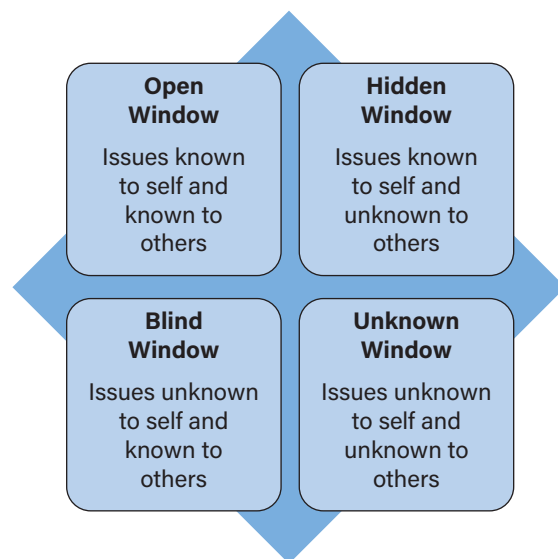
7-2a Basic Process Interventions

When the interpersonal and group processes described earlier are diagnosed as challenges, the process consultant and the client work together to identify feasible, workable, and adaptive "next moves."⁷ These joint decisions typically involve some action that is both diagnostic and interventional in nature and aimed at making individuals and groups more effective.

Individual Interventions These interventions can help people be more effective in their interactions with others or clarify their role in a larger problem or system.⁸ For example, the process consultant can provide feedback to one or more individuals about their overt behaviors during meetings. At the covert or hidden level of communication, feedback can be more personal and intended to increase the individual's awareness of how their behavior affects others or the system of which they are a part. A useful model for this process has been developed by Luft in what is called the *Johari Window*.⁹ Figure 7.1, a diagram of the Johari Window, shows that some personal issues are known by both the individual and others. This is the "open" window. In the "hidden" window, individuals are aware of their own behavior, motives, and

Figure 7.1

The Johari Window



Source: Adapted from "The Johari Window," *Human Relations Training News* 5 (1961): 6–7.

issues, but those issues are unknown or concealed from others. People may harbor certain feelings about themselves, beliefs about others in the work group, or attitudes about a situation that they do not share with others because they feel unsafe or embarrassed. By not revealing this information, they may lessen the quality of communication.

The “blind” window comprises personal issues that are unknown to the individual but relatively obvious to others. For example, an executive was frustrated about the inability to change the culture in her team. When the OD practitioner asked for an example, she described how members of her team always sat in the same seats every meeting. In one case, and despite the size of the room, they sat in the same seats even when half of the team was not in attendance. The consultant asked, “What did you do?” The executive replied, “Nothing.” During the silence that followed, she realized what everyone else knew: She wasn’t doing anything to change the culture. Finally, the “unknown” window represents aspects of the self that are unknown to the individual and others. Because such areas are outside the realm of the process consultant and the group, focus is typically on the other three cells.

Individual process interventions and workable next moves improve communication by reducing the size of the hidden and blind windows and increasing the size of the open window. For example, the hidden window can be reduced by encouraging people to be more open with others and to disclose appropriately their views, opinions, concerns, and emotions. Process consultants model this openness by accessing their ignorance, sharing the problem, and being genuinely curious. In addition, the size of the blind window can be decreased by receiving feedback from others. The process consultant can model good feedback behavior. This is a very North American and European notion and using the Johari Window in this way may not be appropriate in different cultural and cross-cultural settings.

Before giving individual feedback or encouraging others to engage in feedback activities, OD practitioners need to observe relevant events, ask questions to understand the contextual and cultural issues fully, and make certain that the feedback is given to the client in a usable manner.¹⁰ The following are guidelines for effective feedback in a Western setting:¹¹

- The giver and receiver need to have constructive motives and agree on the receiver’s goals.
- The feedback should emphasize description and appreciation, concreteness, and specificity.
- The feedback can be negative if it is relevant.
- The individuals giving the feedback should own their observations, feelings, and judgments.
- Feedback should be timed to when the giver and receiver are ready.

To the best of our knowledge, there are no research-based guidelines for effective feedback in other cultures, and it may be one of the best indicators of a Western bias in OD. Assuming that knowing how you are perceived by others is a generally positive concept, feedback can be guided by the values of the local culture. For example, being “concrete and specific” may be inappropriate for relationship-oriented cultures, and gaining consensus on the receiver’s goals or worrying about the timing of feedback may not be an issue in cultures with strong authoritarian values.

Group Interventions These interventions are aimed at how group members interact, what they work on, and the way they are organized. *Process interventions* sensitize the group to its own internal ways of working and generate interest in analyzing them. Interventions include comments, questions, or observations about relationships between and among group members, problem solving and decision making, and the purpose or objectives of the group. For example, process consultants might observe that meetings always end without verifying action items or who owns them. Schein points out that the basic purpose of the process consultant is to help the group share in its own diagnosis and do a better job in learning to diagnose its own processes: “It is important that the process consultant encourage the group not only to allocate time for diagnosis but to take the lead itself in trying to articulate and understand its own processes.”¹² This advice helps to make process consultation relevant in different cultural contexts.

Content interventions help the group determine what it works on. They include comments, questions, or observations about agenda setting, reviewing and testing procedures, and conceptual inputs on task-related topics.

Finally, *structural interventions* help the group examine the stable and recurring methods it uses to accomplish tasks and deal with external issues. They include comments, questions, or observations about customer feedback; methods for determining goals and strategies, accomplishing work, and monitoring progress; and the use of authority and formal rules.

Ed and Peter Schein have extended the fundamentals of PC to all forms of organizational consulting, not just those focused on human processes. Referred to as *humble consulting* and *humble inquiry*, this approach to helping begins with the intentional adoption of a caring attitude for the client and the system, a commitment to helping, and a curious and open approach from the first contact with the client.¹³ This implies that OD practitioners may ask more personal questions or reveal more personal concerns sooner rather than later in the engagement. By modeling openness, sincerity, and risk taking from the very beginning, the consultant can more quickly build trust, identify the real problem, and discover what is worrying the client.

They suggest that the consultant needs to listen for the objective problem or situation as the client sees it and listen for and be curious about what bothers or worries the client as the problem is presented. The sooner the consultant and the client can begin dialogues where they can jointly decide on priorities and actions, the more quickly the consultant can be helpful.

Application 7.1 presents an example of process consultation at Christian Caring Homes. The focus of the application is the relationship between two senior executives during a management succession process. It also involves their interactions with the organization's board and top-management team.¹⁴ Are the OD process interventions more individual or group oriented? Which interventions had the greatest impact?

7-2b Results of Process Consultation

Process consultation has been an important part of OD practice for more than 50 years, but there has been only one systematic review. Kaplan examined published studies where process interventions were a key independent variable.¹⁵ The review suggested that process consultation has positive effects on participants' self-reports of greater personal involvement, higher mutual influence, and group effectiveness. It did not conclude that objective task effectiveness improved, however. In most cases, the field studies did not objectively measure performance post intervention, or the effect of process intervention was confounded with other variables.

These results are not surprising given that most process consultation is conducted with groups performing mental tasks (e.g., decision making) that are difficult to evaluate and because process consultation often is combined with other interventions in an ongoing OD program. An overwhelming number of practitioner and client reports of process consultation's positive effects on interpersonal and group processes suggest that its continued use is warranted.

7-3 Third-Party Interventions

Third-party interventions focus on dysfunctional conflicts between two or more people within the same organization. Conflict is neither good nor bad.¹⁶ It can enhance motivation and innovation and lead to greater understanding of ideas and views. However, it also can prevent people from working together constructively, destroying necessary task interactions among group members. Tjosvold notes that too little consensus on the definition of conflict has contributed to the perception that conflict is bad. When it is defined as opposing interests or divergent goals, it narrows

the range of potentially productive interventions. He suggests that conflict is best viewed as "incompatible activities" because it opens up options for resolution, places responsibility for the conflict with the individuals involved, and allows conflict to be seen in a positive way.¹⁷

Third-party interventions vary considerably depending on the kind of issues underlying the conflict. Conflict can arise over substantive issues, such as work methods, pay rates, and conditions of employment as well as misaligned goals or competition for resources, or it can emerge from interpersonal issues, such as personalities and misperceptions. When applied to substantive issues, conflict resolution interventions often involve labor-management disputes through arbitration and mediation. The methods used in such substantive interventions require considerable training and expertise in law and labor relations. More recently, less expensive and time-consuming "alternative dispute resolution" practices have emerged that can provide effective solutions.¹⁸

When conflict involves interpersonal issues in developed, Western organizations, OD has developed approaches that help control and resolve it. These third-party interventions help the individuals interact with each other directly, recognize the personal choices each party is making, and facilitate their diagnosis of the conflict and its resolution. The ability to facilitate conflict in relationships is a basic OD skill and applies to all the process interventions discussed in this chapter. OD practitioners, for example, frequently coach clients through a conflict or help organization members resolve interpersonal conflicts that invariably arise during process consultation and team building. There also is a growing literature on managing conflicts between people from different regional cultures.¹⁹

Third-party interventions cannot resolve all interpersonal conflicts in organizations, nor should they. Often, interpersonal conflicts are not severe or disruptive enough to warrant attention. At other times, they simply burn themselves out. Evidence also suggests that other methods may be more appropriate under certain conditions. For example, when the organization is facing heavy time pressures, when the disputants are not expected to work together in the future, or when the resolution of the dispute has a broad impact on the organization, managers may control or resolve the conflict unilaterally with little input from the conflicting parties.²⁰

7-3a Episodic Model of Conflict

Interpersonal conflict often occurs in iterative, cyclical stages known as "episodes" (Figure 7.2). At times, issues underlying a conflict are latent and do not present manifest problems for the parties. Then something triggers the

Application 7.1

Process Consultation at Christian Caring Homes, INC.

Christian Caring Homes, Inc. (CCH) is a large non-profit senior care provider with four facilities spread across two states. It has a strong community reputation dating back 50 years. After 35 years at the helm, the CEO, Winston, announced his retirement, and the CCH Board chose its young CFO, Paul, as Winston's successor.

To support Paul's transition and leverage Winston's well-earned value and respect, the Board created a three-member "Transition Steering Committee" consisting of the Board president and two longtime board members. The Board announced that Winston would be "CEO and president" and Paul would be "CEO and president-elect." The Committee also suggested that the two leaders might benefit from a consultant's advice over the agreed-upon one-year transition period.

The Steering Committee inquired with a local OD consultant, Simon, about helping with the transition process. In the "get-acquainted" meeting of the steering committee and the two leaders, Simon observed that Winston and Paul appeared congenial. They approved of Simon's experience and his history of commitments to the region and social service organizations. The group discussed CCH's past and described the organizational challenges facing it. Over the next six weeks, communication between Simon, Paul, and Winston consisted of several exploratory email exchanges and two group conference calls to address the question, How might Simon be of help?

The two leaders then suggested that Simon make a proposal for the senior leadership team (SLT) to review. Simon proposed a four-month "transition process consultation" to explore and advance the transition from Winston to Paul and their roles, responsibilities, and relationships with the board and the SLT. At the end of that time, the two leaders could assess the value of the consultation. The SLT discussed the proposal at their next monthly meeting. Together, Winston and Paul called Simon to report that the SLT had agreed to proceed with Simon's consultation.

Simon reflected on the work to date. It had taken more than two months to agree to work together. He felt impatient with what appeared to be extreme caution on the part of CCH's top leadership. The two

leaders were never apart, always appearing together at SLT meetings, on calls, or in emails. However, the process seemed interesting and, at this point, Simon "went with the flow," slow as it was.

Simon attended the next two monthly daylong SLT meetings. He did not participate except when asked for his view. Invariably, he responded with a group process observation, such as "subgroups seem formed around regions where facilities are located," "routine HR issues take up a big chunk of the agenda," and "Paul often makes statements that bring a 'corporate' point of view." Simon followed up each meeting with a one-page review of the key issues regarding roles, relationships, and responsibilities related to the transition.

In follow-up discussions with Winston and Paul, both expressed different interests. Winston focused on individual facility issues while Paul wondered how he could get the SLT members to take a more strategic view of the challenges facing CCH. Simon frequently commented on this difference in approach and noted that successfully navigating a transition would involve the whole organization, not just the two top roles.

After two more months, there appeared to be no actions or plans regarding the transition. Simon was surprised when the board president called him and asked if anything was being done about the "organization structure." Despite his curiosity about where that subject had come from, Simon responded that he saw the two principals as his focus and that they were in the best place to communicate progress to the board and to her. The board president immediately agreed and was happy to respect the client/consultant boundary.

In his next call with Paul and Winston, Simon inquired if there "were any issues around organization structure." The question opened up a long story. In the current structure, Winston had 14 direct reports including an empty chief operating officer role. Two years earlier, Pinkerton, then COO, had attempted (with the support of an external consultant) a coup to replace Winston. The board had intervened to fire the "conniving" Pinkerton. The story suggested that CCH executives were reluctant to take strong, independent action and might fear being manipulated by consultants. It also seemed to explain the caution and politeness that Simon had originally observed.

Process Consultation at Christian Caring Homes, INC., continued

Simon considered three possible choices for what to do next:

1. Explore the lack of substantive action regarding the transition of executive responsibilities. Was the implication of the Pinkerton story that the organization did not trust consultants? Did they not trust him?
2. Explore the subject of a structural change. Did the leaders see "structure" as a solution and if so, what problem was being solved by a structural change?
3. Explore his observations regarding the congenial and compliant culture. Did the Pinkerton experience result in an organization style that favored risk avoidance?

Simon chose the second option. If the leaders believed a problem existed because of structure, then following that path of inquiry might reveal obstacles to the redistribution of leadership responsibilities as part of Winston's departure. It might also expose doubts or distrust in the SLT executive group regarding Paul's, Winston's, and Simon's motivation. Simon wondered whether the Pinkerton experience made it difficult to raise issues of doubt or distrust. The SLT appeared so tyrannized that Simon later joked that it had been "Pinkerton-ized."

While Winston was away at a conference, Paul arranged a business dinner with the SLT. He floated the possibility of creating a CCH organization that *did not* include a COO. He found some support for the idea and shared it with Winston when he returned. The two leaders asked Simon for his reaction and inquired whether he could help with such a change.

Simon was surprised at Paul's move. Paul had openly challenged the assumption that Winston's laissez-faire style would continue during the transition period and beyond. For his part, Winston was skeptical that "collective leadership from the SLT" would render the COO role unnecessary but accepted it as a way that Paul could "learn the ropes."

Although Simon was intrigued by the structure proposal, he chose the opportunity to readdress and possibly advance the transition process by offering an observation and a confronting intervention. He observed that the transition between Winston and Paul would necessarily require changes throughout the organization. Using Paul's proposed structure was one way (an experiment) to anticipate and work through the changes in responsibilities that might bring clarity for the executives constituting the SLT. Simon could help them learn from their work. The

confronting intervention was to send Winston and Paul an email with an attachment titled "The Leader's First 90 Days" and a single question: "When does Paul's first 90 days begin?"

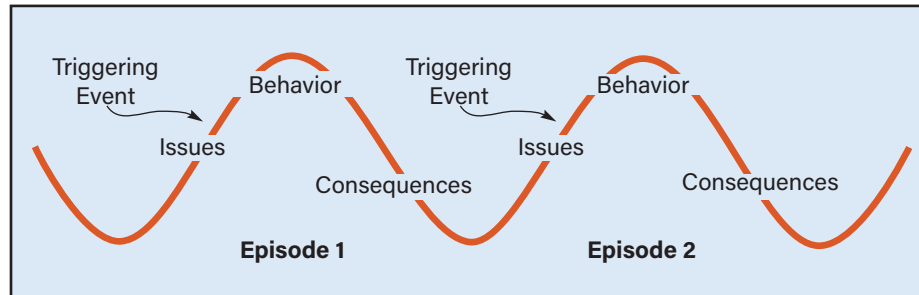
The email generated several intense conversations between Paul and Winston and surfaced their assumptions. Winston thought the change would take place in nine months; Paul thought he should have full authority in three months! They also faced choices about what the future CCH organization would look like structurally and stylistically.

Simon's sense was that the two leaders were behaving kindly toward each other but not addressing their differences. He chose to speak individually with each of them to help clarify their concerns and to get their suggestions for moving forward. Winston was not clear that the legal transition could take place so soon and had no proposal for what his role would be after the "official turnover." Paul was anxious to make some changes and did not want Winston to influence decisions he would have to live with in the long term. Meeting again with the two, Simon asked them to share their concerns and suggest ways to move forward. They concluded they should share their situation with the Transition Steering Committee.

During the meeting with the Transition Steering Committee, Simon limited his role to encouraging openness on the part of the two leaders as they shared their thoughts. Led by the Board president, the committee started to shift from a neutral position to that of supporting Paul's position, the person they would be working with in determining the future of CCH.

The committee's dialogue resulted in Paul's ability to move forward with his own vision and at the same time create a role for Winston as outgoing CEO. The committee supported a decision whereby Winston would relinquish the title of "CEO and president" four months earlier than planned. He would take the title of "CEO and president-emeritus" and serve as mentor to Paul, reporting only to him.

Simon's four-month "transition process consultation" was coming to an end. He requested a review of his engagement. As a result, Paul (in his new CEO role) asked Simon to reengage for another four months. Significantly, Paul took this decision independent of Winston or the SLT, consulting only with the board president. Simon saw this as a vote of confidence, evidence of a new set of operating assumptions emerging, and an opportunity to support Paul as he took on his broader CEO responsibilities, including building a stronger relationship with the CCH board and the board president.

Figure 7.2**A Cyclical Model of Interpersonal Conflict**

Source: Managing Conflict: Interpersonal Dialogue and Third-Party Roles (Prentice Hall Organizational Development Series), 2nd ed. by Walton, Richard E., ISBN 0201088592. © 1987 Addison-Wesley.

conflict and brings it into the open. For example, reports identifying cost overruns or a dissatisfied customer can trigger a disagreement or frank confrontation. Because the focus is on resolving the expense or customer problem, the interpersonal conflict remains unresolved and returns to latency. At some future time, the conflict is triggered, becomes overt, and continues the cycle.

The episodic model identifies four strategies for conflict resolution. The first three attempt to control the conflict and may be appropriate under conditions identified below. Only the last approach tries to change the basic issues underlying it.²¹ The first strategy prevents the conflict by understanding the triggering factors and avoiding or blunting them when the symptoms occur. For example, if conflict between the research and production managers is always triggered by new product introductions, then senior executives can set clear expectations of collaboration before the next new product launch. However, this approach may not always be functional; it can simply drive the conflict underground until it explodes.

The second control strategy sets limits on the form of the conflict. Conflict can be constrained by informal conversations before a formal meeting or by setting rules and procedures specifying the conditions under which the parties can interact. For example, the organization might enforce a policy that addresses union-management grievances only at weekly meetings.

The third control strategy helps the parties cope differently with the consequences of the conflict. The third-party consultant may work with the people involved to devise coping techniques, such as reducing their dependence on the relationship, ventilating their feelings to friends, and developing additional sources of emotional support. These methods can reduce the costs of the conflict without resolving the underlying issues.

The fourth method attempts to eliminate or to resolve the issues causing the conflict. Research suggests that most organization members are not skilled in the conflict resolution process.²² Consequently, a third-party intervention is used primarily in situations in which conflict significantly disrupts necessary task interactions and work relationships among members. Although this objective seems the most direct and obvious approach, it is often the most difficult to bring about.

7-3b Facilitating the Conflict Resolution Process

Walton has identified several factors and tactical choices that can facilitate the use of the episodic model in resolving the underlying causes of conflict.²³ They can help third-party consultants achieve productive dialogue between the disputants, examine their differences, and change their perceptions and behaviors. Key factors include (1) mutual motivation to resolve the conflict, (2) equality of power between the parties, (3) coordinated attempts to confront the conflict, (4) appropriate attention to identifying differences and to searching for integrative solutions, (5) open and clear forms of communication, and (6) productive levels of tension and stress.

The tactical choices Walton identified include diagnosis, the context of the third-party intervention, and the role of the consultant. One of the tactics in third-party intervention is the gathering of data, usually through preliminary interviewing or group process observations. This diagnostic information can provide some understanding of the nature and type of conflict, the personality and conflict styles of the individuals involved, and the participants' readiness to address the conflict.

The context in which the intervention occurs also warrants consideration. Ideally, the meeting is held in a neutral and informal space, an appropriate beginning and ending time has been set, and the attendees carefully selected.

Finally, third-party consultants need to consider their role in the meeting. The specific tactic chosen will depend on the diagnosis of the situation. For example, facilitating dialogue of interpersonal issues might include initiating the agenda for the meeting, acting as a referee during the meeting, reflecting and restating the issues and the differing perceptions of the individuals involved, and helping the individuals diagnose the issues in the conflict.

Third-party consultants require considerable skill at diagnosis, process consultation/humble consulting, feedback, and follow-up; they need to be highly sensitive to their own feelings and to those of others. Some tension and conflict may be inevitable and there can be an optimum amount and degree of conflict. The third-party consultant needs to be sensitive to the situation and able to use several different intervention strategies and tactics when an intervention appears to be useful. Finally, the practitioner needs to be seen by the parties as neutral or unbiased regarding the issues and outcomes of the conflict resolution.

Application 7.2 describes a third-party intervention at a law firm. The OD practitioner was brought in by another consultant to help rescue a struggling strategic planning process.²⁴ Mostly organization structure interventions were used to help the partners organize how work would get accomplished. The change process appears to be stuck. Do you think the organization should stick with the structural approach or shift to a more interpersonally focused process? Why?

7-4 Team Building

Team building refers to a range of planned activities that help groups improve the way they accomplish tasks, enhance members' interpersonal and problem-solving skills, and increase team performance.²⁵ In the OD literature, team building is not clearly differentiated from process consultation because it often includes helping the group diagnose and understand its own internal processes. However, process consultation is a more general approach to interpersonal relationships than team building, which focuses explicitly on helping groups perform tasks and solve problems more effectively. Thus, team building consists of process consultation plus other, more task-oriented interventions.

The importance of team building is well established, and its extensive use is expected to continue. For example, team building is crucial in today's dynamic environment.

It can provide management teams with the problem-solving skills needed to tackle greater complexity and uncertainty and it can promote the teamwork needed to develop coherent strategies, implement complex initiatives, and innovate new forms of governance.²⁶ Moreover, the globalization and digitalization of work mean that organizations are under increasing pressure to implement team-based work designs. People from different cultures and locations will be interacting over complex management and operational tasks using various information and communication technologies. Team-building activities for these cross-cultural and virtual teams have increased substantially over the past several years and in response to the COVID-19 pandemic.²⁷ Team building can help cross-cultural teams understand the impact of different values and mindsets on decision making, problem solving, and trust building. Team building in virtual teams, where relationships have traditionally been built on the basis of visual cues in face-to-face interaction, now requires individuals to communicate and interact through frequent, short, and task-focused communications that are often technology mediated. Team building can help virtual teams facilitate communication processes where tone and body language clues are difficult to detect and interpret.²⁸

Team building can also facilitate other OD interventions. Most technostructural, human resource management, and strategic interventions depend on some form of team building for effective design and implementation. These change processes are typically designed by multistakeholder teams, implemented through various committees and work groups, and result in new teams that need to operate at a high level of effectiveness quickly. Hackman and his colleagues have suggested that too much time may be spent helping teams that were designed and launched poorly. They argue that one of the most important tasks of the OD practitioner is to charter and launch new teams correctly.²⁹ Team building can help the groups design high-quality interventions and ensure that they are accepted and implemented by organization members.

Finally, the term *team building* has been increasingly associated with activities that are tangential to the purpose of improving team effectiveness, inconsistent with our definition of OD. These activities include cooking a team dinner, playing a variety of games, or participating in an improv session. These events are typically not facilitated professionally, and there is little thought given to the objectives of the exercise or to debriefing behaviors and issues relevant to the team's performance. Any of these activities can be fashioned into effective OD team-building interventions if they derive from a diagnosis and aim to improve the team's functioning.

Application 7.2

Conflict Management at Ross and Sherwin

Ross and Sherwin (R&S), a 40-year-old, Chicago-based law firm, employs 65 lawyers and is one of the largest specialty intellectual property (IP) firms in the country. Since the firm's founding, a single managing partner has run the partnership and worked with the firm's operations director to make administrative decisions about the staff and lawyers. R&S's clear niche and consistently strong results meant that the managing partner could "just practice law."

Three events pressured the organization for change and challenged its easygoing style of organizing. Competitively, R&S had recently added an IP litigation service. It required new lawyers with different skill sets and was more likely to operate on a contingency basis where R&S's fees would depend on the court's findings. Although the payoff could be good for victorious inventors and the law firm who represented them, it significantly increased the firm's risks compared to the bill-by-the-hour arrangement that had worked for years. However, R&S's current clients were asking the firm to lower their hourly rates for basic transactional work, such as trademark and patent applications. Most of the transactional lawyers were uncomfortable with contingency work. The second event was that the firm's current managing partner had announced his intention to retire. Finally, the firm lost two partners to competitors, and partner income had dipped over the last two years.

In response to these troubling events, the partners decided to think more about the firm's strategy and that these two very different businesses, IP litigation (increasingly contingency work) and IP transactions (hourly work with significant rate pressure), required representation at the highest level. R&S named its first-ever "co-managing partners," Brad and Ron. They were both effective at navigating thorny conversations with clients and adversaries but had little patience for working through the firm's internal differences. Both had the habit of saying what people wanted to hear and then going off and doing things as they saw fit. On the other hand, Brad was conservative, slow to delegate, and even slower to endorse the litigation group's growth through contingency work while Ron was a risk taker in terms of the type of work he preferred and more willing to pass responsibilities to other lawyers early in their careers.

Their first co-leadership initiative, a strategic planning process guided by an external consultant, was a disaster. Brad and Ron had important differences in their thinking about the business and entered the strategic planning meeting with their own agendas and mistrust between them. Twenty minutes into the meeting, Dan, the firm's leading transactional practice partner and enemy of any activity unrelated to his work, had some pointed questions about where Ron and Brad thought the planning process would lead. Dan quickly attached his remarks to the supremacy of his own practice, his potential new clients, and any other investment that represented a threat to him and his team. The questions carried a hostile tone and were met with defensiveness by Ron and Brad. Ron felt alone and needed to defend the idea of expanding contingency work, and Brad felt attacked by an influential partner in one of his first efforts at firmwide leadership. The meeting limped along but ended with everyone wondering how or if Ron and Brad were going to be able to effectively lead the firm.

Not surprisingly, Ron and Brad each blamed the other for not having a clearer plan and structure for the meeting. They each believed that the others' misplaced agenda created the opening for Dan to torpedo the proceedings. Again, however, rather than dealing directly with each other, they pointed at Dan as the source of the meeting failure.

The strategy consultant could see the conflict derailing the strategy formulation process and recommended an OD consultant with conflict resolution experience to help Ron and Brad move forward.

As the OD consultant entered the system, Ron and Brad presented their recommendation: "fix" Dan. Dan was a troublemaker and would remain a challenging presence as they tried to lead the firm. When the conversation moved to their visions for the firm, Ron would waive the banner about the importance of growth and balancing hourly work with the potential for big contingency victories, and Brad would dig into his position that too much risk scared transactional lawyers and threatened the stability of the firm. They would quickly get frustrated, shorten the meeting, and go back to what they each did so well—practicing law.

Believing that the firm was, indeed, at a precarious juncture and needed strong leadership, the OD consultant proposed that Ron and Brad first address

Conflict Management at Ross and Sherwin, continued

their differences. They could then develop and implement a strategy for the firm and involve Dan as necessary.

The OD consultant's initial impression was that these two brilliant lawyers rarely, if ever, stopped to think about the impact of their leadership styles on others in the firm. For example, the most detrimental aspect of the unresolved conflict between them was the conversations that took place behind one another's backs. They talked more about their conflict to their other partners than they did to one another. Before they could have a constructive dialogue about working together more effectively, Ron and Brad needed to understand their own roles in this dysfunctional dynamic. With their agreement, the consultant gathered feedback to help them see how others perceived them.

Ron and Brad each spent several hours with the consultant discussing the feedback, articulating a vision for the firm, and describing what a collaborative relationship with one another might look like. They each were articulate about what they wanted the firm to accomplish, where they found themselves frustrated, and how each of them viewed the other. For the first time since their appointment as co-managing partners, each of them drafted bullet points describing a vision for the firm. The premise of this exercise was that there might be a good amount of common ground. If all of the key items were laid out on the table, it might be possible to work through the various interests to see what was attainable and what they could agree on. Ron and Brad also created a set of steps that the two of them could take to develop a more trusting, coordinated relationship as co-managing partners.

In a subsequent meeting, Ron and Brad shared their visions for the firm and their own action steps to create collaborative leadership. They were genuinely surprised by the similarities on the lists. Brad, to Ron's surprise, did want to expand the firm. He had a different timeline and his view included satellite offices he wanted to build. Ron was pleased to see that Brad was not "hunkering down" and riding things out until his retirement. Ron, to Brad's relief, never envisioned the contingency work consuming more than 20% of the firm's billable time. This was still a bigger number than Brad would like, but it was a reasonable limitation that Ron put forth.

Examining these concrete items on their respective bullet lists, they saw that they were largely wrong in their assumptions about what the other

person did or did not want to accomplish as co-managing partner. Similarly, walking through their respective "better collaboration" lists, they both recognized the need to spend more time communicating directly with each other. They realized that they both tended to posture and take exaggerated positions in front of an audience. They agreed to be more open and quicker to raise issues and concerns with one another.

The OD consultant had follow-up calls with each of them over the next six months to check on their progress. For example, they developed a strategy for contingency work that created a portfolio of cases with different levels of investment. The portfolio would ramp up only as positive verdicts and rewards materialized. This allowed Ron to see that growth was possible depending on the success of his group, and it allowed Brad to see that there were manageable limitations on the risk. They also were successful in carving out time for just the two of them to meet.

However, being open with one another and speaking up when they had a concern about how they were working together or what the other person was up to proved challenging. Despite forward progress and excellent financial results in the next six months, both Ron and Brad remained "worn out," "exhausted," and "stressed" and believed they were on thin ice as leaders and with one another. In a meeting with the OD consultant, they described a partnership meeting where Dan had again hijacked the agenda. Both of them had felt "hung out to dry" by the lack of supportive responses from the other. The consultant reminded them of the important steps that they had taken together over the previous months and that they had jointly steered the firm out of a difficult business cycle. He assured them that a "conflict-free" partnership was not likely and not even the goal. They had gotten to the point where they could remain focused on joint business goals despite the occasional flareups; however, their relationship needed more resilience. They were too quick to doubt one another and to doubt themselves as an effective unit.

The OD consultant considered the next step. He noted how both leaders were "doers" who related easily to the task orientation of making lists and checking items off the list. He too had remained focused on structural interventions. However, seeing their frustration, he wondered if it was time for a more explicit relationship-building intervention.

7-4a Team-Building Activities

A team is a group of interdependent people who share a purpose, have common work methods, and hold each other accountable.³⁰ The nature of that interdependence varies, creating teams reporting to the same manager; teams involving people with common organizational goals; temporary teams formed to do a specific, one-time task; and teams whose members are not related formally in the organization but whose collective purpose is to achieve tasks they cannot accomplish alone.

Hackman proposed that effective teams produce outputs that satisfy external stakeholders, constantly improve their team functioning, and have members that are learning.³¹ As a result, team-building interventions can be categorized according to their purpose and focus (see Table 7.1). They can be oriented toward (1) individual behavior, (2) group behavior, or (3) the group's integration with its organizational context. They also can be classified according to whether their purpose is diagnostic or improvement. A particular team-building activity can overlap these categories and, on occasion, a change in one area will have negative results in other areas. For example, a highly cohesive team may become isolated from less effective groups, leading to intergroup conflict or other dysfunctional results, which in turn can have a negative impact on the total organization. Team building includes sufficient diagnostic skills to recognize and deal with such problems.

Several factors can affect the outcomes of a specific team-building activity, including the length of time allocated to it, the team's willingness to look at its processes, the length of time the team has been working together, and the cultural backgrounds of team members. Consequently, the results of team-building activities can range

from comparatively modest changes in the team's operating mechanisms (e.g., meeting more frequently or gathering agenda items from more sources) to much deeper changes (e.g., modifying team members' behavior patterns, altering the nature and style of the group's management, or developing greater openness and trust).

Dyer has developed a checklist for identifying whether a team-building intervention is needed and whether the organization is ready to start such a change process (Table 7.2).³² If the problem is structural or technical, an administrative mistake, or a conflict between only two people, team building may not be an appropriate intervention.

7-4b Interventions Relevant to Individual Behavior

People enter groups with varying needs for achievement, inclusion, and influence. These needs can be supported and nurtured by the team's structure and process or they can be discouraged. Diagnostic interviews and personal-style instruments can help members better understand their personal motivations, preferences, or emotions in a group context and how well the group can or will support those needs and wants.

Activities that improve an individual's behavior in a group include coaching, 360-degree feedback, and assistance with conflict. These interventions seek to alter the group's ongoing processes by focusing on the behaviors and attitudes of individual members. For example, one team's typical decision-making process consisted of the leader having several agenda items for discussion. Each of the items, however, had a predetermined set of actions that she wanted the group to take. Most members were frustrated by their inability to influence the conclusions. The team-building

Table 7.1 Categories of Team-Building Interventions and their Focuses

	Individual Behavior	Group Behavior	Integration with Organization
Diagnosis	Assessment instruments and interview data to understand personal style and motivation	Team surveys, interviews, and observations to understand group operations	Interviews and surveys from internal customers and other group stakeholders to understand group's role and effectiveness
Improvement	- Individual coaching and feedback 360-degree feedback - Third-party conflict resolution	- Group vision, mission, purpose development - Role clarification and decision rights	- Strategic planning and stakeholder mapping - Large-group intervention - Intergroup conflict resolution

Source: Adapted from W. G. Dyer, *Team Building: Issues and Alternatives*. © 1987 Addison-Wesley.

Table 7.2 Team-Building Checklist**I. Problem identification:**

To what extent is there evidence of the following problems in your work unit or team?

1. Loss of production or work-unit output
2. Complaints or grievances within the work unit
3. Conflicts or hostility between unit members
4. Confusion about assignments or unclear relationships between people
5. Lack of clear goals or low commitment to goals
6. Apathy or general lack of interest or involvement of unit members
7. Lack of innovation, risk taking, imagination, or taking initiative
8. Ineffective staff meetings
9. Problems in working with the boss
10. Poor communications: people afraid to speak up, not listening to each other, or not talking together
11. Lack of trust between boss and members or between members
12. Decisions are made that people do not understand or agree with
13. Good work is not recognized or rewarded
14. Lack of encouragement for working together in a better team effort

Assessment: The higher the number of statements that describe your situation, the more you should think seriously about initiating a team-building program.

II. Manager Readiness

Are you (or your manager) prepared to start a team-building program? Consider the following statements. To what extent do they apply to you or your department?

1. You are comfortable in sharing organizational leadership and decision making with subordinates and prefer to work in a participative atmosphere.
2. You see a high degree of interdependence as necessary among functions and workers in order to achieve your goals.
3. The external environment is highly variable or changing rapidly, and you need the best thinking of all your staff to plan for these conditions.
4. You feel you need the input of your staff to plan major changes or develop new operating policies and procedures.
5. You feel that broad consultation among your people as a group in goals, decisions, and problems is necessary on a continuing basis.
6. Members of your management team are (or can become) compatible with each other and are able to create a collaborative rather than a competitive environment.
7. Members of your team are located close enough (or can meet through virtual platforms) to meet together as needed.
8. You feel you need to rely on the ability and willingness of subordinates to resolve critical operating problems directly and in the best interest of the company or organization.
9. Formal communication channels, such as e-mail, are not sufficient for the timely exchange of essential information, views, and decisions among your team members.
10. Organization adaptation requires the use of such devices as project management, task forces, or ad hoc problem-solving groups to augment conventional organization structure.
11. You feel it is important to bring out and deal with critical, albeit sensitive, issues that exist in your team.
12. You are prepared to look at your own role and performance with your team.
13. You feel there are operating or interpersonal problems that have remained unresolved too long and need the input from all group members.
14. You need an opportunity to meet with your people to set goals and develop commitment to these goals.

Assessment: The more these statements describe your views of managing and the situation you face, the more prepared you are to successfully lead a team-building program. A low number of agreements does not preclude team building, but you should be aware that it may challenge your way of operating.

process consisted of coaching the team leader and group members about ways to change this process. The leader received feedback about specific examples of her not-so-subtle manipulation to arrive at preconceived decisions and how group members felt about it. At the next meeting, the leader acknowledged the feedback and indicated her willingness to be challenged about such preconceived decisions. Team members expressed their increased willingness to engage in problem-solving discussions, their trust in the leader, and their ability to make the challenge without fear of reprisal.

7-4c Interventions Relevant to the Group's Behavior

The most common focus of team-building activities is behavior related to task performance and group process. In an effective team, task behavior and group process are integrated with each other as well as with the needs and wants of the members. Diagnostic activities involve gathering data through team surveys or, more commonly, interviews. The nature of the information gathered will vary depending on the purpose of the team-building program, the OD practitioner's knowledge about the organization and its culture, and the people involved. The practitioner may have already obtained a great deal of information by sitting in as a process observer at meetings. The data gathered also will depend on what other OD efforts have taken place in the organization. By whatever method obtained, however, the diagnosis usually includes information on leadership styles and behavior; goals, objectives, and decision-making processes; communication patterns and interpersonal relationships; and task and related technical problems.

Team-building activities aim to improve the group's functioning. A variety of exercises have been developed,³³ including clarifying roles, improving goal clarity and member commitment, modifying or clarifying the decision-making or problem-solving process, changing norms, increasing risk taking and trust, and improving communication.

Application 7.3 presents an example of a team-building intervention conducted by Ted, an internal OD practitioner, with a top management team.³⁴ Ask yourself the following questions as you read this case:

- What were the benefits and risks of Ted's decision to start working with the directors first before engaging with the executive committee?
- Do you agree with the decision to make the workshop more task than interpersonally oriented?
- Ted was an internal OD practitioner. Following Ted's methods, could an external practitioner have achieved comparable results?

7-4d Interventions Affecting the Group's Integration with the Organization

As a team gains a better understanding of itself and becomes better able to diagnose and solve its own problems, it can focus on its role within the organization. A group's relationship to the larger organizational context is an important aspect of group effectiveness.³⁵ Diagnostic activities usually focus on understanding the team's goals, organizational role, and interactions with other groups by interviewing related teams and other stakeholders.

Improvement activities can involve strategic planning and stakeholder mapping interventions to modify the group's contribution to the organization or how it acquires resources or alters its outputs in terms of cost, quality, and quantity. Sometimes, the team may recognize a need for more collaboration with other groups in the organization and may try to establish a project team that crosses the boundaries of existing teams.

As a team becomes more cohesive, it can often exert a stronger influence on other groups within the organization. This can lead to conflicts with other teams and the need for intergroup conflict resolution interventions (Chapter 9). Here, team building can have negative effects, particularly when it increases a team's cohesion. The OD practitioner can help the group understand its role within the larger organization, develop its own diagnostic skills, and examine alternative action plans so that intergroup tensions and conflicts do not escalate.

7-4e The Manager's Role in Team Building

Ultimately, the formal leader is accountable for team functioning, although this responsibility can be shared by the group itself. Management's key role is to develop a group that can regularly diagnose its own work processes and outcomes and make relevant improvements. In some cases where a group faces particularly difficult operations or stress, the manager may need to take a more directive role in team functioning.

Boss and McConkie surveyed over 3,500 team-building participants and found that most of them identified team leadership as the single most important role in successful team building.³⁶ Many managers, however, have not been trained to perform the diagnosis and action necessary to build their team's ability to improve itself continually. Thus, the issue of who should lead a team-building intervention is a function of managerial capability. The initial use of an OD practitioner is advisable if a manager is aware of problems, feels that they may be part of the

Application 7.3

Aligning Senior Teams at Vaycot Products

Vaycot Products (a disguised name) is a publicly traded medical equipment manufacturer and marketer producing magnetic resonance imaging, ultrasound, and x-ray machines. Members described Vaycot's culture as "strong and toxic." Forty-eight percent of employees were disengaged and 58% were considering leaving the company. Employees often felt pressured to cut corners or engage in unethical practices to get work done and to achieve overly aggressive goals. Not surprisingly, corporate performance had been dismal, and Vaycot's board, industry analysts, and a well-known corporate raider were vocal with their concerns.

The organization was managed by an executive committee consisting of Oscar (the CEO) and eight functional vice presidents and a broader operating committee comprised of the executive team members and the directors who reported to them. Decision making in these groups was slow to nonexistent because everyone feared being derided in public by Oscar over a wrong decision. Despite their considerable experience, the vice presidents and directors spent most of their time in meetings, being told how to do their job or making course corrections to adjust to Oscar's volatile and ever-changing mind.

Entry and Contracting

After hearing how well an earlier process to increase trust, collaboration, and team effectiveness had worked in a subgroup of the operating committee, and seeing firsthand the improved relationships and results, the CFO and the vice presidents of sales and operations approached the internal OD consultant, Ted, to see if he would work with Oscar's executive committee on a similar team-building process.

Ted was candid. "Based on my interactions with Oscar, I'm concerned that his need for control and resistance to getting feedback will keep him from being a constructive participant." The vice presidents understood Ted's assessment and asked if he'd work with just them. Ted was reluctant on this point as well. He explained that team building works best when the leader actively participates and is willing to deal with emergent issues. That left the ball in the vice presidents' court. They needed to convince their boss to participate and that would require giving Oscar

feedback on why they believed a team-based intervention was needed.

As the conversation continued, Ted offered to interview the vice presidents and facilitate a meeting where *they* would deliver the feedback to Oscar. Following the interviews, the group worked through the data and confirmed that the conclusions were valid. They agreed unanimously that it was finally time to meet with Oscar. However, when Ted asked how the feedback meeting should be structured, no one spoke. No one wanted to be in the room when Oscar heard *their* feedback.

Despite his frustration with the group, Ted offered to meet with Oscar on its behalf. Although Ted didn't want to make a career-limiting move by angering Oscar, he feared that all of the good work and progress the vice presidents had made would be wasted unless someone could convince Oscar to go along. Ted scheduled a time to meet with Oscar and prepared himself for a difficult conversation. Not wanting to overwhelm Oscar, Ted focused on three key messages:

1. *Trust your team.* Let go of the day-to-day, even if things start to go in the wrong direction. Avoid the temptation to jump in and do your people's jobs.
2. *Facilitate, don't dominate.* Continue to use your style of direct communication to ensure that the right issues are put on the table, but then back off more often to allow your team to add value.
3. *Let go and take issues offline when appropriate.* Know when to let go of an issue and when to include fewer people in the discussion. Especially when you have an issue with a single individual—no one likes to get yelled at in front of others.

Oscar was clearly irritated by the data, and he vented for a few minutes. Ted listened without interrupting. Eventually, they got back on track when Oscar asked what to do next. Ted suggested a team-building process for members of the executive committee. He described the process he used with the operating committee subgroup and suggested that the executive committee could go through a similar process. Oscar, still fuming from the feedback, asked Ted several detailed questions about how the process would work, what he'd need to do,

Aligning Senior Teams at Vaycot Products, continued

and what outcomes to expect. Ted answered each question. After some discussion, they agreed to a two-day workshop. Though the feedback session was uncomfortable for both Oscar and Ted, it ended on a positive note.

Data Feedback and Intervention Design

Ted's review of the strategy and structure, engagement and customer surveys, and exit interviews identified a variety of misfits that could drive the team-building agenda. For example, even though customers rated Vaycot high in innovation, engagement surveys rated it low. Despite the organization's poor performance, almost all the operating committee members got their full performance-based bonuses. Finally, leadership effectiveness was highly rated in engagement surveys but was consistently mentioned in the exit surveys as a reason people resigned. As a final step, Ted interviewed the vice presidents individually and asked them to rate the following statements, on a scale of 1 to 5 with 5 being "totally agree":

- Current roles and accountabilities of all members of the executive team are clear.
- The decision-making process is effective and appropriate to the task.
- Team members openly speak their mind with each other.
- The team is effective at resolving conflicts.
- Team meetings are productive.

Ted shared the assessments with Oscar and the vice presidents. The interview responses were rated low, between 1.5 and 2.25, and surprised no one. They validated Ted's assessment and team members agreed that they owned the data.

Ted used the data to design a two-day workshop. The relationships among the executive committee members were fragile, and he knew from experience that this group would not tolerate a highly personal approach. Oscar had openly referred to interpersonal processes as "touchy feely flavor-of-the-month garbage." As a result, Ted designed the workshop to be task oriented and focused on getting things done. The executive team approved the design and expressed optimism that the off-site would be productive.

Workshop Implementation

The workshop opened with a recap of how the executive committee got to this point. Ted asked everyone

to tell a short story about their experience with the process so far. It was a lively conversation—very positive in tone—and everyone spoke. Oscar thanked the group for their hard work and dedication so far in the process. He assured them that he was going to be an active participant in the session.

Next, Ted proposed a set of ground rules, such as "what's said in the room stays in the room," "attack issues not people," and "don't speak for others." Everyone agreed to abide by them. Ted reiterated that the objective of the meeting was to address the team's ability to get work done. "The data show that this team has some significant interpersonal challenges that need to be addressed, but these are outside the scope of this workshop." Most participants expressed a sense of relief, and no one objected.

The first workshop exercise created two subgroups, one listing hopes and the other fears for the workshop. Each group presented its list, and the top three hopes and fears were recorded on a flip chart that was taped to the wall. This established a baseline for assessing how trusting and open members become as the workshop progressed.

The next exercise addressed the group's purpose. Ted asked everyone to write a sentence describing why the executive committee existed, and each member read their sentence. Most statements addressed achieving results, allocating resources, and making strategic decisions. Only two statements mentioned employee or human capital issues, and Ted commented on that output. The group debated their role vis-à-vis employees and agreed more consideration should be given to the workforce. The executive committee's purpose statement evolved to include helping employees understand how their work contributes to driving the organization's strategy and assuring that recognition and rewards were tied to contributions.

The rest of the first day was spent working on the interview data. They discussed the data associated with each statement from the interview and developed actions to improve the ratings. The discussions were tense and strained at first. Initially, there was a lot of finger-pointing. Ted facilitated these discussions away from the interpersonal issues toward a more productive problem-solving approach based on data and behaviors. Over time, the team developed a productive rhythm. The day ended with the executive committee reframing the statements in a positive way and identifying the items required to

Aligning Senior Teams at Vaycot Products, continued

deliver those results. For example, the decision-making item was stated as *"The decision-making process on this team is effective and appropriate to the task."* The group noted that it needed to take the emotion out of decision making, create more collaboration around issues, engage in less unilateral decision making, and be clearer about who makes the decision.

The second day started with a recap of day 1 and a discussion of the hopes and fears posted on the wall. There was consensus that the group had "played it safe" so far, mainly addressing hopes and fears that were noncontroversial. The conversation that ensued was animated; executive team members were more at ease in sharing their deeper hopes and fears.

Oscar was quiet during the exercise until the end when he said, "It seems like dealing with these fears would increase performance significantly, and I have to admit that it appears that I am the source of much of it." The conversation around Oscar's role expanded, and Ted facilitated a deeper exploration of the committee's roles. After some time, Ted decided to look for common themes and asked, "How did this exercise go, and what topics were covered?" Everyone agreed that the hardest part of the process was listening intently and not interrupting when another person was speaking. Common topics included that the company's functional units needed to better collaborate and support each other and that training on conflict resolution and negotiation would be beneficial. The group agreed they had gotten a lot out of the session.

The next exercise, "give and get," was intended to build awareness of interdependencies among the functional units that each member administered. Going around the group two at a time, each pair of executives took turns exchanging what they specifically needed from each other to be more effective. Together, they either committed to actions or said why they could not. The exercise continued until everyone had gotten/made commitments from/to everyone else. The output of the exercise summarized and operationalized the actions listed under the positive statements of group operation from day 1.

The agenda then called for the development of a concise list of corporate initiatives to move the organization forward and drive performance. Despite the

progress made so far, there was still some risk that Oscar would strong-arm the selection process. At Ted's suggestion, Oscar excluded himself from the exercise so as not to limit what the vice presidents devised. Topping the list was (1) shared ownership of common goals and goal alignment throughout the organization, (2) more collaboration between functions, and (3) increased employee engagement and productivity.

At the end of day 2, Ted wrapped up the session just as he started it. He asked each participant to tell a story about their workshop experience. Again, it was a lively conversation—incredibly positive in tone—and everyone spoke. Oscar thanked the group for their commitment and work during the two days. He told them that they could count on him to help drive and complete the initiatives that were selected.

Results and Reflection

Following the workshop, project teams were formed to design and implement each of the three enterprise initiatives, and work began immediately on them. The executive committee asked Ted to work with them throughout the year and to design and facilitate structured workshops every six months. Gradually, the operating committee, then the managers, and then the rest of the workforce felt the positive impacts of the executive committee's increased team effectiveness.

Three years later, the numbers told the story of Vaycot's turnaround:

- Sales and earnings targets were exceeded five quarters in a row, and year-to-year sales were up 9%.
- The employee engagement index was up 21 points.
- Turnover was in line with industry averages.

Being a realist, Ted knew that Oscar had not undergone an overall personal transformation—he was still basically the same guy. Oscar's key behavior changes were mainly motivated by the realization that he could get a lot more performance out of his executive team, and the whole organization, if he changed the way he led. In the end, Oscar became a better leader that, in part, contributed to an organizational transformation.

problem, and believes that some positive action is needed to improve the operation of the team but is not sure how to go about it.³⁷ The OD practitioner works closely with the manager (and team members) until the manager can engage in team development activities as a regular part of their responsibilities. They can work together in developing the initial team building intervention, recognizing that (1) the manager is ultimately responsible for all team-building activities and (2) the practitioner is there to help the manager learn to continue team development processes. Thus, in the first stages, the OD practitioner is more active in diagnosis and action planning. In later stages, the manager becomes more active as team developer.

7-4f The Results of Team Building

The early research on team-building effectiveness produced inconsistent, but generally positive, results.³⁸ Weak research designs and the confounding impact of other interventions accounted for the lack of consistent results. More recent reviews of the research found that team interventions positively influenced team outcomes.³⁹ Goal setting and role clarification interventions were powerful influences on team performance, while affective and process outcomes, such as psychological safety,⁴⁰ influenced group process.

Together, the research supports the general conclusion that well-designed and executed team-building interventions are effective.⁴¹ In addition, Boss presented considerable evidence that personal management interviews (PMIs)—regular meetings between a team leader and member following team building—sustained improvements in team functioning and operational performance compared to team building that did not including PMI follow-ups.⁴²

Advances in digital technologies have made virtual team effectiveness a growing area of research.⁴³ The results suggest that many of the lessons learned from face-to-face team building can be transferred to virtual teams. For example, establishing goals early in a virtual team's life cycle can improve team cohesion and performance⁴⁴; combining communications technologies with goal-setting processes can enhance team functioning and team performance⁴⁵; and active prosocial behaviors, such as offering to help other members solve a problem, can increase interpersonal closeness.⁴⁶ Unique to the virtual team context, Gibson and Cohen found that team performance was enhanced by initial face-to-face team-building meetings in the startup stage of a team's work, a finding that has been confirmed by others.⁴⁷ Virtual team effectiveness becomes more challenging, however, when the group has to manage several time differences, cultural diversity, and leaders unskilled in managing that diversity.⁴⁸

Summary

In this chapter, we presented human process interventions aimed at interpersonal relations and group dynamics. Among the earliest interventions in OD, these change programs can help people gain interpersonal competence, resolve interpersonal conflicts, and develop effective teams.

Process consultation is used not only as a way of helping individuals and groups become effective but also to learn to diagnose and solve their own problems and continue to develop their competence and maturity. Important areas of activity include communications, roles of group members, difficulties with problem-solving and decision-making norms, and leadership and authority. The basic difference between process consultation and

third-party intervention is that the latter focuses on interpersonal dysfunctions in social relationships between two or more individuals within the same organization and is targeted toward resolving direct conflict between those individuals.

Team building is directed toward improving group effectiveness and the ways in which members of teams work together. Teams may be permanent or temporary, traditional or virtual, and uni- or cross-cultural, but their members have either common organizational aims or work activities. The general process of team building, like process consultation, equips a team to handle its own ongoing problem solving.

Notes

1. T. Franz, *Group Dynamics and Team Interventions* (Wiley-Blackwell, 2012); J. Mathieu, P. Gallagher, M. Domingo, and E. Klock, "Embracing Complexity: Reviewing the Past Decade of Team Effectiveness Research," *Annual Review of Organizational Psychology and Organizational Behavior* 6 (2019): 17–46.

2. D. Levi, *Group Dynamics for Teams* (Sage, 2011); R. Allen and S. Pilnick, "Confronting the Shadow Organization: How to Detect and Defeat Negative Norms," *Organizational Dynamics* 1 (Spring 1973): 2–18.

3. E. Schein, *Process Consultation: Lessons for Managers and Consultants*, vol. II (Addison-Wesley, 1987).
4. E. Schein, *Process Consultation Revisited* (Addison-Wesley, 1998): 20.
5. Schein, *Process Consultation*, vol. II, 5–17.
6. Schein, *Process Consultation Revisited*.
7. E. Schein, *Humble Consulting: How to Provide Real Help Faster* (Barrett-Koehler, 2016).
8. B. Lambert, B. Caza, E. Trinh, and S. Ashford. "Individual-Centered Interventions: Identifying What, How, and Why Interventions Work in Organizational Contexts," *Academy of Management Annals* 16 (2022): 508–46.
9. J. Luft, "The Johari Window," *Human Relations Training News* 5 (1961): 6–7.
10. C. Seashore, E. Seashore, and G. Weinberg, *What Did You Say?: The Art of Giving and Receiving Feedback* (Bingham House Books, 2001).
11. J. Gibb, "Defensive Communication," *Journal of Communication* 11 (1961): 141–48; Schein, *Process Consultation Revisited*; Seashore, Seashore, and Weinberg, *What Did You Say?*
12. E. Schein, *Process Consultation: Its Role in Organization Development* (Addison-Wesley, 1969): 44.
13. Schein, *Humble Consulting*; E. Schein and Peter Schein, *Humble Inquiry: The Gentle Art of Asking Instead of Telling* (Berrett-Koehler, 2021).
14. This application was authored and submitted by Charles Hathorn, and his contribution is gratefully acknowledged.
15. R. Kaplan, "The Conspicuous Absence of Evidence That Process Consultation Enhances Task Performance," *Journal of Applied Behavioral Science* 15 (1979): 346–60.
16. C. K. DeDreu and L. Weingart, "Task versus Relationship Conflict, Team Performance, and Team Member Satisfaction: A Meta-analysis," *Journal of Applied Psychology* 88 (2003): 741–49.
17. D. Tjosvold, "Defining Conflict and Making Choices About Its Management," *International Journal of Conflict Management* 17 (2006): 87–95.
18. In North America, people interested in finding assistance might want to contact the Society of Professionals in Dispute Resolution at <http://www.acrnet.org> or the Straus Institute of Dispute Resolution at <http://law.pepperdine.edu/straus>. In Asia, the Beijing Arbitration Commission (<http://www.bjac.org.cn/english/>) and, in the European Union, the Centre for Socio-Eco-Nomic Development (<https://www.csend.org/homepage>) are good sources of information.
19. X. Dai and G. Chen, eds., *Conflict Management and Intercultural Communication: The Art of Intercultural Harmony* (Routledge, 2017).
20. H. Prein, "Strategies for Third-Party Intervention," *Human Relations* 40 (1987): 699–720; P. Nugent, "Managing Conflict: Third-Party Interventions for Managers," *Academy of Management Executive* 16 (2002): 139–54.
21. R. Walton, *Managing Conflict: Interpersonal Dialogue and Third-Party Roles*, 2nd ed. (Addison-Wesley, 1987); Nugent, "Managing Conflict."
22. N. Katz and L. Flynn, "Understanding Conflict Management Systems and Strategies in the Workplace: A Pilot Study," *Conflict Resolution Quarterly* 30 (2013): 393–410.
23. Walton, *Managing Conflict*, 83–110.
24. This application was developed by John Childers, president of Childers and Partners LLC. His contribution is gratefully acknowledged.
25. W. Dyer, W. Dyer, and J. Dyer, *Team Building*, 5th ed. (Jossey-Bass, 2013); M. Shuffler, D. Diazgranados, M. Maynard, and E. Salas, "Developing, Sustaining, and Maximizing Team Effectiveness: An Integrative, Dynamic Perspective of Team Development Interventions," *Academy of Management Annals* 12 (2018): 688–724.
26. Dyer, Dyer, and Dyer, *Team Building*; Franz, *Group Dynamics and Team Interventions*; Amy Edmondson, *Teaming: How Organizations Learn, Innovate, and Compete in the Knowledge Economy* (Jossey-Bass, 2014).
27. A. Lechner and J. Mortlock, "How to Create Psychological Safety in Virtual Teams," *Organizational Dynamics* 51 (2022): 1–9.
28. R. Ford, R. Piccolo, and L. Ford, "Strategies for Building Effective Virtual Teams: Trust is Key," *Business Horizons* 60 (2017): 25–34; C. Gibson and S. Cohen, eds., *Virtual Teams That Work: Creating Conditions for Virtual Team Effectiveness* (Jossey-Bass, 2003); D. Mancini, "Building Organizational Trust in Virtual Teams," *Journal of Behavioral Studies in Business* 2 (May 2010): 1–15; L. Gilson, M. Maynard, N. Jones Young, M. Vartiainen, and M. Hakonen, "Virtual Teams Research: 10 Years, 10 Themes, and 10 Opportunities," *Journal of Management* 41 (2015): 1313–37.
29. J. R. Hackman, "The Design of Work Teams," in *Handbook of Organizational Behavior*, ed., J. Lorsch (Prentice-Hall, 1987); J. R. Hackman and R. Wageman, "A Theory of Team Coaching," *Academy of Management Review* 30 (2005): 269–87; D. Levi, *Group Dynamics for Teams*, 5th ed. (Sage, 2017).
30. J. Katzenbach and D. Smith, *The Wisdom of Teams* (Harvard Business School Press, 1993); E. Salas, T. Dickinson, S. Converse, and S. Tannenbaum, "Toward an Understanding of Team Performance and Training," in *Teams: Their Training and Performance*, eds. R. W. Swezey and E. Salas (Ablex, 1992): 3–29.
31. J. R. Hackman, *Leading Teams: Setting the Stage for Great Performances* (Harvard Business Review Press, 2002).
32. W. Dyer, *Team Building: Issues and Alternatives*, 2nd ed. (Addison-Wesley, 1987).
33. Dyer and Dyer, *Team Building*; Katzenbach and Smith, *The Wisdom of Teams*; M. Shuffler, D. DiazGranados, and E. Salas, "There's a Science for That: Team Development Interventions in Organizations," *Current Directions in Psychological Science* 20 (2011): 365–72; L. Offermann and R. Spiros, "The Science and Practice of Team Development: Improving the

- Link,” *Academy of Management Journal* 44 (2001): 376–93; P. Lencioni, *Overcoming the Five Dysfunctions of a Team* (Jossey-Bass, 2005).
34. This application was developed by David Jardin, and his contribution is gratefully acknowledged.
 35. D. Ancona and H. Bresman, *X-Teams: How to Build Teams that Lead, Innovate, and Succeed* (Harvard Business School Press, 2007); D. Ancona and D. Caldwell, “Bridging the Boundary: External Activity and Performance in Organizational Teams,” *Administrative Science Quarterly* 37 (1992): 634–65; A. Somech and A. Khalaili, “Team Boundary Activity: Its Mediating Role in the Relationship Between Structural Conditions and Team Innovation,” *Group and Organization Management* 39 (2014): 274–99.
 36. R. W. Boss and M. McConkie, “Team Building,” in *Handbook of Organization Development*, ed. T. Cummings (Sage, 2007).
 37. Dyer, *Team Building*.
 38. S. Tannenbaum, R. Beard, and E. Salas, “Team Building and Its Influence on Team Effectiveness: An Examination of Conceptual and Empirical Developments,” in *Issues, Theory, and Research in Industrial/Organizational Psychology*, ed. K. Kelley (Elsevier, 1992); R. Guzzo and M. Dickson, “Teams in Organizations: Recent Research on Performance and Effectiveness,” in *Annual Review of Psychology*, vol. 47, eds. J. Spence, J. Darley, and J. Foss (Annual Reviews, 1996): 307–38.
 39. C. Klein, D. DiazGranados, E. Salas, H. Le, C. Burke, R. Lyons, and G. Goodwin, “Does Team Building Work?” *Small Group Research* 40 (2009): 181–222; J. Mathieu, P. Gallagher, M. Domingo, and E. Klock, “Embracing Complexity: Reviewing the Past Decade of Team Effectiveness Research,” *Annual Review of Organizational Psychology and Organizational Behavior* 6 (2019): 17–46; M. Shuffler, D. Diazgranados, M. Maynard, and E. Salas, “Developing, Sustaining, and Maximizing Team Effectiveness: An Integrative, Dynamic Perspective of Team Development Interventions,” *Academy of Management Annals* 12 (2018): 688–724.
 40. A. Edmondson, “Psychological Safety and Learning Behavior in Work Teams,” *Administrative Science Quarterly* 44 (1999): 350–83; S. Kim, H. Lee, and T. Connerton, “How Psychological Safety Affects Team Performance: Mediating Role of Efficacy and Learning Behavior,” *Frontiers in Psychology* 11 (2020): 1581.
 41. M. Shuffler, D. DiazGranados, and E. Salas, “There’s a Science for That: Team Development Interventions in Organizations,” *Current Directions in Psychological Science* 20 (2011): 365–72; A. Woolley, “Effects of Intervention Content and Timing on Group Task Performance,” *Journal of Applied Behavioral Science* 34 (1998): 30–46.
 42. R. W. Boss, “Team Building and the Problem of Regression: The Personal Management Interview as an Intervention,” *Journal of Applied Behavioral Science* 19 (1983): 67–83; R. Boss and M. McConkie, “Creating High Performance Work Teams: Team Building Results from 3,679 Participants” (Paper presented at the Eleventh International Conference on Advances in Management, Orlando, FL, March 2004).
 43. R. Purvanova and R. Kenda, “The Impact of Virtuality on Team Effectiveness in Organizational and Non-organizational Teams: A Meta-analysis,” *Applied Psychology* 71 (2022): 1082–131; S. Morrison-Smith and J. Ruiz, “Challenges and Barriers in Virtual Teams: A Literature Review,” *SN Applied Sciences* 2 (2020): 1–33.
 44. T. Brahm and F. Kunze, “The Role of Trust Climate in Virtual Teams,” *Journal of Managerial Psychology* 27 (2012): 595–614.
 45. W. Huang, K. Wei, R. Watson, and B. Tan, “Supporting Virtual Team-Building with a GSS: An Empirical Investigation,” *Decision Support Systems* 34 (2002): 359–67.
 46. R. Hart and P. Mcleod, “Rethinking Team Building in Geographically Dispersed Teams,” *Organizational Dynamics* 31 (2003): 352–61.
 47. C. Gibson and S. Cohen, eds., *Virtual Teams That Work: Creating Conditions for Virtual Team Effectiveness* (Jossey-Bass, 2003); L. Zander, P. Zetting, and K. Mäkelä, “Leading Global Virtual Teams to Success,” *Organizational Dynamics* 42 (2013): 228–37.
 48. D. Clark, A. Marnewick, and C. Marnewick, “Virtual Team Performance Factors: A Systematic Literature Review,” *2019 IEEE International Conference on Industrial Engineering and Engineering Management (IEEE, 2019): 40–44.*

Organization Processes

Learning Objectives

- Describe the traditional organization process interventions: the organization confrontation meeting and the intergroup conflict method.
- Explore the large-group intervention and its major applications.
- Distinguish organization learning from knowledge management and discuss how organizations can improve learning processes.
- Describe the dynamic strategy-making process.
- Discuss the process and key success factors associated with downsizing.

In Chapter 7, we presented interventions aimed at improving interpersonal and group processes. This chapter describes organization-level process interventions—change programs directed at increasing an organization's effectiveness through better collaboration and problem solving, learning, and strategy making. It also reviews downsizing processes.

The traditional organization process interventions, the organization confrontation meeting and intergroup conflict intervention, are among the earliest organization process approaches developed by organization development (OD) practitioners. The organization confrontation meeting helps mobilize the problem-solving resources of a major subsystem or whole organization by encouraging members to identify and solve pressing issues. The intergroup conflict resolution meeting addresses conflict

and coordination between two or more organizational units.

The large-group intervention gets a “whole system into the room”¹ and creates processes that allow stakeholders to articulate a new organization vision, develop a new strategy, solve cross-functional problems, or redesign work, structures, and systems. It is a powerful tool for accelerating the pace of organizational change.

The organization learning and knowledge management intervention helps organizations move beyond short-term problem solving to gain the capability to improve constantly. It identifies the organization characteristics that support learning, helps members improve their learning processes, and embeds new knowledge that can be used for competitive advantage.

Dynamic strategy making is a process for adapting an organization's strategies, structures, and processes to environmental changes. In a process called "guided involvement," OD practitioners help senior managers collaborate effectively to assess and revise the organization's strategic direction and design as the circumstances demand.

The last organization process intervention, downsizing, seeks to reduce costs and bureaucracy by decreasing the organization's size. This reduction can be accomplished through layoffs, organization redesign, and outsourcing functions that are not part of the organization's core competence. Successful downsizing is closely aligned with the organization's strategy.

8-1 Traditional Organization Process Interventions

The first two organization process interventions, the organization confrontation meeting and the intergroup conflict intervention, are longstanding OD applications. Together, they leverage applied behavioral science knowledge to address problem-solving and intergroup processes that contribute to organization effectiveness. We first describe each intervention, then present an application that characterizes these kinds of OD processes, and finally review the results of these traditional OD process approaches.

8-1a Organization Confrontation Meeting

The *confrontation meeting* mobilizes organization members to identify problems, set priorities and action targets, and begin working on identified problems. The intervention is useful when the organization is under stress or when there is tension in the hierarchy.² General Electric's "Work-Out" program is an example of how the confrontation meeting was adapted to fit modern organizations.³ The original model has been used successfully with a variety of workforce members and applied in domestic and international settings. The process helps organizations, even those with customs of conflict or uncertainty avoidance, to address relevant organizational concerns.

Application Stages When a diagnosis identifies unprioritized problems requiring broad organization attention, the organization confrontation meeting typically involves the following steps:

1. A meeting of all those involved is scheduled to identify problems related to the work environment and the organization's effectiveness.
2. Small groups are created that represent all relevant departments. Thus, each group might have one or more members from sales, supply chain, finance, operations, and quality assurance. Subordinates are not to

be in the same group as their bosses, and top management forms its own group. Group size can vary from 5 to 15 members, depending on such factors as the size of the organization and available meeting places.

3. Groups are encouraged to be open and honest and to work hard at identifying problems they see in the organization. No one is criticized for bringing up problems and, in fact, the groups are judged on their ability to do so.
4. The groups are given an hour or two to identify organizational problems. Generally, an OD practitioner goes from group to group, encouraging openness and assisting the groups with their task.
5. The groups then reconvene in a central meeting place to report on the problems they identified and, sometimes, to offer solutions. Because each group hears the reports of all the others, a maximum amount of information is shared.
6. A master list of problems is created and broken down into categories to eliminate duplication and to allow the problems to be separated according to functional or other appropriate areas. This can be done by the participants, by the person leading the session, or by the leadership team.
7. Following problem categorization, participants are divided into problem-solving groups whose composition may, and usually does, differ from that of the original problem-identification groups. For example, all operations problems may be handled by people in that subunit, or task forces representing appropriate cross-sections of the organization may be formed.
8. Each group ranks the problems, develops a tactical action plan to resolve them, and determines an appropriate timetable for implementing the changes.
9. Schedules for periodic (frequently monthly) follow-up meetings are established, and project management resources may be assigned to monitor and support progress. At these sessions, the team leaders report either to top management, to the other team leaders, or to the original group regarding their team's progress

and plans for future action. The formal establishment of follow-up meetings ensures both continuing action and the modification of priorities and timetables as needed.

8-1b Intergroup Conflict Intervention

The intergroup conflict intervention is designed to help two groups or departments within an organization resolve dysfunctional conflicts and improve relationships. Intergroup conflict is neither good nor bad and, in some cases, conflict among departments is necessary and productive for organizations.⁴ When departments are independent, conflict or competition can spur higher levels of productivity and contribute to the organization's effectiveness. But with highly interdependent departments, conflict can be dysfunctional.⁵ Polarization—"No one in that group will cooperate with us" or "What do you expect of those idiots"—can result in defensiveness and negative stereotypes of the other group, decrease the amount and quality of communication, and suppress mutual problem solving. In extreme cases, one group may purposefully or inadvertently sabotage the efforts of the other group. The diagnostic process needs to assess the history of relationships between the two groups.

Application Stages A basic strategy for improving interdepartmental or intergroup relationships is to change the perceptions (perhaps, more accurately, misperceptions) that the two groups have of each other. One approach for accomplishing this, originally described by Blake and his associates, consists of a 10-step procedure.⁶

1. An OD practitioner obtains agreement from the two groups to work directly on improving intergroup relationships. The use of an outside practitioner is often useful because a neutral third party can credibly and impartially interact with the groups.
2. A time is set for the two groups to meet—preferably away from their normal work situations.
3. The OD practitioner, together with the managers of the two groups, describes the purpose and objectives of the meeting: to develop better mutual relationships, explore the perceptions the groups have of each other, and formulate plans for improving the relationship. The two groups are presented with a set of questions. In the classic approach, the groups are asked: "What qualities or attributes best describe our group?", "What qualities or attributes best describe the other group?", and "How do we think the other group will describe us?" Alternatively, Fordyce and Weil proposed that each group build three lists—one containing "positive feedback" items (those things the group values and likes about the other group), a "bug" list (those things the group dislikes about the other group), and an "empathy" list (predictions about what the other group's list contains).⁷ Finally, Beckhard asked groups to develop a list of what irritates or exasperates them about the other group and to predict what they think the other group will say about them.⁸ The two groups are encouraged to establish norms of openness for feedback and discussion.
4. The two groups are assigned to separate rooms and asked to write their answers to the three questions. Usually, the OD practitioner works with each group and encourages it to develop lists that accurately reflect member perceptions, both of their own image and of the other group.
5. After completing their lists, the two groups reconvene. A representative from each group presents the written statements. Only the two representatives can speak. The primary objective at this stage is to make certain that the images, perceptions, and attitudes are presented as accurately as possible and to avoid arguments that might arise if the two groups openly confront each other. Questions, however, can ensure that both groups clearly understand the written lists. Justifications, accusations, or other statements are not permitted.
6. When the two groups thoroughly understand the content of the lists, they separate again. By this point, a great number of misperceptions and discrepancies have been brought to light.
7. The two groups are tasked (typically with an OD practitioner as a process observer) with analyzing and reviewing the reasons for the discrepancies. The emphasis is on solving the problems and reducing misperceptions. The actual or implicit question is not whether the perception of the other group is right or wrong but rather "How did these perceptions occur? What actions on the part of our group may have contributed to this set of perceptions?"
8. When the two groups have worked through the discrepancies, as well as the areas of common agreement, they meet to share both the identified discrepancies and their problem-solving approaches to those discrepancies. Because the primary focus is on the behavior underlying the perceptions, open discussion is encouraged between the two groups, and their joint aim is to develop an overall list of remaining and possible sources of friction and isolation.
9. The two groups are asked to develop specific plans of action for solving specific problems and for improving their relationships.
10. When the two groups have gone as far as possible in formulating action plans, at least one follow-up meeting is scheduled so that the groups can report on actions that

have been implemented, identify any further problems that have emerged, and, where necessary, formulate additional action plans.

The intergroup conflict intervention favors an *attitudinal change strategy* that requires intense interaction directed at changing how each group perceives the other. It assumes that perceptual distortions and stereotyping underlie the conflict and need to be changed to resolve it. However, such interventions typically require more skill and time than do *behavioral solutions* that keep the relevant parties physically separate and specify the conditions under which interaction will occur.⁹

Behavioral interventions seem most applicable when task interdependence is low and predictable. Managers can physically separate the groups and, when a shared task requires only limited interaction, that interaction can be programmed and standardized.

Attitudinal change interventions seem more appropriate under conditions of high interdependence between groups, like when the two groups need to work together closely, often at unpredictable times and with novel, complex issues. When conflicts arise because of misperceptions, they need to be worked through in terms of people's perceptions and attitudes. It is in these highly interdependent and unpredictable task situations when the conflict resolution intervention is most appropriate.

Application 8.1 presents an example of intergroup conflict resolution at BetterCloud, an entrepreneurial startup organization that was experiencing communication problems as it grew. Utilizing an attitudinal solution, the Ambassador's Program addressed concerns over poor communication between departments before they became a permanent part of the organization's culture.¹⁰ What advantages and disadvantages do you see in confining the interaction between the ambassadors rather than all members of a unit?

8-1c Results of Traditional Organization Process Approaches

Organization confrontation meetings and intergroup conflict interventions are often combined with other approaches, such as survey feedback; determining specific results is difficult and there has been little systematic study of these interventions. Case studies of confrontation meetings support positive results in food and military products manufacturers, a hotel, a research and development organization, and a medical system.¹¹

Positive results from the intergroup conflict resolution intervention have been reported in union-management relations, an Indian tribal council, government organizations, and for-profit firms.¹² The results include attitudinal changes, such as improved perceptions, increased trust,

and less stereotyping, in addition to improved operational results. For example, Huse found that bringing representatives of different groups together to work on common work-related problems had a positive effect, not only on relationships among several different manufacturing groups but also on product quality.¹³

8-2 Large-Group Interventions

The third organization process approach, large-group interventions, focuses on issues that affect the whole organization or large segments of it. They are also known as "search conferences," "open-space meetings," "open-systems planning," "world cafés," "future searches," "decision accelerators," and "Appreciative Inquiry Summits."¹⁴ In accordance with open-systems thinking, as outlined in Chapter 4, large-group interventions acknowledge that an organization's current state is the result of intentional and unintentional interactions among its internal and external stakeholders. Thus, changing an organization is facilitated when these groups can meet face-to-face in deliberate coordination.

Large-group interventions can vary on several dimensions, including purpose, size, length, structure, and number. The purpose of these interventions can range from developing new products, responding to environmental change, redesigning work or the organization, or solving particular organizational problems.¹⁵ Large-group interventions have been administered with groups of less than 50 to more than 2,000 participants and have lasted between one and five days. Some are planned and structured, others are more informal, but all involve attendees collaborating on a particular topic. Some interventions involve a single large-group meeting; others include a succession of meetings to accomplish organization-wide change in a short period. These interventions have been successfully implemented in various organizations and cultural contexts.¹⁶

Despite these differences, large-group interventions are rooted in dialogic OD and principles of social construction and self-management.¹⁷ Social construction suggests that the broader the stakeholder involvement, the more accurate and shared the understanding of the organization and its environment are likely to be, a conception that is crucial to finding common ground and enabling coordinated action. Without this shared perspective, disagreements about priorities can arise, complicating strategic planning and implementation.¹⁸ Self-management emphasizes that large-group processes need to foster ownership and commitment. They seek to balance large-group presentations with small-group discussions, exercises, and dialogues. Small-group activities enable participants to work with a variety of stakeholders to build shared perspectives and become committed to joint action.

Application 8.1

Addressing Intergroup Conflict at BetterCloud

As an independent software developer, BetterCloud builds unified “software as a service” management programs. Its original mission—to “empower people to run the world’s best workplaces through technology”—has evolved into “to make work better by elevating the role of IT.” When it was a startup, a small, committed group of founders and initial employees worked together in one room, driven by the common purpose of creating a software solution that could help businesses leverage the “cloud” and integrate the benefits of different software applications. Under these conditions, it was easy to know what everyone else was working on and the way they operated, and it was easy to understand the inner workings of each “function” and appreciate each person’s workload, objectives, and challenges.

As the company grew, the small room was no longer suited to the group, which had tripled in size. With new team members working on different products or a different part of the same product sitting on the other side of the floor, the tightly knit group seemed less familiar. Suddenly, you didn’t know what everyone did, you didn’t understand their challenges, and you didn’t appreciate their workload. When processes didn’t work quite right, it was easier to blame someone in another group rather than look for a solution. Moreover, it was harder to get the information you needed to do your job well. As a result, collaboration became an important but not urgent issue and inefficiencies set in.

For BetterCloud, success included growing from 80 to 150 people in 24 months. Almost three people per month had to be oriented, trained, and told how to get stuff done, including how to get necessary information from other groups. Physically, the space in New York where the company was founded became too small and too expensive to support the larger number of employees. An office in Atlanta was opened and given the role of technology center.

By the time BetterCloud was four years old, leaders began hearing about communication challenges from its employees. In its biannual employee survey, the organization asked employees to rate the effectiveness of cross-team communication and to leave comments on their rating. The results were clear. Forty percent of the people in the company thought that there were problems and they centered around

the relationships between New York and Atlanta. Some example comments included:

- “I believe the communication between New York and Atlanta is getting worse. It always seems that Atlanta is screwing something up to make the teams in New York upset and we have to bear the brunt of that.”
- “It can often seem like one hand doesn’t know what the other is doing. Important items don’t get communicated across teams [that are] directly affected, and it can seem like some groups are siloed off from one another.”
- “We need to improve on how we effectively communicate with each team. At times we feel we are communicating well but in fact we are not.”

Human resources (HR) heard the feedback; they had the vision of recreating the magic of the old days by revitalizing cross-team connectivity. The HR team realized that cross-team communication was not an issue that they or the leadership team alone could fix. The conflicts were being felt by people at all levels and more importantly between the groups responsible for BetterCloud’s success. What they needed was the right tools to fix the problem.

In response, BetterCloud developed the Ambassador Program. At the beginning of the program, people from different groups or functions, and especially people from different locations, were paired up each month and asked to meet with each other. The departments that were put together and the people acting as “ambassadors” rotated each month. Prior to the meeting, each ambassador collected information from their teammates on two questions: “Do you have any questions, concerns, or issues regarding Department X that you’d like me to get insight on? Do you have any information you’d like me to pass along to their ambassador?” Then during the meeting, the ambassadors exchanged answers to these questions and summarized the meeting in terms of “What works well between our departments?” and “What doesn’t work well, and how can we fix it?” Following the meeting, the ambassadors shared their findings with HR. They also reported back to their department and manager on the issues discussed and the action items that need to be taken. Having management support for the process was critical to its success.

Addressing Intergroup Conflict at BetterCloud, continued

HR coordinated the process. It identified the pairs and sent an email with instructions and the due date for completion. Pairs were given one month to complete the cycle. HR sent weekly reminders to ensure the meeting occurred and that the action items were documented and reported back to the manager. Once most of the employees had been involved in an ambassador meeting, the plan was to reduce the frequency of the meetings to a quarterly basis.

Six months after implementing the Ambassador Program, a follow-up employee survey showed that dissatisfaction with cross-group communication had

decreased by 15%. Written comments about the program suggested that “It was really fun” and “People are thinking differently about how to best communicate with other teams.” Among some of the changes suggested and implemented were a more efficient onboarding process for new hires, better processes for working out software bugs between the quality assurance and engineering departments, a smoother handoff process between customer success and sales, and a system for announcing important technical or sales successes so that employees could be better informed about BetterCloud’s progress.

8-2a Application Stages

Delivering large-group interventions generally involves preparing for the meeting, conducting it, and following up on outcomes. These activities are described in the following sections.

Preparing for the Large-Group Meeting A *design team* comprising OD practitioners and organization members reflecting the general theme of the conference often plans and organizes the intervention. It generally addresses four key ingredients for successful large-group interventions: a compelling meeting theme, appropriate participants, relevant tasks to address the theme, and post-meeting follow-through.

1. **Compelling meeting theme.** Large-group interventions need a compelling change focus. Although “people problems” can be an important theme, ambiguity about the reason for the intervention can dissipate participants’ energy and commitment. For example, a large-group meeting that successfully envisioned a hospital’s future organization design was viewed as a failure by a few managers who thought that the purpose was to cut costs from the hospital’s budget. Their subsequent lack of support stalled the change effort. More potent catalysts include managing impending mergers, responding to environmental threats and opportunities, or proposing radical organizational changes.¹⁹ Drawing on diagnostic data regarding the organization’s current state and the forces pressing for change, senior leaders communicate and clarify the purpose of the large-group meeting.
2. **Appropriate participants.** A fundamental principle of large-group interventions is to “get the whole system in

the room.” This involves ensuring that the full range of stakeholders committed to a change are invited. Senior managers, suppliers, union leaders, customers, government and regulatory officials, and organization members from a variety of jobs, genders, races/ethnicities, and ages are potential participants. However, simple representation from different stakeholder groups is not enough to achieve the advantages of having the “whole system in the room.”²⁰ If only one customer attends the meeting, and customers are critical to the conference theme, it is unlikely that the customer “voice” will be fully represented in the meeting deliberations. Planners are responsible for ensuring that each important stakeholder group has sufficient representation.

3. **Relevant tasks to address the conference theme.** As described below, a successful large-group intervention depends on the sequence of tasks performed by the group. The design team has to think clearly about the conference objectives, the expected deliverables, and the activities, exercises, and conversations that will produce those results. The three generic models described in the next section are a good starting point. However, with the help of an OD practitioner experienced in large-group meeting design, a team can be very creative and innovative with respect to the task and activities performed during the meeting.

Design teams and OD practitioners should also attend to the logistics and support required to manage a large group of people. This includes technological issues, such as audio/visual needs and microphones; logistical issues, such as moving people from table to table or room to room; note takers and small-group facilitators; and facilities issues, such as meals, the size of the room, and noise. Many large-group interventions

do not meet their objectives because of poor planning in this area.

4. **Post-meeting follow-through.** Abundant evidence suggests that without a clear plan for implementing the outputs, action plans, and recommendations from a large-group intervention, the meeting will just be an “event.” Given the high expectations that are often generated by this intervention, it is imperative that the design team specify how the outputs from the meeting will be used. This could include clarifying how senior leaders will make decisions about which recommendations to support and fund, how action plans from the conference will be integrated with other ongoing strategic initiatives, or how particular changes will be implemented.

Conducting the Meeting The flow of activities in a large-group meeting can vary greatly, depending on its purpose and the framework adopted. Most large-group processes, however, fit within three primary frameworks—open-systems methods, open-space methods, and positive methods—which are outlined below. These various methods reflect different strategies for dealing with four dilemmas in large-group interventions:²¹

1. The *dilemma of voice* refers to the problem of encouraging participation and being overwhelmed if everyone wants to speak. Even when the group is relatively small, time would quickly run out if everyone wanted to speak up in the large group.
2. The *dilemma of structure* refers to how tightly or loosely the meeting should be organized. Some methods can be tightly controlled whereas others are almost unstructured. The dilemma is not knowing how much structure a group prefers, how much is needed to develop a timely solution, or how much anxiety a group is experiencing.
3. The *egocentric dilemma* refers to the problem of people holding on to their own personal views of right or wrong, better or worse. When individuals hold on too tightly, it makes large-group decision making difficult. Similarly, when one stakeholder group is overrepresented, it can dominate the conversation and suppress alternative points of view.
4. The *dilemma of emotional contagion* refers to a group dynamic where people take on the frustrations or excitement of others. When emotional contagion happens, people unconsciously give up their ownership of a problem, action, or solution and get swept up in the moment. It represents a large-group version of “groupthink” and can result in solutions that people, upon reflection, cannot support.

Open-Systems Methods Search conferences, open-systems planning, decision accelerators, and real-time strategic change have their basis in open-systems methods and are among the more structured large-group processes. These approaches help organizations assess their environments systematically, develop a strategic mission for relating to the environment, and influence it in favorable directions. Open-systems methods begin with a diagnosis of the existing environment and how the organization relates to it. They proceed to develop possible future environments and action plans to bring them about.²² These steps are described below.

1. **Map the current environment surrounding the organization.** This step lists the different domains or external groups directly interacting with the organization, such as customers, suppliers, or government agencies, and prioritizes their importance. Participants then describe each domain’s expectations for the organization’s behavior.
2. **Assess the organization’s responses to environmental expectations.** This step asks participants to describe how the organization currently addresses the environmental expectations identified in step 1.
3. **Identify the organization’s core mission.** This step uses the results from step 2 to derive the purpose or core mission of the organization. Attention is directed at discovering the mission as it is revealed in the organization’s behavior, not as it is pronounced in the organization’s official statement of purpose. This is accomplished by examining the organization and environment transactions identified in steps 1 and 2 and then assessing the values that seem to underlie those interactions. These values provide clues about the actual identity or mission of the organization.
4. **Create a realistic future scenario of environmental expectations and organization responses.** This step asks participants to project the organization and its environment into the near future, assuming no real changes in the organization. It asks participants to address the question, “What will happen if the organization continues to operate as it does now?” Participant responses are combined to develop an organization future under the assumption of no change.
5. **Create an ideal future scenario of environmental expectations and organization responses.** Participants are asked to create alternative, desirable futures. This involves going back to steps 1–3 and asking what members ideally would like to see happen soon in both the environment and the organization. People are encouraged to fantasize about desired futures without worrying about constraints.

6. Compare the present with the ideal future and prepare an action plan for reducing the discrepancy.

This last step identifies specific actions that will move both the environment and the organization toward the desired future. Planning for appropriate interventions typically occurs in three timeframes: tomorrow, six months from now, and two years from now. Participants also decide on a follow-up schedule for sharing the flow of actions and updating the planning process.

There are several variations on this basic model, but they follow a similar pattern of creating common ground, discussing the issues, and devising an agenda for change. For example, the *search conference* begins by asking participants to examine the significant events, milestones, and highlights of the organization's history.²³ It demonstrates that participants share a common past, although they may come from different organizations, departments, age groups, or hierarchical levels.

Once common ground is established, participants typically organize into multistakeholder subgroups of eight to ten people to discuss a general question (e.g., "What are the opportunities for new business in our global market?") or focus on a specific issue (e.g., "How can we improve quality and cut costs on a particular product line?"). Subgroup members brainstorm answers to these questions, record them on flipchart paper, and share them with the larger group. The whole group compares responses from the subgroups and identifies common themes. Other methods—such as presentations to the large group, small-group meetings on aspects of the conference theme, or spontaneous meetings of interest to the participants—are used to discuss the conference theme and distribute information to members.

Finally, participants are asked to reflect on what they have learned at the meeting and to suggest changes for themselves, their department, and the whole organization. Members from the same department often are grouped together to discuss their proposals and decide on action plans, timetables, and accountabilities. Action items for the total organization are referred to a steering committee that addresses organization-wide policy issues and action plans. After the large-group meeting, the departmental subgroups and the steering committee report their conclusions to all participants and seek initial commitment to change.

Open-Space Methods The second approach to large-group interventions attempts to address the four dilemmas by imposing a minimal level of formal structure. Open-space methods, including the World Café, temporarily restructure or "self-organize" participants around interests and topics associated with the conference theme.²⁴

1. **Set the conditions for self-organizing.** In the first step, the OD practitioner or manager responsible for the meeting describes the session's theme and the norms that will govern it; small-group discussions convened by the participants and addressing topics they believe are critical will drive the conference. Two sets of norms govern how open-space methods are applied; they may sound ambiguous but are critical to establishing the conditions for a successful meeting.

The first norm, the "Law of Two Feet," encourages people to take responsibility for their own behavior—to go to meetings and discussions where they are learning, contributing, and engaging. Moving from group to group is legitimized by the roles of "butterflies" and "bumblebees." Butterflies attract others into spontaneous conversations and, in fact, may never attend a formal meeting. Bumblebees go from group to group and sprinkle knowledge, information, or new ideas into different meetings.

A second set of norms is labeled the "Four Principles." The first principle, "whoever comes is the right people," frees people to begin conversations with anyone at any time. It also signals that the quality of a conversation is what's most important, not who's involved. The second principle, "Whatever happens is the only thing that could have," infuses the group with responsibility, encourages participants to be flexible, and prepares them to be surprised. "Whenever it starts is the right time" is the third principle and encourages creativity and following the natural energy in the group. The final principle, "When it's over, it's over," allows people to move on and not feel like they have to meet for a certain time period or satisfy someone else's requirements.

2. **Create the agenda.** This step develops a road map for the remainder of the meeting. Participants are asked to describe a specific issue—related to the conference theme—that they are passionate about and interested in discussing. This issue is written on a large note card or "sticky note," announced to the group, and then posted on a community bulletin board where a grid of times and locations is displayed.²⁵ The person announcing the topic agrees to convene the meeting at the posted time and place and to prepare a short summary of the meeting. This process continues until everyone who wants to define a topic has been given the chance to speak. The final activity in this step asks participants to sign up for as many of the sessions as they have interest in. The open-space meeting begins with the first scheduled sessions.
3. **Coordinate activity through information.** During an open-space intervention, there are two ways to

coordinate activities. First, each morning and evening a community meeting is held to announce new topics that have emerged for which meeting dates and times have been assigned or to share observations and learnings. Second, as the different meetings occur, the conveners produce one-page summaries of who attended, what subjects were discussed, and what recommendations or actions were proposed. Typically, this is done on a computer in a room dedicated for this purpose. These summaries are posted near the community bulletin board in an area often labeled “newsroom.” Participants are encouraged to visit the newsroom and become familiar with what other groups have been discussing. The summaries also can be printed and copied for conference participants.

Positive Methods The final large-group intervention represents a hybrid approach to the four dilemmas. It is distinguished from the other two methods by its use of appreciative inquiry described in Chapter 2. These methods can increase members’ energy for change and build a broad consensus toward a new future. Like other large-group methods, these approaches can help look at a variety of organizational issues; however, their distinguishing feature is the “appreciative” framing of issues and the leveraging of the organization’s positive core attributes. The Appreciative Inquiry (AI) Summit approach suggests that human organizing and change should be a relational process of inquiry, grounded in affirmation and appreciation.²⁶ The four steps in an AI summit are as follows:

1. **Discover the organization’s positive core.** With respect to the summit’s purpose, participants first pair up with another person and conduct an appreciative interview. If the summit is organized to take advantage of a new market opportunity, the questions would generate stories about experiences where a group or organization was most successful in being entrepreneurial and swift. If the summit were about addressing poor organization coordination, the questions and stories would be personal experiences where two or more groups worked well together.

Following the interviews, each pair joins up with three other pairs to discuss their answers to the questions. What is it that is common among all these stories? What are the elements of successful entrepreneurship or collaboration, for example? These small-group conversations are then aggregated to create a broad and inclusive list of success factors and other themes associated with these successful experiences.

2. **Dream about and envision a more desired and fulfilling future.** In this step, participants use the themes and

success factors from the first activity to develop compelling images of the future. In this visioning exercise, participants are encouraged to make bold and provocative propositions about what could be in the future. To arrive at a bold vision, small groups share their greatest hopes or act out skits and presentations that convey what they believe is possible. Unlike open-system or open-space methods, there is very little prioritizing or culling out of the best or more compelling themes. The positive approach believes that breadth and inclusiveness are the most important ways to galvanize organizational change.

3. **Design the structures and systems that will best support the vision or dream.** Members of the summit identify the design features (strategies, structures, systems, processes) that will need to be in place to make the vision a reality. This step allows participants to articulate the dream in concrete terms.
4. **Create specific action plans to fulfill the organization’s destiny.** The primary task of this step is to identify the projects, initiatives, and action plans required to implement the design criteria. Task forces are formed, teams volunteer to take on projects, and any governance mechanisms needed to coordinate the effort are created.

Following Up on Meeting Outcomes Follow-up efforts are vital to implementing the action plans from large-group interventions. These efforts involve communicating the meeting results to the rest of the organization, gaining wider commitment to the changes, and structuring the change process. In those cases where all organization members were involved in the large-group meeting, implementation can proceed immediately according to the timetable included in the action plans.

Application 8.2 describes a large-group intervention at Alegent Health. The intervention generated innovative visions and strategies for the six clinical areas within the health care system. It followed an open-systems model to design and implement its large-group meeting. Would an open-space or AI Summit model have worked better? What modifications would you make using these two alternative approaches?

8-2b Results of Large-Group Interventions

The number of case studies describing the methods and results of large-group interventions has increased dramatically in business, nonprofit, and governmental organizations and in many countries.²⁷ Anecdotal evidence from the case study research suggests that large-group interventions

Application 8.2

Large-Group Intervention at Alegent Health

The Alegent Health (AH) organization is a large health care system in eastern Nebraska and western Iowa. It has five large hospitals and numerous outpatient clinics. As part of the new CEO's change agenda, a new chief innovation officer (CIO) was hired to lead in the development of a transformed health care system. Under a corporate vision that included achieving "world-class leadership in compassionate, faith-based health services that measurably enriches the lives of families we serve through an exceptional commitment to quality," the CIO engaged two OD consultants to use large-group interventions to generate innovative thinking, strategies, and decision making in the organization.

The strategic innovation process was kicked off with six large-group "decision accelerators," one for each of the clinical service lines. A decision accelerator (DA) is similar to other open systems-based large-group interventions, but it has two unique attributes. First, a DA is more than a process; it is a physical space. AH not only committed to the large-group intervention as a method for innovation but also committed physical resources to maximize the impact of the work. The organization leased half a floor of an office building in Omaha, gutted the offices, and built a completely flexible facility to support the DA process (see figure here). The primary working space had moveable whiteboards where small groups record their outputs and discussions, moveable chairs, and so on. The walls of the room could "host" planned or impromptu meetings where the group members could draw what they were thinking.

Second, the DA does not assume that all of the necessary or available information or knowledge resides in the participant's experience, so most DA spaces include connected technology and access to other source documentation (e.g., white papers, articles, books) that might inform the discussion during the DA.

The Women's and Children's (W&C) DA workshop was the fourth of the six initial DAs intended to set a vision and strategy for the different clinical service areas. The OD consultants worked with W&C's vice president to create an agenda and develop activities to fit with the challenges, opportunities, and existing features of the clinical area. For example, the VP wanted the group to address the handling of high-risk pregnancies and deliveries as well as thinking about

women's health issues more broadly. Also, as part of the preparation, the director of the facility put together his team of support staff, including note takers who transcribed large-group discussions and report-outs, photographers who captured all small-group outputs, a graphic facilitator who recorded the large-group conversations in a visual format, and catering for the meeting. The support staff played a critical role in the success of a DA by knowing the agenda well enough to position the physical facility in advance of any activity so that the participants needed only to focus on the content of the meeting. This included having handouts, instructions, surveys, and other documents prepared in advance, which made it possible to handle any immediate requests from the facilitators.

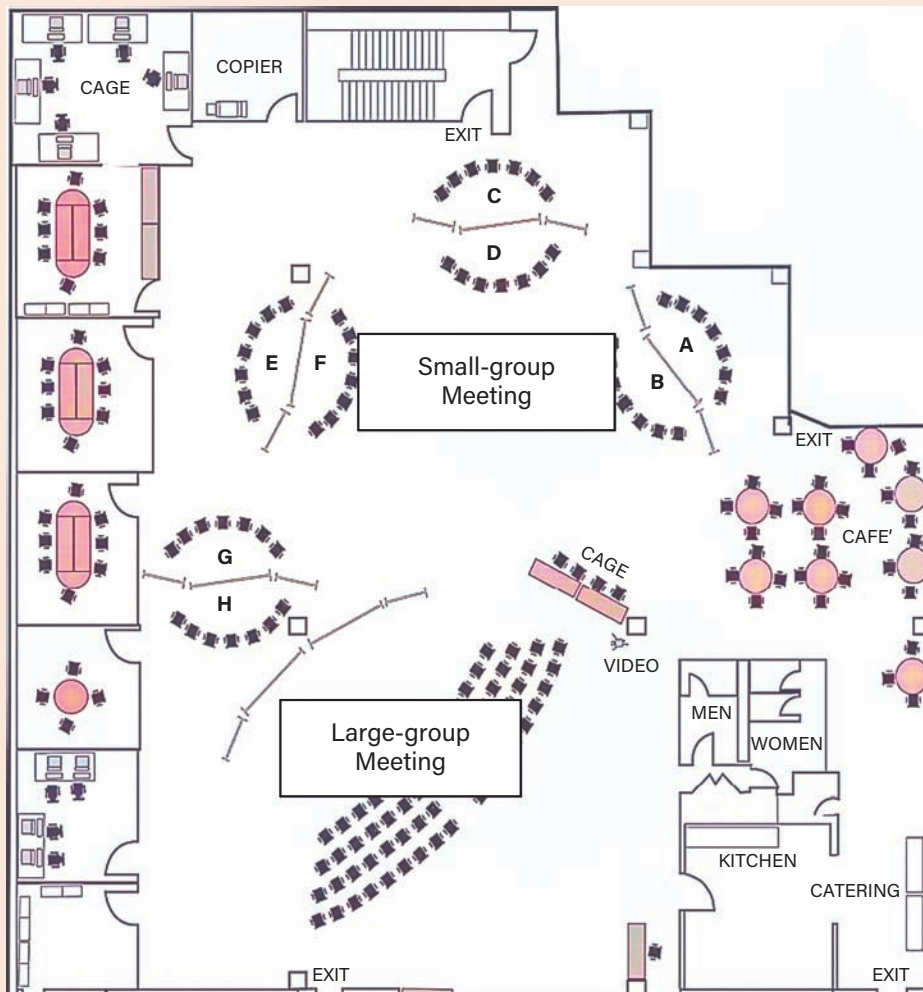
On day 1, the participants arrived to a light breakfast and were immediately given a task. Using the whiteboards that were in front of the large-group meeting space, called the theater, each participant in the workshop was to find a marker and to write down the events, forces, trends, and innovations that they knew of or heard about in seven different categories (e.g., technology, medicine/health care, society, the economy, globally, ecologically, and in education). The whiteboards had been prepared in advance by the DA team with the seven categories and with each whiteboard representing three time periods: the past, the present, and the future. After about 15 minutes, the participants were asked to find two people they didn't know, and the trio had to share the things they had written down.

Following the environmental scanning activity, an introduction and overview of the agenda took place. The CEO welcomed the participants and encouraged them to talk about the things that would make AH a "world-class" organization. He referred the group to the corporate vision, expressed his commitment to the effort, and said he would be back on the last day to hear their ideas for creating a world-class W&C service line.

The next few activities asked participants, in small groups first and then in large-group report-outs, to think about the implications of the future environmental events on the W&C service line 10 years from now, what was implied by the "world-class" part of the AH vision, and the implications "world class" had for the W&C clinical area. For each activity, a relevant organizing structure was used. For example, for discussing the implications of "world class" on the W&C clinical

Large-Group Intervention at Alegent Health, continued

Flexible Facility Layout for DA



area, the groups were broken down into stakeholder categories. How might, for example, patients, the community, or physicians view a world-class W&C service? In other activities, the small groups were composed of multiple stakeholders, including physicians, managers/executives from AH, patients and families, and community members.

Before the day ended, one of the OD consultants asked the group a question: "If there was one thing that you really want to make sure gets addressed at this meeting to make it a success for you, what would that be?" He had people write their questions on a piece of paper and put it into a box as they were leaving.

During the debrief after the first day, the facilitators and support team reviewed what went well and any processes that needed to be improved,

discussed the energy and interests of the participants, and sorted the "what's most important" questions into similar themes in preparation for an activity on day 2.

Day 2 began with a welcome from the VP and then the group went to work. The first activity was to take the work from the day 1 W&C visioning activities and prioritize the different elements. The group was questioned as to what, for them, were the most important dimensions of a world-class W&C service line? In addition, the group was led through an exercise to determine if there were any technologies or regulatory events that would fundamentally alter the way health care was delivered in this area. The group discussed, for example, the implications of being able to deliver a child that was less than 20 weeks old.

Large-Group Intervention at Alegent Health, continued

In the next exercise, the facilitators asked the group to address the questions they had asked at the end of Day 1. The questions had been categorized into six areas, including gaps in the community's health care, women's health service offerings, and obstetrics, among others. The participants could sign up to discuss whatever subject interested them. In the report-out of the groups, an important issue that had been simmering throughout day 1 surfaced. That is, should high-risk pregnancies and deliveries be centralized to one hospital, and what would that imply? The large group debated this subject from a variety of perspectives. In the end, it was agreed that such a move made sense from the world-class perspective, but that it would be difficult to implement and would face much resistance.

The final activity asked the participants to synthesize their discussions and activities into a high-level

"horizons map." That is, for each of the major categories that had been discussed, including women's health, obstetrics, child/adolescent medicine, and community health, the group was to lay out the key decisions, milestones, and events that would need to take place over the next 18 months, three years, and 10 years to realize their vision of a world-class W&C clinical area.

On day 3, the senior leadership team from AH joined the group and listened to a presentation of the horizons map. The graphic facilitator drew the final horizons map with pictures, words, and symbols, and this was used as the outline for the presenters. Following the presentations, the executives asked questions and discussed some of the group's decisions. In addition, they laid out the "next steps" of the process, including gathering the data from all the clinical-area DAs to resource the strategies appropriately.

can increase the energy toward and speed of organizational change, help people see "outside the box," and improve relationships with stakeholders.²⁸ Other studies have documented improved business outcomes, such as decreased turnover, absenteeism, and costs.²⁹ Unfortunately, and despite this progress, the case-based research does not provide more robust support.³⁰

More recently, a group of researchers found a naturally occurring field experiment and used independent measures to isolate the relationships among group composition, process, and outcomes and rule out various alternative explanations for the results. They analyzed six "decision accelerator" interventions conducted at the same health care system with identical purposes and designs.³¹ The study supported the popular assertion that group composition or "getting the whole system in the room" affected group process. When the decision accelerators were populated with similar proportions of organization members, physicians, and community representatives, the group considered a broader range of stakeholder views and a wider variety of strategy, vision, and change options. In contrast, when the group consisted of a much larger proportion of physicians, the discussion was narrower. In addition, the study found that group process had important influences on the intervention's outcomes. When the "intensity" of debate and discussion of different issues was high, participants described the strategies and visions as more comprehensive, aggressive, and innovative. Clearly, more systematic research is needed on this important system-wide process intervention.

8-3 Organization Learning and Knowledge Management

The fourth organization process intervention, organization learning (OL) and knowledge management (KM), helps organizations develop and use knowledge to change and improve themselves continually. It changes behaviors by changing the way people learn to solve problems.³²

Organization learning can be a source of strategic renewal, enable organizations to acquire and apply knowledge more quickly and effectively than competitors, and translate that knowledge into new products and services, thus establishing a potentially long-term competitive advantage.³³ OL interventions are the focus of an expanding body of research and practice and have been applied in such diverse firms as McKinsey, L.L. Bean, Shell, the Canadian Broadcasting Corporation, Boeing, and the U.S. Army.

Organization learning can be a confusing concept. Is it an individual- or organization-level process? On the one hand, OL could be the aggregate of individual learning within an organization.³⁴ On the other hand, it could represent the learning and knowledge accumulated in structures, policies, and organization cultures.³⁵ Snyder's integrated proposal suggests that individuals do learn in organizations but that it may or may not contribute to OL.³⁶ Learning is organizational to the extent that (1) it is done to achieve organization purposes, (2) it is shared or distributed among organization members, and (3) the learning outcomes are embedded in the organization's systems, structures, and culture.

To the degree these criteria are met, OL is distinct from individual learning. It is possible for individual members to learn while the organization does not, such as when a member learns to serve the customer better without ever sharing such learning with other members. Conversely, it is possible for the organization to learn without individual members learning. If improvements in equipment design or work procedures are captured in the systems and processes, OL has taken place even if these changes are not understood by individual members. Moreover, because OL serves the organization's purposes and is embedded in its structures, it stays with the organization, even if members leave.

8-3a Conceptual Framework

Practitioners often use the term *organization learning* synonymously with *knowledge management* to describe the broad set of activities through which organizations learn. Other times, they are used separately to emphasize different aspects of learning and managing knowledge. This confusion derives in part from the different disciplines and applications traditionally associated with OL and KM.³⁷

Organization learning emphasizes the social processes and organizational characteristics that enable organization members and teams to learn and to share knowledge. It draws heavily on the social sciences for conceptual grounding and on OD interventions, such as team building, organization design, and employee involvement, for practical guidance. In organizations, OL is typically associated with the human resources function and may be assigned to a special leadership role, such as chief learning officer.

Knowledge management, on the other hand, focuses on the tools and techniques that allow organizations to collect,

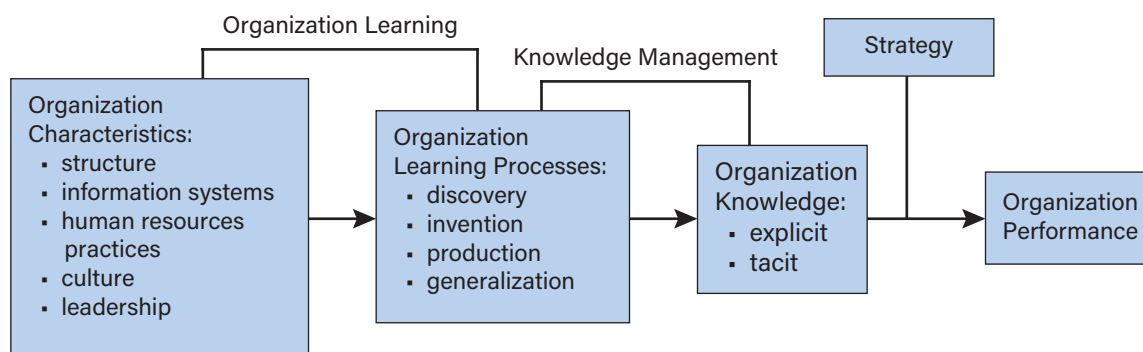
organize, and translate information into useful knowledge. It is rooted conceptually in the information and computer sciences and, in practice, emphasizes electronic forms of knowledge storage and transmission, such as intranets, cloud platforms, and digital knowledge repositories. Thus, KM changes are often guided by the information systems function, can be under the direction of a chief information or technology officer, and are rightly seen as a management process. Nevertheless, KM and OL are essential parts of OD interventions aimed at helping organizations improve their learning and KM capabilities.

Figure 8.1 provides a framework for understanding how OL, KM, and organization performance are related.³⁸ It suggests that organization characteristics, such as structure and human resources systems, influence how well OL processes are carried out and how learning processes themselves can be improved. KM operates on the outcomes of learning processes and on how strategically relevant knowledge can be effectively stored and used throughout the organization. That knowledge, in turn, directly influences performance outcomes, such as product quality and customer service. Figure 8.1 also shows that the linkage between organization knowledge and performance depends on the organization's strategy. Organization knowledge can lead to high performance if it is both relevant and applied effectively to the strategy. For example, customer-driven organizations require timely and relevant information about customer needs. Their success relies heavily on members having that knowledge and applying it effectively in their work with customers.

Each of these two key OD interventions—OL and KM—are described separately below, although in practice they need to be integrated if organizations are to learn and manage knowledge successfully.

Figure 8.1

How Organization Learning Affects Performance



Source: Adapted from Snyder and Cummings, 1998.

8-3b Organization Learning Interventions

Organization development practitioners help members diagnose how well their organization's current characteristics promote learning and guide the learning processes to produce new learning and knowledge.

Organization Characteristics Organization features influence the effectiveness of OL processes. Some organization characteristics are more conducive to learning than others. Traditional organizations, for example, can limit learning and may even intensify errors in decision making and work processes. Bureaucratic or mechanistic organizations with rules-oriented leadership and rigid hierarchies and work schedules tend to control the flow of information and insulate people from it, especially negative and hurtful information.³⁹ These structures and norms result in a variety of defensive routines that inhibit learning, such as hoarding information, withholding feelings, and not publicly testing the assumptions underlying key activities. These characteristics can only support learning that improves the status quo.

Other organization characteristics are better suited for the OL needed for change, improvement, and innovation. These features reflect values that promote sharing of valid information, free and informed choice, and internal commitment and ownership to courses of action.⁴⁰ For example, human resource practices can recruit, develop, and reward people who are achievement oriented and thrive on change. Leaders that personally model the openness, risk taking, and reflection necessary for learning provide the empathy, support, and personal advocacy needed for successful learning and the continuous improvement of the learning processes. Structures with fewer hierarchical layers, strong lateral networks, and enriched jobs and self-managed teams support information sharing. Information systems that facilitate rapid acquisition, processing, and sharing of rich complex information can enable members to manage knowledge for competitive advantage.

These organization characteristics promote information sharing, collaborative decision making, and innovation. Taken together, they comprise a *learning organization*⁴¹ that is “skilled at creating, acquiring, interpreting, transferring, and retaining knowledge, and at purposefully modifying its behavior to reflect new knowledge and insights.”⁴²

Organization Learning Processes Figure 8.1 shows that OL processes consist of four interrelated activities: discovery, invention, production, and generalization.⁴³ Learning starts with *discovery* when errors or gaps between desired and actual outcomes are detected. For example, sales managers may discover that revenues are falling below

projected levels and seek to solve the problem. *Invention* is aimed at devising solutions to close the gap between desired and current results; it includes diagnosing the causes of the gap and creating appropriate changes to reduce it. The sales managers may learn that poor advertising is contributing to the revenue problem and may devise a new campaign to improve sales. *Production* processes involve implementing solutions, and *generalization* includes drawing conclusions about their effects and extending that knowledge to other relevant situations. For instance, if the new advertising program is implemented and successful, variations of it might be applied to other product lines.

These four learning processes can contribute to three types of learning.⁴⁴ First, *single-loop learning* or *adaptive learning* is focused on improving the status quo. It is the most prevalent learning process in organizations and enables members to reduce errors or gaps between desired and existing outcomes. It can produce incremental changes in how organizations function. Second, *double-loop learning* or *generative learning* is aimed at changing the status quo. It operates at a more abstract level than single-loop learning because members explore and change the existing assumptions within which single-loop learning activities operate. This level of learning can lead to transformational change, where the status quo itself is radically altered. The third type of learning, *deutero learning*, involves learning how to learn. It is focused on the learning process itself and seeks to improve how organizations perform single- and double-loop learning. It can lead to improvements and efficiencies in how learning is conducted throughout the organization.

Organization development interventions to improve double-loop and deutero learning draw on the work of Argyris and Schön and Senge and his colleagues.⁴⁵ OL is treated as an active process of sense making and organizing, not a static activity. Based on the principles of social construction (Chapter 2), organization members continually act and interact with each other to produce learning and knowledge. This active learning process results in a mental map of organizational reality, a *theory in use*, that includes assumptions that inform and guide how members make decisions, perform work, and organize themselves.⁴⁶ Theories in use can vary in accuracy, however. They can be too narrow or fail to account for important aspects of the environment; they can include erroneous assumptions that lead to ineffective behaviors and unexpected negative consequences. Effective OL processes enable members to develop, test, and modify their theories in use. They provide the skills and tools to detect and correct errors in mental maps, and thus promote more effective perceptions and actions.

Organization learning interventions help organization members perform learning processes better. Like all

learning, this change approach includes discovery, invention, production, and generalization processes. Although the application phases are described linearly below, in practice they form a recurrent cycle of overlapping learning activities.

1. Discover theories in use and their consequences.

This first step involves helping members become aware of their theories in use and the consequences that follow from behaving and organizing according to them. OD has developed several practices to identify these generally taken-for-granted and rarely examined mental models. These methods typically involve an executive team, a group representing a specific system, or all members of a large-group intervention generating and analyzing data to infer the assumptions underlying their theories in use.

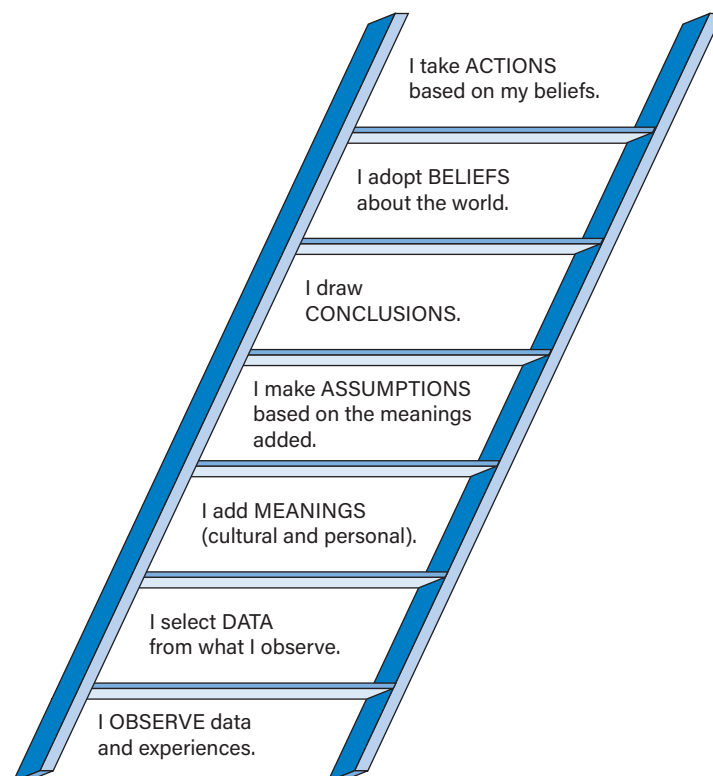
One approach is called *dialogue*, a variant of the human process interventions described in Chapter 7.⁴⁷ It involves members in small groups exploring how they currently address problems, make decisions, and interact with each other and relevant stakeholders. OD practitioners encourage participants to suspend assumptions about what is “right,” inquire into their own and others’ ways of thinking, and reflect on the

assumptions that lead to those beliefs. Dialogue can result in a clearer understanding of existing theories in use and their behavioral consequences. They can enable members to uncover faulty assumptions that lead to ineffective behaviors and organizing efforts.

The dialogue process can be facilitated by a second tool, the *ladder of inference*, as shown in Figure 8.2.⁴⁸ It explains how concrete experiences are linked to the assumptions and beliefs in a mental model that guides behavior. It also highlights how these assumptions can be flawed and lead to ineffective actions due to invalid conclusions drawn from limited experiences or personal and cultural biases. For instance, a service technician who withheld negative customer feedback about product quality and thereby contributed to performance problems could explore this behavior by using the ladder of inference. Through dialogue and reflection, the technician might realize that the behavior resulted from an untested belief that management reacts poorly to negative information. This belief, in turn, could stem from assumptions developed during recent layoffs and hearing rumors about the company’s attitude toward dissent. The ladder of inference helps members understand the root causes of their behaviors

Figure 8.2

The Ladder of Inference



and confront the possibility that incorrect assumptions are leading to ineffective actions.

A third technique for identifying theories in use and revealing assumptions is called the *left-hand, right-hand column*.⁴⁹ It begins with a member choosing a situation where their interaction with others led to ineffective results. This situation is described like a screenplay or a movie script on the right side of a page. For instance, the story might begin with a statement such as, “I called Joyce into my office to offer her a special assignment.” Then the rest of the episode would be written down: “Joyce said to me that she did not want to take the assignment because her workload was too heavy,” “I responded that it was a real chance to get some extra and useful skills,” and so on. After the conversation is written down, the member reflects on and records any unspoken thoughts during each phase of the story on the left side of the page. For example, “When I told Joyce about the assignment, what I was really thinking is that she is always taking long lunch breaks and seems overly concerned with busywork. I thought she should help out the group by pitching in more.” “When Joyce said she didn’t want to take the assignment because her workload is too heavy, that just proved my suspicion.” This exercise can reveal hidden assumptions that influence behavior (i.e., Is Joyce overloaded? Does she take long lunch breaks?) and helps members understand how unverified or incorrect assumptions can negatively impact work relationships.

Systems thinking, a fourth method to identify theories in use, describes the underlying structures in complex activities and processes.⁵⁰ Understanding these structures can help members identify unknown forces in the organization and their effects.⁵¹ OD practitioners typically conduct interviews about recurring problems to understand how members explain their causes, how solutions are usually developed, and the common outcomes. They then create a map showing the interrelationships between the values and beliefs people have, the strategies they use, and results of the theories in use. This map is shared with members for validation, effectiveness assessment, and identification of the factors affecting learning in the organization.⁵² Systems thinking encourages members to shift their perspective from individual parts to the whole system, from linear cause–effect relationships to interconnected ones, and from static entities to processes of change.

2. **Invent and produce more effective theories in use.** Based on the discovery results, members invent and produce new theories in use that will lead to more effective actions. Many of the interventions described in this book can help to support more effective learning capabilities. Human resources management

interventions—performance appraisals, reward systems, and career planning and development—can reinforce members’ motivation to gain new skills and knowledge. Technostructural interventions, such as reengineering and self-managing work teams, can provide the kinds of lateral linkages and teamwork needed to process, develop, and share diverse information and knowledge. Strategic interventions, such as organization agility and strategic alliances, can help organizations gain knowledge about their environments and develop values and norms that promote OL.

Learning how to change theories in use—double-loop learning—can be challenging. There is a strong tendency for members to revert to habitual behaviors and modes of learning. They may have trouble breaking out of existing mindsets and seeing new realities and possibilities. OD practitioners can help members apply the values underlying effective learning—valid information, free choice, and internal commitment.⁵³ They can encourage members to confront and talk openly about how habitual actions and learning methods prevent them from creating and enacting more effective theories and behaviors. Once these barriers to change are discussed openly, members typically discover that they are changeable. This shared insight often leads to the invention of more effective theories for behaving, organizing, and learning. Subsequent experimentation with trying to enact those theories in the workplace is likely to produce more effective change because the errors that invariably occur when trying new things can now be discussed and corrected.

3. **Continuously monitor and improve the learning process.** This final stage involves Deuter learning—learning how to learn. It includes assessing OL processes and the organization characteristics that contribute to them. Members can assess periodically how well these elements facilitate single- and double-loop learning. They can generalize positive findings to new or changing situations and make appropriate modifications to improve OL. Because these activities reflect the highest and most difficult level of OL, they depend heavily on members’ willingness to question openly their theories in use about OL and to test publicly the effectiveness of both their learning processes and those of the wider organization.

8-3c Knowledge Management Interventions

Organization knowledge links OL processes to organization performance, and KM interventions help organizations become effective at generating, organizing, and distributing knowledge. In a world of “big data” and rapidly increasing

digital and statistical methods for processing and making sense of it, KM has become a key source of competitive advantage. Although KM interventions have become the province of the information and statistical sciences, applications of OD can help to address the organizational, social, and personal sides of them.

Knowledge includes what members know about organizational processes, products, customers, and competitive environments. Such knowledge may be explicit and exist in codified forms, such as documents, manuals, and databases, or it may be tacit and reside mainly in members' skills, memories, and intuitions.⁵⁴ In any form, these knowledge assets can represent important contributions to performance and strategic advantage.⁵⁵ Because tacit knowledge is difficult if not impossible to codify, OD directs attention to how members can share such knowledge among themselves and between organizational units. KM interventions include three interrelated activities:

1. **Generate knowledge.** This starts with identifying the kinds of knowledge that will create the most value for the organization's strategy and performance, and then develops mechanisms for increasing that stock of knowledge. For example, customer-centric strategies, such as Proctor & Gamble's, or product development strategies, like those at Apple and Roche, benefit from consumer insights and technology knowledge, respectively.

Once essential knowledge is identified, mechanisms for acquiring or creating it are developed. Externally, organizations can acquire other companies that possess the needed knowledge such as the frequent acquisition of companies with artificial intelligence expertise in today's economies, or they can rent it from knowledge sources, such as consultants and university researchers.⁵⁶ Internally, organizations can facilitate *communities of practice*—informal networks among employees performing similar work to share expertise and to solve problems together.⁵⁷ They can also create more formal groups for knowledge generation, such as research and development departments, corporate universities, and centers of excellence.

2. **Organize knowledge.** This involves transforming generated knowledge into a form that organization members can readily use. Two broad strategies for organizing knowledge include codification and personalization.⁵⁸ *Codification* relies on information technology and the development of databases and storehouses that organize and save knowledge that can be accessed and used by appropriate members. It works best for explicit forms of knowledge. *Personalization* strategies focus on how the people who develop knowledge can share it person-to-person. Tacit knowledge

is typically transferred through personal conversations, direct contact, and ongoing dialogue with the people who possess it. For example, most professional service firms foster networking among their employees by transferring people across offices, encouraging the prompt return of phone calls from colleagues, and using cross-functional project teams.

3. **Distribute knowledge.** This final activity involves making knowledge easy for members to find and encouraging its use and reuse. For example, organizations can develop digital databases for storing articles, reports, customer data, best practices, or other knowledge so members can readily find what they want. Organizations can also create knowledge services (e.g., help desks or specific organization units), networks (e.g., intranet portals, informal "brown bag" presentations), or specific roles (e.g., liaisons) to promote knowledge transfer.

Application 8.3 describes a long-term, comprehensive OL intervention.⁵⁹ The intervention began with a dialogue process among senior managers but was extended to the larger organizational community. What are the pros and cons of a long-term dialogue process at the top? What contributed to the scaling of this intervention? How might the organization capture and distribute its knowledge?

8-4 Dynamic Strategy Making

Dynamic strategy making is an organization process intervention that helps organizations create and revise their strategies to align with dynamic environments. Greiner and Cummings developed the intervention because managers tend to underestimate or ignore the social processes that affect strategy making.⁶⁰ This can result in strategies that fail to account for the different perspectives and interests of key stakeholders. It can result in strategies that are ill-fitted to the competitive environment or that are strategically relevant yet fail to have the organizational commitment necessary to implement them.

Dynamic strategy making includes the "guided involvement" of key stakeholders in interactive dialogue and decision making to assess and revise organization strategy as needed. It follows guidelines for strategy making that emphasize (1) speed and action over postponements and delays, (2) broad and expansive thinking over narrow perspectives, (3) flexibility and adjustment over rigidity, (4) empowerment over autocracy, (5) simplicity over complexity, and (6) unity and consistency over fragmentation.⁶¹ These guides promote a strategy-making process that is direct, open, and concrete among participants. Strategy is considered a continuous change process not a concrete end state.

Application 8.3

Organization Learning at DMT

DMT is a small global business that designs, builds, and installs sophisticated food processing systems. It has a global market share of over 50% and employs about 800 people. Roughly two-thirds of the employees are in the primary office and manufacturing plant in the Netherlands, while the other third, consisting of sales and engineering, works in the field to market and install the systems.

DMT had been successfully using self-managed teams and other empowering structures for some time. Yet, despite continued success in both market share and profitability, the firm was constantly searching for new approaches to develop the organization. The heir apparent to the founder of DMT had been reading and thinking about the concepts of complexity and learning. He asked an OD consultant familiar with these ideas for help in translating them into action. The future CEO and consultant handpicked a set of managers in the company to be on a change leadership team and the initial intervention focused on the transformation of DMT's leaders through dialogue.

Facilitated by the OD consultant, the change leadership team spent significant time over an 18-month period in dialogue sessions. Early sessions were spent learning about the dialogue process while later sessions explored assumptions about the market, DMT's current and future strategies, and most importantly, the predominant styles of communicating, leading, and operating.

The result was a closely knit team that had explored and confronted their theories in use. However, none of the rest of the organization knew what was happening. The OD consultant described a variety of emergent "water cooler" conversations among organization members with respect to "What's happened to them?" and "Why are they acting so strangely?"

The change leadership team and the OD consultant worked together to craft a series of OL interventions that would involve a broader segment of the population. These interventions, like the overall change strategy, sound more complete and more thought out than they were. In general, the organization tried some things out and, if they worked, they were refined. If they didn't work, they moved on to another idea. Eventually, however, nearly two-thirds

of the organization members participated in the following learning activities:

Complexity Concepts Workshop. This intensive one-day workshop represented an introduction to the concepts and organizing principles associated with complexity, learning, and dialogue. It offered participants an opportunity to look at themselves, their organization, and their world. The workshop compared the assumptions of a "scientific" worldview with the assumptions of complexity. The session ended with an introduction to dialogue and a facilitated conversation to help participants apply the concepts in their work. Overall, the session was designed to help members become aware of an alternative way of organizing that held the possibility of changing the entire organization by an order of magnitude.

Dialogue Training. After completing the complexity workshop, groups of 10 to 15 people were introduced to dialogue as a communication process that supported the principles of complexity and the practice of OL. Through mostly applied experiences in dialogue, participants were shown how this form of communication differed from hierarchically constrained and competitive discussion. Dialogue allowed meaning and influence to flow freely and emerge. The workshop also tried to integrate concepts from the complexity workshop and to prepare participants for "dolphin training."

"Dolphin" Training. A leadership metaphor based on the "strategy of the dolphin" (e.g., do what works and forget the rest) was introduced as a set of empowerment guidelines for action and decision making. The goal of this workshop was to enable every member of DMT to step forward and assume responsibility for the greater whole. That is, when the situation demands it, DMTers are to be ready.

The Visioning Conference. The final intervention was the visioning conference and involved as many as 50 people at a time. Building on the principles of a learning organization and personal mastery, a one-day dialogue-based workshop suggested that a company's true "vision"

Organization Learning at DMT, continued

incorporates the personal visions of each member. This approach was contrasted with the standard visioning process where senior leaders formulate and then impose a vision on the system. The workshop asked individuals to elaborate on their personal visions through statements, actions, or drawings and to specify what they needed from the organization and their fellow participants. As a result of the visioning conferences, groups of DMT members representing a cross-section of the company spent entire days engaged in deep dialogue around the question: "How must DMT be in order to realize the collective vision of all its members?"

In addition to these formal workshops, DMT's transformation also involved a great many "hallway dialogues" about the meaning and/or applicability of a complexity principle and "retreats" to think about the implications of the emerging culture. Moreover, the change leadership team that had catalyzed the entire process continued to meet and dialogue on the transformation. The researchers found the DMT process interesting because its essential activities were more likely to emerge from the interaction of its members than to be planned or organized for them. Although the change leadership team had a vested interest in this process, the transformation of DMT was never "owned" by them exclusively but by every member of the firm—the essence of emergent leadership.

As the transformation progressed, the change leadership team recognized that the internal changes in communicating, thinking, and leading would need to be reflected in and embedded in the characteristics of the system and its knowledge base. An evaluation of DMT's organization design suggested that its long history of success had resulted in structures, systems, and processes that were increasingly fixed and resistant to change. Managers who had been receptive to, if not enthusiastic about, the effort to bring about change in the culture suddenly balked at the notion of structural changes. The change leadership team, however, remained resolute in seeing the change through.

More than two years into the change process, the change leadership team issued a call for people to participate in a "blank slate" design process; a whole-system architecture capable of realizing the visions of all its members and for thriving, not merely surviving, in the company's increasingly complex and

turbulent marketplace. Interestingly, the change leadership team excluded managers and supervisors from the call. Even so, more than 50 individuals stepped forward to self-organize into an active network intent on producing the "New DMT."

Only three constraints were placed on the newly formed design team: (1) the design had to follow the principles of complexity, learning, and dialogue; (2) each design team member had to act as a representative of every one of their colleagues; and (3) the resulting design had to enable the personal visions of every member of the organization. The design team was supported with time, financial resources, the OD consultant, and other expertise as needed.

The OD consultant kicked off the "New DMT" process with a workshop on organization design and whole-system transformation. Following the training, the group, recognizing the scope and complexity of their task, self-organized into a configuration they dubbed the Design Network (DN). The DN revolved around a "hub" of nine people who were responsible for creating an architectural model for the New DMT based on "intelligence" relayed to it by the remaining members. These would comprise the "network," whose job it was to reach out into the system and involve more and more people as time passed. They were to convey information to and from the hub.

After almost a year of effort, the DN announced its D(esign)-Day and invited the entire company to join them for the "unveiling" of the architecture for the New DMT. Following the presentation, the team organized a process to allow people to translate the multiple dimensions of its design into reality. DMT's transformation was well on its way.

The OL process and each of the interventions represented a significant departure from the way DMT had operated in the past. The consistency and persistence of the interventions over a two-year period of time and the inclusiveness with which the interventions involved people in the organization led to important behavioral changes. In particular, members began to see the organization in more systemic and complex terms rather than hierarchical and linear; dialogue replaced discussion as the primary communication process in the organization; and members engaged in emergent, shared leadership rather than viewing leadership as something only senior managers did.

8-4a Conceptual Framework

The dynamic strategy-making process is part of a *strategy system* that effectively and continuously matches the firm's resources and capabilities to changing environmental opportunities and demands. The organization's *strategic direction* defines the content of change while the *dynamic strategy-making process* describes a repeatable approach for developing and implementing strategies.

The organization's strategic direction answers the question, "What is the dynamic strategy-making process trying to accomplish?" It defines a competitive logic, goals, organization design, and action plans.⁶² Consistent with the definition of strategy in Chapter 4, a *competitive logic* connects the organization's capabilities to the market's opportunities, describes how it will compete in ways that competitors cannot easily match, and includes "customer tiebreakers" or the differentiators that help customers make purchase decisions. An organization's capabilities must be able to deliver on these tiebreakers for a competitive logic to be effective.

A few specific and shared *financial goals* help to unify and motivate employees to make the strategy happen, and a single *rallying goal* motivates the workforce to embrace the strategy.⁶³ For example, "big, hairy, audacious goals" (BHAGs) have been associated with short-term success.⁶⁴ A formal *organization design* specifies the structures, systems, and processes that will make the competitive logic come alive. (Specific organization design features are described in Chapters 11 and 13.) Finally, an *action plan* describes the key initiatives required to implement the strategy and design and ensures that everyone's daily behavior reflects its intent.

The four elements of the statement of strategic direction are straightforward and easy for organization members to understand and remember. This simplicity is important because it makes it easier for people to implement changes in line with the strategic direction.

8-4b Application Stages

The dynamic strategy-making intervention guides the continuous development and implementation of the strategic direction. It is a repeatable series of retreats and activities that help members rapidly assess the organization and its environment, share their knowledge and experience to develop a strategic direction, and direct change activities. The main role of OD practitioners is to facilitate the interpersonal and team dynamics of these application steps to ensure open communication, active listening, and effective decision making.

1. **Identifying relevant stakeholders.** Dynamic strategy making begins by identifying and recruiting relevant

stakeholders, such as the board of directors, union officials, customers, managers and organization members, regulators, and community representatives. Getting the right stakeholders involved from the start ensures that the strategic direction is realistic and has the commitment necessary to support its implementation.

2. **Conducting a situational assessment.** The specific issues addressed in dynamic strategy making come from senior managers' situational assessments of the organization and its environment. They identify the core organization capabilities, resources, and other potential strengths needed to succeed in the marketplace. In fast-moving environments, assessments have a short shelf-life, so the diagnostic process needs to be continuous to keep pace with change.
3. **Holding the first retreat.** The purpose of the first retreat is for the leadership team to create an initial draft of the strategic direction, especially the competitive logic and goals. As a group, the first task is to discuss the situational assessment and diagnostic data. The philosophy of guided involvement suggests that inquiry—understanding what is known and what it means—is the most appropriate behavior during this discussion.

The second task is more difficult, complex, and uncertain. Small breakout groups are asked to develop a competitive logic and goals for the organization. This assignment is more creative than deductive, explores the organization and its environment, and discovers or invents the best match between existing market opportunities and internal strengths. Participants are encouraged to think broadly and see a variety of possibilities but remain sufficiently focused to come to agreement about the best opportunities.

Initial statements of the competitive logic and goals are then developed in the total group. Depending on the time available, a second round of small-group discussions can be conducted. While desirable, it is not necessary to come to a consensus. Some teams complete a draft of the entire competitive logic and goal statement at the first retreat, but this is rare. The final task involves establishing procedures and timelines for gathering feedback on the draft statement before the next retreat.

4. **Engaging stakeholders between the first and second retreats.** Here, senior managers work with stakeholders to "pressure-test" the assumptions in the draft competitive logic and goals. In general, these discussions address four questions:
 - Is the draft statement sufficiently realistic in its assumptions about the market?
 - Do we have the capabilities to pull it off?

- Is it amply inspirational, and will it gain wide commitment?
- What suggestions would improve it?

The reactions from these meetings are fed back to a designated member of the leadership team, who incorporates them into a redraft of the competitive logic and goals statement. These are the focus of the second retreat.

6. **Holding the second retreat.** The second retreat reviews and discusses the input from stakeholders and builds consensus regarding the competitive logic and goals. Then, subgroups are asked to identify alternative organization designs with pros and cons for each, keeping in mind the need to ensure a close fit between the proposed design and the competitive logic and goals. This involves specifying high-level design components and then describing specific design features. OD practitioners need to carefully facilitate this discussion as politics is inherent in any organization design discussion, especially if names are attached to positions. Best practice suggests recommending preferred design alternatives and position names to the CEO or senior manager for final judgment and approval.

The outcome of the second retreat is an action plan for implementing the new strategy. Only the key strategic initiatives are outlined; specific steps are postponed until a team is chartered to own the initiative or a third off-site retreat is convened. Initiatives often appear logically after reflecting on the competitive logic, goals, and organization design. They typically answer the following questions:

- What are the few priorities stemming from the competitive logic that will help us to move forward?
- What resources are needed for what goals?
- Who will do what, when, and where?

7. **Implementing actions.** Following the second retreat, organizations have several options for moving forward. All of them involve communicating the strategic direction to the organization and building its initiatives into the organization's performance management system. For example, a third retreat could finalize organization design changes or provide details about initiative resources and action steps. Alternatively, the organization could establish task forces to develop action plans, implement the initiatives, and report progress to the senior team.

Senior leaders ensure that the dynamic strategy-making process continues over time by periodically reassessing

the strategic direction and making organizational changes as needed. This might involve recycling through the application stages at periodic intervals to keep pace with a changing environment.

Application 8.4 describes a dynamic strategy-making intervention at Whitbread PLC. Following a meeting to clarify the strategic direction, the organization leveraged a written statement of strategic intent and involved middle managers to gather feedback from the larger organization.⁶⁵ As the OD practitioner, how would you have coached the task force's presentation and the executive team's response? Is this response common in your experience? Why or why not?

8-5 Downsizing

The final organization process intervention is *downsizing*, aimed at reducing the size of the organization.⁶⁶ This typically is accomplished by decreasing the number of employees through layoffs, attrition, redeployment, or early retirement. It can also be accomplished by a "spans and layers" process that reduces the number of organizational units or managerial levels through divestiture, outsourcing, or reorganization. In practice, downsizing usually involves layoffs where a certain number or class of organization members is no longer employed by the organization.

Downsizing is often a response to one of four triggers. First, it is associated with mergers and acquisitions as redundant jobs are eliminated to gain labor efficiencies. (We describe the merger and acquisition process in Chapter 15.) Second, it can result from organization decline caused by loss of revenues and market share and by technological and industrial change. For example, the COVID-19 pandemic caused a 95% drop in international and domestic travel resulting in a 43% reduction in aviation jobs. Third, downsizing can occur when organizations implement a new organization structure. The creation of a network structure (Chapter 13) often involves outsourcing work that is not essential to the organization's core competence. Fourth, downsizing can result from beliefs and social pressures that smaller is better.⁶⁷ In the United States, there is a strong conviction that organizations should be leaner and more flexible. Hamel and Prahalad warned, however, that downsizing decisions can be a symptom of "corporate anorexia."⁶⁸ Organizations that downsize just to downsize may lose key employees who are necessary for future growth. It can leave a legacy of mistrust among members. In such situations, it is questionable whether downsizing is developmental as defined in OD.

Application 8.4

Dynamic Strategy Making at Whitbread PLC

Whitbread PLC is one of Britain's leading organizations with strong brands including Premier Hotels, Costa Coffee, and Beefeater Grill. It also has a long history of change and transformation, starting out as a brewer and pub owner/operator and diversifying into restaurants, hotels, and health clubs.

When David Thomas was named CEO—largely because of his success in building and growing new ventures—he wanted to accelerate Whitbread's growth. He proposed the "Future Whitbread" strategy to clarify that the organization would focus on "lodging, eating out, and active leisure," areas that were forecasted to grow more than 30% over the next five years.

The "Future Whitbread" strategy challenged the organization to put shareholders first, shift the organization from an operations-driven to a brand-driven orientation, and hold executives more accountable for their performance. To this last point, Thomas announced increased transparency of Whitbread's results to the financial community.

To back up these commitments, Thomas held a series of workshops with his executive team. The hotel group managing director had read James Collins's *Good to Great* and suggested it would be a good basis for discussions about how to change and manage Whitbread. Initial meetings among the executive team, facilitated by OD practitioners, were later expanded to include the top 40 managers. They discussed and debated their core purpose and values, the things the organization was passionate about, the economic engine of the corporation, and how success should be measured. At the end of the process, the hotel group managing director thought it would be important to get feedback from the rest of the organization: "What do other people at Whitbread think of our work?"

Despite some resistance from the executives, including Thomas himself, the idea was eventually endorsed. To get the process started, Thomas and Whitbread's corporate human resources officer drafted a "statement of strategic and organizational intent," a two-page summary of the executive team's discussions. The group executive team also commissioned a "strategic fitness" task force, based on the work of Michael Beer, which consisted of eight upper-level managers. With the OD consultant's support, the

task force interviewed 100 managers from different functions, businesses, and levels around two questions: "What do you think of the statement of strategic intent?" and "What are the organizational strengths and weaknesses with respect to implementing this intent?"

Prior to a two-day meeting of Thomas's executive team, the task-force members gathered to prepare their feedback and presentation. The members were surprised by the high level of disappointment in the data. Most managers expressed a great amount of loyalty to the organization but were concerned that it was not achieving everything that it could. The task-force members tried to figure out how to convey that feeling. Ultimately, they decided to present the data along five themes:

- **Why Whitbread?** Managers were confused about the overall purpose of the organization. What was the role of the corporate functions? Why were executives not pursuing obvious synergies, such as selling Costa Coffee in Whitbread hotels or locating Whitbread health clubs in Whitbread hotels?
- **Brand management.** If Whitbread was going to focus on brands, then a lot of attention needed to be paid to building brand management skills and processes in the organization.
- **Culture.** The task-force members captured this category by describing Whitbread's culture as "institutionalized underperformance."
- **Leadership.** The interviews suggested that many people talked about the "New Whitbread, Old Executives." Nearly every executive had been with the company more than 10 years and despite large and obvious mistakes, they were never held accountable. They received sizeable bonuses, visibly announced in the annual report. Moreover, the interviewees consistently agreed that the senior executive team did not work well together, did not speak with one voice, and could not articulate a consistent corporate direction.
- **Statement of intent.** The overall feeling was that the statement, as written, was "motherhood and apple pie."

The task force presented its findings to the senior executive team. Although anxious about the content

Dynamic Strategy Making at Whitbread PLC, continued

of the feedback, the task force described the meeting as direct, professional, and business-like. The day after the feedback, the executive team reflected on the data, discussed and debated the organization's business and corporate strategy, and addressed the role of the corporate center in response to the feedback about "Why Whitbread?"

Following the feedback meeting, Thomas and the human resources officer, supported by input from other members of the executive team, developed an action plan to address the feedback. They also called the task force back to a meeting to present their plan.

Following Thomas's presentation to the combined group, the executives left and the task force prepared a response. Task-force members were frustrated. Had the executives not heard them, had they sugarcoated the information, or did the executives fail to grasp the depth of the problems? After some debate, the task force decided to confront the very culture they were trying to change.

When the two groups reconvened, the task force made a short but powerful statement. They restated their findings and recommended a bolder action plan, including reorganization of the divisions into brands with a direct reporting relationship to the CEO, a radical overhaul of the leadership group by identifying who was "on the bus" and who wasn't, and the need to invest in the capabilities required to build and manage brands. The task force went so far as to say they wondered whether the senior executives were able to lead the change.

Although the senior executive response was polite at the time, Thomas later reflected what was obvious to everyone: The plan and the strategic

intent it was built on was "crap." The task force was clearly saying that they were not being bold and not taking risks. It was clear that just being more transparent to the financial market was not strategic leadership.

Thomas and his executive team responded with a new plan, eventually dubbed the "11-point plan." It spelled out specific initiatives and the executive who would be responsible and accountable for the execution of each initiative. The 11-point plan included significant commitments to restructuring the organization, in particular the restaurant and hotel divisions; the development of a "master class" in brand management and the commitment to build brand skills; and a personal development program for the top 100 leaders in the organization.

The 11-point plan received a positive response from the task force and was presented to the organization. Within 18 months, much of the plan had been implemented. An outside firm had started a rigorous personal development program and helped the organization manage a radical change in its talent management policies. This included the development and assignment of the top 100 managers by the senior executive team. Similarly, initiatives to build brand management capability began. Finally, there was movement in reorganizing the brands, but the process was less than complete. The hotel division successfully split into two groups with each director reporting to the president. The restaurant division, however, had not reorganized even though the managing director was seen as a potential successor to Thomas. Eventually, the hotel managing director was named CEO.

8-5a Application Stages

Successful downsizing interventions tend to involve the following steps:⁶⁹

1. **Clarify the organization's strategy.** As a first step, senior leaders specify a strategy and communicate clearly how downsizing relates to it. They inform members that downsizing is not a goal but part of a restructuring process for achieving strategic objectives. As part of the process, they can provide opportunities for members to voice their concerns and ask questions.
2. **Assess downsizing options and make relevant choices.** Once the strategy is clear, the full range of downsizing options can be identified and assessed. Table 8.1 describes three primary downsizing methods: workforce reduction, organization redesign, and systemic change. A specific downsizing strategy may use elements of all three approaches. *Workforce reduction* is aimed at reducing the number of employees, usually in a short timeframe. It can include attrition, retirement incentives, outplacement services, and layoffs. *Organization redesign* restructures the firm to prepare it for the next stage of growth. This is a

Table 8.1 Three Downsizing Tactics

Downsizing Tactic	Characteristics	Examples
Workforce reduction	- Aimed at headcount reduction - Short-term implementation - Fosters a transition	- Attrition - Transfer and outplacement - Retirement incentives - Buyout packages - Layoffs
Organization redesign	- Aimed at organizational change - Moderate-term implementation - Fosters transition and, potentially, transformation	- Eliminate functions - Merge units - Eliminate layers - Eliminate products - Redesign tasks
Systemic change	- Aimed at cultural change - Long-term implementation - Fosters transformation	- Change responsibility - Involve all constituents - Foster continuous improvement and innovation - Simplification - Downsizing: a way of life

Source: Cameron KS, Freeman SJ, and Mishra AK, "Best Practices in White-Collar Downsizing," *Academy of Management Executive* (1991), 62.

medium-term approach that can be accomplished by merging organizational units, eliminating management layers, and redesigning tasks. *Systemic change* is a longer-term downsizing tactic aimed at changing the organization's overall strategic orientation. It can involve interventions that alter the responsibilities and work behaviors of everyone in the organization and that promote continual improvement as a way of life in the firm.

Unfortunately, organizations often choose layoffs because they can be implemented quickly. This action can produce a climate of fear and defensiveness as members focus on identifying who will be separated from the organization. Examining a broad range of downsizing options and considering the entire organization rather than only certain areas can help allay fears that favoritism and politics are the bases for downsizing decisions. Moreover, participation of organization members in such decisions can have positive benefits. It can create a sense of urgency for identifying and implementing options to downsizing other than layoffs. Participation can provide members with a clearer understanding of how downsizing will proceed and can increase the likelihood that whatever choices are made are perceived as reasonable and fair.

3. **Implement the changes.** This stage involves implementing methods for reducing the size of the organization. Several practices characterize successful implementation. First, downsizing is best controlled from the top down. Many difficult decisions are required, and a broad perspective helps to overcome people's natural instincts to protect their department or function. Second, specific areas of inefficiency and high cost need to be identified and targeted. Members' morale can be hurt if areas commonly known to be problems are left untouched. Third, specific actions should be linked to the organization's strategy. Organization members need to be reminded consistently that downsizing and other restructuring activities are part of a plan to improve the organization's performance. Finally, communicate frequently using a variety of media. This keeps people informed, lowers their anxiety over the process, and makes it easier for them to focus on their work.

4. **Address the needs of survivors and those who leave.** Most downsizing eventually involves a reduction in the size of the workforce, and it is important to support not only employees who leave but also those who remain. Organizations have developed an array of methods to help employees who have been laid off.

These include outplacement counseling, personal and family counseling, severance packages, office support for job searches, relocation services, and job retraining. Each service is intended to assist employees in their transition to another work situation.

When layoffs occur, the remaining employees are generally asked to take on additional responsibilities and to learn new jobs, often with little or no increase in compensation. This added workload can be stressful and, when combined with anxiety over past layoffs and possible future ones, it can lead to what researchers have labeled the “survivor syndrome.”⁷⁰ Rather than working to ensure the organization’s success, survivors apply a narrow set of self-absorbed and risk-averse behaviors that are preoccupied with whether additional layoffs will occur, with guilt over receiving pay and benefits while coworkers are struggling with termination, and with the uncertainty of career advancement.

Organizations can address these survivor concerns with communication processes that clarify where the company is going, including its visions, strategies, and goals. The linkage between employees’ performance and strategic success is emphasized so that remaining members feel they are valued. Organizations also can support survivors through training and development activities that prepare them for the new work they are being asked to perform. Senior management can promote greater involvement in decision making, thus reinforcing the message that people are important to the organization’s future success and growth.

5. **Follow through with growth plans.** This final stage of downsizing involves implementing an organization renewal and growth process. Failure to move quickly to implement growth plans is a key determinant of ineffective downsizing.⁷¹ Organizations can ensure that employees understand the renewal strategy and their new roles in it. Employees need credible expectations that, although the organization has been through a tough period, their renewed efforts can move it forward.

Application 8.5 describes how the City of Menlo Park, California, successfully responded to a serious fiscal downturn through effective downsizing initiatives.⁷² It demonstrates how straightforward communication and active engagement with key stakeholders can inform downsizing decisions, gain commitment to implementing them, and mitigate their negative consequences. The application also shows the complexity of downsizing in the public sector

where there are often multiple competing interests and that even a small- to moderate-sized organization can mount a sophisticated and effective downsizing intervention.

8-5b Results of Downsizing

Research paints a rather bleak picture of downsizing’s impact on financial performance and workforce outcomes.⁷³ A review conducted by the National Research Council concluded, “From the research produced thus far, downsizing as a strategy for improvement has proven to be, by and large, a failure.” These results should be interpreted cautiously, however, for two reasons.

First, the studies of financial performance may include a biased sample of firms. If the companies selected for analysis have been poorly managed, then downsizing alone would be unlikely to improve financial performance. There is some empirical support for this view because low-performing firms are more likely to engage in downsizing than are high-performing firms.⁷⁴ Similarly, downsizing decisions framed as an “excuse” or “the organization had to do this but it’s not our fault” were more likely to result in performance improvements; those framed as a “justification” or “events could have turned out much worse” were unable to demonstrate performance improvements.⁷⁵

Second, the disappointing results of downsizing may be a function of the way it was implemented. Organizations that have posted solid financial returns following downsizing often report the adoption of appropriate OD interventions or apply strategies similar to the process outlined above.⁷⁶ For example, recent studies of downsizing and organization effectiveness have emphasized the role that people play in a firm’s routines and capabilities.⁷⁷ When a firm reduces the number of people in an organization, it may decrease costs measured by wages and benefits, but can eliminate important roles in a work network and negatively affect productivity, the efficiency of a technical process, or the value of social capital. Moreover, Brauer and Laamanen found that the scope and magnitude of the downsizing had different effects on employee motivation and routine performance.⁷⁸ Small-scale downsizings did not affect routine productivity and led to increased performance. Large-scale downsizings led to a fundamental rethinking of a routine (see “Reengineering” section in Chapter 13) and resulted in increased performance. However, in medium-scale downsizings, employees tried to support or salvage poorly structured routines and performance improvements became difficult. Thus, the success of downsizing efforts may depend as much on how effectively the intervention is applied than on the size of the layoffs or the amount of layering.

Application 8.5

Downsizing in Menlo Park, California

Menlo Park is a modest-sized city of around 32,000 residents located in the San Francisco Bay Area. Like many municipalities in California and the United States, Menlo Park experienced challenging fiscal problems with sales-tax dropping, local government revenue being diverted to state needs, and retiree benefits escalating. Menlo Park moved strategically to remedy these fiscal problems by trimming its budget and reducing its workforce by about 13%, which is about 30 full-time equivalents.

To minimize the negative impact of these changes on the city and its employees, Menlo Park's elected officials and senior administrators implemented the following downsizing initiatives:

- **Involve employees early and often.** All-employee forums were used to communicate with members and to listen to their reactions and suggestions. These meetings helped everyone clearly understand the magnitude and causes of the city's fiscal problem. Then, action teams were formed in each city department comprised of employees from all levels. The teams were given guidelines and support and asked to devise plans to streamline operations, cut costs, and enhance revenues. The city also used suggestion boxes and the intranet to solicit ideas from employees. To keep everyone abreast of what was occurring, the city manager used both personal and electronic forms of communication, frequently holding employee briefings and sending emails. After cuts were implemented, informal debriefing sessions were held and counselors from the city's employee assistance program helped employees deal with the impacts of the changes on their lives.
- **Work with unions to achieve common goals.** Cost cutting started with reducing expenses and eliminating vacant positions, and then moved to filled positions. The city worked closely with union representatives to find ways to avoid lay-offs while still reducing the size of the workforce. The union offered several ideas and worked with the city to develop a voluntary separation process that offered employees in service areas targeted for reduction early retirement, enhanced severance, or shorter hours.
- **Seek community input.** Because the downsizing efforts would adversely affect city services, Menlo Park started an initiative called "YourCity/YourDecision." This program included sending a survey

to community households asking residents to rank-order the importance of city services. From a total of 15,500 households, more than 1,000 surveys were returned. As a follow-up to the survey, interactive community workshops were conducted across the city to gain further input into specific ideas residents would recommend to balance the budget in line with the priorities identified in the survey. In addition, each of the city's commissions was asked for suggestions to simplify policies and procedures to save money. The feedback from all of these outreach efforts helped the city council make tough choices about which services to fund and at what level. The information also guided city staff in developing budget-balancing strategies.

- **Keep elected officials in the loop.** City administrators held a half-day retreat and a series of meetings with city council members to discuss the details of the fiscal problems and to get guidance about high-priority service areas and possible cost reductions. Council members were asked to rate city services and these data, along with the community survey results, were used to determine service-area cuts. Council members also spent time discussing which criteria were most important to consider when weighing potential budget cuts. Follow-up activities included periodic phone calls to council members to update them on the downsizing process and to answer any questions. This kept members informed in case they had to respond to questions from employees, union leaders, or the press. The city also brought in a panel of experts to give projections on the regional economy, thus providing information about what the fiscal future might hold for Menlo Park. All of these activities made the difficult decision-making process and the adoption of the city budget easier.

Because of these downsizing initiatives, Menlo Park was able to bring its operations and spending in line with tough fiscal realities. It did this in a way that mitigated damage to community services and to workplace morale. The city was better able to prioritize community services and to allocate funds accordingly. Because the downsizing process had wide involvement from the union, city council, the community, and employees, the city gained the necessary guidance and commitment from these stakeholders to make tough decisions and to continue to deliver on core community priorities.

Summary

This chapter described organization process interventions: traditional organization process approaches, large-group interventions, OL and KM, dynamic strategy making, and downsizing. The traditional organization process approaches include the organization confrontation meeting, a way of mobilizing resources for organizational problem solving, and intergroup conflict resolution that involves mitigating dysfunctional conflicts between interdependent groups or departments.

Large-group interventions are designed to focus the energy and attention of a “whole system” around organizational processes, such as a vision, strategy, organization design, or culture. It is a flexible intervention that can address a variety of challenges and opportunities at the beginning or middle of a large-scale change.

Organization learning and KM interventions help organizations develop and use knowledge to change and improve themselves continually. These interventions focus on creating effective learning processes, how organization

characteristics support learning, and how those processes contribute to relevant knowledge.

Dynamic strategy making involves the continuous development and implementation of a strategic direction and the organization design for making it happen. Grounded in a process of “guided involvement,” the OD practitioner supports an organization-level change process that creates a competitive logic, goals, organization designs, and action plans.

Several transformational events, such as mergers and other large-scale organizational changes, may require reducing the size of the organization. Downsizing decreases a firm's size through workforce reduction. It is generally associated with layoffs where a certain number or class of organization members are no longer employed by the organization. Downsizing interventions have shown mixed results. Research suggests that how downsizing is implemented may be key to its success.

Notes

1. M. Weisbord, *Productive Workplaces* (Jossey-Bass, 1987).
2. R. Beckhard, “The Confrontation Meeting,” *Harvard Business Review* 4 (1967): 149–55.
3. B. B. Bunker and B. Alban, *Large Group Interventions* (Jossey-Bass, 1997); N. Tichy and S. Sherman, *Control Your Destiny or Someone Else Will* (HarperCollins, 1993).
4. K. Jehn, “A Multimethod Examination of the Benefits and Detriments of Intragroup Conflict,” *Administrative Science Quarterly* 40 (1995): 256–83.
5. D. Tjosvold, “Cooperation Theory and Organizations,” *Human Relations* 37 (1984): 743–67.
6. R. Blake, H. Shepard, and J. Mouton, *Managing Intergroup Conflict in Industry* (Gulf Publishing, 1954).
7. J. Fordyce and R. Weil, *Managing WITH People* (Addison-Wesley, 1971).
8. R. Beckhard, *Organization Development: Strategies and Models* (Addison-Wesley, 1969).
9. E. Neilson, “Understanding and Managing Intergroup Conflict,” in *Organizational Behavior and Administration*, eds. P. Lawrence, L. Barnes, and J. Lorsch (Irwin, 1976), 291–305.
10. E. Disston, “How to Improve Cross-Departmental Communication (We Tried It, It Works)” (January 23, 2017), <https://medium.com/@BetterCloud/how-to-improve-cross-departmental-communication-we-tried-it-it-works-53fb4af37e83>; BetterCloud website, www.bettercloud.com.
11. Beckhard, *Organization Development*; W. Bennis, *Organization Development: Its Nature, Origins, and Prospects* (Addison-Wesley, 1969): 7.
12. Blake, Shepard, and Mouton, *Managing Intergroup Conflict in Industry*; Bennis, *Organization Development*; R. Golembiewski and A. Blumberg, “Confrontation as a Training Design in Complex Organizations: Attitudinal Changes in a Diversified Population of Managers,” *Journal of Applied Behavioral Science* 3 (1967): 525–47; W. French and C. Bell, *Organization Development: Behavioral Science Interventions for Organization Improvement* (Prentice Hall, 1978); E. Huse and M. Beer, “Eclectic Approach to Organizational Development,” *Harvard Business Review* 49 (1971): 103–13; E. Huse, “The Behavioral Scientist in the Shop,” *Personnel* 44 (May–June 1965): 8–16.
13. Huse, “The Behavioral Scientist in the Shop.”
14. Weisbord, *Productive Workplaces*; M. Weisbord, *Discovering Common Ground* (Berrett-Koehler, 1993); Bunker and Alban, *Large Group Interventions*; H. Owen, *Open Space Technology: A User's Guide* (Abbott, 1992); J. Brown, D. Isaacs, and the World Café Community, *The World Café: Shaping Our Futures Through Conversations That Matter* (Berrett-Koehler, 2005); J. Ludema, D. Whitney, B. Mohr, and T. Griffin, *The Appreciative Inquiry Summit* (Berrett-Koehler, 2003).
15. B. Bunker and B. Alban, *The Handbook of Large Group Methods* (Jossey-Bass, 2006); P. Holman and T. Devane, eds., *The*

- Change Handbook: Group Methods for Shaping the Future* (Berrett-Koehler, 1999); G. Bushe and R. Marshak, eds., *Dialogic Organization Development* (Berrett-Koehler, 2015).
16. P. Holman, T. Devane, and S. Cady, *The Change Handbook*, 2nd ed. (Berrett-Koehler, 2007); R. Axelrod, *Terms of Engagement: New Ways of Leading and Changing Organizations*, 2nd ed. (Berrett-Koehler, 2010); R. Purser and T. Griffin, "Large-Group Interventions: Whole Systems Approaches to Organizational Change," in *Handbook of Organization Development*, ed. T. Cummings (Sage, 2007); Bunker and Alban, *Large Group Interventions*.
 17. J. Bartunek, J. Balogun, and B. Do, "Considering Planned Change Anew: Stretching Large Group Interventions Strategically, Emotionally, and Meaningfully," *Academy of Management Annals* 5 (2011): 1–52; Purser and Griffin, "Large Group Interventions."
 18. L. Bourgeois, "Strategic Goals, Perceived Uncertainty, and Economic Performance in Volatile Environments," *Academy of Management Journal* 28 (1985): 548–73; C. West Jr. and C. Schwenk, "Top Management Team Strategic Consensus, Demographic Homogeneity, and Firm Performance: A Report of Resounding Nonfindings," *Academy of Management Journal* 17 (1996): 571–76.
 19. Weisbord, *Productive Workplaces*.
 20. C. Worley, S. Mohrman, and J. Nevitt, "Large Group Interventions: An Empirical Field Study of Their Composition, Process, and Outcomes," *Journal of Applied Behavioral Science* 47 (2011): 404–31.
 21. Bunker and Alban, *Large Group Interventions*; Purser and Griffin, "Large Group Interventions."
 22. C. Krone, "Open Systems Redesign," in *Theory and Method in Organization Development: An Evolutionary Process*, ed. J. Adams (NTL Institute for Applied Behavioral Science, 1974): 364–91; G. Jayaram, "Open Systems Planning," in *The Planning of Change*, 3rd ed., eds. W. Bennis, K. Benne, R. Chin, and K. Corey (Holt, Rinehart & Winston, 1976): 275–83; R. Beckhard and R. Harris, *Organizational Transitions: Managing Complex Change*, 2nd ed. (Addison-Wesley, 1987); T. G. Cummings and S. Srivastva, *Management of Work: A Socio-Technical Systems Approach* (University Associates, 1977).
 23. Weisbord, *Productive Workplaces*.
 24. Bunker and Alban, *Large Group Interventions*; Owen, *Open Space Technology*; V. Prewitt, "Working in the Café: Lessons in Group Dialogue," *The Learning Organization* 18 (2011): 189–202.
 25. Owen, *Open Space Technology*.
 26. Ludema et al., *The Appreciative Inquiry Summit*.
 27. Weisbord, *Discovering Common Ground*; Owen, *Open Space Technology*; M. Manning and J. DelaCerde, "Building Organizational Change in an Emerging Economy: Whole Systems Change Using Large Group Interventions in Mexico," in *Research in Organization Change and Development*, eds. W. Pasmore and R. Woodman (JAI Press, 2003): 51–98.
 28. R. Purser, S. Cabana, M. Emery, and F. Emery, "Search Conferencing: Accelerating Large-Scale Strategic Planning," in *Fast Cycle Organization Development*, ed. M. Anderson (South-Western, 2000); D. Coghlan, "The Process of Change through Interlevel Dynamics in a Large-Group Intervention for a Religious Organization," *Journal of Applied Behavioral Science* 34 (1998): 105–20.
 29. See, for example, the case studies on the AI Commons website at <http://appreciativeinquiry.case.edu>.
 30. Purser and Griffin, "Large Group Interventions"; T. Yaeger, P. Sorensen, and U. Bengtsson, "Assessment of the State of Appreciative Inquiry: Past, Present, and Future," in *Research in Organization Change and Development*, eds. R. Woodman and W. Pasmore (Elsevier, 2005): 297–319.
 31. Worley, Mohrman, and Nevitt, "Large Group Interventions."
 32. P. Bogolyubov, J. Alegre, and R. Soule. "Guest Editorial: The Link Between Learning Organization, Organizational Learning and Innovation: New and Unusual Perspectives," *The Learning Organization* 30 (2023): 1–5; F. Tuggle, "Gaps and Progress in Our Knowledge of Learning Organizations," *The Learning Organization* 23 (2016): 444–57; M. Santa, "Learning Organization Review—A 'Good' Theory Perspective," *The Learning Organization* 22 (2015): 242–70; G. Roth, "The Order and Chaos of the Learning Organization," in *Handbook of Organization Development*, ed. T. Cummings (Sage, 2008): 475–97.
 33. T. Lant, "Organization Learning: Creating, Retaining, and Transferring Knowledge," *Administrative Science Quarterly* (Winter 2000): 622–43; D. Teece, "Capturing Value from Knowledge Assets: The New Economy, Market for Know-How, and Intangible Assets," *California Management Review* 40 (Spring 1998): 55–79.
 34. C. Argyris and D. Schon, *Organizational Learning: A Theory of Action Perspective* (Addison-Wesley, 1978); C. Argyris and D. Schon, *Organizational Learning II: Theory, Method, and Practice* (Addison-Wesley, 1996); P. Senge, A. Kleiner, C. Roberts, R. Ross, and B. Smith, *The Fifth Discipline Fieldbook: Strategies and Tools for Building a Learning Organization* (Crown Business, 2014).
 35. P. Adler and R. Cole, "Designed for Learning: A Tale of Two Auto Plants," *Sloan Management Review* 34 (1993): 85–94; S. Cook and D. Yanow, "Culture and Organizational Learning," *Journal of Management Inquiry* 2 (1993): 373–90; G. Huber, "The Nontraditional Quality of Organizational Learning," *Organization Science* 2 (1991): 88–115.
 36. W. Snyder, "Organization Learning and Performance: An Exploration of the Linkages Between Organizational Learning, Knowledge, and Performance" (Unpublished doctoral dissertation, University of Southern California, Los Angeles, 1996).
 37. D. Bray, "Literature Review—Knowledge Management Research at the Organizational Level" (May 2007), <http://ssrn.com/abstract=991169>.

38. This framework draws heavily on the work of W. Snyder and T. Cummings, "Organization Learning Disorders: Conceptual Model and Intervention Hypotheses," *Human Relations* 51 (1998): 873–95.
39. Argyris and Schon, *Organizational Learning II*.
40. Argyris and Schon, *Organizational Learning II*; C. Argyris, *Intervention Theory and Method* (Addison-Wesley, 1970).
41. M. McGill, J. Slocum, and D. Lei, "Management Practices in Learning Organizations," *Organizational Dynamics* (Autumn 1993): 5–17; E. Nevis, A. DiBella, and J. Gould, "Understanding Organizations as Learning Systems," *Sloan Management Review* (Winter 1995): 73–85; G. Roth and A. DiBella, *Systemic Change Management* (Palgrave Macmillan, 2015).
42. D. Garvin, *Learning in Action* (Harvard Business School Press, 2000).
43. J. Dewey, *How We Think* (D.C. Heath, 1933).
44. Argyris and Schon, *Organizational Learning*; Argyris and Schon, *Organizational Learning II*; Senge et al., *Fifth Discipline Fieldbook*.
45. Argyris and Schon, *Organizational Learning II*; Senge, *Fifth Discipline*; Senge et al., *The Fifth Discipline Fieldbook*.
46. Argyris and Schon, *Organizational Learning II*.
47. Senge et al., *The Fifth Discipline Fieldbook*.
48. Senge et al., *The Fifth Discipline Fieldbook*.
49. Argyris and Schon, *Organizational Learning II*; Senge et al., *The Fifth Discipline Fieldbook*.
50. Ibid.
51. Argyris and Schon, *Organizational Learning II*.
52. Senge et al., *The Fifth Discipline Fieldbook*.
53. Argyris and Schon, *Organizational Learning II*; Argyris, *Intervention Theory and Method*.
54. M. Polanyi, *The Tacit Dimension* (Doubleday, 1966); I. Nonaka and H. Takeuchi, *The Knowledge Creating Company: How Japanese Companies Foster Creativity and Innovation for Competitive Advantage* (Oxford University Press, 1995).
55. D. Leonard-Barton, *Wellsprings of Knowledge: Building and Sustaining the Sources of Innovation* (Harvard Business School Press, 1995); Nonaka and Takeuchi, *Knowledge Creating*; T.H. Itami, *Mobilizing for Invisible Assets* (Harvard University Press, 1987); L. Edvinsson and M. Malone, *Intellectual Capital: Realizing Your Company's True Value by Finding Its Hidden Brainpower* (Harper Business, 1997); T. Stewart, *Intellectual Capital: The New Wealth of Organizations* (Doubleday, 1997); J. Nahapiet and S. Ghoshal, "Social Capital, Intellectual Capital, and the Organizational Advantage," *Academy of Management Review* 23 (1998): 242–66.
56. V. Anand, C. Manz, and W. Glick, "An Organizational Memory Approach to Information Management," *Academy of Management Review* 23 (1998): 796–809.
57. E. Wenger, R. McDermott, and W. Snyder, *Cultivating Communities of Practice* (Harvard Business Review Press, 2002); E. Wenger, *Communities of Practice: Learning, Meaning, and Identity* (Cambridge University Press, 1999); I. Gee and M. Hanwell, *The Workplace Community* (Palgrave Macmillan, 2014). J. Brown and P. Duguid, "Organizational Learning and Communities of Practice: Towards a Unified View of Working, Learning, and Innovation," *Organization Science* 2 (1991): 40–57.
58. M. Hansen, N. Nohria, and T. Tierney, "What's Your Strategy for Managing Knowledge?" *Harvard Business Review* (March–April 1999): 106–16; C. O'Dell and C. Grayson, *If Only We Knew What We Know* (Free Press, 1998).
59. This application was adapted from the case study and evaluation of dialogue and organization learning presented in F. van Eijnatten, M. van Galen, and L. Fitzgerald, "Learning Dialogically: The Art of Chaos-Informed Transformation," *Learning Organization* 10 (2003): 36–367.
60. L. Greiner and A. Bhambri, "New CEO Intervention and the Dynamics of Strategic Change," *Strategic Management Journal* 10 (1989): 67–87; M. Beer, "Developing an Effective Organization: Intervention Method, Empirical Evidence, and Theory," in *Research in Organizational Change and Development*, vol. 19, eds. W. Pasmore, A. Shani, and R. Woodman (Emerald Group Publishing, 2011): 1–54.
61. L. Greiner and T. Cummings, *Dynamic Strategy Making: A Real-Time Approach for the 21st Century Leader* (Jossey-Bass, 2009).
62. D. Collis and M. Rukstad, "Can You Say What Your Strategy Is?" *Harvard Business Review* (April 2008): 1–11.
63. A. Colbert, A. Kirstof-Brown, B. Bradley, and M. Barrick, "CEO Transformational Leadership: The Role of Goal Importance Congruence in Top Management Teams," *Academy of Management Journal* 51 (2008): 81–96.
64. J. Collins and J. Porras, *Built to Last* (HarperCollins, 1996).
65. This application was adapted from material found in M. Beer and J. Weber, "Whitbread PLC (A)," Case 9-406-007, Harvard Business School, 2005; M. Beer and J. Weber, "Whitbread PLC (B)," Case 9-406-008, Harvard Business School, 2005; Whitbread's corporate website, <http://www.whitbread.co.uk/whitbread/aboutus.html>.
66. C. L. Cooper, A. Pandey, and J. Campbell, *Downsizing: Is Less Still More* (Cambridge University Press, 2015); W. Cascio, "Employment Downsizing: Causes, Costs, and Consequences," in *More Than Bricks in the Wall: Organizational Perspectives for Sustainable Success*, eds. L. Stadler, A. Schmitt, P. Klarner, and T. Straub (Springer, 2010): 87–96; K. Kozlowski, G. Chao, E. Smith, and J. Hedlund, "Organizational Downsizing: Strategies, Interventions, and Research Implications," in *International Review of Industrial and Organizational Psychology*, vol. 8, eds. C. L. Cooper and I. T. Robertson (Wiley, 1993).
67. W. McKinley, C. Sanchez, and A. Schick, "Organizational Downsizing: Constraining, Cloning, Learning," *Academy of Management Executive* 9 (1995): 32–44.
68. G. Hamel and C. Prahalad, *Competing for the Future* (Harvard Business School Press, 1994).
69. K. Cameron, S. Freeman, and A. Mishra, "Best Practices in White-Collar Downsizing: Managing Contradictions,"

- Academy of Management Executive* 5 (1991): 57–73; K. Cameron, “Strategies for Successful Organizational Downsizing,” *Human Resource Management* 33 (1994): 189–212; R. Marshall and L. Lyles, “Planning for a Restructured, Revitalized Organization,” *Sloan Management Review* 35 (1994): 81–91; A. Mishra, K. Mishra, and G. Spreitzer, “Downsizing the Company without Downsizing Morale,” *MIT Sloan Management Review* 50 (2009): 39–44; Cameron, Freeman, and Mishra, “Best Practices in White-Collar Downsizing.”
70. J. Brockner, “The Effects of Work Layoffs on Survivors: Research, Theory and Practice,” in *Research in Organizational Behavior*, vol. 10, eds. B. M. Staw and L. L. Cummings (JAI Press, 1989): 213–55; J. Byrne, “The Pain of Downsizing,” *BusinessWeek*, May 9, 1994.
 71. Marshall and Lyles, “Planning for a Restructured, Revitalized Organization.”
 72. This application was adapted from “Case Study: Downsizing Is Rough,” *Public Management* 86 (December 2004): 10–16.
 73. A. Ifeoma and N. Patience, “Downsizing: Causes, Effect, and Strategies, a Conceptual Approach,” *International Journal of Science and Research* 4 (2021): 1799–1804; D. Druckman, J. Singer, and H. Van Cott, eds., *Enhancing Organizational Performance* (National Academy Press, 1997); F. Gandolfi, “Where Did Downsizing Go?: A Review of 30 Years of a Strategic Business Phenomenon,” *Australasian Journal of Business and Social Inquiry* 7 (2009): 40–65; F. Gandolfi and P. Neck, “Consequences, Payoffs, and Fallout of Downsizing (A Literature Review of Corporate Downsizing: Part 3),” *Review of International Comparative Management* 9 (2008): 55–78; B. Luthans and S. Sommer, “The Impact of Downsizing on Workplace Attitudes,” *Group and Organization Management* (March 1999): 46–55; W. Baumol, A. Blinder, and E. Wolf, *Downsizing in America: Reality, Causes and Consequences* (Russell Sage, 2003); E. Love and N. Nohria, “Reducing Slack: The Performance Consequences of Downsizing by Large Industrial Firms, 1877–93,” *Strategic Management Journal* 26 (2005): 1087–108; J. Guthrie and D. Datta, “Dumb and Dumber: The Impact of Downsizing on Firm Performance as Moderated by Industry Condition,” *Organization Science* 19 (2008): 108–23; C. Trevor and A. Nyberg, “Keeping Your Headcount When All About You Are Losing Theirs: Downsizing, Voluntary Turnover Rates, and the Moderating Role of HR Practice,” *Academy of Management Journal* 51 (2008): 259–76.
 74. J. R. Morris, W. F. Cascio, and C. E. Young, “Downsizing After All These Years: Questions and Answers About Who Did It, How Many Did It, and Who Benefited From It,” *Organizational Dynamics* 27 (1999): 78–87.
 75. N. Chhinzer and E. Currie, “Assessing Longitudinal Relationships Between Financial Performance and Downsizing,” *Management Decision* 52 (2014): 1474–90.
 76. J. Byrne, “There Is an Upside to Downsizing,” *BusinessWeek*, May 9, 1994; Cameron, Freeman, and Mishra, “Best Practices”; Kozlowski et al., “Organizational Downsizing”; J. Davy, A. Kinicki, and C. Schreck, “Developing and Testing a Model of Survivor Responses to Layoffs,” *Journal of Vocational Behavior* 38 (1991): 302–17; K. Labich, “How to Fire People and Still Sleep at Night,” *Fortune*, June 10, 1996, 65–72; D. Feldman and C. Leana, “Better Practices in Managing Layoffs,” *Human Resource Management Journal* 33 (1995): 239–60; J. Byrne, “Why Downsizing Looks Different These Days,” *BusinessWeek*, October 10, 1994; Trevor and Nyberg, “Keeping Your Headcount.”
 77. A. Schenkel and R. Teigland, “Why Doesn’t Downsizing Deliver?: A Multi-Level Model Integrating Downsizing, Social Capital, Dynamic Capabilities, and Firm Performance,” *International Journal of Human Resource Management* 28 (2016): 1–43.
 78. M. Brauer and T. Laamanen, “Workforce Downsizing and Firm Performance: An Organizational Routine Perspective,” *Journal of Management Studies* 51 (2014): 1311–33.

Selected Cases

Lincoln Hospital: Third-Party Intervention*

Soon after the election of a new chief of surgery, the president of Lincoln Hospital faced a crisis. Lincoln, a 400-bed for-profit hospital in the southwestern United States, was experiencing severe problems in its operating room (OR). Forty percent of the OR nurses had quit during the previous eight months. Their replacements were significantly less experienced, especially in the specialty areas. Furthermore, not all could be replaced; when the crisis came to a head, the OR was short seven surgical nurses.

Also, needed equipment often was not available. On several occasions, orthopedic surgeons had already begun surgery before they realized the necessary prosthesis (for example, an artificial hip, finger joint, or knee joint) was not ready, or was the wrong size, or had not even been ordered. Surgery then had to be delayed while equipment was borrowed from a neighboring hospital. Other serious problems also plagued the OR. For example, scheduling problems made life extremely difficult for everyone involved. Anesthesiologists often were unavailable when they were needed, and habitually tardy surgeons delayed everyone scheduled after them. The nursing shortage exacerbated these difficulties by requiring impossibly tight scheduling; even when the doctors were ready to begin, the scheduled nurses might still be occupied in one of the other ORs.

The surgeons were at odds among themselves. Over 30 of them were widely regarded as *prima donnas* who considered their own time more valuable than anyone else's and would even create emergencies in order to get "prime time" OR slots—for which, as often as not, they were late. Worst of all, however, the doctors and nurses were virtually at war. Specifically, Don, the new chief of surgery, was at war with Mary, the veteran OR director; indeed, he had campaigned on a promise to get her fired.

Lincoln's president was faced with a difficult choice. On the one hand, he needed to satisfy the physicians, who during the tenure of his predecessor had become accustomed to getting their way in personnel matters by threatening to take their patients elsewhere. The market was, as the physicians knew, increasingly competitive, and the hospital was also

faced with escalating costs, changes in government regulations, and strict Joint Commission on Accreditation of Hospitals standards. Could the president afford to alienate the surgeons by opposing their newly chosen representative—who had a large practice of his own?

On the other hand, could he afford to sacrifice Mary? She had been OR director for 13 years, and he was generally satisfied with her. As he later explained,

Mary is a tough lady, and she can be hard to get along with at times. She also doesn't smile all that much. But she does a lot of things right. She consistently stays within her budget. . . .

Furthermore, whereas Don had long been an outspoken critic of the hospital and was generally distrusted by its administrators, Mary was loyal, a strict constructionist who adhered firmly to hospital policies and procedures:

She is supportive of me, of the hospital, and of our interests. She doesn't let the doctors get away with much. She has been an almost faultless employee for years, in the sense that she comes to work, gets the job done, never complains, and doesn't make any waves. I really don't understand the reason for the recent problems. I trust her and want to keep her. It would be extremely difficult to replace her.

The last point was a key one; a sister hospital had spent almost three years unsuccessfully trying to recruit an OR director.

After talking with both nurses and doctors, the president decided not to fire Mary. Instead, he told both Mary and Don that they must resolve their differences. They were to begin meeting right away and keep on meeting, however long it took, until they got the OR straightened out.

The results were predictable. Neither party wanted to meet with the other. Mary thought the whole exercise was pointless, and Don saw it as a power struggle that he could not afford to lose. The president, who wanted an observer present, chose Terry, the new executive vice president and chief operating officer. Mary didn't know Terry very well so she asked that her boss, the vice president of patient services, sit in. Don, who "didn't trust either Mary or her boss as far as he could throw them," countered with a

*R. Wayne Boss, *University of Colorado*; Leslee S. Boss, *Organization Research and Development Associates*; Mark W. Dundon, *Sisters of Providence Hospital*.

Selected Cases

Lincoln Hospital: Third-Party Intervention, continued

request for a second of his own, the vice president for medical services. When the meeting finally occurred, it quickly degenerated into a free-for-all, as Don and Mary exchanged accusations, hotly defended themselves, and interpreted any interventions by the three "observers" as "taking sides."

Diagnosis

At this point, Lincoln's president called me. We negotiated a psychological contract, where the president shared the above historical information, described the problem as he saw it, and identified his expectations of me and for the project. I, in turn, articulated my expectations of the president. We then agreed to take no steps until I had interviewed both Don and Mary.

Later that afternoon, Don expressed his anger and frustration with the hospital administration and, most of all, with Mary:

I don't want to have anything to do with this lady. She is a lousy manager. Her people can't stand to work with her. We don't have the equipment or the supplies that we need. The turnover in the OR is outrageous. The best nurses have quit, and their replacements don't know enough to come in out of the rain. . . . All we want is to provide quality patient care, and she refuses to let us do that. She doesn't follow through on things.

He particularly resented Mary's lack of deference.

Mary's behavior is so disgraceful it is almost laughable. She shows no respect whatsoever for the physicians. . . . She thinks she can tell us what to do and order us around; and I am not going to put up with it any longer. When I agreed to take this job as chief of surgery, I promised my colleagues that I would clean up the mess that has plagued the OR for years. I have a mandate from them to do whatever is necessary to accomplish that. The docs are sick and tired of being abused, and I am going to deal with this lady head on. If we got rid of her, 95 percent of our problems would go away. She has just gone too far this time.

In his cooler moments, Don admitted that Mary was only partly to blame for the OR's problems, but he still insisted she must be fired, if only to prove to

the doctors that the hospital administration was concerned about those problems, and that something was being done.

Observation: I am always a bit suspicious about the objectivity of someone who has reached the conclusion that someone must be fired. There is almost always something else that is going on that requires more investigation.

Mary was both angry and bewildered. She saw herself as fair and consistent in dealing with doctors and nurses:

Things had gone relatively well until six months ago. At that time, some of the ortho-pods started scheduling surgeries and then canceling them at the last minute, which, in turn, fouled up the schedule for the rest of the doctors. When I called them on it, Don went on a rampage. He is the leader of the pack, and now he has blood in his eyes. I have tried to talk with him about it, but he won't listen.

And just as Don's assessment echoed, in an exaggerated form, the doctors' perception of Mary as an exceptionally strong-willed woman, Mary's assessment of Don echoed his reputation among the orthopedic nurses and hospital administrators, who feared and distrusted his quick temper and sharp tongue:

Not only that, but I find his filthy mouth very offensive. I am not going to cooperate with him when he behaves like that. Nobody else talks to me that way and gets away with it. Nobody, I won't put up with it. As long as he behaves that way, it is a waste of time to meet with him. I am sure that I am doing things that bother him, and I want the OR to run as smoothly as possible. But there is no way we can deal with these problems unless we can sit down and talk about them without being abusive.

Clearly, both Mary and Don had strong needs to control other people's behavior, while remaining free of control themselves. It is significant that each used

Selected Cases

Lincoln Hospital: Third-Party Intervention, continued

the word *abuse* to describe the other's behavior. They did respect each other's technical abilities, but morally, Mary saw Don as "an egotistical jerk," and he saw her as a "rigid, petty tyrant." Neither trusted the other, thus, each was inclined to misconstrue even unintentionally negative comments—an especially disastrous state of affairs in the gossipy environment at Lincoln, where surgeons, nurses, and administrators were quick to relay, and amplify, the signals of hostility.

It was obvious from these initial interviews that Don and Mary were largely contributing to the OR problems; but it was also obvious that many others had a stake in the outcome of their battle. I therefore went on to interview the surgical head nurses, the vice presidents for patient services and medical services, the executive vice president, the president, and 25 physicians.

The vice presidents and the surgical head nurses agreed with the president: Mary might not be the hospital's most personable manager, but she was a good one. Her conservative, tenacious, no-nonsense style had earned the trust of administrators and the respect of OR nurses, as well as some physicians. As one nurse asserted: "Good OR managers are hard to find and certainly Lincoln is far better off with Mary than without her."

The doctors, in general, supported Don, though some of them had reservations. At one extreme, an anesthesiologist began with a classic disclaimer:

Now, I want you to know that I don't have any problems with Mary, personally. In fact, I really like her. We have been friends for years, and we get along just great.

Nevertheless, he was convinced the OR problems were "100 percent Mary's fault. I have no doubt about that." Furthermore, although he claimed to be, as an anesthesiologist, "a completely neutral third party in this whole business," he clearly shared Don's assumption that Mary's job as an OR manager was to keep the surgeons happy:

Her people hate her. She is a lousy manager. She just can't work with the MDs. Surgeons are a rare breed, and there is no changing them. You have got to get someone in there who can work with them and give them what they want.

His conclusion echoed Don's: "She ought to be fired, if for no other reason than to prove that

something is being done to address the problems in the OR."

Observation: I am always leery of someone who says, "It is all her fault." When someone is blamed for 100 percent of the problem, it usually evidences either denial or a coverup. There may be a completely innocent party in an emotionally charged conflict, but I have never met one. Emotionally charged conflicts are always power struggles, and it takes two parties to play that game.

A less enthusiastic partisan, a surgeon who was a 10-year veteran of the Lincoln OR, was very conscious of the way expectations such as those expressed by Don and the anesthesiologist were apt to be viewed by others in the medical community:

Quite frankly, I am embarrassed to admit that I am a surgeon in this town; by doing so, I am automatically branded as an egotistical dimwit. With only a few exceptions, those guys are a group of conceited, narcissistic technicians who are so caught up with themselves that they have no clue about what is going on around them. Some of them are bullies, and they push the rest of us around because we don't have the patient census they do.

His assessment of blame was correspondingly more moderate than the anesthesiologist's: "A lot of people would like you to think that this problem is one sided, and that Mary is totally responsible for this mess. But that isn't true." And while he supported Don, whom he described as reasonable and willing to listen to logic, his principal wish was to avoid personal involvement: "I am glad he is fighting this battle. I won't. The thought of getting caught between him and Mary scares me to death."

This last wish was vividly elaborated by another surgeon, who also highlighted the general perception of Mary as a strong personality:

I don't mess with Mary at all. I'm not stupid. It's true that I don't like some of the things that she does. Sometimes she is just plain ornery. But I also am not willing to take her on. In fact,

Selected Cases

Lincoln Hospital: Third-Party Intervention, continued

at this point, I will do whatever she wants, whenever she wants it. If the other docs are smart, they won't mess with her either. They can talk big in their meetings, but if they have any sense, they won't mess with that lady. She controls too many of the resources I need to do my job. So far she has been very helpful, and she has gone out of her way to do me some favors. I don't want to mess that up. I think it is great that Don is willing to take her on, and I wish him success. That way, if she wins, it will be him that gets beat up, not me.

The high turnover among OR nurses was a particularly sore point among the surgeons in general, whose frustration was explained by Don:

I don't think the administration has a clue as to how urgent this matter really is. It takes at least five years for a surgical nurse to gain the necessary skills to be useful. In the last two months, we have lost some of the best nurses I have ever worked with in my life. As a result, I had to start the training process all over again. It has seemed like I've been working with a group of student nurses! This turnover has cut my productivity by more than 50 percent.

Most of the doctors blamed the high turnover on the nursing managers' inability to retain qualified personnel, whereas the managers blamed it on the doctors' verbal abuse. And in fact, a significant number of doctors were widely regarded by some of their peers as well as by the nurses as impatient, intolerant perfectionists who demanded far more of others than they did of themselves.

From the extended interviews, it was obvious that while Mary had greater credibility with the hospital administration and Don had more backing from the doctors, each had a certain amount of power over the other's constituency: Mary controlled the surgeons' working conditions, while Don controlled a significant portion of the hospital's patient flow. The OR problems could not be resolved without genuine cooperation from both of them—especially from Don, who was outside the formal hierarchy of the hospital and could not be coerced by the president.

I met again privately with each of them to determine whether they were honestly committed to improving their working relationship. Both were

skeptical about the possibility of real change but said they were willing to do everything they could to help, as long as their own basic values were not violated. Each defined the kind of help he or she was willing to accept from me and the circumstances under which that help was to be given.

Intervention

Only at this point did actual third-party facilitation intervention begin. I used a design that included perception sharing, problem identification, contracting, and follow-up meetings. At their first formal meeting together with me and the three vice presidents who acted as observers, Mary and Don began by writing answers to three questions:

1. What does he or she do well?
2. What do I think I do that bugs him or her?
3. What does he or she do that bugs me?

The very process of writing things down was helpful. It gave them time to get used to this explicitly confrontational situation before either of them had a chance to "pop off" at the other, and it forced an element of rationality into an emotionally charged situation. Also, the questions required specific answers concerning behaviors, not subjective generalizations about personalities. Listing specific behaviors made each of them realize that at least some of the things they disliked about the other could be changed.

They then explained these responses orally, in the order shown in Figure 1. Because of their mutual hostility, I thought it safer to require that at first they address their remarks only to the third party, not to each other. Each, however, was required to hear the other's presentation so each would understand the other's perceptions. And because both were guaranteed an uninterrupted speech, each was more likely to listen to the other. Taking up the positive perceptions first helped. As Don later explained:

I was stunned to hear her say those positive things, particularly the part about me taking care of her family. For a long time, I had seen her as my enemy, and I expected only the worst. I was amazed that she had so much respect for me. As a result, many of my negative feelings for her began to leave. It is really tough to stay angry at someone who says so many nice things about

Selected Cases

Lincoln Hospital: Third-Party Intervention, continued

Figure 1

Participant Responses to Three Questions in the Third-Party Facilitation Model

1. What does Mary admire about Don and think he does well?

- He is very concerned about patient care.
- I admire him for his skills as a surgeon. I would have no problem sending a member of my family to him.
- He is interested and wants to work out issues that we have with each other.
- He can be very gentle and considerate at times.
- He is well respected for his skills by his peers and by the OR nursing staff.

2. What does Don admire about Mary and think that she does well?

- She is honest in her work.
- She has met my needs in orthopedics in getting us the instruments and equipment we need.
- She has a lot of external pressures on her and she has handled them well.
- She deals well with the various groups that are pulling at her: patients, staff, administration, physicians.
- She manages the overall picture very well in the OR.

3. What does Don think he does that bugs Mary?

- I am impatient. (Mary agrees)
- I am demanding of personnel in surgery, but everyone can't always get what they want, when they want it. (Mary disagrees)
- She is uncertain as to how much I am willing to support her this coming year. (Mary agrees)
- I am not the best listener. (Mary agrees)

4. What does Mary think she does that bugs Don?

- I don't listen to him. (Don agrees)
- I appear defensive at times. (Don agrees)
- I respond to some directives in a very detailed manner. (Don agrees)

5. What does Mary do that bugs Don?

- She is difficult to communicate with. I can talk to her, but I am not sure that she is listening.
- She doesn't assume the responsibility for some specific problems, such as not being able to do an operation without a full set of prosthesis available.
- She doesn't effectively manage the personnel that she supervises in OR. Specifically, there is a great deal of disruption going on. And there are also morale problems, particularly as they relate to their trust of her and her trust of them in the OR.

6. What does Don do that bugs Mary?

- He generalizes and is not very specific with examples, even when questioned.
- The staff labels him as a whiner, in terms of "nothing is ever right," his complaining, etc.
- This also relates to laying out problems and then walking away.
- He sometimes says one thing but means another—and gives mixed messages. An explanation of this is my asking him how things are going, he says fine, but then I find out that he has problems later in the day.
- I do not feel a full measure of support from him, and that bugs me.
- He doesn't always listen to my concerns.

Selected Cases

Lincoln Hospital: Third-Party Intervention, continued

you. I also found that I was much more willing to listen to what I do that bugs her. Somehow, criticism is always easier to take when it is accompanied by something positive.

It also helped that before making any accusations against each other, they were required to examine their own behavior. As Mary acknowledged, neither had ever taken the time to figure out specifically how he or she might be causing problems for the other:

It had never really occurred to me that I may be doing something that caused Don to react that way. Vaguely, I suspected that I may be doing something that he didn't like, but I was hard pressed to identify what it was. I really had to stand back and say to myself, "What is it that I am doing that is making this working relationship go sour?" I had spent so much time concentrating on what he was doing that bugged me that I hadn't looked at myself.

The oral discussion of this question made it obvious that neither was intentionally causing problems for the other, making both parties less hypersensitive to imaginary insults. Also, because both were much harder on themselves than they were on each other, the milder criticisms they did subsequently direct at each other were not nearly as offensive as they would otherwise have been.

The next step was to identify specific problems for Mary and Don to address. They wrote their responses to question three on a sheet of newsprint, assigning vectors to represent the relative seriousness of the problem. Some of the most serious problems could be resolved immediately; others were going to take longer, but at least Don and Mary now knew what their priorities had to be.

Finally, it became possible for them to agree on specific behavioral changes that might help. Don and Mary each defined what they wanted from the other and negotiated what they themselves were willing to undertake; I moderated the meeting and wrote down the decisions. (At the end of the meeting, Don, Mary, and the three observers each received a copy

of these commitments.) Because Mary and Don were interdependent, either could easily have sabotaged the other's efforts. Therefore, in defining each action item, I reminded them to specify responsibilities for both parties:

- What will Don (Mary) do to resolve this problem?
- What will Mary (Don) do to help the other succeed?

This technique made both parties jointly responsible for resolving each problem and thus changed the whole dynamic of the relationship— from mutual isolation to collaboration, from denial of responsibility to acceptance of responsibility, and from a focus on problems to a focus on solutions.

During the next year, I had four more meetings with Don, Mary, and the three vice presidents. Before each meeting, I interviewed each participant privately. At the beginning of each meeting, the participants gave general reports on what was going on, between Mary and Don and in the OR in general. In particular, I asked the two to list positive events and specific behaviors on each other's part that they appreciated. They then reviewed the commitments they had made during the previous meeting. In almost every case, both Mary and Don had kept these commitments, thus building a basis of trust for further commitments during the latter part of the meeting. Where they had not kept the commitments, plans were made to ensure followthrough before the next meeting.

Questions

1. If you had been called by Lincoln's president to help resolve the problems described in the case, how would you have carried out the contracting and diagnosis stages? What would you have done differently than what the OD consultant did?
2. Is third-party intervention an appropriate intervention in this case? Other possible OD interventions?
3. How effective was the third-party intervention? Next steps?

Selected Cases

Large Group Interventions at Airbus' ICT Organization*

Airbus, an EADS company, is one of the leading aircraft manufacturers in the world. Its customer focus, commercial know-how, technological leadership, and manufacturing efficiency have propelled it to the forefront of the industry. With revenues of over €38 billion in 2012 and an industry record backlog of 4,682 aircraft valued at over €523 billion, Airbus today consistently captures about half of all commercial airliner orders.

Headquartered in Toulouse, France, Airbus is a truly global enterprise of some 55,000 employees, with fully owned subsidiaries in the United States, China, Japan, and the Middle East; spare parts centers in Hamburg, Frankfurt, Washington, Beijing, Dubai, and Singapore; training centers in Toulouse, Miami, Hamburg, Bangalore, and Beijing; and more than 150 field service offices around the world round out its physical footprint. Airbus also relies on industrial cooperation and partnerships with major companies all over the world, and a network of some 1,600 suppliers in 30 countries.

This case describes the launch of a transformation process that has taken root in Airbus' Information and Communication Technology (ICT) function. ICT is a transnational group of around 1,300 information system professionals located wherever Airbus operates. ICT develops, maintains, and operates—24 hours a day, 365 days a year—every facet of the information systems that enable Airbus' core business processes.

The Change Challenge

Guus Dekkers joined Airbus as Chief Information Officer in June 2008. The organization he inherited had been split, integrated, and split again in a series of reorganizations over the previous seven years. Not surprisingly, he faced a change-fatigued and cynical ICT workforce. Moreover, the reorganizations had not produced the results that Airbus top management was expecting with respect to time, cost, and quality objectives in projects or improved productivity in service delivery.

At the same time, the continuing global financial and economic crisis along with the intense competition in the aircraft manufacturing industry resulted in increasing budget pressures, growing business

demands, changing business models, and increasingly disenchanted internal customers. The performance of his function needed to improve significantly and fast.

In his first year, Dekkers formed a new executive team with a mix of experienced internal managers, newcomers from outside Airbus, and others from outside the aviation industry. He worked with his new team and a core group of middle managers to define ICT's new vision, mission, and customer-facing transnational organization (Figure 1). However, he knew that these changes were only the beginning. It could take months, or even years, to formulate and implement the necessary changes.

Dekkers asked Susan Donnan to guide the implementation process as his internal change agent. She had the right background, education, and experience to facilitate large-scale change in organizations. She joined Dekker's team in July 2009.

The Change Strategy

Working from her belief that high performance results when all parts of an organization's design are aligned, Donnan searched for a change methodology that would simultaneously reconfigure design features and engage a critical mass of organizational members at all levels. She had studied large group interventions during her Masters of Science in Organization Development (MSOD) degree program at Pepperdine University. In addition, through her consulting work, she had experienced a variety of large group interactive events as a participant, a member of a design team, and a member of a logistics team that supported an event. She was convinced that such an intervention should be a central element of the change methodology. She considered a variety of these large group methods, including the Appreciative Inquiry Summit and Future Search, but was concerned that the current culture would not support such approaches.

In the end, she selected a process known as Whole Systems Transformation (WST), a process developed and refined by Roland Sullivan. Like other large group interventions, it is designed to help leaders engage a large, critical, and representative segment of the organization. It combines best practices in action research, small group dynamics, and large group dynamics. Unlike other large group interventions, it leads with alignment and transformation of

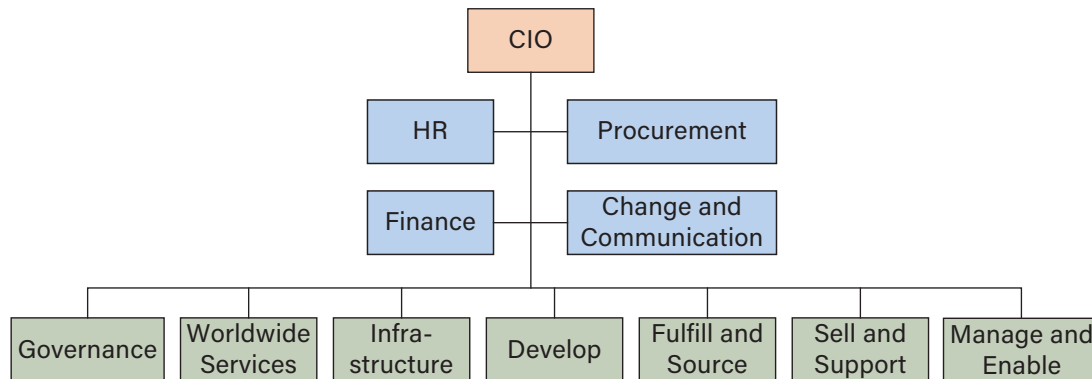
*Susan Donnan, Airbus; Roland L. Sullivan, Sullivan Transformation Agents Pte. Ltd.

Selected Cases

Large Group Interventions at Airbus' ICT Organization, continued

Figure 1

The New ICT Organization (~2009)



the executive team, then transforms a critical mass of the organization, and follows up with efforts to sustain the transformation. In her experience, Donnan knew too well that an aligned leadership team was a critical success factor for transformation. She contracted with Sullivan to provide external consulting support.

Initiating Change at Ict

Phase 1: Contracting with the Leadership Team

Like most large organizations, Airbus had adopted a traditional change management approach—top management announced the change and facilitated it through extensive communication. To implement a change strategy that was clearly outside the organization's norm, Donnan needed to convince Dekkers and his team that the traditional approach would be too slow and produce incremental change at best.

Her process began by securing executive commitment one-step-at-a-time while painting the picture for the whole journey. For example, Donnan presented a roadmap (Figure 2) that outlined the different milestones for the WST process.

She emphasized that transforming the executive team into a group with "one brain, one heart" would be a critical prerequisite for launching the "transform the ICT critical mass" phase. Committing ICT to such a radically different approach was a leap of faith and a courageous act for the executive team, especially for Dekkers. The executive team knew that they would

need to learn and become different leaders to lead the transformation but they were willing to trust Donnan and Sullivan to guide them through the process.

She also recommended—because she knew from previous experience—that the organization needed to put an infrastructure in place to drive and support the transformation process. Figure 3 describes the ICT transformation infrastructure that was agreed to by the ICT executive team to support the change. Finally, she paid special attention to ICT's Human Resource Business Partners. She was convinced that the HR organization needed to be fully on board if the change was to be successful.

Phase 2: Transform the Leadership Team

ICT's transformation process began with a two-and-a-half-day leadership retreat for the executive team in November 2009 that was jointly facilitated by Donnan and Sullivan. The retreat aimed to improve the effectiveness and alignment of the team and to develop "one brain and one heart" so that the team members could speak with "one voice."

In preparation for the retreat, Donnan and Sullivan conducted ICT manager focus groups and executive team interviews. Executives were asked about the key issues in becoming a higher performing leadership team, helping ICT to become a higher performing function, thrilling internal customers, and deserving the role of a trusted business partner.

Selected Cases

Large Group Interventions at Airbus' ICT Organization, continued

Figure 2

ICT Transformation Roadmap

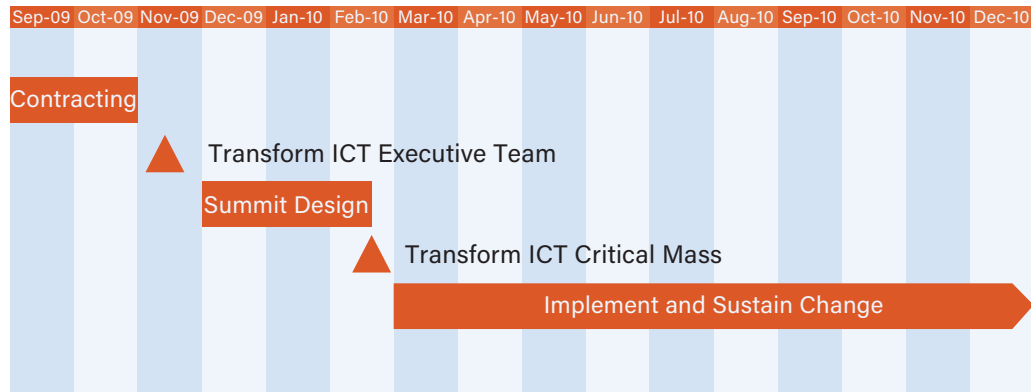
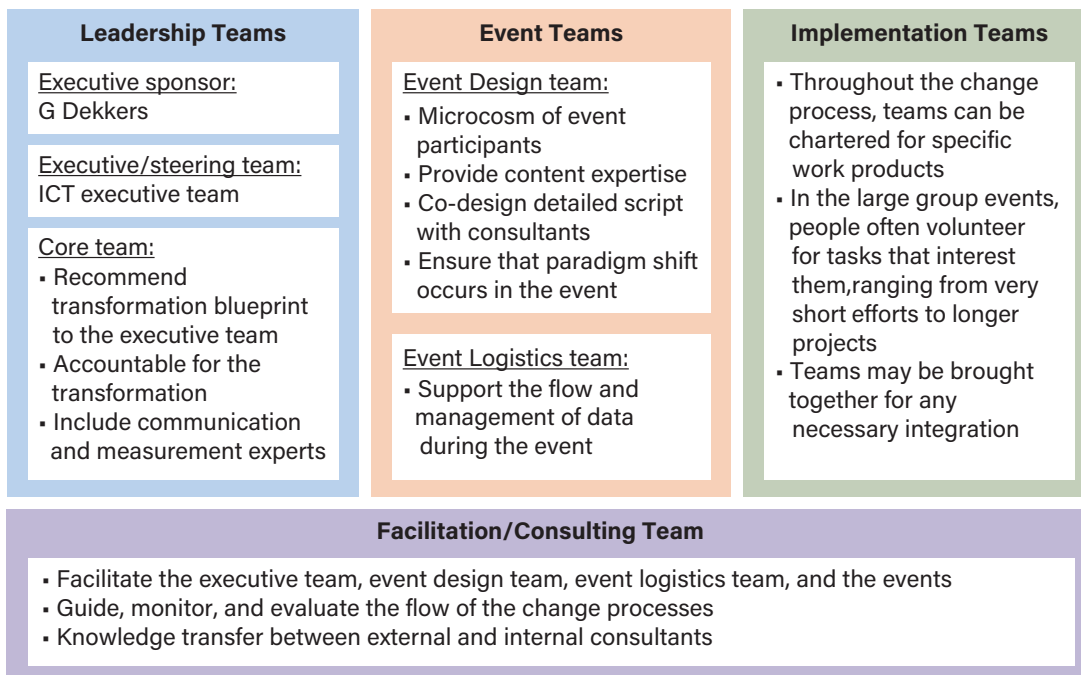


Figure 3

Whole System Transformation Team Organization



Selected Cases

Large Group Interventions at Airbus' ICT Organization, continued

The focus group and interview data were synthesized into data reports that were shared with the entire team prior to the retreat. Dekkers saw the data as reliable, valid, and rich, and it was used to ensure that the retreat addressed the right topics. Two members of the executive team worked with Donnan and Sullivan to co-design the event, acting as sounding board and providing valuable feedback.

Three important outcomes were achieved during the retreat:

1. Using the feedback in the data reports, the participants explored issues of trust within the team and worked on improving their relationship with Dekkers and each other. They exchanged appreciation for each other's strengths, provided suggestions for improvements, and made requests and offers with each other. As a recently formed executive team, an important practical outcome of this conversation was new team norms and meeting ground rules. In addition, they developed a new annual calendar with dedicated meetings for operational reviews and strategic topics. Together, these deliverables had an important and positive impact on the team's process effectiveness.
2. In addition to working on their relationships and team performance, the executive team visualized and described how ICT would look when its vision, mission, and strategy were fully achieved. They identified the priorities to be addressed to take ICT from where it was to where they wanted it to be: a trusted business partner delighting its internal customers. They agreed on actions and commitments that they would either personally or collectively perform to implement the ICT strategy. These included defining and refining the operating model, specifying ICT career paths, developing make or buy strategies with respect to ICT activities, building sourcing strategies for the ICT supply chain, and clearly articulating a convergence strategy to simplify the complex portfolio of business applications.
3. A final important outcome was the decision to hold the first two-and-a-half-day ICT summit in February 2010 with a clearly defined purpose and set of outcomes. Two members of the executive team volunteered to be sponsors for the summit.

The summit participants would represent a carefully selected, diagonal crosssection or microcosm of ICT with all subfunctions, all locations, and all levels involved. The executive team nominated and empowered a design team of 13 members, representative of the summit participants, to design the event.

Phase 3: Transform a Critical Mass of ICT Members

Between November 2009 and February 2010, Donnan and Sullivan co-facilitated three two-and-a-half-day sessions with the design team to plan the summit. In the beginning, the consultants intentionally allowed the process to be ambiguous. At times, it was a messy and disruptive process, an emotional roller coaster for the team's members. However, it was necessary to creating a safe environment where design team members could speak openly and directly about the organization's challenges, their fears about the transformation's success, and their hopes for the future. Several design team members were skeptical of the need for change and did not believe that they would be empowered. To address this issue, executive team members participated in the design sessions at different times, often in two's or three's, to show their support, to give their inputs, to answer questions, and to give feedback on the emerging summit design. The design team was surprised and impressed by the alignment in the executive team and how much they acted as one. Over the three-month period, this new group formed into a high-performing team. They were motivated and committed to creating an impactful, memorable, and transformative experience for the participants.

With Donnan and Sullivan's guidance, the team used the following principles to guide the design of the summit:

- The participants should represent a critical mass of the ICT organization, including believers and skeptics of change.
- The design should create a safe place for people to speak openly and truthfully by ensuring that all small group discussions involved a maximum mix ("max-mix") of people from different levels and sub-functions, and by ensuring no one in the group was from the same hierarchy or chain

Selected Cases

Large Group Interventions at Airbus' ICT Organization, continued

of command. All reportouts would come from the table as a whole so no individual would be exposed.

- Table activities, breakout groups, and plenary sessions should engage each participant's "whole brain," both rational and emotional.
- The purpose and outcomes for each activity should be defined clearly for participants.
- Allow the large group to alternate between divergent and convergent activities and report-outs.
- Diverse perspectives and the awareness of multiple realities should be generated through divergent activities, such as generating ideas, creating multiple views of today's frustrations, or visioning tomorrow's hopes and dreams.
- Make effective, collective, and integrated decisions through convergent activities, such as "preferring" (e.g., a voting process) to identify priorities and expert panels to share views from customers or senior management.
- Leverage Beckhard's change formula to drive change activities in the summit: change is more likely to occur when the *dissatisfaction with the*

status quo, multiplied by the *vision of the future*, multiplied by the *clarification of first steps* is greater than the *resistance to change*.

The design team worked long and hard to define the purpose and outcomes (Figure 4) for the summit. They debated and deliberated until everyone on the team was satisfied. Whenever the team could not agree, they referred back to the summit's purpose and outcomes and used those as "tiebreakers."

Eventually, the team designed the summit to take the participants through a process that mirrored the roller coaster they had experienced in the event design process. Figure 5 shows the high-level agenda.

The first day of the summit began with a dramatic video that was edited just for this event, featuring the maiden flight of the A380 aircraft. Following the video, Fernando Alonso, who was the leader of the flight crew for the maiden voyage, spoke about the importance of trust. He talked passionately about the confidence he had in the A380 aircraft and its expected performance on that first flight. He described what it was like having the world's attention on them but

Figure 4

ICT Summit 2010 Purpose and Outcomes

Purpose:

- The purpose of the summit is to accelerate the continued implementation of our ICT vision and mission by creating a single team with **one mind and one voice**, fully engaged and committed to change—enabling the success of Airbus.

Tangible Outcomes:

- Identified improvement and concrete actions.
- Personal commitment to change (measurable) things.
- Communication and involvement plans to involve and engage the rest of the ICT organization.
- Formal mechanisms to ensure execution/implementation and measurement of success.

Intangible Outcomes:

- Clear understanding and buy-in of the Vision, Mission, and Strategy of ICT.
- System wide understanding of operational activities and how we each contribute.
- Increased respect and trust.
- Change in attitude and mindset.
- Commitment to being ICT ambassadors.

Selected Cases

Large Group Interventions at Airbus' ICT Organization, continued

Figure 5

ICT Summit 2010 High-Level Agenda

Day 1	Day 2	Day 3
▪ Powerful opening ▪ Purpose and outcomes ▪ Building table teams ▪ Achievements ▪ Vision, Mission, and Strategy ▪ Whole system working and not working ▪ Customer view ▪ Elephant questions generated ▪ CIO reflections	▪ Feedback from Day 1 ▪ Elephant questions answered ▪ Articulation of success ▪ Barry Oshry's top/middle/bottom ▪ Intergroup breakouts—(Exec/Mgrs/Non-mgrs) ▪ Whole system action planning ▪ Breakouts—Transversal action planning ▪ Elephant questions answered ▪ CIO reflections	▪ Feedback from Day 2 ▪ Elephant questions answered ▪ Breakouts—How to engage rest of ICT ▪ System-wide communication ▪ Appreciative feedback ▪ Personal commitments ▪ CIO inspirational sendoff

knowing that the flight crew would not decide to take off unless every team member was ready. He shared that ultimately his trust extended beyond the flight crew to the entire Airbus organization. No one, at any Airbus meeting, had ever spoken about emotions, like trust, as the key to success. Immediately, the participants knew that the summit was to be unlike any other meeting they had ever attended.

At the max-mix tables, participants reflected on the meaning and the implications of Alonso's talk on trust. They reflected on and celebrated personal, team, and ICT achievements over the last 12 to 18 months. Then, after listening to ICT executive team members describe the vision, mission, and strategy, participants were encouraged to ask clarifying questions.

For the first time in their history, participants found themselves having deep and meaningful conversations sitting face-to-face with their colleagues, middle managers, and senior managers. The executive team, who were equally distributed among the tables, were coached by the design team to "trust the

process." They were encouraged to listen, be supportive of diverse ideas, and answer questions directly.

Participants then discussed what was working well and what was not working well, focusing on ICT's mission, operating model, customers, and people. These strengths and weaknesses were posted around the room and each participant was given green and red dots to identify his/her top three "working" and "not working" focus areas. The top issues for the group quickly emerged and "dotting" has since become a favorite means to arrive at consensus at ICT.

As the last activity of the day, participants were given the opportunity to pose "elephant" questions—something that they had always wanted to ask but were afraid to ask. Next, participants were invited to write down their feedback for the day. Finally, Dekkers closed the day with his reflections. He spontaneously asked participants to use their green "thumbs up" or red "thumbs down" signs to indicate how they felt the summit was going, and he was rewarded with a sea of green and a few red dots sprinkled around.

Selected Cases

Large Group Interventions at Airbus' ICT Organization, continued

Participants continued to socialize and network in the evening over drinks and dinner with old friends and new colleagues. Because many of the participants came from around the world and worked virtually, the time for personal interaction was appreciated.

The second day of the summit began with the ICT executive team answering honestly some of the "elephant" questions developed by the participants the day before. The participants were both surprised and satisfied with the openness and willingness of the executives to answer in a spirit of vulnerability, honesty, and sensitivity.

Working at their tables, participants visualized what success would look like in five years' time. The sharing of their creative presentations of the "future" was one of the high points of the summit. With vivid pictures of success and knowledge of the top issues, they identified actions needed from the individual, sub-function, and ICT levels to move ICT to where they would like it to be. This was breakthrough work. The day ended with Dekkers' reflections and participants' feedback, followed by social activities and more networking.

The third day of the summit also began with answering additional "elephant" questions from the first day. This was followed by activities to define ways to engage the rest of the ICT organization after the summit. The participants agreed on ways to communicate to the rest of the ICT community going forward. After rounds of appreciative feedback at the tables, the summit closed with the ICT executive team making personal commitments on stage in front of all, for which they received a standing ovation.

Phase 4: Implement and Sustain the Change

Immediately after the summit, the 300 participants returned to their offices and acted as ambassadors for change. At the top of the list was the wish to communicate the process and the results of the summit to the rest of the organization. Supported by communication kits and a web-based e-journal with photos and videos provided by Donnan, this occurred in all sub-functions and all locations.

In addition to communication, summit actions were translated into projects and personal objectives. Examples of projects included: harmonization and standardization of ICT activities using industry best practices; understanding these activities' drivers

and costs and measuring their performance; fighting bureaucracy and streamlining processes; working with its business partners to drive improvements on demand management and prioritization; and developing the competencies and careers of ICT employees.

ICT Executive Team members drove cross-functional or within function transformation in their respective groups. The design team volunteered to stay on as the transformation network. Together with Donnan, they monitored progress and supported the executives in driving implementation of summit actions in their respective functions. Donnan met monthly with the transformation network to share insights and best practices.

For the next 12 months, ICT Transformation remained a priority for the executive team.

Many of the transformation projects delivered bottom-line savings and enabled company objectives. The ICT organization got measurably better at delivering on its projects, services, and cost promises. Communication up, down, and across ICT improved appreciably.

Last but not least, the collaborative approach to change sent a clear message that transformation could not be successful without the engagement of ICT employees. Grass roots initiatives and volunteerism were actively encouraged. People at all levels felt greater empowerment. For example, in multiple locations, people chose to become local change agents and organized local transformation and social events, some of which continue today.

Maintaining the Change Momentum

Following the success of the first ICT summit, the (1) align and transform the executive team, (2) assess and plan the next cycle of change, (3) align and transform a critical mass of organization members, and (4) implement and sustain change process became institutionalized and has occurred every year since. A new design team and a compelling focus from the leadership team underpins the annual cycle of the process.

For example, the focus for the 2010–2011 cycle was cross-unit or cross-functional breakthroughs involving the leadership population of about 200 ICT managers. The theme of the summit was "Leading as ONE." The focus of the 2011–2012 cycle was creating an ICT environment that actively encourages

Selected Cases

Large Group Interventions at Airbus' ICT Organization, continued

agility, innovation, and leadership. Unlike previous summits, the third summit did not focus on what was not working or broken; rather it focused on a new way of thinking and working. Participants learned about design thinking through a simulated innovation project, explored psychological concepts that contribute to innovative thinking, and applied those concepts to four dynamics in the organization: agility and stability; anticipation and reaction; customization and standardization; and innovation and standardization.

During the months that followed the 2011–2012 summit, ICT dealt with a difficult business challenge using a collaborative approach that most people agreed would not have been possible three years earlier. It received, together with its customers, five 2012 Awards for Excellence, three of which were in the "Drive Improvement and Innovation" category and one of these won the Top Award of the Year.

In addition, ICT has made the greatest improvement in employee engagement in the company over a three-year period as measured by the Gallup Q12. Through productivity improvements, ICT also succeeded in handling 25 percent in volume growth while maintaining a flat budget in the same period.

ICT's efforts have made important contributions to implementing its vision, mission, and strategy. It has achieved operational excellence, a critical foundation or prerequisite for becoming a trusted business partner. Going forward, the executive team would like to evolve ICT's way of working: to be better immersed in the business strategy and business processes of its customers, to better anticipate their business needs, to focus sharply on value for Airbus, and to quickly propose and provide right-sized solutions. The journey continues.

Learning

Ever since her MSOD days at Pepperdine, Donnan had been searching for ways to facilitate systemwide alignment and to accelerate change. For her, the WST process has been the most effective methodology for achieving both. She reflected on her learning.

- **The importance of aligned leadership.** Breakthroughs in the ICT executive team enabled breakthroughs in ICT as a whole. When leaders speak with one voice, provide a unified direction in vision and strategy, demonstrate a

sense of urgency, and walk their talk, it gives organization members the confidence to act in alignment for the health of the whole. On the other hand, when leaders are not aligned and give conflicting directions, this causes conflicts and confusion that cascades all the way down the organization.

- **The critical roles of the event design team.** The ICT case would not have been a success without the effective use of the event design team. In addition to bringing in data from across the ICT organization and mirroring the organization's current state as part of the design process, the event design team members took an active role in facilitating different modules in the summit, listening to the participants during the summit, synthesizing the participants' daily feedback, and refining the summit design based on their feedback. The teamwork within the team was critical for the smooth execution of the summit.
- **The real work of transformation occurs between large group interventions.** While many people focus on how a large group event "releases the magic" of a paradigm shift, the real work of transformation occurs after the event or between events in the "implement and sustain change" phase. ICT is part of a global organization that has experienced and continues to experience tremendous growth and challenge. Managers are typically overloaded just running and delivering today's business; requests to transform the business for the future are often overwhelming. Moreover, saying "no" to lesser priorities remains difficult for the organization. As a result, finding the resources and time for transformation remains a challenge. ICT's experiments with a mix of structured and emergent approaches yielded two major lessons. First, do not launch more actions than the organization can handle, and second, focus more on cross-functional improvements that optimize overall results rather than local maximization.
- **The lead and lag indicators of success.** Organization change is a journey that takes time and requires incredible patience. Following a large group interactive event, the lead indicators of success are team spirit, confidence,

Selected Cases

Large Group Interventions at Airbus' ICT Organization, continued

commitment, relationships, energy, trust, inclusiveness, transparency, and alignment. These are difficult to measure but can be felt, observed, and captured in anecdotal stories. Later, improvement projects lead to more tangible results, such as behavioral and engagement changes. However, only when the improvement projects are successfully implemented can improved business results be seen. These are the lag indicators of success. Executives and managers must understand that the easy-to-measure lag indicators of success will come if they recognize, support, and nurture the difficult-to-measure but equally valuable lead indicators of success. Many change initiatives fail because executives insist on instant results, give up too soon and move onto the next change.

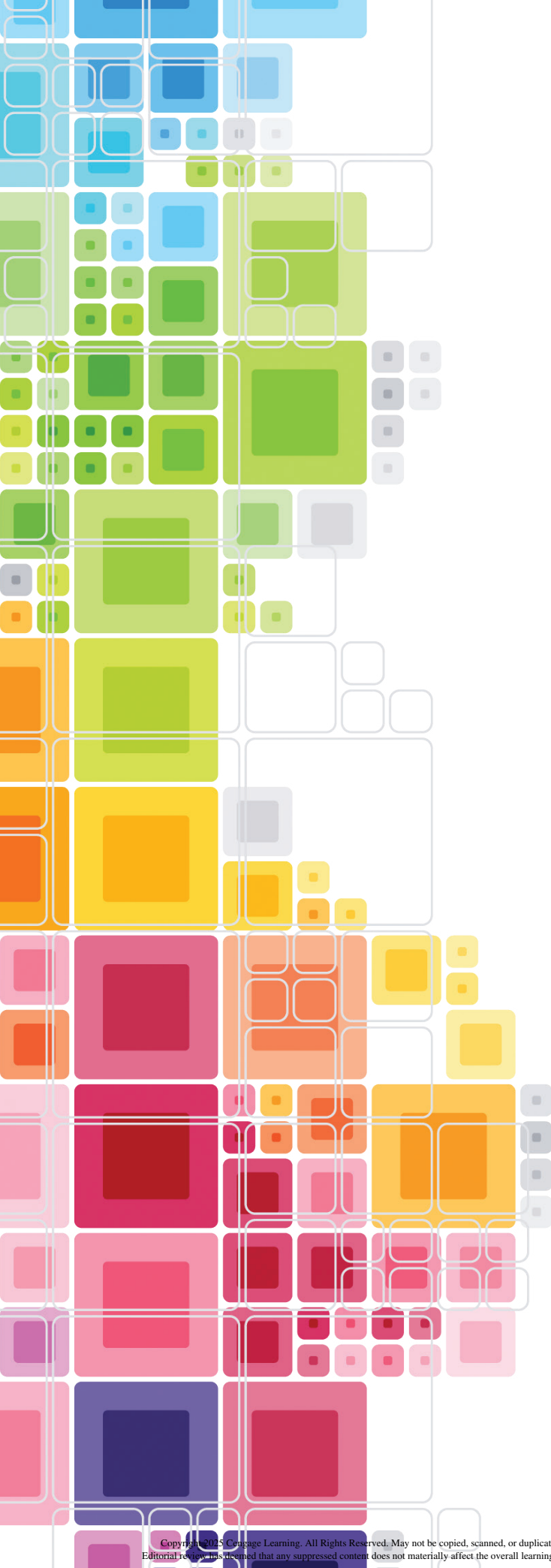
- **Transforming how the organization deals with change.** The ultimate measure of organization development is the degree to which the ability to change again is enhanced or diminished. Without any doubt, the WST process has helped people in ICT build a change capability. Realizing that transformation is a journey and not a destination, ICT people are no longer paralyzed by change and are more likely to embrace change as an opportunity rather than a threat. They have developed greater capacity and capability to act in aligned ways. In reflecting on the organization's journey, Dekkers said, "Today, our ICT community is better mobilized and motivated to change."
- **WST needs to be repeated regularly.** In today's complex, chaotic, and uncertain world,

an organization's ability to learn and innovate at the individual, team, and organizational levels allows the organization to adapt. Change is a constant and the days of returning to stability or business-as-usual are gone. To ensure a sustained long-term journey, the WST process must be repeated to regularly restore whole system alignment while adapting to internal and external drivers for change.

In conclusion, each year that the ICT has used the WST process, it has become more and more competent to self-direct and master its own change process. The organization is becoming better at doing what it says it will do, more respected by its customers, and more agile. ICT people is learning how to learn in real time as an entire function.

Questions

1. What is your analysis and evaluation of the design of this intervention? What large-group intervention theories and models were applied in this case? Do you believe that the interventions made a difference in this organization?
 - If your analysis is positive, what do you think were the critical intervention features that led to success?
 - If your analysis is negative, what changes would you make in the intervention's design or implementation?
2. What do you think of the summit's agenda and flow? Do you think the right activities were planned and executed given the objectives of the intervention?



Part 4

Technostructural Interventions

Chapter 9

Employee Involvement and Employee Engagement

Chapter 10

Work Design

Employee Involvement and Employee Engagement

Learning Objectives

- Define the principles of employee involvement and employee engagement and describe their relationship to performance.
- Describe three employee involvement and employee engagement interventions: parallel structures, total quality management, and high-involvement organizations.

Faced with competitive demands for lower costs, higher performance, and greater flexibility, organizations are increasingly turning to employee involvement (EI) and employee engagement (EE) interventions to increase the participation, commitment, and productivity of their members. EI interventions derive from OD's roots in participative management and move decision making downward in the organization closer to where work is performed. EE interventions attend to organization and workplace characteristics that promote employee emotional, cognitive, and behavioral connection to the workplace and the larger organization. They address organizations' mounting problems with a disengaged workforce and its negative effect on performance and employee retention.¹

As discussed in Chapter 1, EI and EE interventions evolved from earlier change programs aimed at quality of work life (QWL) in Europe, Scandinavia, and the United States. The terms *employee involvement* and, more recently, *employee engagement* gradually replaced the designation "quality of work life," particularly in the

United States. Extensive research shows how EI and EE interventions promote participation in decision making and employee connection to the workplace and, in turn, how this increases the performance and well-being of organization members.² EI and EE practices have expanded to a large and diverse set of private and public organizations in global settings. Organizations, such as Salesforce, Inc., Cisco, Mars, PepsiCo, Intuit, and others, have enhanced worker participation and engagement through enriched forms of work, progressive union-management cooperation, employee resource groups, and quality improvement approaches.

EI and EE interventions described in this chapter are parallel structures, including cooperative union-management projects and employee resource groups, total quality management, and high-involvement organizations. Two additional OD approaches that include elements of EI and EE, work design and reward-system interventions, are discussed in Chapters 10 and 11, respectively.

9-1 Employee Involvement and Employee Engagement: What Are They?

Employee involvement and employee engagement are organizational practices that followed from the QWL movement in the late 1950s. The phrase “quality of work life” drew attention to the prevailing poor quality of life in the workplace. This resulted from work that was highly routinized, repetitive, and autocratically controlled with little consideration for employee social and psychological needs.³ As discussed in Chapter 1, both the term QWL and the meaning attributed to it have undergone considerable change and development. Drawing on OD’s foundation in participative change, EI became the prevailing approach to QWL. Recently, EE interventions have extended this focus to include a broad emphasis on employees’ emotional, cognitive, and behavioral ties to the workplace and the organization and a readiness to give extra effort and dedication to them.

In this section, we provide working definitions of EI and EE and clarify their relationship to productivity.

9-1a A Working Definition of Employee Involvement

This intervention increases organization members’ input into decisions that affect their work life. It can be described in terms of four key elements that promote EI.⁴

1. **Power.** This feature provides employees with sufficient authority to make work-related decisions covering various issues, such as work methods, task assignments, performance outcomes, customer service, and employee selection. The amount of power afforded employees can vary enormously, from simply asking them for input into decisions that managers subsequently make to managers and workers jointly making decisions and to employees making decisions themselves.
2. **Information.** Timely access to relevant information is vital to making effective decisions. Organizations can promote EI by ensuring that the necessary information flows freely to those with decision authority. This can include data about operating results, business plans, competitive conditions, new technologies and work methods, and ideas for organizational improvement.
3. **Knowledge and skills.** EI contributes to organizational effectiveness only to the extent that employees have the requisite skills and knowledge to make good decisions. Organizations can enhance this expertise by providing

training programs for developing members’ knowledge and skills. Such learning can cover an array of expertise having to do with performing tasks, making decisions, solving problems, and understanding how the organization operates.

4. **Rewards.** People generally do those things for which they are recognized and, consequently, rewards can have a powerful effect on getting employees involved in the organization. Meaningful opportunities for involvement can provide employees with intrinsic rewards, such as feelings of self-worth and accomplishment. External rewards, such as pay and promotions, can reinforce EI when they are linked directly to performance outcomes that result from participation in decision making. (Reward systems are discussed more fully in Chapter 11.)

Those four elements—power, information, knowledge and skills, and rewards—determine how much employee participation in decision making is possible in organizations. To the extent that all four elements are made available throughout, and especially at the lower levels of the organization, the greater the EI. Furthermore, because the four elements of involvement are interdependent, they must be changed together to obtain positive results. For example, if organization members are given more power and authority to make decisions but do not have the information or knowledge and skills to make good decisions, then the value of involvement is likely to be negligible. Similarly, increasing employees’ power, information, and knowledge and skills but not linking rewards to the performance consequences of these changes gives members little extrinsic incentive to improve organizational performance. The EI methods that are described in this chapter vary in how much involvement is afforded employees. Parallel structures, such as union–management cooperative efforts and employee resource groups, are limited to the degree that the four elements of involvement are moved downward in the organization. Total quality management and high-involvement organizations provide far greater opportunities for involvement.

9-1b A Working Definition of Employee Engagement

Growing attention is being directed at how organizations can foster an engaged workforce, where employees are emotionally, cognitively, and behaviorally connected to their workplace and the organization and, consequently, eager to apply extra effort and attention to performing well. A wide array of organization and workplace factors contribute to EE. Many of the OD interventions described in Chapters 7–15 include elements that EE draws on to improve EE.

The high-involvement organizations intervention described later in this chapter includes several of them. EE interventions include two broad categories of change factors:⁵

1. **Organization factors.** Organization culture, senior leadership, and resources and support shape how employees experience and react to this larger work context. Cultural values, norms, and beliefs that view employees as highly valued partners who deserve to be treated honestly and fairly increase employees' emotional and behavioral connection to the organization. The trust that top executives are committed to making the organization a great place to work and are leading the organization in a positive strategic direction also contributes to this connection. Essential resources, fair and just rewards, and organization support for employee welfare and development promote engagement with the organization.
2. **Workplace factors.** Factors closer to the workplace that enhance EE include job design, team building, supervision, and information and feedback. Enriched forms of work and effective relations among team members contribute to an engaged and coordinated workforce. Supportive supervisors who facilitate work performance and help employees develop expertise and improve work processes promote employees' connection to their workplace. Other factors include timely and relevant information and feedback needed to perform work, make good decisions, and understand how employees' work fits with the organization's strategy, competitive conditions, and potential changes.

These organization and workplace features influence how employees connect emotionally, cognitively, and behaviorally with the workplace and the larger organization. Considerable research shows that improvements in

these factors result in greater EE—vigor, dedication, and attentiveness to performing work; supportive and meaningful relationships with interrelated employees; and strong bonds to the organization and pride in its success. Engagement, in turn, leads to higher levels of performance and employee retention and well-being.⁶

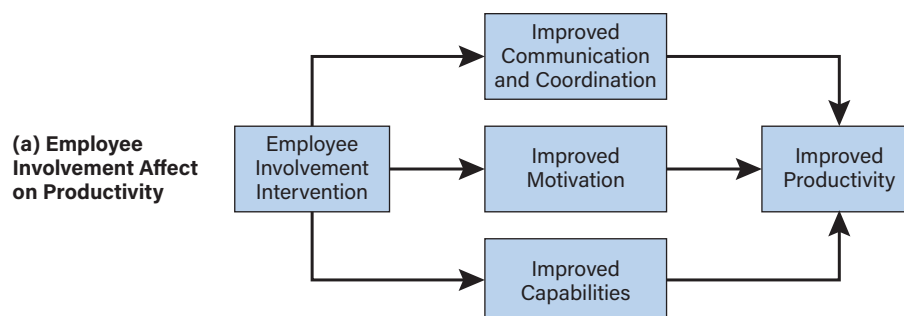
9-1c How Employee Involvement and Employee Engagement Affect Productivity

Considerable research has found consistently positive effects of EI and EE interventions on such measures as productivity, financial performance, and turnover and absenteeism.⁷ Explanations and measurement of these results have become more sophisticated, drawing on basic theories of employee and organization fit and performance measures such as balanced scorecard and employee value added.

Employee Involvement An explanation for how EI interventions improve productivity is shown in Figure 9.1a. EI practices, such as participation in decisions about product or service quality, can increase productivity in at least three ways.⁸ First, they can improve *communication and coordination* among employees and organizational departments and help integrate the different jobs or departments that contribute to an overall task. Second, EI interventions can increase employee *motivation* when they satisfy important personal objectives, such as growth needs. Motivation translates into improved performance when employees have the necessary skills and knowledge to perform well, and the technology and work situation enable them to affect productivity. Third, EI practices can enhance the *capabilities* of employees, thus enabling them to perform better. Interventions to increase employee participation in

Figure 9.1a

Employee Involvement and Employee Engagement Affects on Productivity



decision making generally include skill training in group problem solving and communication.

Employee Engagement Those parts of EE interventions that increase employee participation in decision making achieve productivity gains similar to those outlined for EI. In addition, other elements of EE interventions increase performance in at least two ways, as outlined in Figure 9.1b.⁹ Engagement practices, such as an organization culture that places a high value on employees and a reward system that treats them fairly, can *attract and retain talented people* to the organization. Their expertise can improve performance, and their retention can reduce costly turnover. EE interventions, such as enriched jobs, supportive supervision, and opportunities for training and development, can enhance employee *enthusiasm, dedication, and attention to work*. This can lead to extra effort, commitment, and concentration to perform work. It can also increase employees' emotional and physical bond to the workplace and the organization. Such connection can promote discretionary work behavior, such as organizational citizenship behavior, that sustains and enhances the functioning of the organization. It can also reduce employee absenteeism and turnover by reinforcing a strong resolve to be in the workplace and to sustain an enduring membership in the organization.

9-2 Employee Involvement and Employee Engagement Interventions

Described below are three major interventions that apply EI and EE to varying degrees: parallel structures, including cooperative union–management projects and employee

resource groups; total quality management; and high-involvement organizations.

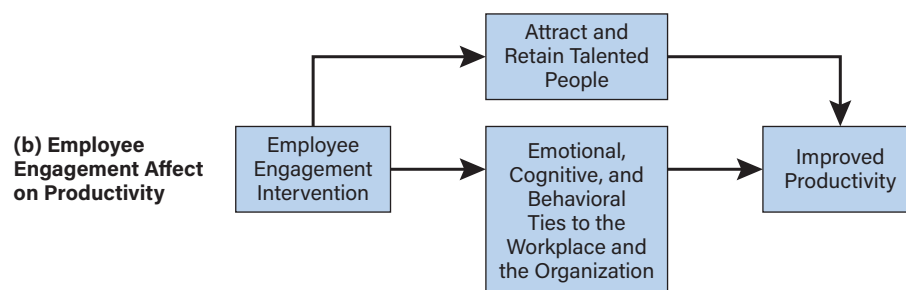
9-2a Parallel Structures

Parallel structures involve employees in resolving ill-defined, complex problems that build adaptability into bureaucratic organizations. Also known as “collateral structures,” “dualistic structures,” or “shadow structures,”¹⁰ parallel structures operate in conjunction with the formal organization. They provide members with an alternative setting to address problems and to propose innovative solutions free from the constraints of the existing, formal organization. For example, members may attend periodic off-site meetings to explore new ways to improve quality in their work area or they may be temporarily assigned to a special project or facility to devise new products or solutions to organizational problems. Parallel structures facilitate problem solving and change by providing time and resources for members to think, talk, and act in completely new ways. Consequently, norms and procedures for working in parallel structures tend to be different from those of the formal organization.

This section describes and reviews the effectiveness of two common parallel structures: *cooperative union–management projects* and *employee resource groups (ERGs)*.¹¹ Cooperative union–management projects involve the voluntary and joint participation of union representatives and managers in solving problems outside of the collective bargaining process. ERGs or “affinity groups” focus on creating a sense of community and support for employees who share a common identity, such as race/ethnicity or sexual orientation, or interest, such as sustainability or wellness. They provide support, education, or advice to their members and the organization.

Figure 9.1b

Employee Involvement and Employee Engagement Affects on Productivity



Application Stages In parallel structure interventions, member participation is typically restricted to making proposals and to offering suggestions for change while subsequent decisions about implementing the proposals are reserved for management. Membership in parallel structures also tends to be limited, primarily to volunteers and to numbers of employees for which there are adequate resources. Management determines the conditions under which parallel structures operate. It controls the amounts of authority that members have in making recommendations, the information that is shared with them, the training they receive to increase their knowledge and skills, and the monetary rewards for participation. Because parallel structures offer limited amounts of employee participation, they are most appropriate for organizations with little or no history of OD changes, top-down management styles, and bureaucratic cultures.

These interventions are typically implemented in the following steps:¹²

1. **Define the purpose and scope.** This first step involves defining the purpose for the parallel structure and the initial expectations about how it will function. Organizational diagnosis can help clarify which specific problems and issues to address, such as productivity or innovation. In addition, management training in the use of parallel structures can include discussions about the commitment and resources necessary to implement them; the openness needed to examine organizational practices, operations, and policies; and the willingness to experiment and learn.
2. **Form a steering committee.** Parallel structures typically use a steering committee or council composed of acknowledged leaders of the various functions and stakeholders within the formal organization. For example, in cooperative union-management projects, the steering committee would include key representatives from management, such as a president or chief operating officer, and each of the unions and employee groups involved in the project, such as local union presidents. In ERGs, the steering committee is likely to consist of elected members from each group. Steering committees perform the following tasks:
 - Refine the scope and purpose of the parallel structure.
 - Develop a vision for the effort.
 - Guide the creation and implementation of the structure.
 - Establish the linkage mechanisms between the parallel structure and the formal organization.
 - Create problem-solving groups and activities.
 - Ensure senior management support.
3. **Communicate with organization members.** The effectiveness of a parallel structure depends on an appropriate level of participation from organization members. Communicating the purpose, procedures, and rewards of participation can promote member involvement. Employee participation in developing the parallel structure's vision and purpose can increase ownership in it and visibly demonstrate the "new way" of working.
4. **Create forums for employee problem solving.** Forums are the primary means of accomplishing the purpose of the parallel structure. A common forum is the *employee problem-solving group*. Its formation involves selecting and training group members, identifying problems for the group to work on, and providing appropriate facilitation. Selecting group members is important. They need to represent the appropriate hierarchical levels, functions, and stakeholders that are relevant to the problems at hand. This enables the problem-solving group to identify and communicate with the organization's formal structure. It also provides the necessary resources to solve problems.

Once formed, members of problem-solving groups need appropriate training that may include discussions about the vision of the parallel structure, the specific problems to be addressed, and the way those problems will be solved. As in the steering committee, OD facilitation can help problem-solving groups establish norms promoting openness, creativity, and coordination. This can help the group solve problems that the traditional hierarchical organization finds difficult to confront.
5. **Address the problems and issues.** Parallel structures solve problems or develop members by using an action research process. They diagnose specific problems or opportunities, plan appropriate solutions, and, if empowered to do so, implement and evaluate them. The effectiveness of problem-solving groups and ERGs is facilitated when the groups and the steering committee relate effectively to each other. This enables the

steering committee to direct problem solving or development in an appropriate manner, acquire the necessary resources and support, and approve action plans. It also helps ensure that the solutions and changes are linked appropriately to the formal organization, so attempts at change will have a better chance of succeeding. An LGBTQ (lesbian, gay, bisexual, transgender, queer/questioning) ERG at Pepsi, for example, helped to position a new product and develop marketing strategies catered to the needs of this consumer segment.

6. **Implement and evaluate the changes.** This step involves implementing appropriate organizational changes and assessing the results. Change proposals need the support of the steering committee and the organization's formal authority structure. As changes are implemented, the organization needs information about their effects. This lets members know how successful the changes have been and if they need to be modified. In addition, feedback on changes helps the organization learn to adapt and innovate.

Results of Parallel Structure Approaches The business and popular press have generally reported about the benefits of union–management cooperative projects and ERGs. For many employees, especially lower-level members, the opportunity to influence the formal organization can lead to increased work satisfaction and task effectiveness. Although early studies reported

attitudinal effects usually being stronger than productivity results,¹³ more recent research shows that when parallel-structure interventions are implemented systematically, more performance outcomes occur, such as productivity, customer satisfaction, and product or service quality.¹⁴ This improvement in parallel-structure success was attributed to several factors: “The newer projects tend to be much better linked to the management and union hierarchies, receive better assistance from a widening circle of experienced consultants, have more realistic goals, and use more sharply focused organizational change strategies.”¹⁵

ERGs have become the most popular form of parallel structure and are oriented toward pressing issues facing many organizations such as workforce equity and inclusion, community development, and family well-being.¹⁶ Most of the research on ERGs is based on case studies with compelling descriptions of positive outcomes.¹⁷ More rigorous assessment of ERGs is clearly warranted.

Application 9.1 describes how Cisco Systems uses an ERG parallel structure to promote a variety of human resource and business issues.¹⁸ Examination of Cisco's application of ERGs raises pertinent issues. How well did Cisco use the six application steps? On which step(s) could it have improved, and how? How did Cisco go about connecting the ERGs' focus on benefiting their members to the company's broader business goals? Do you see any unintended negative consequences in linking employees' identity and interest issues to organization performance?

Application 9.1

Using Employee Resource Groups at Cisco

Cisco Systems, Inc. is the largest networking company in the world. Most of the information that passes through the Internet does so on Cisco equipment and the organization is moving into new product and service areas. Cisco's long-term vision has been to change the way people work, live, play, and learn. This applies equally to its own employee equity and inclusion process. “Cisco leads the way in demonstrating the transformational impact that inclusion and diversity have on innovation, collaboration, and global business results.”

Employee resource groups were an essential part of Cisco's equity and inclusion efforts. ERGs were expected to benefit and advance their own group members. Over time, Cisco recognized the

ERGs' potential to contribute to talent development and inclusion as well as market success. Today, ERGs help reinforce Cisco's goals of having employees bring their “total self” to work and fostering an inclusive, collaborative, and innovative environment. In addition to the opportunity to share affinity issues related to working at Cisco, the ERGs can support Cisco business initiatives by uncovering marketing needs, exploring areas of potential growth, and creating meaningful dialogues that lead to business opportunities. By valuing the differences that make each person unique, these groups can increase Cisco's competitive advantage and increase profits. ERGs are cross-functional and organized around affinity and functional diversity rather than traditional hierarchy.

Using Employee Resource Groups at Cisco, continued

Thus, they are able to influence, in a different way, Cisco's own development to a more agile and networked organization.

Jacqueline Munson, charged with Cisco's ERGs initiative, described her implementation dilemma, "It is always a challenge to develop and implement a new method among established organizations." To accelerate the development of ERGs at Cisco, she focused on three key tactics:

- **Obtaining stakeholder buy-in.** By tying into Cisco business goals, she could show executives the value of having a scorecard for ERGs. She also ensured that executives had check-in points along the way.
- **Leveraging familiar procedures and vocabulary.** She created a natural bridge between the familiar and the new. She identified existing language and ways of working within Cisco and integrated them into the ERG framework.
- **Making ERGs part of the change.** From the beginning, the ERGs were encouraged to draft mission statements and pilot programs to give a voice in what they were creating.

Cisco found that using a maturity model of group growth and development helped the ERGs and executives form expectations of group functioning and contribution. The model identified different phases of group development and the types of skills and competencies required to support higher levels of functioning. It helped the ERGs develop strategies and action plans and provided a clear roadmap for setting and reaching attainable goals. For Cisco executives, the maturity model helped them understand that different ERGs would be in different places at different times, and that any place in that evolution allowed the ERGs to contribute to the recruitment and retention of diverse employees and to make important contributions to the business.

Importantly, Cisco made ERG support part of its performance management process. Leaders at Cisco are charged with rallying a diverse workforce toward common business goals and creating an environment in which new ideas can flourish. Managers are rewarded based on their ability to strategically use ERGs.

Munson noted, "Cisco's employee resource groups provide a framework to help employees identify ways to better leverage the talent and connections

within their organizations. We then challenge them to use those connections to drive innovation and business opportunities." For example, Cisco's Latino ERG, Conexión, focuses on helping students to pursue careers in science, technology, engineering, and math. As part of their work, Conexión partnered with the University of Technology of Chile to deliver a free weeklong seminar, "Developing Local Talent through Technology." In addition to the objective of delivering a training workshop on technical and social skills, the program increased Cisco's brand awareness and supported the development of an improved information and communications technology workforce.

ERGs have also been used to support innovation. Cisco's Emerging Technology Group (ETG) is tasked with finding the next big idea: businesses worth a billion dollars or more. ETG's business development manager and his team believed Cisco's 12 ERGs could bring diverse cultural, geographical, and functional perspectives to the innovation process. At the same time, Cisco's iCON (Indians Connecting People) ERG approached the ETG about establishing a partnership to work together to encourage product innovation. The vice president and chief technology officer of ETG agreed to be the executive sponsor of the new initiative, and ETG and iCON expanded the invitation to other ERGs. ERG innovation team members were identified from the various ERGs and an official collaboration began.

To facilitate the project, the group looked at Cisco's collaborative platform, Cisco I-Zone. It was originally designed to help enable enterprise-wide brainstorming on ideas for new businesses. ETG believed that reinventing I-Zone with the most relevant tools, processes, and incentives could increase the flow of innovative ideas. The ERG innovation team solicited feedback from employees to understand the motivations and incentives that drive people to participate in innovation in general. The data helped ETG understand how to design a better platform experience, including incentives. The revised platform encouraged traffic and participation in I-Zone and ultimately helped to identify several big idea opportunities. While the goals of the ETG and the individual ERGs may be different, everyone has the same aspiration: to support business alignment and business impact, which is part of what they are measured on by Cisco management.

9-2b Total Quality Management

Total quality management (TQM), also known as “continuous process improvement,” “lean,” and “Six Sigma,” evolved from a manufacturing emphasis on organizational processes that reliably produce products and services that meet or exceed customer expectations. The principles underlying TQM derive from the pioneering work of W. Edwards Deming and Joseph M. Juran, the fathers of the modern quality movement.¹⁹ Their disciplined approaches to quality management have transformed how organizations worldwide address the quality of their products and services.

Today, TQM is applied across most organizational functions and processes. It aligns with a firm’s overall strategy and directs the entire organization toward continuous quality improvement. TQM increases workers’ knowledge and skills through extensive training, provides relevant information, pushes decision making downward in the organization, and ties rewards to performance.²⁰ It has become an essential capability for global competitiveness.

TQM has developed into an industry, with consulting firms, university courses, and training programs related to quality improvement diffusing rapidly across many nations. It has spawned prestigious awards, such as the Malcolm Baldrige National Quality Award (www.nist.gov/baldrige) and the Shingo Prize (www.shingoprize.org), as well as global associations dedicated to quality, such as the American Society for Quality (www.asq.org), the American Productivity and Quality Center (www.apqc.org), and the International Society of Six Sigma Professionals (www.issp.com). Even the International Organization for Standardization has also become a strong proponent of TQM.

Application Stages TQM is typically implemented in five steps.²¹ With the exception of gaining senior management commitment, most of the steps can occur concurrently.

1. **Gain long-term senior management commitment.** This stage involves attaining senior executives’ commitment to the organization-wide application of TQM. They have the authority and larger perspective to align TQM with the firm’s overall strategy and to direct the entire organization toward continuous quality improvement. Senior leaders must be willing to allocate significant resources to TQM implementation, particularly to make large investments in training. For example, to achieve the goal of Six Sigma process quality (a statistical measure of product quality that implies 99.9997% perfection), departments at Motorola allocated at least 1.5% of their budgets for every employee to take at least 40 hours of training a year. Top executives also may need to make significant changes in the policies and norms of the organization’s support systems, such as customer service, finance, and human resources, that may be misaligned with TQM practices.
2. **Train members in quality methods.** TQM implementation requires extensive training in the principles and tools of quality improvement. Depending on the organization’s size and complexity, such training can be conducted in a few weeks to more than two years. Members typically learn problem-solving skills and simple statistical process control techniques, usually referred to as the *seven tools of quality*. The knowledge gained is used to understand variations in organizational processes, identify sources of avoidable costs, select and prioritize quality improvement projects, and monitor the effects of changes on product and service quality. By learning to analyze the sources of variation systematically, members can improve the reliability of product manufacturing or service delivery. For example, at New Orleans’ Ochsner Health System, managers and physicians used TQM methods to reduce direct costs attributable to its supply chain.²² The recent interest in Six Sigma programs has produced quality-improvement projects that require considerable facilitation and support. To guide those projects, many organizations have committed to the development of “green belt” and “black belt” roles, where employees gain specialized knowledge, skills, and experience in TQM methods to guide the projects.
3. **Start quality-improvement projects.** In this phase of TQM implementation, individuals and work groups apply the quality methods to identify the projects that hold promise for the largest improvements in organizational processes. They detect quality variations, intervene to minimize deviations from standards, monitor improvements, and repeat this quality-improvement cycle indefinitely. Identifying quality variations can apply to outputs, such as the percentage of defective products, or to the steps of a process that produce a product or service, such as customer on-time delivery percentages. Based on the measurement of variations in quality, members systematically analyze their cause using various TQM techniques. To determine which of possible causes is most responsible for variations, they may run experiments and pilot programs to determine which adjustments will cause variations to drop and quality to improve the most. The most effective adjustments are then implemented more broadly. Members continue to monitor the quality process to verify improvement and then begin the problem-solving process again for continuous improvement.

4. **Measure progress.** This stage of TQM implementation involves measuring organizational processes against some quality standards. Knowing and analyzing the competition's performance quality, for example, can inform the organization's position in its industry. Analytical efforts can extend to world-class standards, regardless of industry, and create stretch targets, also known as *benchmarks*. Benchmarks represent the best in organizational achievements and practices for different processes and are generally accepted as "world class." For example, "lean" principles derive from the Toyota Production System (TPS) and seek to maximize customer value with the fewest resources. Six Sigma programs attempt to drive out important sources of variation and achieve near perfection in the execution of critical processes. Addressing outstanding benchmarks from other industries can challenge an organization's conception of what is possible and promote "out-of-box thinking."
5. **Rewarding accomplishment.** In this final stage of TQM implementation, the organization links rewards to "process-oriented" improvements, such as increased on-time delivery, gains in customers' perceived satisfaction with product performance, and reductions in cycle time (the time it takes a product or service to be conceived, developed, produced, and sold). Rewards initially promote finding solutions to the organization's key quality problems. Then, rewards are tied to process-oriented improvements. This reinforces that continuous improvements, even small ones, are an important part of the new organization culture associated with TQM.

Results of Total Quality Management TQM's widespread global application and the variation in how it is applied across organizations have made rigorous evaluation of results difficult. Consistent with this application diversity, a recent bibliometric analysis of 2,633 TQM research publications from 1990 to 2019 shows substantial differences in the research contexts (e.g., organizations, industries, countries), methods, measures, and results of this voluminous body of TQM knowledge.²³ We review here some of more rigorous applied results.

Surveys show that most companies rate their TQM experience as either positive or very positive.²⁴ They also report that TQM is often associated with the implementation of other EI and EE interventions, such as employee participation in decision making and job enrichment. Finally, the surveys show that TQM was positively associated with performance outcomes, such as productivity and product/service quality, as well as with employee outcomes, such as job satisfaction and QWL. Other TQM studies have

shown that as organizations enact process improvements, they may need to make supporting changes in reward systems and work design.²⁵

One of the most rigorous longitudinal studies of the long-term outcomes of TQM found that in contrast to a matched control group, the 600 North American firms that had won a prominent quality award scored significantly higher on operating income measures as well as on long-term stock performance.²⁶ Similar long-term TQM effects were found in replicated studies, one with over 700 European quality award winners and another with a broad sample of 501 firms.²⁷ A study of Swedish quality award winners found that they consistently outperformed their competitors on measures of sales and profitability.²⁸ A balanced picture of TQM effects is provided by a study of 54 firms of different sizes, both adopters and nonadopters of TQM.²⁹ It found that TQM firms significantly outperformed non-TQM firms. The source of the performance advantage was not the tools and techniques of TQM, however, but the organization culture and the employee empowerment and commitment that came from successful implementation of TQM. The study concluded that "these tacit resources, and not TQM tools and techniques, drive TQM success" and that "organizations that acquire them can outperform competitors with or without the accompanying TQM ideology." A good example is Lilly Value and Access, which won the Baldrige Award in 2023. Lilly Value and Access's experience with TQM has suggested that the biggest organizational gains have come through the integration of TQM concepts with other business and strategic initiatives. TQM has helped Lilly Value and Access be a better all-around company.

Application 9.2 describes how TQM is applied at the Ritz-Carlton Hotel Company.³⁰ It shows how the company's culture, senior leadership, and empowered work practices contribute to TQM success. In learning about Ritz-Carlton's TQM process, it can be helpful to examine how the company followed the five application steps. Anything it could have improved on? How might Ritz-Carlton's TQM process be affected if employees join the growing union movement in the hospitality industry?

9-2c High-Involvement Organizations

An increasing number of EI and EE interventions are aimed at creating high-involvement organizations (HIOs). These changes address organizational factors that support high levels of employee participation and engagement throughout the organization. What makes HIOs unique is the comprehensive nature of their design process. Unlike parallel structures that do not alter the formal organization or TQM interventions that tend to focus on particular

Application 9.2

TQM at the Ritz-Carlton

The Ritz-Carlton Hotel Company, the flagship of the revised Marriott International portfolio of hotels, operates 91 luxury hotels in 31 countries. Employing about 40,000 staff, the firm has a venerable record of excellent service that is considered the benchmark by many in the hospitality industry. Ritz-Carlton has been involved in TQM for over 30 years and was the first hotel chain to win the coveted Malcolm Baldrige National Quality Award in 1992. Needless to say, Ritz-Carlton is passionate about quality guest care, from the president and chief operating officer, Herve Humler, to the maintenance, front desk, and housekeeping staff.

Ritz-Carlton's unique approach to TQM is embedded in its strong corporate culture, spelled out clearly in its "Gold Standards." These standards are the backbone of the company and include the values and philosophy that guide how it operates, including processes for solving problems and criteria for grooming, housekeeping, safety, and efficiency. The Gold Standards include Ritz-Carlton's credo, motto, three steps to service, service values, and other proprietary statements. All employees know the Gold Standards by heart and are well trained in what they mean for daily work behavior. For example, Ritz-Carlton's motto, "We are Ladies and Gentlemen serving Ladies and Gentlemen," is closely tied to how guests are welcomed, with "a warm and sincere greeting," and depart with a "fond farewell."

Ritz-Carlton's TQM program begins at the top with senior executives who spend about a quarter of their time on quality issues. Because the company's service culture is built on trust, these leaders hold themselves accountable for behaving according to the values that they require of the organization. The senior executives comprise the corporate steering committee for TQM as well as their own senior quality-management team. Each week the steering committee reviews various measures of service quality and performance. It engages in detailed planning by setting objectives, devising action plans, and assessing results. This planning process is essential to Ritz-Carlton's TQM program. It extends to each level of the firm where teams in the individual work areas set objectives and create action plans that are reviewed by the corporate steering committee. This cross-level planning process helps ensure that quality goals and

action plans are consistent across organizational levels and integrated with the firm's overall plan. In addition, each hotel has a designated quality leader, who serves as a resource and advocate as teams develop and implement their quality plans.

Teams play a key role in providing quality service. Each work area in a hotel includes teams responsible for problem solving, strategic planning, and setting quality-certification standards for each position. Employees meet as teams to spot problem patterns, prioritize them, and develop changes to prevent their recurrence. These cross-functional teams require sufficient time and resources to learn how to function effectively. Managers are still responsible for objectives and solutions but rely on input and involvement from team members. A unique team tradition at Ritz-Carlton is the "lineup," drawn from early French restaurants where the chef got his whole team, including the waiters and waitresses, together at the same time each evening to communicate what they are going to be serving. At the Ritz-Carlton, teams on every shift use the lineup for about 15 minutes every day. This includes sharing up-to-the-minute information as well as talking about great things employees have done to deliver exceptional service.

An integral part of Ritz-Carlton's TQM program is empowering employees to solve guests' problems as quickly as possible. Employees are responsible for acting at first notice, regardless of the type of problem or guest complaint. They are expected to stop their normal routine and to take immediate positive action to discover what went wrong and resolve it. They are empowered to handle any customer complaint on the spot and can demand the immediate assistance of other employees and spend up to \$2,000 if necessary. Employees can apply this rapid response not just to solve problems but to do something that creates an absolutely wonderful stay for a guest, such as surprising guests with champagne and cake in their room on their birthdays. Ritz-Carlton also works hard to avoid guest problems before they occur. Employees who detect a potential problem in service delivery are immediately expected to bring it to management's attention and a solution is found. Eliminating internal employee complaints can avoid external complaints that might come from guests.

TQM at the Ritz-Carlton, continued

A key to Ritz-Carlton's TQM success is the continuous collection and analysis of data on service quality and its comparison to predetermined customer expectations. Assisted by the latest information technology, the company gathers information on such quality measures as percentage of check-ins with no queuing, time spent to achieve industry-best room appearance, time to service an occupied guest room, and guest room preventive-maintenance cycles. Data submitted from each of a hotel's 720 work areas provide daily quality production reports, which enable rapid identification of problems in achieving quality and customer-satisfaction goals.

Ritz-Carlton's human resources practices are tied closely to TQM. Selection, training, and performance appraisal are geared to talent acquisition, development, and retention. Only about 2% of the people who apply for jobs are hired. A key criterion is how well the applicant is likely to fit the company's culture including being a team member. Once on board, new employees are versed in the corporate culture through a two-day orientation, followed by extensive on-the-job training, then job certification. To obtain certification, employees are assessed on their mastery of skills associated with their particular job. They also are tested on how well they know the company's TQM philosophy and credo, which can qualify them as "quality engineers." Ritz-Carlton expects 100% compliance with skills testing, so that everyone is certified to do a particular job and is a

quality engineer as well. The company's performance appraisal system is based on the Gold Standards and employees are held responsible only for those things under their control.

Ritz-Carlton also has extended TQM to its suppliers. To ensure that suppliers meet the firm's quantity and quality needs, it has developed a supplier certification process, which measures how often suppliers meet specifications on time and how well they improve their cycle time from order to delivery. The certification process also includes an internal audit of suppliers' capabilities and a quality survey of those who use their products and services, including purchasing agents, accounting personnel, salespersons, and hotel guests. Ritz-Carlton ranks suppliers based on these data with the objective of getting them certified to become a fully integrated partner.

The fundamental aim of Ritz-Carlton's TQM process is not simply to meet the expectations of guests but to provide them with a visit that is unique, memorable, and personal. According to independent surveys, 92 to 97% of the guests leave with that impression. Ritz-Carlton's experience and success with TQM has spread worldwide to organizations in a variety of industries and regions. Started in 2000, its Leadership Center provides knowledge, information, and benchmarking to organizations interested in learning many of the business practices that led to Ritz-Carlton becoming a two-time recipient of the Malcolm Baldrige National Quality Award.

processes, HIOs address almost all features of an organization's design. Organization structure, work design, management processes, physical layout, and human resources management practices are designed jointly to promote high levels of involvement, engagement, and performance.

Features of High-Involvement Organizations High-involvement organizations are designed with features congruent with one another. The different aspects of the organization mutually reinforce and form a coherent pattern that promotes employee participation in decisions and emotional and behavioral connection to the workplace and the larger organization. Most HIOs include several if not all of the following features:³¹

- **Flat, lean organization structures** contribute to involvement by pushing the scheduling, planning, and controlling functions typically performed by management

and staff groups down in the organizational hierarchy. Similarly, team-based structures that are oriented to a common purpose or outcome help focus employee participation on a shared objective.

- **Work designs** that provide employees with high levels of discretion, task variety, and meaningful feedback can enhance involvement and commitment to work. They enable workers to influence day-to-day workplace decisions and to receive intrinsic satisfaction by performing work under enriched conditions. Enriched jobs and self-managed teams (described in Chapter 10) encourage employee responsibility by providing cross-training and job rotation, which give members a chance to learn about the different functions contributing to organizational performance.
- **Open information systems** that are tied to jobs or work teams provide the necessary information for employees

to participate meaningfully in decision making. Goals and standards of performance that are set participatively can provide employees with a sense of commitment and motivation for achieving those objectives.

- **Career systems** that provide different tracks for advancement, counseling to help employees choose appropriate paths, and open job posting to make them aware of job opportunities can help members plan and prepare for their development in the organization.
- **Recruiting and selection** of employees for HIOs can include measures of growth-need strength and social needs to assess the likelihood that recruits will fit personally within a participative workplace. Additionally, a realistic job preview can provide recruits with information about what it will be like to work in such situations. Member involvement in the selection process can enhance its soundness as well as facilitate a participative climate.
- **Training** employees for the necessary knowledge and skills to participate effectively in decision making is a strong commitment in HIOs. This also includes education on the economic side of the enterprise and interpersonal skill development. Peer training is emphasized as a valuable adjunct to formal, expert training. New employees are intentionally on-boarded.
- **Reward systems** contribute to HIOs when information about them is open and the rewards are based on acquiring new skills, as well as on sharing gains from improved performance (skill-and-knowledge-based pay systems and performance-base pay systems are described in Chapter 11). Similarly, participation is enhanced when employees are provided with comprehensive benefit programs and when reward distinctions among people from different hierarchical levels are minimized.
- **Physical layouts** that support team structures and reduce status differences among employees can reinforce the egalitarian climate needed for employee participation. Safe and pleasant working conditions provide a physical environment conducive to participation.

These HIO design features are mutually reinforcing and send a message to employees that they are valued, trusted, and capable of developing and that their involvement in the organization is desirable and expected.³² Moreover, these design components focus and motivate organizational behavior in a strategic direction, and thus can contribute to competitive advantage, particularly in contrast to more traditionally designed organizations.³³

Application Factors There is no universally accepted approach to implementing HIOs because the actual change

process is specific to the situation. The work of Michael Beer suggests that organizations must address their orientation toward performance, culture, and learning in an orderly and systemic way.³⁴ At least two factors seem to characterize how HIOs are implemented. First, implementation is generally guided by an explicit statement of values that members want and expect the organization to support. Typically, such values as teamwork, equity, and empowerment guide the choice of specific design features. Values that are strongly held and widely shared by organization members can provide the energy, commitment, and direction needed to create HIOs. A second feature of the implementation process is its participative nature. Managers and employees take active roles in choosing and implementing the design features. They may be helped by OD practitioners, but the locus of control for the change process resides clearly within the organization. This participative change process is fundamental and congruent with the high-involvement design being created.³⁵ In essence, high-involvement design processes promote HIOs.

Results of High-Involvement Organizations Extensive research on HIOs generally supports their positive effects on organization performance and employee behaviors and attitudes. An early survey of 98 HIOs showed that about 75% of them perceived their performance relative to competitors as better than average on QWL, customer service, productivity, quality, and grievance rates.³⁶ Analyses of company records revealed that voluntary turnover was 2%, substantially below the national average; return on investment was almost four times greater than industry averages; and return on sales was more than five times greater. An array of more recent studies generally confirms a positive relationship between HIOs and various measures of organizational effectiveness, including return on investment, turnover, job performance, and work stress.³⁷ Research also has identified a variety of conditions that can influence HIO outcomes, such as industry capital intensity, employee knowledge sharing, market turbulence, and work intensity, to name a few. For example, in a study of 125 manufacturing and service firms, the positive relationship between HIO practices and innovative behavior was stronger when employees shared knowledge and the competitive market was more turbulent.³⁸ In a study of 132 manufacturing firms, the strength of the relationship between HIO practices and labor productivity varied depending on the industry's capital intensity.³⁹ Improving HIO practices by one standard deviation in a high capital-intensive industry increased sales per employee by 1%, a nontrivial amount. In a study involving 17 industries in New Zealand, increased use of HIO practices was associated with enhanced employee well-being, as measured by job satisfaction, fatigue, and

job stress.⁴⁰ The researchers warned, however, that these positive human effects might not be realized if HIOs lead to work intensification with greater pressures to work harder and longer.

Application 9.3 describes the HIO at Mars, Inc.⁴¹ The case provides a good example of the broad application of EI and EE interventions. Over time, Mars has embedded

power, information, knowledge and skill, and rewards into its organization design. Notice how Mars implements the different design features and how they mutually reinforce employee behavior in a strategic direction. What changes in the design of its HIOs might Mars have to consider as the economy becomes more digitalized and politically fragmented?

Application 9.3

Building a High-Involvement Organization at Mars, Incorporated

Founded in 1911, Mars is a private, family-owned company that produces confectionery, beverages, pet food, and other food products, as well as animal care services. Some of its best-known brands are M&M's, Snickers, Wrigley's, Pedigree, Whiskas, Uncle Ben's, and VCA animal hospitals. Headquartered in McLean, Virginia, and employing more than 130,000 people worldwide, Mars had more than \$45 billion in annual global sales in 2022. Rated in 2023 by *Forbes* as among America's Best Large Employers, Mars is recognized among the best places to work for parents, millennials, and diverse and multinational employees.

History of Engagement and Involvement

Like many family firms, Mars is a bit secretive and the decision to openly pursue a HIO has been driven mostly by the realities of the day. Customers and employees want more transparency, want to know where their food comes from, and want to work with more socially and environmentally responsive firms.

Mars' early work in HIOs was mostly about training in response to annual organizational surveys about workplace improvements. As Jennifer Schulte, who was charged with leading the early involvement efforts, reported, "We surveyed every associate at every level across our business and there was mandatory half-day training for all managers about how to interpret the survey, how to sit down and prepare for a session with their team, and how to create an action plan. It was very tactical stuff." Like many companies, thinking about EI led to a circular effort—the more Mars measured engagement, the more work was done on engagement.

Schulte wondered whether doing business processes the right way would result in high involvement as an outcome. She began looking at the survey data, looking for pockets of high involvement within the company. Was it at a site, in a country, in a function? She found that it was very manager-specific. Managers whose teams scored high on EE often were from sites where the overall score was very low. Moreover, in interviews, she found that many managers doing involvement activities were not aware that what they were doing was special and valuable. Schulte tried to bring into the light the way these managers were approaching their work, communicating with their people, and empowering their teams to make decisions. She did not emphasize a cookie-cutter approach to HIOs but encouraged managers to try engagement practices that seemed right for their work units.

These early experiences with EI produced three related learnings. First, Mars focused too much on the manager's approach to involvement and not enough on the results. Training the managers, talking to their teams, and developing action plans was fine, but then it became someone else's job to implement it all. Managers initially felt like, "there, I've done my engagement job." What Mars learned over time was that EI is the enabler to do the things you're trying to do to deliver superior products and customer service. It had to become unacceptable to deliver on functional and technical objectives but not engage employees.

Second, human resources (HR) had tried too hard to make managers own the process. At some point, HR realized that it wasn't doing its job as a business partner if it wasn't ensuring that EI was in

Building a High-Involvement Organization at Mars, Incorporated, continued

everyone's objectives and reflected in every system. The HR organization stepped up its coaching, training, and development activities. It established metrics for measuring EI and made sure that it was on everyone's agendas. From Schulte's position, "I think HR can very much be kind of like the nudge to the business, about how important this is, and [how] we can't let our foot off the gas."

The first two conclusions led to the third learning. EI happened every day and had to be embedded in every system. One of the things that helped Mars make involvement a way of work life was strong support from the top of the firm. When Paul Michaels became president around 2005–2006 (the first non-family member to hold the position), he took engagement seriously. It was on the agenda every time his leadership team met. Key executives had in-depth conversations about the actions that needed to be taken and followed up with everybody. Paul and the top team believed that EI and EE were important drivers of business results. What emerged at Mars was a constellation of strategies, systems, and programs that sent a consistent message about the importance of involvement for business success.

Organization and Culture

The Five Principles of Mars—Quality, Responsibility, Mutuality, Efficiency, and Freedom—are the foundation of its corporate culture and approach to business. For Mars, the freedom principle is the core to the company's success and, as a family business, that freedom is rooted in independence from debt and public ownership. Martin Radvan, president of Wrigley and longtime "Martian" said, "A very important tenet of Mars is we don't want to be a holding company of different companies." Reflecting the principles of responsibility and freedom, each Mars division functions independently subject to the core principles, almost every dollar of profit gets reinvested in the company, and the organization grows consistently but not aggressively.

Mars' principles date from its founding but weren't codified until 1983. They unite the organization across geographies, products, cultures, and generations. Every Mars employee gets a glossy 27-page booklet, signed by 13 family members, explaining the principles in action. The principles "set us apart from others, requiring that we think and act differently

towards our associates, our brands, and our business." Associates also attend the "Essence of Mars" course, which focuses on The Five Principles.

Transparency and Rewards

While many organizations tout significant perks as a key to engagement—and Mars has plenty of their own, including free candy, snacks, and beverages, subsidized lunches, massage therapy, dry cleaning, personalized travel services, and subsidized transportation—it doesn't get them confused with the real choices that drive a HIO. Mars is transparent with associates about its expectations for EI and empowers them to be vocal and accountable. Every team has an "Engagement Impact Plan" identifying areas that associates believe are the most important to their involvement. To support transparency, Mars has an "open office" way of working. It encourages networking, openness, and communication that spans physical and organizational barriers. It encourages all associates to engage with one another, regardless of their level or title. When Mars acquired Wrigley in 2008, the 117-year-old chewing-gum manufacturer gutted its offices to change to Mars's open-floor plan. Within its offices, Mars openly displays a range of current financial information on TV screens (except when there is a visitor from outside the company).

In addition to above-average base salaries, the financial information is important because employee bonuses are tied to the performance of their respective divisions. Many employees get bonuses from 10 to 100% of their salaries if their team has performed well financially. Mars also offers progressive and generous health care, retirement, and vacation benefits to all employees and their spouses and partners. Mars associates utilize flexible scheduling and optional compressed work weeks ("During the summer we can choose to work summer hours, which allows for half-day Fridays"). Mars supports stress management, weight management, and other wellness programs. It offers formal programs, like ERGs, to support professional development for women, the LGBTQ+ community, and non-English speakers.

Mars' Make the Difference Award recognizes individual associates and teams who bring The Five Principles of Mars to life by impacting individuals, teams, or organizations in their communities. Similarly, Mars

Building a High-Involvement Organization at Mars, Incorporated, continued

recognizes successful applications across sites or functions. Occasionally, a change spreads quickly and managers catch onto it at the same time. Mars acknowledges that getting something to go across functions or across all the groups within a site or a certain area is an even bigger deal than changing the members of one team.

Careers and Development

Mars puts special emphasis on career advancement, both within a division and across the organization. It prizes the idea of developing cross-division talent and there are significant systems to support these aims. As one millennial put it, “This company has demonstrated a unique investment in my personal development and engagement. [It] offers a wide range of training through its Mars University [and] nobody gives me any grief for taking time off work to develop myself.”

Mars pays for tuition and books for college courses (up to a limit) and many Martians get a mentor. Some executives even go through a “reverse internship” in which a younger employee introduces

them to social media. Mars spends considerable time training associates and investing in their development. For example, associates can attend the “Passion for Chocolate” class where they learn how Mars sources raw materials, how they make chocolate, and how they support sustainability.

In terms of corporate social responsibility, Mars encourages community involvement through two programs: the Mars Volunteers Program (MVP) and the Mars Ambassadors Program (MAP). MVP is a worldwide initiative that gives Mars’ associates up to 16 hours of paid time off to make a difference in the communities where the company operates and sources its products. MAP supports qualified associates in developing their leadership and professional skills to promote healthy, active lifestyles for people and pets, the sustainable use of natural resources, and human rights, empowerment, and alleviating poverty.

High involvement is not an annual event at Mars. It is a way of operating that is reflected in the company’s strategy, organization design, culture, and management approach.

Summary

This chapter described employee involvement and employee engagement interventions. These technostructural change programs are aimed at moving decision making downward in the organization and creating the organizational conditions that increase members’ emotional, cognitive, and behavioral ties to the workplace and the organization. These changes improve member responsiveness and performance and increase their flexibility, commitment, and satisfaction.

The relationship between EI and EE changes and productivity can be oversimplified. Productivity can be

increased through improved employee communication, motivation, and skills and abilities. It also can be affected through attracting and retaining talented people to the organization and enhancing their enthusiasm, dedication, and attention to work.

Major EI and EE interventions are parallel structures, including cooperative union–management projects and ERGs, TQM, and HIOs. The results of these approaches generally are positive, and the quality of research supporting them is increasing.

Notes

1. *State of the Global Workplace: 2023 Report* (Gallup, 2023).
2. A. Beraldin, P. Danese, and P. Romano, “Employee Involvement for Continuous Improvement and Production Repetitiveness: A Contingency Perspective for Achieving Organisational

Outcomes,” *Production Planning and Control* 33 (2022): 323–39; D. Kossyva, G. Theriou, V. Aggelidis, and L. Sarigiannidis, “Definitions and Antecedents of Engagement: A Systematic Literature Review,” *Management Research Review*, 46 (2023): 719–38.

3. L. Davis, "Enhancing the Quality of Work Life: Developments in the United States," *International Labour Review* 116 (July–August 1977): 53–65; C. Cooper and E. Mumford, eds., *The Quality of Working Life in Western and Eastern Europe* (Praeger, 1979).
4. G. Benson and E. E. Lawler III, "Employee Involvement: Research Foundations," in *The Psychologically Healthy Workplace: Building a Win-Win Environment for Organizations and Employees*, eds. M. Grawitch and D. Ballard (American Psychological Association, 2016): 13–33; D. Glew, A. O'Leary-Kelly, R. Griffin, and D. Van Fleet, "Participation in Organizations: A Preview of the Issues and Proposed Framework for Future Analysis," *Journal of Management* 21, no. 3 (1995): 395–421; J. Cotton, *Employee Involvement: Methods for Improving Performance and Work Attitudes* (Sage, 1993).
5. G. Boccili, L. Gastaldi, and M. Corso, "The Evolution of Employee Engagement: Towards a Social and Contextual Construct for Balancing Individual Performance and Well-being Dynamically," *International Journal of Management Reviews* 25 (2023): 75–98; Kossyva et al., "Definitions and Antecedents of Engagement."
6. Kossyva et al., "Definitions and Antecedents of Engagement."
7. M. Mueller, "Show Me the Money: Toward an Economic Model for a Cost–Benefit Analysis of Employee Engagement Interventions," *International Journal of Organization Theory and Behavior* 22 (2019): 43–64.
8. E. Lawler III and G. Ledford, "Productivity and the Quality of Work Life," *National Productivity Review* 2 (Winter 1981–1982): 23–36.
9. Kossyva et al., "Definitions and Antecedents of Engagement"; Boccili, Gastaldi, and Corso, "The Evolution of Employee Engagement."
10. G. Bushe and A. Shani, "Parallel Learning Structure Interventions in Bureaucratic Organizations," in *Research in Organizational Change and Development*, vol. 4, eds. W. Pasmore and R. Woodman (JAI Press, 1990): 167–94; D. Zand, "Collateral Organization: A New Change Strategy," *Journal of Applied Behavioral Science* 10 (1974): 63–89; S. Goldstein, "Organizational Dualism and Quality Circles," *Academy of Management Review* 10 (1985): 504–17.
11. L. Kristin, H. Finnestrand, and O. Vie, "Co-Creating New Dancefloors Through a Parallel Organization: Organizational Development Through Union-Management Cooperation in the Public Sector," *European Journal of Workplace Innovation* 7 (2023): 78–102; S. Schlachter, S. Rolf, and T. Welbourne, "Dynamics of Employee Resource Groups: Leader Experiences Driving Mutual Benefits for Employees and Employers," *Compensation and Benefits*, 56 (2024): 119–137.
12. G. Bushe and A. Shani, *Parallel Learning Structures: Increasing Innovation in Bureaucracies* (Addison-Wesley, 1991); R. Passfield, "Innovation and Synergy Through a Parallel Action Learning Structure," *The Learning Organization* 9 (2002): 150–58.
13. H. Katz, T. Kochan, and M. Weber, "Assessing the Effects of Industrial Relations Systems and Efforts to Improve the Quality of Working Life on Organizational Effectiveness," *Academy of Management Journal* 28 (1985): 509–26.
14. Lawler, Mohrman, and Ledford, *Strategies for High-Performance Organizations* (Jossey-Bass, 1998); D. Tjosvold, "Making Employee Involvement Work: Cooperative Goals and Controversy to Reduce Costs," *Human Relations* 51 (1998): 210–14; "Employee Participation and Labor–Management Cooperation in American Workplaces," *Challenge* 38 (1995): 38–46.
15. Lawler and Ledford, "Productivity and the Quality of Work Life," 35.
16. D. Bolt, "Promoting Employee Mental Health in the Workplace: Best Practices for COVID-19 and Beyond," *Human Service Organizations: Management, Leadership and Governance* 47 (2023): 347–352; Schlachter, Rolf, and Welbourne, "Dynamics of Employee Resource Groups."
17. T. Welbourne, S. Rolf, and S. Schlachter, "The Case for Employee Resource Groups: A Review and Social Identity Theory-Based Research Agenda," *Personnel Review* 46 (2017): 1816–34.
18. J. Munson, "Lessons Learned: Successfully Implementing the ERG Progression Model" (September 1, 2011), <https://blogs.cisco.com/diversity/lessons-learned-successfully-implementing-the-erg-progression-model>; Cisco Systems, "Resource Guide for Developing and Sustaining Employee Resource Groups," http://www.cisco.com/c/dam/en_us/about/ac49/ac55/docs/RESOURCE_GUIDE_external11_2010.pdf; T. Dovalpage, "Cisco Brings Hands-On Technology Training to Latin America" (November 1, 2015), <http://hispanicexecutive.com/2015/cisco-4/>; Jennifer Brown Consulting, "Employee Resource Groups That Drive Business," <http://jenniferbrownconsulting.com/cisco-jbc-driving-business-next-practices-for-ergs/>.
19. M. Helmold, "History and Evolution in Quality Management (QM)," in *Virtual and Innovative Quality Management Across the Value Chain: Management for Professionals* (Springer, 2023).
20. H. Liu, R. Liu, and X. Gu, "From Total Quality Management to Quality 4.0: A Systematic Literature Review and Future Research Agenda," *Frontiers of Engineering Management* 10, (2023): 191–205.
21. S. Gupta, P. Khanna, and U. Soni, "Analyzing the interaction of critical success factor for TQM implementation-A grey-DEMATEL approach," *Operations Management Research*, 16 (2023): 1619–1640; R. Hchaichi, "The Key Success Factors of Total Quality Management Implementation in State-Owned Enterprise," *International Journal of Public Administration*, 46 (2023): 156–67.

22. "Case Study: Ochsner Health System," *Hospitals and Health Networks* 87 (2013): 72.
23. Y. Ho, Y. Cavacece, A. Tartaglione, and A. Douglas, "Publication Performance and Trends in Total Quality Management Research: A Bibliometric Analysis," *Total Quality Management and Business Excellence* 34 (2023): 97–130.
24. M. Akanmu, M. Hassan, B. Mohamad, and N. Nordin, "Sustainability through TQM Practices in the Food and Beverages Industry," *International Journal of Quality and Reliability Management* 40 (2023): 335–64; A. Furtasan, "Total Quality Management (TQM) and Quality of Higher Education: A Meta-Analysis Study," 16 (2023): 161–78; E. Lawler III, *Organizing for High Performance* (Jossey-Bass, 2001).
25. T. Douglas and W. Judge Jr., "Total Quality Management Implementation and Competitive Advantage: The Role of Structural Control and Exploration," *Academy of Management Journal* 44 (2001): 158–70; R. Allen and R. Kilmann, "The Role of the Reward System for a Total Quality Management Based Strategy," *Journal of Organizational Change Management* 14 (2001): 110–32.
26. K. Hendricks and V. Singhal, "Does Implementing an Effective TQM Program Actually Improve Operating Performance?: Empirical Evidence from Firms That Have Won Quality Awards," *Management Science* 43 (1997): 1258–74; K. Hendricks and V. Singhal, "Firm Characteristics, Total Quality Management and Financial Performance," *Journal of Operations Management* 19 (2001): 269–85; K. Hendricks and V. Singhal, "The Long-Run Stock Price Performance of Firms with Effective TQM Programs," *Management Science* 47 (2001): 359–68.
27. L. Boulter, T. Bendell, and J. Dahlgaard, "Total Quality Beyond North America: A Comparative Analysis of the Performance of European Excellence Award Winners," *International Journal of Operations and Production Management* 33 (2013): 197–215; G. Zhang and Y. Xia, "Does Quality Still Pay?: A Reexamination of the Relationship Between Effective Quality Management and Firm Performance," *Production and Operations Management* 22 (2013): 120–36.
28. J. Hansson and H. Eriksson, "The Impact of TQM on Financial Performance," *Measuring Business Excellence* 6 (2002): 44–54.
29. T. Powell, "Total Quality Management as a Competitive Advantage: A Review and Empirical Study," *Strategic Management Journal* 16 (1995): 15–37.
30. This application was adapted from material in the following sources: <http://www.ritzcarlton.com>; R. Reiss, "How Ritz-Carlton Stays on Top," *Forbes*, October 30, 2009; "How Ritz-Carlton Applies 'TQM,'" *Cornell Hotel and Restaurant Administration Quarterly* 34 (August 1993): 16–25.
31. E. E. Lawler III, *High-Involvement Management: Participative Strategies for Improving Organizational Performance* (Jossey-Bass, 1986).
32. E. Lawler III, "Increasing Worker Involvement to Enhance Organizational Effectiveness," in *Change in Organizations*, ed. P. Goodman (Jossey-Bass, 1982): 299; R. Walton, "From Control to Commitment in the Workplace," *Harvard Business Review* 63 (1985): 76–84.
33. E. Lawler III, *The Ultimate Advantage* (Jossey-Bass, 1992).
34. M. Beer, *High Commitment-High Performance: How to Build a Resilient Organization* (Jossey-Bass, 2009).
35. M. Beer, "The Strategic Fitness Process: A Collaborative Action Research Method for Developing and Understanding Organizational Prototypes and Dynamic Capabilities," *Journal of Organization Design* 2 (2013): 27–33.
36. G. Ledford, "High-Involvement Organizations" (Working paper, Center for Effective Organizations, University of Southern California, 1992).
37. H. Meacham, T. Tham, P. Holland, T. Bartram, and B. Halvorsen, "The Role of High-Involvement Work Practices, Supervisor Support and Employee Resilience in Supporting the Emotional Labour of Front-Line Nurses," *International Journal of Human Resource Management*, 34 (2023): 745–67; D. Vazquez-Bustelo and L. Avella, "The Effectiveness of High-Involvement Work Practices in Manufacturing Firms: Does Context Matter?" *Journal of Management and Organization* 25 (2019): 303–30; D. Jeong and M. Choi, "The Impact of High-Performance Work Systems on Firm Performance: The Moderating Effects of the Human Resource Function's Influence," *Journal of Management and Organization* 22 (2016): 328–48; O. O'Neill, D. Feldman, R. Vandenberg, D. Dejoy, and M. Wilson, "Values, High-Involvement Work Practices, and Business Unit Performance," *Human Resource Management* 50 (2011): 541–58; C. Riordan, R. Vandenberg, and H. Richardson, "Employee Involvement Climate and Organizational Effectiveness," *Human Resource Management* 44 (2005): 471–88; J. Guthrie, "High-Involvement Work Practices, Turnover, and Productivity: Evidence from New Zealand," *Academy of Management Journal* 44 (2001): 180–91; R. Vandenberg, H. Richardson, and L. Eastman, "The Impact of High Involvement Work Processes on Organizational Effectiveness: A Second-Order Latent Variable Approach," *Group and Organization Management* 24 (1999): 300–39; J. Combs, L. Yongmei, A. Hall, and D. Ketchen, "How Much Do High-Performance Work Practices Matter?: A Meta-analysis of Their Effects on Organizational Performance," *Personnel Psychology* 59 (2006): 501–28.
38. H. Le and P. Le, "How High-Involvement HRM Practices Motivate Knowledge Sharing and Innovation: The Role of Market Turbulence," *Evidence-Based HRM* 11 (2023): 762–80.
39. D. Datta, J. Guthrie, and P. Wright, "Human Resource Management and Labor Productivity: Does Industry Matter?" *Academy of Management Journal* 48 (2005): 135–45.

40. K. Macky and P. Boxall, "High-Involvement Work Processes, Work Intensification and Employee WellBeing: A Study of New Zealand Worker Experiences," *Asia Pacific Journal of Human Resources* 46 (2008): 38–55.
41. This application was developed from the following sources: D. Irvine, "Wisdom from 'Best Companies' Leaders: Mars, Inc." (January 2013), <http://www.recognizethisblog.com/2013/01/wisdom-from-best-companies-leaders-mars-inc/>; D. Kaplan, "Mars Incorporated: A Pretty Sweet Place to Work," *Fortune* (February 4, 2013), <http://fortune.com/2013/01/17/mars-incorporated-a-pretty-sweet-place-to-work/?iid=sr-link2>; D. Zinger, "Employee Engagement Dialogue with Jennifer Schulte from Mars, Inc." (November 7, 2012), <http://www.davidzinger.com/employee-engagement-dialogue-with-jennifer-schulte-from-mars-inc-14288/>; F. Coggeshall, "How Engagement Drives Success for Mars Retail Group" (January 2014), <http://www.argylejournal.com/chief-human-resources-officer/how-engagement-drives-success-for-mars-retail-group/>.

Work Design

Learning Objectives

- Describe the engineering and reengineering approaches to work design.
- Explore and evaluate the motivational approach to work design.
- Discuss and apply the principles of sociotechnical systems work design.
- Learn how to design work to meet technical and personal needs.

This chapter involves work design—creating jobs and work groups that produce high levels of productivity and employee fulfillment. This technostuctural intervention can be part of a larger employee involvement program, or it can be an independent change process. Work design has been applied and researched extensively in organizations.¹ Recently, organizations have combined work design with supporting changes in organization structure, goal setting, and reward systems (see “Organization Design” section in Chapter 13). These organizational features can help structure and reinforce the kinds of work behaviors associated with specific work designs. (How performance management interventions can support work design is discussed in Chapter 11.)

This chapter examines four approaches to work design. First, the engineering approach focuses on simplification and efficiency resulting in traditional jobs and work groups. Traditional jobs involve relatively routine and repetitive forms of work, where little interaction

among people is needed to produce a service or product. Call center operators and customer support personnel are examples of this job design. Traditional work groups are composed of members performing routine yet inter-related tasks. Member interactions are controlled by supervisors, schedules, and rigid workflows, such as might be found on assembly lines.

A second approach to work design, reengineering, systematically redesigns the organization’s core work processes for greater coordination among the different interdependent tasks. Attention to workflow integration results in faster, more responsive task performance. It is often accompanied by new information technology (IT) that enables employees to control and coordinate work processes more effectively. It results in work designs that are more team based and self-managing.

A third approach to work design derives from motivational theories. It enriches jobs with high levels of meaning, discretion, and knowledge of results. A notably researched

model focusing on job dimensions and employee psychological states guides this intervention.

The fourth approach to work design stems from sociotechnical systems theory and practice. It seeks to optimize both the social and the technical aspects of work systems. This method has led to a popular form of work design called “self-managed teams,” composed of multiskilled members performing interrelated tasks. Members are given the knowledge, information, and

power necessary to control their own task behaviors with relatively little external control. Supportive organizational systems and supervisory styles are needed to manage them.

The chapter describes each of these perspectives on work design. It then presents a contingency framework identifying the technical and personal conditions where the different work designs are most productive and satisfying.

10-1 The Engineering Approach

This method for designing work is based on engineering concepts and methods. It is less an organization development (OD) intervention than a benchmark in history. It designs work for efficient operations that result from clearly specifying the tasks to be performed, the methods to be used, and the workflow among individuals. The engineering approach is based on the pioneering work of Frederick W. Taylor, the father of scientific management.² In the late 1800s, he developed methods for analyzing and designing work that laid the foundation for the professional field of industrial engineering.

The engineering approach systematically analyzes work tasks to discover those methods that produce the maximum output with the minimum input of energies and resources. This results in work designs that are highly specified and controlled. They enable employees to learn tasks rapidly; involve short work cycles so performance takes place with little or no mental effort; and reduce costs because lower-skilled employees can be hired, trained easily, and paid relatively low wages.

The engineering approach produces two kinds of work design: traditional jobs and traditional work groups. When the work can be completed by one person, such as with bank tellers and standalone machine operators, traditional jobs are created. They involve highly routinized and repetitive tasks with clear time and motion specifications. When the work requires coordination among people, such as on manufacturing assembly lines, traditional work groups are designed. They are composed of members who perform relatively routine yet related tasks. The overall group task is typically broken into simpler parts, often called jobs, with each part highly specified and assigned to individual members. Members’ independent task contributions are coordinated for overall task achievement through such external controls as tight schedules, rigid workflows, and autocratic supervision. This method of work design, pioneered in the early 1900s by Henry Ford’s assembly line,

was fully commercialized in the 1950s and 1960s by the mass-production methods of American automobile manufacturers. It represented an important reason for the growth of American industry following World War II.

The engineering approach remains an important work design intervention because its efficiency and cost savings can be measured readily and it is well understood, easily implemented, and directly managed. However, it can result in low motivation and low job satisfaction for employees with high growth-need strength. For them, more enriched forms of work described later in this chapter are more effective.

10-2 The Reengineering Approach

The second approach to work design is reengineering—the fundamental redesign of business processes to achieve substantial improvements in performance.³ Typically applied under the rubric *business process reengineering (BPR)*, it transforms how organizations traditionally produce and deliver goods and services. It requires an almost revolutionary change in work processes that identifies and questions the often-unexamined assumptions underlying how organizations perform work and why they do it in a particular way. Consequently, this intervention involves fundamental changes in thinking and work methods—a shift from specialized jobs, tasks, and structures to integrated processes that deliver value to customers. It seeks to make work processes, such as supply chains and interrelated work activities, more integrated and efficient, with decreased cycle times and improved coordination. Work processes become more responsive to changes in competitive conditions, customer demands, product life cycles, and technologies.⁴ Such revolutionary change differs considerably from incremental approaches to performance improvement, such as the total quality management interventions (discussed in Chapter 9) that emphasize small, yet constant changes in existing

work processes. Because BPR radically alters the status quo, it seeks to produce dramatic increases in organization performance.

BPR increasingly leverages the latest developments in IT to enable significant changes in large-scale business processes.⁵ Popular software systems, such as PeopleSoft, Salesforce, and SAP, standardize information flows, integrate data on a range of tasks, and link interrelated work processes together. They enable work-related departments and business functions to interface effectively with each other and with customers and suppliers in real time. BPR can break down the vertical silos of functional and divisional organization structures and redesign work to account for key task interdependencies between them. It often results in jobs or teams with multifunctional tasks, results-oriented feedback, and empowered employees, like the enriched jobs and self-managed work teams described next in this chapter. Because BPR can result in production and delivery processes that require fewer people and layers of management, it has been associated at times with interventions for restructuring and downsizing organizations (as described in Chapter 8).

10-2a Application Stages

BPR interventions identify which business processes to reengineer, assess their workflows, and redesign them for greater streamlined performance. Over time, BPR applications have been extended to agile manufacturing, to change processes for transitioning to new ways of working, and to organization designs that support process functioning.⁶ The following application steps are included in most BPR interventions, although the order may change slightly from one situation to another.⁷

1. **Prepare the organization.** BPR begins with clarification and assessment of the organization's competitive environment, strategy, and objectives. This establishes the need for BPR and the direction that the process is likely to follow. For example, BPR at the U.S. Veterans Administration (VA) health care system was made easier because everyone agreed the health care delivery process was broken. Veterans' groups were outspoken in their complaints of quality care, the system was publicly ridiculed in the movie *Born on the Fourth of July* with Tom Cruise, and many patients were figuratively "falling through the cracks."⁸ Preparing the organization also includes senior executives communicating clearly why BPR is necessary, the direction it will take, and that they are fully committed to making it happen.
2. **Identify and analyze core business processes.** This central step involves identifying and analyzing core business processes that are considered essential for strategic success. They include activities that transform inputs into valued outputs. A cross-functional design team typically performs these analytical tasks and is given considerable time and resources to accomplish them. Members typically assess core processes through development of a process map that identifies and provides a visualization of the three to five activities required to deliver an organization's products or services. For a health care system, the core processes include the intake of patients through the primary care physician, inpatient and outpatient services, and medical records and billing. Analysis of core business processes can include assigning costs to each of the major phases of the workflow to help identify costs that may be hidden in the activities of the production process. It may also involve assessing business processes in terms of value-added activities—the amount of value contributed to a product or service by a particular step in the process. Organizations may engage in a variety of process activities that have little or no added value.
3. **Define performance objectives.** This step identifies the highest possible level of performance for a business process and sets challenging goals for speed, quality, cost, or other measures of performance. These standards can derive from customer requirements or from benchmarks of the best practices of industry leaders. For example, at Andersen Windows, the demand for unique window shapes pushed the number of different products to more than 86,000.⁹ The pressure on the shop floor for a "batch of one" resulted in 20% of all shipments containing at least one order discrepancy. As part of its BPR effort, Andersen set targets for ease of ordering, manufacturing, and delivery.
4. **Design new processes.** This task involves designing new business processes to achieve challenging goals. It often starts with a "clean sheet of paper" and addresses the question, "If we were starting this company today, what is the most effective and efficient way to deliver this product or service?" Each essential process is then designed according to the following guidelines:¹⁰
 - Begin and end the process with the needs and wants of the customer.
 - Simplify the current process by combining and eliminating steps.
 - Do not be constrained by past practice but use the "best of what is" in the current process.
 - Attend to both the technical and social aspects of the process.
 - Identify the critical information required at each step in the process.
 - Perform activities in their most natural order.
 - Listen to people who do the work.

Many successful BPR efforts implement “early wins” or “quick hits.” Analysis of existing business processes often reveals obvious redundancies and inefficiencies for which appropriate changes may be enacted immediately. These early successes can help generate and sustain momentum in the BPR intervention.

5. **Restructure the organization to support the new business processes.** This last step involves changing the organization to reinforce the new business processes. It involves the organization design interventions described in Chapter 13. Organization designs that support

reengineering typically have the following characteristics: flat structures, process-oriented teams, multifunctional and empowered jobs, performance measures and rewards tied to results, and supervisory coaching.¹¹

Application 10.1 describes a BPR intervention at Hilti, a tool and equipment manufacturer.¹² How well did company follow the five application steps? In addition to information technology, what other changes did Hilti make to implement and support the changes? Would you recommend any modifications or additions to Hilti’s BPR intervention?

Application 10.1

BPR: The Customer Service Process at Hilti

Hilti, a family-owned manufacturer of tools and equipment for construction professionals, is headquartered in Schaan, Liechtenstein. With 2021 revenues of just under \$6.5 billion and 32,000 employees in more than 120 countries, it is a worldwide product, systems, and services leader in the construction and building maintenance industries. Hilti’s mission is to “grow as a global leader and create products that are innovative, different, and stand out from the rest.” A large direct sales force puts two-thirds of Hilti’s employees in touch with customers, generates more than 280,000 customer contacts per day, and makes customer service the firm’s most important process.

Hilti’s Global Contact Center (GCC) program originated innocently enough when the U.S. market organization in Tulsa, Oklahoma, requested a new telephone system for its customer service department. Hilti’s decentralized marketing and customer service departments focused on local requirements, and thus their processes and systems varied widely. Telephone systems were supplied by different vendors and involved various features and technologies. This diversity of systems and processes lacked transparency, prevented Hilti from setting standards, and made it difficult to compare the performance of its regional customer service departments. Hilti was unable to manage the customer relationship as an integrated whole and could not share or diffuse best practices because the customer experience differed in important ways across the regions. Until the request from the Tulsa office, these differences had not been seen as a matter of major concern. But Hilti’s global IT organization viewed this as a prime opportunity to reengineer the company’s customer

service process at a global level to support an integrated telephone and enterprise resource planning (ERP) system.

Hilti assembled a task force to design and implement a standardized, enterprise-wide approach to customer service. It required replacing all telephone systems at its various locations around the globe and completely redesigning task assignments, local processes, and structures. An initial step was to develop a vision statement. Hilti’s GCC vision included improving customer enthusiasm, loyalty, and retention; providing employees with the tools and training necessary to support a great customer experience; and leveraging and concentrating global best practices in contact management to create a flexible solution that supported the company’s competitive strategy.

Based on the GCC vision, Hilti defined core principles and key performance indicators (KPIs) to guide the customer service redesign:

- Customer service requests should get a Hilti agent on the phone as quickly as possible.
- Customers should get an answer from their first contact or receive a call back from a Hilti agent to minimize call transfers and waiting times.
- Specialized service requests should be handled by specialized agents.
- Team structures and task assignments should be transparent to support efficient and effective coaching toward service excellence.
- Special attention should be given to aligning GCC objectives to ensure that the achievement of one goal did not compromise the achievement of another.

BPR: The Customer Service Process at Hilti, continued

KPIs included the number of contacts per agent per day, the percentage of calls where the customer is greeted personally, the average speed of answer, the percentage of callers who hang up before reaching an agent, and the percentage of calls that could not be routed to the best agent. In keeping with the principles, a minimum number of contacts was considered necessary for efficient customer segmentation.

The GCC vision and KPIs guided the diagnosis and design processes. Identifying “as is” processes was particularly difficult because there were so many different work systems, technologies, structures, and roles across the regions, and many of the market organizations insisted that their own processes were best practice (e.g., VIP service, hotline lunch break, regional routing of calls). Identifying “ideal” practices was only a little easier because claims of best practice had to be backed up by evidence.

Developing new processes was aided by understanding the different channels through which customer service requests were received or delivered, such as telephones, faxes, and emails. For example, Hilti distinguished between inbound customer service tasks, such as order entry and complaint handling, and outbound tasks, such as account development, cross-selling, and marketing outreach. In addition, these service and support requests could come from actual customers or Hilti’s sales representatives. Finally, not all service requests were equally important.

As the “to be” processes emerged, Hilti made several related decisions that were guided by the GCC vision and KPIs. For example, Hilti decided to have only one phone number for all customers but to use different phone numbers for territory salespersons. Urgent calls from sales representatives received lower priority than customer calls, and sales representatives’ calls were accepted only during certain times outside peak customer call times. For simple orders from sales representatives, Hilti developed a standardized process that allowed the salespersons to leave a customer number and an item number in a voicemail, which could then be processed by the customer service agents outside peak call times.

The task force recognized several hurdles to implementation. Because the new GCC processes increased transparency and allowed service processes to be compared, market organizations might feel threatened if their service levels were less than

average. Making GCC a success required the market organizations to partly cede decision power to a global level and to not set up shadow organizations, especially in the larger market organizations. Thus, the task force proposed that no project would begin in any market organization before the leadership teams were clear about the project goals and fully committed to the transformation.

The GCC program was implemented through projects in the local market organizations. Specifically, the rollout happened in waves at several locations at the same time. For example, the rollout started in Belgium, France, Italy, Luxembourg, Spain, and the Netherlands and, a few months later, the next wave was executed in Austria, Germany, Great Britain, Ireland, and Russia. The rollout plan was standardized for all market organizations and was comprised of two main phases: site preparation and site implementation.

Site preparation was an intensive process of participative decision making and negotiation. Once the GCC task force and the local management team agreed on milestones and performance targets, a local project team including project managers and key users was defined. In turn, a project communication plan described the program’s benefits, key tradeoffs, objectives, schedules, and tasks. The site implementation phase included the installation of the new telephone system, training programs, systems checks to ensure the connectivity between the phone system and the ERP system, and trial periods to ensure that organization members could identify and solve a full range of customer requests.

Hilti’s BPR intervention transformed its customer service departments, involving about 1,500 agents, more than 6,500 telephones, and hundreds of voice mails, faxes, and mailboxes—all of which were coordinated and controlled from a central location. It resulted in more than 90% of calls being answered within 10 seconds, a 40% improvement over the prior system. The average talk time also dropped by approximately 21 seconds, an 11% reduction even though average sales per agent has remained relatively flat. The GCC program also reduced costs, mitigated IT risks through global data backups, and allowed Hilti to efficiently measure and compare the customer service performance at its many locations around the world.

10-2b Results from Business Process Reengineering

Systematic research on BPR has not kept pace with its widespread global application across business functions, industries, and not-for-profit settings. Recent comprehensive reviews of the BPR literature report considerable diversity in how this intervention is defined, applied, and assessed.¹³ Empirical studies and the popular press report a mixture of positive and negative results, with accounts of dramatic business outcomes contrasted with a large percentage of interventions failing to achieve cost, cycle time, or productivity objectives.¹⁴ In contrast to traditional assumptions that IT is the driver of BPR outcomes, significant improvements in organization performance require supporting organizational changes in work designs, organization structures, and human resources management practices. Work designs often created by BPR are characteristic of the motivational (enriched jobs) and sociotechnical (self-managed work groups) approaches to work design discussed next in this chapter. Other factors that are essential to BPR success are integration with the organization's competitive strategy, top-management commitment and support, and competence in change management.

10-3 The Motivational Approach

The motivational approach to work design views the effectiveness of jobs primarily as a function of employee psychological needs and seeks to improve performance and satisfaction by enriching jobs to fulfill those needs. This OD intervention started with the research of Frederick Herzberg and his colleagues.¹⁵ Herzberg's two-factor theory of motivation proposed that certain attributes of work, such as meaningfulness, responsibility, and recognition, serve as "motivators" to increase job performance and satisfaction. Other attributes, which Herzberg called "hygiene factors," such as company policies, working conditions, pay, and supervision, do not motivate people but rather prevent them from being dissatisfied with their work. Successful job enrichment experiments at AT&T, Texas Instruments, and Imperial Chemical Industries helped to popularize job enrichment in the 1960s. However, the validity of Herzberg's two factors has come under serious doubt based on the method used to measure them.¹⁶ Furthermore, important personal characteristics that can affect whether employees will respond favorably to job enrichment were not included in his theory.

Today, Herzberg's theory of job enrichment, though still popular with certain OD consultants, has largely given way to a more evidence-based model developed by Richard

Hackman and Gregory Oldham. Called the Job Characteristics Model (JCM),¹⁷ this well-researched approach to job enrichment is summarized in Figure 10.1. The JCM, how it is applied, and its results are described below.

10-3a The Job Characteristics Model

The JCM proposes that core job dimensions affect employees' critical psychological states, which, in turn, produce personal and job outcomes. Individual differences affect how well job enrichment achieves those outcomes.

Core Job Dimensions Affect Critical Psychological States

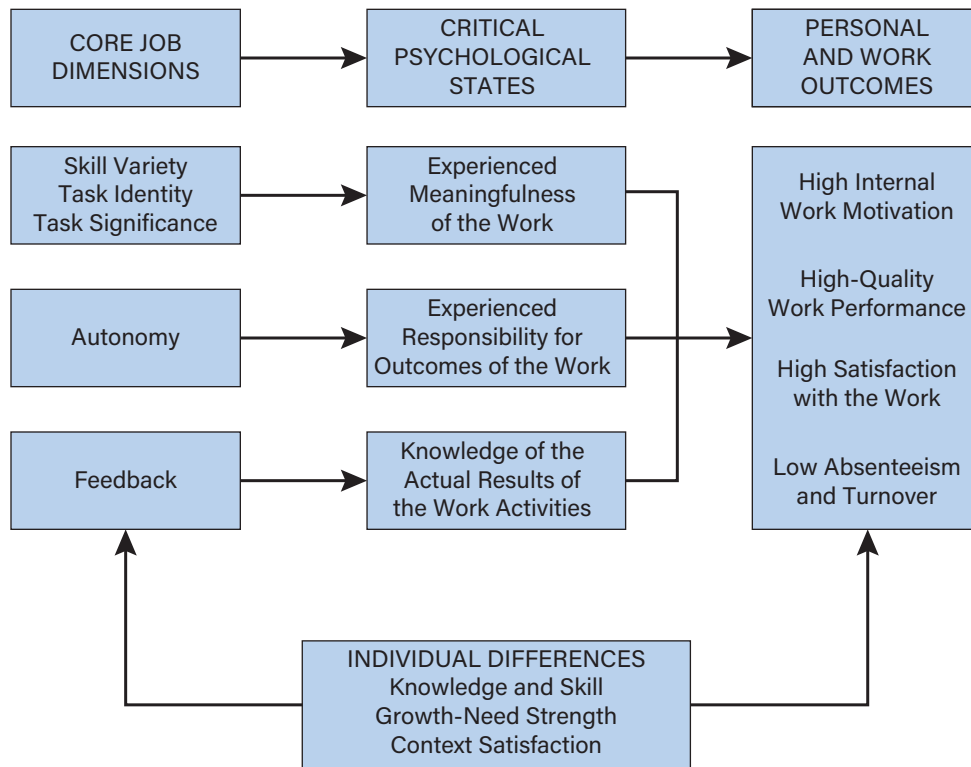
The five core job dimensions combine in three different ways to influence the three critical psychological states. First, skill variety, task identity, and task significance affect the extent to which work is perceived as meaningful. *Skill variety* refers to the number and types of skills used to perform a task. For example, nurses interact with patients, juggle a variety of medical procedures, and perform several charting tasks. The more tasks an individual performs, the more meaningful the job becomes. *Task identity* describes the extent to which an individual performs a whole piece of work from beginning to end. An employee who completes an entire wheel assembly for an automobile, including the tire, chassis, and brakes, has more task identity and will perceive the work as more meaningful than someone who only does one of those tasks. *Task significance* represents the impact that the work has on others. In jobs with high task significance, such as policing, teaching, or manufacturing key parts for medical devices, the importance of successful task completion creates meaningfulness for the employee. *Experienced meaningfulness of work* is expressed as an average of these three dimensions. Although it is advantageous to have high amounts of skill variety, task identity, and task significance, a strong emphasis on any one of the three dimensions can, at least partially, make up for deficiencies in the other two.

Second, *autonomy* refers to the amount of freedom and discretion that employees have to schedule and perform tasks. Salespeople often have considerable autonomy in how they contact, develop, and close new accounts, whereas assembly-line employees typically must adhere to work specifications clearly detailed in a procedure manual. *Experienced responsibility for outcomes of the work* is more likely to result when high amounts of autonomy exist.

Third, feedback represents the information that employees receive about the effectiveness of their work. It can derive from the work itself, as when determining whether an assembled part functions properly, or it can come from such external sources as reports on defects,

Figure 10.1

Relationships Among Core Job Dimensions, Critical Psychological States, and Personal and Work Outcomes



Source: J. Richard Hackman and Greg R. Oldham, *Work Redesign*, 1st Edition, © 1980. Reprinted by permission of Pearson Education, Inc., Upper Saddle River, NJ.

customer satisfaction, and the like. *Experienced knowledge of the actual results of the work activities* is more likely to result when the feedback comes directly from the work itself.

Critical Psychological States Affect Personal and Work Outcomes Depending on Individual Differences

The JCM proposes that the three critical psychological states positively affect *personal and work outcomes*, resulting in high levels of internal work motivation, quality work performance, and work satisfaction as well as low levels of absenteeism and turnover. However, these positive outcomes depend on certain individual differences—an employee’s knowledge and skill levels, growth-need strength, and satisfaction with contextual factors. Thus, the JCM proposes that not all people react in similar ways to job enrichment interventions. If employees lack the appropriate *knowledge and skills*, increasing skill variety may not improve a job’s meaningfulness. Similarly, if workers have low *growth-need strength*, attempts to provide them with increased autonomy may be resisted. (We discuss growth needs more fully in the last section of this chapter.) Finally, when employees lack

context satisfaction, including inadequate reward systems or poor supervision and coworker relations, attempts to enrich the work itself may be unsuccessful.

10-3b Application Stages

The basic steps for applying the JCM include making a thorough diagnosis of the situation, designing enriched jobs, and assessing results and making changes, if necessary.¹⁸

1. **Making a thorough diagnosis.** The work system is assessed before job changes are implemented. The most popular method of diagnosing a job is using Hackman and Oldham’s Job Diagnostic Survey (JDS) or one of its variations.¹⁹ An important output of the JDS is the motivating potential score, which is a function of the three psychological states—experienced meaningfulness, autonomy, and feedback. The survey can be used to assess one or more jobs, to determine whether motivation and satisfaction are problems or whether the job is low in motivating potential, and to isolate specific job aspects that are causing difficulties.

The JDS also indicates how ready employees are to accept change. Those who have high growth needs are expected to respond more readily to job enrichment than will those with low or weak growth needs. In addition, the JDS measures satisfaction with work-context factors such as pay, coworkers, and supervision. If there is high dissatisfaction with one or more of these factors, other interventions might be more helpful prior to work redesign.

2. **Designing enriched jobs.** This step involves designing the five core job dimensions to enhance employee experienced meaningfulness, responsibility, and knowledge of results. A host of guidelines exist for enriching jobs and need to be tailored to fit the work situation. The following are exemplars of these guides.

Forming natural work units. The basic question in forming natural work units is, “How can one increase ‘ownership’ of the task?” One answer is to group together interrelated task activities, as similarly proposed by the BPR approach. Forming such natural units increases two of the core dimensions—task identity and task significance—that contribute to the meaningfulness of work.

Combining tasks. Frequently, divided jobs can be put back together to form a new and larger one. In a Corning Glass Works plant, the task of assembling digital hot plates for medical clinics was redesigned by combining several previously separate tasks.²⁰ After the change, each hot plate was completely assembled, inspected, and shipped by one operator. Combining tasks increases task identity and allows an employee to use a greater variety of skills.

Establishing client relationships. When jobs are divided into small units, the typical employee has little or no contact with, or knowledge of, the ultimate user of the product or service. Improvements often can be realized on three of the core dimensions by encouraging and helping workers to establish direct relationships with the clients affected by their work. For example, when an individual from a support staff is assigned to a specific operating department, feedback increases because of the additional opportunities for praise or criticism of their work. Because of the need to develop interpersonal skills in maintaining the client relationship, skill variety may increase. If the employee is given personal responsibility for deciding how to manage relationships with clients, autonomy is increased.

Vertical loading. The intent of vertical loading is to decrease the gap between doing the job and controlling it. A vertically loaded job has responsibilities and controls that were formerly reserved for management. Vertical loading may well be the most crucial of the

job-design principles. Autonomy is invariably increased. This approach should lead to greater feelings of personal accountability and responsibility for the work outcomes. For example, at a plant that manufactures circuit boards for personal computers, assembly personnel were trained to measure the accuracy and speed of production processes and to test the quality of finished products. Their work was more “whole,” they had more autonomy, and the engineers who formerly measured and tested were now free to design better products and more efficient ways to manufacture them.²¹

Opening feedback channels. Almost all jobs offer opportunities to open feedback channels and help people learn whether their performance is remaining at a constant level, improving, or deteriorating. The most advantageous and least-threatening feedback occurs when an employee learns about performance as the job is performed. In the digital hot plate department at Corning Glass Works, assembling the entire instrument and inspecting it dramatically increased the quantity and quality of performance information available to the operators. Data given to a manager or supervisor can often be given directly to the employee. IT and other automated operations can be used to provide employees with data not currently accessible to them. Organizations may not realize the motivating impact of direct, immediate performance feedback.

3. **Assessing results.** This final stage of job enrichment involves evaluating how well the core task dimensions have been implemented and whether they achieved the expected results. Depending on the magnitude and timing of the intervention, this assessment may occur during or after the job enrichment change. Typically, the JDS is administered again, and the results are compared to those from its earlier diagnostic application. Changes in performance measures are also examined. These measures can reveal which, if any, of the job dimensions need further change. They can also show if the expected outcomes have occurred and, if not, the job enrichment intervention may need to be modified or replaced with another, more appropriate OD change.

Application 10.2 presents an example of job enrichment at TechNova Solutions, a software company for enterprise solutions. The firm’s software developers were experiencing dissatisfaction with how their jobs were designed, resulting in lowered performance and higher turnover. With the help of outside OD practitioners, TechNova set out to implement a job enrichment program. You can assess how well the company followed the three application stages. Which steps did they perform especially well, and which steps could have been improved?

Application 10.2

TechNova Solutions: Job Enrichment Program for Software Developers

TechNova Solutions, a mid-sized software company that specializes in enterprise solutions, was facing rapid changes in technology and strong competition in the software industry. From its beginning, the company sought to ensure that its developers were motivated, skilled, and engaged in their jobs. Yet serious concerns about developer performance and satisfaction had begun to surface. TechNova records showed a steady downward trend in project completion rates and a rise in developer turnover.

With the advice of its human resources (HR) office, TechNova contracted with an OD firm to help address the problems. First, the OD practitioners and HR staff administered an employee satisfaction survey to provide a preliminary diagnosis of the cause of the problems. The results showed that software developers were generally pleased with their compensation but felt that their jobs were monotonous, lacked autonomy, and didn't provide enough opportunities for skill development or career growth. Based on these initial results, the OD practitioners proposed a job enrichment program to address these issues. They educated TechNova top executives on the theory, methods, and results of job enrichment, and then helped them form a task force to redesign the developer jobs. The task force was jointly led by a senior executive and the head of HR and included a few software developers known for their expertise and commitment to the company.

The task force began the job enrichment project with several all-hands meetings to openly discuss the job enrichment project with software developers and their support staff. They talked about the reasons for the project and explained job enrichment and how the process would proceed. The developers and staff were encouraged to speak up and share their concerns. They were also asked to offer useful ideas and provide helpful feedback to the task force as the project progressed.

Over the next several months, the task force helped to design and implement several changes to developer jobs. Task assignments were rotated, so developers could work on different projects every few weeks (skill variety). Hackathons, where developers

take a project from idea to prototype, were introduced to give developers a sense of ownership and achievement (task identity). Monthly meetings were held where the impact of developers' work on clients was shared, reinforcing the importance of their contributions (task significance). In time, developers were increasingly involved in decisions on tools, methodologies, and project timelines (autonomy). They were even able to choose their work hours as long as they met project deadlines and attended essential meetings (autonomy). Managers conducted biweekly or monthly meetings with developers to discuss the progress of software projects and to address developer concerns and aspirations (feedback).

All of these job changes were accompanied by regular workshops on the latest software technologies and methodologies. Developers were given budgets and time off to attend conferences or enroll in courses that aligned with TechNova's goals. Managers and HR specialists met periodically with individual developers to outline possible career paths toward more senior jobs, architect roles, or even into management.

During the job enrichment project, the task force gathered pertinent information to assess how the project was progressing and to make adjustments, if needed. It conducted another employee satisfaction survey to systematically assess developers' ongoing reactions to the job changes. It also closely tracked performance metrics, such as project completion rates, bug frequency, and employee turnover. Perhaps most useful during the implementation process, the task force frequently gathered feedback in one-on-ones with developers to refine and make necessary changes to the program as it evolved.

After about a year of job enrichment, TechNova's developer turnover had lowered 20%; its project completion rates reversed their downward trend and edged higher. The employee satisfaction survey showed a rise in the scores of developers' job, skill development, and career measures. TechNova's management intuitively felt that employee morale and commitment to the company were moving in the right direction.

10-3c Results of Job Enrichment

Extensive research has addressed the motivational approach to work design, especially the JCM.²² Reviews of studies assessing the validity of the JCM show that the core job dimensions are more strongly related to employee attitudes, such as job satisfaction, than to employee behaviors, such as performance and absenteeism. Studies of the role of critical psychological states in producing work outcomes show stronger support for experienced meaningfulness of work than for experienced responsibility and knowledge of results. Research on individual differences shows mixed support for growth-need strength, and there have been no studies directly testing the moderating effects of knowledge and skill and context satisfaction.

Research has also refined and extended the motivational approach to work design including the JCM.²³ Studies have identified additional job characteristics that can affect work outcomes, including social, information-processing, and decision-making dimensions of work. They have shown that work design can affect outcomes related to creativity, employee health, and organizational citizenship behaviors. Interestingly, a few studies have revealed that extensive amounts of job enrichment can overload employee work demands, resulting in negative behavior and health consequences.²⁴ Research has also discovered a variety of contextual and individual factors that can limit or enhance the effects of enriched work, including the physical and social context and employees' career stage and personality.

Studies have also identified organizational factors that can limit the implementation and positive effects of job enrichment.²⁵ For example, long-linked technology like that found on an assembly line can be highly programmed and standardized, thus limiting the amount of employee discretion that is possible. Conversely, continuous-process production systems, such as float glass manufacturing, may be naturally enriched, so there is little that can be gained from job enrichment. Control systems, such as budgets, production reports, and accounting practices, can limit the complexity and challenge of jobs. Autocratic supervision can restrict the amount of context satisfaction that subordinates can experience. Consistent with the contingency approach to OD, the more these kinds of organizational factors fit with and support enriched jobs, the more successful this intervention is likely to be.

10-4 The Sociotechnical Systems Approach

The sociotechnical systems (STS) approach includes a large body of applied research for designing work. Its techniques and design principles derive from extensive action research

in both public and private organizations across diverse industries and national cultures. This section reviews the conceptual foundations of the STS approach and then describes its most prevalent application: self-managed work teams.

10-4a Conceptual Background

Sociotechnical systems theory originated at the Tavistock Institute of Human Relations in London in the 1950s and spread to most industrialized nations in a little more than 70 years.²⁶ In Europe and particularly Scandinavia, STS interventions are almost synonymous with work design and employee involvement. In Canada and the United States, STS concepts and methods underlie many of the innovative work designs and team-based structures that are prevalent in contemporary organizations. In other parts of the globe, STS work designs are being applied in manufacturing and service firms. W. L. Gore, Semco, Valve, GitHub, General Mills, and Procter & Gamble are among the many organizations applying the STS approach to transforming how work is designed and performed.

STS theory has traditionally been applied to work systems in the industrial and post-industrial eras, where technology is relatively mechanized with linear and standardized workflows, such as might be found on assembly lines or in traditional office settings. The social system typically comprises the employees performing the work and their relationships with each other and with support staff and direct supervision. Over time, STS theory has sought to keep pace with the movement of work to the Information Age, where technology is digitalized and workflows are nonlinear, uncertain, and often extend beyond the work system.²⁷ The social system includes employees, support staff, and other relevant stakeholders that may comprise a broader network or ecosystem. Here, the term *digital sociotechnical system design* aptly describes this evolution of work design.²⁸

STS theory is based on two fundamental premises that address both mechanized and digitalized work systems: (1) an organization or work unit is a combined, social-plus-technical system (sociotechnical) and (2) this system is open in relation to its environment.²⁹

Sociotechnical System The first premise is that whenever people are organized to perform tasks, a joint system is operating—a sociotechnical system. It consists of two independent but related parts: (1) a social part, including the people performing the tasks and the relationships among them, which may extend to networks of people providing knowledge and information to address complex topics and issues; and (2) a technical part, including the tools, techniques, and information for task performance. These two parts are independent of each other because each

follows a different set of behavioral laws. The social part operates in accordance with biological, psychological, and sociological laws, whereas the technical part functions in line with mechanical or electronic laws depending on whether it is a mechanized or digitalized work system. Nevertheless, the two parts are related because they need to act together to accomplish tasks. Hence, the term *sociotechnical* signifies the joint relationship that must occur between the social and the technical parts, and the word *system* communicates that this connection results in a unified whole.

Because a sociotechnical system is composed of social and technical parts, it follows that it produces two kinds of outcomes: (1) products, services, or knowledge and decisions and (2) psychological and social outcomes, such as job satisfaction and effective relationships. The key issue is how to design the relationship between the two parts so that both outcomes are positive, referred to as *joint optimization*. Sociotechnical systems are designed so the social and technical parts work well together to produce high levels of productive outcomes, employee satisfaction, and social relations.

Environmental Relationship The second major premise underlying STS theory is that such work systems are open to their environments. As discussed in Chapter 4, open systems interact with their environments to survive and develop. The environment provides the STS with necessary inputs of energy, raw materials, and information, and the STS provides the environment with products, services, or knowledge outcomes. The primary challenge is how to design the interface between the STS and its environment so that the system has sufficient freedom to function while exchanging effectively with the environment. Called *boundary management*, STS designers structure environmental relationships both to protect the system from external disruptions and to facilitate the exchange of necessary resources and information. In digital STS, the boundaries may be fluid and include networks of stakeholders with relevant information, knowledge, and interests. Boundary management enables the STS to adapt to changing conditions and to influence the environment in favorable directions.

In summary, STS theory suggests that effective work systems jointly optimize the relationship between their social and technical parts. Moreover, they effectively manage the boundaries separating and relating them to the environment. This enables work systems to exchange with the environment while protecting themselves from external disruptions.

10-4b Self-Managed Work Teams

The most widespread application of the STS approach is self-managed work teams. Alternatively referred to as *self-directed*, *self-regulating*, or *high-performance work*

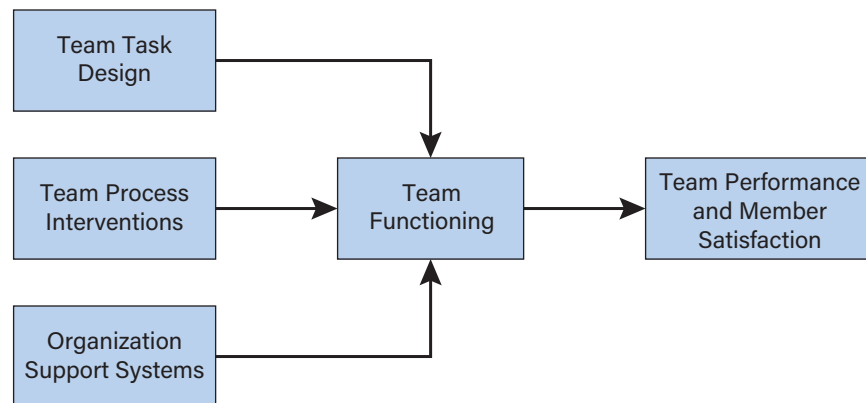
teams, these work designs consist of members performing interrelated tasks.³⁰ Self-managed teams are typically responsible for a complete product, service, or information outcome. Members control task behaviors and make decisions about task assignments and work methods. In many cases, the team sets its own production goals within a broader organizational context and may be responsible for support services such as maintenance, purchasing, and quality control. Team members are generally expected to learn many of the jobs or information processes within the team's control and are frequently paid based on knowledge and skills rather than seniority. When pay is based on performance, team rather than individual performance is the standard. (Skill- and knowledge-based reward systems and performance-based reward systems are described in Chapter 11.)

Self-managed work teams are applied across a range of countries, industries, and organizations in both the private and public sectors.³¹ They are utilized in mechanized and digitalized STS and have been extended to team-based organization designs and networks or ecosystems of relevant stakeholders.³² (Like the network structure or holacracy described in Chapter 13 and the transorganizational systems in Chapter 15.)

A framework explaining how self-managed work teams perform is shown in Figure 10.2. It summarizes STS knowledge along with relevant work group research³³ and shows how teams can be designed for high performance and member satisfaction. Although the model is based largely on studies of self-managed teams performing mechanized forms of work, its conceptual underpinnings have been extended to today's digital STS teams performing complex and uncertain tasks requiring high levels of information processing and knowledge application. The model also has relevance to other types of teams that address complex issues, such as problem-solving teams, management teams, cross-functional integrating teams, and employee involvement teams.

The model shows that team performance and member satisfaction follow directly from how well the team functions: how well members communicate and coordinate with each other, resolve conflicts and problems, and make and implement task-relevant decisions. Team functioning, in turn, is influenced by three major inputs: team task design, team process interventions, and organization support systems. Because these inputs affect how well teams function and subsequently perform, they are key intervention targets for designing and implementing self-managed work teams.

Team Task Design Self-managed work teams are responsible for performing specific tasks; consequently, how the team is designed for task performance can have

Figure 10.2**Model of Self-Managed Work Teams**

a powerful influence on how well it functions. Task design generally follows from the mission and goals that define the team's major purpose and provide direction for task achievement. When a team's mission and goals are closely aligned with the organization's business strategy and objectives, members can see how team performance contributes to firm success. This can increase member commitment to team goals.

Team task design links members' behaviors to task requirements and to each other. It structures member interactions and performances. Three task-design elements are necessary for creating self-managed work teams: task differentiation, boundary control, and task control.³⁴ *Task differentiation* involves the extent to which the team's task is relatively autonomous and forms a self-completing whole. High levels of task differentiation provide an identifiable team boundary and a clearly defined area of team responsibility. In many hospitals, for example, self-managed nursing teams are formed around interrelated tasks that together produce a relatively whole piece of work. Nursing teams may be responsible for groups of patients, such as those in intensive care or undergoing cancer treatments, or they may be accountable for specific work processes, such as those in the laboratory, pharmacy, or admissions office.

Boundary control involves the extent to which team members can influence transactions with their task environment—the types and rates of inputs and outputs. Adequate boundary control includes a well-defined work area; group responsibility for boundary-control decisions, such as connecting effectively with other related teams and organizational units; and members sufficiently trained to perform tasks without relying heavily on external resources. Boundary control often requires cross-training

of team members to take on a variety of tasks. This makes members highly flexible and adaptable to changing conditions. It also reduces the need for costly overhead because members can perform many of the tasks typically assigned to staff experts, such as those in quality control, planning, and maintenance.

Task control involves the degree to which team members can regulate their own behavior to provide services, finished products, or informational outcomes. It includes the freedom to choose work methods and informational sources, schedule activities, and influence production goals to match both environmental and task demands. Task control relies heavily on team members having the power and authority to manage equipment, materials, information, and other resources needed for task performance. This "work authority" is essential if members are to take responsibility for getting the work accomplished. Task control also requires that team members have accurate and timely feedback about team performance to enable them to detect performance problems and make necessary adjustments. Task control enables self-managed work teams to quickly observe and control significant variances from goals or standards close to their source. This provides timely responses to performance problems and reduces the amount of staff overhead needed.

Team Process Interventions A second key input to team functioning involves team process interventions. As described in Chapter 7, teams may develop ineffective social processes that impede functioning and performance, such as poor communication among members, dysfunctional roles and norms, and faulty problem solving and decision making. Team process interventions, such as process consultation and team building, can resolve such problems

by helping members address process problems and moving the team to a more mature stage of development. Because self-managed work teams need to be self-reliant, members develop their own team process skills. They may attend appropriate training programs, or they may learn on the job by working with OD practitioners to conduct process interventions on their own teams. Although members' process skills are generally sufficient to resolve most of the team's process problems, OD experts occasionally may need to supplement the team's skills and help members address problems that they are unable to resolve.

Organization Support Systems The final input to team functioning is the extent to which the larger organization is designed to support self-managed work teams. The success of such teams depends on support systems that are quite different from traditional methods of managing.³⁵ For example, in contrast to bureaucratic organizations, an organic organization design with flexibility among units, relatively few formal rules and procedures, and decentralized authority is far more likely to support and enhance the development of self-managed work teams. This explains why such teams are so prevalent in high-involvement organizations (described in Chapter 9). Those organizational features—such as flat, lean structures; open information systems; and team-based selection and reward practices—all reinforce teamwork and responsible self-management.

A particularly important support system for self-managed work teams is formal leadership. Self-managed teams exist along a spectrum ranging from having only moderate influence over their work to near autonomy. In many circumstances, teams take on a variety of functions traditionally handled by management. These can include assigning members to individual tasks, determining the methods of work, scheduling and setting production goals, and selecting and rewarding members. These activities do not make external supervision obsolete, however. The formal leadership role usually involves two major functions: developing team members and assisting the team in managing its boundaries.³⁶

Developing team members requires a different style of managing than do traditional teams.³⁷ The formal team leader (often called a team facilitator) helps members organize and develop themselves to become more independent and responsible. The leader applies expertise in team building and assists members in learning the skills to perform their jobs. Leaders help the team learn to self-manage, encouraging members to be self-reinforcing about high performance, set and evaluate explicit performance goals, and rehearse different performance strategies before trying them.

The leader also needs to *manage team boundaries* to help the team maintain sufficient autonomy to control variance from goal attainment.³⁸ When teams have limited control over their task environment, the leader may act as a buffer to reduce environmental uncertainty. This can include mediating and negotiating with other organizational units, such as higher management, staff experts, and related work teams.

Leadership of self-managed teams requires skills different from those of traditional management. This expertise includes knowledge of sociotechnical principles, group dynamics, and the team's task environment and technology. Leaders need the ability to intervene in the team to help members increase their knowledge and skills, to council members, and to facilitate communication among them.

Managers may experience difficulties fulfilling the complex demands of leading self-managed work teams. Typical problems include ambiguity about responsibilities and authority, lack of personal and technical skills and organizational support, and insufficient attention from higher management.³⁹ Addressing these issues includes recruiting team leaders who have a balanced mixture of technical and social skills, extensive formal and on-the-job training, linking rewards to team development, and peer support groups.⁴⁰

10-4c Application Stages

Sociotechnical systems work designs have been applied in a variety of settings, including manufacturing firms, hospitals, schools, and government agencies. Although the specific implementation strategy is tailored to the situation, a common method of change underlies many of these applications. It includes high levels of employee participation in the work design and implementation process. Such involvement enables employees to translate their special knowledge of the work situation into relevant designs. It also promotes employee ownership of the design process that increases commitment to its implementation.⁴¹

Sociotechnical systems applications generally proceed in six steps:⁴²

1. **Sanctioning the design effort.** At this step, employees receive the necessary support to diagnose their work system and to create an appropriate work design. In many unionized situations, top management and union officials jointly agree to suspend temporarily the existing work rules and job classifications so that employees have the freedom to explore new ways of working. Management also may provide workers with sufficient time and external help to diagnose their work system and to devise alternative work structures. In cases of

redesigning existing work systems, normal production demands may be reduced during the redesign process. Also, workers may be given job and wage security so that they feel free to try new designs without fear of losing their jobs or money.

2. **Diagnosing the work system.** This step includes analyzing the work system to discover how it is operating. Knowledge of existing operations (or of intended operations, in the case of a new work system) is the basis for creating an appropriate work design. STS diagnostic models are applicable to work systems that make products, deliver services, or produce informational outcomes and that have mechanized or digitalized technologies. The models analyze a system's technical and social parts and assess how well the two fit each other. The task environment is also assessed to see how well the work system is meeting external demands, such as customer quality requirements.
3. **Generating appropriate designs.** Based on the diagnosis, the work system is designed to fit the situation. Although this typically results in self-managed work teams, it is important to emphasize that the diagnosis may reveal that tasks are not highly interdependent and that a work design for individual jobs, such as an enriched job, might be more appropriate.

Two key STS principles guide the design process. The first, *compatibility*, proposes that the process of designing work should fit the values and objectives of STS. The major goals of STS design are joint optimization and boundary management. A process for designing work compatible with those objectives is highly participative, involving those having a stake in the work design, such as team members, staff experts, and other relevant stakeholders internal or external to the organization. They jointly decide how to create the social and technical components of work, as well as the environmental exchanges. This participative process increases the likelihood that design choices will be based on technical, social, and environmental criteria. Adherence to the compatibility guideline increases the likelihood that the work design is subsequently implemented.⁴³

The second design principle is *minimal critical specification*. It proposes that STS designers specify only those critical features needed to implement the work design. All other features of the design are left free to vary with the circumstances. In most cases, minimal critical specification identifies what is to be done, not how it will be accomplished. This provides work-design participants considerable freedom to choose work methods, task allocations, and job assignments to match changing conditions.

The output of this step is a work design that is STS compatible and minimally critically specified. In the case of self-managed teams, this includes the team's mission and goals, an effective workflow, and the skills and knowledge required of team members. It also comprises a plan for training members to meet those requirements and identification of the decisions the team will make now as well as the ones it should make over time as members develop greater skills and knowledge.

4. **Specifying support systems.** As suggested above, organizational support systems may need to be modified to reinforce new work designs. When self-managed teams are designed, measurement and reward systems may need to change from individual to team based to facilitate necessary task interaction among workers.
5. **Implementing and evaluating the work designs.** This stage involves making necessary changes to implement the work design and evaluate the results. Evaluation occurs both during implementation to guide the change process and afterward to assess the design's overall effectiveness. In some cases, the evaluation suggests the need for further diagnosis and redesign efforts. Implementation also requires considerable training, so employees gain the necessary technical and social skills to perform multiple tasks and to control task behaviors. It may also entail developing the team through various team-building and process-consulting activities. OD practitioners often help team members carry out these tasks with a major emphasis on helping them gain competence in them.
6. **Continual change and improvement.** This step emphasizes that STS designing is never complete but continues as new things are learned and new conditions are encountered. Thus, the ability to redesign work continually is built into existing work systems. Members apply their skills and knowledge to continually assess their work system and make necessary changes and improvements. From this view, STS designing rarely results in a stable work design but instead provides a process for regularly modifying work to fit changing conditions and to make performance improvements, a process similar to employee "job crafting" described in recent organizational research.⁴⁴ In today's digital STS, this redesign capability is being built into the fabric of the organization itself and may extend to a broader network or ecosystem of stakeholders.

Application 10.3 describes how Buurtzorg Nederlands uses self-managed work teams to deliver home health care.⁴⁵ It shows how this radically new approach to home

Application 10.3

Home Care by Self-Managed Nursing Teams at Buurtzorg Nederlands

Buurtzorg Nederlands is a nonprofit home-care company that started with a handful of employees in 2006 and grew to about 10,000 nurses delivering care to 70,000 patients in 24 countries in 2023. The phenomenal growth of this Dutch company has been attributed to its radically different approach to delivering home care through self-managed teams, which provide high-quality care at lower cost than competitors.

In the Netherlands, home-care companies contract with government-funded insurance firms to provide services to patients. These services include temporary care following hospitalization or an end-of-life decision and long-term care for those suffering chronic conditions or dementia. In this industry, nurses typically deliver only those services requiring their expertise while less skilled and costly employees perform daily living tasks such as dressing and bathing. These various caregivers provide services on different days and at different times, making it difficult to coordinate patient care and leading to both patient and nurse dissatisfaction.

Buurtzorg's self-managed team approach tackles this continuity-of-care problem while providing high-quality treatment. It was the brainchild of CEO and cofounder Jos de Blok, whose extensive nursing experience and strong humanistic values inspired a compelling vision of how home health care should be delivered and what it should do. He envisioned a holistic, neighborhood approach to home care where teams of professional nurses create and coordinate networks of care providers and resources to meet patient needs. The goal is to maximize patients' independence and self-care, as evidenced by de Blok's favorite motto "Humanity over bureaucracy."

Buurtzorg's teams of 10 to 12 highly skilled nurses are responsible for providing the entire range of care services to 50 to 60 patients in a neighborhood. The teams coordinate with patient families, primary caregivers, and community resources to serve patients and help them attain as much of an independent lifestyle as possible. Sophisticated IT integrates data about patient care and health, scheduling, and billing to facilitate a continuous care process where teams share information, serve patients' needs in real time, and identify and address problems rapidly. Teams do not report directly to managers but have

the autonomy and flexibility to adjust work arrangements and schedules and to make relevant and timely decisions as circumstances demand.

Buurtzorg's 850 self-managed teams are supported by 15 regional coaches who help solve problems when needed, usually on issues related to team functioning and development. A small back office of 45 staff performs administrative functions for teams. The firm's surplus revenues fund continuing nurse training, team projects, and organizational innovations to improve community health and the organization itself.

Buurtzorg's self-managed team approach performs exceptionally well on standard measures of home health care. Patient satisfaction, care, and health ratings place the firm among the best in the country, and its service and overhead costs are significantly below those of comparable home-care companies. High patient and family satisfaction scores and good health results promote referrals from physicians, hospitals, and many others. Moreover, the team model is popular among Dutch nurses in this industry, facilitating recruitment and retention of skilled staff.

Buurtzorg's highly successful team model of home health care has received considerable notoriety worldwide, helped by de Blok's highly visible and effective advocacy, and the firm's new subunit launched in 2021 to offer coaching and consulting to Danish municipalities and others who want to apply self-managing teams for the delivery of home care and nursing. Applications of self-managed teams to home health care are progressing in Japan, Norway, Sweden, the United Kingdom, and the United States.

As might be expected, the team model has received some criticism, particularly from Dutch competitors who argue that Buurtzorg selects patients to maximize billable hours, revenue, and unplanned care provided by others. Consequently, the Dutch Ministry of Health, Welfare, and Sport hired KPMG to assess these allegations and to compare Buurtzorg's performance with that of competitors. KPMG found little support for these critical assertions. Going forward, the Dutch home-care industry is likely to become more competitive and to face growing government pressures for cost containment. This will test the long-term sustainability of Buurtzorg's self-managed team approach to home health care.

care meets the complex demands of this industry, resulting in successful practices and outcomes that are likely to spread to health care firms worldwide. The application emphasizes the strong visionary leadership that is necessary to introduce a new work design into a traditional industry setting. How does the design of Buurtzorg's self-managed teams jointly optimize their social and technical parts? What insights does the self-managed team performance model (Figure 10.2) provide to explain the outcomes of these work teams?

10-4d Results of Self-Managed Teams

Research on self-managed work teams is extensive, including well-known case studies at General Foods, Saab-Scania, and Volvo,⁴⁶ comparative research with other OD interventions,⁴⁷ surveys of multiple firms,⁴⁸ and reviews and meta-analyses of published studies.⁴⁹ Like the results for job enrichment discussed previously, the findings for the effects of self-managed teams on members' job and team satisfaction are consistently positive, while the results for team effects on withdrawal behaviors, performance, and financial measures are more mixed and tend to be lower. These more varied and lower performance effects have been attributed to measurement and analytical errors and to differences across studies in the team and contextual conditions under which self-managed teams have positive performance results. Research has also identified several contingency factors that can enhance or reduce team performance outcomes including team autonomy, leadership, participation in work design, organization support systems, and technological interdependence.⁵⁰

A growing number of studies have examined the mechanisms through which self-managed teams can achieve positive outcomes. Lower turnover among team members can increase team learning and task flexibility, which, in turn, can increase team effectiveness.⁵¹ When tasks are relatively stable, greater team structure can promote information sharing, less conflict, and more psychological safety among members, which, in turn, can enhance team learning and performance.⁵² A few studies have shown that under certain conditions, self-managed teams can negatively affect member attitudes and performance.⁵³ For example, teams can become too isolated from external influences, making it difficult for them to coordinate with related work groups. Teams can become too task oriented and neglect members' interests and needs. Members may assert excessive control over other members, resulting in conflict among them. Members may regret relinquishing their individual or personal control to group control.

10-5 Designing Work for Technical and Personal Needs

This chapter has described four approaches to work design: engineering, reengineering, motivational, and sociotechnical. Tradeoffs and differences among the approaches need to be recognized. The engineering approach focuses on efficient performance. It downplays employee needs and designs work for traditional jobs and work groups. The reengineering approach, BPR, takes a similar perspective but seeks to streamline and better integrate the workflow. It produces work designs that are more enriched and team based than engineering designs. The motivational approach highlights the importance of employee need satisfaction and designs enriched jobs that are stimulating and demanding. Finally, the STS approach integrates social and technical factors and designs work for self-managed teams. Each of these four approaches can produce positive results in particular work situations.

This final section provides a contingency framework that shows the work situations where each of the work designs is likely to be most effective. It is based on research that has identified two key factors that affect the performance and employee satisfaction of different work designs: the technology for producing goods and services and the social-psychological needs of employees.⁵⁴ When work is designed to fit or match these factors, it is likely to be both productive and humanly satisfying.

10-5a Technical Factors

Two major dimensions of technology can affect work designs that are high performing: technical interdependence, or the extent to which cooperation among workers is required to produce a product or service, and technical uncertainty, or the amount of information processing and decision making employees must do to complete a task.⁵⁵ The degree of *technical interdependence* determines whether work needs to be designed for individual jobs or for work groups. When interdependence is low and there is little need for worker coordination—as, for example, in field sales and call centers—work can be designed for individual jobs. Conversely, when interdependence is high and employees must coordinate their task activities—as in oil refining, software development, and major surgery—work needs to be designed for groups composed of people performing interacting tasks.

The second dimension, *technical uncertainty*, determines whether work needs to be designed for external

forms of control, such as supervision, scheduling, and standardization, or for worker self-control. When technical uncertainty is low and little information needs to be processed by employees during task performance, work can be designed for external control, such as might be found on assembly lines and in other forms of repetitive work. On the other hand, when technical uncertainty is high and employees must process high amounts of information and make ongoing decisions to perform tasks, work needs to be designed for high levels of employee self-control, such as might be found in professional work and emergency support services.

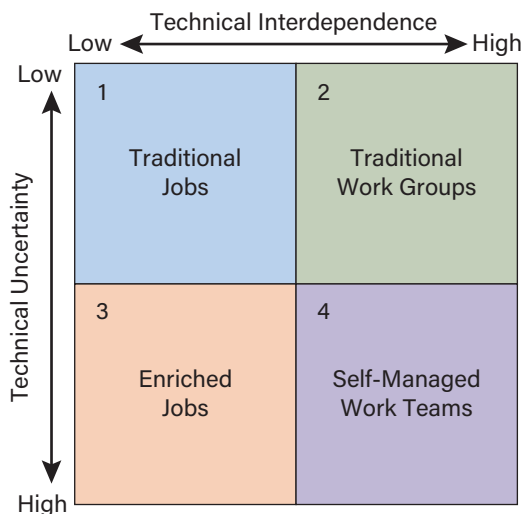
From a purely technical perspective, Figure 10.3 shows the different types of work designs that are high performing for different combinations of interdependence and uncertainty. In quadrant 1, where technical interdependence and uncertainty are both low, such as might be found in call centers, jobs need to be designed traditionally with limited amounts of employee interaction and self-control. When task interdependence is high but uncertainty is low (quadrant 2), such as work occurring in data centers, work needs to be designed for traditional work groups in which employee interaction is highly scheduled and self-control is limited. When technical interdependence is low but uncertainty is high (quadrant 3), such as in field sales, work needs to be structured for individual jobs with internal forms of control, such as in enriched jobs. Finally, when both technical interdependence and uncertainty are high (quadrant 4), such

as might be found in a firefighting or emergency-response team, work needs to be designed for self-managed teams in which members have the multiple skills, discretion, and information necessary to control their interactions around shared tasks.

These prescriptions for designing work to fit different technological conditions are still being developed and more research is needed to refine them, especially since the nature of technical interdependence and uncertainty is likely to change as work becomes more and more knowledge intense, information driven, and digitally enabled. A recent meta-analysis of changes in job characteristics in the United States over the past 35 years shows that work is becoming increasingly interdependent, complex, and autonomous.⁵⁶ This suggests a growing need for self-managed work teams. A recent review and integration of work-design research identified two emergent perspectives that can help to extend self-managed teams to account for these changes in technology.⁵⁷ The relational perspective embeds work design in a social context and expands technical interdependence to include interactions across organizations, different forms of interdependence, and different methods for managing it. The proactive perspective grounds work design in opportunities for personal autonomy and initiative in work design. It expands uncertainty to include conditions that stimulate employees to proactively alter work designs to meet changing conditions. Both streams of research can inform how self-managed team interventions can be progressively tailored to fit organizations' changing technologies.

Figure 10.3

Work Designs That Optimize Technology



Source: Reproduced by permission from T. Cummings, "Designing Work for Productivity and Quality of Work Life," *Outlook* 6 (1982): 39.

10-5b Personal-Need Factors

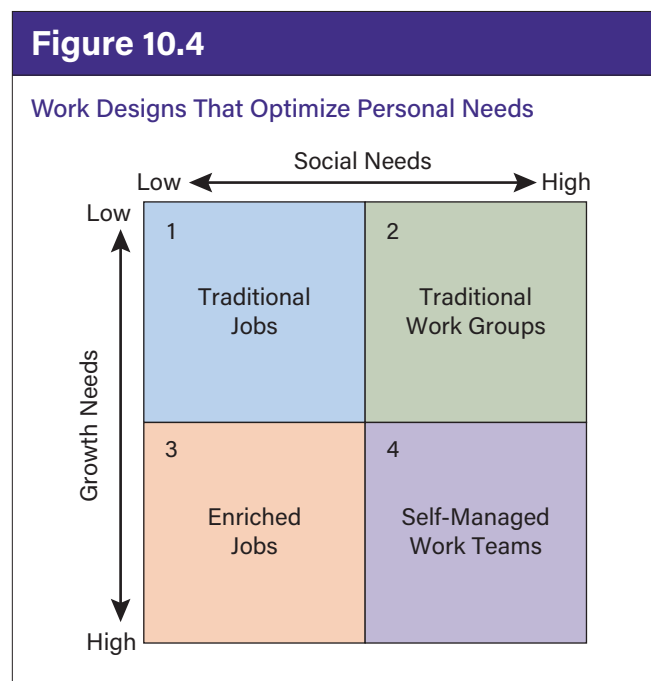
Much of the research identifying individual differences in work design has focused on two types of personal needs that can influence the kinds of work designs that are most socially and psychologically satisfying to employees: *social needs*, or the desire for significant social relationships, and *growth needs*, or the desire for personal accomplishment, learning, and development.⁵⁸ In general, the degree to which employees have social needs determines whether work needs to be designed for individual jobs or work groups. People with low needs for social relationships are more likely to be satisfied working on individualized jobs than in interacting groups. Conversely, people with high social needs are more likely to be attracted to group forms of work than to individualized jobs.

The second individual difference, growth needs, determines whether work designs require routine and repetitive or complex and challenging tasks to satisfy employees' needs. People with low growth needs generally are not attracted to jobs offering complexity and challenge, such

as enriched jobs, but are more satisfied performing routine forms of work that do not require high levels of decision making. On the other hand, people with high growth needs are satisfied with work offering high levels of discretion, skill variety, and meaningful feedback. Performing enriched jobs enables them to experience personal accomplishment and development.

Organization development practitioners may find it difficult to consider that some people have low social and growth needs, particularly in light of OD's traditional social and personal growth values. Practitioners need to be sensitive to individual differences in work design and careful not to force their own values on others. For example, OD consultants, eager to be seen on the cutting edge of practice, may recommend self-managed teams without careful attention to personal need considerations. To assume that all members have high growth needs or want high levels of social interaction can lead to recommendations for enriched work or self-managed teams when they are not warranted, at least from a personal perspective. It is also essential to emphasize that people who have low growth or social needs are not inferior to those placing a higher value on those personal factors. They simply are different.

Figure 10.4 shows the different types of work designs that are most satisfying for the various combinations of social and growth needs. When employees have relatively low social and growth needs (quadrant 1), traditional jobs are most satisfying. When employees have high social needs but low growth needs (quadrant 2), traditional work groups are most satisfying.



Source: Reproduced by permission from T. Cummings, "Designing Work for Productivity and Quality of Work Life," *Outlook* 6 (1982): 40.

groups are most personally appropriate. These allow for some social interaction but limited amounts of challenge and discretion. When employees have low social needs but high growth needs (quadrant 3), enriched jobs are most satisfying. Here, work is designed for individual jobs that have high levels of task variety, discretion, and feedback about results. A research scientist's job is likely to be enriched, as is that of a skilled craftsperson. Finally, when employees have high social and growth needs (quadrant 4), work needs to be designed for self-managed teams that offer significant social interaction around complex and challenging tasks. A team of astronauts in the International Space Station resembles a self-managed work group, as does a team managing a global supply chain or a surgical team in a hospital.

10-5c Meeting Both Technical and Personal Needs

Jointly satisfying technical and human needs for work-design success, though highly desirable, can be challenging to achieve. When the technical conditions of a company's production processes (as shown in Figure 10.3) are compatible with the personal needs of its employees (as shown in Figure 10.4), the respective work designs combine readily and can satisfy both. When technology and people are incompatible—for example, when an organization has quadrant 1 technology and quadrant 4 worker needs—at least two kinds of changes can be made to design work that satisfies both requirements.⁵⁹ One approach is to change technology or people to bring them more in line with each other. This is a key point underlying STS approaches. For example, technical interdependence can be reduced by breaking long assembly lines into more discrete groups. In Sweden, Volvo redesigned the physical layout and technology for assembling automobiles and trucks to promote self-managed teams.

Modifying people's needs is not viable and may be unethical. Rather, organizations can seek to match new or existing employees to available work designs. For example, companies can assess workers' needs through standardized tests and use that information to select new employees or to counsel existing employees and help them locate jobs compatible with their needs. Similarly, employees can be allowed to volunteer for specific work designs—a common practice in STS interventions. This matching process is likely to require high levels of trust and cooperation between management and employees, as well as a shared commitment to designing work for high performance and employee satisfaction.

A second strategy for accommodating both technical and human requirements is to leave the two components

unchanged and create compromised work designs that only partially fulfill the demands of either component. The key issue is to decide to what extent one contingency will be satisfied at the expense of the other. For example, when capital costs are high relative to labor costs, such as in highly automated plants, work design is likely to favor technology. Conversely, in many knowledge-work jobs where human capital is expensive and difficult to acquire relative to technical capital, organizations may design work for employee motivation and satisfaction at the risk of short-changing the technology. These examples suggest a range of possible compromises based on different weightings of technical and human demands. Careful assessment of both types of contingencies and of the cost–benefit

tradeoffs is necessary to design an appropriate compromised work design.

Clearly, the strategy of designing work to bring technology and people more in line with each other is preferable to compromised work designs. Although compromised designs may seem necessary when there are heavy constraints on changing the contingencies, those constraints may be more imagined than real. The important point is to understand the technical and personal factors in a particular situation and to design work accordingly. Traditional jobs and traditional work groups will be successful in certain situations (as shown in Figures 10.3 and 10.4); in other settings, enriched jobs and self-managed teams will be more effective.

Summary

In this chapter, we discussed four different approaches to work design and described a contingency framework to determine the approach most likely to result in high productivity and worker satisfaction. The contingency framework reconciles the strengths and weaknesses of each approach. The engineering approach produces traditional jobs and traditional work groups. Traditional jobs are highly simplified and involve routine and repetitive forms of work with little coordination among people to produce a product or service. Traditional jobs achieve high productivity and worker satisfaction in situations characterized by low technical uncertainty and interdependence and low growth and social needs.

Traditional work groups are composed of members who perform routine yet interrelated tasks. Member interactions are controlled externally, usually by supervisors, schedules, and rigid workflows. Traditional work groups are best suited to conditions of low technical uncertainty but high technical interdependence. They fit people with low growth needs but high social needs.

The reengineering approach exemplified by BPR focuses on work processes and redesigns work to streamline

and coordinate key task interdependencies running through them. It typically results in jobs or teams that emphasize multifunctional tasks, results-oriented feedback, and employee empowerment, like enriched jobs and self-managed work teams.

The motivational approach produces enriched jobs involving high levels of skill variety, task identity, task significance, autonomy, and feedback from the work itself. Enriched jobs achieve good results when the technology is uncertain but does not require high levels of coordination and when employees have high growth needs and low social needs.

Finally, the STS approach is associated with self-managed teams. They are composed of employees performing interrelated tasks. Members have the multiple skills, autonomy, and information necessary to control their own task behaviors with relatively little external control. It can reasonably be argued that self-managed teams represent the work design of the rapidly evolving digital era, where high levels of technical uncertainty and interdependence prevail in the workplace.

Notes

1. S. K. Parker, F. P. Morgeson, and G. Johns, “One Hundred Years of Work Design Research: Looking Back and Looking Forward,” *Journal of Applied Psychology*, 102 (2017): 403–20; S. K. Parker, A. Van den Broeck, and D. Holman, “Work Design Influences: A Synthesis of Multilevel Factors That Affect the Design of Jobs,” *Academy of Management Annals*, 11 (2017): 267–308.
2. F. Taylor, *The Principles of Scientific Management* (Harper & Row, 1911).
3. T. Davenport and J. Short, “The New Industrial Engineering: Information Technology and Business Process Redesign,” *Sloan Management Review* 31 (1990): 11–27; M. Hammer and J. Champy, *Reengineering the Corporation: A Manifesto for Business Revolution* (HarperCollins, 1993, 2006).

4. T. Boutros and J. Cardella, *The Basics of Process Improvement* (CRC Press, 2016); R. Kaplan and L. Murdock, "Core Process Redesign," *McKinsey Quarterly* 2 (1991): 27–43.
5. R. Ramirez, N. Melville, and E. Lawler, "Information Technology Infrastructure, Organizational Process Redesign, and Business Value: An Empirical Analysis," *Decision Support Systems* 49 (2010): 417–29; Y. Lee, P. Chu, and H. Tseng, "Exploring the Relationships between Information Technology Adoption and Business Process Reengineering," *Journal of Management and Organization* 15 (2009): 170–85.
6. K. Lahlou1, K. Medini, T. Wuest, and Q. Jarrar, "Business Process Reengineering in Agile Manufacturing—A Mixed Method Research," in *Advances in Production Management Systems. Production Management Systems for Responsible Manufacturing, Service, and Logistics Futures*, eds. E. Alfnes, A. Romsdal, J. O. Strandhagen, G. von Cieminski, and D. Romero (Springer, 2023): 326–338; J. Xiang, N. Archer, and B. Detlor, "Business Process Redesign Project Success: The Role of Socio-technical Theory," *Business Process Management Journal* 20 (2014): 773–92.
7. H. Reijers and S. Mansar, "Best Practices in Business Process Redesign: An Overview and Qualitative Evaluation of Successful Redesign Heuristics," *Omega: The International Journal of Management Science* 33 (2005): 283–306; N. Eftekhari and P. Akhavan, "Developing a Comprehensive Methodology for BPR Projects by Employing IT Tools," *Business Process Management Journal* 19 (2013): 4–29.
8. D. Stires, "Technology Has Transformed the VA," *Fortune*, May 15, 2006, <http://www.fortune.com> on August 28, 2007.
9. J. Martin, "Are You as Good as You Think You Are?" *Fortune*, September 30, 1996, 142–52.
10. Hammer and Champy, *Reengineering the Corporation*.
11. Ibid.
12. This application was adapted from J. vom Brocke, T. Schmiedel, A. Simons, A. Schmid, M. Petry, and C. Baeck, "From Local IT Needs to Global Process Transformation: Hilti's Customer Service Program," *Business Process Management Journal* 22 (2016): 594–613; information provided on Hilti's corporate website at www.hilti.com.
13. E. Afnan, I. Sukoco, and H. Muhyi, "A Systematic Mapping Study of Business Process Reengineering," *European Journal of Business and Management Research* 7 (2022): 214–20; A. Fetais, G. Abdella, K. Al-Khalifa, and A. Hamouda, "Business Process Re-Engineering: A Literature Review-Based Analysis of Implementation Measures," *Information* 13 (2022): 185–94; I. Siregar, "A Literature Review on Business Process Reengineering," *American International Journal of Business Management* 4 (2021): 123–33.
14. Hammer and Champy, *Reengineering the Corporation*.
15. F. Herzberg, B. Mausner, and B. Snyderman, *The Motivation to Work* (Wiley, 1959); F. Herzberg and Z. Zautra, "Orthodox Job Enrichment: Measuring True Quality in Job Satisfaction," *Personnel* 53 (September–October 1976): 54–68.
16. N. King, "Clarification and Evaluation of the Two-Factor Theory of Job Satisfaction," *Psychological Bulletin* 74 (1970): 18–31.
17. J. Hackman and G. Oldham, *Work Redesign* (Addison-Wesley, 1980).
18. Hackman and Oldham, *Work Redesign*; J. Hackman, G. Oldham, R. Janson, and K. Purdy, "A New Strategy for Job Enrichment," *California Management Review* 17 (Summer 1975): 57–71; R. Walters, *Job Enrichment for Results: Strategies for Successful Implementation* (Addison-Wesley, 1975).
19. J. Hackman and G. Oldham, *The Diagnostic Survey: An Instrument for the Diagnosis of Jobs and the Evaluation of Job Redesign Projects*, Technical Report No. 4 (Yale University, Department of Administrative Sciences, 1974); H. P. Sims Jr., A. D. Szilagyi, and R. T. Keller, "The Measurement of Job Characteristics," *Academy of Management Journal* 19 (1976): 195–212; M. Campion, "The Multimethod Job Design Questionnaire," *Psychological Documents* 15 (1985): 1; J. Idaszak and F. Drasgow, "A Revision of the Job Diagnostic Survey: Elimination of a Measurement Artifact," *Journal of Applied Psychology* 72 (1987): 69–74.
20. E. Huse and M. Beer, "Eclectic Approach to Organizational Development," *Harvard Business Review* 49 (September–October 1971): 103–12.
21. R. Henkoff, "Make Your Office More Productive," *Fortune*, February 25, 1991, 84.
22. G. Oldham and Y. Fried, "Job Design Research and Theory: Past, Present and Future," *Organizational Behavior and Human Decision Processes* 136 (2016): 20–35; S. E. Humphrey, J. D. Nahrgang, and F. P. Morgeson, "Integrating Motivational, Social, and Contextual Work Design Features: A Meta-analytic Summary and Theoretical Extension of the Work Design Literature," *Journal of Applied Psychology*, 92 (2007): 1332–56.
23. Parker, Morgeson, and Johns, "One Hundred Years of Work Design Research"; Parker, Van den Broeck, and Holman, "Work Design Influences"; Oldham and Fried, "Job Design Research and Theory."
24. M. Van Veldhoven, A. Van den Broeck, K. Daniels, A. Bakker, S. Tavares, and C. Ogbonnaya, "Challenging the Universality of Job Resources: Why, When, and For Whom Are They Beneficial?" *Applied Psychology*, 69 (2020): 5–9.
25. Parker, Van den Broeck, and Holman, "Work Design Influences"; G. Oldham and J. Hackman, "Work Design in the Organizational Context," in *Research in Organizational Behavior*, vol. 2, eds. B. Staw and L. Cummings (JAI Press, 1980), 247–78.
26. E. Trist and H. Murray, eds., *The Social Engagement of Social Science, Volume II: The Socio-Technical Perspective* (University of Pennsylvania Press, 1993).
27. D. Guest, A. Knox, and C. Warhurst, "Humanizing Work in the Digital Age: Lessons from Socio-Technical Systems and Quality of Working Life Initiatives," *Human Relations*, 75 (2022): 1461–82; D. Austrom and C. Ordowich, "Pava, Calvin: Sociotechnical Systems Design for the 'Digital Coal Mines,'" in *The Palgrave Handbook of Organizational Change Thinkers*, eds. D. B. Szabla, W. A. Pasmore, M. A. Barnes, and A. N. Gipson (Palgrave Macmillan, 2020); W. Pasmore, S. Winby, S. Mohrman, and R. Vanasse, "Reflections: Sociotechnical

- Systems Design and Organization Change," *Journal of Change Management*, 19 (2019): 67–85; S. Winby and S. Mohrman, "Digital Sociotechnical System Design," *Journal of Applied Behavioral Science*, 54 (2018): 399–423.
28. Winby and Mohrman, "Digital Sociotechnical System Design."
 29. E. Trist, B. Higgin, H. Murray, and A. Pollock, *Organizational Choice* (Tavistock, 1963); T. Cummings and S. Srivastva, *Management of Work: A Socio-Technical Systems Approach* (University Associates, 1977); W. Pasmore and J. Sherwood, eds., *Sociotechnical Systems: A Sourcebook* (University Associates, 1978); A. Cherns, "Principles of Sociotechnical Design Revisited," *Human Relations* 40 (1987): 153–62.
 30. T. Cummings, "Self-Regulating Work Groups: A Socio-Technical Synthesis," *Academy of Management Review* 3 (1978): 625–34; G. Susman, *Autonomy at Work* (Praeger, 1976); H. Sims and C. Manz, "Conversations within Self-Managed Work Groups," *National Productivity Review* 1 (Summer 1982): 261–69; T. Cummings, "Designing Effective Work Groups," in *Handbook of Organizational Design: Remodeling Organizations and Their Environments*, vol. 2, eds. P. C. Nystrom and W. H. Starbuck (Oxford University Press, 1981): 250–71; C. Manz, "Beyond Self-Managing Teams: Toward Self-Leading Teams in the Workplace," in *Research in Organizational Change and Development*, vol. 4, eds. W. Pasmore and R. Woodman (JAI Press, 1990): 273–99; C. Manz and H. Sims Jr., "Leading Workers to Lead Themselves: The External Leadership of Self-Managed Work Teams," *Administrative Science Quarterly* 32 (1987): 106–28.
 31. "Survey of Organization Improvement Efforts" (Center for Effective Organizations, 2006); E. Lawler, *Organizing for High Performance: Employee Involvement, TQM, Reengineering, and Knowledge Management in the Fortune 1000* (Jossey-Bass, 2001).
 32. S. Mohrman, S. Cohen, and A. Mohrman, *Designing Team-Based Organizations: New Forms for Knowledge Work* (Jossey-Bass, 1995); Winby and Mohrman, "Digital Sociotechnical System Design."
 33. Cummings, "Self-Regulating Work Groups"; G. Stewart, C. Manz, and H. Sims, *Team Work and Group Dynamics* (Wiley, 1999); J. R. Hackman, "The Design of Work Teams," in *Handbook of Organizational Behavior*, ed. J. Lorsch (Prentice Hall, 1987): 315–42; S. Cohen, G. Ledford, and G. Spreitzer, "A Predictive Model of Self-Managing Team Effectiveness," *Human Relations* 49 (1996): 643–76; P. Goodman, ed., *Designing Effective Work Groups* (Jossey-Bass, 1986); P. G. Herbst, *Autonomous Group Functioning* (Tavistock, 1962); J. Mathieu, J. Hollenbeck, D. Knippenberg, D., and D. Ilgen, "A Century of Work Teams in the *Journal of Applied Psychology*," *Journal of Applied Psychology* 102 (2017): 452–67.
 34. Cummings, "Self-Regulating Work Groups."
 35. Cummings, "Self-Regulating Work Groups"; J. Pearce II and E. Ravlin, "The Design Activation of Self-Regulating Work Groups," *Human Relations* 40 (1987): 751–82; Hackman, "The Design of Work Teams."
 36. Ibid.
 37. C. Manz and H. Sims, "The Leadership of Self-Managed Work Groups: A Social Learning Theory Perspective" (Paper presented at the annual meeting of the National Academy of Management, New York, August 1982); C. Manz and H. Sims Jr., "Searching for the 'Unleader': Organizational Member Views on Leading Self-Managed Groups," *Human Relations* 37 (1984): 409–24.
 38. H. Mintzberg, *The Nature of Managerial Work* (Harper & Row, 1973); L. Sayles, *Managerial Behavior: Administration in Complex Organizations* (McGraw-Hill, 1964).
 39. R. Walton and L. Schlesinger, "Do Supervisors Thrive in Participative Work Systems?" *Organizational Dynamics* 8 (Winter 1979): 25–38.
 40. C. Manz and H. Sims, "Leading Workers to Lead Themselves: The External Leadership of Self-Managing Teams," *Administrative Science Quarterly* 32 (1987): 106–28; Manz and Sims, "The Leadership of Self-Managed Work Groups"; Walton and Schlesinger, "Do Supervisors Thrive."
 41. M. Weisbord, "Participative Work Design: A Personal Odyssey," *Organizational Dynamics* (1984): 5–20.
 42. T. Cummings, "Socio-Technical Systems: An Intervention Strategy," in *New Techniques in Organization Development*, ed. W. Burke (Basic Books, 1975): 228–49; Cummings and Srivastva, *Management of Work*; T. G. Cummings and E. S. Molloy, *Improving Productivity and the Quality of Work Life* (Praeger, 1977).
 43. Cherns, "Sociotechnical Design Revisited."
 44. P. Paraskevas, E. Demerouti, and W. Schaufeli, "Crafting the Change: The Role of Employee Job Crafting Behaviors or Successful Organizational Change," *Journal of Management*, 44 (2018): 1766–92; J. Kroezen, D. Ravasi, I. Sasaki, M. Zebrowska, and R. Suddaby, "Configurations of Craft: Alternative Models for Organizing Work," *Academy of Management Annals*, 15 (2020): 502–36.
 45. This application was updated in 2023 from the original G. Bradford, D. Sarnak, and J. Burgers's "Home Care by Self-Governing Nursing Teams: The Netherlands' Buurtzorg Model," The Commonwealth Fund, May 2015.
 46. R. Walton, "How to Counter Alienation in the Plant," *Harvard Business Review* 12 (November–December 1972): 70–81; R. Schrank, "On Ending Worker Alienation: The Gaines Pet Food Plant," in *Humanizing the Workplace*, ed. R. Fairfield (Prometheus, 1974): 119–20, 126; R. Walton, "Teaching an Old Dog Food New Tricks," *Wharton Magazine* 4 (Winter 1978): 42; L. Ketchum, "Innovating Plant Managers Are Talking About . . ." (Presentation at the International Conference on the Quality of Working Life, Toronto, August 30–September 3, 1981): 2–3; H. Simon et al., "General Foods Topeka: Ten Years Young" (Presentation at the International Conference on the Quality of Working Life, Toronto, August 30–September 3, 1981): 5–7; J. Norsted and S. Aguren, *The Saab-Scania Report* (Swedish Employer's Confederation, 1975); P. Gyllenhamm, *People at Work* (Addison-Wesley, 1977): 15–17, 43, 52–53; B. Jönsson, "Corporate Strategy for People at Work—The

- Volvo Experience” (Presentation at the International Conference on the Quality of Working Life, Toronto, August 30–September 3, 1981); N. Tichy and J. Nisberg, “When Does Work Restructuring Work?: Organizational Innovations at Volvo and GM,” *Organizational Dynamics* 5 (Summer 1976): 73; J. Kapstein and J. Hoerr, “Volvo’s Radical New Plant: The Death of the Assembly Line?” *BusinessWeek*, August 28, 1989, 92–93.
47. W. Pasmore, “The Comparative Impacts of Sociotechnical System, Job-Redesign, and Survey-Feedback Interventions,” in *Sociotechnical Systems: A Source Book*, eds. W. Pasmore and J. Sherwood (University Associates, 1978): 291–300.
 48. J. DeVaro, “Teams, Autonomy, and the Financial Performance of Firms: New Evidence from Panel Data,” in *Advances in the Economic Analysis of Participatory and Labor-Managed Firms*, vol. 12, ed. J. DeVaro (Emerald, 2011): 63–85; J. DeVaro, “The Effects of Self-Managed and Closely Managed Teams on Labor Productivity and Product Quality: An Empirical Analysis of a Cross-Section of Establishments,” *Industrial Relations* 47 (2008): 659–97.
 49. Parker, Morgeson, and Johns, “One Hundred Years of Work Design Research”; Oldham and Fried, “Job Design Research and Theory”; A. Delarue, G. Van Hootegem, S. Procter, and M. Burridge, “Teamworking and Organizational Performance: A Review of Survey-Based Research,” *International Journal of Management Reviews* 10 (2008): 127–48; Cummings and Molloy, *Improving Productivity*; R. Beekun, “Assessing the Effectiveness of Sociotechnical Interventions: Antidote or Fad?” *Human Relations* 42 (1989): 877–97; B. Macy, P. Bliese, and J. Norton, “Organizational Change and Work Innovation: A Meta-Analysis of 131 North American Field Experiments—1961–1990,” in *Research in Organizational Change and Development*, vol. 7, eds. R. Woodman and W. Pasmore (JAI Press, 1994).
 50. Parker, Morgeson, and Johns, “One Hundred Years of Work Design Research”; Parker, Van den Broeck, and Holman, “Work Design Influences.”
 51. G. van der Vegt, J. S. Bunderson, and B. Kuipers, “Why Turnover Matters in Self-Managing Work Teams: Learning, Social Integration, and Task Flexibility,” *Journal of Management* 36 (2010): 1168–91.
 52. J. S. Bunderson and P. Boumgarden, “Structure and Learning in Self-Managed Teams: Why ‘Bureaucratic’ Teams Can Be Better Learners,” *Organization Science* 21 (2010): 609–24.
 53. S. Greg, L. Courtright, S. Barrick, and R. Murray, “Peer Based Control in Self-Managing Teams: Linking Rational and Normative Influence with Individual and Group Performance,” *Journal of Applied Psychology* 97 (2012): 435–47; M. R. Hass, “The Double-Edged Swords of Autonomy and External Knowledge: Team Effectiveness in a Multinational Organization,” *Academy of Management Journal* 53 (2010): 989–1008; T. D. Wall, N. J. Kemp, P. R. Jackson, and C. W. Clegg, “Outcomes of Autonomous Workgroups: A Long-Term Field Experiment,” *Academy of Management Journal* 29 (June 1986): 280–304; G. van der Vegt, J. S. Bunderson, and B. Kuipers, “Why Turnover Matters in Self-Managing Work Teams: Learning, Social Integration, and Task Flexibility,” *Journal of Management* 36 (2010): 1168–91; C. Manz and H. Angle, “Can Group Self-Management Mean a Loss of Personal Control: Triangulating a Paradox,” *Group and Organization Studies* 11 (December 1986): 309–34.
 54. Parker, Van den Broeck, and Holman, “Work Design Influences”; Parker, Morgeson, and Johns, “One Hundred Years of Work Design Research”; Oldham, and Fried, “Job Design Research and Theory.”
 55. Cummings, “Self-Regulating Work Groups”; Susman, *Autonomy at Work*; J. Slocum and H. Sims, “A Typology of Technology and Job Redesign,” *Human Relations* 33 (1980): 193–212; M. Kiggundu, “Task Interdependence and Job Design: Test of a Theory,” *Organizational Behavior and Human Performance* 31 (1983): 145–72.
 56. L. Wegman, B. Hoffman, N. Carter, J. Twenge, and N. Guenole, “Placing Job Characteristics in Context: Cross-Temporal Meta-Analysis of Changes in Job Characteristics Since 1975,” *Journal of Management* 44 (2018): 352–86.
 57. A. Grant and S. Parker, “Redesigning Work Design Theories: The Rise of Relational and Proactive Perspectives,” *Academy of Management Annals* 3 (2009): 317–75.
 58. Hackman and Oldham, *Work Redesign*; K. Brousseau, “Toward a Dynamic Model of Job–Person Relationships: Findings, Research Questions, and Implications for Work System Design,” *Academy of Management Review* 8 (1983): 33–45; G. Graen, T. Scandura, and M. Graen, “A Field Experimental Test of the Moderating Effects of Growth Needs Strength on Productivity,” *Journal of Applied Psychology* 71 (1986): 484–91.
 59. T. Cummings, “Designing Work for Productivity and Quality of Work Life,” *Outlook* 6 (1982): 35–39.

Selected Cases

The Sullivan Hospital System

Part I

At the Sullivan Hospital System (SHS), CEO Ken Bonnet expressed concern over market share losses to other local hospitals over the past six to nine months and declines in patient satisfaction measures. To him and his senior administrators, the need to revise the SHS organization was clear. It was also clear that such a change would require the enthusiastic participation of all organizational members, including nurses, physicians, and managers.

At SHS, the senior team consisted of the top administrative teams from the two hospitals in the system. Bonnet, CEO of the system and president of the larger of the two hospitals, was joined by Sue Strasburg, president of the smaller hospital. Their two styles were considerably different. Whereas Bonnet was calm, confident, and mild-mannered, Strasburg was assertive, enthusiastic, and energetic. Despite these differences, both administrators demonstrated a willingness to lead the change effort. In addition, each of their direct reports was clearly excited about initiating a change process and was clearly taking whatever initiative Bonnet and Strasburg would allow or empower them to do.

You were contacted by Bonnet to conduct a three-day retreat with the combined management teams and kick off the change process. Based on conversations with administrators from other hospitals and industry conferences, the team believed that the system needed a major overhaul of its Total Quality Management (TQM) process for two primary reasons. First, they believed that an improved patient care process would give physicians a good reason to use the hospital, thus improving market share. Second, although the Joint Commission on Accreditation of Healthcare Organizations (JCAHO) had enacted policies some time ago encouraging hospitals to adopt continuous improvement principles, SHS's system was sorely behind the times. The team readily agreed that they lacked the adequate skills and knowledge associated with implementing a more sophisticated TQM process. This first meeting was to gather together to hear about how TQM, engagement, and other strategic change processes had advanced and the issues that would need to be addressed if more

sophisticated processes were to be implemented. During the meeting, you guided them through several exercises to get the team to examine methods of decision making and how team-based problem solving had advanced, and explored their understanding of the hospital's current mission, goals, and strategies.

Although you were concerned about starting the process with a workshop that explored a solution rather than understanding the problem, you remembered Roger Harrison's consulting rule, "Start where your client is at," and agreed to conduct the workshop. You were assured by Bonnet that the hospital system was committed to making substantive changes and that this was only the first step. In addition, and in support of this commitment, Bonnet told you that he had already agreed in principle to begin a work redesign process in a few of the nursing units at each hospital and had begun to finalize a contract with a large consulting firm to do the work. The workshop was highly praised and you convinced the team to hold off on the work design implementation long enough to conduct a diagnosis of the system.

Following the retreat, your diagnosis of the SHS organization employed a variety of data collection activities including interviews with senior managers from both hospitals as well as a sampling of middle managers and staff (for example, nurses, ancillary professionals, and environmental services providers). Questions about the hospital's mission garnered the most consensus and passion. There was almost unanimous commitment to the breadth of services provided and the values that played a prominent role in the delivery of those services by a Catholic-sponsored health care organization, such as SHS. A mission and values statement was clearly posted throughout the hospital and many of the items in that statement were repeated almost verbatim in the interviews.

From there, however, answers about the organization's purpose and objectives became more diverse. With respect to goals and objectives, different stakeholder groups saw them differently. Senior administrators were fairly clear about the goals listed in the strategic plan. These goals included increasing measurements of patient satisfaction, decreasing

Selected Cases

The Sullivan Hospital System, continued

the amount of overtime, and increasing market share. However, among middle managers and supervisors, there was little awareness of hospital goals or how people influenced their accomplishment. A question about the hospital's overall direction or how the goals were being achieved yielded a clear split in people's perceptions. Some believed the hospital achieved its objectives through its designation as the area's primary trauma center. They noted that if someone's life were in danger, the best chance of survival was to go to SHS. The problem, respondents joked, was that "after we save their life, we tend to forget about them." Many, however, held beliefs that could be labeled "low cost." That is, objectives were achieved by squeezing out every penny of cost no matter how that impacted patient care.

Opinions about the policies governing the hospital's operation supported a general belief that the organization was too centralized. People felt little empowerment to make decisions. There also were a number of financial policies that were seen as dictated from the corporate office, where "shared services" existed, including finance, marketing, information systems, and purchasing. Further, several policies limited a manager's ability to spend money, especially if it wasn't allocated in budgets.

In addition to the managerial sample, a variety of individual contributors and supervisors were interviewed either individually or in small groups to determine the status and characteristics of different organization design factors. The organization's policy and procedure manuals, annual reports, organization charts, and other archival information were also reviewed. This data collection effort revealed the following organization design features:

- **The hospitals' structures were more bureaucratic than organic.** Each hospital had a functional structure with a chief executive officer and from two to five direct reports. Both hospitals had directors of nursing services and professional services. The larger hospital had additional directors in special projects, pastoral care, and other staff functions that worked with both hospitals. Traditional staff functions, such as finance, procurement, human resources, and information services, were centralized at the corporate office. There were a number of formal policies regarding spending, patient care, and so on.
- **The basic work design of the hospitals could be characterized as traditional.** Tasks were narrowly defined (janitor, CCU nurse, admissions clerk, and so on). Further, despite the high levels of required interdependency and complexity involved in patient care, most jobs were individually based. That is, job descriptions detailed the skills, knowledge, and activities required of a particular position. Whenever any two departments needed to coordinate their activities, the work was controlled by standard operating procedures, formal paperwork, and tradition.
- **Information and control systems were old and inflexible.** From the staff's perspective, and to some extent even middle management's, little, if any, operational information (that is, about costs, productivity, or levels of patient satisfaction) was shared. Cost information in terms of budgeted versus actual spending was available to middle managers and their annual performance reviews were keyed to meeting budgeted targets. Unfortunately, managers knew the information in the system was grossly inaccurate. They felt helpless in affecting change, since the system was centralized in the corporate office. As a result, they devised elaborate methods for getting the "right" numbers from the system or duplicated the system by keeping their own records.
- **Human resource systems, also centralized in the corporate office, were relatively generic.** Internal job postings were updated weekly (there was a shortage of nurses at the time). There was little in the way of formal training opportunities beyond the required, technical educational requirements to maintain currency and certification. Reward systems consisted mainly of a merit-based pay system that awarded raises according to annual

Selected Cases

The Sullivan Hospital System, continued

performance appraisal results. Raises over the previous few years, however, had barely kept pace with the cost of living. There also were various informal recognition systems administered by individual managers.

Questions

1. Assemble the diagnostic data into a framework and prepare feedback to the senior administrators of the hospitals. What's your sense of the organization's current structure and employee involvement issues?
2. What changes would you recommend? Is a total quality management intervention appropriate here? What alternatives would you propose?
3. Design an implementation plan for your preferred intervention.

Part II

This diagnostic data was discussed and debated among the senior team. A steering committee composed of physicians, managers, nurses, and other leaders from both hospitals was convened, and creating a vision for the system and the change effort became one of their first tasks.

The steering committee spent hours poring over vision statements from other organizations, discussing words and phrases that described what they thought would be an exciting outcome from interacting with

the hospital, and trying to satisfy their own needs for something unique and creative. When the first draft of a statement emerged, they spent several months sharing and discussing it with a variety of stakeholders. To their dismay, the initial version was roundly rejected by almost everyone as boring, unimaginative, or unreal. The group discussed the input gathered during these discussions and set about the task of revising the vision. After several additional iterations and a lot of wordsmithing, a new and more powerful vision statement began to emerge. The centerpiece of the vision was the belief that the organization should work in such a way that the patient felt like they were the "center of attention." Such an orientation to the vision became a powerful rallying point since many of the hospitals' management teams readily understood that there was an existing perception of poor service that needed to be turned around.

The three months spent working and adapting the vision statement was well worth it. As it was presented to people in small meetings and workshops, each word and phrase took on special meaning to organizational members and generated commitment to change.

Questions

1. Critique SHS's visioning process.
2. What implications does the visioning process have for the intervention you want to implement? How can you take advantage of the process in your action plan?

Selected Cases

The Evolution of Mini-Factories at Favi*

FAVI is a small automotive parts manufacturer in Hallencourt, France. In addition to other products, it is the European leader in the production of key components for gearboxes (manual transmissions) in such cars as Renault, Peugeot, Citroen, Fiat, Opel, Audi, Volvo, and Volkswagen. Employing about 400 people, this société anonyme (public limited company) was founded in 1957 and is part of the AFICA Group, which purchased FAVI in 1971.

FAVI has been a consistent performer with profitability ratios exceeding 15 percent over the last 25 years. In 2010, FAVI generated sales of more than €75.5 million, 32 percent from export markets. Sales to the industrial sector account for about 13 percent of revenues and 5 percent of sales come from the high-performance electric engine rotor market. Today, FAVI generates 80 percent of its sales through the automotive sector.

FAVI's central purpose is unusual: to remain in operation in Hallencourt and protect jobs in the local area. While most of its competitors moved operations to low cost labor regions, the quality of the company's products, its specialist skills, and its competitiveness explains most of its success. Except for rising raw materials costs, FAVI has not increased its prices since 1995.

FAVI's innovation strategy has three axes: products, processes, and organization. Product innovation has been an important part of FAVI's history. After World War II, FAVI sold washbasin siphons before moving into water meters, for which there was huge demand at a time when the construction industry was booming. In the 1970s, Asian competition in these markets forced FAVI to identify new opportunities. It developed a brass gearbox fork for the European automotive industry. This new product guaranteed continued growth for FAVI from 1989 to

the present, with the workforce expanding from 140 to 440 employees at its height.

FAVI also competes through continuous improvement. It achieved ISO 9001-2000 and after becoming the first European foundry to gain ISO 14001 certification in 2000, FAVI also became the first French company to obtain OHSAS 18001 health and safety at work certification. In 2008, FAVI was the first European foundry to obtain ILO OSH 2001 certification and in 2010 the company was awarded the Peugeot Quality Trophy. Today, FAVI is working to reduce its carbon footprint and extend its advantages in this realm.

Finally, FAVI competes through work organization innovation. Over the years, FAVI has introduced and implemented a series of changes in its production management and work system called "mini-factories."

A Changing Work System

The seeds of a new way of working began in 1989. FAVI's new technical director, Jean-François Zobrist, who would go on to become FAVI's president, became worried about the way the company functioned. He believed that FAVI was too mechanistic in its operations and people management. A traditional organizational approach, complete with technical directors, foremen, team leaders, workers, and an array of support functions, was overly focused on the internal functioning of the enterprise rather than the needs of the customer. FAVI's capacity for responding to customer demands ranged from poor to nonexistent. For example, salespeople had to wait weeks before the design office, a team responsible for scheduling and capacity planning, informed them whether it was possible to fulfill an order. Support function processes slowed the system down rather than adding value. Workers received messages of distrust, job insecurity, and reward akin to piece work. An advocate of Douglas McGregor's "Theory Y," which proposed that people are innately good and enjoy working, Zobrist wanted to establish individual autonomy and trust between operators and managers.

At the same time, Peugeot placed a large order for FAVI's gearbox forks, which would eventually account for 20 percent of sales in 1989. But how should this order be managed? Should successive eight-hour shifts be organized to keep the factory running around

*The FAVI case was excerpted and adapted from P. Gilbert, N. Crozet, and A.C. Teglberg, « Work organization and innovation. Case study : FAVI, France » (Dublin, IE : European Foundation for the Improvement of Living and Working Conditions, 2013) with additional information provided by J.F. Zobrist, "La Belle Histoire de FAVI: L'entreprise qui croit que l'homme est bon : Tome 1- Nos belles histoires » (Paris : Humanisme and Organizations, 2014) ; J.F. Zobrist, « La Belle Histoire de FAVI : L'entreprise qui croit que l'homme est bon : Tome 2 : Notre management et nos outils » (Paris : Humanisme and Organizations, 2014).

Selected Cases

The Evolution of Mini-Factories at Favi, continued

the clock? Should the foundry be enlarged? Should additional foremen be hired? Zobrist decided to create a specialized and autonomous unit dedicated to the Peugeot contract so that it could respond to the customer's needs without interfering with other production processes. The concept of the mini-factory was born.

During the initial implementation phase, between 1989 and 1996, FAVI's introduction of the mini-factory system and the values that it represented was accompanied by a new organizational vocabulary. "Teams" became "mini-factories," "workers" became "operators," and "supervisors" became "leaders." The values Zobrist imposed involved an unconditional focus on customer service, being autonomous and responsible, trusting operators to maintain high quality standards, a commitment to continuous improvement, and keeping the company's prosperity top of mind. Responsibility for production, planning, investment, and HR functions was decentralized to the teams. Sales, procurement, quality control, and maintenance remained centralized. Over the next few years, new mini-factories were set up as contracts were obtained.

Managers from the decentralized functions were generally opposed to the change. Zobrist insisted that they become experts in their functions and work with mini-factory leaders as advisors. If managers who preferred a traditional hierarchical system wanted to stay at FAVI, they had to become experts in a support function. Meanwhile, those who rejected the system were invited to leave the company.

Training programs for operators and leaders supported the implementation of the new system. They emphasized safety, operating digitally controlled equipment, market-driven product design concepts, and total quality management. A large number of meetings between mini-factories and their customers also were held at Hallencourt or on client sites to familiarize each partner with the other's operations. FAVI organized annual study trips to Japan, Poland, and Latin America for around 20 salespeople, leaders, and operators to discover how successful foreign firms work. Conferences, training sessions, and visits to trade shows and enterprises were regularly organized to "bring the outside inside" and find new ideas to increase productivity, improve quality, and unearth new market opportunities.

A second phase, between 1996 and 2004, served to embed the new system. Zobrist continued to work with the company's employees and visited the factory frequently to talk to operators at their workstations, constantly reminding them of the values and the objectives. Relationships among peers also played a key role. One operator commented, "Established employees show the interns and the new recruits how to fix the machines; people help each other a lot, we explain how things work at FAVI." In addition, the leaders in the mini-factories no longer had to work in tandem with functional experts and former managers. By 2004, the last managers to have worked within the old system retired.

The final implementation phase, between 2004 and the present, represented an important set of refinements to the model. Dominique Verlant, who had been selected as Zobrist's successor, initiated a new series of innovations. His goal was to decentralize or eliminate any support function hindering the autonomy of the mini-factories as rapidly as possible. "Every time there's a separation [between functions], there's a risk that the devil might wriggle into the gap." By 2011, he had decentralized procurement, quality control, maintenance, and sales into the mini-factories.

The first moves were made in 2004. Mini-factory autonomy was increased by decentralizing procurement and integrating warehouse space into the factories' operational areas. Previously, the warehouse was frequently "out of stock" on too many key components. Under the new system, the leader, using a Kanban system, sent an order directly to the supplier who delivered the product. The mini-factories controlled their own output and ensured that stock levels were correct. The centralized warehouse was eliminated.

In 2008, and after losing an important contract because of poor communication between a salesman and his mini-factory, Verlant decentralized the sales department. The salespeople became directly integrated into their mini-factories to ensure that any issues relating to quality and customer service could be addressed immediately. Having their offices inside the mini-factory allowed salespeople to make changes and adjustments on a day-to-day basis. Although the move did not go over well with the sales manager, who resigned shortly thereafter, salespeople believed that this change facilitated

Selected Cases

The Evolution of Mini-Factories at Favi, continued

communication with operators and the leader. The following year, the quality control function was also integrated into the mini-factories. Client complaints had become rare (less than two per month), so salespeople became the quality control manager and were able to leverage their role as the client's unique point of contact.

In 2011, maintenance functions were integrated into the mini-factories. The introduction of maintenance functions in the mini-factories caused several problems linked to their technical specializations. Most technicians are not multi-skilled; a hydraulic maintenance technician is unfamiliar with electrical maintenance. To get around that problem, the maintenance agent fulfills a varied role in the mini-factory, and whenever his expertise is called upon by another mini-factory, he knows that his input will be reciprocated later.

The Mini-Factory Today

In an automotive parts sector hard hit by offshoring, FAVI is the undisputed leader in the gearbox market. Guided by the imperative of protecting local jobs and safeguarding the company's future, the mini-factories serve their clients efficiently and effectively. Zobrist coined the motto "Par et pour le client" ("By and for the customer").

Each mini-factory is an island of production located in a particular area of the factory, and it contains all of the equipment and processes necessary to serve a particular customer. Often, the logo of the client, painted in distinctive colors, is displayed in the mini-factory. The hierarchical structure of the factory consists of only two levels—a factory director and the "leaders" of the 12 mini-factories. As a result, it fosters close, direct relationships between the members of a mini-factory, increases learning, and encourages mentorship. It also improves response time to clients, limits risks of conflict between functions, and accelerates the decision-making process. Lastly, the remaining centralized functions, the design office, the laboratory, R&D, and IT, support the continued technical expertise of the mini-factories.

The mini-factory must organize itself so that it can deliver the right pieces to the client at the right moment. Each mini-factory contains 20–35 operators, a leader, and a salesperson, and everyone is encouraged to monitor the quality of their own work as most

forms of monitoring have been abandoned. FAVI believes that trust is more productive than monitoring.

- **The operator**—The autonomy of the operators is the cornerstone of the FAVI system. As Verlant put it, "They take a piece in their right hand and return it, finished, in their left; they are the people who provide all the added value." Everything is organized to ensure that operators can make decisions in real time and give clients the best product and service possible. Operators are responsible for maintaining their supplies and equipment.
- **The leader**—The leader's mission is to protect existing jobs. They are always former operators who have shown potential in terms of organization and leadership. While they manage their mini-factories in an autonomous fashion, they are responsible for health and safety issues, planning, talent management and salary administration, investment and procurement processes, managing and improving quality, maintenance, and defining and running "progress plans" (see below). The leader decides, for example, if the mini-factory should work with one, two, or three operator teams. If a leader requires more operators, colleagues in other mini-factories are asked to supply them. If there is a lack of personnel, leaders work with the factory director to recruit and hire new operators. The success of the overall system depends on a form of mutual adjustment between leaders.
- **The salesperson**—The salesperson is constantly in touch with the client and passes customer requirements on to operators in the mini-factory. The salesperson is the client's "one-stop shop" and has complete responsibility for the client relationship cycle. Depending on the various phases of this cycle, the salesperson can be a technical salesman, a project head in the implementation phase, or a productivity sponsor of the mini-factory tasked with ensuring that the prices agreed with the client make it possible to achieve the desired margin. Salespeople have a global responsibility for all projects and are entitled to act autonomously. They only sell what can be produced, which prevents the emergence of traditional tensions between salespeople and the production team.

Selected Cases

The Evolution of Mini-Factories at Favi, continued

The mini-factory is supported by a non-traditional HR strategy, and represents an important reason why operators and leaders support the FAVI system. HR practices related to management by objectives, support of company values, and coordination between functions are very informal but strongly embedded in cultural expectations. There are a couple of exceptions to this informality, notably with regard to health and safety, areas in which the rules are respected at all times.

The main recruitment criterion is an ability to meet FAVI's managerial principles: being client focused, being autonomous and responsible, and giving the best of oneself to ensure that the company succeeds. Although there are no formal career paths, opportunities for promotion do exist. Thus, operators know that FAVI provides opportunities for advancement and is capable of expressing its recognition. As one employee explained: "Yes, we can always progress. I began as an operator and then became a quality control agent." Nevertheless, these possibilities are restricted by the fact that there are so few hierarchical levels. Operators believe that this disadvantage is compensated for by the autonomy that they enjoy.

The mini-factory system changed the structure of employee compensation. In the old system, middle managers had the power to assign bonuses to the operators based on productivity levels. During the first implementation phase, Zobrist got rid of all bonuses. Middle managers resisted the decision as it went against long-established practice in the classical organization and they feared disorder, a loss of productivity, and a decrease in their personal authority. The objective of the new system was to strengthen the unity of the employees as a group. Zobrist established a reward system based on a profit-sharing scheme: 7 percent of the profit before taxes is shared equally. The way it is administered means that employees could receive between 13 and 15 months of salary annually. Moreover, individualized forms of recognition, in the shape of various "trophies," are solemnly and publicly handed out to deserving employees. Employees appreciate these bonuses because they reward the spirit of initiative and are aligned with the culture of the company, in which innovation plays a central role.

Finally, members of a mini-factory must work to ensure that their unit "does more, better, and for

less." Operators are encouraged to submit "progress projects." These projects can improve product quality, productivity, security, or work conditions. Every month, a jury hands out prizes to two of these "progress projects" (a €1,000 first prize and a €500 second prize), and at the end of the year the mini-factory that has suggested the largest number of ideas receives a reward. The jury is composed of a rotating group of leaders, salespersons, and operators. One operator won a €1,000 prize for modifying the machining system used for gearbox forks. Previously, machining a gearbox fork required two machines. The operator's project modified the first machine so that the second machine wasn't required. The change substantially increased gearbox manufacturing productivity.

The Challenges Ahead

The managerial innovation underpinning the FAVI system appears to have been implemented successfully. The lessons that can be drawn from it are linked both to its "people friendly" approach to organizational life, a commitment to a high standard in the field of production, and sustained product and process innovation. There are three challenges to ensuring the continued existence of this innovation.

The first challenge is growth. FAVI has expanded and its system has adapted to that growth by regularly adding new mini-factories dedicated to new clients. There is an open question about how many mini-factories can be introduced, and will informal communication still be viable if the firm continues to increase in size? In addition, how will the relationship between the factory director and the leaders and operators be affected? In effect, the replication of various functions like procurement, HR, and sales in the individual mini-factories leads to a loss of specialization and to less expertise being shared between mini-factories. However, it should be possible to continue to share expertise in an informal manner.

The second challenge concerns the interface with the customer. FAVI has retained its management system in spite of significant changes in the automotive industry. In the automotive industry, purchasing decisions are increasingly made by the purchasing department rather than the production department as it was until a few years ago. It is becoming increasingly difficult to keep in close contact with clients.

Selected Cases

The Evolution of Mini-Factories at Favi, continued

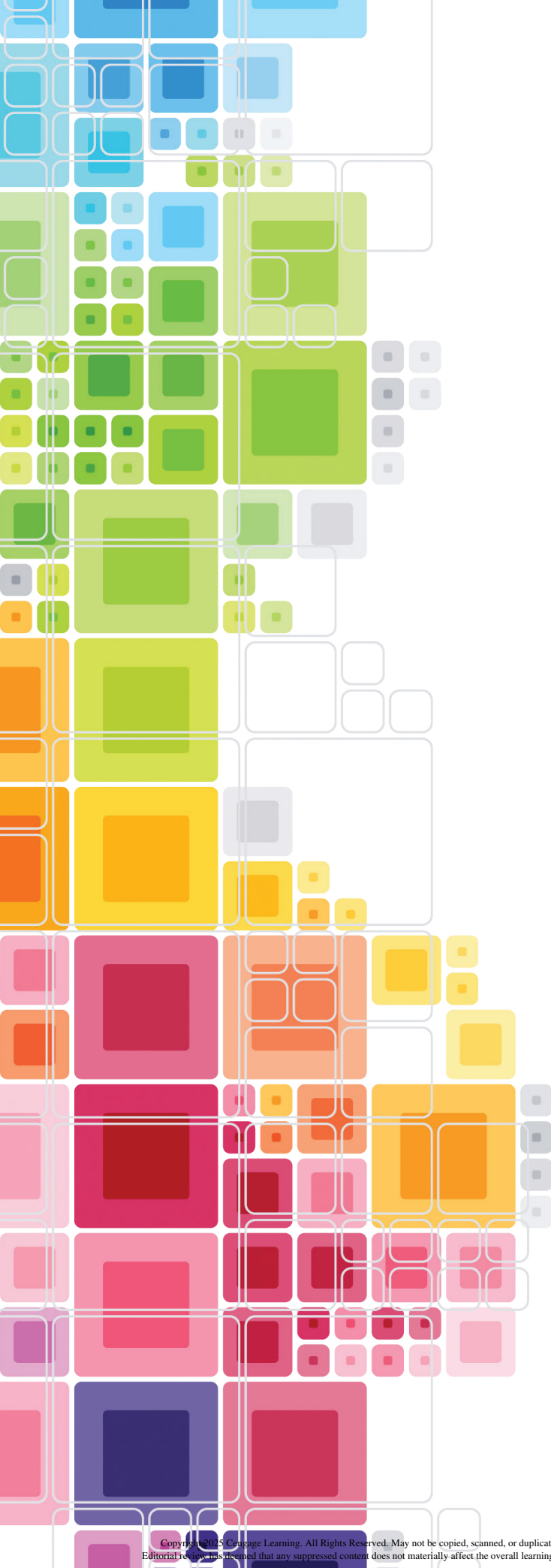
As one leader noted, “We’re no longer able to ‘bring the outside inside’ because the structures of our customers have changed. Orders are not placed the same as they were. We now have to deal with organizations that are increasingly ‘run by the numbers.’ So, I worry that customer relations and human contact is somehow no longer a priority for them.” Can FAVI continue to focus customer care responsibility on the leader of the mini-factory and the salesperson?

Third, the current workforce is aging. The question of their replacement will inevitably be posed in the near future because their average age is now rather high. One of the leaders interviewed commented that it was hard to imagine being replaced by someone other than a person from the inside: “I think that someone who had always worked in the

old way would find it difficult here. I’m not saying that he wouldn’t be able to adapt, I just think that he would find it hard to.”

Discussion Questions

1. Using socio-technical systems and employee involvement concepts, what is your analysis—strengths and weaknesses—of the mini-factory concept at FAVI?
2. Do you think this change could have been implemented differently? Faster?
3. How was “resistance to change” managed?
4. What do you think Zobrist and Verlent should do now to respond to the three challenges at the end of the case?



Part 5

Human Resource Interventions

Chapter 11

Performance Management

Chapter 12

Workforce Diversity, Development, and Wellness

Performance Management

Learning Objectives

- Understand the application stages of developing performance management systems.
- Understand the design of goal setting interventions in organizations.
- Understand the challenges of implementing effective performance appraisal interventions.
- Assess the strengths of four types of rewards and understand how reward systems interventions can be applied in organizations.

This is the first of two chapters devoted to human resource management interventions. It addresses performance management or how the processes of goal setting, performance appraisal, and distributing rewards can elicit and manage individual and group performance. Goal setting specifies the desired individual behaviors and organizational outcomes; performance appraisal measures and feeds back those outcomes; and reward systems ensure that desired behaviors are repeated. The next chapter describes workforce development, diversity, and wellness interventions.

All three aspects of performance management have been the focus of much discussion and debate over the last few years.¹ A broad set of social changes have pressured organizations to adapt their performance management systems, including increased workforce diversity, “quiet quitting,” increases in hybrid and remote work, and the Great Resignation; legal changes, such

as legislation to increase the minimum wage and pay transparency; and increased unionization activity. Organizations are experimenting with a variety of innovations to better align performance management practices with the changing workforce characteristics and growing demands for speed and flexibility. However, the general tone of the arguments is that performance management, and especially performance appraisal processes, is not living up to its promise.² Understanding the implications of these debates can be confusing because many researchers and practitioners have used the term *performance management* rather loosely.³ Critiques of the performance management process might be referring to overly aggressive goals leading to unethical behavior, the exceedingly complicated and time-consuming nature of many appraisal processes, or the ineffectiveness of traditional merit-based pay plans. In this chapter, the term *performance management* is used to refer to

the integrated system of goal setting, performance appraisal, and reward processes. This chapter also describes how to align performance management systems with business strategy, employee involvement, and workplace technology.

Because of the breadth and depth of knowledge required to carry out these kinds of change programs successfully, organization development (OD) practitioners often work with human resources (HR) specialists in performance appraisal or compensation. The effectiveness of these interventions relies on strong

collaboration among OD practitioners, HR specialists, line managers, and users of the system.

We begin by describing a performance management model. It shows how goal setting, performance appraisal, and rewards are closely linked and difficult to separate in practice, but how each process has its own dynamics. Following the model, we describe the application stages that govern performance management interventions. Finally, we discuss specific issues associated with goal setting, performance appraisal, and reward system processes and evaluate their impact on organization effectiveness.

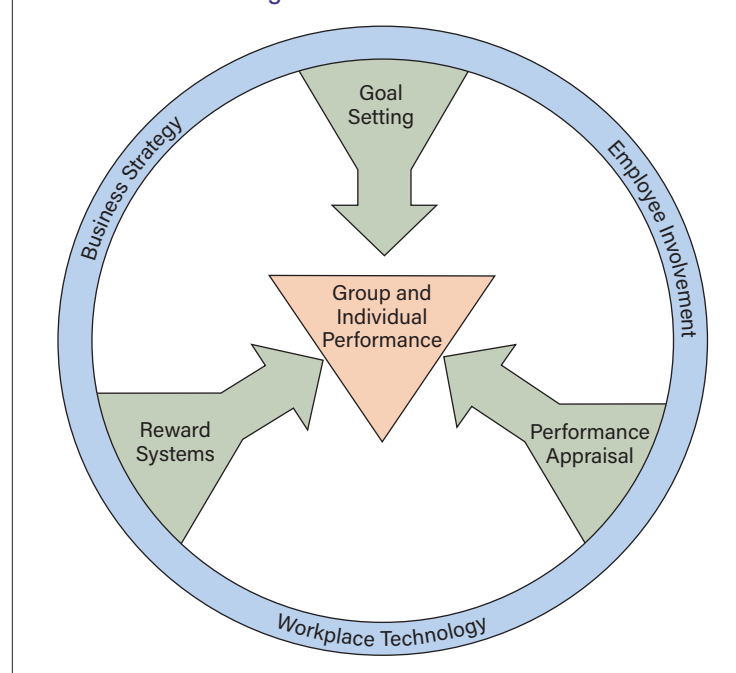
11-1 A Model of Performance Management

Performance management is an integrated process of defining, assessing, and reinforcing the individual and team behaviors and outcomes important to the organization's strategic goals.⁴ It complements and integrates with the development, diversity, and wellness processes described in Chapter 12. Organizations with a well-developed performance management process often outperform those without this element.⁵ As shown in Figure 11.1, performance

management includes practices and methods for goal setting, performance appraisal, and reward systems. These practices jointly influence the performance of individuals and work groups. Because performance management occurs in a larger organizational context, at least three contextual factors determine how these practices affect behaviors and outcomes: business strategy, workplace technology, and employee involvement.⁶ High levels of work performance and other employee and organization benefits tend to occur when goal setting, performance appraisal, and reward systems are aligned jointly with these contextual factors.

Figure 11.1

A Performance Management Model



Business strategy defines organizational goals and objectives and the way those goals will be achieved. Whether the organization is for-profit, nonprofit, or operates on a worldwide basis, the business strategy must identify the tasks and capabilities necessary for success. Performance management focuses, assesses, develops, and reinforces member work behaviors toward those objectives and intentions. This ensures that work behaviors, both locally and globally, are strategically driven.

Workplace technology affects whether performance management practices should be based on the individual or the group. When the work processes are low in interdependence and work is designed for individual jobs, goal setting, performance appraisal, and reward systems should be aimed at individual work behaviors. Conversely, when work is highly interdependent and work is designed for groups, performance management should be aimed at group behaviors.

Finally, the level of employee involvement in an organization should influence the nature of performance management practices. When organizations

are highly bureaucratic, with low levels of participation, then goal setting, performance appraisal, and reward systems should be formalized and administered by management and staff personnel. In high-involvement situations, on the other hand, performance management should be heavily participative, with both managers and employees setting goals and appraising and rewarding performance. In high-involvement organizations, for example, employees participate in all stages of performance management and are heavily involved in both designing and administering its practices.

11-2 Application Stages

Broadly, a focus on performance management systems implies that the organization has determined that changing some combination of its goal setting, appraisal, and reward processes will contribute to organizational effectiveness. Developing and redesigning performance management systems involves applying the general model of planned change (Chapter 2). OD practitioners have recommended the following six steps:⁷

1. **Build an effective design team.** A design team manages the change process. It generally includes OD practitioners, HR specialists, and organization members representing a variety of levels and functions. It may also include legal specialists to address the many regulations related to HR practices.
2. **Diagnose the current system.** Diagnosis involves assessing the contextual factors (i.e., business strategy, workplace technology, and employee involvement), the current approaches to goal setting, appraisal, and rewards, and user perceptions. This provides information about the current system's strengths and weaknesses.
3. **Establish the system's purposes and objectives.** The ultimate purpose of a performance management system is to help the organization achieve better operational and workforce outcomes. This can include how the performance management system can be used for career planning, employment planning, or simply giving performance feedback.
4. **Design the elements of the performance management system.** Given the purposes of the system and the contextual factors, changes in how goals are developed, who is involved in measuring and appraising performance, how often feedback is given, and the structure and process of distributing rewards can be proposed. The characteristics for designing effective performance management systems are described in the sections below.
5. **Experiment with implementation.** The complexity associated with performance management processes suggests using a pilot test of the changes to gauge and correct any flaws in the design before it is implemented more widely.
6. **Evaluate and monitor the system.** Although the experimentation step may uncover initial design flaws, ongoing evaluation of the system once it is implemented is important. User satisfaction and the viewpoints of HR specialists and managers are essential for monitoring the system and making necessary adjustments, if needed. The legal defensibility of the system can be addressed by assessing the distribution of performance appraisal scores against age, gender, race/ethnicity, and other categories.

11-3 Goal Setting

The *goal setting* process involves managers and workforce members in jointly establishing and clarifying individual and team objectives. In some cases, such as *management by objectives*, it can also facilitate employee development and support, and in other cases, such as the *balanced scorecard*, it can generate goals in several defined categories, at different organizational levels, to establish clear linkages with business strategy.⁸ The process of establishing challenging goals, often referred to as *key performance indicators* (KPIs) or *objectives and key results* (OKRs), involves managing the level of participation and goal difficulty. Once goals have been established, the way they are measured is an important determinant of member performance.⁹

Goal setting can affect performance in several ways. It influences what people think and do by focusing their behavior in the direction of the goals, rather than elsewhere. Goals can energize behavior, motivating people to put forth the effort to reach difficult goals that are accepted, and when goals are difficult but achievable, goal setting prompts persistence over time. Goal-setting processes and interventions to improve them are common and have been implemented in most organizations.

11-3a Characteristics of Effective Goal-Setting Processes

An impressive amount of research underlies goal-setting practices and suggests that goal setting works equally well in both individual and group settings.¹⁰ Preparing managers and employees to engage in goal setting typically involves increasing interaction and communication between them and offering formal training in goal-setting methods. Employee involvement in the process is partly governed

by this context factor and to the extent that employees are likely to set higher goals than those assigned by management. This research has identified two major processes that affect positive outcomes: establishing challenging goals and clarifying goal measurement.

Establishing Challenging Goals The first element of an effective goal-setting process concerns establishing goals that are perceived as challenging but realistic and to which there is a high level of commitment. This can be accomplished by varying goal difficulty and the level of employee participation in the goal-setting process. Increasing the difficulty of employee goals, sometimes known as “stretch goals,” can increase their perceived challenge, enhance the amount of effort expended to achieve them, and result in higher performance, if they are seen as feasible. However, there can be a “dark side” to stretch goals.¹¹ If goals are set too high, they can lose their motivating potential and can even lead to unethical behavior, as the events at Theranos, Uber, Enron, and elsewhere suggest. One frequent method for increasing the acceptance of a challenging goal is to collect benchmarks or best-practice referents. When employees see that other people, groups, or organizations have achieved a specified level of performance, they are more motivated to achieve that level themselves.

Another aspect of establishing challenging goals is to vary the amount of participation in the goal-setting process. Having employees participate can increase motivation and performance but only to the extent that members set higher goals than those typically assigned to them. Participation also can convince employees that the goals are achievable and can increase their commitment to achieving them.

All three contextual factors play an important role in establishing challenging goals. First, there must be a clear “line of sight” between the business strategy goals and the goals established for individuals or groups.¹² Developing a link with strategy is a key strength of the balanced scorecard approach to goal setting. Individuals and groups trying to achieve goals that are not aligned with the business strategy often become frustrated and their contribution to performance is weakened. Second, employee participation in goal setting is more likely to be effective if the organization’s employee involvement policies support it. Under such conditions, participation in goal setting is likely to be seen as legitimate, resulting in the desired commitment to challenging goals. Third, when tasks are highly interdependent and work is designed for groups, group-oriented participative goal setting tends to increase commitment.

Clarifying Goal Measurement The second element in the goal-setting process involves specifying and clarifying the goals. When given specific goals, workers perform

higher than when they are simply told to “do their best” or when they receive no guidance at all. Specific goals reduce ambiguity about expectations and focus the search for appropriate behaviors.

To clarify goal measurement, objectives should be operationally defined. For example, a group of employees may agree to increase productivity by 5%—a challenging and specific goal. But there are a variety of ways to measure productivity, and operational definitions provide insight into how the goal can be influenced by employee or group behaviors.

Clarifying goal measurement also requires that employees and supervisors negotiate the resources necessary to achieve the goals, including time, equipment, raw materials, and access to information. If employees do not have the appropriate resources to pursue aggressive goals, the targeted goal may have to be revised.

Contextual factors also play an important role in the clarifying process. Goal specification and clarity can be difficult in high-technology settings where the work is often uncertain and highly interdependent or in developing countries where the competitive situation is changing rapidly. Increasing employee participation in clarifying goal measurement can give employees ownership of a nonspecific but challenging goal. Employee involvement policies also can impact the way goals are clarified. The entire goal-setting process can be managed by employees and work teams when employee involvement policies and work designs favor it. Finally, the process of specifying and clarifying goals is extremely difficult if the business strategy is unclear. Under such conditions, attempting to gain consensus on the measurement and importance of goals can lead to frustration and resistance to change.

11-3b Effects of Goal Setting

The impact of goal setting has been researched extensively; appears to produce positive results over a wide range of jobs, conditions, and organizations; and, as a result, scholarly attention to the topic has declined.¹³ It is a particularly effective OD intervention and a key element of a performance management system. A study by the Center for Effective Organizations at the University of Southern California showed that perceptions of performance management effectiveness were strongly correlated with goals that are jointly set by managers and workers and when those goals are tied to strategy.¹⁴ Moreover, four meta-analyses of the extensive empirical evidence supporting goal setting concluded that the proposed effects of goal difficulty, goal specificity, and participation in goal setting are generally substantiated across studies and with both groups and individuals.¹⁵ Longitudinal analyses also support the conclusion that the gains in performance are not short-lived.¹⁶

11-4 Performance Appraisal

The *performance appraisal* process involves the feeding back of individual or work group performance information by a manager or peers. According to one survey, 63% of firms provide performance reviews annually, 18% give feedback twice a year, and 11% do so even more frequently.¹⁷ Performance appraisal represents an important link between goal-setting processes and reward systems. In worldwide organizations, the appraisal process must be sensitive to different cultural assumptions regarding openness, transparency, and relationships to authority.¹⁸

Abundant evidence indicates that organizations do a poor job appraising employees.¹⁹ According to Gallup, only 14% of employees strongly agree their performance reviews inspire them to improve.²⁰ Frustrated with the performance appraisal process, the calls for discontinuing it altogether have increased.²¹ However, a growing number of firms have sought ways to improve performance appraisal, through crowd-sourcing feedback, increasing the frequency of feedback, moving toward ratingless reviews, and enhancing employee involvement.²² These newer forms of appraisal are being used in such organizations as DaVita, Cambia Health Solutions, Adobe, Microsoft, and Deloitte.

Reflecting an increased interest in the economic and social value of ethics and integrity, many organizations are implementing performance management processes that establish, appraise, and reward *what* was achieved and *how* the objectives were achieved. Organization members that operate under these conditions are encouraged to think about achievement of relevant goals in ways that support the organization’s values, beliefs, and culture.

11-4a Characteristics of Effective Performance Appraisal Processes

Table 11.1 contrasts traditional bureaucratic approaches with newer, high-involvement practices in performance appraisal systems.²³ Traditional approaches are conducted for various and sometimes fragmented purposes, including affirmative action, pay and promotion decisions, and HR planning and development. These approaches often involve the supervisor unilaterally assessing the employee’s performance on predetermined dimensions, such as “concern for quality” or “takes initiative,” and presenting the feedback to the employee who plays a relatively passive role. Performance measurement is typically the source of many problems in appraisal because it is seen as subjective. To improve consistency and measurement validity, considerable training is used to help raters make valid assessments. Finally, the timing of performance appraisals was traditionally fixed by managers or the HR function based on administrative criteria, such as yearly pay decisions.

Rather than trying to meet multiple and fragmented purposes with a few standard appraisal systems, the new appraisal approaches are more tailored to balance multiple organizational and employee needs.²⁴ This is accomplished by actively involving the appraisee, coworkers, and managers in assessing the purposes of the appraisal at the time it takes place and adjusting the process to fit that purpose. Thus, at one time the appraisal process might focus on pay decisions, another time on employee development, and still another time on employee promotability. Newer approaches also expand the appraiser beyond managers to include multiple raters, such as the appraisee, peers or coworkers, and direct reports. This wider involvement provides several different views of the appraisee’s performance

Table 11.1 Performance Appraisal Elements		
Elements	Traditional Approaches	High-Involvement Approaches
Purpose	Organizational, legal Fragmented	Developmental Integrative
Appraiser	Supervisor, managers	Appraisee, coworkers, and others
Role of appraisee	Passive recipient	Active participant
Measurement	Subjective Concerned with validity	Objective and subjective
Timing	Periodic, fixed, administratively driven	Dynamic, timely, frequent, employee- or work-driven

and can lead to a more comprehensive assessment. These broader approaches, known as *360-degree feedback* or *crowd-sourced feedback*, are used for member development as well as for compensation purposes.²⁵ The newer methods also expand the role of the appraisee by actively involving them in all phases of the appraisal process.

In newer approaches, the measurement validity process is not only a legal or methodological issue but a social issue as well; all appropriate participants are involved in negotiating acceptable ways of measuring and assessing performance. Newer approaches are increasing the frequency of feedback. Recent surveys report that the number of firms using annual reviews has declined from 82% in 2016 to 54% in 2019.²⁶ Although it may not be practical to increase the number of formal appraisals, it is possible to increase the frequency of informal feedback, especially when strategic objectives change or when the technology is highly uncertain. In those situations, frequent performance feedback is necessary for appropriate adaptations in work behavior. The newer approaches to appraisal thus increase the timeliness of feedback and give employees more control over their work.

In sum, these newer appraisal approaches suggest six criteria for effective appraisal processes.

1. **Timeliness.** This criterion recognizes the time value of information. Individuals and work groups need to get performance feedback before evaluation or review. When the information precedes performance evaluation, it can be used to engage in problem-solving behavior that improves performance and satisfaction.
2. **Accurate.** The information contained in performance feedback needs to be accurate. Inaccurate data prevent employees from determining whether their performance is above or below the goal targets and discourage problem-solving behavior.
3. **Accepted.** Performance feedback that is owned by the people who use it believe that the information being received is important to their work and the organization. Participation in the goal-setting process can help to ensure this commitment to the performance appraisal system.
4. **Understood.** The information contained in the appraisal system needs to be understood by the employee if it is to have problem-solving value. Many organizations use training to help employees understand the operating, financial, and HR data that will be fed back to them.
5. **Focus on key operational metrics.** The information received by employees must describe the important dimensions of work that are linked to the business strategy, employee performance, and reward system.

For example, if the business strategy requires cost reduction but workers are measured and rewarded on the basis of quality, the performance management system may produce the wrong kinds of behavior.

6. **Economic feasibility.** This criterion suggests that an appraisal system should meet a simple cost-benefit test. If the costs associated with collecting and feeding back performance information exceed the benefits derived from using the information, then a simpler system should be installed.

11-4b Effects of Performance Appraisal

Appraisal processes within performance management systems are consistently evaluated as ineffective.²⁷ The primary focus of the criticism is the rater and the rating process. Managers and the processes they rely on are characterized as inaccurate, infrequent, irrelevant, and poorly understood. Despite these poor assessments, organizations continue to adjust the process, and some research supports the effect of feedback on individual performance. A recent 30-year review of performance management found that (1) employee reactions, including satisfaction with the performance management process, were positively correlated with employee participation, their understanding of the process, and their belief that raters were unbiased and fair and (2) that employee motivation was a function of effective goal setting and feedback processes.²⁸ Another study confirmed that knowledge of performance standards and feedback frequency were both positively related to employee reactions, and Gallup found that when managers provide weekly (vs. annual) feedback, team members were five times more likely to believe that they had received meaningful feedback, three times more likely to be motivated to do outstanding work, and almost three times more likely to be engaged at work.²⁹ Similarly, a study in Malaysia found that higher satisfaction with the performance appraisal system increased engagement and reduced turnover intention.³⁰

11-5 Reward Systems

Organizational reward systems represent a potentially powerful method for eliciting and reinforcing desired behaviors and work outcomes through compensation and other forms of recognition. They can support goal setting and appraisal systems by acknowledging the kinds of behaviors required to implement a work design or support a business strategy. As pointed out in Chapter 9, rewards also can produce high levels of employee involvement. In fact, recent data suggests that increased turnover following the COVID-19 pandemic was largely a function of both compensation and work

experience issues.³¹ OD has traditionally relied on intrinsic rewards or nonmonetary rewards, such as meaningful work and opportunities for decision making, to motivate employee performance. More recently, OD practitioners are expanding their focus to include extrinsic rewards, such as base pay, stock options, bonuses, gainsharing, promotions, and benefits, and increasingly attending to the design and implementation of reward systems.³²

This recent attention to rewards has derived partly from research in organization design and employee involvement. These perspectives hold that rewards should be congruent with other organizational systems and practices, such as the organization's business strategy, structure, and work designs, and contribute to both employee fulfillment and organizational effectiveness. In this section, we describe how rewards affect individual and group performance; present the structural features of reward systems; discuss four specific extrinsic rewards, including performance-based pay, skill-based pay, gainsharing, and promotions; and review the process issues involved in establishing and administering reward systems.

11-5a How Reward Systems Affect Performance

The structural features of reward systems described below represent important design choices available to OD practitioners, HR specialists, and managers. These features interact with work design and employee involvement practices to produce goal-directed behavior and task performance. Value expectancy theory is the most popular model for explaining how performance and rewards are related. It suggests several requirements for designing and evaluating reward systems.

The *value expectancy model*³³ posits that employees will expend effort to achieve performance goals that they believe will lead to outcomes that they value. This effort will result in the desired performance goals if the goals are realistic, if employees fully understand what is expected of them, and if they have the necessary skills and resources to perform required tasks. Ongoing motivation depends on the extent to which attaining the desired performance goals results in valued consequences. As a result, the objectives of reward systems interventions include identifying the nature of intrinsic and extrinsic rewards that are highly valued and linking them to the achievement of desired performance goals.

Based on value expectancy theory, the ability of rewards to motivate desired behavior depends on six factors:³⁴

1. **Availability.** Rewards that are not only desired but available can motivate and reinforce desired performance.

Large pay increases are often highly desired but unavailable, and too little of a desired reward is no reward at all. Moreover, pay increases that are below minimally accepted standards may produce negative consequences.³⁵

2. **Timeliness.** Like effective performance feedback, rewards given in a timely manner are more motivating. A reward's motivating potential is reduced to the extent that it is separated in time from the performance it is intended to reinforce.
3. **Performance contingency.** Rewards should be closely linked with particular performances. If the goal is met, the reward is given; if the target is missed, the reward is reduced or not given. The clearer the linkage between performance and rewards, the better able rewards are to motivate desired behavior. Unfortunately, this criterion often is neglected in practice, and many, if not most, employees believe that there is no linkage between pay and performance.³⁶
4. **External and internal equity.** Member satisfaction and motivation can be influenced by rewards that ensure that the organization's pay policies are equitable or fair.

External equity involves comparing the organization's rewards with those of other organizations in the same labor market. When an organization's reward level does not compare favorably with the level of other organizations, employees are likely to feel inequitably rewarded and may leave. *Internal equity* concerns comparison of individual rewards to those holding similar jobs or performing similarly in the organization. Many organizations work hard to establish practices to ensure that people who are doing similar kinds of activities have similar levels of compensation. Internal equity is often a challenge in worldwide organizations where cost-of-living and a country's level of economic development can imply different pay levels for the same work.
5. **Durability.** Some rewards last longer than others. Intrinsic rewards, such as increased autonomy and pride in workmanship, tend to last longer than extrinsic rewards. Most people who have received a salary increase realize that it gets spent rather quickly and another increase is desired.
6. **Visibility.** To leverage a reward system in an organization, organization members must be able to see who is getting the rewards. Visible rewards, such as placement on a high-status project, promotion to a new job, and increased authority, send signals to employees about the kinds of behaviors consistent with the strategy and that rewards are available, timely, and contingent on performance.

11-5b Structural Components of Reward Systems

A reward system is an important part of an organization's design and complements its strategy, structure, employee involvement, and work. Organizations have several choices to help bring about that alignment (Table 11.2).

- **Person/job based versus performance based.** One of the first and most important design choices is whether the reward system will be job/person focused or performance based. Job-based systems reward individuals for performing valued work tasks specified in a job description. Organizations challenged to be more agile and adaptable, such as Netflix and Nike, have crafted their reward systems around the person in the job and the value brought by their skills and knowledge. Skill- and knowledge-based pay are important examples of this system. In performance-based systems, rewards are contingent on the outcomes produced rather than on skills and behaviors.
- **Individual versus group rewards.** The interdependency among work tasks is an important reward system contingency. When work is complex and the performance of one task is highly dependent on other tasks, the appropriate work design is team based because successfully adding value requires tight coordination. This tight coordination is reinforced by reward systems that recognize group-level outputs. When work tasks are independent, individual reward systems incent individual behavior.
- **Hierarchy.** Although not often a formal policy, many organizations offer different types of rewards based on a position's level in the organization structure. In hierarchical systems, senior managers have access to a variety of rewards or perquisites, such as corporate transportation, expense accounts, financial aid, or health benefits, that others do not. The concerns over CEO pay that are large multiples of employee pay reflect the increasing prevalence and the potential risks of hierarchical reward systems.
- **Rewards mix.** This design feature involves specifying which types of rewards are included in the overall reward strategy. These rewards can include pay in various forms, including base salary, bonuses, commissions, and stock; benefits, such as health care, insurance, childcare, leaves, and education; and perquisites, including preferred office space, expense accounts, cars, or health club memberships. Changes in the tax codes can change the way stock or benefits are viewed as part of the rewards mix. In addition, although pay receives most of the attention in reward systems, the contribution of other rewards, such as benefit programs and status incentives, should not be underestimated. For example, rising uncertainty over health care costs in the United States, changing workforce demographics, and increasing interest in retaining important skills and competencies have resulted in a variety of benefit innovations to increase the value of this reward. (The ranges and advantages of different benefits are described in Chapter 12.)

Table 11.2 Reward System Design Features

Design Feature	Definition
Person/job based vs. performance based	The extent to which rewards and incentives are based on the person in a job, the job itself, or the outcomes of the work
Individual vs. group	Whether rewards are aimed at independent jobs or a team of interdependent workers
Hierarchy	The extent to which people in higher positions get more and varied types of rewards than people lower in the organization
Centralization	The extent to which reward system design features, decisions, and administration are standardized across an organization
Rewards mix	The extent to which different types of rewards are offered to people
Security	The extent to which continued work is guaranteed
Seniority	The extent to which rewards are based on length of service

- **Security.** Organizations, such as IBM and AT&T, were once associated with the benefit of lifetime employment for organization members. Today, the rapid expansion and contraction of markets, the emergence of a gig economy and independent contractors, and the realities of downsizing have dramatically altered the psychological employment contract. Instead of job security, a more instrumental relationship has emerged. However, organizations can and do make commitments to people and job security and this remains an important feature of reward systems.
- **Seniority.** Many reward systems include an implicit or explicit policy concerning the value of tenure in the organization. Organizations, especially unionized companies covered by a collective bargaining agreement, often have built-in rewards for increasing lengths of service.

11-5c Types of Extrinsic Rewards

In this section, we expand on the rewards mix feature and describe four types of extrinsic rewards. Performance-based pay, including salary increases, stock awards, and bonuses, skill-based pay, gainsharing, and promotions can be used to reward individual, team, or organization performance and can contribute to employee performance and satisfaction. Table 11.3 summarizes how these different rewards are available, contingent, equitable, and durable depending on whether performance measures are objective or subjective.

Performance-Based Pay Systems Organizations have devised many ways of linking pay to performance. Studies suggest that about three-quarters of businesses have some form of performance-based pay system.³⁷ These plans tend to vary along two dimensions: (1) the organizational unit—individual, group, or organization—which is measured for reward purposes and (2) what rewards are given for good performance—salary increases, stock, or cash bonuses.

Individual salary increases, stock awards, and bonuses are typically triggered by appraisal ratings or the achievement of individual, team, or organizational goals. When goal achievement is objectively measured, performance contingency is high. However, team and organizational plans score lower on performance contingency than individual plans because pay increases are influenced by the behavior of others and by external market conditions and are not a direct function of individual behavior or expertise. At the same time, team- and organization-based pay plans encourage cooperation among workers and functional departments more than do individual plans. It is generally to everyone’s advantage to work well together because all share in the financial rewards of higher performance.

When goal achievement or performance ratings are measured subjectively, performance contingency drops for all three types of performance-based rewards. Subjective performance ratings weaken the relationship among measurement, feedback, and rewards; they are a primary criticism of performance management systems.

Performance-based rewards vary considerably in their availability. Subjective ratings of behaviors or results are

Table 11.3 Ratings of Various Types of Rewards						
Type of Reward	Performance Measure	Performance Contingent	Available	Durable	Equitable	Overall
Salary Increase	Objective Subjective	High Moderate	Moderate Low	Moderate Low	High Moderate	Moderate Low
Stock Award	Objective Subjective	High Moderate	Moderate Moderate	High High	High Low	Moderate Moderate
Bonus	Objective Subjective	High Moderate	High Moderate	Low Low	High Moderate	High Moderate
Skill- or Knowledge-based Pay	Objective	Moderate	High	Moderate	High	High
Gainsharing	Objective	High	High	Moderate	High	High
Promotion	Objective Subjective	High Low	Moderate Moderate	High High	Moderate Low	Moderate Low

typically linked to a predetermined merit-based pay pool. Higher ratings for some people must be offset by lower ratings for others so as not to overspend the merit pool budget. Thus, the reward is less available overall. Objective measures of performance, such as profits or sales, trigger clear amounts of available cash for everyone.

Most performance-based pay rewards are not durable. As soon as a salary increase or bonus is awarded, its motivating potential declines. However, employees tend to favor salary increases to bonuses—a salary increase becomes a permanent part of a person's pay, but a bonus does not. Stock awards are an exception because they can continue to provide motivation and grow in value over time.

Finally, most performance-based rewards can be designed and administered with moderate-to-high levels of equity. Salary levels and salary increases can be benchmarked externally, and objective/transparent performance measurement processes contribute to internal equity. Similarly, bonus systems based on objective measures and fair distribution practices also contribute to internal equity. Stock awards based on subjective measures score low because they are open to concerns of political tampering.

Skill- and Knowledge-Based Pay Systems For all their benefits, pay-for-performance plans can undervalue employee skills because they incent productivity and efficiency, discourage people from learning new skills, and result in a view of pay as an entitlement. Some organizations, such as General Mills, United Technologies, Frito-Lay, Procter & Gamble, and General Foods, have worked to resolve these problems by designing pay systems according to people's skills and abilities. By focusing on the individual rather than the job, skill-based pay systems reward learning and growth. Recent data suggests that about 50% of organizations have some program that compensates workers for competitive skills.³⁸

These pay systems first establish the competencies—skills and knowledge—needed for effective operations, identify the optimal competency profile and the number of employees needed, price each competency, develop rules to sequence and acquire competencies, and develop methods to measure their acquisition. Typically, employees are paid according to the number of different jobs that they can perform. For example, in the classic case of General Mills' Squeeze-It plant, new employees were paid a starting wage at the low end of the skilled worker wage rate for premium employers in the community. They were then assigned to one of four competency blocks corresponding to a particular set of activities in the production process. For each competency block, there were three levels. The more proficient the competency in each block and the more blocks one was proficient at, the higher the pay. After all competency

blocks were learned at the highest level, the top rate was given.³⁹ This progression in competency typically took two years to complete, and employees were given support and training to learn the new jobs.

Skill/knowledge-based pay systems have several benefits and drawbacks.⁴⁰ On the positive side, pay is available and equitable. Higher pay levels are accessible to everyone, individual development is rewarded, and a more flexible workforce results. This flexibility can lower staffing levels and reduce absenteeism, turnover, and work disruptions. However, skill/knowledge-based pay systems require a heavy investment in training, as well as a measurement system capable of sensing when employees have learned the new jobs. These systems typically increase direct labor costs, as employees are paid highly for learning multiple tasks. Thus, availability comes at some costs. Skill-based pay also contributes to pay equity because pay categories are transparent and can be set against external standards.

These pay schemes are only moderately contingent on performance and are durable. First, because pay is based on skill and not performance, the workforce could be highly paid and flexible but not productive. Second, durability can be a problem because of the tendency to "top out." Top-out occurs when employees learn all the skills there are to learn and then run up against the top end of the pay scale, with no higher levels to attain. Some organizations have resolved this topping-out effect by installing a gain-sharing plan after most employees have learned all relevant jobs. *Gainsharing*, discussed in the next section, ties pay to organizational effectiveness, allowing employees to push beyond previous pay ceilings. Other organizations have resolved this effect by making base competencies obsolete and adding new ones, thus raising the standards of employee contributions.

Gainsharing Systems As the name implies, gainsharing involves paying employees a bonus based on improvements in the operating results of an organization or subunit. It is to the financial advantage of employees to work hard, cooperate with each other, make suggestions, and implement improvements. It differs from profit sharing, a form of pay for performance, in that the source of the pay lies in areas that can be directly influenced by the workforce. Although not traditionally associated with employee involvement, gainsharing has increasingly been included in comprehensive employee involvement projects. Organizations in the manufacturing sector, such as Harley-Davidson, Raytheon, Goodyear, B. Braun Medical, Ingersoll-Rand, Cincinnati Milacron, and Kimberly-Clark, have successfully applied gainsharing systems.

Developing a gainsharing plan requires making choices about the following design elements:⁴¹

- **Organizational unit covered.** The size of the unit included in the plan can vary widely, from departments or plants with less than 50 employees to companies with several thousand people. An ideal situation would be a freestanding plant with good performance measures, a fairly stable market and product line, and fewer than 500 employees. When the number of employees exceeds 500, multiple plans may be installed, each covering a relatively discrete part of the organization.
- **Bonus formula.** Gainsharing plans are based on a formula that generates a bonus pool, which is divided among those covered by the plan. Although most plans are custom designed, there are two general considerations about the nature of the bonus formula. First, a standard of performance must be developed that can be used as a baseline for calculating improvements or losses. Some plans use past performance to form a historical standard, whereas others use engineered or estimated standards. When available, historical data provide a relatively fair standard of performance, although engineer-determined data can work if there is a high level of trust in the standard and how it is set. Second, the costs included in arriving at the bonus must be chosen. The key is to focus on those costs that are most controllable by employees. Some plans use labor costs as a proportion of total sales; others include a wider range of controllable costs, such as those for materials and utilities.
- **Sharing process.** Once the bonus formula is determined, it is necessary to decide how to share gains when they are obtained. This decision includes choices about what percentage of the bonus pool should go to the company and what percentage to employees. In general, the company should take a percentage low enough to ensure that the plan generates an available and realistic bonus for employees. Other decisions about dividing the bonus pool include who will share in the bonus and how the money will be divided among employees. Typically, all employees included in the organizational unit covered by the plan share in the bonus. Most plans divide the money based on a straight percentage of total salary payments.
- **Frequency of bonus.** Most plans calculate a bonus monthly or quarterly to improve performance contingency and timeliness. This typically fits with organizational recording needs and is frequent enough to spur employee motivation. Longer payout periods are generally used in seasonal businesses or where there is a long production or billing cycle for a product or service.
- **The participative system.** Many gainsharing plans include a participative system or steering committee that helps to gather, assess, and implement employee

suggestions and improvements and reviews changes to the bonus formula in the event of technological or product mix changes. These systems generally include a procedure for formalizing suggestions and different levels of committees for assessing and implementing them.

As a result, gainsharing systems support nearly all of the characteristics of an effective reward. Gainshare payments are available because of the bonus formula, contingent on workforce-controlled performance metrics, and equitable due to the transparency of the system.

Promotion Systems A promotion is one of the most visible and durable extrinsic rewards. That strength is often offset when promotion and job movement decisions are made by higher-level executive committees in a top-down, closed manner. A secretive process prevents people from knowing that a position is open, that they are being considered for promotion, or the reasons why some people are promoted but others are not. This lowers the objectivity of the system and weakens the performance contingency and availability of the reward. Finally, emphasizing promotions as a reward focuses attention on advancement instead of performance and developing new skills and knowledge. This can lead to highly variable financial performance and reduced flexibility in the workforce.⁴²

Reducing secrecy around promotions and job changes can be achieved by openly posting the availability of new jobs and inviting people to nominate themselves. Although open job posting entails extra administrative costs, it can lead to better promotion decisions. Open posting increases the pool of available personnel by ensuring that interested people will be considered for new jobs and that capable people will be identified. Open posting also can increase employee motivation by showing that a valued reward is available.

Some organizations have increased the accuracy and equity of job-change decisions by including peers and subordinates in the decision-making process. Peer and subordinate judgments about a person's performance and promotability increase objectivity and transparency and help bring all relevant data to bear on promotion decisions. Such participation can make people feel that the basis for promotions is equitable. In many self-managed work teams, for example, the group interviews and helps select new members and supervisors. This helps ensure that new people will fit in and that the group is committed to making that happen.

Summary of Reward Systems The overall ratings in Table 11.3 suggest that each type of reward has certain strengths and weaknesses that depend on a variety of contingencies. As business strategies, organization performance, and other contingencies change, the mix of

rewards and systems also must change. When all criteria are taken into account and, given the increasing uncertainty and interdependency of work, skill/knowledge-based pay and gainsharing plans meet many of the characteristics of effective rewards. Performance-based pay systems based on objective measures also do well.

Application 11.1 describes how Cambia Health Solutions engaged in an OD process to change their goal setting, appraisal, and reward systems as part of a larger strategic change. The following questions can help you to connect the case to the material presented in this chapter.

1. How well did the OD practitioner and the design team assess the broad contextual factors that influence performance management system effectiveness?
2. What's your assessment of each system's process? Are the goal-setting processes effective? Does the new appraisal and reward system meet the standards described in the chapter?

11-5d Reward-System Process Issues

In addition to the structural features of reward systems, considerable research has addressed the process aspects of reward systems, or how pay and other rewards are administered in the organization. At least two process issues affect employees' perceptions of the reward system: who is involved in designing and administering the reward system and what kind of communication exists with respect to rewards.⁴³

Traditionally, reward systems are designed by compensation specialists from the HR function and managers. The system is then simply imposed on employees. Although this top-down process may result in a consistent system, it cannot ensure that employees will understand and trust it and, often, it results in a system that does not improve performance. In the absence of trust, workers are more likely to develop negative perceptions of the reward system. In line with the general model of planned change, there is growing evidence that employee participation in the design and administration of a reward system can increase employee understanding, feelings of control over, and commitment to the plan. When organization members "own" the performance management process and see it as a way to manage performance, there are more positive attitudes toward the overall system as well as improved performance.⁴⁴

Communication about reward systems also can have a powerful impact on employee perceptions of pay equity and on motivation. Most organizations maintain secrecy about pay rates, especially in the managerial ranks. Managers typically argue that secrecy is preferred by employees, but it also gives managers administrative freedom because they

do not have to defend their judgments. There is evidence to suggest, however, that pay secrecy can lead to dissatisfaction with pay and reduced motivation. Dissatisfaction derives mainly from people's misperceptions about performance contingency and internal equity. Secrecy prevents employees from testing whether the organization is paying for performance; employees come to mistrust the pay system and fear the company has something to hide. Research also shows that managers tend to overestimate the pay of peers and of people below them in the organization but underestimate the pay of superiors. These misperceptions contribute to dissatisfaction with pay because, regardless of a manager's pay level, it will seem small in comparison to the perceived pay level of subordinates and peers. Perhaps worse, potential promotions will appear less valuable than they actually are.

Fortunately, regulatory requirements and organization policy changes are freeing up information about pay.⁴⁵ Executive pay disclosure in U.S. public corporations was required by the Dodd-Frank legislation and 48% of organizations say that legislation regarding pay transparency is driving change in the reward systems.⁴⁶ For organizations having a history of secrecy, initial steps toward an open reward system should be modest. For example, an organization could release information on pay ranges and median salaries for different jobs. Organizations with unions generally publish such data for lower-level jobs, and extending that information to all jobs would not be difficult. Once organizations have established higher levels of trust about pay, they might publicize information about the size of raises and who receives them. Finally, as organizations become more democratic, with high levels of trust among managers and workers, they can push toward complete openness about all forms of rewards.

It is important to emphasize that both the amount of participation in designing reward systems and the amount of frankness in communicating about rewards should fit the rest of the organization design and managerial philosophy. Clearly, high levels of participation and openness are congruent with democratic organizations. It is questionable whether authoritarian organizations would tolerate either one.

11-5e Effects of Reward Systems

Research suggests that performance-based rewards consistently support two types of outcomes in organizations: An "incentive effect" increases workforce motivation and performance and a "sorting effect" sends signals to poor performers about the likelihood of future employment and improves the overall quality of the workforce.⁴⁷ These general findings are tempered by several contingencies, including the quality of implementation and the alignment of the

Application 11.1

Changing the Human Capital Management Practices at Cambia Health Solutions

In the face of complex and rapid changes in American health care, Cambia Health Solutions, a diversified, nonprofit health care and insurance company dedicated to transforming the way people experience the health care system, convened a cross-functional design team to increase the organization's overall agility. As part of that effort, the design team initiated the development of a new performance management process aimed at all leadership roles (supervisors and above) and supported the team with an external OD and performance management consultant. The need for performance management system changes had derived from diagnostic data that the organization was not focused on the critical areas required for success and feedback from organization members that (1) there were inconsistencies with respect to disciplined human capital management practices, (2) leaders were unclear about their individual objectives and how their objectives related to the organization's strategies, and (3) objectives were not clearly connected to professional development and career advancement.

At the highest level, the task force recommended a process that established annual objectives, conducted quarterly performance conversations, and enabled a focused talent review twice a year. On an annual basis, the performance conversations would be linked to a revised compensation and reward process. The quarterly "performance conversations" were a centerpiece of the new process. They established a dialogue where the leader and the direct reports could review past-quarter performance on agreed-upon objectives and prepare for the next quarter. The conversation was oriented around four questions:

- Did the employee accomplish what was committed to in the prior performance period?
- How could the employee have performed more effectively?
- What objectives should be continued into the next quarter, what should be stopped, and what new objectives should be established for the next quarter?
- How should the employee go about doing what needs to be done?

The cycle of quarterly performance conversations and semiannual talent reviews was initiated by

a simplified objective-setting process by focusing on only two things: the "what" and the "how." The "what" conversation established at least one objective in each of three categories: (1) how the leader was going to develop their people; (2) operational goals linked to the organization's strategic objectives, operational improvements, and/or regulatory mandates; and (3) the leader's own professional development. In addition, the "how" conversation focused on the way the leader achieved the "what" objectives (by demonstrating the company's values). Leaders were encouraged to—and their ultimate annual performance review was dependent on—getting work done through others, holding people accountable, and encouraging cross-functional, innovative, and problem-solving behaviors. These latter two issues—accountability and cross-functional problem solving—had been identified as important areas in the diagnosis.

To support the program, an online, on-demand training module was developed. In the module, leaders were helped to understand the importance of employing sound human capital management practices (with a focus on the quarterly conversations) as well as the importance of developing SMART (specific, measurable, achievable, relevant, and timely) objectives. This online training module was provided as a prerequisite to a series of more detailed webinars that were facilitated by senior leaders (not HR specialists).

The new objective setting and performance conversation process was approved by Cambia's leadership team. As part of their support, the leadership team accepted the recommendation of the task force to have "coaches" oversee the early implementation of the new process—which included the CEO taking on the role of coach for his direct reports. He committed to monitoring and reviewing the development and establishment of objectives and to holding quarterly performance conversations. The members of the task force served as coaches to the other levels of management in the organization. The coaches were a visible means of championing the new system, holding leaders accountable for implementation, and raising the bar and expectations for human capital management at Cambia.

Changing the Human Capital Management Practices at Cambia Health Solutions, continued

To reinforce the expected changes in behavior, the task force also included two reward system-related recommendations. The first was to increase differentiation in the appraisal process. In the old system, leaders used a four-category scheme and then engaged in a calibration process that helped ensure the validity of those ratings. The task force recommended moving to a two-tier system of “performing and exceeding” but also acknowledged that there may be situations where leaders were in a “performance improvement” scenario that addressed poor performance. In most cases, however, leaders were expected to be “performing,” but the highest performers would be recognized for “exceeding” expectations. The existing calibration process was retained as many leaders indicated that it was a beneficial process for maintaining consistency in the system. The performing

and exceeding performance categories were tied to recommendations for base-pay increases. “Exceeders” received salary increases at a rate 2.5 times that of “performers” to provide the differentiation.

The second reward system recommendation was to establish a unique “spot” awards program for all leadership staff. The spot awards program, titled the “Excellence in Leadership Award,” was designed to recognize leaders for exemplary performance in either human capital management or agile behaviors. The cash portion of the award was set at \$1,000 and the awards were to be delivered personally by a member of Cambia’s leadership team. Recipients of the award are highlighted in the company’s newsletter—the goal being to reinforce among all leaders the kind of leadership behavior that is required for moving forward.

reward system structure with the strategy.⁴⁸ In addition, the benefits that come from differentiating high from low performers may be offset by social comparisons and envy that reduce cooperation.

Most evaluative research on skill/knowledge-based pay and gainsharing supports positive results, but the amount of research has declined in recent years. The classic long-term assessment of the Gaines Pet Food plant revealed that the skill-based pay plan contributed to both organizational effectiveness and employee satisfaction. Several years after the plant opened, workers’ attitudes toward pay were significantly more positive than those of people working in other similar plants that did not have skill-based pay. Gaines’ workers reported much higher levels of pay satisfaction, as well as feelings that their pay system was fairly administered.⁴⁹

A national survey of skill-based pay plans sponsored by the U.S. Department of Labor concluded that such systems increase workforce flexibility, employee growth and development, and product quality and quantity while reducing staffing needs, absenteeism, and turnover across a variety of industries and settings.⁵⁰ However, a longitudinal study of skill-based pay focusing on the design characteristics and supervisor and employee support found that workforce productivity, flexibility, and cost-effectiveness were better and more sustainable in manufacturing facilities than in service organizations.⁵¹ Similarly, there is a broad empirical base of individual studies and literature reviews supporting the conclusion that when gainsharing plans are implemented properly, organizations can expect both short-term and long-term results in terms of productivity, cost reductions, and various employee benefits.⁵²

Summary

This chapter described the core elements of performance management: goal setting, performance appraisal, and reward systems. A performance management system is a powerful method for managing individual and work group performance. It can also help enhance worker satisfaction and support work design, business strategy, and employee involvement practices. At the same time, recent research and practice point to a number of challenges in effectively implementing these systems.

Principles contributing to the success of goal setting include establishing challenging goals and clarifying measurement. These are accomplished by setting difficult but feasible goals, managing participation in the goal-setting process, and being sure that the goals can be measured and influenced by the employee or work group.

Performance appraisals represent an important link between goal setting and reward systems. As part of an organization’s feedback and control system, they provide

individual and work groups with information they can use to improve work outcomes. Appraisals are becoming more participative and developmental. An increasing number of people are involved in collecting performance data, evaluating an employee's performance, and determining how the appraisee can improve.

Reward system interventions elicit, reinforce, and maintain desired behaviors. They can be oriented to individual jobs, work groups, or organizations and affect both performance and employee well-being. In addition to

traditional job-based compensation systems, the major reward system interventions in use today are performance-based pay, skill-based pay, gainsharing, and promotions. Each of the plans has strengths and weaknesses when measured against criteria of performance contingency, equity, availability, timeliness, durability, and visibility. The critical process of implementing a reward system involves decisions about who should be involved in designing and administering it and how much information about pay should be communicated.

Notes

1. E. Kubiak, "Increasing Perceived Work Meaningfulness by Implementing Psychological Need-Satisfying Performance Management Practices," *Human Resource Management Review* 32 (2022): 100972; P. Capelli and A. Tavis, "The Performance Management Revolution," *Harvard Business Review* (October 2016), <https://hbr.org/2016/10/the-performance-management-revolution>.
2. T. Agovino, "The Performance Review Problem," *HR Magazine*, March 15, 2023, <https://www.shrm.org/hr-today/news/hr-magazine/spring-2023/pages/the-problem-with-performance-reviews.aspx>.
3. T. Brown, P. O'Kane, B. Mazumdar, and M. McCracken, "Performance Management: A Scoping Review of the Literature and an Agenda for Future Research," *Human Resource Development Review* 18 (2019): 47–82.
4. H. Aguinis, *Performance Management*, 4th ed. (Chicago Business Press, 2019); E. Lawler and J. Boudreau, *Effective Human Resource Management: A Global Analysis* (Stanford University Press, 2012).
5. Willis Towers Watson, *2022 Performance Reset Survey*, <https://www.wtwco.com/en-us/insights/2023/01/2022-performance-reset-survey-executive-summary>; E. Lawler and J. Boudreau, *Achieving Excellence in Human Resources Management: An Assessment of Human Resource Functions* (Stanford University Press, 2009).
6. A. Varma, P. Budhwar, and A. DeNisi, eds., *Performance Management Systems: A Global Perspective* (Taylor & Francis, 2023); Brown et al., "Performance Management"; A. Mohrman, S. Resnick-West, and E. Lawler III, *Designing Performance Appraisal Systems* (Jossey-Bass, 1990).
7. Mohrman, Resnick-West, and Lawler, *Designing Performance Appraisal Systems*; E. Lawler, "Performance Management: The Next Generation," *Compensation and Benefits Review* 26 (1994): 16–19.
8. G. Odiorne, *Management by Objectives* (Pitman, 1965); R. Kaplan and D. Norton, "Linking the Balanced Scorecard to Strategy," *California Management Review* 39 (1996): 53–79.
9. E. Locke and G. Latham, eds., *New Developments in Goal Setting and Task Performance* (Routledge, 2013); E. Locke and G. Latham, *A Theory of Goal Setting and Task Performance* (Prentice Hall, 1990).
10. E. Locke and G. Latham, "The Development of Goal Setting Theory: A Half Century Retrospective," *Motivation Science* 5 (2019): 93.
11. M. Gary, M. Yang, P. Yetton, and J. Sterman, "Stretch Goals and the Distribution of Organizational Performance," *Organization Science* 28 (2017): 395–410.
12. J. Doerr, *Measuring What Matters* (Penguin, 2018).
13. Locke and Latham, "The Development of Goal Setting Theory"; Locke and Latham, *Theory of Goal Setting*; Locke and Latham, *New Developments in Goal Setting*.
14. E. Lawler, "Reward Practices and Performance Management System Effectiveness" *Organizational Dynamics* 32 (2003): 396–404.
15. M. Tubbs, "Goal Setting: A Meta-Analytic Examination of the Empirical Evidence," *Journal of Applied Psychology* 71 (1986): 474–83; R. Guzzo, R. Jette, and R. Katzell, "The Effects of Psychologically Based Intervention Programs on Worker Productivity: A Meta-Analysis," *Personnel Psychology* 38 (1985): 275–91; A. Mento, R. Steel, and R. Karren, "A Meta-Analytic Study of the Effects of Goal Setting on Task Performance: 1966–1984," *Organizational Behavior and Human Decision Processes* 39 (1987): 52–83; A. O'Leary-Kelly, J. Martocchio, and D. Frink, "A Review of the Influence of Group Goals on Group Performance," *Academy of Management Journal* 37 (1994): 1285–1301.
16. C. Pearson, "Participative Goal Setting as a Strategy for Improving Performance and Job Satisfaction: A Longitudinal Evaluation with Railway Track Maintenance Gangs," *Human Relations* 40 (1987): 473–88; R. Pritchard, S. Jones, P. Roth, K. Stuebing, and S. Ekeberg, "Effects of Group Feedback, Goal Setting, and Incentives on Organizational Productivity," *Journal of Applied Psychology* 73 (1988): 337–58.
17. 2021 XpertHR study cited in Truelist, "Performance Management Statistics — 2023," <https://truelist.co/blog/performance-management-statistics/>.
18. A. DeNisi, K. Murphy, A. Varma, and P. Budhwar, "Performance Management Systems and Multinational Enterprises: Where

- We Are and Where We Should Go,” *Human Resource Management*, 60 (2021): 707–13.
19. E. Pulakos, R. Mueller-Hanson, and S. Arad, “The Evolution of Performance Management: Searching for Value,” *Annual Review of Organizational Psychology and Organizational Behavior* 6 (2019): 249–71.
 20. B. Sutton and B. Wigert, “More Harm Than Good: The Truth About Performance Reviews” (May 6, 2019), <https://www.gallup.com/workplace/249332/harm-good-truth-performance-reviews.aspx>.
 21. J. Janove, “Get Rid of Performance Reviews” (Society for Human Resources Management, November 9, 2021), <https://www.shrm.org/resourcesandtools/hr-topics/employee-relations/humanity-into-hr/pages/get-rid-of-performance-reviews.aspx>; S. Adler, M. Campion, A. Colquitt, and A. Grubb, “Getting Rid of Performance Ratings: Genius or Folly? A Debate,” *Industrial and Organizational Psychology* 9 (2016): 219–52; K. Murphy, “Performance Evaluation Will Not Die, But It Should,” *Human Resource Management Journal* 30 (2020): 13–31.
 22. G. Ledford, G. Benson, and E. Lawler, “A Study of Cutting-Edge Performance Management Practices” (Working paper, Center for Effective Organizations, University of Southern California, 2016); A. Church, D. Bracken, J. Fleenor, and D. Rose, eds., *Handbook of Strategic 360 Feedback* (Oxford University Press, 2019).
 23. E. Lawler, “Creating an Effective Appraisal System,” in *The Executive Guide to Integrated Talent Management*, eds. K. Oakes and P. Galagan (American Society for Training and Development, 2011): 79–90.
 24. I. do Carmo Lameque, M. Velez, and C. Botelho, “Purposes of Performance Appraisal: A Systematic Review and Agenda for Future Research,” *International Journal of Professional Business Review* 8 (2023): e02274.
 25. Church et al., eds., *Handbook of Strategic 360 Feedback*; J. Zenger and J. Folkman, “What Makes a 360-Degree Review Successful,” *Harvard Business Review* (December 23, 2020), <https://hbr.org/2020/12/what-makes-a-360-degree-review-successful>.
 26. B. O’Connel, “Performance Management Evolves” (Society for Human Resource Management, June 12, 2020), <https://www.shrm.org/hr-today/news/all-things-work/pages/performance-management-evolves.aspx>.
 27. Murphy, “Performance Evaluation Will Not Die, But It Should”; Pulakos, Mueller-Hanson, and Arad, “The Evolution of Performance Management.”
 28. D. Schleicher, H. Baumann, D. Sullivan, and J. Yim, “Evaluating the Effectiveness of Performance Management: A 30-Year Integrative Conceptual Review,” *Journal of Applied Psychology* 104 (2019): 851–87.
 29. S. Pichler, G. Beenen, and S. Wood, “Feedback Frequency and Appraisal Reactions: A Meta-analytic Test of Moderators,” *International Journal of Human Resource Management* 31 (2020): 2238–63; Sutton and Wigert, “More Harm Than Good.”
 30. M. Memon, R. Salleh, M. Mirza, J. Cheah, H. Ting, and M. Ahmad, “Performance Appraisal Satisfaction and Turnover Intention: The Mediating Role of Work Engagement,” *Management Decision* 58 (2019): 1053–66.
 31. Payscale.com, “2023 Compensation Best Practices Report,” <https://www.payscale.com/research-and-insights/cbpr/?tk=hp-hero-secondary-cta>.
 32. B. Gerhart and M. Fang, “Pay, Intrinsic Motivation, Extrinsic Motivation, Performance, and Creativity in the Workplace: Revisiting Long-Held Beliefs,” *Annual Review of Organizational Psychology and Organizational Behavior* 2 (2015): 489–521.
 33. J. Campbell, M. Dunnette, E. Lawler III, and K. Weick, *Managerial Behavior, Performance, and Effectiveness* (McGraw-Hill, 1970).
 34. S. Kerr, “Risky Business: The New Pay Game,” *Fortune*, July 22, 1996, 94–96.
 35. A. Mitra, A. Tenhiälä, and J. Shaw, “Smallest Meaningful Pay Increases: Field Test, Constructive Replication, and Extension,” *Human Resource Management* 55 (2016): 69–81; C. Worley, D. Bowen, and E. Lawler III, “On the Relationship Between Objective Increases in Pay and Employees’ Subjective Reactions,” *Journal of Organization Behavior* 13 (1992): 559–71.
 36. S. St-Onge, “Variables Influencing the Perceived Relationship Between Performance and Pay in a Merit Pay Environment,” *Journal of Business and Psychology* 14 (2000): 459–79.
 37. Payscale.com, “2023 Compensation Best Practices Report.”
 38. Payscale.com, “2023 Compensation Best Practices Report.”
 39. G. Ledford and G. Bergel, “Skill-Based Pay Case Number 1: General Mills” (American Compensation Association, 1990).
 40. J. Shields, J. Rooney, M. Brown, and S. Kaine, *Managing Employee Performance and Reward: Concepts, Practices, Strategies*, 2nd ed. (Cambridge University Press, 2016); E. Lawler, *Pay and Organization Development* (Addison-Wesley, 1981): 66; E. Lawler and G. Ledford Jr., “Skill-Based Pay,” *Personnel* 62 (1985): 30–37.
 41. M. Schuster, J. Schuster, and M. Montague, “Excellence in Gainsharing: From the Start to Renewal,” *Journal for Quality and Participation* 17 (1994): 18–25; D. Band, G. Scanlon, and C. Tustin, “Beyond the Bottom Line: Gainsharing and Organization Development,” *Personnel Review* 23 (1994): 17–32; J. Belcher, “Gainsharing and Variable Pay: The State of the Art,” *Compensation and Benefits Review* 26 (1994): 50–60.
 42. E. Lawler and C. Worley, *Built to Change* (Jossey-Bass, 2006).
 43. S. Park and S. Conroy, “Unpacking the Evolving Process of Pay-For-Performance System Implementation,” *Human Resource Management Review* 32 (2022): 100794; Lawler, *Rewarding Excellence*, 57–59.
 44. Lawler, “Reward Practices and Performance Management System Effectiveness.”
 45. T. Agnovino, “The Push for Pay Transparency” (Society for Human Resource Management, October 22, 2022), <https://www.shrm.org/hr-today/news/all-things-work/pages/the-push-for-pay-transparency.aspx>.
 46. Payscale.com, “2023 Compensation Best Practices Report.”
 47. I. Fulmer, B. Gerhart, and J. Kim, “Compensation and Performance: A Review and Recommendations for the Future,”

- Personnel Psychology* 76 (2023): 687–718; Park and Conroy, “Unpacking the Evolving Process of Pay-for-Performance System Implementation”; S. Wood, S. Leoni, and D. Ladley, “Comparisons of the Effects of Individual and Collective Performance-Related Pay on Performance: A Review,” *Human Resource Management Review* 33 (2023):100982.
48. I. Fulmer and J. Li, “Compensation, Benefits, and Total Rewards: A Bird’s-Eye (Re) View,” *Annual Review of Organizational Psychology and Organizational Behavior* 9 (2022): 147–69.
 49. E. Lawler, *Pay and Organization Development* (Addison-Wesley, 1981).
 50. N. Gupta, G. D. Jenkins Jr., and W. Curington, “Paying for Knowledge: Myths and Realities,” *National Productivity Review* (Spring 1986): 107–23.
 51. J. Shaw, N. Gupta, A. Mitra, and G. Ledford, “Success and Survival of Skill-based Pay Plans,” *Journal of Management* 31, no. 1 (2005): 28–49.
 52. T. Cummings and E. Molloy, *Improving Productivity and the Quality of Work Life* (Praeger, 1977), 249–60; C. Miller and M. Schuster, “A Decade’s Experience with the Scanlon Plan: A Case Study,” *Journal of Occupational Behavior* 8 (April 1987): 167–74; T. Welbourne and L. Gomez-Meija, “Gainsharing: A Critical Review and a Future Research Agenda,” *Journal of Management* 21, no. 3 (1995): 559–609; D. Collins, *Gainsharing and Power: Lessons from Six Scanlon Plans* (ILR Press of Cornell University Press, 1998); E. Doherty, W. Nord, and J. McAdams, “Gainsharing and Organization Development: A Productive Synergy,” *Journal of Applied Behavioral Science* 25 (1989): 209–29; S. Hanlon, D. Meyer, and R. Taylor, “Consequences of Gainsharing: A Field Experiment Revisited,” *Group and Organization Management* 19, no. 1 (1994): 87–111; E. Lawler III, “Gainsharing Theory and Research: Findings and Future Directions,” in *Organizational Change and Development*, vol. 2, eds. W. Pasmore and R. Woodman (JAI Press, 1988): 323–44.

Workforce Diversity, Development, and Wellness

Learning Objectives

- Describe the dimensions of diversity, performance management complementarities, and corresponding intended outcomes.
- Understand the complimentary relationships among the dimensions of workforce diversity, development, and wellness interventions and their intended outcomes.
- Describe and evaluate how diversity interventions contribute to equity and inclusion as well as workforce competence and wellness.
- Describe and evaluate two workforce development interventions: leadership development and career planning and development.
- Examine wellness interventions' influence on stress and physical and mental health.

This second chapter on human resources (HR) management interventions describes organization development (OD) processes that create diverse, equitable, and inclusive workplaces and foster the development and well-being of their members. More and more, attention to diversity, development, and wellness have become values in their own right. Societal, economic, and workforce changes have reinforced these values as “right to operate” issues in many industries. Although OD values and practices strongly support this pursuit, significant challenges remain and are discussed in this chapter.

First, diversity-related interventions are being both implemented and challenged in all types of organizations. While the COVID-19 pandemic and digitalization clearly impacted where and how work is performed, a series

of racially motivated murders, headline-grabbing sexual abuse cases, and legislation restricting women's and LGBTQ+ rights raised concern for equity and inclusion in the workplace. The mix of genders, sexual orientations, races/ethnicities, and disabilities in the global workforce is increasingly varied, and organizations have several options for responding to this diversity. These interventions represent a promising opportunity for organizations seeking to attract and retain talented members and gain competitive advantage. Yet there is vocal questioning and conflict regarding their relevance to organizations.¹

Second, workforce development interventions, including career planning and development and leadership development, are the primary methods for building a competent workforce. *Career planning and development*

focuses on building the skills and knowledge that will best equip a workforce today and tomorrow. *Leadership development* involves shaping the skills, knowledge, and values of supervisors, managers, and executives required to implement future strategies. Ideally, there is considerable overlap between the two.

Finally, wellness interventions leverage stress management, mindfulness, and employee assistance programs (EAPs) to address the relationship among work roles, personal lives, and individual mental and physical health.

This chapter begins by discussing how diversity, development, and wellness interventions complement performance management to produce more equitable and inclusive, competent, and healthy workforces. We then describe the broad application stages associated with diagnosing, designing, implementing, and evaluating them. In the final sections, we present the unique challenges and implementation options associated with diversity, development, and wellness interventions.

12-1 Conceptual Framework

The interventions described in this chapter, combined with the performance management interventions in Chapter 11, can create organization cultures that value equitable and inclusive, competent, and healthy workforces (Figure 12.1). We describe here the dimensions of diversity, the complementary performance management systems, and the intended outcomes of these interventions.

12-1a The Dimensions of Diversity

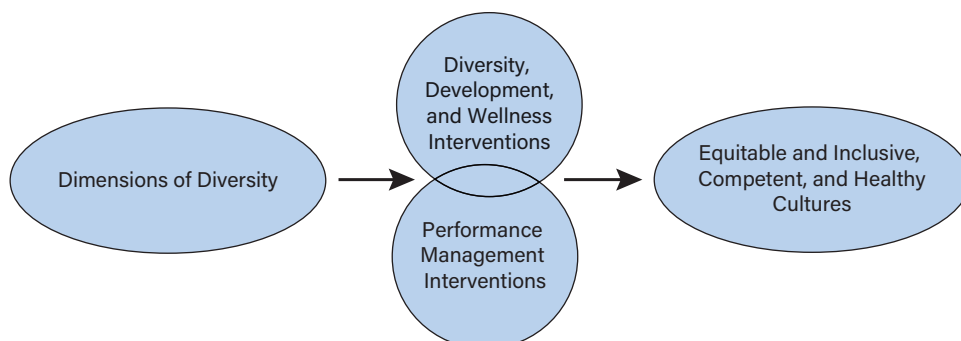
A diverse workforce, reflecting a globalized society and labor force, is a result of HR recruiting and hiring practices. It refers to the number of dimensions and the variation in

them that describe the people in a workplace.² In addition to the range of competencies present and required in the workforce to successfully operate an organization, these dimensions include age, gender, sexual orientation, culture/race/ethnicity, and disability.³

1. *Age diversity* refers to the range of younger versus older people in a workforce. It is convenient to speak of age diversity in terms of different generational cohorts, including baby boomers, Generation Xers, millennials, and Generation Z. For example, Generation X employees, who currently range from 43 to 58 years old, will likely require more accommodations for work–life balance and for midcareer plateauing. Generation Z, the youngest cohort, follows the millennials, the largest group in the workforce today. Millennials are known for their technological savvy, self-expression, and preferences for frequent recognition, opportunity, and variety.⁴
2. *Sex and gender diversity* describe two related dimensions. A person's sex is a function of biology and is generally assigned at birth as female, male, or intersex. Gender or gender identity is a constructed concept defined by an individual. Although the number of gender identity categories is in flux and can overlap with sex and sexual orientation (described below), the most common genders include male/masculine, female/feminine, trans or transgender, cisgender, and nonbinary.
3. *Sexual orientation* is distinct from gender. While gender identity concerns how you define yourself, sexual orientation defines your relationships and affections toward others. Diversity in sexual orientation includes lesbian, gay, bisexual, transgender, and queer/questioning (LGBTQ+) individuals and couples. The primary

Figure 12.1

Contributions to Equitable and Inclusive, Competent, and Healthy Cultures



organizational implication of sexual orientation diversity is discrimination.⁵ People can have strong emotional reactions to sexual orientation. As a result, members of the LGBTQ+ community may be reticent to discuss discriminatory organizational policies because their openness has historically encountered bias or led to unfair treatment. When these feelings interact with the age and culture dimensions described in this section, the likelihood of both overt and unconscious discrimination can be high. The Corporate Equality Index—an annual report that describes the number of U.S. companies achieving their top rating on LGBTQ+ practices—increased from 305 businesses in 2010 to 842 companies in 2022, suggesting companies are increasingly addressing these unconscious biases.⁶

4. *Cultural, racial, and ethnic diversity* refers to people with different colors or who are from different societies, ancestries, or traditions, as defined by languages, values and work ethics, and norms of correct behavior. Not all cultures value the same things from work, and simple, piecemeal changes in specific organizational practices are likely to be inadequate if the workforce is culturally, racially, or ethnically diverse.
5. *Disability diversity* refers to the different levels of ability with respect to a person's physical, cognitive, or emotional states. The number of people with disabilities entering the workforce is increasing. The organizational implications of employing workers with disabilities represent both an opportunity and adjustment. The productivity of employees with physical and mental disabilities often surprises managers, and their productivity and turnover results are often better than other employees.⁷

12-1b Performance Management Complementarities

As described in Chapter 11, organization development can help organizations design performance management systems—goal setting, feedback and appraisal, and reward processes—to achieve strategic objectives. In the context of a diverse workforce, these processes can be adjusted in the interest of equity and inclusion, competence, and health.

For example, goal setting is an important individual skill that can contribute to workforce competence and be tailored to account for diverse populations. Some cultures value technical skills over hierarchical advancement; others see promotions or titles as a prime indicator of self-worth and accomplishment. Performance appraisal provides employees with a continuous source of feedback to improve performance; represents opportunities to address sources of stress

and, if appropriate, refers members to wellness programs; and contributes to equity and inclusion by acknowledging differences. Companies such as Adobe, Intercontinental Hotels Group, and Duke Energy separate the career development aspect of performance appraisal from the salary review component, thus ensuring that employees' career needs receive as much attention as salary issues.⁸

Performance management can also promote equity and inclusion, competence, and wellness through adjustments in the mix of monetary and nonmonetary incentives, including benefits. These different rewards can be reviewed for the extent to which they meet the standard of internal and external equity, and reward system process issues, including transparency, can be redesigned to remove bias from performance measurement and pay decisions. This flexibility in the rewards mix encourages equity and inclusion as it supports alternative sexual orientations, different generational cohorts, and diverse races/ethnicities. For example:

- Health benefits and liberal vacation policies may be more desirable to baby boomers, while promotions, ownership, and pay are more attractive to younger workers.
- Workers with physical, cognitive, or emotional challenges often require specific provisions in comprehensive benefit plans, including health care and other supportive policies.
- Tying preferred rewards to the acquisition of skills and knowledge builds a more competent workforce.
- Flexible scheduling and work hours help a diverse workforce manage the interface between work and the other responsibilities associated with a person's life without sacrificing organizational objectives.
- Floating holidays allow people from different cultures to match important religious and family occasions with work schedules.
- Paid sabbaticals, unpaid leaves, or leaves of absence offer employees a chance to renew or explore an individual interest or cause. They can bring new experiences to the organization while retaining valued employees.

A comprehensive approach to performance management and benefits ensures a more equitable, inclusive, and competent workforce, promoting overall wellness in the organization.

12-1c Intended Outcomes

Workforce diversity, development, and wellness interventions and performance management systems jointly create organization cultures that value workforce equity and inclusion, competence, and health.⁹ Equity and inclusion are different but related outcomes. *Equity* is the result of

organizational policies and practices, including performance management, that are adjusted to the needs of particular people or groups. It contrasts with equality, which asserts that everyone should be treated the same. Equity recognizes that everyone is not the same and that those differences should be acknowledged and addressed in organizational practices. For example, higher-paid executives have more options for arranging childcare than hourly workers despite broad agreement that access to childcare is important for all. Thus, equity begins to account for bias and privilege in a system. *Inclusion*—and often also *belongingness*—results from behaviors and practices that welcome all members of a diverse workforce, lets them know that they are valued, and encourages them to make substantive contributions to the organization. Inclusion is associated with feelings of appreciation, comfort, and acceptance as part of a group or organization.

The interventions in this chapter also aim to increase workforce competence. Organizations increasingly recognize that skilled and knowledgeable workforces utilizing their talents to contribute to organization effectiveness, improving their quality of work life, and building a successful career are a valuable and difficult to imitate resource. The goal of effective career planning and development interventions is to ensure that the workforce has the competencies to drive organization objectives and meet employee career needs. Relatedly, leadership development interventions typically address one of two goals: skill building in areas like strategic planning, leading change, and decision making or developing a cadre of managers for promotion and succession. Leadership development interventions help managers gain perspective on their strengths and weaknesses and transfer their learning into organizational results.¹⁰

Finally, individual well-being or wellness comprises “the various life/nonwork satisfactions enjoyed by individuals, work and job-related satisfactions, and general health.”¹¹ Health is a subcomponent of wellness and includes both psychological and physiological factors. A person’s work setting, personality traits, and stress coping skills affect overall well-being. In turn, well-being impacts personal and organizational outcomes, including absenteeism, productivity, and health insurance costs.¹²

12-2 Application Stages

Workforce diversity, development, and wellness interventions draw heavily on the process of planned change outlined in Chapter 2, including establishing a relationship with the system, assessing and diagnosing, designing and planning interventions, and implementing and evaluating them.¹³

Establish the relationship. The contracting phase of a diversity, development, or wellness intervention involves negotiating the goals of the change; the parameters of the relationship, such as schedules and resources; ethical considerations, including how confidentiality will be enforced or value conflicts addressed; and boundary issues, such as the scope of the engagement. For example, a coaching intervention as part of a leadership development program leverages one-on-one relationships while career development and wellness programs can be organization-wide.

Assess and diagnose. An effective diagnostic process in these interventions involves multiple stakeholders with diverse motivations and interests; it addresses personal and often emotional issues. Assessment typically determines current levels of perceived equity and inclusion across diverse categories; the status, strengths, and weaknesses of current leadership and career development programs; and existing employee stress and wellness. This information is collected through interviews of well-respected or diverse executives and workforce members, organization health or other internal surveys, or published benchmark and best-practice programs. Such an assessment includes members’ current levels and ranges of skills, knowledge, and abilities in comparison to current and likely future demands. Weak assessment processes are a common source of diversity, development, and wellness intervention failures.¹⁴

OD practitioners can contribute to the diagnosis by assessing existing program assumptions and ensuring they are not biased toward masculine experiences or North American worldviews.¹⁵ For example, mentoring programs can inadvertently favor White managers over women and minority managers or discourage older executives from sharing their wisdom and experience with others.

An effective diagnosis also determines whether the necessary support exists in the organization to make these interventions worthwhile. Diversity, development, and wellness interventions are all influenced to some extent by internal and external stakeholder pressures and the organization’s strategies. For example, the organization’s strategy may espouse noninclusive values; the performance management system may encourage unrealistic goals that are overly stressful on the workforce. Similarly, an HR strategy may signal a limited view of workforce development or inclusion by supporting only legally mandated policies, such as Equal Employment Opportunity or Americans with Disabilities Act requirements. Implementing aggressive diversity and development interventions in these cases will likely face systemic resistance. Wellness interventions also need to acknowledge the source of workplace stressors that can originate in the

strategic context or the existing HR systems and processes. These systems may affect the ability of wellness interventions to impact the organization. For impact to occur, members need the opportunity and support to attend and participate in these programs.

On the other hand, organizations espousing a learning perspective can support diversity, development, and wellness as a source of competitive advantage. A health care organization with a diverse patient population can adopt policies promoting varied perspectives that lead to a broader physician and employee base, tailor the range of services to fit the market, and build flexible systems and processes to support the community and the workforce.

Design and plan the intervention. This step establishes an appropriate set of outcomes and objectives for the intervention. These objectives might describe the levels of reported inclusion in organizational surveys, the expected number of promotions attributed to the career development process, or reduced absenteeism from a healthier workforce.

The design of diversity, development, and wellness interventions typically involves assembling a range of specific initiatives, many of which have been previously described in this text. For example, diversity interventions often include specific adjustments in work design, employee resource groups (ERGs), and performance management. The sections that follow describe how many of the interventions in this text can be assembled and combined to achieve diversity, development, and wellness objectives.

Implement the intervention. Implementing diversity, development, and wellness interventions can be approached in a piecemeal or systemic way. Research suggests that these interventions are more effective when supported by senior leaders, aligned to the HR strategy, and consistent with the organization's strategic direction. However, organizations have tended to react to different trends or external pressures in narrow and piecemeal ways.¹⁶ For example, as a growing number of physically challenged workers entered the workforce and Congress passed the Americans with Disabilities Act in 1990, organizations modified their physical settings to accommodate wheelchairs; as insurance costs increased to accommodate smokers, companies added incentives to quit. More recently, as racially motivated hate crimes increased, organizations implemented unconscious bias training. A growing number of organizations, such as L'Oreal, PepsiCo, Procter & Gamble, American Airlines, and Carrefour, are taking more systemic approaches. They are not only adopting learning perspectives with respect to workforce diversity, development, and wellness but are

systemically integrating related values and practices into the culture of the organization.

Evaluate the intervention. This final step assesses the intervention to determine whether it met its objectives and how it might be improved. Given the long-term nature of these changes, OD practitioners use a combination of implementation and evaluation feedback (Chapter 6) to check on progress as well as impact. For example, development interventions could gather implementation feedback in the form of participants' initial reactions about a program's usefulness or the results from questionnaires about the extent to which they are learning relevant knowledge.¹⁷ Evaluation feedback could include observations or interviews with the participant's manager or peers to assess whether new behaviors were being performed at work. Finally, diversity, development, and wellness interventions can measure longer-term results through organizational surveys and turnover, promotion, and other reports.

12-3 Diversity Interventions

As already described, several fundamental and long-term trends are shaping the labor markets of modern organizations, with the workforce far more diverse than it was just 10 years ago. Employees represent every racial-ethnic background, culture, and color; vary from highly educated to illiterate; range in age from 18 to 80; may appear perfectly healthy or be overwhelmed with stress; may be single parents or part of a dual-income, divorced, same-sex, or traditional family; and may be physically or mentally challenged.

These broad trends in workforce diversity exert pressing demands on how organizations should address them, and global competition compels organizations to consider how workforce equity and inclusion affects performance outcomes.¹⁸ Moreover, in the aftermath of the COVID-19 pandemic, civil unrest, and other climate and societal events in the early 2020s, organizations are being urged by various constituencies to take public stands on a variety of these issues. On the other hand, corporate attention to diversity and inclusion is often discouraged by those who fear that too many perspectives dilute concerted action. Others argue that organizational resources to address the mental health of people who are likely to exit the organization are tangential to the primary financial objective of organizations.

Senior leaders are tasked with balancing these pressures and demands, while being increasingly aware of the positive relationship between employee inclusion and productivity.¹⁹

12-3a What Are the Intervention Options?

To address these pressures, diversity-related interventions are progressing rapidly in OD. Companies such as Johnson & Johnson, Aetna, Wegman's, Kimpton Hotels, SAS, and Raytheon apply a wide range of diversity programs. These programs demonstrate that almost any dimension of the organization and work context can support or depress equity and inclusion.²⁰ Consequently, many of the OD interventions described in this text can be applied or modified—independently or in combination—to improve equity and inclusion as well as competence or wellness. This allows organizations to flexibly construct a set of activities and choices that fit their situation and contribute to inclusion and wellness. Recognizing the complementary relationships among performance management, workforce development, and wellness interventions, we focus here on the two broad interventions likely to make systemic contributions to equity and inclusion.

Work Design and Employee Engagement As described in Chapters 9 and 10, work design and engagement interventions can affect productivity and work satisfaction, and they can be tailored to support equity and inclusion. Work designs can simplify the physical demands of a job to accommodate various disabilities, adjust when and where work is performed to acknowledge cultural or age cohort preferences, or automate certain tasks versus relying on the knowledge and experience of workers. Research suggests that many of these accommodations, such as *job sharing*, are low cost. Marriott, DuPont, Baxter International, Clorox, and Target allow two people to perform the tasks associated with one job. This arrangement reduces the stress on working parents and enables older employees to pursue both family/leisure and work careers. The preference for virtual work following the COVID-19 pandemic has led organizations to seek the right balance and flexibility in office versus virtual work. Equity issues may arise, however, as the flexibility of virtual work cannot be extended to many frontline workers.

Employee involvement interventions that improve supportive relationships and participation in decisions can increase inclusion. Building supportive relationships involves establishing trust among workforce members, including bosses, subordinates, and peers. It is a major part of such OD interventions as team building, intergroup relations, and goal setting. Research shows that supportive relationships can buffer people from and help them cope with stress, especially when that support is viewed as a discretionary choice by leaders.²¹ Similarly, ERGs (Chapter 9) allow different demographic cohorts, cultures, genders,

sexual orientations, and disabilities to discuss and address specific issues. ERGs are an effective way to legitimize conversations and dialogue among diverse populations about how organizational and human resources policies can be altered to support inclusion and wellness.

Finally, employee involvement practices can be aligned to differences in employee needs for participation in work and decision-making processes. Participation can take many forms, from suggestion systems and attitude surveys to high-involvement work designs and performance management systems. People from low power-distance or collective cultures, for example, are more likely to expect and respond to high-involvement policies; high power-distance cultures may view participation with reservation. Organizations can maximize worker productivity and support inclusion by basing the amount of power and information workers have on cultural and value orientations.

Diversity Training Training, also an important component of workforce development interventions, is often the primary element in diversity interventions. However, given the systemic nature of biases in many organizational systems, researchers and practitioners worry that training alone is too weak an intervention. That said, there is little doubt that individual attitudes can be important sources of inequity and exclusion in the workforce. Sexual orientation and unconscious bias training increase members' awareness of the facts and decrease the likelihood of overt discrimination, although the evidence is clear that some training programs are better than others.²² Training is thus an important opportunity to increase people's awareness of bias and privilege and represents a supportive element in the creation of an inclusive culture.

Application 12.1 describes L'Oréal's long commitment to creating an inclusive environment.²³ Notice how the process begins with strategy and how the organization addressed multiple dimensions of diversity through a variety of interventions. Does the portfolio of activities make sense or would you alter them? Do you believe the indicators of the organization's success accurately reflect its diversity objectives?

12-3b The Results of Diversity Interventions

Diversity intervention evaluations support improved organization productivity through decreases in absenteeism and presenteeism.²⁴ These outcomes are more likely to occur when the interventions are actively supported by top management, tailored to the organization's needs, structurally embedded in organizational practices, and aligned to

Application 12.1

Aligning Strategy and Inclusion at L'Oréal

L'Oréal is the world's largest beauty products company. It creates cosmetics, perfume, and hair and skin care items in more than 150 countries under 36 brands, including L'Oréal Paris, Maybelline, Lancôme, Garnier, and CeraVey. In 2023, L'Oréal had revenues of €41.2 billion.

L'Oréal's business strategy is conducive to an inclusion perspective. With diverse customers from around the world, innovation must be based on understanding and respecting differences. To be a global company, the organization must be global from within, and their experience shows that variety supports more creativity and innovation. As a mirror of an ever-changing world, a diverse workforce is better equipped to deal with change and be in tune with the environment; it represents a key to L'Oréal being a great place to work.

The organization's diversity efforts are built on a long commitment to inclusion, which began in 1974 with the "Schueller" leave, a maternity policy named after the company's founder that gives women an additional four weeks leave on top of statutory requirements and that can be taken, in full or in part, until the child is two years old. In 2000, L'Oréal adopted an Ethics Charter describing its values and practices as a global company and the adoption of policies concerning diversity and inclusion practices, the appointment of specific diversity roles, the inception of diversity training, and participation in career fairs. L'Oréal was an original signatory of the Diversity Charter, along with 35 other large French organizations, a national effort to promote pluralism and diversity as strategies for success. It visibly committed the organization to pursue a variety of initiatives, including raising awareness, incorporating diversity progress metrics in annual reports, and implementing policies that promoted diversity throughout the corporation. Diversity within L'Oréal came to be defined as "a mosaic of visible and invisible differences . . . which influence attitudes, behaviors, values, and ways of working within the professional environment."

L'Oréal's U.S. operations first appointed a vice president for diversity in 2002 who introduced the recruiting strategy of "fishing in different ponds" to signal that where the organization looked for diverse talent was as important as whom they were looking for. The organization identified seven different ponds

and today more than 60% of the U.S. employee base are women, 38% are people of color, and 3% are LGBTQ+. The U.S. program reinforced its diversity and inclusion initiatives by including diversity objectives as part of a manager's annual performance review. That practice was eventually expanded, and today diversity objectives are included on a worldwide basis. More recently, the U.S. subsidiary launched employee-driven think tanks focused on various dimensions of workforce diversity, including OUT@L'Oréal, which advances initiatives that protect LGBTQ+ rights, the Women of Color Think Tank, DiversABILITY, and L'Oréal Veterans. In 2020, to avoid disruption of the community, these think tanks moved to a virtual presence. As a result, L'Oréal USA earned a spot on *Forbes'* 2020 list of Best Employers for Diversity in America.

L'Oréal's first global diversity director developed an explicit inclusion strategy that included recruitment and integration, training, career development interventions, management and inclusion, and communication. For example, in recruitment and selection, L'Oréal revised its web-based application process to delete requests for certain kinds of information that might contribute to recruiting biases. These included home addresses, a type of information that French studies suggested was among the most discriminatory, as well as information related to gender, age, and nationality.

These five levers were expected to drive results along six dimensions, including nationality, racial-ethnic and cultural background, social promotion, gender, disability, and age. The team believed the biggest obstacle to implementation was the cultural differences between the countries and a low level of awareness of the benefits that an inclusion strategy could bring. That is, many emerging market workforces were quite homogenous relative to the United States and France, their economies were growing fast, and their leadership teams had little experience or understanding of diversity-related practices.

The U.S. and global organizations used training to address the issue. They collaborated to make diversity and inclusion part of the core curriculum for all major leadership development programs. One of the global diversity team's initial activities was a two-day diversity workshop that included over 8,000

Aligning Strategy and Inclusion at L'Oréal, continued

managers from 32 countries. The workshop explained the company's diversity and inclusion strategy and created opportunities for managers to establish goals and action plans to make diversity and inclusion practices a reality in their countries. The managers' reactions to the diversity and inclusion strategy were mixed, depending on their organizational role and the country they represented. Many wondered if this was a "flavor of the month" issue, believed they were already managing with diversity in mind, or had more important business issues to address. However, many managers also realized the potential of diversity and inclusion and became aware of some personal biases. These managers were used to leverage the diversity effort as it rolled out globally.

Together, L'Oréal's inclusion intentions and initiatives have produced impressive results. Between 2010 and 2022, the percentage of women on its board increased from 21 to 50%, and on its executive committee from 21 to 32%. L'Oreal participates in the International Dual Career Network, a group of 22 global organizations and 60 local groups that assist

in finding work for a transferred employee's partner. The company also developed a "Business Charter for Disability" with the International Labor Organization and posted significant improvements in hiring and including employees with disabilities. For example, 65 different L'Oreal units in more than 14 countries are involved in programs to integrate people with disabilities. L'Oreal is certified in 30 countries for achieving the Gender Equality European and International Standard and the Global Business Certification Standard for Gender Equality (EDGE). This work was first certified in 2014 when L'Oréal USA was one of the first companies worldwide—and the first company in the United States—to be EDGE certified. L'Oréal was included, for the sixth consecutive year, on the 2023 Bloomberg Equality Index, which tracks the performance of public companies committed to disclosing their efforts to support gender equality through policy development, representation, and transparency. Finally, L'Oreal was ranked number 11 globally and number 1 in France in Equileap's 2023 global gender equality ratings.

business performance.²⁵ Taken together, these results suggest that a systemic and integrated approach to equity and inclusion can have important benefits.

Unfortunately, most diversity interventions focus on specific activities. A 2022 survey found that two-thirds of inclusion interventions used diversity training almost exclusively and only about a third tied diversity objectives to rewards.²⁶ Moreover, despite the wide availability of best-practice training principles, including customizing training content to the organization's specific needs, most diversity training is generic.²⁷ The research on diversity training's effectiveness is not supportive, and results of positive attitudinal change are rare.²⁸ Finally, a recent Gartner survey found that 51% of diversity leaders in organizations indicated that the biggest challenge to diversity interventions was the failure of leaders to take ownership.²⁹ In combination, these results raise questions about the depth of organizational commitment, and critics suggest that senior leaders in organizations may be more interested in responding to social pressures than committing to the objectives of equity and inclusion.³⁰ More research on the relationship among diversity intervention characteristics, organization commitment levels, and equity and inclusion is necessary.

12-4 Workforce Development Interventions

Organizations are increasingly reliant on their intellectual and social capital. The war for talent, the changing nature of the labor force, and the increase in knowledge-based strategies have pressured organizations to clarify their HR development strategies.³¹ Workforce development interventions, including career and leadership development, can help to develop and retain a competent workforce. Career planning and development interventions address the professional competencies and concerns of different organization members as they progress through their work lives. Leadership development processes transfer knowledge and skills to supervisors, managers, and executives.

Despite several alternatives, workforce development interventions are closely related to training and development, a large HR practice in organizations and among the oldest strategies for organizational change.³² The Association for Talent Development, a global training and professional association with members from more than 120 countries, reported that organizations spent about \$1,280 per employee on learning and development in 2022, a figure that has remained fairly stable over the last decade.³³ Training and

development programs provide organization members with the skills and knowledge they need to perform current or future work, including communications, supervising others, or the technical aspects of a job. They generally build the organization's reservoir of skills and knowledge, enhance employees' capacity to implement personal and organizational strategies, and contribute to retention and performance.

12-4a Career Planning and Development Interventions

Career planning and development interventions provide the appropriate resources, tools, and processes to help organization members plan and attain their career objectives. *Career planning* is concerned with individuals choosing jobs, occupations, and organizations at each stage of their careers. *Career development* involves helping employees attain career objectives.³⁴ For many organizations, these interventions have moved from a “nice” fringe benefit for managers and professionals to a key tool for developing and retaining competent organization members at all levels and functions of the organization. During the pandemic, many employees reassessed their career objectives, participated in the “Great Resignation,” and returned to the workforce with fresh perspectives. However, with the increased frequency of organizational downsizing and restructuring, there is less trust in the organization to provide job security. A growing number of organization members are not willing to let their careers “just happen”; they are taking an active role in planning and managing them.³⁵ At the same time, the increasing volatility in the marketplace and the ability of members to “job hop” have pressured organizations to think through the cost–benefit ratio of implementing formal career programs. In response, many organizations, including Oracle, PepsiCo, and CH2M, among others, have adapted their career planning and development programs to meet the needs of the organization and its members.

What Is a Career? A career is a sequence of work- and life-related roles occupied by a person during the course of a lifetime.³⁶ Employees generally progress through at least four career stages as they mature and gain experience.

1. The *establishment stage* involves exploring possible careers and jobs and learning about one's competencies. Organizations can support this stage by clarifying potential *job paths* or *career ladders*—sequences of jobs to reach a career objective—and encouraging employees to assess their interests, abilities, and job situations. Employees in this stage are often dependent on supervisors and more experienced employees for guidance, support, and feedback.

2. In the *advancement stage*, employees become independent contributors concerned with investing in their chosen careers. They need less guidance from managers but closer ties with colleagues. Organizations can leverage social networks and employee resource groups to make members aware of challenging assignments, workshops, and mentors or sponsors to develop specific skills and knowledge.
3. The *maintenance stage* involves holding on to career successes. Employees in this stage need information about the organization's long-term vision, feedback about how they might fit into it, and opportunities to mentor others. For those who are dissatisfied with their career progress, this period can be difficult, as characterized by the term “midlife crisis.” People often reappraise their circumstances, search for alternatives, and redirect their career efforts. Success in these endeavors can lead to continuing growth, whereas failure can lead to early disengagement.
4. Finally, the *withdrawal stage* is concerned with transitioning from a working career to greater leisure time and retirement. Communications, retirement planning workshops, and counseling regarding options for postretirement work and financial security convey the message that the employee's experience in the organization is still valued. For those members who are generally satisfied with their careers, this period can result in feelings of fulfillment and a willingness to leave the career behind.

What Are the Intervention Options? In addition to broadly applicable training programs and complementary performance management systems, three interventions are particularly relevant to workforce career planning and development. Their applicable career stages and intended outcomes are identified, recognizing that the interventions may apply to one or more career stages.

Realistic Job Preview This intervention provides job applicants with credible expectations about the job during the recruitment process. It provides recruits with clear and realistic information about whether the job is likely to be consistent with their needs and career plans. Such knowledge can be especially useful during the establishment stage of careers, when people are most in need of valid information about organizations and jobs. It also can help employees during the advancement stage, when job changes are likely to occur because of promotions. Research suggests that people may develop unrealistic expectations about the organization and job and can suffer from “reality shock” and its negative consequences if those expectations are not fulfilled. To overcome these

problems, the Transportation Security Administration, easyJet, and Home Depot provide new job recruits with booklets, talks, videos, and site visits showing both the positive and negative aspects of the company and the job. Such information reduces the chances that employees will develop unrealistic job expectations, become disgruntled, and leave the company.

Assessment Centers This intervention was designed originally to help organizations select and develop employees with high potential for managerial jobs. Participants would spend one to three days engaged in interviews, surveys, and exercises intended to simulate work. An assessment team would observe and analyze behaviors to arrive at conclusions and recommendations. More recently, assessment centers have been extended to career development and to selection of people to fit new work designs, such as self-managed teams. Here, trained staff emphasize feedback, helping participants hear and understand their strong and weak points. They help participants become clearer about career advancement and identify training experiences and job assignments to promote that progress.³⁷ This is particularly useful at the advancement stage when employees need to assess their talents and capabilities in light of long-term career commitments.

Mentoring This intervention involves establishing a relationship between a manager or more experienced employee and another organization member who is less experienced to learn practical knowledge, solve specific organizational problems, and help members develop in their careers. It increases the organization's problem-solving abilities. Unlike coaching, mentoring is often more directive, with the mentor intentionally transferring specific knowledge and skill and guiding the mentee's activities. Being a mentor is an appropriate role for people in the maintenance and withdrawal stages of their careers, while those in the establishment or advancing stages are more likely to be mentees.

Mentoring interventions can be informal or formal. Informal programs allow relationships to emerge organically, address specific needs of the mentee or the organization, and are not monitored by the organization. For example, a large manufacturer was having problems developing accurate estimates of the cost of producing new products. The sales and estimating departments lacked the production experience to make accurate bids for potential new business, thus either losing customers or losing money on products. The company temporarily assigned a production manager who was nearing retirement to mentor salespeople and estimators about bidding on new business and

making more accurate estimates. The pre-retirement production manager felt that he had made a significant contribution to the company—something he had not experienced for years. Formal mentoring programs, on the other hand, tend to have focused objectives, including orienting new employees quickly, transferring scarce skills and knowledge from one generation of workers to another, or giving a colleague career advice. Organizations with formal mentoring programs expect increased productivity, satisfaction, loyalty, or future contributions from mentees.

Application 12.2 describes how the HR organization within PepsiCo evolved its career planning and development processes.³⁸ How well did the design and implementation of the process follow effective career planning and development practices? What could Pepsi have done better? What next steps would you recommend?

The Results of Career Planning and Development

Career planning and development reflect a broad set of interventions in OD. This variety makes evaluation difficult, although the overall results on retention and motivation are positive.³⁹ Most evaluations examine particular aspects of career planning and development. For example, realistic job previews have reduced turnover and training costs and increased organization commitment and job satisfaction.⁴⁰ Assessment centers have led to career advancement when the participant works on the recommended areas of improvement.⁴¹ Training interventions that utilize evidence-based models, engage learners, and apply best-practice methods consistently produce effective learning.⁴² Finally, meta-analyses of mentoring studies show a consistently positive but highly variable relationship to different outcomes. Results vary in terms of the mentee's interpersonal skills, achievement orientation, and positive self-regard. As well, the mentor's proactivity and leadership style make important contributions to mentoring's effectiveness. For the mentee, the most common benefits are favorable work attitudes and career success in terms of promotions and performance.⁴³

12-4b Leadership Development Interventions

Leadership development is one of the most popular OD interventions in human resource management. Global organizations annually invest more than \$60 billion in these programs.⁴⁴ They can develop a variety of individual and team-based skills, socialize leaders in corporate values, and prepare executives for strategic leadership roles.⁴⁵ Many large organizations, like Unilever (UK), Bel and Safran (France), and Microsoft, PepsiCo, and Owens-Corning (U.S.), invest heavily in their leadership development programs.

Application 12.2

Career Planning and Development at PepsiCo

PepsiCo has a well-deserved history of innovative career planning and development practices. However, a significant number of organizational changes, including the spinoff of Tricon and the Pepsi Bottling Group and the acquisition of Tropicana and Quaker, had left employees feeling unsure about how to build a successful career within the new Pepsi. Moreover, and because of Pepsi's traditionally entrepreneurial and autonomous culture, each business unit had its own way of developing employees. In this new organization, employees wanted more information about how to take advantage of cross-business unit and cross-functional opportunities.

In response, senior management tasked the internal OD group to partner with the HR organization and line managers to develop tools and processes to address these concerns. Their initial efforts resulted in the *PepsiCo Leadership Model* that outlined leadership competencies and provided a framework for a 360-degree feedback process; a career-development web resource called *MyDevelopNet* that provided assessment tools and development resources; and a cross-business job-posting process called *MyCareer-Connection* that listed open jobs across functions and business units. Although these tools and processes became an important part of PepsiCo's career planning and development process, employees still wanted more detail and support regarding what it took to build a successful career in a given function.

The interest in functional careers was somewhat at odds with Pepsi's strong division-focused culture. To shift from a focus on business units to a broader and standardized enterprise view, the organization needed to explore the importance of consistency in language and processes across specialties but within functions. The HR function was selected to pilot the approach—to set the agenda, lead the initiative, and resolve any problems inherent in the change process. A task force, representing the 10 specialties within global HR (e.g., compensation, benefits, diversity, staffing, OD), was established to develop a fully integrated career solution within the HR function. It was chartered with providing HR employees with access to *career information* that will allow greater ownership of their career planning discussions with their managers; more consistent language around *competencies*, *leadership skills*, and *the critical experiences* required

for career progression in the HR function; and greater clarity regarding *different opportunities* and choices rather than prescribed paths.

If properly designed and implemented, the intervention would result in a stronger and more capable HR function—one that spoke a consistent language across very different types of specialties and had a greater emphasis on individual development and career growth. In addition, it would pave the way for similar efforts in other major functions at Pepsi such as sales, marketing, finance, operations, and research and development. Based on this diagnosis, the HR Careers Task Force adopted a five step, OD-related process that emphasized input from key stakeholders across the function as well as early involvement and participation in the process.

The first step was to develop an appropriate competency model for the HR function. The task force collected lists of HR competencies from internal and external sources, including business unit models, professional associations, and the literature. Importantly, although several HR business units had their own competency list, one that worked well with all employees in HR was needed. The resulting model consisted of 12 competencies measured by 50 specific areas of applied knowledge and practice.

The second step was to identify the jobs that would be part of the solution. The task force believed that it was unrealistic to analyze and include every job in a HR function. Rather, the team identified key positions with multiple incumbents within each of the 10 HR specialties. These jobs represented consistent, sustainable roles to which employees could aspire as part of their career planning. The final list of key jobs comprised the target for their work.

The third step was to validate and calibrate the competencies for each of these key jobs. The task force created a "job modeling" survey that sampled the incumbents in the key jobs across the entire HR function. The first 50 questions represented the key HR competencies identified in the first step and asked participants to rate the proficiency level required to do the job well. The next set of questions were drawn from the PepsiCo Leadership Model to understand the leadership emphasis required in the job, and the final section asked about the experiences the incumbents were gaining from the role. For example, did

Career Planning and Development at PepsiCo, continued

the job provide the opportunity to partner with other divisions, manage a merger or acquisition process, or apply organization design skills.

The fourth step required the task force to build the key job database so that it could be used by managers and employees whenever they have a career conversation. The database needed to be able to address at least three questions: Where are the jobs (level, location, specialty area)? What are the different accountabilities, experiences, and competencies required for the job? How do I get to the next job from where I am?

The database was designed to provide information on each of these questions and to facilitate rich career discussions. To facilitate its use, additional supporting tools included an interactive online tool that allowed employees to view all of the key jobs in the function and their own division with typical next steps identified for each position; an HR resource guide containing development tips, tactics, and resources to help employees build their functional competencies and do well in job interviews and placements;

and new training resources and modules to support deeper knowledge acquisition in key areas of need.

The database and tools were shared with managers, functional vice presidents, and senior leaders to assess that the jobs were properly calibrated against others both within and across HR divisions. This data feedback was time-consuming but ensured the final product was of high quality and validity. It also created additional buy-in on the part of Pepsi managers to actually use the tools and allowed them to reevaluate the nature and accountabilities of the jobs in question.

The final step of the process involved implementing the system and evaluating its acceptance and use to determine if adjustments needed to be made. Each HR specialty created their own integrated roll-out strategy based on current initiatives and available resources. Certain key messages and tools supporting the framework and their relationship to existing HR processes were standardized to ensure a common language and approach to career development were used in the change process.

What Are the Intervention Options? Most leadership development programs consist of classroom training and one or more of the components described below. These components need to be integrated together or emphasized separately depending on the program's objectives and resources. The *70/20/10 rule* in development suggests that about 70% of learning comes from job rotations and challenging assignments and only about 30% from coaching, action learning, and classroom training. However, many leadership development programs still emphasize training and classroom experiences.⁴⁶

Job Rotations and Stretch Assignments These interventions develop new leadership skills by providing challenging jobs and learning experiences that contribute to organization functioning.⁴⁷ Many large organizations identify “hipos” (high-potential candidates) and provide them with cross-functional, cross-business, or international job experiences. Candidates are moved into new roles according to a timetable, such as every three years, or after they have demonstrated competence in a particular situation. These different assignments give the leader an opportunity to network with other leaders. In addition, the exposure to a wider audience of corporate executives helps the organization identify members who are capable of handling senior executive responsibilities and supports the candidates’

decisions about whether to seek promotion to higher positions or to particular departments. Retaining “hipos” is critical to success in today’s highly competitive labor market.⁴⁸

Coaching Coaching is one of the fastest-growing areas of leadership development. The International Coaching Federation (www.coachfederation.org), founded in 1995, had grown its global membership to over 50,000 people in 2023. CoachVille (www.coachville.com) has over 30,000 members in more than 175 countries. Their coaching certification programs are popular with OD practitioners.

Coaching involves regular one-on-one meetings between an OD practitioner and a supervisor, manager, or executive to clarify goals, build new and relevant skills, and address potentially limiting behavioral style issues.⁴⁹ Coaching can help leaders understand how their behaviors are contributing, positively or negatively, to performance. Such understanding can be deeply personal and is often difficult to achieve. Guided inquiry, active listening, and reframing techniques help leaders see new or different possibilities and direct efforts toward professionally and organizationally relevant issues.

Coaching assessments to elicit development opportunities can involve a set of interview questions; more formal personal-style instruments, such as FIRO-B (Fundamental Interpersonal Relations Orientation–Behavior), Strengths-Finder, or DISC (Dominance, Influence, Steadiness, and

Conscientiousness); or feedback from the leader's stakeholders in a 360-degree feedback process. When done well, coaching builds capacity in individuals to lead more effectively and improves personal productivity.

Coaching can be confused with therapy, although most coaching frameworks make clear distinctions.⁵⁰ While both coaching and therapy can focus on personal development, coaching assumes that the leader is healthy rather than suffering from some pathology; it is also primarily future oriented rather than focused on the past. Many coaching failures have been attributed to working too far from the practical application of behavioral principles, or too close to the boundaries of therapy, and to the failure of the coach to understand the difference. In a related way, almost every OD intervention involves some coaching, but a coaching intervention may not involve other broader changes in the leader's system.

OD practitioners need to carefully apply coaching since it ethically limits interventions outside the boundaries of the coaching relationship. As coaching becomes more professionalized, it is less likely to be technique driven and less likely to substitute formulas, tools, and advice for experience, good judgment, facilitation, and compassion.

Action and Service-Learning Projects These interventions can be a powerful component in a leadership development program.⁵¹ Teams of four to six managers are given a specific challenge or problem to solve in a relatively short timeframe. The problems can be organizationally related, such as formulating a bold strategy or creating a novel innovation, or socially and environmentally related, as in the case of advising a nonprofit or building community relations. Typically facilitated by an OD practitioner, team members develop a solution, receive feedback on their performance, reflect on their experiences, and apply their learning to their regular job. Successful action-learning projects require management commitment, freed-up time, and well-defined projects.

Application 12.3 describes a leadership development program at Sound Physicians.⁵² Responding to the need for a broader skill set among physicians in health care settings, the leadership development program focused on classroom-like experiences. Was this focus appropriate given the diagnosis? Would adding other leadership development components have improved the intervention?

Application 12.3

Leadership Development at Sound Physicians

Continuous, disruptive change in the U.S. health care industry has placed severe pressures on how health care organizations are led. The upshot of this upheaval and uncertainty is an emerging view that physicians with leadership and management skills are better suited to lead health care organizations than business professionals. In fact, physicians prefer to be led by other physicians because, having "walked in my shoes," they are better qualified to make decisions that serve the interests of both patients and the business.

Unfortunately, there is an acute lack of physicians with the right skills, experiences, and mindsets to take on executive roles. Most physicians spend their careers studying and focusing on data and outcomes and, while traditional curriculums do address bedside manner, less time (if any) is spent developing the tactical and relational skills required of a hospital executive. The physician leader needs basic business and management skills, such as strategic and financial planning, organizing and controlling work, giving performance feedback, and coaching and developing others. Because these skills are not taught at medical

schools, doctors often don't have them when they transition into leadership roles.

This was the challenge facing Sound Physicians (SP), a privately held provider of inpatient services based in Tacoma, Washington. SP has grown to become one of the largest physician groups in the country, with over 4,000 physicians, advanced practice providers, and nurses delivering emergency medicine, critical care, transitional care, and hospital medicine in more than 400 health care systems, hospitals, and post-acute facilities throughout the United States.

CEO and SP Founder Dr. Robert Bessler and President and COO Jess Parks recognized the strategic opportunity of developing their "chief hospitalists." In each location where SP operated, a chief hospitalist acted as a physician leader overseeing their colleagues and SP's programs.

Based on a recommendation by Parks, SP engaged an OD consulting firm specializing in leadership development to help gather data about the current state of SP's physician leaders. Based on the

Leadership Development at Sound Physicians, continued

initial data gathered through a senior leader survey and a subsequent company-wide leader engagement survey, they were able to identify a clear picture of the issues that SP needed to address.

The survey data indicated that what hospital partners and SP doctors really wanted (and needed) were on-site leaders with clinical backgrounds who also had well-developed interpersonal and leadership skills. Experienced, capable physician leadership was critical yet scarce. The survey indicated that SP's chief hospitalists were lacking the fundamental skills required to lead a team. Bessler realized that mentoring and building the next generation of capable physician leaders would not only support SP's success but would also prove to be a competitive recruitment advantage as the organization grew. Addressing this skills gap became an SP priority.

Parks and Bessler decided to work with the OD firm to design and deliver a program that built leadership and business skills into a format that considered a physician's perspective. The "Chief Summit Initiative" (CSI) was born with the goal of creating a leadership development program that would provide SP's physician leaders with the fundamental tools and knowledge to lead effectively in a hospital-based environment.

The OD consulting team collaborated with an internal SP team to design the two-day program. It addressed the chief hospitalists' skill gaps in leadership and management fundamentals while instilling a core set of competencies that had evolved from the earlier survey data. Ultimately, the program focused on "to know," "to be," and "to do" competencies.

Initial training on the "to know" competencies was delivered by SP staff during new physician onboarding, either in-person or through webinars. These competencies addressed organization-specific knowledge, such as the mission and vision of SP, hospital and local medical staff issues, external environmental challenges, and principles surrounding physician performance. The "to be" and "to do" competencies were addressed in the CSI program.

The "to be" competencies involved building engagement through such leadership basics as how to better interact with their people, how to gain followers, and how to build and empower high-performing teams. Each of these skills was demonstrated using the nuance of hospital realities to clearly explain the "why." The "to do" competencies focused on how physician leaders could coach and develop their people, deliver on organizational results, communicate effectively, manage stakeholder relationships, and manage costs and revenue. The CSI program used modules

on delegation, communication, financial management, and emotional intelligence.

The first day of the CSI program used a small-group learning format and focused on the relationship between managing and leading as well as on how to delegate responsibilities appropriately. The second day focused on how to communicate effectively, the importance of self-awareness, and the impact of their behaviors on others. To address physician leaders' self-awareness, data from the DISC behavior assessment tool gave participants powerful insights about their typical patterns of behavior. Equipped with this information and understanding, the physician leaders were then trained on how to give and receive feedback and hold the often-necessarily difficult development conversations with their direct reports. Eventually based on the feedback on the value of the program, SP opened CSI to its broader group of physicians and nursing leaders, offering the development program to prepare them for next-level responsibilities.

A year after implementation, SP approached the OD firm to develop the advanced version of this leadership training program, which would build on the knowledge and skills participants gained in CSI 101 (as the initial program was renamed). This new program, CSI-201, was designed to focus on how leaders develop and communicate a vision, manage talent, manage key stakeholder involvement, and resolve conflicts. The one-day CSI-201 complemented the original CSI course, and only physician leaders who had completed the initial two-day course were eligible.

To date, the CSI leadership development program has graduated over 400 physician leaders. The small-group learning format allowed for collective experience sharing and honest conversations. What emerged was clear: all physicians faced similar challenges. The opportunity to share in the development of fundamental leadership and management skills that would contribute to their effectiveness and ability to drive clinical outcomes was a valuable investment in both employees and the business itself. That it was grounded in a language that was relatable to their reality was a big bonus.

The knowledge and information gained from these training programs helped SP establish a cohort of physician leaders that was better equipped to lead and manage others. It also attracted new partners and contributed to SP's growth. This training addressed SP's desire to invest in their people to become the unmatched leader in delivering effective health care for patients in the communities they serve.

The Results of Leadership Development Interventions

Most evaluative research on leadership development highlights particular components, such as challenging assignments, coaching, or action learning. For example, managers rotated through a set of challenging assignments achieved higher performance ratings compared to nonrotated managers.⁵³ Similarly, managers participating in action learning projects appreciated the safe environment to try out new skills, transferred their new skills back in their organization, and learned that novel strategies could be achieved while developing leadership skills.⁵⁴ Finally, meta-analyses of rigorously designed coaching studies found that coaching improved self-efficacy, psychological capital, and resilience compared to control groups.⁵⁵ Similarly, a well-designed leadership program evaluation in a global health care organization suggested that coaching prevented a leader's "derailment" as a manager.⁵⁶ These studies suggested that the coachee's readiness for change was a positive contextual factor whereas the format (face-to-face vs. virtual), the number of sessions, and the length of the program had less effect.

12-5 Wellness Interventions

Wellness interventions, and their intended outcomes of reduced stress and increased physical and mental health, are closely related to diversity's interest in equity and inclusion. When people feel included and they are treated fairly, they experience less stress. The interventions are particularly sensitive to the enormous personal and organizational costs of failing to address wellness in the workforce, including burnout, alcohol and drug abuse, and anxiety as well as poor decision making, absenteeism, presenteeism and quiet quitting (two measures of employees who report for work but are unwilling or unable to function fully), and turnover.

12-5a What Are the Implementation Options?

Similar to the other interventions in this chapter, a wellness intervention can have several components that are complemented by the performance management system. We highlight four such components here.

Role Clarification *Work role clarification* is a work design intervention to reduce stress but can also contribute to increased equity and inclusion. A work role is an embedded set of specific expectations in a network of manager, peer, and other member relationships about how tasks should be performed. Work roles can be an important source of member satisfaction, but problems arise when there is *role ambiguity* or *role conflict*. Ambiguity results when organization members do not clearly

understand what others expect of them; role conflict happens when contradictory expectations cannot be satisfied at the same time.⁵⁷

This intervention identifies the relevant stakeholders to a particular work role (e.g., members of a team, a boss and subordinate, or members of other departments) and facilitates a meeting with them. The role holder describes the perceived job duties and responsibilities, and the other participants comment on, agree, or disagree with those perceptions. OD practitioners may act as process consultants to facilitate interaction and reduce defensiveness. When a consensus is reached, the role holder writes a description of the activities that are seen now as constituting the role. A copy of the role description is distributed to all participants to ensure that they fully understand and agree with the role definition, and the participants periodically check to see whether the role is being performed and make modifications, if necessary.

Mindfulness Mindfulness training is one of the fastest-growing wellness interventions. Mindfulness is related to "being"—paying attention to and focusing awareness on one's experience—rather than "doing" or figuring out how to act and respond to events in mostly self-oriented ways.⁵⁸ Mindfulness interventions increase an individual's awareness of thoughts, feelings, and physiological reactions. These practices broadly include focusing attention on a local sensation or action, like breathing or physical movement, and mindfulness programs typically package lectures, practice training, and discussion. Following the training, participants are encouraged to develop a personal routine that applies the practices regularly. Google, Aetna, Mayo Clinic, and the U.S. Army are among the increasing number of organizations engaging in some form of mindfulness intervention.

Health Facilities A growing number of organizations provide access to gyms and other *health facilities* to promote health and cope with stress. Elaborate exercise facilities are maintained by such firms as SAS Institute, Genentech, and Verizon. Employees at many organizations can earn a financial incentive for their involvement in weight management, smoking cessation, and fitness programs. *Health profiling* can be part of the service. It typically involves a questionnaire asking people for their medical history, personal habits, current health indicators, and a physical examination. A health profile compares individual characteristics with those of an average person of the same gender, age, and race/ethnicity and indicates how any health risks can be reduced by making personal and environmental changes, such as dieting, exercising, or traveling.

Employee Assistance Programs Finally, a key component of many wellness interventions is an *employee*

assistance program (EAP). It is a process to help identify, refer, and treat workers whose personal problems affect their performance.⁵⁹ Initially started in the 1940s to combat alcoholism, these programs have expanded to deal with emotional and mental health issues; family, marital, and financial problems; and drug abuse. EAP interventions assume that the organization has no right to interfere in the private lives of its employees but does have a right to impose certain standards of work performance and to establish sanctions when these are not met. Data from the 2021 survey on substance abuse and mental health suggested that nearly half of the U.S. population felt that the COVID-19 pandemic had some negative impact on their emotional or mental health and 14.4% felt quite a bit or a lot of negative impact. Anyone whose work performance is impaired because of a personal problem is eligible for admission into an EAP.

Successful EAPs have been implemented at Kimp-ton Hotels and Restaurants, Telemundo Network, Alcoa, Sprint-Nextel, Wells Fargo Bank, and Johnson & Johnson. Numerous websites, including that of the Employee Assistance Professionals Association (<https://eapassn.org>), share or provide at minimal cost detailed guidelines on establishing an EAP. These steps include developing an appropriate EAP policy, deciding to insource or outsource the program, communicating the program to organization members, and providing training on EAP use.

12-5b The Results of Wellness Interventions

The variety of wellness intervention components make it difficult to provide overall conclusions, but numerous studies do suggest positive results.⁶⁰ For example, early research

on role clarification found that it reduced stress and role ambiguity and increased job satisfaction.⁶¹

Mindfulness and EAP interventions, even independently, have shown positive results. Mindfulness interventions note a wide range of positive outcomes, including sustained task attention and better choices about where to focus attention. Mindfulness also increased cognitive capacity and flexibility and tempered emotional reactions to negative events. Finally, mindfulness has been associated with positive physical benefits, such as reduced stress, better sleep, and changes in the brain (neuroplasticity).⁶² In turn, these individual effects influenced well-being, work performance, citizenship behaviors, and safety outcomes. The authors conclude, given its broad influence over individual behaviors, that mindfulness practices and programs represent a “parsimonious intervention.”

EAP program evaluations have reported consistent reductions in absenteeism and presenteeism, medical costs, and workers’ compensation claims for EAP users compared to non-EAP users.⁶³ These results were not affected by context factors such as country/region, industry, or age/sex of the participant and confirm the value of EAPs to help employees address personal and work-related concerns that are affecting job performance.

Application 12.4 provides additional data regarding the benefit of EAP and wellness-related programs.⁶⁴ Johnson & Johnson’s wellness program is one of the most highly regarded in the world, has been studied extensively, and demonstrates the long-term value of this approach. Given the long history of wellness and health program development at the company, what might they consider as “next steps”?

Application 12.4

Johnson & Johnson’s Health and Wellness Program

Johnson & Johnson (J&J) is one of the most diversified health care corporations in the world. In 2022, it recorded more than \$94 billion in revenue and employed more than 150,000 people at 250 subsidiaries in 60 countries. J&J has a long tradition of decentralized management; an organization design with many business and people advantages, including the development of general managers; faster product development; and a closer connection with the customer. Its philosophy is embodied in a document

called “Our Credo,” a section of which makes a commitment to the welfare of its employees.

J&J’s commitment to health, wellness, and stress management programs began in the early 1970s. Based on a successful pilot project in its Ethicon division, J&J’s leaders decided to implement EAPs throughout the company. The J&J EAPs were in-house treatment programs that offered employees and family members confidential, professional assistance for problems related to alcohol and drug abuse

Johnson & Johnson's Health and Wellness Program, continued

and marital, family, emotional, and mental health difficulties. The major goal was to help members assume responsibility for their own behavior and, if it was destructive to themselves or others, to modify it. Employees could enter an EAP by self-referral or by counseling from their supervisor. The program emphasized the necessity of maintaining complete confidentiality when counseling the employee or family member to protect both the client's dignity and job.

EAP implementation between 1980 and 1985 consisted of contacting divisional and HR leaders and assessing each one's EAP needs. An educational process informed directors, managers, and HR professionals about the EAP process. Then, a formal presentation to the management board of each division was followed by cost estimates for EAP operation and for the employment of an EAP administrator to operate the program in each division. In addition, the corporate director of assistance programs established a quality assurance program to review all EAP activities biennially.

Eventually, more than 90% of all domestic employees had direct access to an EAP, and the remaining employees had telephone access. There were EAPs at all major J&J locations throughout the United States, Puerto Rico, and Canada. Programs also operated in Brazil and England. A study of J&J's EAP in the New Jersey area showed that clients with drug abuse or emotional or mental health problems who availed themselves of EAP services were treated at substantial savings to the company.

The EAP program was ultimately integrated with J&J's *Live for Life* wellness program. Initiated by J&J's board chairman in 1979, wellness became a commitment to provide all employees and their families with the mission of becoming the healthiest employees of any corporation in the world. The program brought together experts in health care education and disease management to create a program to improve the health and productivity of workers. The *Live for Life* program offered classes in nutrition, weight reduction, and smoking cessation. In addition, small gymnasiums with workout equipment, aerobics rooms, and swimming pools were made available. In the late 1980s and 1990s, the combined programs became known as *Live for Life Assistance* programs. Health, safety, benefits, wellness, and EAPs worked together to promote employee well-being in the workplace.

The current J&J wellness program is an outgrowth of those early programs. It has broadened its scope to include disability management, occupational

health, employee assistance, work-life programs, and wellness and fitness programs. It has also undergone several transformations to respond to shifting business requirements and changing employee health needs. For example, over time, the program's focus has shifted its incentives toward risk assessment. In the 1990s, the health and fitness group offered every employee a \$500 health-benefits credit in exchange for completing an annual health risk assessment before enrolling in the plan. Although the company had offered the assessment optionally for years as part of its wellness program, it was not until the incentive was attached that employees flocked to it. Participation in the company's wellness program jumped from 26 to 90%. Early studies conducted at the company showed that even those employees who took the assessment but had no follow-up support through wellness programs showed improvements in their health.

The assessment was just the beginning because the aggregate data helped the health and fitness group choose the right wellness programs for the exact needs of the population. Program developers weren't guessing at employees' health interests or expecting them to know what programs they would benefit from. They used the hard data to guide their wellness program choices.

The initial round of assessments showed that employees had three areas of risk: high cholesterol, high blood pressure, and inactivity. In response, the company offered exercise and counseling programs to help employees reduce cholesterol, blood pressure, and weight. There were also subtle additions to the workplace environment that contributed to a healthy culture, such as nutritious choices in the cafeteria, scales in the bathrooms, and a nonsmoking environment.

Not only did the initial wellness program continue to evolve, J&J used its knowledge to create a new Wellness and Prevention business in 2008. As part of the Consumer business, the new unit sold health and wellness services to other organizations.

More recently, the Global Health Services group responsible for implementing health and wellness at J&J has implemented classes to help employees "identify and prioritize the most meaningful components of their lives." The *Energy for Performance* program tries to help employees develop a sense of resilience. In addition, the group has been incorporating the latest research on behavior change principles, think "nudges," and the use of digital health

Johnson & Johnson's Health and Wellness Program, continued

technologies on individual well-being through mobile device apps in cooperation with leading tech companies.

Johnson & Johnson's *Live for Life* program is one of the most emulated and evaluated programs of its kind. Various evaluations have analyzed J&J program outcomes longitudinally as well as compared it to other programs. The results consistently show that

J&J's annual growth in medical costs is significantly lower than other organizations, that its return-on-investment averages over 200%, and, in line with the mission, that it has the healthiest employees. They are significantly less likely to be at risk for high blood pressure, high cholesterol, poor nutrition, obesity, physical inactivity, and tobacco use.

Summary

This chapter presented three broad HR interventions addressing workforce diversity, development, and wellness. Complemented by performance management systems, these interventions are designed to adapt HR practices to an increasingly diverse workforce in service of equity and inclusion, competence, and health. Age, gender, sexual orientation, race/ethnicity, and disability trends point to a more complex set of HR demands. Within such a context, work design and employee engagement interventions can be adapted to a diverse set of personal preferences, needs, and lifestyles.

Workforce development interventions are intended to improve the organization's ability to leverage and retain a competent and valuable workforce. Career planning can

help people choose jobs, occupations, and organizations at different stages of their careers. Career development helps employees achieve career objectives. Realistic job previews, mentoring, and training processes are relevant to each of the four stages of people's careers. Leadership development is one of the most popular OD interventions today and includes challenging assignments, coaching, and action learning projects. Leadership development interventions build leadership skills, socialize managers in a set of values believed to be important to the success of the organization, and help execute strategic change agendas.

Wellness interventions, including role clarification, mindfulness, and EAPs, contribute to a less stressed and more physically and mentally healthy workforce.

Notes

1. "State Anti-DEI Initiatives Are Gaining Momentum: What Does It Mean for Your Organization?" (Jenner & Black, February 24, 2023), <https://www.jdsupra.com/legalnews/state-anti-dei-initiatives-are-gaining-9819065/>.
2. Q. M. Roberson, "Diversity in the Workplace: A Review, Synthesis, and Future Research Agenda," *Annual Review of Organizational Psychology and Organizational Behavior* 6 (2019): 69–88.
3. For a more extensive glossary of key terms and definitions, see <https://www.samhsa.gov/dtac/disaster-planners/diversity-equity-inclusion/key-dei-terms>.
4. P. Moen, E. Kojola, and K. Schaefer, "Organizational Change Around an Older Workforce," *The Gerontologist* 57 (2017): 847–56, <https://academic.oup.com/gerontologist/article/doi/10.1093/geront/gnw048/2632002/Organizational-Change-Around-an-Older-Workforce>.
5. C. McFadden, "Lesbian, Gay, Bisexual, and Transgender Careers and Human Resource Development: A Systematic Literature Review," *Human Resource Development Review* 14 (2015): 125–62.
6. Human Rights Campaign, "Corporate Equality Index 2022," <http://www.hrc.org/campaigns/corporate-equality-index>.
7. J. E. Beatty, D. C. Baldridge, S. A. Boehm, M. Kulkarni, and A. J. Colella, "On the Treatment of Persons with Disabilities in Organizations: A Review and Research Agenda," *Human Resource Management* 58, no. 2 (2019): 119–37; S. Bonaccio, C. E. Connelly, I. R. Gellatly, A. Jetha, and K. A. Martin Ginis, "The Participation of People with Disabilities in the Workplace Across the Employment Cycle: Employer Concerns and Research Evidence," *Journal of Business and Psychology* 35 (2020): 135–58.
8. H. Aguinis, *Performance Management*, 4th ed. (Chicago Business Press, 2019).
9. A. Isham, S. Mair, and T. Jackson, "Wellbeing and Productivity: A Review of the Literature," Centre for the Understanding

- of Sustainable Prosperity Working Paper Series, No. 22 (University of Surrey, 2020).
10. D. Schedlitzki, M. Larsson, B. Carroll, M. Bligh, and O. Epitropaki, *SAGE Handbook of Leadership* (Sage, 2023); J. Kouzes and B. Posner, *Learning Leadership* (Wiley, 2016).
 11. K. Danna and R. Griffin, "Health and Well-Being in the Workplace: A Review and Synthesis of the Literature," *Journal of Management* 25 (1999): 357–84.
 12. L. E. Sears, Y. Shi, C. R. Coberley, and J. E. Pope, "Overall Well-Being as a Predictor of Health Care, Productivity, and Retention Outcomes in a Large Employer," *Population Health Management* 16 (2013): 397–405; W. M. Gandy, C. Coberley, J. E. Pope, A. Wells, and E. Y. Rula, "Comparing the Contributions of Well-Being and Disease Status to Employee Productivity," *Journal of Occupational and Environmental Medicine* 56 (2014): 252–57.
 13. C. McCauley and C. Palus, "Developing the Theory and Practice of Leadership Development: A Relational View," *Leadership Quarterly* 32 (2021): 101456; J. Brown, D. Ellsworth, A. Katen-Narvell, and D. Maor, "It's (Past) Time to Get Strategic About DEI" (McKinsey & Company, May 2023); M. Barak, *Managing Diversity: Toward a Globally Inclusive Workplace* (Sage, 2022).
 14. L. Zheng, "The Failure of the DEI-Industrial Complex," *Harvard Business Review* (December 1, 2022), <https://hbr.org/2022/12/the-failure-of-the-dei-industrial-complex>; Roberson, "Diversity in the Workplace."
 15. E. Cook, M. Heppner, and K. O'Brien, "Career Development of Women of Color and White Women: Assumptions, Conceptualizations, and Interventions from an Ecological Perspective," *Career Development Quarterly* 50 (2002): 291–305.
 16. R. Ely and D. Thomas, "Getting Serious About Diversity," *Harvard Business Review* 98 (2020): 114–22.
 17. D. Kirkpatrick, "Techniques for Evaluating Training Programs," *Journal of the American Society of Training Directors* 13 (1959): 21–26.
 18. S. Fitzsimmons, M. F. Özbilgin, D. C. Thomas, and S. Nkomo, "Equality, Diversity, and Inclusion in International Business: A Review and Research Agenda," *Journal of International Business Studies* 54 (2023): 1402–22; H. Peretz, A. Levi, and Y. Fried, "Organizational Diversity Programs Across Cultures: Effects on Absenteeism, Turnover, Performance and Innovation," *International Journal of Human Resource Management* 26, no. 6 (2015): 875–903.
 19. F. Miller, M. Biggs, and J. Katz, *Change Champions: A Dialogic Approach to Creating an Inclusive Culture* (BMI Publishing, 2022); F. Miller and J. Katz, *The Inclusion Breakthrough* (Berrett-Koehler, 2002); M. Bell, *Diversity in Organizations*, 4th ed. (Cengage, 2022).
 20. C. Barnes, D. Wagner, K. Schabram, and D. Boncoeur, "Human Sustainability and Work: A Meta-synthesis and New Theoretical Framework," *Journal of Management* 49 (2023): 1965–96.
 21. R. Eisenberger, L. Rhoades Shanock, and X. Wen, "Perceived Organizational Support: Why Caring About Employees Counts," *Annual Review of Organizational Psychology and Organizational Behavior* 7 (2020): 101–24.
 22. J. Singal, "What If Diversity Training Is Doing More Harm Than Good?" *New York Times*, January 17, 2023; Zheng, "The Failure of the DEI-Industrial Complex."
 23. This application was adapted from the following sources: "L'Oréal Dedicated to Diversity," *Global Cosmetic Industry* 173 (February 2005): 80; K. Mark, "L'Oréal S.A.: Rolling Out the Global Diversity Strategy" (Richard Ivey School of Business, 2010), #910C26; H. Hae-Jung and Y. Doz, "L'Oréal Masters Multiculturalism," *Harvard Business Review* (June 2013): 114–19; L. Roderick, "L'Oréal on How the 'Power' Of Diversity Transformed the Brand," *MarketingWeek* (Online Edition), March 1, 2017, <https://www.marketingweek.com/loreal-power-diversity/>.
 24. Roberson, "Diversity in the Workplace."
 25. S. Creary, N. Rothbard, J. Scruggs, "Improving Workplace Culture Through Evidence-Based Diversity, Equity, and Inclusion Practices" (Moh Foundation Applied Insights Lab, Wharton School, University of Pennsylvania, 2021); L. Martins, "Strategic Diversity Leadership: The Role of Senior Leaders in Delivering the Diversity Dividend," *Journal of Management* 46 (2020): 1191–1204; I. Onyeador, S. Hudson, and N. Lewis Jr., "Moving Beyond Implicit Bias Training: Policy Insights for Increasing Organizational Diversity," *Policy Insights from the Behavioral and Brain Sciences* 8, no. 1 (2021): 19–26; P. McKay and D. Avery, "Diversity Climate in Organizations: Current Wisdom and Domains of Uncertainty," in *Research in Personnel and Human Resources Management*, vol. 33, eds. M. Buckley, J. Halbesleben, and A. R. Wheeler (Emerald, 2015): 191–233; M. Attridge, "Workplace Outcomes Suite (WOS) Annual Report 2021: EAP Counseling Use and Outcomes, COVID-19 Pandemic, and Best Practices in Outcome Data Collection" (White paper, Lifeworks, 2022), <https://wellbeing.lifeworks.com/resources/WOS>.
 26. WebMD, "Diversity, Equity, Inclusion & Belonging: Uncovering What Employees are Offered, Want and Need" (February 2, 2023), <https://www.webmd.com/corporate/press/20230201/diversity-equity>; L. Bartels, J. Nadler, K. Kufahl and J. Pyatt, "Fifty Years after the Civil Rights Act: Diversity Management Practices in the Field," *Industrial and Organizational Psychology* 6 (2013): 450–57.
 27. Zheng, "The Failure of the DEI-Industrial Complex."
 28. P. Devine and T. Ash, "Diversity Training Goals, Limitations, and Promise: A Review of the Multidisciplinary Literature," *Annual Review of Psychology* 73 (2022): 403–29; Singal, "What If Diversity Training Is Doing More Harm Than Good?"; K. De Meuse, T. Hostager, and K. O'Neill, "A Longitudinal Evaluation of Senior Managers' Perceptions and Attitudes of a Workplace Diversity Training Program," *Human Resource Planning* 30 (2007): 38–47.
 29. "Gartner HR survey identifies top five challenges facing DEI leaders" (Gartner, January 25, 2023), <https://www.gartner.com/en/newsroom/press-releases/1-24-2023-gartner-hr-survey-identifies-top-five-challenges-facing-dei-leaders>.

30. Fitzsimmons et al., "Equality, Diversity, and Inclusion in International Business"; Roberson, "Diversity in the Workplace"; WebMD, "Diversity, Equity, Inclusion & Belonging."
31. J. Werner, *Human Resource Development: Talent Development* (Cengage, 2022); Schedlitzki et al., *SAGE Handbook of Leadership*; McCauley and Palus, "Developing the Theory and Practice of Leadership Development."
32. W. Bennis, K. Benne, and R. Chin, *The Planning of Change*, 3rd ed. (Holt, Rinehart & Winston, 1976).
33. Association for Talent Development, "2022 State of the Industry," (December 2022), <https://www.td.org/state-of-the-industry/2022-state-of-the-industry>.
34. S. Valentine, P. Meglich, R. Mathis, and J. Jackson, *Human Resource Management*, 17th ed. (Cengage, 2023).
35. D. Kost, C. Fieseler and S. Wong, "Boundaryless Careers in the Gig Economy: An Oxymoron?" *Human Resource Management Journal* 30 (2020): 100–13; K. Sehgal, "Why You Should Have (at Least) Two Careers," *Harvard Business Review* (April 2017).
36. G. N. Spencer, *Career Development Interventions* (Prentice Hall, 2021).
37. M. Kleinmann and P. V. Ingold, "Toward a Better Understanding of Assessment Centers: A Conceptual Review." *Annual Review of Organizational Psychology and Organizational Behavior* 6 (2019): 349–72; G. C. Thornton III, D. E. Rupp, and B. J. Hoffman, *Assessment Center Perspectives for Talent Management Strategies* (Routledge, 2014).
38. A. Church and M. Herena, "The PepsiCo HR Career Framework," *OD Practitioner* 35 (2003): 27–33.
39. S. Bagdadli and M. Gianecchini, "Organizational Career Management Practices and Objective Career Success: A Systematic Review and Framework," *Human Resource Management Review* 29 (2019): 353–70.
40. D. Earnest, D. Allen and R. Landis, "Mechanisms Linking Realistic Job Previews with Turnover: A Meta-analytic Path Analysis," *Personnel Psychology* 64 (2011): 865–97.
41. C. Blair, B. Hoffman, and R. Ladd, "Assessment Centers vs Situational Judgment Tests: Longitudinal Predictors of Success," *Leadership and Organization Development Journal* 37 (2016): 899–911; R. Jones and M. Whitmore, "Evaluating Developmental Assessment Centers as Interventions," *Personnel Psychology* 48 (1995): 377–88.
42. K. Kraider and J. K. Ford, "The Science of Workplace Instruction: Learning and Development Applied to Work," *Annual Review of Organizational Psychology and Organizational Behavior* 8 (2021): 45–72.
43. L. Eby and M. Roberson, "The Psychology of Workplace Mentoring Relationships," *Annual Review of Organizational Psychology and Organizational Behavior* 7 (2020): 75–100.
44. A. Yemiscigil, D. Born, and H. Ling, "What Makes Leadership Development Programs Succeed?" *Harvard Business Review* (February 28, 2023), <https://hbr.org/2023/02/what-makes-leadership-development-programs-succeed>.
45. D. V. Day, R. E. Riggio, S. J. Tan, and J. A. Conger, "Advancing the Science of 21st-Century Leadership Development: Theory, Research, and Practice," *Leadership Quarterly* 32, no. 5 (2021): 101557; J. Conger and B. Benjamin, *Building Leaders: How Successful Companies Develop the Next Generation* (Jossey-Bass, 1999).
46. Association of Training and Development. "2020 State of the Industry."
47. T. Eriksson and J. Ortega, "The Adoption of Job Rotation: Testing the Theories," *ILR Review* 59 (2006): 653–66.
48. J. Conger and A. Church, *The High Potential's Advantage* (Harvard Business Review Press, 2018).
49. A. Nicolou, O. Candel, T. Constantin, and A. Kleingeld, "The Effects of Executive Coaching on Behaviors, Attitudes, and Personal Characteristics: A Meta-analysis of Randomized Control Trial Studies," *Frontiers in Psychology* 14 (2023): 1089797.
50. J. Gephardt, "From Therapist to Executive Coach," in *Consultation for Organizational Change*, vol. 1, eds. A. Buono and D. Jamieson (Information Age, 2010): 155–80; V. Hart, J. Blattner, and S. Leipsic, "Coaching versus Therapy: A Perspective," *Consulting Psychology Journal* 53 (2001): 229–37.
51. M. Volz-Peacock, B. Carson, and M. Marquardt, "Action Learning and Leadership Development," *Advances in Developing Human Resources* 18 (2016): 318–33; L. H. Skipton and F. Lang, "Leadership Development via Action Learning," *Advances in Developing Human Resources* 12 (2010): 225–40.
52. This application was written by Cathy Mobley, Addam Marcotte, Jennifer Perry, and Steve Cokkinias from FMGLeading, the OD consulting firm who worked with Sound Physicians. Their contribution and support is gratefully acknowledged.
53. P. Kampkötter, C. Harbring, and D. Sliwka, "Job Rotation and Employee Performance—Evidence from a Longitudinal Study in the Financial Services Industry," *International Journal of Human Resource Management* 29, no. 10 (2018): 1709–35.
54. Volz-Peacock, Carson, and Marquardt, "Action Learning and Leadership Development."
55. Nicolou et al., "The Effects of Executive Coaching on Behaviors, Attitudes, and Personal Characteristics"; A. Grant, L. Curayne, and G. Burton, "Executive Coaching Enhances Goal Attainment, Resilience and Workplace Well-Being: A Randomised Controlled Study," *Journal of Positive Psychology* 4, no. 5 (2009): 296–407.
56. E. De Haan, D. Gray, and S. Bonneywell, "Executive Coaching Outcomes in a Field Setting: A Near-Randomized Controlled Trial Study in a Global Healthcare Corporation," *Academy of Management Learning and Education* 16 (2019): 581–605.
57. J. Bauer and P. Simmons, "Role Ambiguity: A Review and Integration of the Literature," *Journal of Modern Business* 3 (2000): 41–47; C. Cooper and R. Payne, *Stress at Work* (Wiley, 1978).
58. K. Brown, R. Ryan, and J. Creswell, "Mindfulness: Theoretical Foundations and Evidence for Its Salutary Effects," *Psychological Inquiry* 18 (2007): 211–37; D. Good, C. Lyddy, T. Glomb, J. Bono, K. Brown, M. Duffy, R. Baer, J. Brewer, and S. Lazar, "Contemplating Mindfulness at Work: An Integrative Review," *Journal of Management* 42 (2016): 114–42.

59. Valentine et al., *Human Resource Management*.
60. S. Sonnentag, L. Tay, and H. Shoshan, "A Review on Health and Well-Being at Work: More Than Stressors and Strains," *Personnel Psychology* 76 (2023): 473–510; Isham, Mair, and Jackson, "Wellbeing and Productivity"; K. Nielsen, M. Nielsen, C. Ogbonnaya, M. Käsälä, E. Saari, and K. Isaksson, "Workplace Resources To Improve Both Employee Well-Being and Performance: A Systematic Review and Meta-analysis," *Work and Stress* 31, no. 2 (2017): 101–20; R. Z. Goetzel et al., "Do Workplace Health Promotion (Wellness) Programs Work?" *Journal of Occupational and Environmental Medicine* 56 (2014): 927–34.
61. E. Huse and C. Barebo, "Beyond the T-Group: Increasing Organizational Effectiveness," *California Management Review* 23 (1980): 104–17.
62. Good et al., "Contemplating Mindfulness at Work"; K. Johnson, S. Park, and S. Chaudhuri, "Mindfulness Training in the Workplace: Exploring Its Scope and Outcomes," *European Journal of Training and Development* 44 (2020): 341–54; N. Caporale-Berkowitz, B. Boyer, C. Lyddy, D. Good, A. Rochlen, and M. Parent, "Search Inside yourself: Investigating the effects of a widely adopting mindfulness-at-work development program," *International Journal of Workplace Health Management* 14(2021): 593–604.
63. B. D. Eischen, J. Grossmeier, and D. B. Gold, "Chapter 14: Fairview Alive—An Integrated Strategy for Enhancing the Health and Well-Being of Employees," *Journal of Workplace Behavioral Health* 20, no. 3–4 (2005): 263–79; M. Richmond, F. Pampel, R. Wood, and A. Nunes, "The Impact of Employee Assistance Services on Workplace Outcomes: Results of a Prospective, Quasi-Experimental Study," *Journal of Occupational Health Psychology*, 22 (2017): 170–79.
64. Adapted from T. Desmond, "An Internal Broadbrush Program: J & J's Live for Life Assistance Program," in *The EAP Solution*, ed. J. Spicer (Hazelden, 1987): 148–56; L. Paetsch, "Wellness Program Saves Johnson and Johnson \$8.5 Million in Health Care Costs," *Employee Benefit Plan Review* 56 (2002): 31–32; R. Henke, R. Goetzel, J. McHugh, and F. Isaac, "Recent Experience in Health Promotion at Johnson & Johnson: Lower Health Spending, Strong Return on Investment," *Health Affairs* 30 (2011): 490–99; F. Isaac, "A Role for Private Industry: Comments on the Johnson & Johnson's Wellness Program," *American Journal of Preventative Medicine* 44 (2013): S30–S33; J. Quelch and C. Knoop, "Johnson & Johnson: The Promotion of Wellness" (Harvard T.H. Chan School of Public Health, 2014), Case No. 9-514-112; the company's website is <http://www.jnj.com>.

Selected Cases

Designing and Implementing A Reward System at Disk Drives, Inc.*

Disk Drives, Inc. (DDI) is a specialty electronics firm that designs, markets, and distributes disk drives for the computer industry. DDI began in 1980 by manufacturing and marketing large-format disk drives for minicomputer firms, such as Digital Equipment Corporation (DEC) and Data General, as well as for complex, large-scale word-processing systems offered by Xerox and Wang. DDI's first products were quite successful and the company grew to revenues of \$119 million by 1985. A strategic decision to integrate different technologies inside the disk drive for a different type of customer resulted in a newer and smaller product line with lower costs and lower prices. Unfortunately, DDI was late to market and its products did not have the performance features these customers wanted or needed. Thus, despite the new customers and higher product volumes, sales and profits plummeted as its original products faded and its new products faltered.

One of DDI's subsidiaries, however, was designing and selling different and even smaller disk drives to personal computer original equipment manufacturers (OEMs). Following a different business model, they had outsourced their manufacturing capacity to a Japanese plant. The subsidiary—over the 1985–1989 time frame—saved DDI from failure. By 1988, DDI announced it would stop developing and manufacturing all of its larger disk drives and focus on the smaller ones for PCs. It also phased out its domestic manufacturing operations and began sourcing its drives exclusively from the Japanese plant. Whereas two-thirds of DDI's 1988 revenues had come from large drives manufactured domestically, by the end of 1989, 100 percent of its revenues were from the small drives manufactured in Japan. The question facing DDI management was how to maintain the momentum. It required a careful look at the existing organization and determining its fitness for the future.

The head of HR at DDI, who was quite knowledgeable in organization change and development, convinced the executive team to go through

a systematic process of diagnosing the organization's current operating model and redesigning the company to handle the projected growth and the increased complexity it was facing.

The Current DDI Organization

At the macro level, competition in the disk drive market was characterized by fast-paced technology change and product evolution as well as a number of equally sized competitors. First, customers—the OEM manufacturers of PCs, such as IBM, Dell, Toshiba, and HP—were not only designing newer, faster, and more sophisticated computers, they were demanding and expecting newer, faster, and more sophisticated disk drives. Although management was confident in the firm's technical ability to offer the best price/performance products in the industry, they realized that the period during which a new DDI drive could retain a performance edge before being leapfrogged by a competitor was getting shorter and shorter. Second, when an OEM announced a new computer model, all of the disk drive manufacturers competed aggressively to get the business. The disk drive firms had a limited amount of time—usually less than a few months—to make their bid, and it was often based on yet untried technological capabilities. Moreover, the sales process had a “gold rush” or “winner take all” feel. If a disk drive manufacturer could win a contract with an OEM manufacturer, it usually meant that a *whole line* of disk drives, including follow-on models, would be part of the deal. As a result, quality, speed of customer response, and cost were increasingly important dimensions to be managed. Quality was necessary to win the confidence of the OEMs and increase the chances of winning follow-on business, speed of response was necessary given the narrow time frame, and cost vigilance was necessary to produce a profit.

In this environment, the company was clear about the processes for adding value (Figure 1). The key work processes included:

1. Working with appropriate technical support, it was important to bid and win on new accounts. A Request for Proposal (RFP) provided by the OEM detailed the technical specifications for the disk drive in its new computer model.

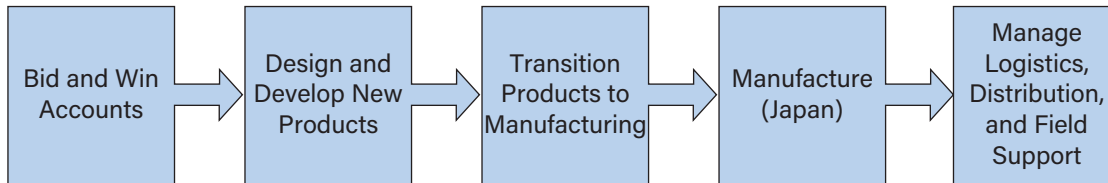
*This case was derived and adapted from materials found in C. Christensen, “Quantum Corporation—Business and Product Teams,” *Harvard Business School Case 9-692-023* (Boston: Harvard Business School, 1992); S. Mohrman, “Computer Components,” Center for Effective Organizations (Los Angeles: University of Southern California, 2012).

Selected Cases

Designing and Implementing A Reward System at Disk Drives, Inc., continued

Figure 1

The DDI Value Chain



2. The disk drive was then designed to fit the technical specifications and to meet quality and cost targets.
3. The resulting design was then prepared for transfer to the manufacturing facility.
4. The drive was manufactured in Japan.
5. The drive was then released to the OEM to be incorporated into the computer, and support issues were handled.

DDI was growing fast and new models were being continually released that embodied technology advances, new capabilities, and enhanced designs. The life cycle for a disk drive (once a contract was signed with the OEM) was about six to eight months for development, first-run production, and field distribution and service. Even including a second release (follow-on) product, the entire life cycle for the model was generally about 12 to 16 months. The company was handling about five to six disk drive designs at any particular time and that number was expected to increase significantly.

As described above, DDI had signed a longterm, exclusive contract to outsource manufacturing to a Japanese company that promised, in turn, to continually retool and upgrade its manufacturing capabilities as DDI grew. To manage this process, DDI had experienced manufacturing engineers, quality assurance, process optimization, and distribution staff to plan the movement of the disks into the contracted factory and to manage its introduction into the field.

In line with this functional structure and work process, the organization was governed by the executive committee, composed of the CEO and trusted

colleagues who had “grown up” together in the industry. Each took responsibility for certain functional tasks (Figure 2). Each hired people to carry out the functions they managed as the company achieved success and grew rapidly.

The executive team was also responsible for the planning, coordination, and integration of the activities of marketing and sales, technical development, and managing operations and field distribution and support. That is, decision making, goal setting, and strategic direction were centralized to this group. Similarly, the organization’s performance management system was centralized and traditional. Managers and functional employees were given overall company targets for revenue and each function was expected to translate those goals into specific objectives for their group. Functional supervisors gave annual performance appraisals that provided the basis for merit pay increases. In addition, all DDI employees were eligible for a profit sharing bonus that had been running at about 5 percent of salary. Executives were eligible for stock options as well.

Engaging in a Redesign of DDI

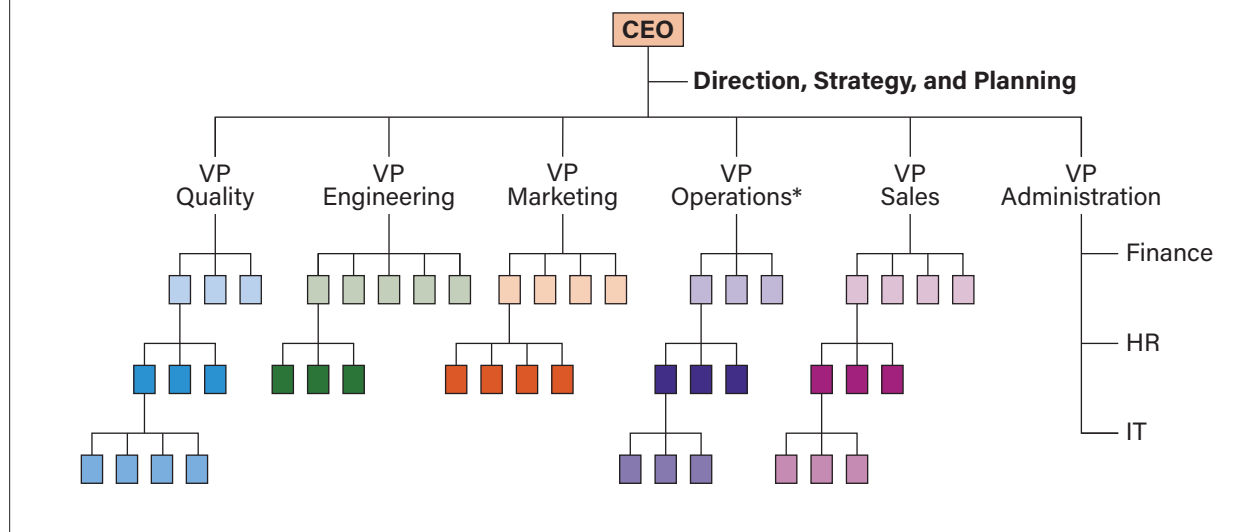
Although happy with the recent success of the company, the executive team realized that it could not continue to grow and be successful as it was currently designed. It was not effectively coordinating the complexity that came with rapid growth, and it was having trouble keeping up with demand. It had experienced several delays and quality incidents, including one major field warranty problem due to a disk drive failure. The executive team was highly involved in ongoing operational issues, and the CEO

Selected Cases

Designing and Implementing A Reward System at Disk Drives, Inc., continued

Figure 2

DDI's Functional Organization



was concerned that they did not have time to attend to the strategic decisions required in the rapidly developing computer industry. He also believed that the executive team had become a bottleneck and was slowing product decision making. The CEO recalled being in an executive committee meeting and asking about why a particular product had not yet shipped to the customer. After collecting a variety of data and information about component inventories, capacity planning, forecasts, and other details, he realized that management—in particular, the executive committee—was part of the problem. “We were trying to manage details we weren’t knowledgeable about. We had a bandwidth problem—the executive staff just didn’t have enough time or brain capacity to keep making all the key decisions.”

The executive team decided that they needed to assume a more strategic role in the organization and decentralize cross-functional integration and operational decision making about new product development, manufacturing, and field support. Although they wanted insight into product development progress and milestone achievement, they also understood that to decentralize this integration and decision making, they needed to be clear about the

roles, responsibilities, and accountabilities for success. They believed such a change would create and build a cadre of future leaders for the organization.

Based on the diagnostic data and the executive team’s requirements, the head of HR led the team through a systematic redesign of the organization.

Commitment to Strategic Direction

The executive team first recommitted itself to the basic strategy of rapidly advancing the technology through aggressively bidding on and delivering disk drives to computers that required increasing operating speed, flawless quality, and continual new functionalities.

Structure Modification

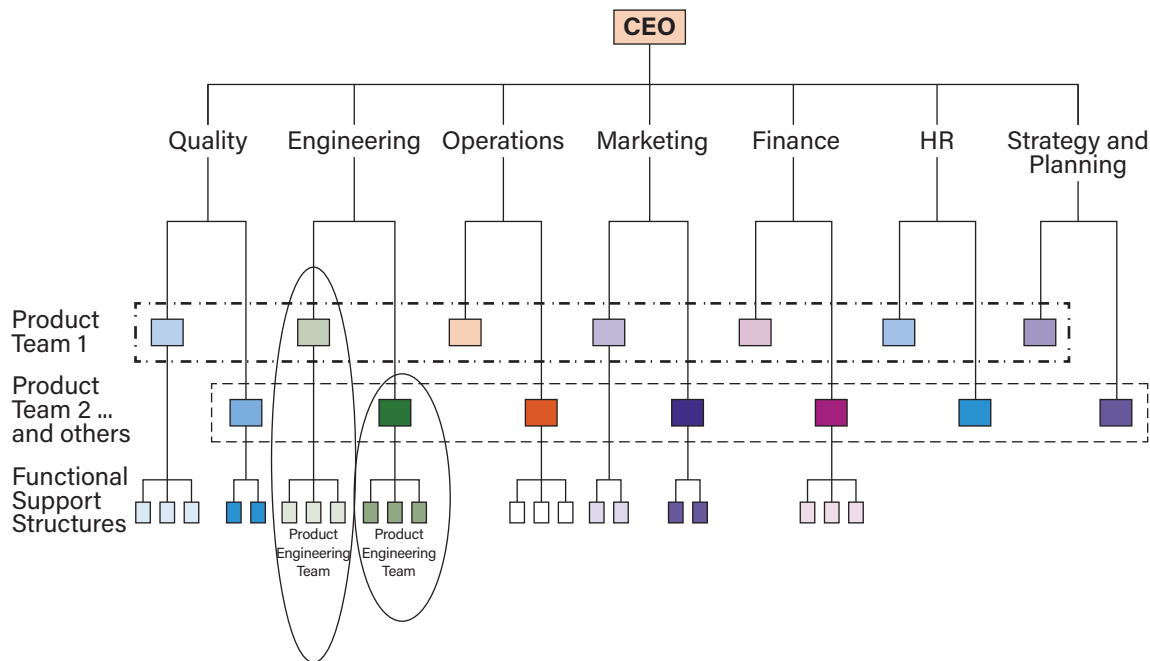
The executive team believed that the existing functional structure provided important advantages. There was a clear focus on technical excellence and clear technical career paths. However, to achieve the cross-functional integration and speed objectives and to begin building leadership skills, they decided to implement cross-functional product teams as a lateral structure to coordinate the development of each disk drive. Functions would remain the core units of

Selected Cases

Designing and Implementing A Reward System at Disk Drives, Inc., continued

Figure 3

The Proposed Product Team Structure



the company, but the management of each disk drive model would be carried out by a team, established as soon as a contract was signed, to manage the product over its life cycle (see the dotted horizontal lines in Figure 3).

The members of each product team would be functional managers at the director or senior manager level—moving the operational crossfunctional coordination and management lower in the organization and freeing up the executive team to concentrate on more strategic issues.

The teams were to consist of seven members, one from each function (although there was no member from the sales organization). They were to be *collectively* responsible for the general management of their product and not just represent their functional point of view. In general, the engineering team member was to be the leader during the initial phases of the program, but as the product approached commercial launch, the marketing member would assume

more leadership responsibilities. The engineering team member would also lead a dedicated group of engineers assigned to develop the drive and to work through any product design problems encountered during manufacturing and in the field (see the solid vertical lines in Figure 3). The engineering member was the only person with a functional group dedicated to the product; all other functions would allocate personnel to a product team based on the project's stage of development and need. Each team member would continue to have management responsibilities within their function. In other words, working on a team was considered an "overload" responsibility in addition to their regular functional responsibilities.

Management Processes

The executive team was careful to delineate which issues were the responsibility of the product teams, the functional organizations, and the executive staff. The product team would be empowered to make all

Selected Cases

Designing and Implementing A Reward System at Disk Drives, Inc., continued

Table 1 Product Team and Functional Organization Responsibilities

Product Team Mission: To work in a coordinated way to address market needs	Functional Organization Mission: To ensure high quality technical support services
Define, develop, and introduce new products	Provide career path and skill development
Manage cycle time, cost, and quality objectives	Support team projects and provide specialized services
Manage the inventories required to support revenues	Allocate engineering and manufacturing personnel to product team projects
Manage product revenues and gross margins	Execute plans and staffing programs initiated by product teams

decisions relating to developing and bringing a specific product into the field—and it would be incented to bring the product to market on time, within cost, and with high levels of quality and customer satisfaction. Teams were responsible for the revenues and gross margins generated by the product and for the inventories required to support the revenues. The product teams were responsible for achieving faster and faster development cycle times. Each product team was given clearly defined milestones that were derived from the contract, including cost, quality, and profitability targets.

Functional groups, on the other hand, were charged with managing ongoing functional activities and expenses, providing effective career paths and skill-building programs, executing the plans, and staffing the programs initiated by the product teams. For example, the engineering organization was responsible for maintaining DDIs overall technical edge, dedicating a group of engineers to a specific product, and defining professional development. In addition, each function was divided into discipline groups that carried out specialty tasks. For example, the quality function had a group that specialized in design quality, prototype testing, and manufacturing quality specifications and monitoring (the latter working closely with the contract manufacturing facility). The responsibilities of the product teams and the functional organizations are summarized in Table 1.

Finally, the executive team controlled milestone reviews for each product, including prototype design

completion, design completion/release to manufacturing, release to customer, and the threeweek release to field.

Performance Management

The executive team next considered the question of performance management and incentives.

Questions

1. Does DDI need a new performance system to account for the structural and management process changes they are contemplating? Why or why not?
2. Assuming a modification to the performance management system is necessary, describe the features of a system you would recommend. What changes need to be made in the goal setting, feedback/appraisal, and reward systems at DDI? Be specific about the features of the system(s) you believe need to be changed and the characteristics of the system itself. That is, do not describe the process for designing the system (see Question 3) but focus on the characteristics of the reward system that are required to fit or align with the strategy, structure, and management processes.
3. Describe the change management process you would use to design and implement the new system. What roles and responsibilities should the executive team take on? How fast should the system be implemented?

Selected Cases

Coaching and Change at the Southwestern Free Clinic*

Sitting back in her chair, Leeza Smithton, Executive Director (ED) of the Southwestern Free Clinic (SWFC), had just concluded another board-mandated coaching session. Reflecting on the past few months, Smithton felt angry and frustrated that the board had questioned her leadership in the first place and even more frustrated that she had been directed to meet with a consultant to “discuss issues.” A tall Anglo in her early 40’s, Smithton was an attractive, East-coast native. She portrayed a picture of perfection, including a preference for designer dresses, well-coiffed hair, and manicured fingernails. She wondered if now was the right time to move on.

Smithton’s angst was matched by the board’s anguish and the staff’s frustration. Over the past several quarters, interactions between Smithton and SWFC’s board of directors had become strained. Just weeks before the ordered coaching sessions began, a ranking board member had invited his friend, a university faculty member and OD practitioner, to join SWFC’s monthly board meeting. The invitation was extended to “provide input on several issues of concern.” After the business meeting concluded, the board excused Smithton and her senior leadership from the meeting, an uncharacteristic event.

Turning to the consultant, the board member asked several questions: “What is your opinion on Ms. Smithton’s attitude?” “What is your assessment of the executive leaders’ one-hour presentation on the current state-of-the-clinic?” and “What are your thoughts on her dismissal of critical data points—it seems that should have been a loud bell?” For him, Smithton’s disavowal of low employee morale, as evidenced by a high turnover, was striking.

The board member’s questions startled the consultant. She had agreed to attend the meeting as a favor to her friend and the possibility that there might be some OD work for PhD students wanting some “hands on” experience in an organizational change and development initiative. She responded, “I’m afraid answers to those questions will have to wait until I

get a clearer understanding of your organization. If you think turnover is high, then that might be a good place to begin our work together. Any other answer would be horribly unethical, not to mention, probably inaccurate, at this point.”

The Southwestern Free Clinic

The SFWC free clinic provided free- to low-cost medical/health-care to low income and uninsured community residents (e.g., the indigent, homeless, and those falling into very low socio-economic categories). Financial support came through minimal patient fees offered on a sliding scale, ability to pay system and some grant funds. The bulk of the monies were from in-kind donations and wealthy residents. Most patients were Latino/Hispanic immigrants from Mexico and Central America, and a small percentage of African Americans. Although the medical staff’s ethnic/race profiles reflected the patient population, the executives were primarily non-Hispanic and white and mimicked both the board of directors and the donor populations.

The clinic’s organization design was highly mechanistic. As part of the healthcare system, its services and processes were tightly controlled. Clinic personnel, including nurses and support staff, had detailed job descriptions and task responsibilities, and leadership and direction were exercised in a top-down, chain-of-command and control fashion. The executive team referred to subordinates as “they” and believed that “their” productivity and effectiveness was best achieved through consistency and uniformity.

On the other hand, there were also several organic features. Communication among staff members was informal and effective, decision-making in clinic operations was local, and the organization’s internal environment, as “lived” by the non-executive staff, was collegial and friendly. The staff saw the clinic as a family, existing for the sole purpose of providing services to the local community or, in many cases, the staff’s neighbors. The highly committed staff enjoyed chatting, “hanging out,” lunching together, and working as a collaborative team to get the job done.

Similarly, the support staff, including clerks and non-medical personnel, mirrored that of community residents, including ethnicity, national origin, and

*This case was written and submitted by Judith Ann Gebhardt, LMFT, PhD, EMCC Senior Practitioner, St. Louis University, Department of Management, St. Louis, MO, USA

Selected Cases

Coaching and Change at the Southwestern Free Clinic, continued

socioeconomic status. Hispanic/Latino employees spoke Spanish as a first language with their English capabilities falling into the very good to adequate range. Considered semi-skilled, they earned just a little above minimum wage (approximately \$9/hour). The trained medical staff, including nursing aids, LPNs, and RNs, were compensated at a higher rate, comparatively speaking, but made significantly less than current market rate for private practice and hospital personnel. In comparison, both of these primarily female groups made significantly less than Smithton's annual salary of \$175,000, a little above market rate for other non-profit EDs. In addition to the paid personnel, most of the physicians were volunteers, committing one day each week to the clinic, donating their time and expertise. Several physicians had been with the clinic 20 years while a handful of doctors had been with the clinic less than 5 years. Some nurses and specialists were also volunteers.

Over the past several years, clinic turnover had hovered between 35 and 50 percent per year. Several comments from the staff included:

- Yeah, we're a revolving door here—management doesn't get it. We work hard, very hard, but they don't care.
- All they want is more, more, more. All they do is sit in their ivory tower and pick on us—never a kind word. They never come down to the clinic floors—they just send messages about what we're not doing.
- They just see us as a bunch of inner city minorities. They just don't appreciate us. And the pay—well, minimum wage. All we want is a little pat on the back and "thank you."

Initiating An Od Project

The board member apologized for "putting the consultant on the spot" and asking questions she couldn't possibly answer. However, given the ED's presentation and the board's concerns regarding leadership and the organization's climate, he believed that additional insights and recommendations on "where to go from here" were badly needed. The other board members quickly nodded their agreement. More specifically, they wanted more "data points" but given they were a free clinic, they had limited funds. The consultant recommended an action research approach

under a pro-bono arrangement. She explained the action research process and proposed that a team comprised of the consultant and several organizational psychology PhD students could work with the organization to assess and address its effectiveness and overall health.

The board members asked a few questions and ultimately agreed that it made sense to understand the full extent of the system's health, but they also asked if the consultant would engage directly with the ED and work with her on issues of leadership style.

Consultant Reflection: At this point, I was thinking that the board would be the primary client and that Smithton might become a coachee. But the energy and emotion behind their request for coaching was worrisome. The board's mandate of the coaching engagement appeared to be a "get coached or get out" ultimatum. I was pretty sure that an "obligated" client was less likely to buy into the coaching process and be an active participant in making any personal change.

That said, I did have a strong reaction to Ms. Smithton's behavior during the board meeting. To me, she came across as arrogant and abrasive. I also found it hard to dismiss the turnover data although I knew that the nursing staff had lots of options in terms of alternative places to work. So, at this point, I just didn't know whether the turnover might be high or low, a response to Smithton's leadership, or some other factor.

Over the next four weeks, the consultant spoke with several members of the board and with Smithton to frame two different contracts.

1. The first contract covered activities related to an action research project at SWFC. The intent was to explore the organization's health and develop a more complete picture of the clinic's actual issues and problems which might merit attention and change. The hope was that additional data points would offer insights into the causes of any problems.

Selected Cases

Coaching and Change at the Southwestern Free Clinic, continued

2. A second contract established a coaching relationship between Smithton and the consultant. The primary objective of these coaching sessions would be to become a more successful leader. This would be measured in terms of improved relations with her subordinates and the board and the creation of a healthier culture.

Early Executive Coaching Activities

Following the initial contracting conversations with the board, Smithton ultimately agreed with its demand for a coaching intervention. A phone call from the board member to the consultant followed, and she was informed that Smithton would contact her to formally begin the coaching process.

At the first face-to-face coaching session, the consultant followed the usual process of contracting and discussing the coaching cycle. There was a brief conversation about ethical codes and standards, on the parameters of confidentiality, on each party's commitment, and on the specifics relative to scheduling, assessment, goal setting, and wrapping up the coaching relationship. For example, Smithton needed to know that the consultant had made it clear to the board that they would not receive any feedback about the coaching process and that they should view any behavior-related change in a positive direction to be indicative of coaching progress. Smithton and the consultant also talked about why she thought the board was so insistent on the coaching. What did she think was the problem and what did she think could be done about it? Smithton actively, but reluctantly, participated in the conversation and was clearly irritated with the board's "improve or we'll terminate you" implications. The consultant asked Smithton to spend the next two weeks reflecting on the conversation and deciding on the objectives of the process going forward.

In the second session, Smithton and the consultant continued to talk about the board's mandate for coaching. She seemed to have put thought into the coaching engagement, even identifying two relevant goals: To improve relationships with the board and to be a better leader. She also agreed to complete emotional intelligence and leadership assessments. But Smithton appeared to be "keeping up appearances," such as starting on time and respectfully answering open-ended questions.

Consultant Reflection: I knew this was going to be a rough meeting. It's the difference between "I'm going along with this BS coaching thing to *keep* my job" versus "I'm looking forward to developing and improving myself—and maybe get promoted." As a professional I do not change my approach based on a client. I follow the ethical guidelines, try to use myself as an instrument of change, and work in an open, honest, and transparent way.

At our first session, I needed to acknowledge the circumstances of the coaching engagement. Therefore, I thought it best to begin with an inquiry relative to the board mandate and begin with her relationship with the board. I also wanted to watch Smithton's initial verbal and non-verbal reactions as a baseline for behavior change as well as whether or not I would continue with the coaching engagement. And, if we were to go forward, this might give me ideas for future coaching interventions/possibilities.

I also wanted to think ahead. I like using a 360-feedback tool that allows peers, superiors, and subordinates to provide insights for the client. However, under the circumstances, this might be redundant as the action research agenda included an all-employee survey (discussed below) with questions on executive leadership. But an "off-the-shelf" emotional intelligence (EQ) and leadership assessment might provide tangible and baseline information.

Consultant Reflection: That little voice in my head says there is a lot more going on here than I can see. But at this point, and with the two goals, all I can really do is continue to ask open-ended or leading questions and listen to her verbal and non-verbal responses. I hope some trust is being developed but for now, we're just going through the motions

Selected Cases

Coaching and Change at the Southwestern Free Clinic, continued

Early Action Research Activities

The initial steps of the action research process included qualitative interviews and focus groups. Employees were selected for individual interviews by the board, and they tried to select a sample that represented different levels, functions, and titles. Identified individuals were sent a personal e-mail from the board that included an attached letter describing the project, its rationale, and the plan.

The focus groups emerged from an open invitation extended by the consulting group, on behalf of the board, to all clinic employees. They were invited to participate in "small groups" to better understand SWFC. The meeting times were scheduled in advance so that participants could select the date and time that best fit their individual routines. Dyads from the consulting team met with six focus groups comprised of 8–10 staff during April and May. Sessions were scheduled for 90 minutes, with some lasting more than two hours. One doctoral student asked questions while a second doctoral student functioned as the "scribe," documenting all responses.

To secure open and honest communication, and because the project was part of a research process, all participants signed confidentiality agreements. Permission was also requested to tape record the sessions.

Eight open-ended questions were developed for the interviews and focus group meetings. All individuals and groups sessions were specifically asked the first three questions and followed up with the subsequent questions unless the content had already been offered in with the initial questions. More specifically:

1. What are the strengths of SWFC?
2. What are the weaknesses of SWFC?
3. What would you like to see changed?
4. Tell me about the leaders and leadership of SWFC?
5. What would make your job easier?
6. What makes your job more challenging/difficult?
7. Tell me about the communication at SWFC?
8. Anything else?

Information collected from the individual interviews was strikingly similar to the focus groups. Once the analysis was complete, 11 categories ultimately emerged related to work conditions, orientation and training, communications, the job itself, rewards and

recognition, relationships within my work unit, relationships outside my work unit, supervision, executive management, organization culture, and overall assessments of effectiveness. These eleven categories were used to develop specific questions for an Organizational Health Survey (OHS).

Doctoral Student Reflection: We are glad that we had a faculty advisor who has done this before. Actually, the overall process is pretty straight forward but as they say, "the devil is in the details." We're also glad we tape recorded the focus group sessions, used pairs to ask questions and scribe answers, and had well-developed questions. Using bullet points to capture the comments was helpful since there was a lot of information being shared. And the first three questions usually covered the content that would have come from asking questions 4-7. And, the staff loved to talk—they feel that we are listening and will be able to make the changes they so desperately want. This actually feels a little funny. It's like they think we have some kind of magic powers. Without doubt, the clinic staff are passionate about what they do and they are angry the leadership behaves in ways that are mean and alienating.

Breakthrough in the Coaching Process

The next several coaching sessions, scheduled every two weeks because Smithton "was so busy," focused on the board's mandate, Smithton's relationship with the board, initial impressions from the focus group meetings, and the upcoming survey. For example, using some of the results from the focus group data—that many people were frustrated with leadership behavior—the consultant developed open-ended questions that guided Smithton to see the consequences of her different behaviors. "You seem convinced that the staff is just complaining. Do you think there is any other explanation?" As the consultant highlighted the conflict between Smithton's self-selected goal of "being a better leader" with her actions—does a good leader dismiss the feedback from her people?—she began to consider new behaviors. Over the next several meetings, Smithton

Selected Cases

Coaching and Change at the Southwestern Free Clinic, continued

identified actions that responded to the sentiments of the focus group's opinions and observations. For example, she acknowledged that not spending time on the clinic floor could be perceived as "not caring" or "being aloof."

But during this same time period, the doctoral students reported that Smithton continued to demonstrate questionable behavior. She stayed in her office, yelled at executive staff, and refused phone calls from the board. At one of the coaching sessions she stated, "I don't want the focus groups and the intervention to continue, but my hands are tied."

After several sessions and several intense confrontations, the consultant began forming a view of Smithton's behaviors. Smithton was, in fact, very angry at the world and herself. The mandated coaching sessions brought these feelings to a head. On the one hand, she had a strong commitment to inner city clients desperately in need of medical care. She wanted to keep the control she had so she could do something about this problem, but also began to realize that it had vanished, or worse yet, never really existed in the first place. She began to recognize how

Consultant Reflection: The revelations about Smithton's views of helping the indigent and about her disappointments in her personal life caught me by surprise. Despite all the outward appearances, Smithton was in a downward spiral. She believed in the mission of the clinic but also wanted another life. She realized her caring nature wasn't being enacted in her leadership style and it wasn't helping herself, the employees, or the clinic. She understood she was up against a wall and at a pivotal point. In other words, she would be fired unless she began to change her behaviors and verbal "expressions." She felt terrified, especially since neither option—change or termination—seemed appealing.

The coaching intervention and process certainly did "turn on the faucet." Although it was risky to confront her with the contradictions between her objectives and actions, it was the right intervention because the risk to return ratio was stacked in the right direction.

she had alienated herself by her actions and verbal "craziness." On the other hand, she felt powerless, isolated, and somewhat depressed. She was "looking for love"—she talked about having a family—yet put all her time and energy into SWFC.

Survey Data and Feedback

The 80-item OHS survey also included three open-ended questions and a demographic section. The survey was distributed to all employees in May and was returned to the university for analysis. The low response rate of 50 percent (42/84) was attributed to several factors, including difficulties finding the time to complete the survey during work hours, little knowledge of the survey process, not understanding the importance of the survey, or not understanding how the information would be used or communicated back to the staff. It was also possible that the low response rate was an indication of the low levels of engagement in the clinic.

The results of the OHS survey were presented to the board in June, followed by the executive staff several weeks later. The sequence of survey feedback was a point of contention. Smithton and her staff believed that since the data was about her and her team, they should have received the information before the board. Although sympathetic to Smithton's concern, the consultant noted that the board had asked for the work and as the client, the order of feedback was appropriate.

The data confirmed the "gut level" instincts of the board. The large number of problems indicated a need for fundamental change. For example, there were clearly identified weaknesses in the following areas:

- The Board and ED were far removed from employees; people were dissatisfied with executive management
- Supervisory behavior and attitudes were inconsistent
- Communication was inadequate
- Lack of employee input into decisions negatively impacted jobs and services
- Recognition, rewards, and respect were inadequate
- Organizational values and beliefs were inconsistently applied
- People felt overly stressed by the workload

Selected Cases

Coaching and Change at the Southwestern Free Clinic, continued

- The physical workspace/environment was tired
- High turnover made it difficult to be efficient

But there were also some strengths, including

- A strong understanding and belief in the SWFC mission
- The clinic was well respected in community
- The clinic was perceived as a caring organization with a strong customer service orientation
- High degree of cooperation with, and appreciation for co-workers (especially one's work group)
- Many HR systems were considered flexible and easy to use

Continued Coaching Progress and Frustrations

Between receiving the feedback and an all-employee offsite retreat scheduled for early fall, Smithton and the consultant continued to focus on goals 1 and 2 and the little successes reflecting her "new" leadership style. Although the data confirmed earlier discussions about the overall dissatisfaction with executive management, they were still hard to hear. As well, Smithton continued to open up about aspects of her personal life, and together they developed a "My Behavior Assessment Tool" that tried to integrate her personal and professional goals as well as specific actions and behaviors that were quantifiable and related to the diagnostic findings identified above.

Consultant Reflection: The good news was that Smithton was figuring out her own behavior. The bad news was the timing of everything. Although the survey results corroborated the off-the-shelf results from the emotional intelligence and leadership tools, the information was still hard for Smithton to hear. I actually took this as a good thing. The "old" Smithton might have just brushed off the results as complaining. The other good news was that as SWFC emerged as Smithton's metaphorical mistress, she had diligently tried to improve herself both as a leader and potential life-partner. At this point I was wondering if executive coaching might need to taper off and Smithton begin to see a clinical therapist.

Action Planning Retreat

In October, eight months after the initial board meeting and almost five months after data collection began, the survey results were presented at a full day off-site "retreat" that included the entire SWFC staff as well as several board members who were available to attend the meeting. The purpose of the meeting was to set up an action plan for change.

The morning session began with a short meet-and-greet activity followed by a description of the clinic's vision and mission for change. The OHS results were presented as a snapshot of "today" and the group used Weisbord's Six-Box Model to summarize the diagnosis. Because of the five-month period between data collection and feedback, the morning session needed to be adapted to listen to the angry and frustrated staff. Interestingly, and perhaps rightfully, this lag was noted as "just another indication of the lousy leadership." Several of the managers and leaders squirmed in their seats during the passionate and honest comments from the staff.

The afternoon shifted to discussions of "tomorrow." A vision sharing exercise was followed by the formation of a Task Force for Change (TFC) to continue with the day's discussions and plan change initiatives that had been suggested. They included: workload, management/leadership, communication, and respect and recognition.

Executive Coaching and the TFC

"WHEW—made it through THAT harrowing experience," Smithton noted after the feedback session. Justifiably worried, she had secretly hoped the staff would recognize she was making changes. In fact, Smithton asked if "these changes were enough to satisfy the board" going as far as to suggest wrapping-up the coaching intervention. The consultant acknowledged her progress, provided encouragement, and reminded Smithton of the unfinished work. Using the "My Behavior Assessment Tool," she provided specific feedback and identified the specific goals where behaviors and actions could be improved. Stating "I'm sure the board will be happy with your progress, but based on the all-staff retreat, the TFC initiatives might bring on new opportunities for development and revising the goals."

Selected Cases

Coaching and Change at the Southwestern Free Clinic, continued

Consequently, and working with the consultant, she made a list of the positives and negatives of TFC's presence and activities. Interestingly this piece of paper became the tangible tool for many of the subsequent sessions.

Coaching Reflection: The survey feedback and "Task Force for Change" (TFC) initiative created mixed feelings for Smithton. Initially livid about the TFC, she "needed" to embrace the TFC solution since rejecting or denying the TFC's presence would not look good.

Although a number of Smithton's attributes could not be changed, the work continued to be interesting, challenging, and fulfilling. The dilemma was she really did not want to be on the treadmill forever, but rather a wife and mother.

The TFC Goes to Work

Twelve TFC volunteers were identified based on their availability and included nine core and three support team members. Interestingly, the core members were all in leadership positions at SWFC while an SWFC intern and two PhD students composed the support team.

The TFC included a "full committee" and four subcommittees each focused on an area identified at the all-staff retreat (e.g., workload, management/leadership, communication, and respect and recognition). The full committee held their first meeting in late October, three weeks after the off-site retreat and met eight times over the next four months. The subcommittees met on an as needed basis over that same period ultimately involving 36 different staff members

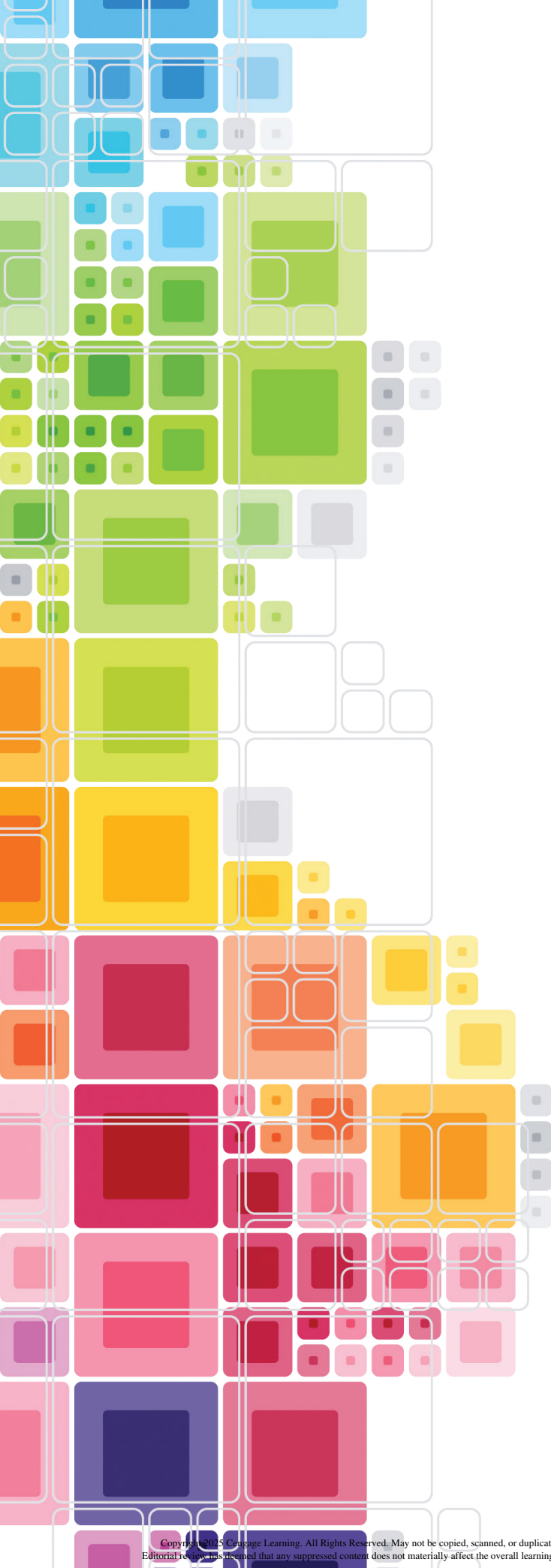
from different parts of the clinic. While each subcommittee focused on one of the four key issues, the full committee was tasked with integrating all feedback, refining possible solutions to the perceived weaknesses, and guiding several of the identified change solutions.

The TFC identified a set of interventions and made both short-term (3-6 months) and long-term (6-12 months) recommendations. The interventions included a list of training subjects and possible curriculum ideas related to the four key issues as well as proposing a new performance management system, recognition awards, computer upgrades, and leadership development. One intervention recommendation garnered considerable attention: bike racks. As the clinic was located in a densely populated area, parking was extremely limited (approximately 20 spaces for 80 employees). Consequently, some of the staff used public transportation or walked to the clinic, while a significant number of employees rode their bikes. The executive leadership previously had rejected the request for bike racks on numerous occasions. Other actions included recommendations for "Guiding Principles" with respect to how the implementation would be conducted, and a role for the TFC during the next phase of the change process.

Smithton returned to the question: Was now the right time to leave SWFC or was there more work to be done?

Discussion Questions:

1. Evaluate the change process at SWFC, including the coaching and action research processes.
2. What do you think of the TFC's recommendations for change?
3. How would you manage the year 2 process?



Part 6

Large-Scale Interventions

Chapter 13

Fundamentals of Large-Scale Change

Chapter 14

Large-Scale Organization Change Interventions

Chapter 15

Large-Scale Multi-organization Change

Chapter 16

Future Directions in Organization Development

Fundamentals of Large-Scale Change

Learning Objectives

- Review the characteristics of large-scale change.
- Discuss the organization design intervention and its application to organizations operating domestically and worldwide.
- Describe the self-design intervention process for continuous changes in organization design.
- Discuss organization culture and interventions to change it.

This is the first of three chapters describing large-scale change interventions. These change processes are “strategic” because they can alter the relationship between an organization and its environment. They are intended to improve outcomes at the organization level and, increasingly, at the multi-organization network level. These effects can include increased profitability and innovation as well as broader outcomes related to social responsibility and sustainability.

This chapter describes the fundamental components and processes of these large-scale change interventions. It begins by identifying and defining their primary characteristics. Large-scale change is typically initiated in response to or in anticipation of major changes in the organization’s environment or technology. These changes can trigger significant revisions in an organization’s strategy, which, in turn, may require modifying structures and processes to support the new direction.

Such pervasive changes can shift an organization’s culture or alter the paradigm for organizing and managing; it can produce qualitatively different ways of perceiving, thinking, and behaving. Senior executives take an active leadership role in moving toward this new way of operating, and the change process involves considerable innovation and learning as members discover new ways of improving the organization and adapting it to changing conditions.

Next, we discuss the organization design intervention. We define the different components that comprise the organization’s “architecture,” including structure, work processes, human resource (HR) processes, and management processes. In either domestic or worldwide settings, organization design interventions fit or align these components with each other so they direct members’ behaviors in support of a strategic direction. Many of these elements, such as work processes in Chapter

10 and HR processes in Chapters 11 and 12, have been previously described. As a result, the focus here is on organization structure.

We next describe the self-design intervention that facilitates how organizations can change their designs continually as circumstances demand. It is a highly participative process where multiple stakeholders set strategic direction, design appropriate structures and processes, and learn from the implementation.

The final large-scale change intervention in this chapter addresses organization culture, the pattern of artifacts, values and norms, and assumptions about how members should behave that is shared, more or less, by managers and employees. Culture change involves diagnosing the organization's culture and making necessary changes to the basic assumptions and values underlying organizational behaviors.

13-1 Characteristics of Large-Scale Change

Large-scale changes involve how the organization functions and relates to its environment. It generally entails significant shifts in the organization strategy and design that shape members' behaviors. This can involve *transformational changes* over short time periods in how an organization functions and competes, *continuous changes* that keep the organization aligned to a dynamic environment, or *multi-organizational changes* that orchestrate the behavior of a network of organizations. Research suggests five distinct characteristics of large-scale change.

13-1a Change Is Triggered by Environmental and Internal Disruptions

Increases in global competition, technological change, and demographic shifts are pressuring many organizations to engage in transformational, continuous, or multi-organizational changes to become leaner and more efficient, more agile, or more networked with other organizations.¹ Moreover, climate change, social-political unrest, and the rise of watchdog nongovernmental organizations are pushing organizations to implement a variety of social responsibility and sustainability initiatives. Government agencies and schools are being pressured to expand services, streamline operations, and deliver more for less.

However, traditional organizations are unlikely to undertake large-scale change without significant reasons to do so.² Power, emotion, and expertise are vested in existing organizational arrangements and, when faced with problems, organizations are more likely to make incremental changes than to alter their structures drastically. Thus, in most cases, organizations experience or anticipate a severe disruption before they undertake large-scale change.

In the case of transformational change that occurs over short timeframes, at least three kinds of disruption can threaten current or future performance:

1. Industry discontinuities—sharp changes in legal, political, economic, and technological conditions that shift the basis for competition within an industry.
2. Product life cycle shifts—changes in product life cycle stages that require different business strategies or business models.
3. Internal company dynamics—changes in size, corporate portfolio strategies, ownership, or executive leadership.

These disruptions challenge organizations to question their strategies, organization designs, and cultures.

In the case of continuous and multi-organizational change, the disruption comes from a turbulent environment that is volatile, uncertain, complex, and ambiguous (VUCA). Because environmental change is volatile and constant, organizational change is never finished, as new structures and processes will continually need to be modified to fit new conditions. Because the direction of environmental change is ambiguous, organizations need to learn how to translate general prescriptions of change, such as “be more agile” and “go global,” into specific structures, processes, and behaviors appropriate to their situations. These demands require a dynamic and iterative change process, where organizations continually change themselves and their relationships with a VUCA environment.

13-1b Change Is Initiated by Senior Executives and Line Managers

Senior executives and line managers—those most responsible for maintaining the organization's culture and performance—usually initiate large-scale change.³ They decide when and what large-scale change is required, how

it should be implemented, and who should be responsible for directing it. These decisions are typically linked to diagnostic processes that signal the need for such change. Lucid accounts of transformational change describe how executives—such as Nancy McKinstry at Wolters Kluwer, Lisa Su at AMD, Mark Thomson at the *New York Times*, or Karen Lynch at CVS Health—actively managed the organizational and personal dynamics of large-scale change. However, executives may lack the talent, energy, or commitment to undertake these tasks, and the organization's board of directors may recruit new executives to lead transformational change.⁴

Research has identified four leadership roles for transformational change:⁵

- **Envisioning.** Executives are expected to articulate a credible, compelling, and consistent vision of the organization's strategic direction. Large-scale change is framed as an opportunity for higher performance levels rather than a project. During changes of this magnitude, it is incumbent on leaders throughout the organization to maintain the message and their commitment to a desired future state that is fundamentally better than the current one. In periods of change, when anxiety is elevated, people need to know that everyone in the organization is committed to the new organization and its purpose.
- **Energizing.** Executives need to demonstrate personal excitement for the changes and model the behaviors that are expected of others. Behavioral integrity, credibility, and “walking the talk” are important ingredients.⁶ Christening initiatives and allocating resources to key transformation tasks in line with the vision demonstrates that commitment. Change is accelerated when organization members see important and scarce resources being devoted to large-scale change tasks. Executives can provide the resources necessary for undertaking significant change and use rewards to reinforce new behaviors.
- **Enabling.** Communication that helps organization members make sense of the transformation contributes to acceptance of large-scale change. It can highlight examples of early success to mobilize energy for change. Leaders can help organization members understand that change is happening by “connecting the dots”—showing members how certain accomplishments, milestones, and other activities are working together to achieve the transformation.
- **Engaging.** Executives also need to set new and sometimes uncomfortable performance standards and hold management teams accountable to them. During transformational change, the organization explicitly or

implicitly voids prior employment accords and all the implied behaviors and incentives; it needs to explain the new expectations and incentives. Sending clear signals in conversations with members about the values and behaviors that will be supported in the changed organization—and those that will not be supported—contributes to effective large-scale change. While appropriate recognition and pride in past accomplishments is warranted, gaining enthusiastic support for the new strategy is essential.

13-1c Change Involves Multiple Stakeholders

Large-scale change invariably affects many internal and external organization stakeholders. An organization's current performance is the result of tacit and explicit coordination among them. In cases where performance declines due to the internal or external disruptions just described, stakeholders are likely to have different goals and interests related to the need to change and how to do it. Unless these differences are revealed and reconciled, support for change may be difficult to achieve.⁷ Shared commitment to change among both internal and external stakeholders is essential to improving organization performance. (We address multi-organizational change in Chapter 15.)

The creation of a “stakeholder map” or open-systems plan, such as that described in Chapter 11, can facilitate large-scale change.⁸ It documents the current and changing demands of relevant stakeholders and the implications of those changes to the organization's mission and strategy. Involving a variety of organization stakeholders creates an accurate view of the environment, organization, and challenges of change.

13-1d Change Is Systemic

Large-scale change involves reshaping the organization's strategy and organization design to affect culture and performance. Whether these changes are transformational, continuous, or multi-organizational, they are all systemic because they realign strategy, design, and culture with the environment.⁹ When change is transformational, the research points to the benefits of implementing systemic change as rapidly as possible.¹⁰ When change is continuous, the magnitude of change may be lower than peak levels in revolutionary change, but change is happening all the time and requires an adaptable, flexible design and culture.

A comprehensive and systemic view—where many parts of the organization are considered simultaneously—contrasts sharply with piecemeal approaches that address the design elements separately. A fragmented approach

risks misaligning design components and sending mixed signals about desired behaviors.¹¹ For example, studies reveal that organizations experience problems implementing digital transformations when the technical changes in work processes are not matched to requisite changes in organization structure, management processes, or HR systems.¹²

13-1e Change Involves Significant Learning

Large-scale change is, by definition, a second-order or gamma type of change, as described in Chapter 6. *Gamma change* involves significant shifts in mental or organizational frameworks and therefore requires considerable learning and innovation.¹³ Organization members are expected to learn new behaviors associated with new paradigms like “sustainability” or “customer focus.” This typically involves trying new behaviors, assessing their consequences, and modifying them, if necessary. Because members are expected to learn qualitatively different ways of perceiving, thinking, and behaving, the learning process is likely to be substantial and involve a considerable amount of “unlearning.”

Turbulent environments continue to change during the change process. Thus, large-scale change often has no clear beginning or ending point but is likely to persist as long as the organization needs to adapt to change. Learning how to manage change continuously provides a built-in capacity for the organization to keep pace with a dynamic environment. The self-design and culture change interventions described later in this chapter address these continuous change processes.

13-2 Organization Design

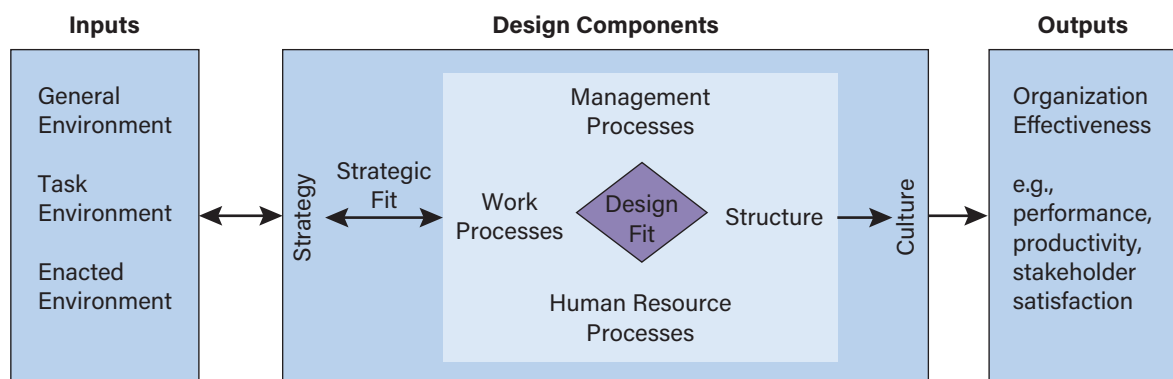
The *organization design* intervention involves the configuration of strategy, structure, work processes, human resource processes, and management processes that guide members’ behaviors and the change process to implement that configuration.¹⁴ We first review and summarize these components and describe how they form basic design alternatives. We then focus on the structural options used to organize and coordinate work. We extend this discussion to worldwide organization designs that respond to globalization and technological change. We end with a description of the application steps of the organization design intervention.

13-2a Components of Organization Design

Figure 13.1 reproduces the organization level of the comprehensive diagnostic model presented in Chapter 4 shows the primary design components. It also points to a key concept in organization design: the fit or alignment among these components. An organization’s design needs to align with its strategy (*strategic fit*). *Strategy* is the key input to organization design. It outlines how an organization utilizes its resources to achieve short- to medium-term objectives and gain a competitive edge. Strategy involves choices about product and market breadth, aggressiveness and risk, and customer-focused differentiators emphasizing either innovation or cost minimization. It also guides organization design by identifying technical and organizational capabilities necessary for competitive advantage. The different design components need to be aligned with each

Figure 13.1

Comprehensive Model for Diagnosing Organizational Systems: Organization Level



other (*design fit*) to guide members’ behavior in a strategic direction. Research suggests that the better these fits, the more effective the organization is likely to be.¹⁵ Figure 13.1 shows that organization culture is an initial outcome of organization design, an intervention discussed later in this chapter. Many of these design components have been described previously, so they are reviewed briefly below.

- *Structure* describes how the organization identifies and categorizes tasks, assigns them to departments, and coordinates across them. It generally appears as an organization chart showing where formal power and authority reside. Structures can be highly formal and promote control and efficiency or they can be flexible and favor change and innovation. A variety of coordinating mechanisms, such as cross-functional teams or decision-making forums, manage relationships among the organizational units.
- *Work processes* describe the high-level tasks and routines that add value for the customer. An organization’s design focuses attention and resources on the underlying processes that transform inputs into valued outputs. Based on these work processes, an organization can create traditional jobs and groups that involve standard tasks and limited decision making or enriched jobs and self-managed teams that involve highly variable, challenging, and discretionary work.
- *Human resource processes* involve attracting, developing, and rewarding people. These methods can be oriented to paying people for specific jobs, training them when necessary, and rewarding their individual

performance. Conversely, HR practices can leverage workforce diversity to build inclusion, continually develop organization members, and pay them for learning multiple skills and contributing to business success.

- *Management processes* describe how goals are set and decisions are made and how resources and information are shared. Managers can govern these processes using a command-and-control style that relies on hierarchical authority and the chain of command, or they can utilize highly participative methods that facilitate employee engagement. Information can be tightly controlled and centralized, with limited access and data sharing, or it can be transparent and shared responsibly throughout the organization.

Table 13.1 shows how these design components can be configured to create two distinct and fundamental organization designs.¹⁶ A *mechanistic design* supports a cost-minimization strategy and utilizes a functional structure that is coordinated by a managerial hierarchy. Work designs are traditional, with standardized jobs and low decision-making responsibility. HR practices focus on job-specific selection and periodic training. Compensation is job based, with standard benefits and merit-based increases. Centralized decision making, communication, and goal setting characterize management processes. These elements collectively drive the organization toward cost efficiency.

In contrast, an *organic design* aligns with a strategy focused on flexibility and innovation. It involves employees in the innovation process, fosters interaction, and rewards

Table 13.1 Organization Designs		
	Mechanistic Design	Organic Design
Strategy	▪ Cost minimization	▪ Innovation
Structure	▪ Formal/hierarchical ▪ Functional	▪ Flat, lean, and flexible ▪ Matrix, process, and network
Work processes	▪ Traditional jobs ▪ Traditional work groups	▪ Enriched jobs ▪ Self-managed teams
Human resource processes	▪ Selection to fit job ▪ Up-front training ▪ Standard reward mix ▪ Pay for performance and individual merit ▪ Job-based pay	▪ Selection to fit organization ▪ Continuous training and development ▪ Pay for performance and business success ▪ Skill-based pay
Management processes	▪ Centralized decision making, goal setting, and communication	▪ Employee involvement ▪ Transparent information

expertise. The structure is flat and flexible, and enriched jobs and self-managed teams promote motivation and decision making. Attraction, development, and retention practices emphasize that employee knowledge and expertise are valued as sources of competitive advantage. The organization culture values participation and teamwork, with continuous training and development. Rewards are based on learning new skills and work unit success. Management processes encourage participation, and communication systems are open and transparent. Overall, these design choices drive change and innovation.

13-2b Organization Structures for Dividing and Coordinating Work

The structure component of organization design serves two fundamental purposes: the division of work into different organizational units and the coordination of those units to produce an integrated work outcome. Formally referred to as *differentiation* and *integration*,¹⁷ these two functions are the foundation of how work is structured for performance in organizations. Differentiation involves the number of different units reporting to a manager (often referred to as the *span of control*) and how specialized they are. A structure that separates sales from marketing is more differentiated than a combined sales/marketing unit; a structure that separates work into units across countries in the European Union is more differentiated than a structure with a regional work focus. Because each unit in a structure represents one aspect of the organization's overall work, these differentiated units need to be coordinated or integrated. Sales tasks need to relate effectively with marketing activities; learning from a successful French operation can have application to an Italian division. Given their significance to organization performance, these two functions of organization structure—division of work and coordination of work—are discussed more fully next.

Organization Structure: The Division of Work

Organizations have traditionally implemented one of three structures: functional departments with specialized expertise; self-contained divisional units focused on specific products, businesses, or regions; or matrix structures that combine functional specialization and divisional orientations. Increasingly turbulent environments have pressured organizations to experiment with and adopt more flexible and integrative structures. These more recent innovations include process structures where work units are formed around the organization's value-added processes, customer-centric structures that focus attention and resources on specific customers or customer segments, and network structures that redefine the hierarchical links common to other structures.¹⁸

The *functional structure* (Figure 13.2a) divides the organization into specialized units like marketing, operations, research and development, HR, and finance, each staffed by people with expertise in that work.¹⁹ This structure is based on early management theories regarding subject-matter expertise, span of control, and authority.²⁰ It facilitates intrafunctional communication and expertise sharing through standardized processes and promotes career development within each specialty. Functional structures are most common in small- to medium-sized firms, although exceptions, such as Apple and Cisco Systems, exist. They are particularly suited to organizations with goals emphasizing efficiency and technical quality. However, functional structures can encourage routine behaviors and a narrow focus on individual tasks at the expense of the organization's overall value-added processes. Interfunctional conflicts, coordination problems, and scheduling issues can occur when each function prioritizes its perspective without considering others.

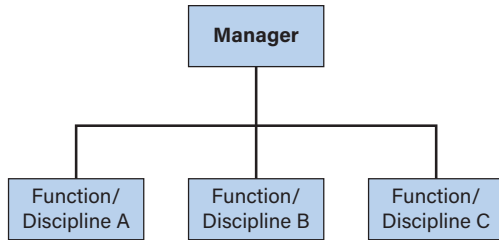
The *divisional structure* groups organizational activities based on products or services, businesses, or geography (Figure 13.2b). Originally developed by General Motors, Standard Oil of New Jersey (now ExxonMobil), and DuPont, it places most resources and functions necessary to support a product or region together into units headed by a division manager.²¹ For example, when Google reorganized into Alphabet, it created Google, Nest, Google X (self-driving cars), and other divisions, each with the necessary resources and functions. This structure allows divisions to focus on an appropriate set of financial, social, and environmental outcomes and promotes accountability and cohesion among division members. It provides them with opportunities to learn new skills and expand knowledge by moving among different functions within the division, making it well suited for developing general managers. However, specialists in divisional structures may not be fully utilized and they can feel isolated from professional colleagues in other divisions. This structure can also promote allegiance to a specific product, business, or region, which can be problematic if divisions share common customers.

The divisional structure is most effective in large organizations with broad product lines or geographic scopes that can support duplicated resources assigned to units; it adapts well to uncertain conditions. Divisions focusing on a specific product or geography can readily coordinate technical interdependencies and are suited to goals promoting product, service, or regional specialization and innovation.

The *matrix structure* seeks to maximize the strengths and minimize the weaknesses of functional and divisional structures. It typically pairs a functional structure with a product or geographic structure that runs horizontally

Figure 13.2**Alternative Core Structures****Functional Structure**

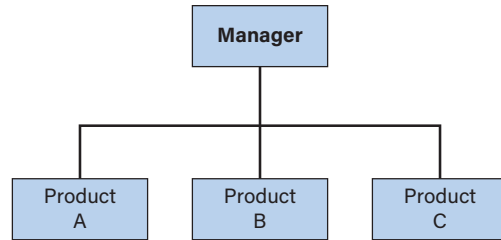
Core units are defined by specialty, expertise, or discipline.



(a)

Divisional Structure

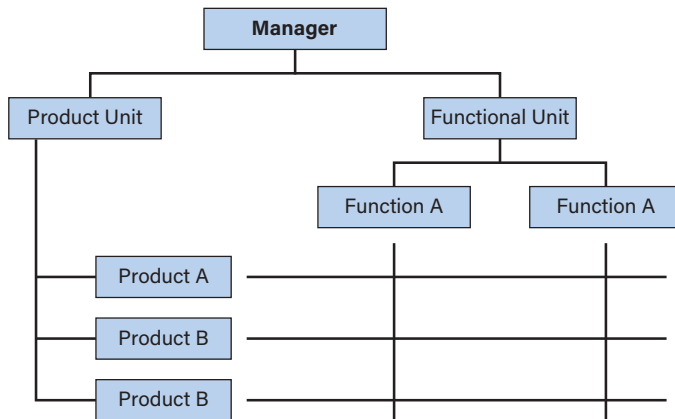
Core units are defined by product, business, or region.



(b)

Matrix Structure

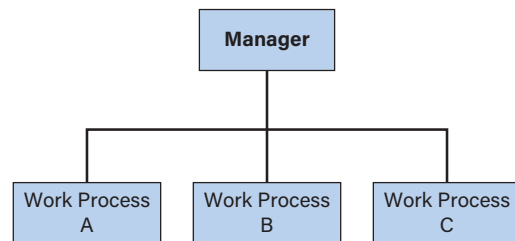
Core units are organized around two (or more) dimensions (e.g., functions, products, regions)



(c)

Process Structure

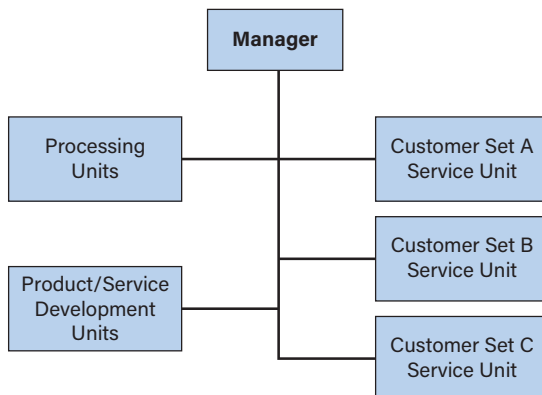
Core units defined by whole processes or sub-processes that deliver value to internal or external customers.



(d)

Customer-Centric Structure

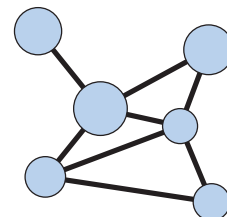
Front-end units are organized around customers; back-end (operational) units are organized around functions and processes.



(e)

Network Structure

Primary work processes are carried out laterally and governed cross-functionally.



(f)

across the functions (Figure 13.2c).²² New products or initiatives can be implemented quickly by using people and other resources flexibly and moving them between product and functional orientations as needed. Originally developed in aerospace organizations, matrix structures are now widely used in a broad range of industries.

Matrix structures have three primary roles. First, a general manager leads the organization and balances the two structural orientations. Second, matrix managers are responsible for optimizing their dimensional contributions. For example, a functional matrix manager is responsible for maximizing the technical expertise of their unit within market constraints; product or regional matrix managers typically focus on customer satisfaction or business success. Finally, a few “two-boss” managers report to two different matrix managers, are tasked with reconciling the two orientations, and control workers’ daily activities. Two-boss managers accomplish work within the demands of matrix managers seeking technical sophistication on the one hand and product or customer requirements on the other.²³

Matrix structures can be difficult to manage and require a heavy investment in managerial talent and systems. Role ambiguity and conflict may arise when people are asked to work in multiple departments, and power conflicts between functional departments and product or regional structures may sacrifice overall performance. In effective matrix structures, organization members typically have a high tolerance for ambiguity, excellent interpersonal competencies, and sophisticated conflict management skills.

Matrix structures are appropriate under three conditions.²⁴ They operate well when a focus on two dimensions is critical, such as when different customers have unique demands and strong requirements for technical sophistication. A matrix structure is also appropriate when environmental demands change unpredictably, relevant technologies evolve quickly, or there is reciprocal interdependence among tasks. In these cases, decision making, information processing, and coordination are complex. Finally, matrix structures are effective when valuable resources are scarce and must be shared across the organization.

A *process-based structure* groups organization members around three to five core work processes that add the most value for customers, such as product development, order fulfillment, sales generation, and customer support (Figure 13.2d).²⁵ Also referred to as “horizontal,” “boundaryless,” or “team-based” organizations, these structures have been used at American Express Financial Advisors, Healthways, and Zara.

Multifunctional teams are fundamental to these structures. They manage and are rewarded for everything from task execution to resource allocation and are typically

self-managing and responsible for goal achievement. Thus, process structures emphasize lateral rather than vertical relationships to improve coordination, decision making, and overall task performance. Information flows more quickly and accurately throughout the organization, and members get a clear line of sight between team performance and organization effectiveness.

The primary goal of these multifunctional teams is supplier and customer satisfaction. Team members have timely and direct relationships with vendors and customers, and they work with a broad range of market data, financial information, and personnel and policy matters. Their strong supplier and customer focus can lead to improvements in speed, efficiency, and satisfaction. Each team is led by a “process owner,” there are few hierarchical levels, and the senior executive team is small.

Process structures are suitable for uncertain environments with rapidly changing supplier and customer demands and market conditions. They are more flexible and adaptable than traditional structures, fitting well in medium to large organizations with narrow product portfolios.²⁶ However, transitioning from a functional to a process structure can be challenging. Important shifts in mindsets, skills, and managerial roles can be resisted by those accustomed to working in functional silos. Managers need to learn to balance competing demands for organization fluidity and efficiency. Additionally, process-based structures can lead to resource duplication and, if multifunctional teams are not sufficiently developed, they can struggle to define and reach consensus, slowing down decision making.

The *customer-centric structure* responds to current trends in digitalization and customers’ increased power to demand creative and customized solutions.²⁷ Product-focused structures, like functional and divisional structures, aim to create value through product innovation and measure success in terms of product margins. In contrast, customer-centric structures strive to deliver customized solutions that bundle products/services, support, and training according to customer needs. Success is measured in terms of customer loyalty and customer margins.

The customer-centric structure is often referred to as a “front-back” structure. Its core work units include “front-facing” teams organized around large individual customers or customer segments, such as financial services, automotive manufacturers, or governments (Figure 13.2e). A multifunctional team dedicated to these customers develops a deep understanding of their industry and needs. This supports solution customization and robust satisfaction of customer needs. These customer-facing units are supported by “back-facing” units that develop deep functional expertise in product or service innovation, manufacturing, and

supply chain management. Customer-centric organizations rely on lateral mechanisms to integrate their front and back units including information systems, capital allocation and resource prioritization systems, and cross-functional teams.

Customer-centric organizations work best in large, complex organizations, where there are strong and powerful customer forces in the industry and where technology and market changes are highly uncertain. Implemented by organizations like Tumi, IBM, Ritz-Carlton, and USAA, these structures prioritize customer needs. However, customer teams can become too inwardly focused and lose sight of the larger organization strategy. This can hinder sharing successful innovation or customization learning with the rest of the organization.

Network structures, also known as virtual, modular, and holacratic organizations, orchestrate complex relationships among specialized organizational units performing distinct aspects of the organization's work.²⁸ These units excel in their respective areas, gain synergies through resource exchanges (e.g., information, expertise, and budgets) with other units, and can experiment without needing constant approval from superiors. They replace the conventional hierarchical structure with an "internal market network" that fosters open, autonomous, and egalitarian task accomplishment. Companies like Svenska Handelsbanken, Unilever, and Asea Brown Boveri (ABB) have implemented sophisticated network structures. We extend this internal network approach in a single organization to "transorganizational network" interventions in Chapter 15.

Network structures typically apply sophisticated information technology (IT) to vertically disaggregate

the organization hierarchy into autonomous, specialized units. "Broker" units coordinate activities, provide overall guidance, and leverage IT systems along with various coordination mechanisms to ensure awareness and communication among units. For instance, the Swedish financial institution Svenska Handelsbanken aligns branches with specific customers and corporate functions with elements of strategy. These corporate functions provide overall guidance and performance monitoring, while coordination occurs through rolling forecasts and informal conversations driven by branch managers with regional and headquarter executives. Handelsbanken has only three hierarchical layers in an organization of over 10,000 employees.

Network organizations excel in complex and uncertain environments and align with strategies emphasizing specialization and innovation. They are highly flexible and adaptable, enabling decentralized decision making and agile functioning.²⁹ Managing the complexity of network organizations rests on clear strategic direction and governance processes and proficiency in managing lateral relations across organizational boundaries. This organization structure resonates with employees who value relationship-based work methods and with organizations of all sizes whose tasks are highly interdependent.

Application 13.1 describes how Zappos applies a network structure to drive innovation in a highly competitive industry. As you read the application, notice how the organization attempts to vertically disaggregate work while retaining some level of hierarchy, with specific circles serving hierarchical and coordination functions.³⁰

Application 13.1

The Zappos Network Structure

Zappos is an online retail shoe company with a strong tradition of organizational innovation. Acquired by Amazon.com in 2009, Zappos is well known, for example, for "the offer." It is an HR policy that gives new employees the opportunity to take \$3,000 if, after a couple of weeks on the job, they do not think there will be a good fit between themselves and the company. When Tony Hsieh (now deceased) took over as CEO in 2000, he continued that innovation orientation.

Since 2013, the organization has been committed to a form of network organization called "holacracy." In holacracy, Zappos is trying to shift to a management

style and organization structure that reduces its dependence on hierarchy.

At Zappos, a holacracy constitution describes the roles, structure, and processes of the organization's "operating system." The constitution allows the organization to know who is doing what, when, and how, especially with respect to work "in" the network and work "on" the network. That is, some work involves performing tasks that add value for customers. This is work "in" the network. Other work is intended to help the network improve and change or work "on" the network. The constitution describes both types of work.

The Zappos Network Structure, continued

In the Zappos holacracy, the basic structure unit in the network is called a “circle,” and the original plan was to employ about 400 circles. Based on the concept of a “holon” where systems are embedded within other systems, the broadest circle in the organization, also known as the “general circle,” is the 10-member internal board. All other circles are nested within the internal board circle. A circle is charged with performing a certain type of work for the organization. For example:

- The Customer Loyalty circle operates the organization’s call center. It answers customer questions and is responsible for providing Zappos’ world-famous customer service. The custom in the organization is that all new employees have to spend some time in this circle to be sure they understand how the organization works and one of its keys to success.
- The Supercloud circle is a large group working to integrate the Zappos ordering and customer service systems with Amazon’s platform. The Supercloud circle has about 20 different nested circles with 250 to 350 people, including contractors, working with more than 100 different Amazon teams.
- The User Experience circle is a community of practice that meets from time to time to talk about the skills and processes associated with designing customer experiences. It serves as a vehicle for sharing learnings and spreading innovations across different parts of the organization.
- The Brand Aura and Storytelling circle is responsible for developing the Zappos brand and marketing messages. The general philosophy of the circle is that “a great brand is a story that never stops unfolding” and the circle explores how that story should be told and portrayed.

To support coordination, each circle has a “lead link” whose role is to ensure that the people in the circle understand what’s needed and to connect with other circles. Zappos’ CEO is the lead link for the general circle, and it is responsible for fulfilling the company’s overall purpose. The “lead link” in the general circle appoints the leads for other circles. Although lead links have the power to remove individuals from their roles, they are discouraged from micromanaging

specific individual actions—and members of a circle, not leads, decide on changes to the scope of an individual’s roles and authorities. Ideally, leadership is shared and distributed across roles and circles.

However, employees do not report to a single boss. Instead, employees in a circle report to each other. Within a circle, people perform a variety of tasks—or roles—necessary to accomplish its objective. Rather than jobs in the traditional sense of the term, people have roles that belong to different circles and a person’s activities over a week, a month, or longer are defined by the different roles the person occupies. When a circle first meets, they clarify roles to ensure alignment. Once you have your role, you are free to execute that role with autonomy. The only constraints are the extent to which a role’s activities conflict with another role’s activities, a situation known as a “tension.”

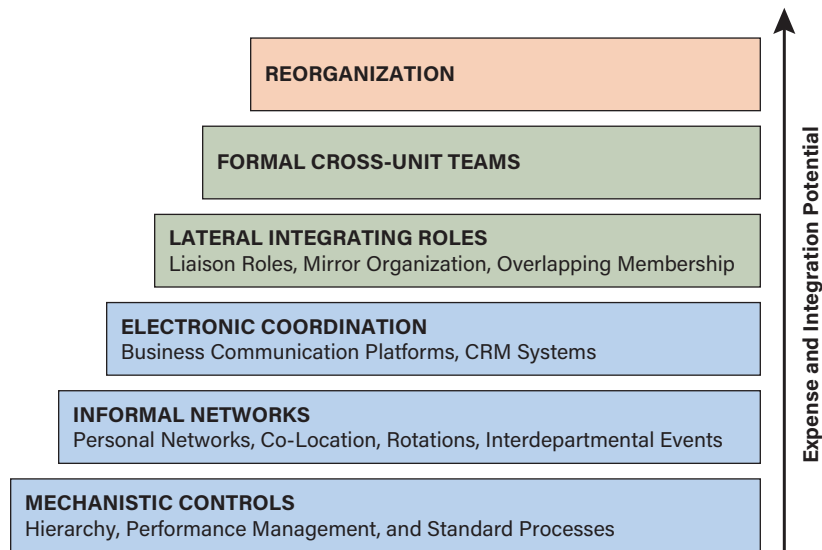
Circles and lead links work hard to identify and resolve tensions. In addition to circles that work “in” the network, other circles work “on” the network by looking for these tensions—problems, challenges, and opportunities that are arising. These circles either suggest changes to the way circles are working and/or conduct meetings that prioritize and coordinate the work of other circles. This larger governance system tries to improve the overall operation of the company.

Objectives, updates on progress, and accomplishments of a circle are recorded in the Glass Frog, a transparent IT platform. Since each person at Zappos is responsible for their own career, the Glass Frog is closely linked to the “role marketplace.” The role marketplace is a process where lead links can list tasks and jobs (roles) that need to be completed and how much time they are expected to take. There’s no need for hierarchical approvals. People can look through the marketplace and find work that interests them or helps them build new skills. When people perform certain tasks or demonstrate competencies in certain areas, they are awarded “badges” that help lead links identify talent or help employees demonstrate readiness for job changes.

The implementation of holacracy at Zappos has had critics and fans; it remains one of the largest and most radical applications of the network concept to date.

Organization Structure: The Coordination of Work In addition to dividing the work of the organization into different units, organization structure coordinates the work of those units to produce an integrated work outcome.

Several methods for how organization structure achieves this integration function are shown in Figure 13.3. Starting with mechanistic controls, these coordination structures are increasingly powerful yet progressively expensive.³¹

Figure 13.3**Coordination Mechanisms**

Organizations generally use three coordination methods: mechanistic controls, informal networks, and electronic coordination. These need to be applied effectively before more powerful and expensive methods are used. *Mechanistic controls* rely on the managerial hierarchy to supervise units and encourage them to work together. It is reinforced when the performance management system (Chapter 11) sets expectations for coordination across units and provides valued rewards accordingly. Similarly, standardized budgeting and operating procedures facilitate coordinated effort.

Informal networks are built on personal relationships between members from different units. These social interactions supplement and fine-tune mechanistic controls. Members adjust more standard coordination practices as the circumstances demand. These informal social networks can be built through job rotations (Chapter 12), co-location of interdependent units, and formal or informal social events (e.g., cross-regional sales meetings or Friday “beer busts”) to address coordination issues more quickly and easily. Finally, these mechanistic and informal approaches can also be facilitated by *electronic coordination*. Slack, Teams, and customer relationship management applications allow different units to post learnings and information, ask questions, and establish service-level agreements vital to each unit’s functioning. These three approaches contribute to coordination without requiring changes to the organization structure that divides work into units.

However, a second tier of coordination mechanisms makes minor changes to the organization structure through

lateral integrating roles and *formal cross-unit teams*. Lateral integration roles include liaisons, overlapping group memberships, and “mirror” organizations in each work unit. A formal liaison role asks an employee to work between two or more units, carrying information, knowledge, or requests to ensure coordination. Overlapping group membership creates a similar communication channel by asking one or more individuals to be a part of multiple teams in different work units. Mirror organizations facilitate coordination by creating identical work roles in different units to foster standardized work practices across the units, such as a financial institution that creates a fraud unit for each of its credit card, mortgage and auto loans, and checking/savings businesses.

Formal cross-unit teams, such as steering committees and product innovation task forces, perform work that requires multiple interdependent inputs from different work units. For example, a functional structure might set up a cross-functional team to develop new products, a divisional organization might set up an IT council to rationalize technology investments across businesses, or an HR talent forum might be established to govern the movement of high-potential managers through challenging assignments. These teams leverage different expertise and knowledge and operate full or part time depending on the joint task.

The final tier of coordination mechanisms significantly reorganizes the organization structure that divides work to provide better integration of work units. Such a major reorganization may be an adaptive response to changes in

an organization's product mix or operating priorities that require new integration methods. For example, innovations in electric vehicles provided an important opportunity for General Motors to expand its market. The Chevrolet division developed the Chevy Volt while other divisions pursued their own product development. The rapid growth of electric vehicles and the differences between electric and internal combustion engines gradually overwhelmed the divisions' ability to coordinate the two types of products. GM decided to better coordinate its electric vehicle resources and capabilities and reorganized to create a new, more integrated electric vehicle division.

13-2c Worldwide Organization Designs

These organization design fundamentals can be extended to describe the emergence and evolution of worldwide organization designs. Worldwide organizations offer products or services and actively manage direct investments in more than one country; balance product and functional concerns with geographic issues of distance, time, and culture; and have to carry out coordinated activities across cultural boundaries using expatriates and local employees.³² Worldwide organizations face unique demands, including particular operational requirements (e.g., customized products, tariffs and trade agreements, and governmental and environmental regulation) and specialized human resource policies (e.g., labor practices and culturally influenced work rules). Tobacco companies, for example, face technological, moral, and organizational issues in determining whether to

market cigarettes in less-developed countries and, if they do, how to integrate manufacturing and distribution operations on a global scale.

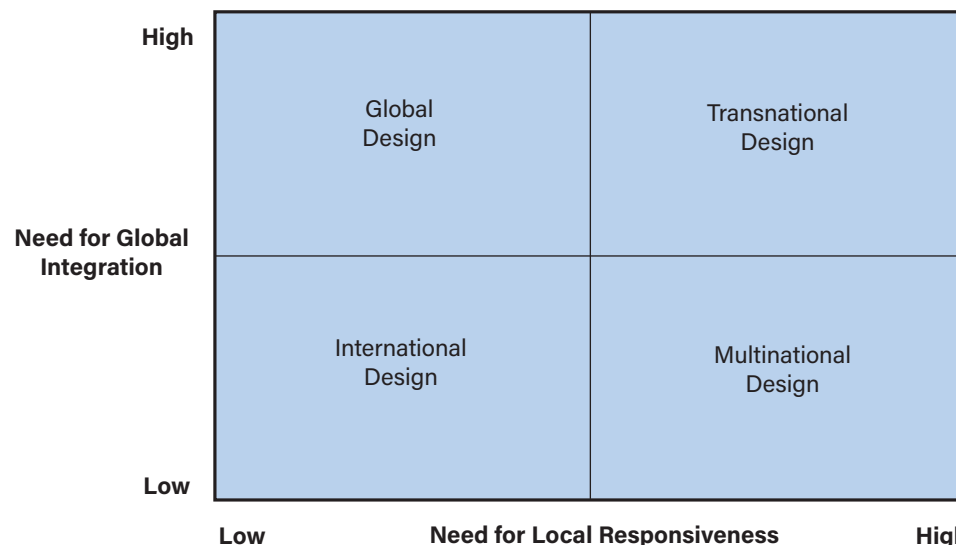
Research suggests that worldwide organization designs derive from a combination of two independent dimensions or success factors, as shown in Figure 13.4: the degree to which there is a need for global integration and local responsiveness.³³ *Global integration* refers to whether business success requires tight coordination of people, operations, or products on a worldwide basis. For example, Intel's "global factory" designs semiconductors, manufactures them, and assembles and tests the finished products in eight different countries before shipping them to customers. All this activity needs to be coordinated carefully to maintain cost-effectiveness and an integrated flow of goods. *Local responsiveness* is the extent to which business success is dependent on customizing products and services, packaging, or after-sales support to local conditions. Intel is required to do very little customization; a microprocessor is a microprocessor everywhere in the world.

Combining these two success factors results in four worldwide organization designs: international, global, multinational, or transnational. Table 13.2 presents these designs in terms of the components described above. Domestic organizations interested in expanding internationally tend to evolve in stages from international to either global or multinational designs and finally to transnational strategies.

The International Design The *international design* is appropriate when global integration and local

Figure 13.4

Worldwide Success Factors



responsiveness are low. Success requires the relatively straightforward coordination between headquarters and its foreign sales offices. Local responsiveness is low because the organization exports the same products and services offered domestically. This design is common for firms entering foreign markets for the first time, and they often enter international markets by extending their product lines first into nearby countries and then expanding to more remote areas. For example, the French baking company Brioche Pasquier, described in Application 14.1, first entered Spain and Italy before other European countries and eventually the United States.³⁴

The goal of the international design is to increase sales from nondomestic markets by leveraging existing products/services and extending domestic operating capacity. An “international division” is responsible for marketing, sales, and distribution, and may set up joint ventures, licensing agreements, and distribution territories/franchises. The organization retains its original structure and operating practices, but management processes governing the international division are typically looser to allow learning about operating in a foreign context. The international division is often staffed with volunteers from the parent

company who have foreign language skills, overseas experience, or eagerness for an international assignment. Little training or orientation is offered as the organization is generally unaware of the requirements for being successful in international business.

The Global and Multinational Designs When the organization’s international design is successful, it can apply its learnings to implement a global or multinational design.

A *global design* is appropriate when global integration requirements are high but the need for local responsiveness is low. This situation occurs when the worldwide market is relatively homogenous, allowing for standardization of products and services without affecting local sales or customer loyalty. As a result, the global design markets standardized products in different countries. Companies in heavy equipment (e.g., Caterpillar, Komatsu), bathroom fixtures (e.g., American Standard, Toto), computers (e.g., Asus, Hewlett Packard [HP], Lenovo), and tires (e.g., Michelin, Goodyear) can offer the same basic product in almost any country.

Like the mechanistic organization design, the goal of the global design is efficiency. Operational efficiency is achieved by leveraging key resources. For example, Nestlé exploits

Table 13.2 Design Characteristics for Worldwide Strategic Orientations

Worldwide Organization Designs	Business Strategy	Structure	Management Processes	Human Resources
International	- Existing products - Goals of increased foreign revenues	International division	- Loose but centralized - Learning orientation	- Volunteer recruitment - Retain existing performance management processes
Global	- Standardized products - Goals of efficiency through volume	- Global product divisions - Global functions	Formal and centralized	- Expatriate selection - Rewards for enterprise performance
Multinational	- Tailored products - Goals of local responsiveness through specialization	- Decentralized operations; centralized planning - Global geographic divisions	Profit centers	- Regional selection - Rewards for regional performance
Transnational	- Tailored products - Goals of learning and responsiveness through integration	- Decentralized, worldwide coordination - Global matrix or network	- Subtle, clan-oriented controls - Learning orientation	Select for best fit

economies of scale in marketing by advertising well-known brand names around the world. The increased number of microwaves and two-income families allowed Nestlé to push its Nescafé coffee and Lean Cuisine low-calorie frozen dinners to dominant market-share positions in most developed economies. Managerial efficiency is attained by centralizing decisions related to product design, manufacturing, distribution, and marketing. Global integration is supported by formal control systems and the close physical proximity of major functional units in the home country.

In the global design, the organization uses centralized, global product divisions. Presidents of each major product group report to the CEO and form the core organization. Each product group is responsible for worldwide operations. Management processes tend to be formal, with local units reporting directly to the product president. Foreign positions are filled with managers from the home country.³⁵ Key managerial jobs at Emerson, Siemens, and Michelin, for example, are often occupied by American, German, and French citizens, respectively. Expatriate managers are more likely than host-country nationals to recognize and comply with the need to centralize decision making and to standardize processes, decisions, and relationships with the parent company.

A *multinational design* is suitable when the requirements for global integration are low but local responsiveness requirements are high. This tends to occur when different worldwide markets require customized and localized products and services. A multinational organization design thus tailors products or services to local conditions and is best for markets that vary significantly by region or country. For example, Pepsi-Cola can market Diet Pepsi in the United States but has to brand Pepsi-Max in Europe, where “dieting” is not viewed favorably.

The multinational design often uses decentralized regional divisions. Each regional or country division reports to headquarters but operational decisions are decentralized and tightly integrated at the local level, although some planning activities are often centralized. A profit-center control system monitors local profitability. Examples of multinational corporations include Hoechst and BASF of Germany, MTV and Procter & Gamble of the United States, and Fuji Xerox of Japan. Each of these organizations encourages local subsidiaries to maximize effectiveness within their region.

Multinational worldwide designs integrate employees into the firm through HR policies that recruit, develop, and retain local managers. These companies believe that host-country nationals can best understand and adapt to native cultures. By filling positions with local citizens, the organization aligns market needs with the ability of its subsidiaries to produce customized products and services for the regions.

The Transnational Design A *transnational design* works well when both global integration and local responsiveness are high. This worldwide design combines customized products with efficient and responsive operations. A learning orientation pervades this design. Transnationals can perform functions wherever in the world they can be done optimally. They have learned how to move skills, resources, and knowledge efficiently to regions where they are needed.

Transnational designs combine the best of global and multinational capabilities and add the ability to transfer resources within the organization and across national and cultural boundaries. For example, Otis Elevator developed a programmable elevator using six research centers in five countries: A U.S. group handled the systems integration; Japan designed the special motor drives; France perfected the door systems; Germany created the electronics; and Spain produced the small-gear components. In addition, Otis had the production capability to ensure that parts made in different places fit together perfectly and the logistics capability to guarantee that all the parts arrived at a specific job site on the right day. Other firms with transnational organization designs include Costco, ABB, Unilever, KFC, and most worldwide professional services firms.

Transnational organization designs utilize global matrix and network structures suited for moving information and resources to their best use. The matrix structure crosses local sales and marketing units with product groups at headquarters, engineering groups in different countries, and other dimensions as required. The network structure treats each local office as a self-sufficient node of expertise that coordinates with other nodes to move knowledge and resources to their most valued place. Transnational organization designs have sophisticated information systems to operate these structures. Organizational learning practices (see Chapter 8) gather, organize, and disseminate the knowledge and skills of members who are located around the world.

Transnational organization designs integrate people through HR policies that staff key positions with the best people, regardless of nationality. This staffing practice recognizes the unique capability of a transnational design to optimize resource allocation on a worldwide basis. Recruits at any of HP’s foreign locations, for example, are screened not only for technical qualifications but for personality traits that match the company’s cultural values.

13-2d Application Steps

Organization design interventions can be applied to whole organizations, large departments, or standalone units and can be used to create new organizations or reconfigure existing designs. The process is often led by a design team consisting of organization development (OD) practitioners

and the leaders who are responsible for determining the organization's strategic direction. A participative design process can increase the design's quality and stakeholders' commitment to implementing it.

Organization design interventions typically follow the general model of planned change described in Chapter 2. Although they are presented sequentially, in practice they are highly interactive, often feeding back on each other and requiring continual revision as the process unfolds.

1. **Diagnosing the current design.** A design team comprised of senior leaders and representatives of key stakeholders assesses the organization's current performance, the extent to which the strategy is clear and shared, and the quality of the strategy and design fits. For example, is the strategy more focused on cost minimization or innovation, and is the existing design more mechanistic or organic? If a new strategy is proposed, what organizational capabilities are needed to achieve it? For worldwide designs, diagnosis also involves a careful analysis of the required levels of global integration and local responsiveness.

Then, the current organization is compared to the proposed strategy and capabilities to uncover gaps between how it is currently designed and the necessary design changes. This gap analysis provides information for determining which design elements will receive the most attention and the likely magnitude and timeframe of the design process.

2. **Designing the organization.** This step involves choosing the design components necessary to support the strategy. A broader set of organization members often participates in these decisions to increase commitment to change. An effective design sequence first identifies the work processes and work designs that add value to customers and other key stakeholders. Based on these work processes, alternative structures are described and debated among design team members. The structure that best supports the work and strategy is then chosen, although no structure is perfect. Designing effective coordination processes can often mitigate a structure's weaknesses. For example, functional structures are often weak at coordination, and integration processes can be designed to increase the exchange of cross-functional information. OD practitioners can help the design team effectively address these difficult decisions and tradeoffs. Finally, the team specifies the management processes and HR practices that complement the strategy–structure–work design decisions. The resulting design usually falls somewhere along the continuum from mechanistic to organic.
3. **Implementing and evaluating the design.** The final step involves putting into place the new structures,

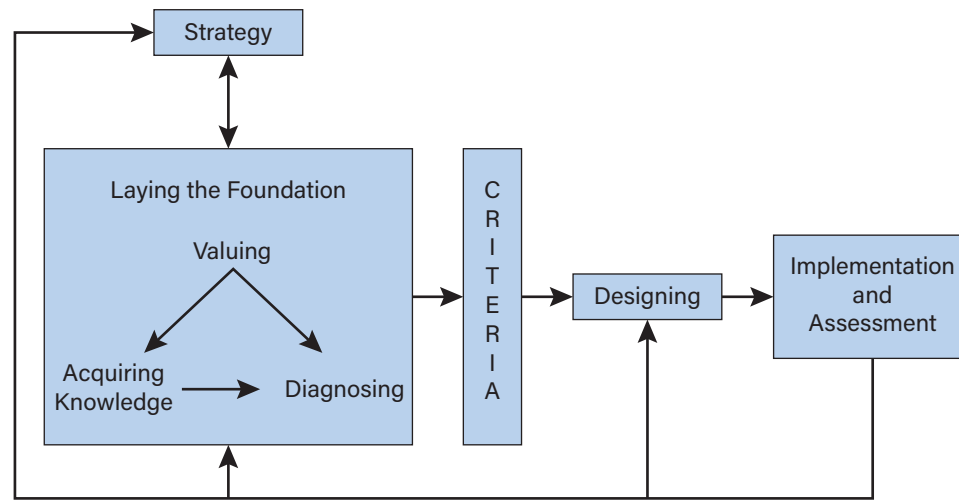
practices, and systems and draws heavily on the methods for managing change discussed in Chapter 5. Organization designs include multiple components and coordination mechanisms and generally cannot be implemented in a single step but proceed in phases that involve considerable transition management. They often entail significant new work behaviors and relationships that require extensive and continuous organization learning. Implementation and evaluation feedback systems (Chapter 6) can provide the information needed to adjust the change process and keep it on track.

13-3 Self-Design

Today, many organizations are having to continually change or modify their organization designs to keep pace with rapidly changing environments. Mohrman and Cummings developed the self-design intervention to describe how OD practitioners can help organizations change their designs to achieve higher performance in turbulent environments.³⁶ The approach promotes learning among members at all levels of the organization, providing them with the knowledge and skills needed to continuously redesign it. The self-design process can be applied to domestic organizations shifting from a mechanistic to an organic design or simply refining the design fit for their existing organization. It can also be applied to organizations moving from an international to a global or multinational design.

Figure 13.5 outlines the five stages of self-design; however, in practice the stages can merge and interact iteratively over time.

1. **Clarifying the strategy.** Most organizations have a strategy but often do not share or write it in ways that are clear to members. This stage clarifies the organization's strategic objectives; translates the strategy into understandable descriptions of breadth, aggressiveness, and differentiation; and explains how or if these dimensions are changing. The self-design process assumes that an unclear strategy will result in an unfocused organization design.
2. **Laying the foundation.** This stage involves valuing, acquiring knowledge, and diagnosing activities. *Valuing* determines the beliefs and guidelines underpinning the strategy implementation process. They are typically spelled out in a statement that is discussed and negotiated among members at all levels of the organization. For example, the valuing process might result in statements that emphasize “delivering value to the customer,” “engaging employees,” or “embracing diversity.” In worldwide organizations, valuing often

Figure 13.5**The Self-Design Change Process**

Source: Adapted from Mohrman and Cummings, 1989.

addresses how the organization will position itself vis-à-vis other cultures and its ethical practices.

Acquiring knowledge activities contribute to an effective intervention because members often are unfamiliar with the alternative organization designs described above. Learning about these alternatives, about organizing principles for achieving high performance, and about large-scale change processes can support creative thinking and problem solving during the design process. This learning typically starts with the managers leading the redesign but can cascade to lower organizational levels as the change process unfolds.

Diagnosing the current organization determines the components and coordinating structures necessary to enact the strategy and values. OD practitioners can lead the assessment of strategic fit and design fit, the organization's culture, and their linkages to current levels of performance.

3. **Creating design criteria.** In this stage, OD practitioners facilitate a process to define a set of design criteria. They describe the principles and standards that will guide the new organization design, including the new operational and organizational capabilities required by the strategy. Organization design criteria are action and future oriented, specific and measurable, and linked to creating a strategic advantage. They describe what the new organization needs to be able to do to support the strategy and how the organization

needs to operate. Examples of design criteria include the following:

- Facilitate fast reaction to market changes.
- Increase coordination across the organization around key customers.
- Move decision making out to those interfacing with customers.
- Enable and encourage local adaptation of products in a region.
- Optimize resource leverage and utilization—people and systems.
- Eliminate redundant work.

Design criteria are an important milestone in self-design interventions. As the process moves to the designing stage, design criteria are an effective and objective standard for evaluating alternative design options. For the OD practitioner, clearly stated and agreed-upon design criteria reduce the likelihood of covert political processes derailing the change.

4. **Designing.** The fourth stage of self-design involves generating alternative organization designs to reflect the strategy, values, and design criteria and deciding which design to implement. It starts with organization members describing the organization design components of potentially new designs—structure, work processes, HR processes, and management processes. This process usually involves broad descriptions of the design components and how they fit together. It enables assessment of the extent to which

alternative designs meet the strategy and design criteria, tests the design criteria for completeness, and builds commitment to the self-design approach. OD practitioners can support this process by encouraging frank and concrete discussions about how the different proposals align to the design criteria. They can also contribute to an effective process by ensuring that all components of design, not just structure, are considered.

The designing process ends with a decision of which alternative organization design best fits the design criteria and will be implemented. It recognizes that the chosen design will likely need to be refined and modified to fit local conditions as it is implemented throughout the organization. The designing stage results in an overall design for the organization and preliminary plans for implementing it.

5. **Implementing and assessing.** This last stage involves making the new design happen by putting into place the new structures, practices, and systems; supporting the staffing changes suggested by the new design; and conducting appropriate OD interventions to build the necessary capabilities. In addition to traditional

leading and managing change activities, implementing involves ongoing cycles of action learning: changing structures and behaviors, assessing progress, and making necessary modifications. Information about how well implementation is progressing and how well the new organization design is achieving its strategic objectives is collected and used to clarify and adjust the organization as needed. This learning process continues indefinitely as members periodically assess and improve the design and alter it to fit changing conditions. The feedback loops shown in Figure 13.5 suggest that the implementing and assessing activities may lead back to affect subsequent designing, diagnosing, valuing, and acquiring knowledge. This iterative sequence of feedback and adjustment and learning activities provides organizations with the capacity to continually transform and improve.

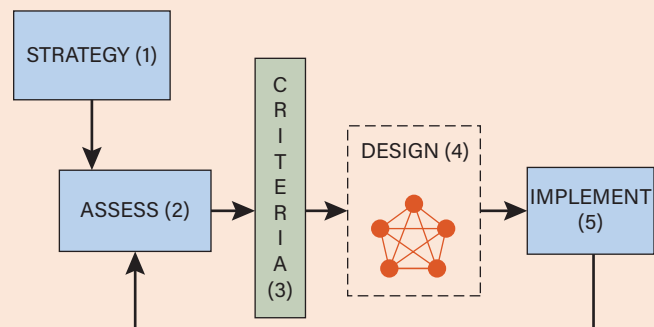
Application 14.2 describes how Oracle adapted and applied the self-design process to fit a demanding environment.³⁷ What adaptations of the self-design approach do you notice and why are they appropriate for a firm like Oracle? What role did the design criteria play and how were they used in the designing phase?

Application 13.2

The Self-Design Process at Oracle

Oracle Corporation offers software licenses, support, and maintenance services worldwide, providing enterprise customers with a comprehensive and fully integrated set of cloud applications and platform services. To help Oracle Lines of Business (LOBs) become more agile and responsive and to enable strategy execution in a rapidly changing industry, the Organization and Talent Development (OTD) group is responsible for developing and supporting an organization design capability.

Within OTD, the Organization Development Consulting Practices (ODCP) team, led by Becky Spears, has adapted the self-design process to fit the competitive conditions at Oracle. As shown in the figure below, the ODCP design process involves (1) clarifying the strategy; (2) assessing the current organization against that strategy, thereby identifying key areas for change; (3) developing criteria to guide design work and focusing the design on enabling the strategy; (4) creating and selecting the most optimal design options; and (5) implementing and evaluating the change.



Using the self-design process, Oracle's OD consultants partnered with the Eastern & Central Europe, Middle East, & Africa (ECEMEA) Sales and Consulting organization. Changing technologies and customer challenges presented several strategic issues and opportunities. One important opportunity involved integrating products from multiple LOBs and partnering with customers across countries within ECEMEA. It promised to open up opportunities for larger contracts. The key players in such a strategy

The Self-Design Process at Oracle, continued

would involve not just the ECEMEA LOB but also the Systems LOB and Consulting LOB.

As part of the Assess phase, Becky worked with ECEMEA's OD consultant, Andrea Baldo, to understand the organization's complex matrix structure comprised of regional sales territories, cross-regional services, and cross-regional support organizations, such as operations, finance, and government relations. The resulting picture of the organization also described how other Oracle LOBs, especially the Systems (hardware) LOB and the Consulting LOB, were partnering with the same customers.

Successfully offering a complete solution to ECEMEA customers would require increased collaboration and coordination among the ECEMEA groups and, more importantly, better coordination with the broader European functions. Leadership team members within and outside the ECEMEA group agreed that these could be more effective and agreed to the ECEMEA senior vice president (SVP) proposal (originated by the OD consultants) that they work together to identify and approve design criteria, design cross-group collaborative structures and processes, and implement the new design in five pilot countries.

Prior to the design workshop, Andrea and Becky asked team members to propose potential design criteria. During a video call, they described the role and function of design criteria, provided examples, and assigned leadership team members to small virtual teams that would submit their top three criteria. They provided a deadline, collected the criteria, and aggregated them into a list for the SVP to review. They worked with him to develop a short, prioritized list for consideration by the team.

During the design workshop, Andrea reviewed the strategic problem and direction required for success as well as a summary of the assessment of the current organization. This included the importance and objective of closing more large contracts as well as a summary of the challenges facing current customers. The team recognized the data and confirmed that the strategic direction and assessments were clear. Then the SVP presented his proposed list of design criteria. The group discussed and debated the criteria and agreed on the following list:

ECEMEA needs an organization that can:

1. Enable its leadership of cross-LOB contracts, starting with first contact.
2. Identify and coordinate the responsibilities of different LOBs in pursuing large contracts.

3. Deploy a structured methodology for capturing large contracts.
4. Balance metrics and rewards/recognition for large contracts.

Andrea then divided the participants into two groups and asked each group to recommend redesign options. Each group began with the same instructions: To identify the most important interfaces between different groups and LOBs (in both the local and regional organizations) and then describe and document how it should work to fulfill the design criteria. The instructions included:

- Keep a focus at the strategic and organizational level; don't include single sales opportunities.
- Create proposals and actions that apply to a large set of situations; don't include those restricted to a few, particular cases.
- Identify the most critical roles, interfaces, or processes.
- Design how information exchange should happen; that is, what information should one group give and/or receive from another group to support an effective sales process?
- Identify systems, processes, and practices that are already effective and could be replicated.
- Identify where bottlenecks, conflicts, and escalated decisions happened and how to fix them.

The two groups then returned to the meeting room and presented their design ideas. An engaging discussion ensued in the plenary session. In addition, the SVP actively asked questions, challenged leaders, and provided his feedback to keep the discussion concrete and focused on how to execute the ideas. Andrea facilitated the conversation to make sure that it stayed relevant to the design criteria. In the end, the group agreed on the following design ideas:

1. Establish a process at the country and regional level to identify opportunities earlier in the sales cycle and share customer information across functions and LOBs. The process should include regular reviews during the year.
2. Assign the country manager as the owner of this process and create a governance model to track progress of customer opportunities.
3. Develop a "Top Deals Dashboard" to track the progress of large sales opportunities and define roles at the country, territory, and regional levels.
4. Ask five countries to pilot the model.

The Self-Design Process at Oracle, continued

To execute these design changes, a cross-group task force was created and developed a vision for the change effort. It stated:

- While Oracle collectively has huge potential for engaging in large transformational contracts, we rarely leverage our entire customer insight in a structured process.
- We want to enable country managers to bring together and leverage the collective information and insight we have on our customers to promote the development of large opportunities.
- Our focus is on the early stage, to be proactive in addressing large transformations that our customers need to drive their effectiveness.
- There is a tremendous opportunity in leveraging collective cross-group and cross-LOB synergies when focused on specific opportunities.

The SVP agreed with the vision and proposal. He launched the new process with five pilot

country managers. The SVP and the task force chose not to implement the process in a top-down manner. Instead, and in keeping with best practice in implementing complex change, they provided the overall guidelines and then let the country leaders decide how best to implement the process in their countries. Each country had different contexts, addressable markets, and cultures and they did not want to propose a centralized or one-size-fits-all approach.

Several months later, the consultants contacted two of the pilot countries to check on implementation progress and success. Both leaders had established cross-LOB management boards and reported that the number of large contracts receiving more support and attention had already increased. In addition, they noticed that information sharing among the most important groups, especially in resolving issues early in the process, had increased significantly.

13-4 Organization Culture

The final large-scale change intervention involves organization culture. The interest in organization culture was initially spurred by best-selling management books in the 1980s, including *Theory Z* and *In Search of Excellence*, as organizations sought alternative sources of competitive advantage. It remained a focus of research with books such as *Built to Last* and *Corporate Culture and Performance* and continues as a focus of practice because of its relationship to inclusion, belonging, and sustainability.³⁸ Research confirms that culture can affect the organization's ability to operate smoothly and efficiently, adapt to environmental change, and achieve high levels of performance.³⁹

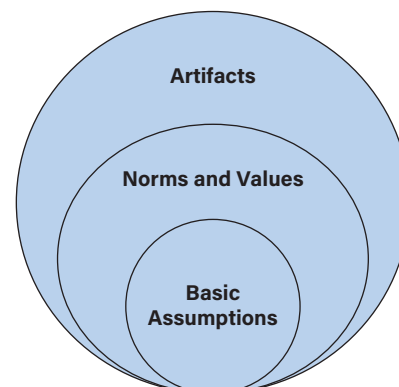
13-4a Defining and Diagnosing Organization Culture

Organization development researchers have developed a variety of culture definitions, and there is agreement that culture is a pattern of artifacts, norms and values, and basic assumptions (see Figure 13.6). This pattern provides organization members with clear and often widely shared answers to such practical issues as “how do we do things around here,” “what do we do when a problem arises,” and “how do we socialize new employees.”⁴⁰

Generally, an organization's culture is deeply rooted in its history. The cultures at IBM, Sony, Disney, Microsoft, and HP were laid down by strong founders and have been reinforced by executive decisions and corporate success. As shown previously in Figure 13.1, culture is an outcome of choices about strategy and organization design and how they interact with members' experiences. In turn, culture can either facilitate or hinder subsequent change processes and it can influence organization outcomes. Organization

Figure 13.6

Levels of Culture



culture can be the subject of change itself if it does not support behaviors and activities demanded by the environment.

A comprehensive approach to describing and diagnosing culture emphasizes how artifacts, norms and values, and tacit and shared assumptions guide member behavior and influence organization effectiveness.

Artifacts Most cultural assessments include descriptions of surface-level *artifacts*, the visible symbols of the deeper levels of culture values and basic assumptions. They include members' behaviors, clothing, stories, and language; the organization's design features, including structures, systems, and processes; and the organization's physical arrangements, such as decor, office space layouts, and appointments. At Nordstrom, a high-end retail department store in the United States, an important artifact is the policy and procedure manual, which is one sentence: "Do whatever you think is right." In addition, Nordstrom pays commissions on sales to link effort and compensation, provides stationery for salespeople to write personal notes to customers, and expects buyers to work as salespeople to better understand the customer's expectations.

One diagnostic method simply asks groups of people to generate a list of artifacts. A newer method uses big data analytic techniques to scour emails and other communication media to determine shared perspectives.⁴¹ By themselves, artifacts can provide a great deal of information about the organization's culture because they often represent the deeper assumptions. The difficulty in their use during cultural analysis is interpretation; outsiders (and even some insiders) have no way of knowing what the artifacts represent, if anything.

A second approach to culture diagnosis assesses observed work behaviors that can produce business results.⁴² A series of individual and group interviews can ask managers how the organization performs tasks and manages relationships or to describe "the way the game is played," as if they were coaching a new organization member. Responses to the question are placed into one of four categories—company-wide, boss-subordinate, peer, and interdepartmental—and six managerial tasks—innovating, decision making, communicating, organizing, monitoring, and appraising or rewarding. These perceptions can reveal common patterns of task performance and relationship management and their influence on effectiveness.

Norms and Values A deeper level of cultural diagnosis focuses on the organization's norms and values. Just below the artifact level, *norms* are the unwritten rules of behavior guiding how members should behave in specific situations. They are generally inferred from observing how members behave and interact with each other. At Nordstrom, norms

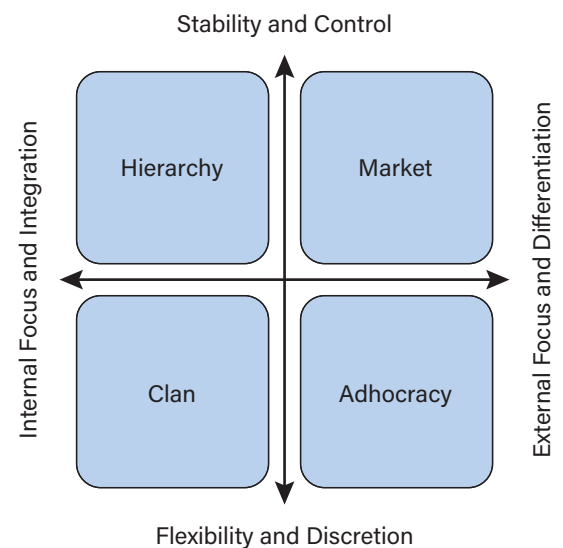
dictate that it is okay for members to go the extra mile to satisfy customer requests; it is not okay for salespeople to take credit for customers who were working with another salesperson.

Values describe what "ought to be" in organizations, and they come in two forms: espoused values and values-in-use.⁴³ *Espoused values* are the beliefs organizations declare openly as important. Organizations often post their espoused values on posters in the office or on corporate websites. *Values-in-use* are those beliefs that actually drive behaviors. Values-in-use tell members what is important in the organization and what deserves their attention. For Nordstrom, customer service is both an espoused value and a value-in-use. As a result, sales representatives pay strong attention to how well the customer is treated. The norms and artifacts are consistent with this value. Unfortunately, people and organizations sometimes espouse values that have little to do with the ones they actually follow. People are reluctant to admit this discrepancy, yet somehow idealized portrayals of culture need to be distinguished from the underlying reality.

One popular method of cultural diagnosis at the values level explores how the organization resolves two value dilemmas as shown in Figure 13.7.⁴⁴ The two value dilemmas—contradictory perspectives placed at opposite ends of a continuum—are (1) internal focus and integration versus external focus and differentiation and (2) flexibility and discretion versus stability and control. Organizations continually struggle to satisfy the conflicting demands

Figure 13.7

The Competing Values Approach to Culture



Source: Adapted from K. Cameron and R. Quinn. *Diagnosing and Changing Organizational Culture*. Based on the Competing Values Framework, p.32
© 1999 Addison-Wesley Publishing Co., Inc.

posed by these competing values. For example, when faced with the dilemma of internal versus external focus, too much emphasis on competitive issues in the environment risks neglecting internal efficiencies. Conversely, too much attention on internal integration can risk missing important changes in the external environment.

This “competing values” approach typically collects survey data to provide diagnostic data.⁴⁵ It provides measures of where an organization’s existing values fall along each of the dimensions. When taken together, these data identify an organization’s culture as falling into one of the four quadrants shown in Figure 13.7: clan culture, adhocracy culture, hierarchical culture, and market culture. A *clan culture* emphasizes internal integration as well as innovation and flexibility. It can feel like an extended family because it encourages teamwork, engagement, and commitment to employees. Leaders in these organizations can be viewed as mentors or father figures and hold the organization together by loyalty and tradition. *Adhocracy cultures* integrate flexibility and innovation with an external focus. These are dynamic, entrepreneurial, and creative organizations. They thrive in uncertain, ambiguous, and turbulent environments. Leaders are expected to be visionary, innovative, and risk oriented. When the organization is internally focused and values stability, control, and integration, a *hierarchical culture* can form. Smooth operations are supported by a highly formalized and structured bureaucracy. Leaders are efficiency-oriented, effective coordinators. Finally, a *market culture* reflects values that emphasize an external focus as well as stability and control. This is a results-oriented organization and members are competitive and goal focused. The leaders are tough, demanding, and focused on winning.

Deep Assumptions Finally, OD practitioners have a couple of options for understanding the deep, taken-for-granted assumptions level of culture.⁴⁶ *Deep assumptions* are nonconfrontable and nondebatable beliefs about human nature, human activity, and human relationships, including ways the organization should relate to its environment. They tell members about how they should perceive, think, and feel about things and approach organizational problem solving. For example, a basic assumption at Nordstrom is the belief in the fundamental dignity of people; it is morally right to treat customers with extraordinary service.

One approach to diagnosing deep assumptions asks outsiders to help uncover cultural elements through joint exploration.⁴⁷ The outsider enters the organization and experiences surprises and puzzles about how work gets done or decisions are made. The outsider shares these observations with insiders, and the two parties jointly explore their meaning. This process involves several iterations of experiencing

surprises, checking for meaning, and formulating hypotheses about the culture. It results in a written description of an organization’s underlying cultural assumptions.

A second method for identifying the basic assumptions brings together a group of people for a culture workshop—for example, a senior management team or a cross-section of managers, old and new members, and labor leaders.⁴⁸ The group first brainstorms the organization’s artifacts. From this list, the values and norms that would produce such artifacts are deduced. For example, the group might notice the organization’s adoption of an “open office” floorplan. The inferred value might be “we value relationships among the workforce.” In addition, the organization’s espoused values are listed. In the final step, a facilitator asks the group to identify the assumptions that would explain the constellation of often conflicting values, norms, and artifacts. For example, some employees challenged Nordstrom to reconcile its espoused value of respect for people with the practice of encouraging salespeople to conduct customer support activities “off the clock” to save costs. Nordstrom has had to work hard to make sure its actions aligned with its words. Because these basic assumptions are generally taken for granted, they can be very difficult to articulate. A great deal of OD process consultation can help organization members see the underlying assumptions.

In sum, diagnosing organization culture poses at least two difficult problems for OD practitioners.⁴⁹ First, to the extent culture reflects the shared but taken-for-granted assumptions about what is important, how things are done, and how people should behave in organizations, organization members can be unaware of them and rarely speak of them directly. This means spending considerable time and effort to observe behaviors and the physical surroundings and to ask members about such cultural outcroppings as daily routines, stories, and rituals to understand their deeper significance for organization members.

Second, large, diverse, or worldwide organizations are likely to have several subcultures, what Martin called “differentiated” cultures, including countercultures going against the grain of the wider organization culture.⁵⁰ Assumptions may not be shared widely and may differ across groups in the organization. This can lead to group conflicts that may require an organization confrontation meeting or intergroup conflict intervention (Chapter 8) to resolve. Subculture differences can be a real issue in worldwide organizations, and it means that sampling limited parts of the organization or a few select individuals may provide a distorted view of the organization’s culture and subcultures. In these situations, a broad sampling of groups in the organization needs to be identified and their cultural assumptions explored. Only then can practitioners judge the extent to which assumptions are shared widely.

13-4b Implementing Culture Change

Despite agreement about the elements of culture, there is considerable debate about how and whether culture change is possible.⁵¹ Those who believe culture change can readily happen tend to focus on the surface elements of culture, such as norms and artifacts. These elements are more easily addressed and offer a more manageable set of action levers than the deeper elements of values-in-use and basic assumptions.

Others focusing on values-in-use and basic assumptions argue that unless these deeper elements are changed, organizations will not change their culture. Because members rarely question these deeper elements, they have a difficult time envisioning anything else. Moreover, members may not want to change their cultural assumptions. They can provide a strong defense against external uncertainties and threats because they have worked in the past.⁵² Members also may have vested interests, pride, or power in the current culture and may strongly resist attempts to change it. Finally, cultures that provide organizations with a competitive advantage may be difficult to imitate. Less successful firms wanting to change their cultures to approximate the more successful ones may find it difficult.⁵³ Most OD practitioners from this perspective suggest that targeting change in organization culture should be considered only after other, less difficult, and less costly solutions have been applied or ruled out.

These debates are healthy for OD knowledge and practice. Yet, culture change may be necessary if it does not fit a rapidly changing environment, if performance is mediocre or worse, or if the organization is smaller and growing rapidly. Consistent with the characteristics of large-scale change described earlier, OD practitioners provide the following practical advice for bringing about culture change:⁵⁴

1. **Formulate a clear strategic vision.** Effective culture change starts from a clear vision of the organization's strategy and of the shared values and behaviors needed to make it work. This vision provides the purpose and direction for culture change. It serves as a yardstick for deciding whether proposed changes are consistent with the future core values of the organization. A useful approach to providing clear strategic vision is the development of a statement of purpose, listing in straightforward terms the organization's espoused values. For example, Johnson & Johnson calls its guiding principles "Our Credo." It describes several basic values that guide the organization, including "We believe our first responsibility is to the doctors, nurses and patients, to mothers and all others who use our products and services"; "We must respect [employees'] dignity and recognize their merit"; and "We must maintain in good

order the property we are privileged to use, protecting the environment and natural resources."⁵⁵ The key challenge in culture change then becomes converting espoused values into values-in-use.

2. **Display top-management commitment.** Culture change is typically managed from the top of the organization. Senior leaders are expected to be behaviorally committed to the new values, to create resources and support for change, and to have the staying power to see the changes through.⁵⁶ Ideally, their behaviors should symbolize the kinds of values and behaviors being sought. More recently, and in the wake of digital transformations and work changes that began during the pandemic, researchers and practitioners are beginning to question this top-down view of culture change. Middle managers may have more influence over setting behavior standards than top leaders, who are less visible and present in virtual and hybrid settings.⁵⁷

However, most publicized cases of successful culture change tend to focus on leaders' passion for the new values and how their actions have symbolized the values forcefully.⁵⁸ For example, when the Four Seasons hotel chain agreed to operate the George V hotel in Paris, it not only remodeled the hotel but had to implement a culture consistent with its corporate brand and strategy, which were both "North American" in nature. Didier Le Calvez, general manager of the Four Seasons George V, made several controversial decisions, including agreeing to the 35-hour work week, hiring an executive chef, and implementing a performance appraisal process. The nature of these decisions symbolized his understanding of French culture on the one hand and the importance of the Four Seasons' standards on the other. In addition, Le Calvez was very visible on the property, meeting the French union officials for lunch, finding constructive ways to correct behavior in line with the Four Seasons' service expectations, and participating in the interview and selection of all employees.⁵⁹

3. **Modify the organization to support change.** Culture change generally emerges from modifications in the organization's design components consistent with the new values and managerial commitments.⁶⁰ Every component sends signals that can orient people's behaviors to the desired culture. They can make people aware of the behaviors required to get things done in the new culture and can encourage performance of those behaviors. For example, to support the culture change at Cambia Health Solutions, a Blue Cross-Blue Shield provider, the leadership team sponsored a variety of large and small reorganizations and goal setting and reward system changes to support a new culture.

Internal OD practitioners and HR business partners supported these changes, and the leadership team monitored them.

4. Select and socialize newcomers and terminate deviants.

One of the most effective methods for supporting culture change is to change organization membership. People can be selected or terminated for their fit with the new culture. This is especially important in key leadership positions, where people's actions can significantly promote or hinder new values and behaviors.⁶¹ A midterm evaluation of the culture change effort at Cambia Health Solutions found that many people believed the effort was working because of several leadership changes, including the movement or replacement of key executives as well as the hiring of new executives that behaved in line with the new values.

Another approach is to socialize newly hired people into the new culture. People are most open to organizational influences during the entry stage, when they can be effectively indoctrinated into the culture. For example, companies with strong cultures like Samsung, HP, Procter & Gamble, and 3M attach great importance to socializing new members into the company's values.

Application 13.3 presents an example of culture change at IBM. It illustrates how important cultural principles are used to shape behavior during a period of organizational growth and how culture can be used to facilitate merger-and-acquisition integration processes.⁶² As you read the application, do you see yourself fitting into IBM's new culture? If not, what corporate values and beliefs would attract you to join and remain?

Application 13.3

Culture Change at IBM

IBM began in 1914 as a maker of cheese slicers, scales, and tabulating machines. Thomas Watson, its founder who became famous for the "Think" watchword, created the company on three values called "Basic Beliefs": "respect for the individual," "the best customer service," and "the pursuit of excellence." Based on these values, IBM grew into one of the great industrial giants of the world, routinely hailed as a "best managed company."

By the late 1980s and the early 1990s, however, IBM's enormous success had an unintended consequence. The firm became complacent; its basic beliefs provided a rationale for stability. "Respect for the individual" had morphed into an entitlement mentality where lifetime employment was reinforced by cultural norms. The "pursuit of excellence" gave way to corporate arrogance and a failure to listen to customers or the marketplace because IBM knew what was right. Finally, its devotion to large, centralized computer systems rather than PC-based distributed architectures led to its downfall. IBM's stock price dropped 75% between August 1987 and September 1993.

To turn things around, IBM appointed Lou Gerstner as CEO in 1991. When asked about his vision for IBM, he responded: "The last thing IBM needs right now is a vision." Over the next few years, Gerstner cut IBM's workforce in half, abolished lifetime employment, and refocused its business strategy

from hardware to software and services. The spectacular success that followed is regarded as one of the greatest turnarounds in business history.

So, what would you do as the CEO who followed Gerstner? Sam Palmisano, a lifetime IBM employee, was appointed CEO in 2002. He strongly believed that IBM's continued success depended on re-laying its foundation. "We couldn't be casual about tinkering with the DNA of a company like IBM. We had to come up with a way to get the employees to create the value system, to determine the company's principles. Watson's Basic Beliefs, however distorted they might have become over the years, had to be the starting point."

To clarify and shift IBM's culture, Palmisano orchestrated a process that began with the corporation's top 300 executives. Together, they generated the basic categories for the new values, including respect, customer, excellence, and innovation. These categories were tested in focus groups and broad surveys with more than 1,000 employees across levels, locations, and functions. Based on this input, three proposed values—commitment to the customer, excellence through innovation, and integrity that earns trust—were submitted to a "Values Jam," a 72-hour process where all employees at IBM were invited to comment on the proposed values via IBM's intranet. The Values Jam organized employee discussion around four forums. A company values forum

Culture Change at IBM, continued

asked general questions about the importance of values. A “first draft” discussion forum asked for reactions to the three proposed values. A third forum asked about IBM’s value in society, and a fourth asked people to describe IBM when it was at its best. Including Palmisano, 50,000 employees made over 10,000 comments about the company’s culture and identity. The following were some early-on comments:

- “The only value in IBM today is the stock price.”
- “Company values (yeah right).”
- “I feel we talk a lot about trust and taking risks, but at the same time, we have endless audits, mistakes are punished and not seen as a welcome part of learning, and managers (and others) are consistently checked.”
- “There appears to be great reluctance among our junior executive community to challenge the view of our senior execs.”
- “Many times, I have heard expressions like ‘Would you tell Sam that his strategy is wrong?’”

However, after initial feedback about why things weren’t working or wouldn’t work, the debate turned more positive. Eventually, a small design team took all the comments, looked for themes, and revised the proposed values into “dedication to every client’s success,” “innovation that matters—for our company and for the world,” and “trust and personal responsibility in all relationships.” Palmisano announced them in November 2003. The feedback, in the form of postings on the intranet and more than a thousand emails sent directly to Palmisano, was “these are fine . . . show me.”

In the final stage of the culture intervention, Palmisano sponsored a series of change projects to demonstrate how the values would be used to make decisions and manage the company. One project was dubbed the “\$100 million bet on trust.” It was in response to a story that Palmisano heard about an IBM employee prototyping software for a client in Tokyo who immediately needed a software engineer based in Austin to help configure a server. The employee couldn’t get help right away because a charge code was first needed so there would be a way to account for the software engineer’s time. In effect, employees were unable to respond quickly to client needs because financial control processes required several levels of management approval. Although the money would usually be approved, it was often too late to be responsive. To address these issues, the \$100 million bet on trust gave each manager in a pilot group up to \$5,000 annually to spend, no questions asked, to respond

to extraordinary situations that would help generate business, to develop client relationships, or to respond to an IBMer’s emergency need. Subsequent evaluation showed that the money was being spent wisely. There were several examples of teams winning deals and delighting clients with a small amount of immediately available cash. Consequently, the program was extended to all 22,000 first-line managers. Palmisano was convinced that allowing line managers to take some reasonable risk and trusting them with those decisions would pay off. More importantly, the program symbolized living the IBM values.

Another important change to reflect the values better involved setting prices. The Values Jam surfaced many stories about the difficulty of pricing a customer solution that involved a variety of products and services from multiple IBM groups. Since each brand and business unit had its own profits and losses (P&L), an across-IBM bid was usually pulled apart by each unit and run through the financial accounting system as separate bids for individual products and services. This made it extremely difficult to come up with an all-inclusive price, which ran counter to IBM’s value of client success and the strategy of being able to offer a total solution—hardware, software, services, and financing. In one classic case, IBM’s CFO was putting together a deal for his partnership account that involved hardware, software, and services. He was told by the finance function that he couldn’t price it as an integrated solution. In other words, IBM’s CFO was told he couldn’t offer the deal he was proposing!

In response, IBM developed an integrated bid system to better reflect its values. All of the people who set prices for clients were brought together and told, “You work for IBM. When there’s a cross-IBM bid with multiple products, you price it on the IBM income statement, not on the income statements of each product.” This led to a series of intense meetings with senior executives about allocating integrated bids to business-unit P&Ls. IBM made it work because it was the right thing to do in aligning the organization to its values.

The IBM culture change was led by senior executives and involved the whole organization in discussing and debating the firm’s values and identity. There was remarkable agreement on what the values should be. The debate, as it turned out, wasn’t over the values themselves but on whether IBM would be willing and able to live with them. To make this happen, specific organizational changes were made that symbolized the values in use.

Summary

In this chapter, we described the fundamentals of large-scale organizational change. These transformational, continuous, and multi-organizational types of change typically happen in response to or in anticipation of significant environmental, technological, or internal changes. They are initiated by senior line managers, involve multiple stakeholders, are systemic in nature, and involve considerable learning in support of a new paradigm or culture.

Organization design is a fundamental OD intervention central to many large-scale changes. It involves both aligning the organization's structure, work processes, HR processes, and management processes with each other, and fitting that configuration with the organization strategy. Organization structure is a fundamental element in organization design and includes basic functional and divisional structures as well as more complex matrix, process, customer-centric, and network structures. In domestic settings, this usually results in organization designs that vary along a continuum from mechanistic to organic depending on the requirements of the organization's strategy and the complexity and rapidity of change of the organization's technology and environment. In worldwide settings,

organization designs need to reflect the requirements for global integration and local responsiveness.

The self-design intervention helps organizations change their designs continually as circumstances demand. It involves multiple levels of the organization and relevant stakeholders. It includes an iterative series of acquiring knowledge, valuing, diagnosing, designing, and implementing and assessing.

Organization culture includes the pattern of artifacts, norms and values, and basic assumptions shared by organization members. It influences how members perceive, think, and behave at work. Culture is an important contributor to and outcome of strategy, organization design, and experience; it affects whether firms can implement new strategies and whether they can operate at high levels of excellence. Culture change interventions can be an extremely difficult and long-term process. They start with diagnosis of the organization's existing culture and then develop a clear strategic vision, top-management commitment, supporting changes in organization design, selection and socialization processes for newcomers, and termination practices for deviants.

Notes

1. F. Hesselbein and M. Goldsmith, eds., *The Organization of the Future* (Jossey-Bass, 2009); S. Durst, S. Temel, and P. Ulvenblad, "The Future of Organizations in the Age of Digital Transformation—A Critical Discussion Beyond Marketing and Buzzword," *Management Revue (mrev)* 32 (2021): 106–7; A. Hanelt, R. Bohnsack, D. Marz, and C. Antunes Marante, "A Systematic Review of the Literature on Digital Transformation: Insights and Implications for Strategy and Organizational Change," *Journal of Management Studies* 58 (2021): 1159–97; A. Shipilov and A. Gawer, "Integrating Research on Interorganizational Networks and Ecosystems," *Academy of Management Annals* 14 (2020): 92–121.
2. M. Tushman and E. Romanelli, "Organizational Evolution: A Metamorphosis Model of Convergence and Reorientation," in *Research in Organizational Behavior*, vol. 7, eds. L. Cummings and B. Staw (JAI Press, 1985): 171–222; F. Suarez and R. Oliva, "Environmental Change and Organizational Transformation," *Industrial and Corporate Change* 14 (2005): 1017–41; C. Christensen, *The Innovator's Dilemma: When New Technologies Cause Great Firms to Fail* (Harvard Business School Press, 1997).
3. J. Peng, M. Li, Z. Wang, and Y. Lin, "Transformational Leadership and Employees' Reactions to Organizational Change: Evidence from a Meta-analysis," *Journal of Applied Behavioral Science* 57 (2021): 369–97; T. Hutzschenreuter, I. Kleindienst, and C. Greger, "How New Leaders Affect Strategic Change Following a Succession Event: A Critical Review of the Literature," *Leadership Quarterly* 23 (2012): 729–55; R. Eisenbach, K. Watson, and R. Pillai, "Transformational Leadership in the Context of Organization Change," *Journal of Organizational Change Management* 12 (1999): 80–89; A. Pettigrew, "Context and Action in the Transformation of the Firm," *Journal of Management Studies* 24 (1987): 649–70.
4. R. Lungeanu and E. Zajac, "Thinking Broad and Deep: Why Some Directors Exert an Outsized Influence on Strategic Change," *Organization Science* 30 (2019): 489–508; L. Greiner and A. Bhambri, "New CEO Intervention and Dynamics of Deliberate Strategic Change," *Strategic Management Journal* 10 (Summer 1989): 67–86.
5. O. Bladek, J. Deighton, A. Dunn, T. Huizenga, and W. Walden, "The Wisdom of Transformations: How Successful CEOs Think About Change" (McKinsey & Co., July 23, 2019), <https://www.mckinsey.com.br/~media/McKinsey/Business%20Functions/Transformation/Our%20Insights/The%20wisdom%20of%20transformations%20How%20successful%20CEOs%20think%20about%20change/The-wisdom-of-transformations.pdf>; S. Anthony, A. Trotter, and E. Schwartz, "The Top 20 Business Transformations of the Last Decade," *Harvard Business Review* (September 2019); R. Tenkasi, S. Mohrman, and A. Mohrman, "Accelerated

- Learning During Organizational Transition,” in *Tomorrow's Organization: Crafting Winning Capabilities in a Dynamic World*, eds. S. Mohrman, J. Galbraith, and E. Lawler (Jossey-Bass, 1998): 330–61.
6. J. Kouzes and B. Posner, *The Leadership Challenge*, 6th ed. (Jossey-Bass, 2017); T. Simons, “Behavioral Integrity as a Critical Ingredient for Transformational Leadership,” *Journal of Organizational Change Management* 12 (1999): 89–105.
 7. A. Shipilov and A. Gawer, “Integrating Research on Interorganizational Networks and Ecosystems,” *Academy of Management Annals* 14 (2020): 92–121; M. Weisbord, *Productive Workplaces* (Jossey-Bass, 1987); R. Freeman, *Strategic Management* (Ballinger, 1984).
 8. G. Jayaram, “Open Systems Planning,” in *The Planning of Change*, 3rd ed., eds. W. Bennis, K. Benne, R. Chin, and K. Corey (Holt, Rinehart, & Winston, 1976): 275–83.
 9. J. Bartunek and E. Jones, “How Organizational Transformation Has Been Continuously Changing and Not Changing,” in *Research in Organizational Change and Development*, vol. 25, eds. R. Shani and D. Noumair (Emerald, 2017): 143–69; D. Miller and P. Friesen, *Organizations: A Quantum View* (Prentice-Hall, 1984); L. Greiner, “Evolution and Revolution as Organizations Grow,” *Harvard Business Review* (July–August 1972): 37–46.
 10. B. Lamont, R. Williams, and J. Hoffman, “Performance During ‘M-Form’ Reorganization and Recovery Time: The Effects of Prior Strategy and Implementation Speed,” *Academy of Management Journal* 37 (1994): 153–66; D. Miller and P. Friesen, “Structural Change and Performance: Quantum versus Piecemeal-Incremental Approaches,” *Academy of Management Journal* 25 (1982): 867–92.
 11. A. Meyer, A. Tsui, and C. Hinings, “Guest Co-Editors Introduction: Configurational Approaches to Organizational Analysis,” *Academy of Management Journal* 36 (1993): 1175–95.
 12. Durst, Temel, and Ulvenblad, “The Future of Organizations in the Age of Digital Transformation”; Hanelt et al., “A Systematic Review of the Literature on Digital Transformation.”
 13. R. Golembiewski, K. Billingsley, and S. Yeager, “Measuring Change and Persistence in Human Affairs: Types of Changes Generated by OD Designs,” *Journal of Applied Behavioral Science* 12 (1975): 133–57.
 14. J. Galbraith, *Organization Design* (Addison-Wesley, 1977); R. Burton, B. Eriksen, D. Håkansson, and C. Snow, *Organization Design: The Evolving State-of-the-Art* (Springer, 2006); J. Galbraith, “Organization Design,” in *Handbook of Organization Development*, ed. T. Cummings (Sage, 2008): 325–52; N. Stanford, *Organization Design*, 3rd ed. (Routledge, 2018).
 15. P. Lawrence and J. Lorsch, *Organization and Environment: Managing Differentiation and Integration* (Harvard University, 1967); S. Girod and S. Karim, “Restructure or Reconfigure?” *Harvard Business Review* (March–April 2017), <https://hbr.org/2017/03/restructure-or-reconfigure>.
 16. T. Burns and G. Stalker, *The Management of Innovation* (Social Science Paperbacks, 1961).
 17. P. Lawrence and J. Lorsch, “Differentiation and Integration in Complex Organizations,” *Administrative Science Quarterly* 12 (1967): 1–47.
 18. P. Brodie, “The New Movement of Organization Design,” *Forbes*, March 28, 2023, <https://www.forbes.com/sites/forbes-coachescouncil/2023/03/28/the-new-movement-of-organization-design/>; R. Burton, D. D. Håkansson, E. R. Larsen, and B. Obel, “New Trends in Organization Design,” *Journal of Organization Design* 9 (2020): 1–2.
 19. J. Podolny and M. Hansen, “How Apple is Organized for Innovation,” *Harvard Business Review* 98 (2020): 86–95.
 20. L. Gulick and L. Urwick, eds., *Papers on the Science of Administration* (Institute of Public Administration, Columbia University, 1937); M. Weber, *The Theory of Social and Economic Organization* (Free Press, 1947).
 21. A. Chandler, *Strategy and Structure: Chapters in the History of the Industrial Enterprise* (MIT Press, 1962).
 22. S. Davis and P. Lawrence, *Matrix* (Addison-Wesley, 1977); H. Kolodny, “Managing in a Matrix,” *Business Horizons* 24 (March–April 1981): 17–35; J. Galbraith, *Designing Matrix Organizations that Actually Work* (Jossey-Bass, 2008).
 23. W. Joyce, “Matrix Organization: A Social Experiment,” *Academy of Management Journal* 29 (1986): 536–61; C. Worley and C. Teplitz, “The Use of ‘Expert Power’ as an Emerging Influence Style within Successful U.S. Matrix Organizations,” *Project Management Journal* 24 (1993): 31–36.
 24. Davis and Lawrence, *Matrix*.
 25. A. Vera and L. Kuntz, “Process-Based Organization Design and Hospital Efficiency,” *Health Care Management Review* 32 (2007): 55–65.
 26. J. Galbraith, E. Lawler, and Associates, *Organizing for the Future: The New Logic for Managing Complex Organizations* (Jossey-Bass, 1993); J. Byrne, “The Horizontal Corporation,” *BusinessWeek*, December 20, 1993, 76–81; S. Mohrman, S. Cohen, and A. Mohrman, *Designing Team-Based Organizations* (Jossey-Bass, 1995); R. Ashkenas, D. Ulrich, T. Jick, and S. Kerr, *The Boundaryless Organization* (Jossey-Bass, 1995).
 27. J. Galbraith, *Designing the Customer-Centric Organization* (Jossey-Bass, 2005).
 28. W. Sroka and S. Hittmar, *Management of Network Organizations* (Springer International, 2015); C. Snow, R. Miles, and H. Coleman Jr., “Managing 21st Century Network Organizations,” *Organizational Dynamics* 20 (1992): 5–19; R. Rycroft, “Managing Complex Networks: Key to 21st Century Innovation Success,” *Research-Technology Management* (May–June 1999): 13–18; W. Powell, “Neither Market Nor Hierarchy: Network Forms of Organization,” in *Research in Organizational Behavior*, vol. 12, eds. B. Staw and L. Cummings (JAI Press, 1990): 295–336; J. Podolny and K. Page, “Network Forms of Organization,” *Annual Review of Sociology* 24 (1998): 57–76; W. Davidow and M. Malone, *The Virtual Corporation: Structuring and Revitalizing the Corporation of the 21st Century* (Harper Business, 1992); J. Bryne, R. Brandt, and O. Port, “The Virtual Corporation,” *BusinessWeek*, February 8, 1993, 98–102; S. Tully, “The Modular Corporation,” *Fortune*,

- February 8, 1993), 52–56; B. Robertson, *Holacracy: The New Management System for a Rapidly Changing World* (Henry Holt, 2015); O. Brafman and R. Beckstrom, *The Starfish and the Spider: The Unstoppable Power of Leaderless Organization* (Penguin Books, 2007).
29. E. Bernstein and N. Nohria, “Note on Organizational Structure” (Harvard Business School Press, 9-491-083, 2016); G. Dess, A. Rasheed, K. McLaughlin, and R. Priem, “The New Corporate Architecture,” *Academy of Management Executive* 9 (1995): 7–20.
 30. R. Reingold, “How a Radical Shift Left Zappos Reeling,” *Fortune*, March 4, 2016, <http://fortune.com/zappos-tyony-hsieh-holacracy/>; S. White, “What Is Holacracy and Why Does It Work for Zappos?” *CIO*, August 5, 2015, <http://www.cio.com/article/2956721/staff-management/what-is-holacracy-and-why-does-it-work-for-zappos.html?page=2>; B. Lam, “Why Are So Many Zappos Employees Leaving?” *The Atlantic*, January 15, 2016, <https://www.theatlantic.com/business/archive/2016/01/zappos-holacracy-hierarchy/424173/>; S. Denning, “Making Sense of Zappos and Holacracy,” *Fortune*, January 15, 2014, <https://www.forbes.com/sites/stevedenning/2014/01/15/making-sense-of-zappos-and-holacracy/#60962b933207>; R. Hodge, “First, Let’s Get Rid of all the Bosses,” *New Republic*, October 5, 2015, <https://newrepublic.com/article/122965/can-billion-dollar-corporation-zappos-be-self-organized>.
 31. J. Galbraith, *Competing with Flexible Lateral Organizations* (Addison-Wesley, 1994).
 32. C. Bartlett and P. Beamish, *Transnational Management*, 7th ed. (McGraw-Hill, 2013); S. Kunisch, M. Markus, and D. Collins, “Corporate Headquarters in the Twenty-First Century: An Organization Design Perspective,” *Journal of Organization Design* 9 (2020): 1–32.
 33. C. Prahalad and Y. Doz, *The Multinational Mission: Balancing Local Demands and Global Vision* (Free Press, 1987).
 34. C. Worley, V. Zardet, M. Bonnet, and A. Savall, *Becoming Agile: How the SEAM Approach to Management Builds Adaptability* (Wiley, 2015).
 35. D. Heenan and H. Perlmutter, *Multinational Organization Development* (Addison-Wesley, 1979).
 36. B. Hedberg, P. Nystrom, and W. Starbuck, “Camping on Seesaws: Prescriptions for a Self-Designing Organization,” *Administrative Science Quarterly* 21 (1976): 41–65; K. Weick, “Organization Design: Organizations as Self-Designing Systems,” *Organizational Dynamics* 6 (1977): 30–46.
 37. This application was developed by Becky Spears, former head of Oracle’s Organization and Talent Development unit and Andrea Baldo, an internal OD consultant. Their contribution and support are gratefully acknowledged.
 38. W. Ouchi, “Theory Z: How American Business Can Meet the Japanese Challenge,” *Business Horizons* 24 (1981): 82–83; J. Collins and J. Porras, *Built to Last* (Harper Business, 1994); J. Kotter and J. Heskett, *Corporate Culture and Performance* (Free Press, 1992); T. Peters and R. Waterman, *In Search of Excellence* (Harper & Row, 1982); M. Gonzales, “The Relationship Between Culture and DE&I” (Society for Human Resource Management, February 16, 2022), <https://www.shrm.org/resourcesandtools/hr-topics/behavioral-competencies/global-and-cultural-effectiveness/pages/the-relationship-between-culture-and-dei.aspx>; G. Gorton, J. Grennan, and A. Zentefis, “Corporate Culture,” *Annual Review of Financial Economics* 14 (2022): 535–61; J. Graham, J. Grennan, C. Harvey, and S. Rajgopal, “Corporate Culture: Evidence from the Field,” *Journal of Financial Economics* 146 (2022): 552–93.
 39. C. Hartnell, A. Yi Ou, and A. Kinicki, “Organizational Culture and Organizational Effectiveness: A Meta-analytic Investigation of the Competing Values Framework’s Theoretical Suppositions,” *Journal of Applied Psychology* 96 (2011): 677–94; S. Sackmann, “Culture and Performance,” in *The Handbook of Organizational Culture and Climate*, vol. 2, eds. N. Ashkanasy, C. Wilderom, and M. Peterson (Sage, 2011): 188–224; Collins and Porras, *Built to Last*; Kotter and Heskett, *Corporate Culture and Performance*; A. Xenikou and M. Simosi, “Organizational Culture and Transformational Leadership as Predictors of Business Unit Performance,” *Journal of Managerial Psychology* 21 (2006): 566–79.
 40. J. Martin, *Organization Culture* (Sage, 2002); K. Cameron and R. Quinn, *Diagnosing and Changing Organizational Culture*, 3rd ed. (Jossey-Bass, 2011); E. Schein and P. Schein, *Organizational Culture and Leadership*, 5th ed. (Jossey-Bass, 2016).
 41. M. Corritore, A. Goldberg, and S. Srivastava, “The New Analytics of Culture,” *Harvard Business Review* 98 (2020): 76–83.
 42. H. Schwartz and S. Davis, “Matching Corporate Culture and Business Strategy,” *Organizational Dynamics* (Summer 1981): 30–48; S. Davis, *Managing Corporate Culture* (Ballinger, 1984).
 43. C. Argylis and D. Schön, *Organizational Learning II* (Addison-Wesley, 1996).
 44. R. E. Quinn, *Beyond Rational Management: Mastering the Paradoxes and Competing Demands of High Performance* (Jossey-Bass, 1988); Cameron and Quinn, *Diagnosing and Changing Organizational Culture*.
 45. R. Quinn and G. Spreitzer, “The Psychometrics of the Competing Values Culture Instrument and an Analysis of the Impact of Organizational Culture on Quality of Life,” in *Research in Organizational Change and Development*, vol. 5, eds. R. Woodman and W. Pasmore (JAI Press, 1991): 115–42.
 46. M. Schultz, *On Studying Organizational Cultures: Diagnosis and Understanding* (Walter de Gruyter, 2012); R. Zammuto and J. Krakower, “Quantitative and Qualitative Studies of Organizational Culture,” in *Research in Organizational Change and Development*, vol. 5, eds. R. Woodman and W. Pasmore (JAI Press, 1991): 83–114.
 47. Schein and Schein, *Organizational Culture*.
 48. E. Schein, *The Corporate Culture Survival Guide* (Jossey-Bass, 1999).
 49. Schein and Schein, *Organizational Culture*.

50. Martin, *Organization Culture*.
51. P. J. Frost, L. F. Moore, M. R. Louis, C. C. Lundberg, and J. Martin, eds., *Organizational Culture* (Sage, 1985); Martin, *Organizational Culture*.
52. D. Meyerson and J. Martin, "Cultural Change: An Integration of Three Different Views," *Journal of Management Studies* 24 (1987): 623–47.
53. J. Barney, "Organizational Culture: Can It Be a Source of Sustained Competitive Advantage?" *Academy of Management Review* 11 (1986): 656–65.
54. Schein, *Corporate Culture Survival Guide*; V. Sathe, "Implications of Corporate Culture: A Manager's Guide to Action," *Organizational Dynamics* (Autumn 1983): 5–23; K. Cameron, "A Process for Changing Organization Culture," in *Handbook of Organization Development*, ed. T. Cummings (Sage, 2008): 429–45; L. Neville and B. Schneider, "Why Is It So Hard to Change a Culture: It's the People," *Organization Development Review* 53 (2021): 41–46; C. Lau, L. Kilbourne, and R. Woodman, "A Shared Schema Approach to Understanding Organizational Culture Change," in *Research on Organizational Change and Development*, vol. 14, eds. W. Pasmore and R. Woodman (JAI Press, 2003): 225–56; J. Barney, M. Amorim, and C. Júlio, *The Secret of Culture Change: How to Build Authentic Stories that Transform Your Organization* (Berrett-Koehler, 2023).
55. Johnson & Johnson, <https://www.jnj.com/credo/>.
56. B. Dumaine, "Creating a New Company Culture," *Fortune*, January 15, 1990, 127–31; C. O'Reilly, "Corporations, Culture, and Commitment: Motivation and Social Control in Organizations," *California Management Review* 31 (Summer 1989): 9–25; Pettigrew, "Context and Action."
57. D. L. Yohn, "Company Culture Is Everyone's Responsibility," *Harvard Business Review* (February 8, 2021), <https://hbr.org/2021/02/company-culture-is-everyones-responsibility>; C. Watson, C. Worley, and W. Pasmore, "Consulting Under Conditions of Uncertainty: Microsoft's Journey Toward Digitalization," *Management Consulting in the Era of the Digital Organization*, ed. D. Szaba (Information Age, 2023): 77–98.
58. Dumaine, "Creating a New Company Culture."
59. R. Hallowell, D. Bowen, and C. Knoop, "Four Seasons Goes to Paris," *Academy of Management Executive* 16 (2002): 7–24.
60. S. Ellis and H. Brown, "Can Values Be Trained?: Applying Affective Engagement to Changing Organizational Culture," *Performance Improvement Quarterly* 33 (2020): 327–47.
61. Neville and Schneider, "Why Is It So Hard to Change a Culture."
62. This application was based on material found in L. Applegate, C. Heckscher, B. Michael, and E. Collins, "IBM's Decade of Transformation: Uniting Vision and Values," Case 9-807-030 (Harvard Business School, 2006); O. Bjelland and R. Wood, "An Inside View of IBM's 'Innovation Jam,'" *Sloan Management Review* (2008), <http://sloanreview.mit.edu/the-magazine/2008-fall/50101/an-inside-view-of-ibms-innovation-jam>; P. Hemp and T. Stewart, "Leading Change When Business Is Good," *Harvard Business Review* 82 (2004): 60–70.

Large-Scale Organization Change Interventions

Learning Objectives

- Describe the key features and processes associated with the integrated strategic change intervention.
- Discuss the key routines and design guidelines of the agile organization intervention.
- Explore the sustainable organizations intervention, a special form of agile organization.

Many organizations today can face intense competitive pressures in highly dynamic environments.¹ This chapter describes organization development (OD) interventions that help organizations transform and continually change themselves to meet these pressing demands. These large-scale changes adapt organizations' strategy, design, and culture to major technological and competitive disruptions and facilitate organization change to keep pace with rapidly evolving environments.

The first intervention, integrated strategic change, addresses the systemic and radical nature of large-scale change. It helps organizations align major changes in strategy and organization design to disruptions in the competitive environment, such as a

technological upheaval or an abrupt change in consumer demand.

Agile organizations, the second large-scale intervention, builds flexibility into the strategy, design, and culture of the organization to enable timely responses to a changing environment. Strategizing, perceiving, testing, and implementing routines define a change capability that helps organizations manage the inherent tradeoff between efficient operations and continuous change.

The third large-scale change, sustainable organizations, extends the concept of agility by helping organizations become more socially responsible, environmentally responsive, and financially effective. It adjusts the organization's strategies, designs, and processes to enable these outcomes.

14-1 Integrated Strategic Change

The *integrated strategic change (ISC)* intervention helps organizations design and implement transformational change. It realigns an organization's strategy and organization design to a changing competitive environment and improves performance.² Worley, Hitchin, and Ross developed ISC from research showing that good business strategies are often not implemented.³ In traditional processes, senior managers and strategic planning staff prepare economic forecasts, competitor analyses, and market studies, discuss these studies independently from other organization members, and rationally align the firm's strengths and weaknesses with environmental opportunities and threats to form the organization's strategy.⁴ Implementation is expected to occur, just as rationally, as middle managers and employees hear about the new strategy through restructuring announcements or new departmental objectives. Because participation had been limited to top management, there is little understanding of the need for change and little ownership of the initiatives and tactics required to implement the strategy. Beer labelled these challenges the "silent killers" of strategy implementation.⁵

14-1a Key Features

The relevant unit of analysis and change for ISC is the organization's *strategic orientation* comprising its strategy and organization design as an integrated whole. How the organization's strategy produces a competitive advantage is intricately tied to the organization structure, work design, and human resources (HR) practices needed to enact it. Similarly, the creation of the strategy, the member involvement that

gains commitment to it, and the change process for implementing it are treated together as an integrated process. They need to be aligned and mutually support each other for strategic change to succeed. Stakeholder participation is central to the strategic planning and implementation process. It creates higher levels of shared ownership and commitment to change, directs attention and resources to the organization's key capabilities, and improves coordination and integration within the organization.

Integrated strategic change is most relevant in situations where an organization's industry or competitive environment sustains relatively long periods of smooth growth or incremental change that are punctuated with infrequent but severe disruptions that render existing organizational arrangements ineffective.⁶ The faster the organization can make relevant changes to respond to these abrupt disruptions, the quicker it can benefit from operating in a new way.⁷ If successful, the organization is likely to experience another long period of smooth functioning until the next major disruption occurs. IBM, Harley Davidson, and DaVita were successful in transforming themselves when faced with an infrequent but major environmental disruption.

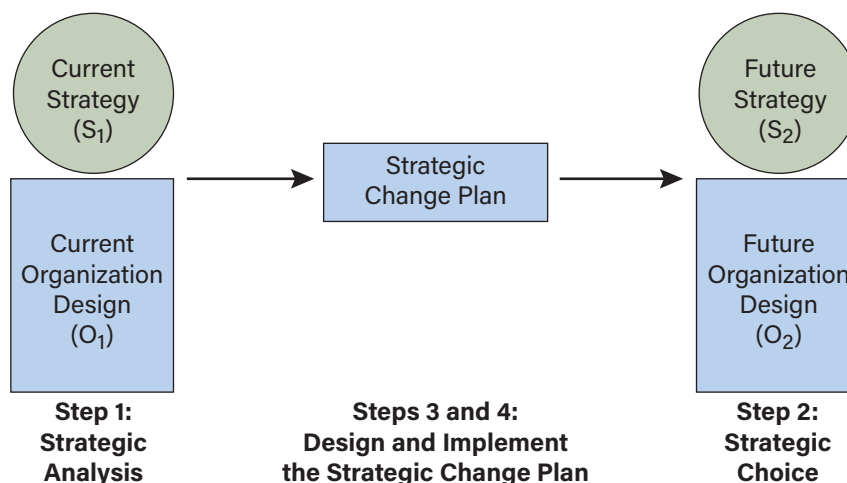
14-1b Implementing the ISC Process

The ISC process is applied in four phases: performing a strategic analysis, exercising strategic choice, designing a strategic change plan, and implementing the plan. Organization members and other stakeholders are actively involved. This improves the quality of the process and builds commitment to the strategic change intervention.

The four steps are discussed sequentially but unfold in overlapping and integrated ways (Figure 14.1).

Figure 14-1

The Integrated Strategic Change Process



1. **Performing the strategic analysis.** The ISC process begins with a diagnosis of the organization's current strategic orientation, current strategy, and organization design. Diagnostic tools described in Chapter 4 analyze the industry's attractiveness⁸ and the current strategic orientation to explain current levels of performance and human outcomes. The diagnosis provides information about the organization's capabilities and the elements of strategic orientation that are likely sources of customer dissatisfaction, financial problems, or employee disengagement. It also identifies the likely magnitude and timeframe of the change process.
2. **Exercising strategic choice.** This step determines the content or "what" of strategic change, a description of the new strategy and the design components required to support it. The problems and opportunities identified in the strategic analysis are the basis for refining the future strategy and specifying a new organization design. Market forecasts, employees' readiness and willingness to change, and competitor analyses are typically used to develop two to three alternative scenarios. They broadly define different visions, strategies, and objectives as well as the organization design that will be necessary to support each alternative. A metaphor may be used to depict the scenarios, such as Nike's "Just do it" phrase that reflects its mission to "Bring inspiration and innovation to every athlete* in the world" (the asterisk means "if you have a body, you are an athlete"). The alternative scenarios are debated and their strengths and weaknesses outlined.

Although various stakeholders are involved in the ISC process, the choice of strategic orientation ultimately rests with top management and cannot easily be delegated. Senior executives are uniquely positioned to view a strategy from a general management perspective and commit the organization to a distinct course of action. The strategic choice phase ends with a clearly specified strategy and organization design necessary to support it.

3. **Designing the strategic change plan.** The strategic change plan represents the process or "how" of strategic change. It describes the types, magnitude, and schedule of change activities and outlines the costs associated with them. Consistent with the research on large-scale change, the strategic change plan is a comprehensive and aggressive agenda for moving the organization to its desired future strategic orientation as quickly as possible. It accounts for how much the proposed changes challenge the organization's existing culture and ability to implement change. It also specifies how power and political issues among stakeholders will be addressed.²⁶

4. **Implementing the plan.** The final step in the ISC process implements the strategic change plan. Large-scale changes usually proceed in phases that involve considerable transition management. Implementation thus draws heavily on the change management methods discussed in Chapter 5.

Because large-scale organization change generally involves significant shifts in many features of the strategic orientation, the ISC intervention can place heavy demands on the organization's resources and especially its leadership expertise. Leaders need to develop political support among relevant stakeholders, champion the change plan, and motivate commitment to it. Holding members accountable for the change objectives, reinforcing the changes, and solving problems as they arise are significant challenges. Because no strategic change plan can account for all the contingencies that emerge, leaders may need to adjust the plan as unforeseen events and opportunities arise.

Application 14.1 describes the strategic change process at Brioche Pasquier.⁹ The company's evolution was punctuated by a series of large-scale changes. What disruptions triggered those changes? After Pascal Pasquier became CEO, how did his change process mirror the ISC intervention? Also, consider how this application illustrates the evolution of a worldwide organization design.

14-2 Agile Organizations

One of the fastest-growing large-scale change interventions involves intentionally designing organizations for change, not stability. Traditional organization design and managerial practices tend to prioritize short-term efficiency and reliability that lock the organization into a way of operating that is difficult to change.¹⁰ Supporters of an agility perspective argue that many change efforts are unsuccessful, not because of human resistance or lack of visionary leadership but because organization design favors stability as the key to effectiveness. Such built-in assumptions can be a recipe for failure in rapidly changing environments, where the ability to change constantly is the best route to sustained high performance.¹¹

Interventions aimed at increasing organization agility can be confused with other agile methodologies. Agile software development, for example, utilizes scrum tools, rapid prototyping, and other techniques to increase the effectiveness of programming processes. Agile leadership, agile learning, and other micro-organizational concepts intended to increase the flexibility of specific organization features are also common. In contrast, organization agility is an organization-level phenomenon. It represents

Application 14.1

Integrated Strategic Change at Brioche Pasquier

Background

Brioche Pasquier was a French bakery founded in 1974 by Serge and Louis Marie Pasquier. Initially focused on brioche and other breads, the “build-the-brand” strategy prioritized quality and freshness by working closely with local customers and suppliers. Profitability, growth, and regional market shares grew quickly over the first 15 years. Several small pastry business acquisitions and a new production facility expanded the product line and led to the company renaming itself the Brioche Pasquier Group (BPG).

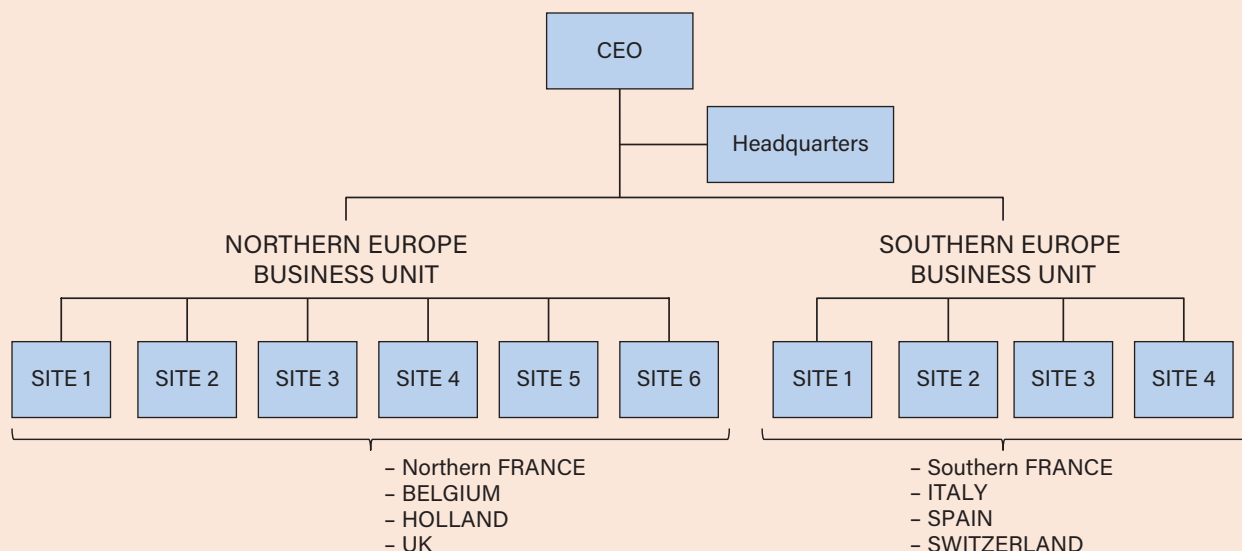
In the mid-2000s, BPG adopted an “expand-the-brand” strategy. It acquired Recondo, a Spanish firm that added toasted breads to its product line, and the Italian bakery Brescia. The common goal of both acquisitions was to establish international manufacturing sites and learn to work with local employees. Although the strategy initially struggled—toasted products used a different production process and the French labor laws were different than Italian and Spanish policies—BPG learned how to supply products to new markets from existing sites, how to coordinate more complex production and delivery processes, and how expatriated BPG employees could galvanize local sales in the foreign countries.

During this period, BPG was structured into two geographical divisions (Figure 1). The brioche,

pastry, and toasted bread product lines were served by 10 production sites—eight in France, one in Spain, and one in Italy—as well as sales offices in other European countries. To coordinate businesses across markets and customers, general terms and conditions were set at the national level and served a “pulling” function by establishing overall prices and product volume targets with key accounts, such as Leclerc, Carrefour, or Auchan. Individual site managers took responsibility for negotiating specific terms and conditions for their product line. This strategy gave site managers an important level of responsibility. Each site and its sales team were responsible for “pushing” sales in the stores through promotions, events, and close relationships with store managers throughout the year.

Strategic Analysis

When Pascal Pasquier took control of the company, he initiated a strategic analysis of BPG’s past successes, current organization, and the broader industrial context. It suggested several challenges ahead. BPG’s French market share had topped out at 45% and gross margins were decreasing with market maturity. Moreover, pursuing further market share growth would be expensive and might require investments, such as centralizing purchasing, that



Integrated Strategic Change at Brioche Pasquier, continued

were counter to the culture and fundamentals that had been cornerstones of the organization's success. BPG's original "build-the-brand" strategy was narrow in terms of products and markets, moderately aggressive in terms of growth, and focused on the differentiators of quality and service. A cohesive, participative, and high-involvement culture supported that strategy. During the subsequent "expand-the-brand" strategy, BPG extended these advantages to include a fresh and coordinated product line paired with a strong, consistent, and locally responsive operation. The strong customer focus led to a variety of innovative products and services, increased market share, and expansion into other parts of France and Europe. Pascal believed BPG's future growth would rely even more on internationalization.

Strategic Choice

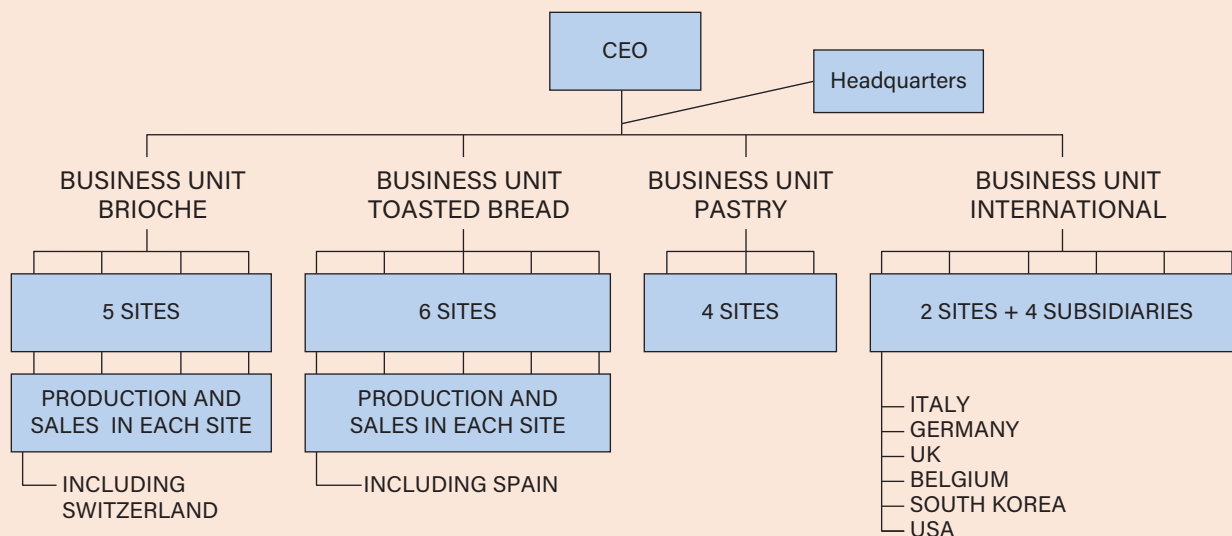
In consultation with his site managers and OD practitioners from the Institute for a Socio-Economic Approach to Enterprises and Organizations (ISEOR), Pascal proposed increasing the organization's productive capacity through a structural change and then developing a more formal internationalization strategy. The participative process to develop a new strategic change plan was based on three axes: "producing local," "developing international partnerships/alliances," and "spreading the management system." In line with the structure, Pascal made international development a strategic priority, proposing to increase the goal of international sales to 23%

of BPG's overall revenue. However, the company retained its original policy of assigning a site sales manager to negotiate broad terms for key clients with locally oriented sales activities at each site. As part of the plan, BPG targeted the United Kingdom and the United States markets for one new manufacturing site in each market.

Strategy Implementation

The reorganization (Figure 2) included a group executive committee composed of the CEO, the directors and deputy directors of the business units, and key functional managers from the headquarters staff. Charged with ensuring overall company coordination, the group executive committee would make strategic decisions on investments and other strategic, organizational, commercial, and HR issues. Five functions—finance, HR, legal, information technology, and technology development—representing less than 100 people reported to the CEO and constituted the headquarters organization. This headquarters unit was kept deliberately and maintained a commitment to a "power of sites, lightness of headquarters" policy that had helped to synchronize decentralized operations since the company's beginnings.

In addition, brioche, pastry, and toasted breads divisions and an international division were implemented. The brioche division remained the largest force in the company, although the international division was expected to increase volume and product gross margins. Export logistics and sales functions



Integrated Strategic Change at Brioche Pasquier, continued

that earlier had been controlled by the French sites were transferred to the international business unit. It was also tasked with managing all foreign subsidiaries, except the two Spanish production sites that were affiliated with the toasted bread business unit. This structure would eventually control 17 sites and five subsidiaries, 3,500 employees, and €730 million (\$770 million) in revenue in 2022.

- The new strategy in the UK leveraged a sales office that had been opened in 2001, supplying products for this market from the northern France production facility. French sales managers were expatriated there to market BPG products.

The retail networks in the UK were well structured and organized and the managing director understood the local market dynamics. This allowed BPG products to be quickly and easily seen and sold in all the UK markets. The UK director commented, “As soon as our products are sold into Tesco or Marks & Spencer, you can find them in each and every store and area of the country the next day.” In addition, British consumers had open attitudes regarding food. The London area was very cosmopolitan and diverse and, when they tasted something and liked it, they usually bought it again.

The UK business was an unqualified success. Its growth was exponential compared to the rest of Europe. In 2013, the UK market accounted for €36 million in sales, 90% of which came from brioche products. Consequently, BPG acquired the land to build a manufacturing plant in late 2013.

- In the United States, the internationalization process was ambitious but cautious. Pascal worried that the strategy might lead to talent-oriented and financial mistakes that would cost more than a sensible integration. Time and money were the two most ambitious requirements of internationalization and BPG did not want to sacrifice either one of them to succeed. As a result, BPG tried to capture learnings from case studies of French acquisitions exporting products to the United States. In addition, and in keeping with the alliance axis in the new international strategy, Pascal began looking

for a reliable and effective local partner. BPG executives believed this approach would result in a speedier, more focused effort and less distraction of management attention and energy.

In 2009, BPG’s top managers met with executives from Galaxy Desserts at New York City’s Fancy Food Show. Galaxy Desserts (GD), founded in 1998 in northern California, produced mostly “handcrafted” upmarket French-inspired products, such as tarts and mousse cakes. They had a well-established sales force and strong management values that complemented the BPG philosophy.

Both organizations worked hard to build a close and professional relationship, traveling to each other’s facilities, talking frequently, and attending promotional events together. Following a period when GD imported BPG products, BPG acquired 78% of GD’s shares and became a BPG subsidiary. The goals of the acquisition were to develop GD’s existing business and brand name in the United States and to extend the brioche market under the French brand name Brioche Pasquier. Early steps included test marketing French products, extending the existing European-based supply chains, and learning how export, customs, and transportation costs affected pricing, margins, and product freshness.

Both organizations had to adapt their management practices and strategic activities. Although French and American executives worked well together, management tools and processes needed to be adjusted to function in the American environment. At the same time, French executives and middle managers continued to travel to California to increase their mutual understanding and find specific ways to progressively integrate the new subsidiary into the organization.

The family’s steady hand on the business, their enduring commitment to product quality and customer relationships, and their advancement of a high-involvement, decentralized culture has allowed BPG to grow and change.

the learned capability to repeatedly orchestrate timely and sufficient change in strategies, capabilities, and organization design when and where it results in sustained effectiveness.¹²

14-2a Agile Design Features

Table 14.1 defines the four routines that comprise the agile organization’s capability.

Table 14.1 Agile Organization Routines

Routine	Description
Strategizing	The way a top management team refreshes its short-term strategy. This routine is enabled by flexible strategies and guided by organization identity that includes a “culture of candor.”
Perceiving	The way the organization senses, interprets, and communicates relevant short-term and long-term shifts in the external environment.
Testing	The process of experimenting, innovating, and learning on a continuous basis.
Implementing	The way an organization maintains awareness, designs and tailors change, and generates implementation feedback to orchestrate changes in products, operations, structures, and systems and develop new capabilities, business models, and strategies on a continuous basis.

Strategizing In a turbulent environment, agile organizations recognize that the competitive advantage from a strategy is fleeting. They develop a *strategizing routine* that can continually refresh short-term strategies. This routine is enabled by a flexible perspective on strategy, and it is guided by a change-friendly identity (described below)¹³ that embraces a “culture of candor,” where challenging the status quo is encouraged, expected, and rewarded.¹⁴

Perceiving Despite descriptions of the environment as changing, many organizations operate *as if* it is not by committing to the pursuit of reliability and efficiency. The *perceiving routine* utilizes structures, transparent communication systems, and strong “futuring” processes to understand turbulence and support the strategizing routine.¹⁵ Leaders in agile organizations spend a lot of time thinking about alternative future environments and scenarios. Using these scenarios to sharpen their strategic thinking, they think about the capabilities, products, or businesses that might be demanded and develop a cadre of decision alternatives. Agile organizations are not agile because they operate faster; they are agile because they are prepared to act quickly.

Testing Continuous innovation is the lifeblood of agile organizations. Drawing on opportunities identified in the perceiving routine, the *testing routine* continuously explores new products, services, and alternative organizational arrangements for the short, medium, and long term.¹⁶ A continuous process of testing, experimenting, and learning uses flexible resource allocation systems to move people, budgets, and other resources quickly, and effective learning practices, such as those described in Chapter 8, enhances exploration opportunities. Agile organizations have a way

of shifting the conversation from “What do we do well?” to “What do we need to learn?”

Implementing Agile organizations adopt leadership philosophies and management and HR practices to support a sophisticated *implementing routine* that orchestrates complex change. In today’s turbulent environments, organizations can no longer afford to change one thing at a time.¹⁷ The implementing routine comprises four interdependent change activities that work in concert with the other agility routines to coordinate, prioritize, and resource multiple changes simultaneously.

1. **Discovering.** Organization members are expected to remain aware of and stay connected to current trends and challenges, stakeholder demands, and other changes going on in the organization. The discovering change activity encourages members to see the “big picture” and anticipate how their team or organization unit will have to adapt and change.
2. **Designing.** The designing change activity asks whether current strategies and organization designs are coordinated with prospective changes to create a coherent and understandable context for organization members. Instead of changes competing for attention, organization members see them as a natural next step in the organization’s evolution.
3. **Tailoring.** Proposed designs and changes typically involve a good deal of customizing to fit them to a specific organizational situation that is itself changing. This tailoring of the changes relies on management and HR processes to ensure that “design fit” (Chapter 13) is achieved in a coordinated way and in a desired direction.

4. **Assessing.** Continuous change eschews traditional change evaluation as too time-consuming. Rather, flexible implementation feedback processes (Chapter 6) support more rapid adjustments to changes. Real-time performance measures and quick-response surveys, for example, can expediently assess changes and their effectiveness. This assessing change activity is more focused and evaluative than the more exploratory discovering activity.

Organizations that apply these four change activities repeatedly learn to do them well.¹⁸ Thus, in addition to facilitating complex change, these activities also help organizations learn how to change themselves continually.

14-2b Application Stages

Creating an agile organization involves changing the organization's strategy, design, and culture to operationalize and reinforce the four routines, and then implementing them with a continuous change process.

From Strategy Formulation to Strategizing Turbulent environments frequently pressure organizations to change their strategy. However, given the range of possible disruptions, from technological innovation to customer demands to social activism, these changes to strategy can be uncoordinated and confusing to organization members, and fail to be implemented effectively. Agile organizations move beyond traditional strategy formulation processes to a strategizing routine that readily adjusts the strategy's breadth, aggressiveness, and differentiation as the circumstances demand. Senior executives cultivate a *change-friendly identity* that guides and aligns successive changes in short-term strategies. It makes changes to strategy easier to understand, coordinate, and implement.

Identity represents the "central and enduring attributes of an organization that distinguish it from other organizations" and answers the question, "Who are we as an organization?"¹⁹ Identity is a function of how an organization's culture and brand, image, and reputation work together to support change as normal and expected.²⁰ Although an organization's culture may be stable, its values-in-use can promote the kind of candor essential to challenging the status quo and supporting change.²¹ Similarly, marketing messages and advertising programs can describe the organization's continuous pursuit of outstanding products and services, after-sales support, or customer experiences. A change-friendly identity emerges when the internal culture and the external promises complement each other in promoting change. At Cisco Systems, for example, the identity of "changing the way people live, play, work, and learn" informs why people work there and the purpose of Cisco's products and services.

The transition from a traditional to an agile organization often necessitates an adjustment in organization identity, and senior executives play a crucial role in cultivating a change-friendly version of it. Modifying an organization's identity starts with assessing the current one. Utilizing inputs from the HR and marketing functions, leaders engage stakeholders to understand which existing norms and values support a culture of candor and change and how promotional messages align to those values.

In shaping a change-friendly identity, best practice suggests that reframing existing values is more effective than trying to enact completely new ones.²² It also acknowledges that changing values and norms takes longer than changing marketing messages. For example, Enedis, a French electric company, had a clear "public service" identity with values that seemed anachronistic in a more digitalized and agile organization. Rather than promoting a new "data services" identity and new values, leaders reframed existing values underpinning the public service identity in more digital and agile terms. Subsequent change initiatives intended to create an agile organization were screened for or redesigned to reflect the reframed values and accelerated identity change.

Work Systems and Organization Structure to Support Perceiving and Testing Agile organizations recognize that work systems and organization structure can serve two different purposes. They can *exploit* existing strategies and contribute to efficient operations or *explore* new strategies and create new possibilities.²³ Although exploitive work systems may never be 100% efficient due to changing strategies, they need to be sufficiently reliable to support existing strategic differentiators. For example, DaVita's core work involves delivering dialysis treatment to patients with kidney disease. It is designed primarily for clinical quality and reliability (but not at the expense of member engagement) and supported by a rigorous continuous improvement program.

Exploratory work systems, on the other hand, differ fundamentally from exploitive systems as they seek new opportunities, run experiments to learn, and often challenge existing strategies. Exploratory work systems are temporary, iterative, and project based; conducted by cross-functional teams; and driven by shared objectives.²⁴ Exploration at DaVita includes anticipating health care reforms, exploring potential strategic moves or acquisitions, and developing alternative dialysis treatments. It often explores these opportunities with multistakeholder teams that include regulators, patients, and physicians. This innovative work system enables DaVita to develop its members, gather and charter resources quickly, and make resources available to explore other opportunities when a project is completed.

To accommodate such distinct types of work systems, agile organizations adopt an *ambidextrous organization structure*, combining mechanistic and organic designs.²⁵ This structure channels resources and member attention to both exploit and explore work through differentiation and integration practices (Chapter 13). Differentiation can be achieved through separate organization structures, each focused on either standard or creative work but integrated through shared resources or leadership practices. Alternatively, managers can oversee both exploit and explore types of work within their units.²⁶

A key feature of an ambidextrous organization structure is its external focus or “maximum surface area.”²⁷ It facilitates the creation of a large number of boundary-spanning roles that connect members with the external environment, provide valuable insights for strategic (explore) and operational (exploit) decisions, and contribute to the perceiving routine.²⁸ The external focus in ambidextrous organization structures supports change. Organization members in direct contact with customers, regulators, and the community are more open to innovation than changes proposed by the hierarchy. IBM and Siemens, for instance, are different businesses with different structures but both have good external focus and surface area. In IBM’s case, a customer-centric structure puts cross-functional solution teams into direct contact with customers, while the back-office groups stay current in their technical expertise to support the requested solutions. Both the front and back of the organization work to support IBM’s “Let’s Create” strategy. At Siemens, a divisional structure focuses on vertical industries, such as health care, financial services, and power solutions. Each business stays connected to its relevant market, technology, and environmental issues. A regional go-to-market structure complements the divisional structure to stay close to local social, economic, or regulatory issues and to assemble solutions that best fit customer needs.

Building the Implementing Routine The final application guideline uses HR and management processes to support the implementing routine’s discovery, designing, tailoring, and assessing activities.²⁹ Talent development interventions can build change management skills throughout the organization. Organization members with strong technical competencies but limited appreciation for change processes can favor stability and efficiency over flexibility and adaptation. In agile organizations, change skills are not assigned and specific to certain roles but are a competence applied and valued across the organization. As a result, the more leadership skills are shared across the organization, the more leadership becomes an organizational rather than an individual capability.

Agile organizations’ decision making, employment arrangements, and reward systems jointly support the application of these change competencies regularly across the organization.³⁰ Effective decision-making is reinforced by communication systems that move strategic and operational information transparently to whoever and wherever it is needed. This contributes to discovery and awareness activities. It ensures that the right information is available and ties decision making to strategic objectives. It also speeds decision making because those lower in the organization are aware of the strategy and have access to relevant information; they do not have to wait for top-down direction.³¹

Human resource practices that support multiple employment and work arrangements, including contract labor, outsourcing, and longer-term commitments, attract diverse talent and treat employees as valuable members. Accenture and Deloitte customize their career programs to attract employees who want to choose and shape their own career tracks, lifestyles, and work hours and locations. Such systems recognize that not everyone in the organization is a career employee, has job security, or can expect stable employment. These employment arrangements not only support agility but contribute to an organization’s commitment to an inclusive culture.

Agile organizations’ implementing routines are also supported by reward systems that tie financial and nonfinancial incentives to performance and change outcomes. Executives, for example, can be rewarded for consistently achieving reasonable profit levels; team bonuses can be tied directly to change goals and learning new work processes.³² One-time rewards can be given to individuals or teams at the end of a successful change effort or for contributing to key results.

Organization learning interventions (Chapter 8) help agile organizations get better at changing themselves. “Learning by doing” is essential for building an implementing routine as well as supporting a testing routine whose experimentation and learning are inherently inefficient; not every innovation or experiment will be a success. Organizations that do not test *and* learn can squander valuable resources. For example, learning from failed tests often forms the basis for new innovations and creates options for the future.³³ At 3M, insights from failed innovations are intentionally captured. As technology, markets, or customers mature, these once worthy ideas can again become sources of opportunity. Today’s failures can become tomorrow’s successes. Developing and reinforcing these learning processes are likely to involve a significant investment in training and development and a good deal of organizational tolerance and support.

Application 14.2 describes an important phase in ING’s transformation to agility.³⁴ It shows how the organization built an embedded change capability by addressing

Application 14.2

ING's Journey to Agility

In the summer of 2015, the Dutch banking group ING took another step in its journey to become more agile. Using benchmark principles and practices from firms with agile reputations, such as Google and Zappos, they made significant changes in their structures, systems, and processes. Reflecting the research on agility—and not just parroting the latest fad—ING defined agility as the ability of an organization to rapidly adapt and steer itself in new directions. Agility required letting go of existing organization structures and governance; it had to be viewed as a systemic organization property. In fact, ING executives admit that the current changes are only the latest in what has been a long transformation journey. Bart Schlatman, the former chief operating officer at ING, noted, “We have been on a transformation journey for around 10 years now, but there can be no let-up. Transformation is not just moving an organization from A to B, because once you hit B, you need to move to C, and when you arrive at C, you probably have to start thinking about D.”

Although the company was performing well, consumer behaviors and expectations were rapidly changing. Digital technologies were enabling customers to access services at different times and places as well as through different channels. ING had to rethink the customer experience, and finding a way to work in a nimbler fashion became a high priority to deliver on that strategy.

These latest changes consisted of three broad activities: repositioning the culture, organizing for flexibility, and implementing the new design. First, any attempt to become more agile must eventually address the question of culture and identity, and ING understood that they needed to be integrated with everything the organization did.

Early in the transformation process, executives realized that a central part of ING's identity revolved around the idea that it was a technology company operating in the financial services business. However, over the years, *managing* technology has become more important than *leveraging* it for the customer. When a group of ING executives visited Google, they were amazed by how young people discussed the possibilities of technology excitedly. They were proud to be engineers, and ING executives wondered why its engineers had lost that passion.

One answer was found in a common question. When talented young people were asked to name their dream company from an employment perspective, the places they cited all had in common a particular way of working in small teams with a clear and common purpose, interacting closely with customers, and constantly reshaping what they were working on.

Second, to support the intentional emergence of a new, more engineering-oriented identity, ING made a variety of organizational changes to increase its flexibility. At the core of these changes was a new structure with a clear external and customer-oriented focus, clear roles, and clear management processes. ING was convinced that any structure with the usual hierarchical trappings would hinder agility.

The central feature of the structure was a nine-person, multifunctional “squad.” Each squad was relatively self-managing, was accountable for a specific customer-related objective, and could change its membership as it evolved. Each squad was required to write down its mission and objectives, agree on a way of measuring its impact on clients, and decide how to manage its daily activities. This gave the squad a lot of autonomy to collect feedback from customers and continuously improve its products.

Multiple squads with related missions were assembled into a “tribe,” with one member taking responsibility for establishing priorities and reviewing results through a new quarterly business review process, allocating resources, and interfacing with other tribes to ensure a coordinated effort. Managers shared information about these activities transparently. Communities of practice that reviewed learnings across squads and OD practitioners who served as coaches to individuals and teams supported this core structure.

Changes in HR practices complemented the structure and management process changes. For example, ING switched to a peer-to-peer hiring model where teams selected their own members. It also changed its new employee orientation process to include a full week of customer call center work as well as stints in other key functions of the company. Finally, ING altered in substantive ways how information was shared in the organization.

The final aspect of ING's transformation was the implementation process. With a few exceptions, it

ING's Journey to Agility, continued

implemented the changes in ways that reflected how they wanted the organization to operate. For example, executives spent an enormous amount of energy role-modeling the ownership, empowerment, and customer-centric behaviors that reflect an agile culture. Executives spent two months and five off-site retreats developing the new organization and established five or six experimental squads. Learnings from these tests were used to adapt the design elements. After that, the organization was able to concentrate on getting the new organization staffed up.

By their own account, it took about eight or nine months from the completion of the strategy and vision in late 2014 to the point where the new organization and way of working had been implemented in the headquarters organization. That is, ING initially started with a focus on its headquarters organization. This included about 3,500 members from marketing, product management, channel management, and information technology (IT) development. The thinking was that these functions represented the core work processes of the organization and that organizing these units to support agility would represent an important example for the rest of the organization.

A big part of that was integrating product development and operations activities into what ING called “DevOps.” It provided the capability to make continuous changes and delivery in IT. The squads worked together in the same buildings and constantly tested what they might offer customers in an environment

where there were no managers watching over them and slowing down progress. Focusing on DevOps enabled ING to develop innovative new product features and position itself as the number-one mobile bank in the Netherlands.

Other functions, like HR and finance, branch offices and call centers, and operations were encouraged to adopt agility in ways that were appropriate for them. For example, operations and call centers used self-steering teams that took on more responsibility and less oversight from management. The sales force and branch offices used other tools and tactics.

The new approach at ING improved new product time to market, boosted employee engagement, and increased productivity. For example, ING was releasing software on a two- to three-week basis rather than five to six times a year, and its Net Promoter customer satisfaction and employee-engagement scores were up multiple points.

ING learned that agility was not a purpose in itself but the means to a broader purpose. It was important to ask why agility was important, to make sure that everyone understood the purpose being served by agility. ING has also learned that the leadership team must be “all in” to make a transformation of this magnitude a success. Finally, becoming an agile organization required sacrifices and a willingness to give up fundamental ways of working. This was especially true for senior executives who often had to let go of traditional hierarchical control, formal meetings, and detailed planning and budgeting.

organization identity, organization design, and change in an integrative way. Notice how managers worked with the company's existing identity rather than trying to change it. What challenges do you think ING faced in implementing this new agile design?

14-3 Sustainable Organizations

Sustainable organizations are a special type of agile organization. Recent surveys suggest that 98% of executives believe addressing sustainability issues, such as climate change, inclusion, and social justice, is critical to their organizations.³⁵ Sustainability is being addressed in a growing number of organizations. Patagonia, Tom's Shoes, and Ben & Jerry's are good examples of sustainable companies built from the ground up. UPS, Unilever, Gap Inc., and PepsiCo

are continuing long-term efforts to make sustainable management an integral part of their organization identities and transitioning to circular business models, where products and services are designed to reuse resources.³⁶

14-3a What Are the Goals?

Sustainable effectiveness is the primary objective of sustainable organizations.³⁷ It comprises two key dimensions having to do with sustainability outcomes and how to maintain them over time.

Sustainability outcomes include three, equally weighted results—social, ecological, and financial—often referred to as the “triple bottom line” of people, planet, and profit.³⁸ These valued results are reflected in a sustainable organization's culture, where they guide decisions and actions.

Achieving *economic and financial* outcomes is essential as organizations that cannot generate revenues that meet or exceed expenses cannot survive, let alone create other types of valued outcomes. However, sustainable organizations differ from traditional organizations in how much profit they make, how they make it, and toward what end it is used. They understand that maximizing profit or shareholder returns is not a requirement, even for a public company,³⁹ and can distract attention and resources away from the creation of social and environmental results. Thus, sustainable organizations set reasonable profit and growth expectations and may never be the best performers in their industries at any point in time. They accept a lower return on immediate financial performance to pursue social and environmental objectives.

Creating positive *ecological* outcomes reflects sustainable organizations' keen awareness of their carbon footprint and their overall contribution to the planet's ecology. This ecological value is embodied in alternative sustainability frameworks, such as the Coalition for Environmentally Responsible Economies (CERES) and International Organization for Standardization 14000. They support the logic of the "Natural Step" that economic models based on growth cannot be reconciled with decreasing supplies of finite and fundamental natural resources.⁴⁰ This incompatibility is a central source of sustainability strategies describing how the organization will generate economic and social value without compromising the natural environment.

Social outcomes demonstrate how sustainable organizations contribute to human and cultural well-being, including equity and inclusion, in the communities and countries where they operate. The absence of a clear perspective on social issues leaves organizations vulnerable to the profit maximization motive. Ben & Jerry's is a prime example of a company that works hard to avoid this liability. When Unilever made an offer to acquire the ice cream company, the two organizations negotiated the formation of an independent board responsible for maintaining Ben & Jerry's social responsibility mission.

The second facet of sustainable effectiveness is the ability to maintain sustainability outcomes over time. Excellent financial performance or meeting an equity and inclusion objective at one point in time is not an indication of sustainability over time. Rather, organization sustainability involves continuously adapting and innovating over time such that people, planet, and profit objectives are maintained. This ability to change continuously is a hallmark of agile organizations. The organization factors that facilitate agile performance can enable sustainable organizations to maintain their sustainability outcomes over time. It is important to note, however, that agility is a necessary but not sufficient condition for sustainable effectiveness. An agile organization may or may not have sustainable objectives while a sustainable

organization is an agile organization that also pursues social and environmental outcomes.

14-3b Design Guidelines and Application Stages

Sustainable organization interventions are relatively new in OD, and we present a general set of guides and application steps. More refined knowledge of how sustainable organization interventions work and attain results can be expected as action researchers gain more experience applying them.⁴¹ These large-scale changes generally begin with a fundamental question: Does the organization want to pursue sustainable effectiveness and the organization agility needed to achieve it?

Answers to this values-based query generally involve the organization's board of directors and senior executives. In both profit and nonprofit organizations, the board is typically involved in selecting, assessing, and rewarding senior management and supporting and reinforcing the organization's strategic direction. The role of the board of directors in organization design and change is often neglected in OD or treated as secondary to executive functions. For sustainable organization interventions, however, the board is crucial in deciding whether to extend traditional profit-maximization ideals to the values underlying sustainable effectiveness and the costs and benefits of achieving it. In the absence of strong approval and support from the board, senior leaders may not have the necessary influence or resources to implement a sustainable organization. The change process may then be treated and seen as a half-hearted attempt at social and ecological relevance and eventually "wither on the vine." The organization may wind up worse off than if it had not started out on this challenging journey.

At this preliminary stage, OD practitioners can apply team-building and process-consulting methods to facilitate serious and frank discussion among the board members and senior executives about intervening to create a sustainable organization. This would address their level of commitment to the values underlying the triple bottom line as well as judgments of the likely costs and results of the change process. It may also involve consideration about changes in board and senior management membership and the need to add board committees for human capital, social responsibility, and environmental impact to traditional audit and compensation committees.

If this thoughtful and genuine discussion results in the choice to be a sustainable organization, a preliminary diagnosis of the organization's current strategic outcomes and agile capability occurs. This involves understanding how well existing outcomes include or achieve triple bottom-line

results. For example, useful diagnostic information can include a comparison of the organization's history of profitability, inclusion and community relations, or carbon footprint against industry averages or standards. It also implies assessing the organization's strategizing, perceiving, testing, and implementing routines to determine their ability to maintain sustainable outcomes?"⁴² Based on the diagnosis, a sustainable organization intervention helps to create a sustainable strategy and agile organization design.⁴³

Creating a Sustainability Strategy The change toward sustainability begins with the organization developing a sustainable strategy that defines sustainable outcomes and guides the change process. This strategizing process can be complex and may need to address different and often conflicting outcomes simultaneously.⁴⁴ That is, investing in community relationships or adopting environmentally sound technologies can challenge aggressive profitability goals in the short run. Sustainability interventions help executives understand how strategy can increase both outcome conflicts and opportunities to manage them. A *broad* and diversified strategy with differentiated products and services can produce a host of ecological and social impacts, yet it can also increase the number and variety of strategic choices to manage them while ensuring reasonable profits in the long run. For example, over time, Starbucks' scope of domestic and international operations and product mix has broadened dramatically, resulting in a growing number of potential conflicts between sustainable outcomes and operational profits. As strategic complexity increased, the company has paid far more attention to balancing the costs of its fair trade, water conservation, and labor, energy, and recycling policies with its financial goals and results.

Similarly, an *aggressive* strategy that takes advantage of a short-term market opportunity is different from a strategy that consistently pursues growth at rates that exceed the rate of market growth, the market's capacity to sustain growth, or the organization's capacity to support growth.⁴⁵ The dramatic advent of artificial intelligence and the rapid adoption of large language models have strategically led Microsoft, Google, and other technology companies to aggressively develop, construct, and operate large data centers. Although responses vary among firms, considerable time and resources are being spent to balance exponentially increasing demands for capacity with sustainability goals that attend to power/energy requirements, how to cool the servers, and local governmental and community impacts. Finally, sustainable strategies *differentiate* their products and services to reflect people, planet, and profit objectives. In response to demands for sustainable products, Adidas announced its "made to be remade" athletic

shoe. It uses technology and materials that enable the shoes to be returned to Adidas—a QR code on the tongue of the shoe initiates the return process—and reused in the manufacturing of other products, such as garments and other types of shoes.

In line with addressing strategic outcome conflicts, the strategizing process needs to account for the goals and perspectives of key stakeholders and their implications for sustainability capabilities and resources. OD interpersonal and group process interventions can facilitate these dialogues, so organization leaders interact with multiple stakeholders in a transparent way, learn different ways of behaving and deciding, and gain clarity and commitment to becoming sustainable.

Finally, creating a sustainable strategy may require the organization to develop a sustainability-friendly identity that embraces the joint pursuit of financial, social, and environmental outcomes. Such identities see environmental initiatives and corporate social responsibility programs as central to strategic and operational decisions, not "in addition to." For example, Unilever does not market and produce a particular "sustainable" product; it develops broad product portfolios that are financially successful, environmentally friendly, and socially beneficial.

Developing a sustainable organization identity typically starts by assessing how well the organization's values-in-use and brand reputation support sustainable effectiveness. OD practitioners can help organization members conduct a cultural diagnosis (Chapter 13) along with an analysis of the firm's brand promises and standing in the market. Then, change processes can be directed at leveraging the organization's values and reputational elements that already support sustained effectiveness rather than trying to "fix" those that are not aligned with it. Change initiatives can then be designed to support the emergence of a sustainability-friendly identity. As a result, identity change indicates the emergence of a sustainability strategy as well as the change's success (i.e., "we are a sustainable organization").

Designing an Agile Organization This application stage of a sustainable organization intervention involves designing and implementing an agile organization. It draws on the features and processes of the agile organization intervention described previously in this chapter. This includes adopting an ambidextrous structure, flexible resource allocation processes, and performance management systems with goals, feedback, and rewards that promote sustainable effectiveness outcomes. People are hired and retained for their compatibility with sustainability.

Work processes receive special attention because they are the primary drivers of an organization's carbon footprint, directly affect the workforce's well-being and community relationships, and create economic value. Work processes can be designed to be more carbon neutral, inclusive and connected to the community, or productive.

In addition to these organization features, sustainable organizations are designed to be good at multi-stakeholder decision making. Organizations like Gap Inc., Loblaw, Unilever, and the World Wildlife Fund, for example, work hard to take diverse perspectives into account in making choices.⁴⁶ Training and development interventions can help organization members learn collaborative decision making and “systems thinking” skills that acknowledge the interdependencies and tradeoffs necessary to meet triple-bottom-line objectives. These decision-making processes may include nontraditional stakeholders, such as community leaders and environmentally related

nongovernmental organizations whose diverse participants can be helpful.⁴⁷ At first, multi-stakeholder decision making is likely to be awkward and inefficient, and organization learning interventions can help members learn how to improve their multistakeholder decision-making capabilities.⁴⁸

Application 14.3 describes how illycaffè, an Italian coffee producer, responded in a sustainable way to disruptions in its environment and supply chain. Illycaffè's changes were consistent with its mission and strategy, involved multiple stakeholders, and addressed all three aspects of the triple bottom-line objective.⁴⁹ Do you think the processes described in the application can be adapted to organizations you are familiar with? What aspects of sustainability are most challenging in these systems? Despite its focus on sustainability, can you identify the aspects of the change process that both reflected illycaffè's agility and increased its ability to change continuously?

Application 14.3

Building a Sustainable Organization at illycaffè

illycaffè is an Italian coffee producer and distributor. It was founded in 1933 by Francesco Illy, the developer of the modern espresso machine, in Trieste, Italy. The family still runs the company, which operates in 140 countries with more than 1,100 employees worldwide. In 2022, it had gross revenues of €568 million (\$600 million). The term “distinctly illy” was coined by the company and its aficionados for illy's signature blend, a balance of nine types of pure, sustainably grown Arabica beans from five continents (South America, Central America, India, Africa, and China). Among coffee producers, illycaffè has a reputation for quality that is reflected in premium prices.

Sustainability is a core part of illycaffè's identity. It is embedded in illycaffè's mission, vision, and values that include producing the best coffee nature can provide, enhanced by the best available technologies and continuous improvement, to create long-term value and sustainability. The company's sustainable value report states that: “The inspiring principle of illycaffè is the continuous striving for perfection. This driving force is expressed through two different founding values: the passion for excellence, intended as a love of beauty and a job well done; and ethics, the creation of long-term value through sustainability, transparency,

the betterment of people, creating value, fostering social growth, and respecting the environment.”

Until the late 1980s, the world coffee market was governed by the International Coffee Agreement (ICA) cartel that controlled prices and imposed quotas on coffee producers. As a result, the price of coffee was reasonably stable and contributed to steady and established supply chains throughout the industry. However, in 1989, the market changed drastically when the ICA collapsed and coffee prices tumbled from about US\$1.25 to \$0.49 per pound in 1992. Small coffee producers were at a particular disadvantage as the huge price decreases decimated their income. The low prices spurred efforts to reduce costs, including the adoption of technology to automate the bean-picking process. Although the machines lowered harvest costs, they were not as selective as hand-picking. Machines could not distinguish the ripe from unripe coffee beans and lowered the overall quality of the harvest. Uneven quality was an acute threat to illycaffè's differentiated strategy. Moreover, the absence of the cartel introduced new actors into the supply chain, such as intermediaries and traders, which further diminished the coffee grower's ability to earn a decent living.

Building a Sustainable Organization at illycaffè, continued

illycaffè's response was consistent with its mission, vision, and values. By their own account, illycaffè is about creating shared stakeholder value and the unregulated coffee prices required agile responses to the new dynamics of the international coffee market. This involved redefining both its supply chain and the way it governed that function. The change began with the network of relationships at the supply source. illycaffè built and leveraged social capital among the growers to improve the social, economic, and environmental sustainability of the green coffee supply chain. These new practices were first developed in Brazil and then extended to other coffee-growing regions.

In the first phase of the change process, illycaffè deliberately abandoned the traditional supply chain and created an integrated set of direct relationships with the farmers. The main pillars of the integrated supply chain model included:

- *Direct purchase.* illycaffè decided to enter direct, long-term relationships with its suppliers. The relationships were founded on a belief in strong mutual benefit and did not rely on commodity exchanges for green coffee supply.
- *Select the growers.* The decision about who to partner with was to be determined by the *on-the-ground* realities of each country. In Brazil, for example, growers were chosen through a competition, "The Ernesto Illy Quality Prize for Espresso." Although this competition had been established in 1991, involving more than 10,000 farmers and prizes worth over \$1.5 million, it became a vehicle for ensuring a high-quality base of suppliers.
- *Train and motivate the growers.* Agronomists from illycaffè's University of Caffè provided hands-on instruction at no cost to the coffee growers. The training developed competencies that supported the continuous improvement of product quality.
- *Recognize quality, guarantee a profit.* Illy added a substantial markup over the international market prices for Arabica beans, directly paying farmers a premium to account for the greater cost and effort required to achieve superior quality.
- *Build a community and culture of excellence.* illycaffè worked to develop a culture of coffee excellence throughout the region in a variety of creative ways. For example, il Clube illy do Café includes more than 450 growers. Through this program, the company establishes direct relationships with the growers based on the exchange of knowledge and mutual growth. Producers can acquire

knowledge and competencies on new sustainable and responsible agricultural practices.

By leveraging existing systems and building new structures and processes, illycaffè built a more flexible and sustainable coffee grower community and supply chain. The growers acquired valuable information about the best cultivation techniques and technologies while taking into consideration product quality, the environment, trends in coffee growing, variability in weather and raw materials supply, and effective food safety controls in production and distribution.

The second phase of the change process involved establishing the Responsible Supply Chain Process (RSCP) certification. As the new, more sustainable, integrated green coffee supply chain was being established, illycaffè began developing specific guidelines to extend this approach and continuously improve it as a governance mechanism. The first step was the definition of two protocols (i.e., Protocols A and B) for deploying competencies, motivation, and a culture of quality and responsibility along the entire supply chain. Their development was assisted by Det Norske Veritas (DNV GL), an independent certification agency. At the same time, the new system built in processes of continuous improvement. Specifically, Protocol A identified the systems and the impact areas needing development, such as organization responsibilities, stakeholder roles and responsibilities, and sustainability communication processes. Each of these systems had to account for business ethics, environmental risks, and social issues.

Protocol B concerned monitoring and mentoring continuous improvements in environmental and social issues and included awards for high performance. The company evaluated current performance along a triple bottom-line objective and identified initiatives to support individual improvement plans or to disseminate sustainability and quality practices to other members of the network. Periodic evaluations were part of the process and helped illycaffè and its supply-chain members improve their operating standards. In this way, coffee growers were not marginalized. The standards increased transparency and distributed power and wealth along the supply chain, thus changing the governance structure of the network.

While many of the monitoring and mentoring initiatives are driven by illycaffè, the award initiatives involved in Protocol B, such as the Ernesto Illy prize, stimulated a proactive attitude among growers toward sustainable innovation. Coffee growers now had more

Building a Sustainable Organization at illycaffè, continued

information and insight into how well distant parts of the industry and supply chain (with which the farmer did not have direct contact) were following “good practice” as well as the problems they were facing or anticipating. illycaffè complemented its own green coffee supply chain management system with the formal adoption of the standard requirements based on the protocols developed by DNV GL and received the RSCP certification.

The benefits of illycaffè’s supply chain and governance initiatives were felt beyond its own network. Other coffee growers in contact with illycaffè’s coffee growers can learn the best techniques and build the capabilities necessary to become suppliers of green coffee for illycaffè. However, even if they do not immediately become part of illycaffè’s supply base, they can incorporate this new knowledge and social capital into their operations and sell their green coffee to illycaffè’s competitors or other traders. The overall sustainability of the system is improved.

illycaffè’s actions improved the company’s internal commitment and external demonstration to

environmental and social sustainability, ethical business practices, and stakeholder involvement. In 2023, for the 11th consecutive year, illycaffè was included in the list of the World’s Most Ethical Companies. Their approach also demonstrated awareness and effective management of the major risks and performance improvements associated with environmental pollution, product quality and safety, labor and human rights, and local community engagement. At the same time, business improvements through increased brand visibility, product credibility, quality standards achievement, increased connection with product origins, and illy’s premium price on the final market were maintained.

illycaffè’s implementation of an integrated supply chain and the corresponding governance system improved the company’s internal commitment to create, over time, a system where individuals are treated with equity, dignity, and respect; the environment is preserved and restored; and suppliers are compliant with rules and awarded for the quality and sustainability of their business.

Summary

In this chapter, we presented three OD interventions for large-scale organization change. These change processes are particularly applicable for organizations facing turbulent environments where traditional sources of competitive advantage erode quickly. Embedding change capabilities into the organization’s design and management are essential to constantly renew forms of competitive advantage and keep pace with a rapidly shifting environment.

Integrated strategic change is a comprehensive and transformational intervention for implementing new organization designs that respond to disruptive environmental pressures. It gives equal weight to the strategic and organizational factors affecting organization performance and effectiveness. These elements are highly integrated during the process of assessing the current strategy and organization design, selecting the desired strategic orientation, developing a strategic change plan, and implementing it.

Agile organizations are built for change, not stability. They are designed and managed to promote flexibility in strategy, organization design, and organization culture. In a rapidly changing environment, a change capability can help the organization continuously transition from one competitive advantage to another.

Sustainable organization interventions are intended to achieve sustainable effectiveness. Organizations must be agile enough to sustain high levels of economic, social, and environmental performance. Achieving these triple bottom-line objectives relies on design guidelines that promote change capabilities and multistakeholder decision making. The organization’s strategy must support sustainability, and its structure, management and information systems, HR practices, and work systems must be oriented appropriately.

Notes

1. R. McGrath, "Transient Advantage," *Harvard Business Review* 91 (2013): 62–70; R. D'Aveni, G. Dagnino, and K. Smith, "The Age of Temporary Advantage," *Strategic Management Journal* 31 (2010): 1371–85.
2. C. Worley, D. Hitchin, and W. Ross, *Integrated Strategic Change: How Organization Development Builds Competitive Advantage* (Addison-Wesley, 1996).
3. M. Jelinek and J. Litterer, "Why OD Must Become Strategic," *Organizational Change and Development*, vol. 2, eds. W. Pasmore and R. Woodman (JAI Press, 1988): 135–62; A. Bhambri and L. Pate, "Introduction—The Strategic Change Agenda: Stimuli, Processes, and Outcomes," *Journal of Organization Change Management* 4 (1991): 4–6; Worley, Hitchin, and Ross, *Integrated Strategic Change*.
4. H. Mintzberg, *The Rise and Fall of Strategic Planning* (Free Press, 1994).
5. M. Beer, "Developing a Sustainable High-Commitment, High-Performance System of Organizing, Managing, and Leading: An Actionable Systems Theory of Change and Development," in *Research in Organizational Change and Development*, vol. 30, eds. D. A. Noumair, R. Shani, and D. P. Zandee (Emerald, 2023): 95–128; M. Beer, "Making a Difference: Developing Actionable Knowledge for Practice and Theory," *Journal of Applied Behavioral Science* 56 (2020): 506–20.
6. M. Tushman and E. Romanelli, "Organizational Evolution: A Metamorphosis Model of Convergence and Reorientation," in *Research in Organizational Behavior*, vol. 7, eds. L. Cummings and B. Staw (JAI Press, 1985): 171–222. L. Greiner, "Evolution and Revolution as Organizations Grow," *Harvard Business Review* (July–August 1972): 37–46; J. Bartunek and E. Jones, "How Organizational Transformation Has Been Continuously Changing and Not Changing," in *Research in Organizational Change and Development*, vol. 25, eds. R. Shani and D. A. Noumair (Emerald, 2017): 143–69.
7. B. Lamont, R. Williams, and J. Hoffman, "Performance During 'M-Form' Reorganization and Recovery Time: The Effects of Prior Strategy and Implementation Speed," *Academy of Management Journal* 37 (1994): 153–66; D. Miller and P. Friesen, "Structural Change and Performance: Quantum Versus Piecemeal-Incremental Approaches," *Academy of Management Journal* 25 (1982): 867–92.
8. M. Porter, *Competitive Strategy* (Free Press, 1980).
9. C. Worley, V. Zardet, M. Bonnet, and A. Savall, *Becoming Agile* (Jossey-Bass, 2015).
10. D. Katz and R. Kahn, *The Social Psychology of Organizations* (Wiley, 1978); M. Weber, *The Theory of Social and Economic Organization*, trans. A. M. Henderson and T. Parsons (Collier Macmillan, 1947); E. Lawler and C. Worley, *Built to Change: How to Achieve Sustained Organizational Effectiveness* (Jossey-Bass, 2006).
11. C. Worley, T. Williams, and E. Lawler, *The Agility Factor* (Jossey-Bass, 2014); M. Bazigos, A. De Smet, and C. Gagnon, "Why Agility Pays," *McKinsey Quarterly* (December 2015), <http://www.mckinsey.com/business-functions/organization/our-insights/why-agility-pays>; D. Sull, "Competing Through Organizational Agility," *Forbes*, December 23, 2009, <https://www.forbes.com/2009/12/23/strategy-innovation-agility-leadership-managing-mckinsey.html>.
12. C. Worley and T. Cummings, *How Organization Agility Produces Sustained Performance: Bringing Coherence to Diverse Conceptual Perspectives* (White paper, University of Southern California, 2023); Worley, Williams, and Lawler, *The Agility Factor*; E. Lawler and C. Worley, *Management Reset* (Jossey-Bass, 2011).
13. M. Hatch and M. Schultz, "The Dynamics of Organizational Identity," *Human Relations* 55 (2002): 989–1018.
14. W. Bennis and J. O'Toole, "A Culture of Candor," *Harvard Business Review* 87 (2009): 54–61.
15. M. Kolkena, *Today for Tomorrow: A Field Guide to Scenario Planning* (Get it Done Publications, 2023); K. van der Heijden, *Scenarios: The Art of Strategic Conversation* (Wiley, 2007); M. Lindgren and H. Bandhold, *Scenario Planning* (Palgrave Macmillan, 2009); M. Weisbord, *Productive Workplaces* (Jossey-Bass, 1987).
16. C. O'Reilly, J. B. Harreld, and M. Tushman, "Organizational Ambidexterity: IBM and Emerging Business Opportunities," *California Management Review* 51 (2009): 75–99.
17. S. Brown and K. Eisenhardt, "The Art of Continuous Change: Linking Complexity Theory and Time-paced Evolution in Relentlessly Shifting Organizations," *Administrative Science Quarterly* 42 (1997): 1–34; B. Pasmore, *Leading Continuous Change: Navigating Churn in the Real World* (Berrett-Koehler, 2015); C. Worley and S. Mohrman, "Is Change Management Obsolete?" *Organizational Dynamics* 43 (2014): 214–24.
18. Worley and Mohrman, "Is Change Management Obsolete?"
19. D. Whetten, "Albert and Whetten Revisited: Strengthening the Concept of Organizational Identity," *Journal of Management Inquiry* 15 (2006): 219–34.
20. M. Hatch and S. Majken, "The Dynamics of Organizational Identity," *Human Relations* 55 (2002): 989–1018; J. Dutton and J. Dukerich, "Keeping an Eye on the Mirror: Image and Identity in Organizational Adaptation," *Academy of Management Journal* 34 (1991): 517–54.
21. Bennis and O'Toole, "A Culture of Candor"; J. Amis, T. Slack, and C. Hinings, "Values and Organizational Change," *Journal of Applied Behavioral Science* 38 (2002): 436–65.
22. C. Worley and R. Beaujolin, "Navigating Conflicting Influences During Complex Strategic Changes: The Contribution of Diagnosis, Congruence, and Leadership," *Journal of Applied Behavioral Science* 59 (2023): 30–60.

23. J. March, "Exploration and Exploitation in Organizational Learning," *Organization Science* 2 (1991): 71–87; C. O'Reilly and M. Tushman, *Lead and Disrupt: How to Solve the Innovator's Dilemma* (Stanford University Press, 2016).
24. Lawler and Worley, *Built to Change*; Lawler and Worley, *Management Reset*.
25. O'Reilly II and Tushman, "Organizational Ambidexterity."
26. C. Gibson and J. Birkinshaw, "The Antecedents, Consequences, and Mediating Role of Organizational Ambidexterity," *Academy of Management Journal* 47 (2004): 209–226.
27. Lawler and Worley, *Built to Change*; Worley, Williams, and Lawler, *The Agility Factor*.
28. H. Aldrich and D. Herker, "Boundary Spanning Roles and Organization Structure," *Academy of Management Review* 2 (1977): 217–30.
29. C. Worley and E. Lawler, "Building a Change Capability at Capital One Financial," *Organizational Dynamics* 38 (2009): 245–51; T. Fredberg, F. Norrgren, and R. Shani, "Developing and Sustaining Change Capability via Learning Mechanisms: A Longitudinal Perspective on Transformation," in *Research in Organizational Change and Development*, vol. 19, eds. W. Pasmore, R. Shani, and R. Woodman (Emerald, 2011): 117–61; M. Beer and R. Eisenstat, "Developing an Organization Capable of Implementing Strategy and Learning," *Human Relations* 49 (1996): 597–619.
30. C. Worley, "Designing HR for Digitally-Enabled Agile Organizations," *People + Strategy* 43 (2020): 22–27.
31. C. Watson, C. Worley, and W. Pasmore, "Consulting Under Conditions of Uncertainty: Microsoft's Journey Toward Digitalization," in *Management Consulting in the Era of the Digital Organization*, ed. D. Szabla (Information Age, 2023): 77–98.
32. E. Lawler and C. Worley, "Winning Support for Organizational Change: Designing Employee Reward Systems That Keep on Working," *Ivey Business Journal* (March–April 2006): 1–5.
33. G. Cattani, "Preadaptation, Firm Heterogeneity, and Technological Performance: A Study on the Evolution of Fiber Optics, 1970–1995," *Organization Science* 16 (2005): 563–80.
34. "ING's Agile Transformation" *McKinsey Quarterly* (January 2017), <http://www.mckinsey.com/industries/financial-services/our-insights/ings-agile-transformation>.
35. Accenture Newsroom, "Alarmed by Speed and Scale of Disruption, CEOs Embrace Sustainability to Build Long-Term Resilience According to UN Global Compact and Accenture" (January 12, 2003), <https://newsroom.accenture.com/news/alarmed-by-speed-and-scale-of-disruption-ceos-embrace-sustainability-to-build-long-term-resilience-according-to-un-global-compact-and-accenture.htm>.
36. B. Obel and P. Kallehave, "Designing a Sustainable Organization: The Four I's Framework," *Journal of Organization Design* 11 (2022): 65–76; P. McAteer, *Sustainability is the New Advantage* (Anthem Press, 2021); M. Tavanti, *Developing Sustainability in Organizations* (Palgrave-Macmillan, 2023); P. Polman and A. Winston, *Net Positive: How Courageous Companies Thrive by Giving More than They Take* (Harvard Business Review Press, 2021).
37. E. Lawler and C. Worley, *Management Reset*; J. Ludema, C. Laszlo, and K. Lynch, "Embedding Sustainability: How the Field of Organization Development and Change Can Help Companies Harness the Next Big Competitive Advantage," in *Research in Organizational Change and Development*, vol. 20, eds. R. Shani, W. Pasmore, and R. Woodman (Emerald, 2012): 265–99.
38. J. Elkington, "Towards the Sustainable Corporation: Win-Win-Win Business Strategies for Sustainable Development," *California Management Review* 36, no. 2 (1994): 90–100.
39. L. Stout, "Corporations Don't Have to Maximize Profits," *New York Times*, April 16, 2015, <https://www.nytimes.com/roomfordebate/2015/04/16/what-are-corporations-obligations-to-shareholders/corporations-dont-have-to-maximize-profits>.
40. P. Hawken, A. Lovins, and L. Lovins, *Natural Capitalism: The Next Industrial Revolution* (Earthscan, 2010); information on the Natural Step can be found at <http://www.thenaturalstep.org> and in B. Nattrass and M. Altomare, *The Natural Step for Business: Wealth, Ecology, and the Evolutionary Corporation* (New Society, 1999); information on CERES principles can be found at <http://www.ceres.org>; H. Bradbury and J. Clair, "Promoting Sustainable Organizations with Sweden's Natural Step" *Academy of Management Executive* 13 (1999): 63–74.
41. A. Hoffman, "Climate Change as a Cultural and Behavioral Issue: Addressing Barriers and Implementing Solutions," *Organizational Dynamics* 39 (2010): 295–305; S. Benn, D. Dunphy, and A. Griffiths, *Organizational Change for Corporate Sustainability* (Routledge, 2014).
42. C. Worley, T. Williams, and E. Lawler, *Assessing Organizational Agility* (Jossey-Bass, 2014); C. Worley and E. Lawler, "Agility and Organization Design: A Diagnostic Framework," *Organizational Dynamics* 39 (2010): 194–204.
43. C. Worley, T. Williams, and E. Lawler, "Creating Management Processes Built for Change," *Sloan Management Review* 58 (2016): 77–82.
44. A. Werbach, *Strategy for Sustainability: A Business Manifesto* (Harvard Business Review Press, 2009).
45. A. De Geus, *The Living Company* (Harvard Business School Press, 1997).
46. C. Worley, A. Feyerherm, and D. Knudsen, "Building a Collaboration Capability for Sustainability," *Organizational Dynamics* 39 (2010): 325–34.
47. Ibid.
48. P. Kale and H. Singh, "Managing Strategic Alliances: What Do We Know Now and Where Do We Go from Here?" *Academy of Management Perspectives* (August 2009): 45–62.
49. This application was adapted from A. Longoni and D. Luzzini, "Building Social Capital into the Disrupted Green Coffee Supply Chain: Illy's Journey to Quality and Sustainability," in *Organizing Supply Chain Processes for Sustainable Innovation in the Agri-Food Industry*, eds. R. Cagliano, F. Caniato, and C. Worley (Emerald, 2016): 83–108; P. Andriani and C. Herrmann-Pillath, "Transactional Innovation and the De-commodification of the Brazilian Coffee Trade" (March 12, 2011), <https://ssrn.com/abstract=1784192>; "illycaffè Sustainable Value Report 2015," http://valuereport.illy.com/pdf/isvr_EN_2015.pdf.

Large-Scale Multi-organizational Change

Learning Objectives

- Describe the rationale for and apply organization development (OD) interventions to merger and acquisition processes.
- Discuss and apply OD processes to strategic alliance formation and development.
- Describe the emergence of multi-organizational networks and discuss the process of creating and developing them.
- Discuss organization development practitioner roles and skills in transorganizational networks.

This chapter focuses on organization development (OD) interventions that move beyond the single organization to include merging, allying, or networking with other organizations. These large-scale multi-organizational interventions help organizations extend their boundaries to relate more effectively to complex environments. Organizations may merge with or acquire other firms to gain essential capabilities and resources, operate at a larger scale, or enter new markets. They may form strategic alliances with other organizations to manage their exchanges more efficiently. They may collaborate with a group of organizations to tackle complex issues that single organizations cannot deal with effectively.

The chapter begins with mergers and acquisitions (M&As), a large-scale multi-organizational change that leverages the strengths or mitigates the weaknesses of one organization by combining with another organization. Research has identified OD practices that can contribute to M&A success including many of the human process,

technostructural, and human resources (HR) management interventions discussed previously in this text.

Next, we present strategic alliance interventions for developing cooperative relationships between two or more organizations that consider the benefits of collaboration to outweigh the costs of lowered autonomy and control. These collective arrangements, such as joint ventures, franchising, and long-term contracts, depend on the organizations foreseeing how their strategies and goals will gain from the relationship, and building sufficient trust to ensure they will receive the expected outcomes.

Finally, we describe network interventions, large-scale multi-organizational changes that facilitate a group of organizations joining together to perform tasks or solve problems that are too complex and multifaceted for a single organization to resolve. These networks tend to be loosely coupled and nonhierarchical. They include such multi-organizational systems as

research and development consortia, cooperative arrangements among government agencies, and coalitions of nonprofit organizations that address societal

problems. Change methods for creating and developing these networks comprise a special form of planned change and select practitioner skills.

15-1 Mergers and Acquisitions

M&As involve the combination of two organizations. The term *merger* refers to the integration of two previously independent organizations into a completely new one; *acquisition* involves the purchase of one organization by another for integration into the acquiring organization. M&As are a distinct type of multi-organizational intervention because at least one of the organizations ceases to exist.

15-1a Conceptual Background

Organizations have several reasons for merging or acquiring each other, including diversification or vertical integration; access to global markets, technology, or other resources; and operational efficiencies or improved innovation.¹ Thus, M&As are a common method for rapid growth and strategic change. In 2022, for example, the announced value of M&As worldwide was \$3.4 trillion, a 54% decrease from 2021's COVID-related, all-time high of \$5.2.² Recent large M&As include Microsoft and Activision (gaming), Oracle and Cerner (digital health care), and Prologis and Duke Realty (global logistics).

Despite their popularity, M&As have a questionable record of success.³ There have been more than a few failed announcements, including Zoom and Five9, Mondelez and Hershey, and KraftHeinz and Unilever. Among the reasons commonly cited for merger failure are inadequate due diligence processes, unrealistic expectations of synergy, and conflicting corporate cultures.

M&As are complex changes that involve intricate legal, financial, and organizational issues. They typically are preceded by an organization determining whether its strategic goals are best achieved by internal initiatives or by a multi-organizational arrangement, such as an M&A, strategic alliance, or network. M&As are preferred when organic, internal development is considered too slow or when strategic alliances or networks do not offer sufficient control over key resources to meet the firm's objectives.

15-1b Application Stages

M&As involve three major phases: precombination, legal combination, and operational combination.⁴ OD applies mainly to the precombination and operational combination phases as described below.

Precombination Phase This first phase consists of planning activities aimed at assuring the success of the combined organization. It involves identifying a candidate organization, gathering information about each other, and planning the implementation and integration activities.

1. **Search for and select a candidate.** Identifying potential candidates, narrowing the field, agreeing on a first choice, and checking regulatory compliance are relatively straightforward activities. They generally involve investment brokers and other outside parties who have access to databases of organizational, financial, and technical information. Two additional activities, making initial contacts and creating a letter of intent, are aimed at determining the candidate's interest in the proposed transaction. OD practitioners can help organizations address screening criteria that go beyond these technical and financial capabilities for maximizing shareholder value to include managerial, organizational, and cultural components as well. Failure to attend to these organizational features can result in diminished shareholder value during the operational combination phase.⁵
2. **Create an M&A team.** An initial agreement between two organizations to pursue a merger or acquisition typically triggers the formation of an M&A team to establish the business case, oversee the due diligence process, and develop a merger integration plan.⁶ This team often comprises members from both organizations, including senior executives and experts in such areas as business valuation, technology, organization, and marketing. The team's leadership structure, or who will be accountable for its accomplishments, is especially critical. In an acquisition, an executive from the acquiring firm is typically the team's leader. In a merger of equals, the choice of a single individual to lead the team is more difficult but essential. The outcome of this decision and the process used to make it are the first outward symbols of how the multi-organizational change will be conducted. OD interventions, such as team building and process consultation, can facilitate M&A team development and help establish a clear leadership structure and effective action strategy.
3. **Establish the business case.** The purpose of this activity is to develop a *prima facie* case that combining the two organizations will result in a competitive advantage

that exceeds their separate advantages. It includes specifying a strategic vision that synthesizes the strengths of the two organizations. It also describes a competitive strategy for how the combined organization will add value in a product market or segment of the value chain, how the value proposition is best performed by the combined organization (compared with competitors), and how it will be difficult to imitate. Finally, it includes systems integration issues describing how the two organizations will be combined and how proposed synergies or cost savings will be achieved.

The business case activity forces the two organizations to go beyond the rhetoric of “these two organizations should merge because it’s a good fit.” Staples proposed acquisition of Office Depot had a clear vision for providing more value to customers, effectively competing against online competitors, and achieving at least \$1 billion savings from layoffs and combining purchasing and marketing costs. But the acquisition failed, in part because their competitive strategy arguments could not dispel regulatory concerns of monopoly power.

Again, team-building and process-consulting interventions can facilitate these discussions and ensure that the issues are fully explored. When the business case cannot be justified on strategic, financial, or operational grounds, the M&A is revisited or terminated or another candidate is considered.

4. **Perform a due diligence assessment.** This involves evaluating whether the two organizations have the managerial, technical, and financial resources that each assumes the other possesses. It includes a comprehensive review of each organization’s articles of incorporation, stock option plans, organization charts, and so on. The scope and detail of due diligence assessments symbolically reflect the vision and values of the combined organizations. An overly zealous assessment can contradict promises of openness and trust made earlier and lower or destroy opportunities for synergy, cost savings, and improved shareholder value.⁷ The discovery of previously unknown or unfavorable information can halt the M&A process.

Although due diligence assessments traditionally emphasize the financial aspects of M&As, there is increasing attention to the cultural and organizational features of M&As given the evidence of their influence on expected financial gains.⁸ For example, Microsoft’s venture integration team prioritizes cultural and talent screens as part of its due diligence activities to identify the fit between its values and those of possible merger candidates. OD expertise can help organizations carry out cultural due diligence processes systematically.

5. **Develop merger integration plans.** This stage outlines integration objectives, tasks, and timelines relative to the scope of organizational changes. The extent of these plans hinges on the degree of integration between the organizations. If the candidate organization will operate independently, such as Microsoft’s initial decision with LinkedIn, merger integration planning only needs to detail common systems. A full integration necessitates a more comprehensive plan.

Merger integration planning begins with the previously conducted business case, delving deeper into strategic vision, competitive strategy, and systems integration for the M&A. Typically, subgroups from both organizations are appointed to perform detailed analyses to identify best practices and opportunities. OD human process interventions can enhance these teams’ functionality.

Then, plans for the combined organization’s design are developed, encompassing structure, reporting relationships, HR policies, information and control systems, operating logistics, work designs, and customer-focused activities. Here, the fundamentals of organization design described in Chapter 13 are most relevant.

The final task involves developing an action plan for implementing the M&A. This includes task assignments, decision-making authority and responsibility, timelines for achievement, and a process for addressing conflicts and problems that may arise during implementation. The processes for implementing interventions described in Chapter 5 can help to create an effective action plan.

Legal Combination Phase This phase of the M&A process involves the legal and financial aspects of the transaction. The two organizations settle on the terms of the deal, register the transaction with and gain approval from appropriate regulatory agencies, communicate with and gain approval from shareholders, and file appropriate legal documents. In some cases, an OD practitioner can provide advice on negotiating a fair agreement, but this phase generally requires knowledge and expertise beyond that typically found in OD practice.

Operational Combination Phase The final phase involves implementing the merger integration plan, a prime stage for OD facilitation.⁹ In practice, implementation begins during due diligence assessment and may continue for months or years following the legal combination phase. It includes organizing *Day 1 activities*, such as announcements about key executives of the combined organization, areas and functions where

layoffs will occur, and messages to key stakeholders about the soundness of the merger plans. *Operational and technical integration activities* include work and structural changes to accomplish the strategic objectives and expected cost savings of the M&A. OD interventions in work design (Chapter 10) and organization design (Chapter 13) can inform and assist these changes. Similarly, *cultural integration activities* aimed at building new values and norms in the combined organization can draw on OD interventions in culture change (Chapter 13) to help meld both the technical and cultural aspects of the combined organization. Encouraging members from both organizations to solve business problems or address customer needs together can clarify work roles and relationships, contribute to member commitment and motivation, and solve operational and cultural integration issues simultaneously.¹⁰

M&A implementation also involves a host of practical activities for managing the operational combination phase.¹¹ Clear and prompt communication to a variety of stakeholders through a variety of channels—including company newsletters, social media and press releases, and in-person interactions with managers—can address uncertainty and anxiety about the M&A. Rapid implementation in key areas during the first 100 days of implementation can preempt unanticipated organizational changes that might thwart momentum in the desired direction and lessen members' concern about how the M&As will impact their

personal lives. OD interventions in personal, interpersonal, and group processes (Chapter 7) can help to manage these issues, as can changes to enhance employee involvement and engagement (Chapter 9). Perhaps the most fundamental contribution that OD can make to the operational combination phase of M&A is to facilitate a feedback-adjustment process that continually assesses progress of the merger integration plan and makes necessary adjustments (Chapter 6). Relevant issues that can be assessed and addressed include:¹²

- How well are the required integration activities being implemented?
- Is the implementation process proceeding according to schedule?
- Do members perceive the merger and integration process as fair and objective?
- Are people highly motivated (more so than before)?
- Are savings estimated during precombination planning being realized?

Application 15.1 describes the operational and cultural integration activities involved in the merger of two firms in the medical-device industry.¹³ In reviewing the application, you can assess how well the two firms developed a merger integration plan and implemented it in the operational combination phase of the M&A. What would you recommend the sales force do moving forward to sustain the merger's effectiveness?

Application 15.1

Effective Post-Merger Integration

Shortly after deciding to merge with a competitor in the medical-device industry, the head of a leading medical-device company announced that the merged firms would present a single face to customers within eight weeks of the deal's close. The responsibility to meet this short timeline fell on the sales groups of the two firms, which together included about 300 sales representatives and several hundred million dollars of accounts. Integrating the two sales operations was especially challenging. In addition to the tight deadline, the companies, which were good performers with strong corporate cultures, differed on key dimensions. One firm was highly entrepreneurial, with sales reps having considerable freedom to make sales; the other

company was more formal with tighter controls on sales efforts. The firms' reward and performance management systems also differed, making it difficult to compare the performance of their respective sales reps.

The leaders of the two sales forces moved quickly to address these differences and to jointly design a larger, stronger sales organization. They created a day-to-day activity plan for all the integration tasks that needed to be accomplished before the two-month deadline. A war room oversaw the integration process. It tracked sales performance, monitored competitors, and assured the retention of key managers and sales reps in response to competitor poaching.

Effective Post-Merger Integration, continued

The sales leaders held a series of cultural awareness meetings, using technology that monitors participants' responses in real time to help each side understand the other's culture. The meetings facilitated an appreciation of each firm's differences and strengths. This shared understanding helped the leaders envision a new sales model that embodied the entrepreneurial spirit and more formal oversight of the two firms. It would enable the larger, unified sales force to make more visits to physician offices while still focusing on hospitals.

Meanwhile, special teams assessed both firms' current and projected sales data and devised a system to directly compare the performance of sales reps. This provided an initial outline for how to integrate the two sales forces into a new territory structure that would service customers with minimal disruption to them and the company. In a series of workshops, the sales leaders made concrete plans for the compensation and benefits, training, and support functions needed to implement the new sales organization. This included assigning reps to sales accounts

in the new sales territory structure and training them on the broader product portfolio. The sales leaders also held a national sales meeting for the combined sales force to help forge a new identity and culture.

The integration process involved constant communication and shared feedback among the sales leaders and with members and staff of the new sales operation. Customers were also kept informed about the progress of the merger to maintain their loyalty, while rapid sales wins reinforced the wisdom of the merger among sales reps and customers.

Overall, these post-merger integration activities reduced many of the risks associated with merging the two strong competitors. The new, combined sales organization was designed and implemented within two months, while retaining top sales talent, training and reassigning sales reps, and serving key customers. These positive results highlight the strong leadership, constant and widespread communication, and active involvement of all stakeholders that are essential for post-merger success.

15-2 Strategic Alliance Interventions

The term *strategic alliance* refers to a collaborative effort between two or more organizations to pursue a set of individual and common goals through the sharing, exchange, or co-development of people, technical capabilities, or physical assets.¹⁴ These collaborative strategies include licensing agreements, franchises, long-term contracts, and joint ventures. For example, McDonald's, Subway, or Holiday Inn license or franchise their brand name and know-how to independent organizations that deliver the service and leverage the lessor's reputation for marketing purposes. A joint venture is a type of strategic alliance where a third organization, jointly owned and operated by two (or more) organizations, is created. Joint ventures between domestic and foreign firms, such as Fuji–Xerox, a long-term collaboration that began with Fuji selling Xerox copying machines in Japan, can help overcome trade barriers and facilitate technology transfer across nations.

15-2a Conceptual Background

Economists and organization theorists have developed frameworks to explain when alliance strategies work best.¹⁵ Transaction cost theory proposes that organizations

can acquire their raw materials internally from a wholly owned subsidiary or externally from a strategic alliance with an independent raw material supplier. The decision to formally create an external alliance works best when the frequency, variety, and proprietary nature of the transactions are all relatively high.¹⁶

Similar principles apply when organizations choose to form strategic alliances to outsource certain tasks or activities to external organizations. For example, many organizations formally outsource their payroll to independent service providers because the tasks occur regularly and are governed by well-known laws and regulations. On the other hand, Microsoft chooses to ally with a variety of value-added resellers, independent software vendors, and small and large consulting businesses to bring its products to customers ranging in size from individual consumers to large business enterprises. A dedicated internal sales and service department to handle the unique demands of each customer segment would be much more expensive and would not deliver the same level of quality as the strategic alliance partners.

15-2b Application Stages

The development of an effective strategic alliance generally follows a process of strategy formulation, partner selection, alliance structuring and start-up, and alliance operation and adjustment.¹⁷

1. **Alliance strategy formulation.** The first step in developing a strategic alliance is to clarify how it fits with and advances the organization's strategy. Lack of a clear and compelling "collaboration logic" is a primary reason for alliance failure.¹⁸ Strategic alliances involve a tradeoff between the benefits of accessing new markets or capabilities and the costs of yielding autonomy and control over some of the organization's activities. Consequently, an alliance needs to be viewed strategically as a more effective way of operating than developing new capabilities to perform the work in-house or acquiring or merging with another organization.
2. **Partner selection.** Once the performance rationale for a strategic alliance is clarified, the choice of an appropriate partner or partners begins. This involves developing screening criteria, choosing potential candidates, establishing initial contacts, and formulating a letter of intent. Screening criteria for effective alliance formation typically include candidates' compatibility with the organization's commitment level, management style and culture, information technologies, and operating methods.¹⁹ Although differences on these dimensions can be a source of frustration for alliance partners, diverse perspectives, technologies, and capabilities can complement each other and be a source of competitive advantage and learning for the alliance. At this stage of the process, OD human process interventions (Chapters 7 and 8) can help potential alliance partners explore and understand their similarities and differences, an important ingredient in building the trust essential for the next step.
3. **Alliance structuring and startup.** Following agreement to form an alliance, the focus shifts to structuring the partnership and building trust in the relationship. Alternative governance structures include medium- to long-term contracts or minority, equal, or majority equity investments. As the proportion of equity investment increases, the costs, risk, and amount of required management attention also escalates.²⁰ Partners need to know how expenses, profits, risk, and knowledge will be shared.

Research points to "relational quality" or trust as key to long-term alliance success.²¹ Trust exists when each partner believes other partners will subordinate their self-interest to the "joint interest" of the alliance under most conditions.²² Early in the alliance formation process, trust is a function of perceptions of the partners' reputations or prior successes. These same factors can also contribute to a lack of initial trust. During the structuring and startup phase, trust increases or decreases through direct activities and experiences that create new assessments of the others' capabilities,

competence, and ethical behavior. OD interventions can assist in trust development by facilitating action learning projects where the involved parties can set appropriate expectations, address differences between expectations and reality, and resolve attributions of partners' behaviors when mistakes are made.²³

4. **Alliance operation and adjustment.** Once the strategic alliance is functioning, OD interventions can facilitate diagnosing the state of the strategic alliance and making appropriate adjustments. This involves assessing whether the environment has changed in ways that make collaboration unnecessary, the partner goals and capabilities have changed the interdependent nature of the relationship, and the alliance is successfully generating outcomes. OD practices can help each alliance partner clarify the capabilities contributed, the lessons learned, and the benefits received.

Application 15.2 describes Cisco Systems' strong alliance-building capability.²⁴ It shows how strategic alliances with firms such as Microsoft are an essential part of the firm's collaborative culture and commitment to innovation and quality customer service. You can follow the steps that Cisco uses to create and sustain strategic alliances.

15-3 Transorganizational Network Interventions

Organizations are increasingly collaborating with each other to achieve their objectives. They may form a *transorganizational network* (TN) where multiple organizations join together to deal with issues that can be too costly and complicated for single organizations to address.²⁵ For example, TNs can tackle "wicked" social or environmental problems; leverage member resources to spread the risk associated with large-scale, costly projects; or link domestic organizations with global counterparts to gain access to international markets.²⁶

The need to create and develop TNs is growing rapidly in today's complex and rapidly changing societies, yet OD's role in TNs is relatively new. We provide a conceptual overview of this emerging change process, outline its application steps, and describe the practitioner roles and skills required to create and develop TNs.

15-3a Conceptual Background

TNs are functional social systems that exist intermediately between single organizations and societal systems.²⁷ Relationships among member organizations in these extant systems tend to be loosely coupled, and leadership and

Application 15.2

Cisco's Mastery of Strategic Alliance

Cisco Systems, Inc. (Cisco) is a multinational conglomerate that develops, manufactures, and sells internet protocol-based networking products and services in the communications and information technology industry. It is the world's largest networking company with about 40,000 employees and revenue of \$53.2 billion in 2023. A key part of Cisco's core business is to create and deliver new products and services through strategic alliances with other firms, such as Apple, British Telecom, IBM, Italtel, and Microsoft. This accounts for about 13% of the firm's total business.

Cisco has developed a world-renowned capability in strategic alliances. It starts with the firm's culture and senior leadership. Cisco values risk taking, exploration, and collaboration. Senior leaders work closely with each other to discover and initiate new business opportunities; they encourage and reward teamwork and innovation throughout the firm. This culture of collaboration and discovery naturally promotes partnering with other companies to create new products and services. Cisco's senior leaders further reinforce alliance building by playing an active role in the process. They help to discover new alliances and to reduce barriers to partnering within the firm. They typically assign a senior vice president to sponsor each alliance and to share responsibility for its success with an alliance manager. These senior leadership behaviors signal to employees and outsiders the importance of strategic partnerships for Cisco's success. They demonstrate the firm's strong commitment to alliances, which, along with a successful track record, helps to build trust among partners and customers.

Cisco's alliance building is guided by strategic criteria for choosing partners, a shared strategic map, and a set of best practices gleaned from years of partnering experience. The firm chooses partners that offer complementarity with its products or expertise and opportunity to create/boost existing products. Cisco tends to avoid alliances that overlap or

compete with its products or services. The shared strategic map outlines the alliance's collaboration architecture. It includes key customers and value proposition, delivery and support strategy, roles and responsibilities, mutual goals and metrics, and exit option. Cisco works hard to gain agreement with partners upfront about these essential alliance elements, especially the shared value proposition that the partners will bring to customers. This clarity of purpose and buy-in are necessary foundations for successful partnering. Cisco's alliances seek to establish early field engagement with customers to achieve initial wins for them. This serves to motivate all stakeholders and keep them committed to the partnership. The alliances constantly measure and compare their performance to business goals and other benchmarks. This provides a meaningful, real-time view of alliance progress, so timely adjustments and improvements can be made. When alliances continually fail to deliver on promises to customers, Cisco exits them.

Cisco's strategic alliance with Microsoft, for example, shows how both firms' strategic capabilities combine to offer customers unique and valuable cloud-driven digital communication and collaboration applications. Customers often want to take advantage of Cisco's years of experience in Internet Protocol telephony and Microsoft's office communications capabilities. To address this demand, Cisco and Microsoft created a strategic partnership with openness and interoperability in mind. Cisco provides solutions that are interoperable with Microsoft's Office Communications Server (OCS), Microsoft Office Communicator, Exchange, and Outlook. For instance, customers may want Microsoft products on the desktop, Microsoft OCS, Cisco Powered Network and TelePresence, and Cisco WebEx solutions for conferencing—and all these applications must work together seamlessly. The alliance offers customers real business value through joint solutions including virtualization, unified communications, security, wireless, and mobility.

power are dispersed among autonomous organizations that may differ in commitment to joint action. They require a level of logic, conceptualization, and planned change that goes beyond that of single organizations. Drawing on the extensive yet separate theories and research on

interorganizational relations and social problem solving, Cummings developed an integrative framework to explain how TNs are created and function. Based on the model, he explored what OD would involve when applied to this level of social system, a practice he called *transorganizational*

development.²⁸ Here, interventions address a level of organizing that straddles the boundaries between organizations, attends to their unique and often conflicting needs, and brings structure to what is frequently an underorganized system.

TNs operate in all three segments of society: private sector, public sector, and nonprofit sector. *Private-sector TNs* generate financial outcomes for business organizations. Examples include research and development consortia, national industrial policy networks (e.g., Japanese *keiretsu*, Korean *chaebols*, or Mexican *grupos*), and multi-organizational ecosystems that support a specific product as might be found surrounding Apple's iPhone or the Uber platform. *Public-sector TNs* coordinate government agencies to deliver better civic service and to address complex societal problems. Examples include TNs comprised of federal, state, and local agencies that address threats of terrorism or the health problems associated with the COVID-19 pandemic by sharing information and expertise and coordinating their varied yet related activities. *Nonprofit TNs* deal with societal issues on behalf of the broader public.²⁹ They pursue futures that are socially just and environmentally sustainable.³⁰ Nonprofit TNs operate under a variety of names such as global social change organizations (GSCOs), development organizations (DOs), and nongovernmental organizations (NGOs).³¹ Examples include World Vision, the World Wildlife Fund, and Oceana.

In all three sectors, TNs face similar issues in forming, managing, and sustaining collaborative relationships among member organizations. Action researchers have crafted planned changes that address these common TN problems.³² These interventions stem from the pioneering work of Eric Trist and Fred Emery on the social ecological perspective of planned change.³³ They represent the growing body of applied TN research and practice from such scholars as Dave Brown and Jane Covey on developmental organizations, Barbara Gray on multiparty problem solving, Rupe Chisholm on developing network organizations, and Dave Boje on transorganizational change.³⁴

15-3b Application Process

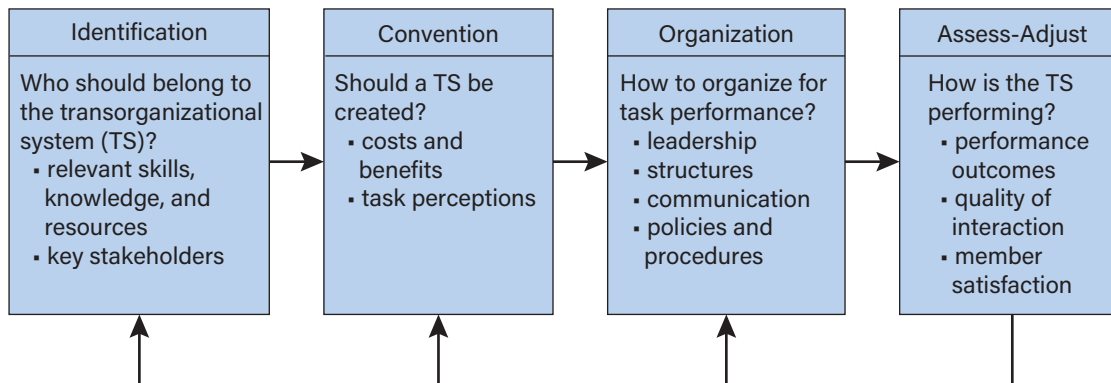
TN interventions attend to the loosely coupled and underorganized nature of these multi-organizational systems. They address both the creation of a TN and the issues that emerge as it develops and matures. These OD change practices help organizations decide whether to commit to joint action and, if so, how to develop structures and processes to make decisions and perform tasks while maintaining their separate organizational identities and goals. This application process proceeds in four stages, as shown in Figure 15.1: identification, convention, organization, and assess-adjust.

1. **Identification stage.** This initial stage addresses the creation of a TN. It involves identifying the potential member organizations necessary to achieve collective objectives. This process can be challenging because organizations may not perceive the need or want to work together. U.S. firms, for example, are traditionally “rugged individualists” preferring to work alone rather than to join with other organizations. Similarly, relationships among potential members may be tenuous or nonexistent; thus, even if organizations see the need to form a TN, they may be unsure who should be included.

The identification stage is generally carried out by one or a few organizations interested in exploring the possibility of creating a TN. In public-sector TNs, an NGO may look for other NGOs with similar missions. In private-sector TNs, a customer-facing product organization may look to join with competitors to address intractable problems in the supply chain. However, there may be insufficient leadership and cohesion among interested organizations to recruit potential members. TN practitioners typically take an active role in working with these initiating organizations to clarify criteria for network membership and identify organizations that meet those standards. Because TNs are intended to address specific problems or opportunities, a practical criterion for membership is how an organization's skills, knowledge, and resources can contribute to the TN's purpose. Practitioners warn, however, that identifying potential TN members needs to account for the political realities of the situation,³⁵ including the tradeoff potential member organizations face between the value of collaboration and the loss of autonomy.

2. **Convention stage.** The convention stage brings potential TN member organizations together to assess the desirability and feasibility of formalizing their relationships. This generally occurs in face-to-face meetings where representatives from potential members explore motivations and purposes for creating a TN and the joint activities it will likely carry out.

OD practitioners can provide essential direction and facilitation to the convention stage. Potential member organizations may not have the legitimacy or skills to perform the convening function, and neutral practitioners can serve as conveners if they are perceived as legitimate and credible by the attending organizations. They can facilitate the critical task of forming a “negotiated order” among potential members that defines the problem or opportunity to be addressed, the interdependencies among members needed to address it, and the expected outcomes.³⁶

Figure 15.1**Application Stages for Transorganizational Development**

Potential member agreement on these issues is key to TN creation moving ahead.³⁷

3. **Organization stage.** In this phase, member organizations develop the processes and structures for directing, coordinating, and controlling their joint efforts to achieve the TN's objectives. These organization elements include a shared vision, procedures for making decisions and managing member performances and returns, and structures to coordinate interactions.

A *shared vision* helps to direct and sustain member commitment to the TN and to resolve conflicts that arise when member organizations experience the realities of working together. A shared vision reflects the TN's collective purpose and aligns with the values and objectives of member organizations.³⁸ Effective visions typically embody the most compelling aspects of the TN's broader purpose. For example, ACDI/VOCA is a large nonprofit TN that provides expertise and support to cooperative agricultural enterprises in developing countries. Its shared vision, "A world in which people are empowered to succeed in the global economy," helps to motivate and direct the work of its member organizations across widespread geographic regions.

Effective management of a TN requires *policies and procedures for making decisions and managing member performances and returns*. When member organizations invest significant resources in the TN, such as might occur in an industry-based research consortium, lawyers and financial analysts play key roles in specifying member contributions and outcomes. Contracting and negotiating these contributions and returns determine how costs and benefits are allocated among member organizations. They specify members'

legal obligations, contractual rights, and decision-making responsibilities.

TNs with many member organizations generally form a "referent organization" or special leadership group to make decisions and manage relationships on behalf of the membership.³⁹ A TN created to set standards for 3D graphics, for example, included 180 member organizations including AMD, NVIDIA, and Qualcomm. The TN created a referent organization, the non-profit Khronos Group, to manage and coordinate the work of the member organizations. Organization design (Chapter 13) and human process interventions (Part 3) can help a referent organization manage differentiation and integration issues, such as when different departments (i.e., fundraising, project management, public relations, and regulatory affairs) serve diverse and often conflicting external constituencies and member interests.⁴⁰ An intergroup conflict intervention (Chapter 8), for instance, can address incidents when member behaviors diverge significantly from the TN's shared vision.

Finally, *structures to coordinate interactions* enable TNs to organize and manage both horizontal linkages among members and vertical relations with higher-level organizations that have regulatory influence over the TN's activities, such as government policy administrators. Effective horizontal relations are the backbone of TNs. They enable member organizations to work together to achieve the TN's purpose. For example, OneWorld Alliance is a TN comprised of 15 airlines, including American Airlines, British Airways, and Japan Airlines, whose purpose is "seamless global travel." It uses various digital

mechanisms and scheduling procedures to facilitate member sharing of flights, airport lounges, and frequent flyer programs.

Because TNs are social systems in between single organizations and societal systems, policies and directives from higher-level systems can affect their creation and ongoing success. In private-sector TNs, like OneWorld Alliance, effective relationships with government regulators charged with monitoring the competitive marketplace are critical for the TN's legitimacy and success. In nonprofit TNs, organization members interact with a broad range of external, and often conflicting, constituencies.⁴¹ To help the poor, for example, these TNs must often work with the rich; to save the environment, they must work with the polluters; and to empower the masses, they must work with the powerful few. These interactions can result in enormous pressure to reconcile the pursuit of a noble TN purpose with the political reality of power and wealth.⁴² TN interventions that facilitate managing organizational power differentials (Chapter 5) can help TNs explicitly address and cope with these political dynamics. Unfortunately, nonprofit TNs may view government officials, community leaders, or for-profit organizations as part of the problem they are trying to resolve. Rather than interact effectively with these external stakeholders, they may seek to "protect" themselves and their ideologies from contamination by these outsiders.

4. **Assess-adjust stage.** This phase evaluates how the TN is operating and makes necessary adjustments. The evaluation process is guided by diagnostic models that generate information about the TN features and processes described in the previous three stages. Ainsworth and Feyerherm build on the open systems models presented in Chapter 4 and other models to address issues such as members' motivation to join or remain in the TN, their shared vision and negotiated order, and the structures and processes for managing their interactions.⁴³ These elements are not only essential for the creation of a new TN but influence how existing TNs function and perform over time.

OD practitioners can facilitate this assess-adjust process by helping TN members develop implementation and evaluation feedback systems (Chapter 6). This involves gathering and analyzing information about how the TN is performing (Chapter 4) and applying that diagnosis to the design of relevant changes (Chapter 5). In the case of creating a new TN, these changes reinforce the TN's formation process; for an existing TN, changes support its ongoing development.

Application 15.3 describes the formation of the Alaskan Health Workforce Coalition.⁴⁴ The shortage of adequate health care workers in Alaska became a critical issue that only a network of organizations could address. The case reflects the complex issues of identifying, convening, and organizing a TS.

Application 15.3

The Alaska Health Workforce Coalition

Alaska's low supply of health care workers was constraining the industry's ability to deliver care. In addition to health care reform, rapidly changing technologies, and new delivery models, Alaska's harsh climates, vast geography, and small population complicated the challenges of recruiting and retaining a qualified health care workforce. The lack of health care workers left many rural communities without access to health care services and pushed health care costs to among the highest in the nation.

Most health care organizations felt the pinch of too few workers but lacked the motivation to work in a coordinated manner to address the issue. Individual solutions often helped individual firms in specific areas, but this did little to help the state's problems. The challenge was exacerbated by the lack of

integrated and accurate health care workforce data. Absent a collective effort, policymakers and funders were unable to understand the issues, resulting in limited investment and influence.

Three events helped to catalyze change. First, the passage of the American Recovery and Reinvestment Act included funding for statewide workforce development in high-demand industries. Second, the Alaska Workforce Investment Board had long recognized health care as an important and growing sector, and its call for a statewide health care workforce plan was motivated by its prior involvement with the oil, gas, and mining and construction industries. These industries modeled the value of partnering to define industry workforce priorities, attract targeted investments in selected workforce development programs,

The Alaska Health Workforce Coalition, continued

and strategize to meet those needs. Finally, a joint effort led by the Alaska Mental Health Trust Authority, the Alaska Department of Health and Social Services, and the University of Alaska had been established to build a qualified behavioral health workforce.

The Alaska Health Workforce Coalition (AHWC) was formed to ensure an adequate and qualified health care workforce for hospitals, nursing homes, clinics, and public health services throughout the state.

The Coalition's Beginnings

Recognizing these events, a leader from the Providence health care system invited a broad range of health care employers, educators, policymakers, and funders to exploratory conversations about collaboration. In the relatively small population of Alaska, most of the leaders of these organizations knew each other. The initial meetings and conversations confirmed the opportunity and interest in creating a statewide health care workforce plan. Additional partners were soon engaged based on their ability to enhance the plan's development.

Early meetings benefited from good cross-sector attendance and rich, respectful conversations that deepened collective understandings of current issues as well as specific opportunities that interested individual partners. However, with so many needs in the industry, it was clear the participants had to prioritize to gain traction. Some topics were inherently more difficult to advance because of competitive issues among employers. Each employer invested a great deal to attract potential employees from outside Alaska to fill critical vacancies, and large employers with more resources could leverage their relative advantage in recruiting. However, partners knew from prior work that they could be more effective and efficient than single companies in marketing a concept. For example, the Alaskan quality of life is appealing to many medical professionals and the coalition saw the merits of a statewide, coordinated campaign that could be more impactful than what individual firms could achieve.

As a result, the group elected to focus on strategies and actions that could best be achieved *because* a coalition existed versus actions that individual entities could accomplish under the status quo. The term “net new” emerged in the dialogue to distinguish new or expanded value-added strategies and actions that were unlikely to be achieved without a collaborative effort *and* that benefited multiple partners. One of the coalition's key successes in its early period was the funding of a new loan reimbursement and incentive program that benefited multiple employers in their most critical shortages.

To reinforce the positive group norms that were emerging, an organizational charter was developed to clarify the coalition's purpose, principles, and intended outcomes. For example, the coalition's operating style did not involve formal leadership roles, such as a chair or officers. Rather, an adaptive process guided by six principles—inclusive, coordinated, cooperative, strategic, adaptive, and results focused—fueled success.

Finally, a core team emerged consisting of 15 people from nine organizations. This group developed a four-part “engage, train, recruit, and retain” framework to organize and develop the workforce plan. For each part, a set of potential strategies was identified, although they lacked specificity in the early stages. Occupational practices were organized into three tiers representing their relative priorities. The upper tier included more than 15 health care occupations, and the coalition prioritized primary care providers, nurses, direct care workers, behavioral health clinicians, physical therapists, and pharmacists. These occupations were both highly needed *and* pertinent to health care.

Building the Coalition

A significant opportunity to engage more stakeholders in prioritizing and organizing the plan was offered by a core member's organization. It had begun to plan a workforce summit for its hospital and nursing home members. The summit was an ideal time and place for the core group to share information and gather input from a much wider audience. It also provided the opportunity to begin discussions about the kind of organization needed to sustain future efforts.

More than 60 participants at the summit heard presentations about similar efforts inside and outside of Alaska that provided tangible evidence of what was possible. In addition, the core group shared the plan's framework and initial data about workforce gaps. Small breakout groups facilitated by core members contributed to the development of initial strategies. The data from these discussions were aligned with the framework and a further intervention allowed participants to refine strategies about which they were most passionate. The feedback from the summit was positive and supported the idea of continuing to develop a statewide plan and to think about a new entity to guide the efforts.

Following the summit, the core team worked diligently to engage as many stakeholders as possible. Nearly a dozen presentations were made, always by at least two members from the core team to demonstrate shared ownership. A subteam led by the

The Alaska Health Workforce Coalition, continued

University of Alaska worked closely with the Research and Analysis Section of the Department of Labor and Workforce Development to refine occupational priorities through presentations with diverse audiences and with an online survey.

Core team members continued to meet monthly, discussed and integrated what they were learning from stakeholders, and strengthened their resolve to produce a well-written strategic plan. The plan would summarize the compelling and complex workforce needs of the Alaska health care industry and focus occupational priorities as well as systems change and capacity-building strategies. Funding offered by three of the larger partners was pooled to hire contract resources to assist with writing and publishing the plan.

The final plan was well received and resulted in significant visibility for the health care industry's issues, priorities, and possible actions in the state. However, it was not sufficiently specific to drive collective action. The core team's logical next step was to operationalize the plan with a targeted, four-year Action Agenda. It also recognized the need to address OD and sustainability issues. The founding individuals and organizations had developed the initial plan through informal processes and volunteer contributions of time and resources. To sustain the effort and reap the benefits of the plan would require a more formal approach and organization.

Continued Coalition Development

Over the next year, the AHWK became larger and more formal. A planning grant from the Health Resources and Services Administration provided one year's worth of funding to support the development of a four-year Action Agenda, greater alignment of health care workforce data, and contractual support for staff, OD, and sustainability efforts. During this time, the AHWK and related groups with aligned goals joined forces when wider collective effort was needed. For example, rather than conducting independent research and developing their own workforce recommendations, the Alaska Health Care Commission aligned their direction with the AHWK, endorsing the work of the coalition as its own.

During this time, the coalition also explored alternative approaches to forming an organization to advance and sustain its health care workforce goals. Several models were assessed using the principles from the initial charter. The core group determined that continuing their loose collaboration rather than formally establishing a new nonprofit entity was

preferred. OD consulting support provided additional resources and continuity in coalition activities.

Evaluation

After several years of operation, the AHWK coalition initiated a "strategic refresh" process to recognize several Action Agenda achievements and the actual or planned transition of several leaders. A core team member and the OD consultant interviewed other team members to gather feedback on the greatest achievements to date, the coalition's alignment with each organization's priorities, any change in priorities of occupations and systems given the changes to the health care industry, and suggestions for enhancing the effectiveness, relevance, and impact of the coalition going forward.

The data suggested that success has been achieved through the attention and balance of two equally important coalition aspects:

- **Content, action, and results.** The coalition was initiated on the premise of the shared need and the desire to take collective action. This was achieved through a strategic plan that defined the workforce goals to engage, train, recruit, and retain a qualified health care workforce for Alaska. The coalition developed a corresponding Action Agenda with objectives to drive action in six occupational priorities and six systems-change and capacity-building efforts.
- **Process, relationships, and respect.** The coalition emerged through relationships and shared need among key members of health care organizations. Individuals with loose relationships agreed to begin exploring the merits of common goals and collaborative action. The processes were thoughtfully guided and intentionally nurtured to build respect and strengthen relationships across the organizations and individual leaders.

The overall results of the evaluation helped the core team update the Action Agenda priorities as well as refine their processes of engaging with one another. The evaluation and continuous improvement process confirmed the need to retain and nurture strong relationships among key coalition partners—particularly when decisions and direction are needed. It also confirmed the need for dynamic strategy making (Chapter 8) and priority-setting processes, given the uncertainty faced by significant changes in the health care industry and the resulting demands for the health care workforce of the future.

15-4 Organization Development Practitioner Roles and Skills in Transorganizational Networks

Planned change in TNs is relatively new, and the roles and skills for facilitating change in them are still being developed.⁴⁵ This expertise is not radically different from traditional OD competencies but differs on two key dimensions having to do with the roles of the practitioner and how negotiation and networking skills are applied. In TN interventions, OD practitioners often need to balance activist versus neutral roles and occupy bridging roles. This requires the application of negotiation and networking skills that apply across organizations.

OD practitioners need to balance *activist versus neutral* orientations during TN formation and change. In some circumstances, they may play a more activist role such as educating potential TN members about the benefits of joining together.⁴⁶ Similarly, they may need to proactively orchestrate face-to-face meetings among stakeholders to share information and explore interaction possibilities. In non-profit TNs, for example, this activist role may involve ideological commitments, where the OD practitioner is asked to be a co-learner or co-participant in achieving social and environmental sustainability goals. In these situations, OD practitioners need to work from an explicit value base that is aligned with the TN's activities. Rather than being asked, "What are your credentials to carry out this project?" they are probed, "Do you share our values?" or "What do you think of the plight of the people we are serving?"

An activist role can make it difficult for OD practitioners to maintain a neutral perspective that treats all member organizations alike, works on behalf of the TN, and remains agnostic to its specific values or views.⁴⁷ When practitioners are perceived as neutral, TN members are more likely to share information with them and to listen to their inputs. Such neutrality can enhance practitioners' ability to mediate conflicts among members. It can help them uncover diverse views and interests and forge agreements among members.

The second OD practitioner role in TN change, *bridging*, applies to the political and multistakeholder activities

of TNs. It metaphorically reflects the practice of connecting and integrating diverse organizations toward a shared purpose. Bridging can facilitate the sharing of ideas, resources, and expertise among members.

To effectively perform the activist, neutral, and bridging roles, OD practitioners need to possess negotiation and networking skills. Negotiation skills are especially important when TN members have asymmetrical power bases.⁴⁸ NGOs, for example, can be relatively powerless compared with governments, wealthy upper classes, and formal organizations. Given the diverse social systems involved, often there is only a loose consensus about a TN's objectives; different constituencies may have different interests and there may be histories of antagonism among them that make joint effort difficult. To accomplish shared purposes, important trade-offs and political compromise may be necessary. OD practitioners need to understand what elements of the TN's vision and values can be negotiated and what features cannot be sacrificed. They need to articulate the TN's purpose persuasively and constantly, under many conditions, and to all involved.

Networking skills are applied to different OD practitioner roles. First, in the activist role, practitioners bring specific knowledge regarding TN creation and development that can be used to support the TN's purpose.⁴⁹ Members, on the other hand, bring operational and local knowledge. OD practitioners can apply their networking skills to facilitate a "cogenerative dialogue" or "collective reflection" process that merges these two frames to produce new ideas, possibilities, and insights.⁵⁰ The activist role is effective when both the practitioner and the members contribute to sustainable solutions.

Second, in the neutral and bridging roles, OD practitioner networking skills, such as the ability to manage lateral relations among autonomous organizations in the relative absence of hierarchical control, facilitate diverse members to interact and solve common problems or address common issues. Practitioners can connect diverse organizations, find common ground, and facilitate exchanges among them so that different constituencies can work together.⁵¹ OD practitioner networking capabilities can help TN members draw on multiple sources of information and perspective, often located in different constituencies. Joint action becomes possible through these networks.

Summary

In this chapter, we described multi-organizational change interventions that move beyond the single organization. These programs enable organizations to extend their boundaries, create or modify multi-organizational linkages, and keep pace with turbulent environments. Because transorganizational

interventions transcend a single organization, attention is directed at the strategies, structures, and processes of two or more interdependent organizations. This raises the scope and complexity of change and requires OD practitioners to develop new concepts, skills, and expertise.

M&A interventions involve combining two or more organizations to achieve strategic and financial objectives. They generally involve three phases: precombination, legal combination, and operational combination. The M&A process has been dominated by financial and technical concerns, but experience and research support the contribution that OD practitioners can make to M&A success.

Strategic alliance interventions help organizations create partnerships with other organizations to share resources and capabilities for competitive advantage. They include licensing agreements, franchises, long-term contracts, and joint ventures. The development of strategic alliances generally follows a process of strategy formulation, partner

selection, alliance structuring and startup, and alliance operation and adjustment.

Transorganizational network interventions address the creation and development of TNs, where multiple organizations join together to deal with issues that can be too costly and complicated for single organizations to address. Because these multi-organizational systems tend to be underorganized, the TN application process follows the stages of planned change relevant to such systems: identification, convention, organization, and evaluation. The roles and skills of OD practitioners address how negotiation and networking facilitation is applied in these underorganized multi-organizational systems.

Notes

1. M. Marks and P. Mirvis, *Joining Forces: Making One Plus One Equal Three in Mergers, Acquisitions, and Alliances*, 2nd ed. (Jossey-Bass, 2010); A. Sherman and M. Hart, *Mergers and Acquisitions from A to Z*, 2nd ed. (Amacom, 2006).
2. Institute for Mergers, Acquisitions and Alliances. "Value of Mergers and Acquisition (M&A) Transactions Worldwide from 1985 to April 2023 (in trillion U.S. dollars)" (Statista, May 1, 2023), <https://www-statista-com.lib.pepperdine.edu/statistics/267369/volume-of-mergers-and-acquisitions-worldwide/>.
3. V. Kumar and P. Sharma, "Why Mergers and Acquisitions Fail?" in *An Insight into Mergers and Acquisitions: A Growth Perspective*, eds. V. Kumar and P. Sharma (Springer, 2019): 183–95; B. Mehta, and G. Lodha, "Evaluating the Efficacy of Mergers and Acquisitions, *Research Hub – International Multidisciplinary Research Journal* 4 (2017): 1–3; G. Koi-Akrofi, "Mergers and Acquisitions Failure Rates and Perspectives on Why They Fail," *International Journal of Innovation and Applied Studies* 17 (2016): 150–58.
4. M. Frankel and L. Forman, *Mergers and Acquisitions Basics: The Key Steps of Acquisitions, Divestitures, and Investments* (Wiley Finance, 2017); Marks and Mirvis, *Joining Forces*.
5. M. Graebner, Q. Heimeriks, and E. Vaara, "The Process of Post-Merger Integration: A Review and Agenda for Future Research," *Academy of Management Annals* 11 (2017): 1–32.
6. Marks and Mirvis, *Joining Forces*.
7. P. Howson, *The Essential of M&A Due Diligence* (Routledge, 2018); Marks and Mirvis, *Joining Forces*.
8. A. Goksoy, "Cultural Integration in Mergers and Acquisitions," in *Handbook of Research on Corporate Restructuring and Globalization*, eds. A. C. Moreira and P. Silva (IGI Global, 2019): 101–24.
9. Marks and Mirvis, *Joining Forces*.
10. T. J. Galpin and D. E. Robinson, "Merger Integration: The Ultimate Change Management Challenge," *Mergers & Acquisitions* 31 (1997): 24–28; R. Sarala, E. Vaara, and P. Junni, "Beyond Merger Syndrome and Cultural Differences: New Avenues for Research on the "Human Side" of Global Mergers and Acquisitions (M&As)," *Journal of World Business* 54 (2019): 307–21; S. Diduc, "Integration Team Members' Approaches to Uncertainty Management in M&A," *European Management Journal* 40 (2022): 917–31.
11. R. Martin, "Rethinking the M&A Model: Give Value to Get Value," *Strategy & Leadership* 50 (2022): 11–14; D. Harding, S. Romit, and A. Corbett, "Avoid Merger Meltdown: Lessons from Mergers and Acquisitions Leaders," *Strategy and Innovation* (2004): 3–5; A. Burt, T. MacDonald, and T. Herd, "Two Merger Integration Imperatives: Urgency and Execution," *Strategy and Leadership* 31 (2003): 42–49; M. Dao and B. Florian, "Human Integration Following M&A: Synthesizing Different M&A Research Streams," *Human Resource Management Review* 31 (2021): 100746; N. Steigenberger and M. Ebers, "What Drives Integration Teams to Achieve High Integration Process Performance in Absorption Acquisitions?: A Configurational Analysis," *Long Range Planning* 56 (2023): 102330.
12. Kostuch, Malchione, and Marten, "Post-Merger Integration."
13. This application was developed from information found in A. Gupta, T. Stephenson, and A. West, "Integrating Sales Operations in a Merger: A McKinsey Perspective on Four Essential Steps," in *Perspectives on Merger Integration* (McKinsey, 2010): 35–40.
14. B. Tjemkes, P. Vos, and K. Burgers, *Strategic Alliance Management*, 3rd ed. (Taylor & Francis, 2023); J. Child, D. Faulkner, and S. Tallman, *Strategies of Cooperation: Managing Alliances, Networks, and Joint Ventures*, 2nd ed. (Oxford University Press, 2005).
15. O. Williamson, *Markets and Hierarchies* (Free Press, 1975); M. Jensen and W. Meckling, "A Theory of Firm: Managerial Behavior, Agency Costs and Ownership Structure," *Journal of Financial Economics* 3 (1976): 305–60.
16. P. Kenis and D. Knoke, "How Organizational Field Networks Shape Interorganizational Tie-Formation Rates," *Academy of Management Review* 27 (2002): 275–93.

17. M. Echavarria, *Enabling Collaboration: Achieving Success Through Strategic Alliances and Partnerships* (LID Publishing, 2016); H. Hoang and F. Rothaermel, "How to Manage Alliances Strategically: Why do so many alliances underperform and what can companies do about it?" *MIT Sloan Management Review*, 58 (2016): 69–76; O. Shenkar and J. Reuer, eds., *Handbook of Strategic Alliances* (Sage Publications, 2005)
18. J. Bamford, B. Gomes-Casseres, and M. Robinson, *Mastering Alliance Strategy* (John Wiley and Sons, 2002); B. Gomes-Casseres, *Managing International Alliances: Conceptual Framework*, Case 9-793-133 (Harvard Business School, 1993); J. Child, Faulkner, D., and Tallman, S., *Strategies of Cooperation*.
19. R. Shah and V. Swaminathan, "Factors Influencing Partner Selection in Strategic Alliances: The Moderating Role of Alliance Context," *Strategic Management Journal* 42 (2008): 471–94.
20. Bamford, Gomes-Casseres, and Robinson, *Mastering Alliance Strategy*.
21. A. Arino, J. de la Torre, and P. S. Ring, "Relational Quality: Managing Trust in Corporate Alliances," *California Management Review* 44 (2001): 109–31; Y. Zhang and C. Huxham, "Identity Construction and Trust Building in Developing International Collaborations," *Journal of Applied Behavioral Science* 45 (2009): 186–211.
22. C. Rousseau, S. Sitkin, R. Burt, and C. Camerer, "Not So Different After All: A Cross-Discipline View of Trust," *Academy of Management Review* 23 (1998): 395; K. Blomqvist and K. Cook, "Swift Trust State-of-the-Art and Future Research Directions," In *Routledge Companion to Trust*, eds. R. Searle, A. Nienaber, and S. Sitkin (Routledge, 2018): 29–49; O. Schilke and K. Cook, "A Cross-Level Process Theory of Trust Development in Interorganizational Relationships," *Strategic Organization* 11 (2013): 281–303.
23. C. Worley, S. Loftis, C. Scheepers, H. Nichols, and C. Parcells, "Building Trust Through Action Learning in an Uncertain Transorganizational Context," *Journal of Applied Behavioral Science* 58 (2022): 716–51.
24. This application was adapted from "Strategic Alliances: The Value of Partners," *Cisco Solution Overview* (2009): 1–8; S. Steinhilber, "Essentials for Mutually Profitable Co-Development" (Cisco Systems, 2004); "Cisco's Perspective on Strategic Alliances," *Leader's Edge* (American Management Association).
25. A. Alexiev, H. Volberda, and A. Van den Bosch, "Interorganizational Collaboration and Firm Innovativeness: Unpacking the Role of the Organizational Environment," *Journal of Business Research* 69 (2016): 974–84.
26. B. Gazley, "The Current State of Interorganizational Collaboration: Lessons for Human Service Research and Management," *Human Service Organizations: Management, Leadership & Governance*, 41 (2017): 1–5; R. Gulati, D. Lavie, and R. Madhavan, "How Do Networks Matter?: The Performance Effects of Interorganizational Networks," in *Research in Organizational Behavior*, vol. 31, eds. B. Staw and A. Brief (Elsevier, 2011): 207–24; A. Inkpen and E. Tsang, "Social Capital, Networks, and Knowledge Transfer," *Academy of Management Review* 30 (2005): 146–65.
27. T. Cummings, "Transorganizational Development," in *Research in Organizational Behavior*, vol. 6, eds. B. Staw and L. Cummings (JAI Press, 1984): 367–422.
28. Ibid.
29. J. Ehrenberg, *Civil Society*, 2nd ed. (New York University Press, 2017); P. McMichael, *Development and Social Change: A Global Perspective* (Pine Forge Press, 2007); L. D. Brown, M. Leach, and J. Covey, "Organization Development for Social Change," in *Handbook of Organization Development*, ed. T. Cummings (Sage, 2008); N. Banks and D. Hulme, *The Role of NGOs and Civil Society in Development and Poverty Reduction* (Brooks World Poverty Institute, 2012); P. Freire, *Pedagogy of the Oppressed* (Penguin, 1972); D. Cooperrider and W. Pasmore, "Global Social Change: A New Agenda for Social Science," *Human Relations* 44 (1991): 1037–55; P. Ronalds, *The Change Imperative: Creating the Next Generation NGO* (Kumarian Press, 2010).
30. K. Rietig, "The Power of Strategy: Environmental NGO Influence in International Climate Negotiations," *Global Governance* 22 (2016): 269–88; D. Cooperrider and J. Dutton, eds., *Organizational Dimensions of Global Change* (Sage, 1999); D. Lewis, *Non-governmental Organizations, Management and Development* (Routledge, 2014).
31. L. Brown, "Bridging Organizations and Sustainable Development," *Human Relations* 44 (1991): 807–31; L. Brown and J. Covey, "Development Organizations and Organization Development: Toward an Expanded Paradigm for Organization Development," in *Research in Organizational Change and Development*, vol. 1, eds. R. Woodman and W. Pasmore (JAI Press, 1987), 59–88; P. Johnson and D. Cooperrider, "Finding a Path with a Heart: Global Social Change Organizations and Their Challenge for the Field of Organizational Development," in *Research in Organizational Change and Development*, vol. 5, eds. R. Woodman and W. Pasmore (JAI Press, 1991), 223–84.
32. Cummings, "Transorganizational Development"; B. Gray, *Collaborating: Finding Common Ground for Multiparty Problems* (Jossey-Bass, 1989); K. Harrigan and W. Newman, "Bases of Interorganization Co-operation: Propensity, Power, Persistence," *Journal of Management Studies* 27 (1990): 417–34; D. Boje and M. Hillon, "Transorganizational Development," in *Handbook of Organization Development*, ed. T. Cummings (Sage, 2008), 651–63; R. Chisholm, *Developing Network Organizations: Learning from Practice and Theory* (Addison-Wesley, 1998); B. Gray, "Conditions Facilitating Interorganizational Collaboration," *Human Relations* 38 (1985): 911–36; Harrigan and Newman, "Bases of Interorganization Co-operation"; C. Huxham and S. Vangen, *Managing to Collaborate: The Theory and Practice of Collaborative Advantage* (Routledge, 2005); S. Klein and A. Poulymenakou, eds., *Managing Dynamic Networks: Organizational Perspectives of Technology Enabled Inter-Firm Collaboration* (Springer, 2006).
33. E. Trist, F. Emery, and H. Murray, *The Social Engagement of Social Science: A Tavistock Anthology. Volume III: The*

- Socio-Ecological Perspective* (University of Pennsylvania Press, 1997).
34. Brown and Covey, "Development Organizations and Organization Development"; Gray, *Collaborating*; Chisholm, *Developing Network Organizations*; Boje and Hillon, "Transorganizational Development."
 35. J. Gil-Garcia, T. Pardo, and D. Sayogo, "From Bureaucratic Machines to Inter-organizational Networks: Characterizing the Response to the World Trade Center Crisis," *Transforming Government: People, Process and Policy*, 10 (2016): 568–90; T. Williams, "The Search Conference in Active Adaptive Planning," *Journal of Applied Behavioral Science* 16 (1980): 470–83; B. Gray and T. Hay, "Political Limits to Interorganizational Consensus and Change," *Journal of Applied Behavioral Science* 22 (1986): 95–112.
 36. M. Nathan and I. Mitroff, "The Use of Negotiated Order Theory as a Tool for Analysis and Development of an Inter-organizational Field," *Journal of Applied Behavioral Science* 27 (1991): 163–80; H. Bradbury, B. Lichtenstein, J. Carroll, and P. Senge, "Relational Space and Learning Experiments: The Heart of Sustainability Collaborations," in *Research in Organizational Change and Development*, vol. 18, eds. W. Pasmore, A. Shani, and R. Woodman (Emerald, 2010): 109–48.
 37. C. Worley and S. Parker, "Building Multi-Stakeholder Sustainability Networks: The Cuyahoga River Valley Initiative," in *Organizing for Sustainable Effectiveness*, vol. 1., eds. S. Mohrman, A. Shani, and P. Docherty (Emerald, 2011): 187–214.
 38. G. Mitchell, "The Attributes of Effective NGOs and the Leadership Values Associated with a Reputation for Organizational Effectiveness," *Nonprofit Management and Leadership* 26 (2015): 39–57.
 39. E. Trist, "Referent Organizations and the Development of Inter-Organizational Domains," *Human Relations*, 36 (1983): 269–85.
 40. B. Jones, "Looking Good: Mediatization and International NGOs," *European Journal of Development Research* 29 (2017): 176–91.
 41. Mitchell, "The Attributes of Effective NGOs"; L. D. Brown and A. Kalegaonkar, "Support Organizations and the Evolution of the NGO Sector," *Nonprofit and Voluntary Sector Quarterly* 31 (2002): 231–58.
 42. Banks and Hulme, *The Role of NGOs*.
 43. D. Ainsworth and A. Feyerherm, "Higher Order Change: A Transorganizational System Diagnostic Model," *Journal of Organizational Change Management* 29 (2016): 769–81; Cummings, "Transorganization Development"; Chisholm, *Developing Network Organizations*; Brown and Covey, "Development Organizations and Organization Development."
 44. This application was developed and written by Kitty Farnham, Owner, Catalyst Consulting in Fairbanks, Alaska. Her contribution to this chapter and to the state of Alaska are greatly appreciated.
 45. D. Bornstein, *How to Change the World: Social Entrepreneurs and the Power of New Ideas* (Oxford University Press, 2004).
 46. Cummings, "Transorganizational Development."
 47. Cummings, "Transorganizational Development."
 48. R. Saner and L. Yiu, "Porous Boundary and Power Politics: Contextual Constraints of Organization Development Change Projects in the United Nations Organizations," *Gestalt Review* 6 (2002): 84–94.
 49. D. Cooperrider and S. Srivastva, "Appreciative Inquiry in Organizational Life," in *Research in Organizational Change and Development*, vol. 1, eds. R. Woodman and W. Pasmore (JAI Press, 1987): 129–69; Cooperrider and Dutton, *Organizational Dimensions of Global Change*.
 50. Brown and Covey, "Action Research"; M. Elden and M. Levin, "Cogenerative Learning: Bringing Participation into Action Research," in *Participatory Action Research*, ed. W. Whyte (Sage, 1991): 127–42.
 51. T. Cummings, "Transorganizational Development;" B. Gricar and D. Brown, "Conflict, Power, and Organization in a Changing Community," *Human Relations* 34 (1981): 877–93.

Selected Cases

The Transformation of Meck Insurance*

The internal Organization Development (OD) team at MECK Insurance had just completed a full-day session with the Customer Service Organization (CSO) leadership team. Together, they were leading the journey to shift the culture and drive performance in one of MECK's largest business areas—and the hard part was just beginning. Customer, client relationship, and employee engagement measures had improved in the first 18 months of the transformation. However, the OD team knew from experience that the project was at an exciting and daunting moment in the journey. Their interventions could either accelerate the change or allow the customer service organization to slide back towards the status quo.

This was not the first time the OD team had collaborated with a MECK business area to create cultural transformation. Two other business areas, Customer & Enterprise Services and Technology, had been on similar journeys beginning in 2008. Through the highs, lows, and lessons learned, the OD team has adapted methods based on the business area's structure, the leader's objectives, and the unit's particular culture. Additionally, the OD team shared a continued belief that bringing the employees and their culture into alignment with the business strategy was a critical lever for performance.

There had been visible success along the way, but this time it felt different. Given the size of the CSO, success could represent the tipping point for the whole company. The task ahead of the OD team was to partner with the clients to determine the next steps in the change process, accelerate the change, and ensure the shifts were sustainable.

The Cultural Transformation Methodology

The CSO was the third business area to engage in large-scale transformation at MECK Insurance, a large, broad line provider of property, casualty, and life insurance sold through a multichannel business model that included call centers, the web and an agency force. Together with Customer & Enterprise Services and Technology, these three areas represented approximately 70 percent of the company's workforce.

While the three business areas served very different functions for the company, the motivation for change was similar: to improve business performance

and to respond to feedback from the business areas' internal clients and external customers. A differentiated client and customer experience was critical to being competitive in the future. In addition, these business areas recognized that the desired impact on financial performance and customer experience could not be achieved through a single-solution approach, such as restructuring the organization, reducing expenses, or hiring a few new leaders. Instead, the leader of each business area knew change needed to be holistic to achieve better and sustainable levels of performance.

In each case, the OD team worked with the leaders of the business areas and their leadership teams to define clear and supported strategies as the first phase of work. With this foundation, the OD team leveraged several design and change tools, including Galbraith's Star Model, Sullivan's Whole System Transformation process, and Beckhard's change formula, to frame the change process across all three business areas. For example, Beckhard's change formula, $C = R < D \cdot V \cdot F$, suggests that change occurs when resistance is less than the product of dissatisfaction with the current state, a vision of the future, and clear first steps. These tools resulted in core "Transformation Principles" (Table 1).

These transformation principles focused on engaging the head and heart of organization members to create real, sustainable change. The deep transformation of an individual's experience was necessary to create space for new and different levels of engagement. Deep individual change at *all levels* of the organization was core to *how* organization change was created. The principles also recognized that design changes drove culture change. It was important to redesign structures, systems, and processes to support the new behaviors.

Although the transformation principles were leveraged in all three business areas, the way they were applied looked different based on the specific business area's context, leaders, culture, and business challenges.

Where it All Started—Customer And Enterprises Services

The Customer and Enterprise Services (CES) organization operated most of the company's call centers and back office functions. CES's employees engaged

*Anonymous members of the MECK Insurance OD team.

Selected Cases

The Transformation of Meck Insurance, continued

Table 1 Core Transformation Principles

Create real strategic business results

Ensure shared ownership by leaders

Think holistically about how to create and sustain change with a *common purpose* that drives everything

Engage diverse groups to leverage different perspectives, understand their needs, and create change—the wisdom is in the system

Build shared aspiration, understanding, and meaning that leads to committed and aligned action—combine head and heart

Measure and reward what you want and take action on what you don't want

Leverage the organization's strengths—honor what is already working

Build an organization that creates its own solutions to ensure sustainability

in hundreds of millions of customer interactions each year, were spread across the country, and delivered crucial services to policy holders as well as internal business units. Unfortunately, in 2008, CES customer loyalty and satisfaction scores had been stagnant at best, and feedback suggested significant improvements were needed in sales, service quality, and product support. In addition, internal business clients were demanding significant cost reductions and more support to help them meet their business goals.

CES's challenges stemmed largely from an internally focused, shared-service structure and culture that had been in place for two decades. Locations and functions were isolated from each other and tolerated the creation of "kingdoms." The result was little to no collaboration across locations, functions, or top leadership as well as lost efficiencies, lack of shared purpose, inconsistent practices to serve customer needs, and subcultures that varied widely across CES. CES also faced additional complexities: their recent merger with the Technology area formed a larger Technology & Operations organization under a single leader, and the appointment of a new CES leader resulted in a lack of clarity and focus on what was most important and how to best drive business performance.

The CES Transformation Process—Launches and Waves

The new CES leader initiated the change process. Leveraging both internal and external OD resources, the transformation process consisted of four phases

or "launches." Within two years, CES saw most every business metric move in a positive direction, including enhanced cost effectiveness and increased customer service.

- **Launch 1: Ensuring Clear Sponsorship and Leadership Alignment.** Launch 1 began with ensuring that the CES leadership team was ready to support transformation and was willing to make the changes needed to impact business performance. The leadership team needed to be aligned and committed to the CES strategy, the need for change, and their role and accountability for the change before the OD team engaged others in the effort. The modeling of transformation by the leadership team was paramount in inspiring the remainder of the CES organization.

This was no small task as the CES leadership team had a long history of competition and distrust, and lacked any shared commitment to a collective vision. The conversations and dialogue over multiple sessions shaped the direction of the team and the organization. The tipping point in the team's transformation came at one of those sessions. Following a period of continued questioning by the CES leader about how best to operate the function, the whole team—without the leader—stood up, walked over to the easel pad, and designed their ideal service delivery model. The team took full ownership of that future vision and operated

Selected Cases

The Transformation of Meck Insurance, continued

collaboratively to design it. They left that session with a common purpose, guiding principles, operating norms, and a new paradigm about their value to the company. Based on the new delivery model, the leadership team was able to articulate a business goal to become more innovative, cost effective, and value added as perceived by customers. They eventually shortened everything into two key sentiments: *Thrill the Customer* and *Get Different*.

Following these sessions, the leadership team spoke openly and publicly of their fears and perceptions, took ownership of the barriers and challenges they had created through their past leadership decisions and behaviors, listened to the organization, and accepted critical feedback. Later, when qualitative data was gathered about the role of leaders in the CES transformation effort, employees noted that it was the first time in years that everyone, at all levels, felt heard. Employees had a renewed sense of trust in and commitment to the leadership and the company.

As part of the transformation, the leadership team agreed to engage people from across CES together in large-group events and formed a design team to plan and execute the Launch 2 phase. The design team was a microcosm of the organization and ensured that the large-group event agendas would meet the needs, concerns, and reality of the people who would attend them. The design team's responsibilities included:

- Building relationships with each other as a way to learn about the experiences that people were having in different parts of CES;
- Understanding the current state of the business;
- Completing a scan of the internal environment;
- Reviewing the organizational vision and all the work that was underway to help achieve it;
- Identifying and aligning on a clear purpose and the outcomes for the large-group sessions;
- Designing all the activities and conversations that would occur in the large-group sessions.
- **Launch 2: Engaging the Organization.** Launch 2 activities engaged CES members in a series of

four two-and-a-half-day, large-group events or "waves" of about 200 people to understand the case for change, create the vision for the future, identify how to make the change happen at an organization and individual level, and consider ways to sustain the change. Wave I focused on understanding the current state and the sources of dissatisfaction (the "D" in Beckhard's change formula). Wave II focused on identifying a future vision (the "V" in Beckhard's formula). Wave III developed action plans or "first steps," and Wave IV focused on sustainability and system-wide transformation issues.

Although the focus of each wave was different, there were a significant number of similarities in the way in which the waves were designed to ensure that the transformation principles were reflected. For example:

- The first day of a session involved context setting, group connections, and a sharing of dissatisfactions with the current state.
- The second day connected people to aspirations and visions of what was possible. For CES, this meant that the leadership team's common purpose—Thrill Our Customer—was embedded in every activity so that employees began to make a meaningful connection to what was possible given their customer facing roles.
- The third day generated confidence and enthusiasm as they developed actions to take at the individual, group, and organization levels as they walked out of the wave and returned to their day-to-day jobs.
- Small-group discussions always took place among a "max mix" of CES members—every table had a mixture of people representing different levels, geographies, and functions so that there was a microcosm of the organization—much like the make-up of the design team.
- The design of each day addressed both organization transformation *and* personal transformation. To change the organization, each individual also needed to make the commitment to change.

Together, the four waves engaged about 20 percent of the CES workforce, and generated visible alignment and excitement around

Selected Cases

The Transformation of Meck Insurance, continued

the common purpose. The waves also formed relationships across locations, business functions and people, and brought collaboration and innovation to life. The experience shifted individual beliefs about the organization, their role, and how they could work differently to truly thrill the customer.

Participants took the shared sense of excitement and unity back to their work locations and became catalysts for the change. Individuals brought new ideas and business solutions to their leaders and people began to work differently across boundaries. This collective excitement and action from the participants after the sessions, combined with the broader sustainability efforts across CES (described below), shifted the organization and began to translate into business results. Importantly, the investment in leadership's transformation as a part of Launch 1 paid off when, about midway through the effort, it became clear that not all CES leaders were supporting the change or were taking steps to create an environment where employees could be heard and empowered. The CES leader held those leaders accountable for their actions—and eventually moved some out of their positions if they did not change. This action was a critical sign to the rest of the organization of the CES leader's commitment to move the organization into its vision.

- Launch 3: Evaluation and Sustainability.** The output of Wave IV was a CES-wide action plan with "Six Bold Steps" to address the organization's design. The Six Bold Steps were to introduce a 360-degree feedback process for all employees, create a new online recognition program, design a business results dashboard, develop business acumen training, host a one-day wave event at every geographic office location, and document best practice process flows. These "bold steps" served as the basis of a sustainability plan to monitor and measure progress across CES. While CES made progress in achieving the "bold steps," sustainability efforts monitored overall progress and action to ensure that change was systemic and purposeful in bringing the CES common purpose and vision to life.

The CES senior leadership team worked with the design team and the OD team to hold review sessions at 6- and 14-month intervals after the completion of the four waves. These sessions assessed the leadership team's development, created an organizational strategy for the next two years, and established an elaborate ongoing measurement process, structure, and planning system to ensure long term sustainability.

CES—Results and Impact of the Transformation

The inclusiveness and depth of the CES transformation generated near-immediate business improvements. For example, after years of no movement, the satisfaction survey that customers take following a call center transaction improved for seven months in a row, from 77 percent to 84 percent, and has been maintained by the organization. A variety of other expense and operations improvements were made as well. For example, half way through the fiscal year, there was concern about whether the CES organization would meet their sales goals, but after the four waves, the numbers rose and CES eventually exceeded their sales objectives.

BUILDING MOMENTUM—TRANSFORMATION IN TECHNOLOGY

CES's success convinced MECK's Chief Information Officer (CIO) to expand the work to the Technology organization—the remaining part of the overall Technology & Operations function. Services provided by the Technology organization play a critical role in supporting agencies and serving customers. They build and deliver applications and infrastructure that enable a wide range of business transactions. For example, technology allows the agencies to sell and service customers, supports the claims process in catastrophe situations, and provides customers with the ability to quote and buy policies on the web. At the time the transformation effort began in 2009, the availability and stability of these services had room for improvement and the pressure from internal clients, agencies, and customers to make a change was growing.

Prior to 2009, the technology organization had restructured and changed leaders several times. The most significant of these was a merger between the application development and infrastructure development

Selected Cases

The Transformation of Meck Insurance, continued

areas. It brought two leadership teams under one CIO and aligned the organization to the different enterprise functions. Unfortunately, people were unclear about whether Technology's true objective was to be a world class center of excellence or a low-cost service provider. Additionally, increasing amounts of work were being outsourced to both domestic and foreign locations and contributed to confusion about individual and organization purpose, value, and future direction.

The Technology Transformation Process

Building on the experience from CES, the Technology leadership team was similarly engaged in working sessions to ensure strategic clarity, an articulated case for change, and a commitment to how they led and supported the transformation. Similar to CES, improved customer service, affordability, and innovation were cornerstones for business performance. Additionally, the leadership team wanted increased employee engagement across the Technology organization.

- **Launch 1: Building an Aligned Senior Leadership Team.** During the Launch 1 sessions, the leadership team reviewed diagnostic data about the current state of the organization—its challenges, concerns, strengths, and opportunities. They noticed that the word “customer” was completely missing from their discussions. This was not surprising because, unlike CES, most Technology employees did not have daily interactions with policy-holding customers. Without this direct connection, the line of sight between their work and how it directly impacted customers was more difficult to see. The data also highlighted another gap—most of Technology's success metrics were internally focused. The leadership team realized they had strayed from a focus on the needs of their core stakeholder—the bill-paying customer.

A clear and common purpose had been a key success factor for the CES transformation. As a result, the Technology leadership team also spent time defining a common purpose. Because of the insight around their lost focus on the customer, the leadership team believed that they should share the same common purpose as CES, which was to Thrill Our Customer. The leadership team knew that, going forward, it was important to refocus themselves and the organization on this stakeholder. They also

recognized that they needed to lead differently to bring the common purpose to life.

- **Launch 2: Engaging Employees.** Like CES, Launch 2 activities were to engage the organization beyond the leadership team. However, a “mini-wave” of only 40 individuals was designed and delivered by the OD team to help gauge the pulse of the Technology organization and to confirm the need for the larger group events or “waves.” The participants in the mini-wave were unanimous: similar conversations needed to occur in the entire Technology organization. The executive sponsor and leadership team agreed.

With this direction, the OD team used the case for change and the common purpose as the basis for designing the wave events. The Technology waves used similar design assumptions:

- Each wave was two and a half days to allow the time for organizational and personal transformation.
- Small groups applied the “max mix” concept to bring together leaders and employees from all levels on the design teams and at the tables in the events.
- The first large-group event focused on unleashing individuals and getting a clear understanding of the current state, while Waves II and III focused on the future state and specific actions, in addition to continuing to provide feedback on organization initiatives and centering on personal transformation.
- Eventually, approximately 30 percent of the Technology organization attended one of these large-group sessions.

While the OD team was leading the wave events, the leadership team was simultaneously defining objectives and priorities related to the organization's structure and work processes. These priorities were brought into the wave events for input and feedback from people across the Technology organization.

- **Launch 3: Broadening the Involvement of the Organization and Sustainability.** The final wave event produced four bold actions to support sustainability and engagement across the

Selected Cases

The Transformation of Meck Insurance, continued

technology organization. One of these actions, similar to CES, was to create one-day large-group sessions for all Technology employees who had not attended a wave. These one-day sessions engaged employees in the common purpose of "Thrill Our Customer," connected their work to the purpose, and asked them to reflect on what they needed to do differently to bring the common purpose to life. A design team created and facilitated the one-day sessions. The other three bold actions focused on organizational design, including changes to rewards and performance management systems, continued capability building of inclusive behaviors, and leadership development.

The OD team took similar approaches to sustain the change, including:

- Continuing work with the leadership team to support their development in leading the transformation efforts;
- Building their own capabilities in whole system transformation and inclusive diversity by working with external partners;
- Forming an Operating Team—a "max mix" of employees and leaders from across Technology—to lead the sustainability work and provide input to the leadership team on the overall strategy.

Technology—Results and Impact of the Transformation

Following the wave events, the Technology organization faced increasing business pressure on overall performance, availability, and "up time." Despite initial momentum for the four bold actions, these pressures and several large-scale, corporate-sponsored organizational initiatives influenced Technology to re-define priorities. As a result, limited to no progress was made on three of the four bold actions. Only the one-day engagement sessions were fully executed. In addition, evidence emerged that some leaders were not shifting the way they led. This cast a shadow over parts of the organization; people began to believe, in pockets, that there was little commitment to change.

Shortly after the completion of the waves and one-day engagement sessions in 2010, the CIO moved to another position. A new leader took over

the Technology and Operations organization, made several leadership changes and articulated clear priorities and focus areas. At the same time, the internal OD team that had been dedicated to the Technology and Operations organization was centralized into the Human Resources function to support the enterprise.

While there was a substantial increase in Technology employees' evaluation of their line of sight to the customer as measured by an organization-wide survey (which was one of the success measures for the effort), there was no clear measurable business impact, and no additional formal interventions were conducted during the transition period of the new leadership and the OD team. The progress that had been made up to that point in Technology became the backdrop for the new leader as he refocused the organization to address the mounting business demands and lead them into the next chapter of transformation.

Creating Sustainable Change in the Customer Service Organization

The Customer Service Organization (CSO) represents more than half of the company's total population. It is spread across the country as a primary customer contact point, is critical to satisfying and retaining customers, and holds the line on the company's operating expenses.

Historically, field offices across CSO had authoritative cultures that were created and dominated by leaders telling employees what to do and supported by processes and structures that left little room for deviation. According to this operating model, technological and work system changes were implemented to increase automation, maximize efficiency, and minimize error. This operating model and change process had served the company well. Process efficiency and cost reduction, two business measures for which the leadership team was held accountable, were consistently high.

At the same time that the OD team was transitioning to its new role, the CSO leadership team was discussing what they needed to do to compete in the future, including how to stay on top of emerging technology trends, changing demographics, and increasing customer experience expectations as part of their annual strategic planning process. The leadership team knew they were operating from a position of strength. However, they also acknowledged that the highly authoritative style of leadership would no

Selected Cases

The Transformation of Meck Insurance, continued

longer work and that they did not have much insight or visibility into the geographically dispersed field offices given their location in the corporate office. They recognized the need to change not only how they operated but also how their culture would support the changing competitive landscape. The leadership team conducted an organization-wide survey, employee focus groups, and executive partner interviews to better understand the current state. The OD team began work with the CSO in 2011, after the current state data was collected and a series of conversations with the CSO leader were held, in which he made his commitment to leading the change clear.

The leaders used the diagnostic data to validate their assumptions. The data not only highlighted the leadership issue but brought into focus the barriers they faced if they wanted to shift the CSO culture. To be competitive in the future, they needed to maintain their efficiency and expense management strengths but build capabilities in customer service, innovation, and collaboration. This became the platform for the transformation effort. The leadership team also understood that engaging everyone in the organization was necessary if they were to believe that making this change was not a “nice to do,” but a business need and a competitive differentiator.

The CSO Transformation Process

The OD team believed that changing the CSO operating model and culture required modifying the transformation process. If each of the field offices had its own culture and leadership style, the OD team and leadership team believed that the transformation's initial focus should be on all leaders of the organization before employees were engaged. They believed this would best leverage the transformation principles and would ensure leadership support and commitment to the desired culture.

As a result, the CSO transformation process proceeded as follows. Launch 1 involved setting direction and aligning leadership at *all levels* in the organization rather than just the senior leadership team. Launch 2 would broaden the engagement to help employees understand the current state, develop a vision for the future, and identify the change initiatives. Launch 3 would be about sustaining the change through implementation, tracking progress, and measuring success.

Sustaining the change also had to include efforts to build leadership and employee capability for change.

- **Launch 1: Set Direction and Align Leadership.**

Based on the CSO leadership team's progress to date, the OD team's initial conversation focused on the question: *if nothing changes, what will happen?* What emerged from the discussion was an affirmation that a focus only on process efficiency and expense management and without a focus on employee engagement and ownership would not be competitive in the future. The conversation confirmed the current state data; now the leadership team was aligned and committed to the change. It was one thing to see the data, but it was another thing for the leadership team to *believe* the data.

The CSO leadership team then focused on articulating its vision for the future. This resulted in a document called *The Compass*, and included:

1. **Purpose and mission.** We restore customers' lives after the unexpected happens.
2. **Balanced objectives.** Two traditional performance measures, including customer satisfaction, and two objectives focused on leadership and employee engagement. The two people-oriented objectives made a strong statement that this was a departure from the past.
3. **Cultural focus areas.** The cultural focus areas represented the tenets or values that needed to be strengthened to achieve *The Compass*. The cultural focus areas were:
 - *People First:* This focus area included guiding statements such as “we trust employees to use good judgment” and “we hire and develop people with a passion for restoring lives.”
 - *Customer Centricity:* This focus area included statements such as “we value service behaviors” and “we are known as a service company.”
 - *Collaboration and Innovation:* This area included statements such as “employees who are comfortable and inspired to share their thoughts and ideas are more

Selected Cases

The Transformation of Meck Insurance, continued

engaged and productive" and "trial and error is a measure of success."

The final leadership team conversation linked The Compass to required leader behaviors. For this conversation, the OD team introduced a "beliefs-behavior-results" framework. The framework suggests that shifting personal beliefs drives different behaviors and those different behaviors can lead to achieving the desired results. Said another way, to achieve the results described in The Compass, the senior leadership team needed to behave in a way that enabled those results. Those behaviors were a reflection of the beliefs (or mindsets) they hold true.

The OD team gathered input on how leadership team members "showed up" as leaders and collected input from other CSO leaders about their perceptions of the leadership team. Based on that data, leaders were asked to identify three new behaviors that would enable the achievement of the Compass, show their commitment to the transformation effort, and reflect the type of leadership team for which they wanted to be known. The leadership team took the extra step to explore more specifically the beliefs that would drive those three key behaviors.

At this time, the CSO leader made two changes in the leadership team. An external hire and an internal promotion visibly symbolized a culture shift and emphasized the commitment to achieving The Compass—from the balanced objectives to the cultural focus areas.

With The Compass and leadership team in place, the Launch 1 process extended to the field office leaders across the United States. Working with the CSO leadership team and a "max mix" design team from the leadership population, a leadership engagement session was designed to prepare the field leaders to support the transformation.

The design team shaped the agenda and facilitated the leadership engagement sessions. The leadership engagement sessions were to be a day and a half in length, based on the assumption that front-line leaders could not be away from their offices any longer. The design

challenge became how to reflect fully the transformation principles while being flexible in the structure and flow of the leadership engagement sessions. The design team ended up with the following overall flow for the leadership engagement sessions:

1. Begin with discussions about The Compass and the case for change. Using data from the organizational survey and focus groups, the leaders engaged in conversations about the organization's purpose and future vision.
2. Illustrate the concepts by asking leaders to identify the most important organizational barriers to The Compass (aligned with each area of Galbraith's Star Model). To make the conversation more personal, the discussion also focused on what the vision meant for them and the possibilities for the organization if this vision was a reality.
3. Focus on what needed to change in the organization but also on what needed to change in the participants as leaders *and* as individuals. Using the Beliefs-Behaviors-Results framework, the leaders focused on increasing their self-awareness. They also built capability on their feedback skills and used real time examples to help them experience and apply what they were learning.
4. Identify two to three new behaviors to adopt. The intent was to focus their efforts on a few things to help support The Compass and the cultural focus areas. In turn, they identified beliefs or mindsets they needed to change or replace to embody the behaviors they identified in the session. The intent of all of this capability building was to focus their efforts on the critical few and to help sustain real, personal change after the sessions.

The leadership team stayed engaged and involved with the design team through the design and implementation of the sessions. This level of involvement was a significant symbol of the transformation; the leadership team had traditionally made the decisions about meeting design and then assigned roles and parts.

Selected Cases

The Transformation of Meck Insurance, continued

The leadership engagement sessions brought together all leaders, from front line to top management, in 15 sessions across the country. They debated the case for change, the business imperative, the organization’s vision for the future, and what it meant for them as leaders. Just like the leadership team, the rest of the leaders spent time identifying the two to three new behaviors they would commit to in support of the Compass vision. These sessions also focused on building their capability as leaders in areas such as giving feedback.

- **Launch 2: Identify Actions and Engage the Organization in the Change.** As Launch 1 began to merge into Launch 2, the CSO leaders throughout the organization had identified specific actions to align with The Compass. They began to initiate efforts to address the top barriers to achieving The Compass and to sustain the momentum that had started in the leadership engagement sessions. Specifically, work was launched to create more customer centric processes, to shift metric-only individual performance documents to become more outcome-focused, and to more fully integrate behaviors into performance evaluation. These changes, along with the increased engagement of leaders in driving and supporting the change, began to symbolize that the organization was going to work differently.

In addition, and following the leadership engagement sessions, the leadership team and the OD team began partnerships with talent management, leadership development, and workforce measurement groups within the human resources function. Specific CSO resources were assigned full time to the transformation effort to focus on and drive work that would continue the progress towards achieving the vision of The Compass. Although the transformation effort was only 18 months old, early business results indicated that a positive shift was occurring in the organization. There were measurable improvements in customer satisfaction, agency satisfaction, and employee engagement at the end of one full year of the effort.

But a large number of people—the ones who were actually delivering customer service on the frontlines—had not yet been engaged in the change process in a formal way. The OD team had to define how to engage the frontline employees in the progress and journey to date and to allow them to experience and take ownership of the transformation that was occurring in the organization. As the OD team contemplated future guidance for the CSO leadership team, it reflected on the lessons learned to date. How might these lessons (see Table 2) inform and illuminate the design of Launch 2 and Launch 3 in Customer Service?

Table 2 Lessons Learned from Three Transformation Efforts
Lessons and Explanation
Methodologies are effective only if they are adopted by and transferred to the organization— methods, models and tools must fit with the client’s reality and be owned by them. All three business areas used many of the same methodologies, with differences in application. For example, the transformation principles have been the foundation for all of the efforts to date. However, each process was adjusted to meet the needs of a particular business area. The OD team transferred change competencies to the organization through design teams, executive working sessions, and the creation of change agent groups. Not fully achieving the Technology outcomes was partly the result of the OD team owning more of the transformation’s design and delivery.

Selected Cases

The Transformation of Meck Insurance, continued

Table 2 Lessons Learned from Three Transformation Efforts (*continued*)

Lessons and Explanation

A clear and straightforward mission sets direction and drives effective and sustainable change. The transformation efforts in all three business areas were strategy driven. For CES and Technology, Thrill Our Customers represented their strategy to become a more innovative, cost-effective, value-added service provider. However, the Technology organization did not have a history of customer focus and so the strategy was seen as unclear and broad. It was difficult for many employees to see their line of sight to the company's customers and how their day-to-day work impacted the overall mission.

The Customer Service organization's language in The Compass included a level of specificity that enabled individuals to better understand what it meant in practice. How can the OD team ensure that people understand the key initiatives to advance the achievement of The Compass? Also, how can the OD team engage frontline employees in understanding The Compass and the impact on their day-to-day work?

Leaders must understand the required behavior changes, commit to and model them, and be held accountable to them. An aligned and committed senior leadership team is at the core of any transformative change. Each leader must identify the mindset and behavior changes, and then model them for others. They must be held accountable as well. Leaders who did not attend a CES or Technology wave event often did not understand their role and the reason their employees were behaving differently. At best, they did nothing to encourage and support change; at worst, they acted as a strong opposing force, holding on to the status quo, and actively preventing change from occurring. The CES senior leader made it clear that not supporting the desired culture was unacceptable. This did not happen in Technology in the same way and probably contributed to slower and less impactful progress. Without accountability in this change, organization members will be hesitant to trust in the change and make their own transformative leap.

Sustainable transformation requires a whole systems approach; it's not just a people process. All of the cases used organization design elements to drive the purpose and desired culture. While the CES transformation involved all levels of the organization to identify and implement necessary changes, the Technology organization's senior leaders identified design changes concurrently with the large-group events. The integration of design changes and behavior changes after the fact was difficult. Some significant design changes appeared to be unrelated to, or even in conflict with, culture and behavior changes. The OD team knew that, in order to produce sustained change within CSO, design changes to reinforce the new culture would be required.

Measurement, using concrete data, is an intervention; not just a data-gathering process. In both the CES and Technology cases, the dual focus on business results and culture change, and the specific measurements attached to them, sent the message that both were equally important to the overall transformation effort.

Until a tangible shift is experienced in terms of day-to-day work, the change is not perceived to be real. While transformation begins with leaders and their behaviors, it is not enough to drive an effective change. Organization members need to feel and see changes in their day-to-day work. In CES, it was not until barriers at the local level were removed that people experienced the change. In the Technology case, members did not always see structure and process changes as cohesive and integrated with the overall transformation effort.

As the OD team considered the CSO Launch 2 design phase, they wondered about how to make changes in the field offices real. The OD team had data from frontline employees that leadership behavior changes had been effective. However, employees also noted a sense of waiting for processes and structures to shift to prove that the change was real and to see more tangibly the connection between the cultural changes and business results.

Selected Cases

The Transformation of Meck Insurance, continued

Questions

The OD team must design the CSO Launch 2 phase activities with an eye toward Launch 3 of the transformation process.

1. What is your analysis of the MECK transformation to date? What has worked, what has not worked, and do the OD team's learnings seem complete?
2. Keeping in mind the lessons learned to date, propose a design (interventions, roles and

responsibilities, timing, agendas, and other aspects) for Launch 2. Be sure to include or consider the following:

- Continued work with leadership team
- Building capability of leaders
- Starting to engage rest of organization using core principles
- Continuing to leverage organization design features, such as systems, structures, and rewards, to align behavior to The Compass

Selected Cases

Cultural and Organisational Integration at Mmi: The Momentum and Metropolitan Merger*

On an early, crisp March morning in 2017, Nicolaas Kruger, group CEO of MMI Holdings Ltd, was reminded of Charles Dickens' book *"A Tale of Two Cities,"* when he arrived at the company's Parc du Cap office complex in Cape Town. MMI Holdings Ltd employed 14,697 people in South Africa and 2,863 internationally. In 2016, its return on embedded value, a widely used industry measure of value creation, was 13 percent compared to the industry average of 10.2 percent, and the new business present value of future premiums (PVP) was R44.1 billion. (In September 2017, 1 South African Rand (ZAR) was 0.078 US Dollar; 1 US Dollar was 12.84 ZAR.)

Like the stark contrast between the strained Parisian lifestyle and the relaxed London setting of the seventeenth century, Cape Town had been the headquarters of Metropolitan, one of the two companies who merged to form MMI Holdings. Metropolitan's culture had been characterized by a more formal, traditional management style with top-down decision-making. Momentum, the other firm in the merger, had been headquartered in the capital city of Pretoria and its proximity to the heart of South Africa's financial district influenced its culture. The Momentum culture was considered modern and more informal, with empowered high-performing employees and less power distance between staff and management.

With Table Mountain in the background and several cyclists and runners on the road, Kruger reflected on the different locations and rich history of each organisation as well as the merger's progress. For example, he noticed that there were no longer designated parking bays for executives in the Metropolitan building and inside, MMI and Metropolitan logos shared wall space. Before the merger, the top floor had been for the exclusive use of executives, but had been transformed into a staff cafeteria so that everyone could enjoy the view of Cape Town. To Kruger, this was significant progress towards aligning the two

cultures around a common set of values. The question was, "How could they capitalize on their progress to derive even more value from the merger?"

Prelude to a Merger

Metropolitan and Momentum were two of South Africa's top financial services companies. Metropolitan began as African Homes Trust in 1898 to help low income earners build their own homes, and few companies had a history that so closely mirrored the progress of South Africa and its people. In 1912, African Homes Trust took over an insurance company and in 1985 changed its name to Metropolitan Life. Life insurance was its primary product, sold through mass-market agents to primarily entry-level and middle-income markets. It was highly efficient at processing new business accounts, serving clients, processing claims, and generally administering its policies. Metropolitan had sufficient scale in terms of the number of public and private sector clients in retirement fund administration to provide them with scale benefits and thus the ability to price competitively. It was also the leading player in private (closed) healthcare solutions administration.

Metropolitan was proud of its special emphasis on designing products for those who had previously, especially during the Apartheid years, been unable to participate in long-term savings. In the nineties, Metropolitan expanded to Namibia, Lesotho, and Botswana, and in 2006 they acquired a 60 percent stake in a Ghana insurer. In 2010, Metropolitan had 5,500 people and a market capitalisation of R9 billion.

Momentum, on the other hand, was a progressive company established in 1966 as "Afrikaanse Verbond Lewens" (meaning "Afrikaanse Life Bonds" in Afrikaans, one of South Africa's official languages). It acquired Monument Assurance in 1973 to form Momentum Life. Rand Merchant Bank Holdings (RMBH) invested in Momentum in 1992 and its growth benefitted from a strong focus on middle and affluent market segments. In 1998, RMBH created FirstRand Limited, the largest financial services company on the JSE. Momentum had 9,000 people and a market capitalisation of R16 billion. It had strong products in open healthcare solutions administration and umbrella retirement funds, both distributed through a strong

*This case was co-authored by Caren Scheepers, Sonja Swart, and Dieter von Staden at the Gordon Institute of Business Science, University of Pretoria, Johannesburg, South Africa. Some material was drawn from *Momentum and Metropolitan's Merger: Authentic Transformational Leadership* (2015) published by Richard Ivey School of Business Foundation, 9B15C004, <https://www.iveycases.com/ProductView.aspx?id=70560>.

Selected Cases

Cultural and Organisational Integration at Mmi: The Momentum and Metropolitan Merger, continued

broker channel. Momentum's life insurance product, Myriad, was a market leader in the industry due to its comprehensive coverage.

In 2010, Metropolitan and Momentum faced similar challenges. Looking for growth, each firm had developed insurance products aimed at the markets where the other was strong, and each had struggled to gain share. Momentum's Aspire product struggled to penetrate the lower income market while Metropolitan's Odyssey Life Insurance product for the upper income market was unable to gain traction.

Both organisations started looking for corporate transactions as solutions to bridge these gaps. When Metropolitan's CEO Wilhelm van Zyl and Momentum's CEO Nicolaas Kruger talked about their respective challenges, they began to discuss whether a merger between them might solve both companies' challenges. On its face, their products and markets were complimentary, and the operational risks from a merger were also lessened because there was little overlap in the broker and agency forces of the two companies.

Over the next three months, various discreet meetings with selected board members tested opinions about a possible merger. These meetings led to the formation of a merger committee.

The Case for Change

The merger committee consisted of balanced representation of executive and non-executive members from both companies, including the CEOs of both companies, the Chief Financial Officer of Metropolitan, the Chief Operating Officer of Momentum, and so on. The merger committee's mandate was to formulate a clear business case for the boards. It became an important reference point in directing decision-making. Whenever there was a question or choice, the team would invoke "The business case must prevail" rule. In a time of great uncertainty, it offered direction and clarity.

The core of the business case recognized the complementary product lines and markets served. In addition, there were revenue and expense synergies to gain by integrating certain back office functions. For example, Metropolitan ran a lower cost health care insurance administration business

than Momentum. On the other hand, Momentum had access to FirstRand's Rand Merchant Bank (RMB) asset management business, which had a much stronger third-party client franchise and could improve efficiencies in Metropolitan's business. Finally, Momentum's health insurance businesses and Metropolitan's life insurance business were well represented throughout Africa. Any regional expansion strategies into Africa would thus be complementary.

The business case also helped the merger committee to focus on MMI's long-term strategic direction, especially in the face of the immediate pressures for cost-savings. An organisation development consultant, Dr. Francois Hugo, facilitated some of the discussions to resolve differing views and offered input on building trust under conditions of uncertainty and conflicting perspectives. During several important decision points, the team members had to put the envisaged company's combined interest ahead of their own company's interest or their own individual interest. Nonetheless, there were still a number of occasions when the two parties had dissimilar views that could prevent the deal from going through.

An important point of contention early in the process was deciding on the combined entity's brand. Design consultants, for example, suggested names that combined parts of the two client-facing brands, like Metrum, Magma, Meridium, and Eminent. Eventually, agreement was reached with the name MMI. MMI was positioned as the investor brand, while the strong and trusted brands of Momentum and Metropolitan would be used in client-facing businesses. This decision reflected the strong belief that the financial value of the merger would be maximized by leveraging the Metropolitan and Momentum brand names.

Competition Tribunal Ruling

The merger application to South Africa's Competition Commission included the rationale of cost savings due to synergies from shared information technology platforms, combined locations, and approximately 1,500 (out of 13,000 positions) job redundancies. The transaction had to adhere to South Africa's rigorous company competition laws and regulations prescribed in the Competition Act, No. 18 of 1998.

Selected Cases

Cultural and Organisational Integration at Mmi: The Momentum and Metropolitan Merger, continued

The high unemployment rate in South Africa created sensitivity to layoffs, known as retrenchments in the South African environment. They were governed by strict labour laws, such as the Basic Conditions of Employment Act, No. 75 of 1997 and the Labour Relations Act, No. 66 of 1995. The Competition Tribunal ruled that the merger between the two companies would be approved on the condition that, during the first three years, there would be no employee retrenchments, except for senior managers. From a legal point of view, MMI could have appealed the ruling. However, the two boards decided not to challenge the decision in part due to the negative publicity this would cause. Kruger recalled:

“We decided to choose our battles. Instead, we focused on cost-savings through consolidating our business units and used natural attrition to reduce staff numbers.”

On March 31, 2010, Metropolitan issued 950 million new shares to FirstRand, in exchange for Momentum shares, aiming to list MMI Holdings Ltd. on the JSE later in the year when agreement had been reached on the final terms of the merger transaction. Following implementation of the merger, FirstRand unbundled all its shares in Metropolitan and MMI was listed on the JSE on December 1, 2010. The combined entity was 15.6 percent black-owned and, given South Africa's Broad Based Black Economic Empowerment (B-BBEE) Act No. 53 of 2003, it became one of the most empowered insurance companies in the country.

The Integration Process

The positioning of the transaction as a merger rather than a takeover was important in retaining key customer groups and talented employees from both organisations. However, while Momentum had more experience acquiring other companies, such as Lifegro, Southern Life, and Sage Life, this was its first true merger. The idea of balancing representation on the board, as well as the executive committee and merger committees, made the process significantly more complex, and seeking consensus between the parties led to several iterations of decisions. Momentum's slightly larger embedded value

resulted in 11 board members compared to Metropolitan's nine MMI board members. The chairperson was initially from Momentum, but there was an agreement that after one year, he would step down and the Metropolitan chairperson, J.J. Njeke, would become chairperson of the combined entity. Despite these efforts, some financial analysts, such as Tim Cohen of *Business Day*, questioned whether a true merger was possible. He insisted on calling it a “soft takeover.”

Early in 2011, the two companies' executive teams were combined to form a new structure (Figure 1). The different cultural approaches in Metropolitan and Momentum became even more apparent during this time and required rigorous debate to reach compromises. The intent of achieving cost-savings through synergies, while retaining the best of both organisations, required consultations and meticulous attention to creating space for both organisations to be heard. At times, the extensive consultation to ensure fairness in decision-making slowed the integration process down. Kruger commented:

“We learned early in this merger process that the soft people issues were actually the hardest to deal with. There were a few months just prior to the merger where the senior executive roles in the new structure were not yet final. This difficult time experienced by executives gave us more empathy with what our staff were going through during the merger process.”

As Nicolaas Kruger, Momentum's former CEO, was appointed to the group CEO position, Metropolitan's former CEO, Wilhelm van Zyl, was appointed as deputy group CEO. Kruger was responsible for Momentum's and Metropolitan's retail businesses as well as the group-wide support functions. Van Zyl was accountable for Metropolitan Health, Momentum Investments, Metropolitan International, and Momentum Employee Benefits.

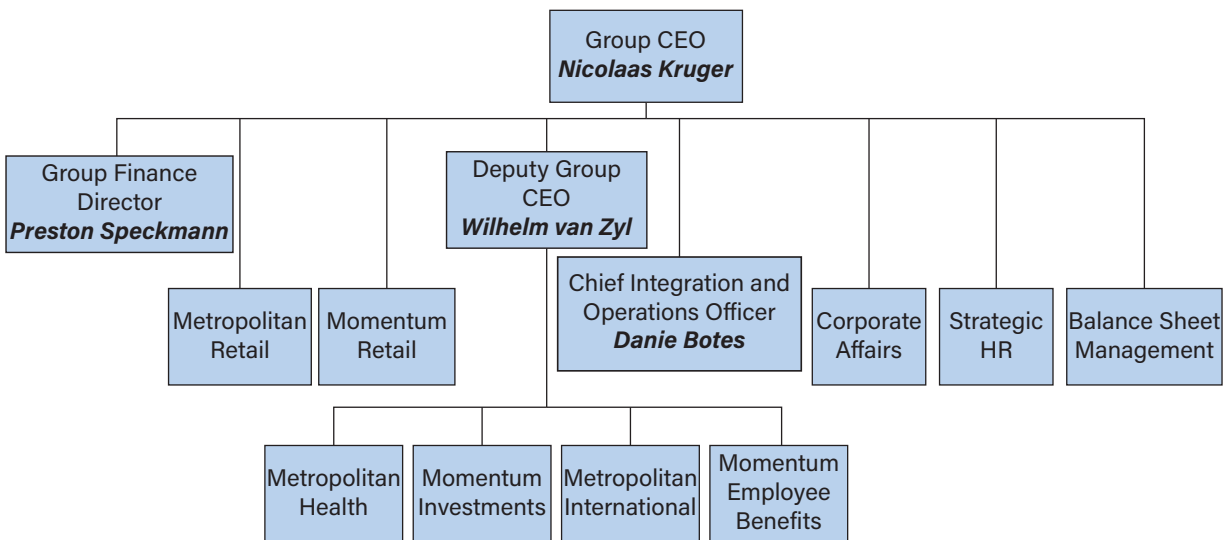
The rationale for the new structure was to offer equal representation for both companies, and this structure purposefully balanced power between the two former CEOs. Moreover, a divisional structure made sense because the combined entity was too large for a functional structure and a matrix structure

Selected Cases

Cultural and Organisational Integration at Mmi: The Momentum and Metropolitan Merger, continued

Figure 1

2011 MMI Executive committee



would have been too complex in the early days of the combined entity.

All executives were strong proponents of the long-term envisioned benefits of the merger and repeated the benefits to staff regularly. Leadership purposefully demonstrated their commitment to the merger by being highly visible and accessible during this period of uncertainty.

Formulating Integration Plans

Following the merger's approval, the merger committee became responsible for finalizing the due diligence process and establishing an integration program to manage the transition with a project approach. The composition of the merger committee was adjusted and comprised two non-executive board members from each company, including the CEOs. Johan Burger, representing Momentum's board, served as the committee's chair.

The merger committee had several debates to create a clear and common picture of the future that

resulted in a jointly formulated vision: "We will be a leader in meeting financial services' needs. We will meet clients' needs by providing a range of appropriate, value-for-money financial solutions in our market segments." The finalisation date of the MMI Group strategy was February 2011. (See Figure 2 for a summary of the action plan.)

The merger committee, in turn, appointed working groups to flesh out the details of the merger process. Danie Botes was appointed as the MMI chief integration officer to coordinate this process, based on his first-hand change management experience in the Sage and Southern Life integrations. One group, for example, focused on the integration of people processes and IT platforms. Other working groups paid attention to the combined organisational structures for the investments business unit, the international businesses, employee benefits, and the health care administration business units. Structures for the lower income market life insurance business, called the emerging market retail division, and the

Selected Cases

Cultural and Organisational Integration at Mmi: The Momentum and Metropolitan Merger, continued

upper income market life insurance retail division were also developed with equal representation from both organisations. Using working groups comprising both Metropolitan and Momentum employees increased understanding of each company's realities and aspirations.

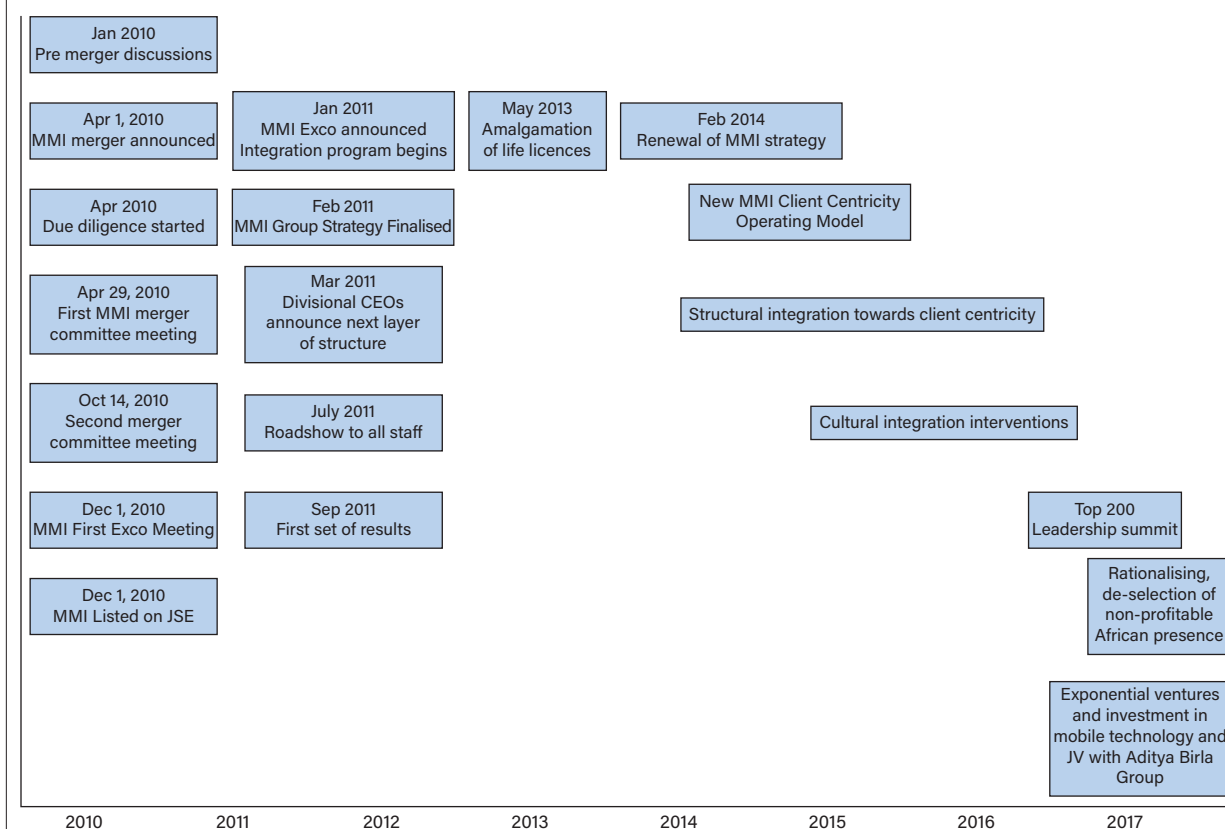
The merger committee also retained a strategy consultancy that had worked in both organisations. The consultancy had central oversight and was ideally positioned to facilitate the working groups which utilized an inclusive bottoms-up involvement process to formulate the implementation plans. Together, they developed strategies and integration plans that were

presented to the merger committee for approval. Following approval by the merger committee, the working groups proceeded to implement their plans, taking into account top-down guidance from the merger committee.

Another important role of the merger committee was coordinating the communication of integration plans. For example, the two CEOs would formulate their communication messages and confirm consistency of messaging with each other prior to sending out combined media releases or external communications to shareholders, as prescribed by the JSE. Internal communications were also sent out by both

Figure 2

High level timeline of merger integration proceedings



Selected Cases

Cultural and Organisational Integration at Mmi: The Momentum and Metropolitan Merger, continued

CEOs, making sure the employees of both organisations received the communications at the same time. This enabled consistency in communication and prevented, to some extent, rumours in both the Gauteng and Western Cape provinces. These communications went out weekly to instill trust in leadership. When there was lack of progress, the CEO's gave honest feedback about unresolved issues and planned corrective actions.

In one of the first coordinated communications efforts, the newly formed executive committee in 2011 acknowledged that it would take a couple of years to bridge the vast differences in culture between the two organisations. As a result, they decided to focus on developing a common set of core values. The process commenced with an initial values assessment where all employees were invited to participate in a vote for the values they preferred. The assessment revealed that there were many similar preferred values across the two organisations. Behaviours associated with these values might differ, but the commonalities formed a strong foundation for the integration and alignment process, despite the different cultures. Six values emerged from this process, including integrity, accountability, diversity, innovation, teamwork, and excellence.

The executive team also held country-wide road shows, where as many staff as possible attended to hear first-hand what was planned for the merged entity. During these road shows, the former CEOs acknowledged the past, offered updates on merger progress, shared success stories, and reinforced the vision of the combined entity.

Finally, the merger committee initiated a Redeployment Centre (RDC) for those staff members whose jobs became redundant through the integration process. As jobs became available through natural attrition in the two organisations, employees were transferred back into these jobs. The RDC optimized resource redeployment and removed the need for layoffs. It further contributed towards MMI ultimately exceeding its annual cost savings target of R500 million on completion of the merger integration.

Strategy Reformulation

By 2014, the initial vision of the combined entity needed updating. It had revolved around meeting

financial services' needs and the strategy included such statements as, "We will use our insight into the needs of our clients, our strong client-facing brands, product innovation, and service excellence. Our game-changing strategy will establish MMI as a leader and enable us to deliver superior shareholder returns on a sustainable basis."

The executive team embarked on a reformulation of their strategy with client-centricity as its driving force. They created a purpose, instead of a vision and mission, namely "to enhance the lifetime financial wellness of people, their communities, and their businesses." They believed the idea of "financial wellness" was a continuous process of planning and managing clients' money so that they could handle everyday expenses and still reach their goals over a lifetime.

As part of the strategy reformulation, MMI explicitly wanted to enhance the financial wellness of a broad range of clients, including individuals as well as small and medium businesses, large companies, and public enterprises. They also confirmed the earlier strategic focus on South Africa, the rest of Africa, and selected international countries. MMI had strong capabilities in the full range of long- and short-term insurance for individuals and corporate clients, asset management, property management, investment and savings, healthcare insurance administration as well as health risk management. They summarized their strategic focus areas as client-centricity, growth, and excellence. They defined their aspirations in both financial (growth in earnings, new business and embedded value) as well as client (financial wellness partner) terms (Figure 3). Figure 3 also illustrates that MMI's executive team emphasised flexible and modular systems, innovation, culture, and data analytics as enablers of the strategy.

A Client-Centric Design

The executive committee introduced a major organisational redesign to support MMI's client-centric strategy in 2014. The reformulated strategy demonstrated a significant move away from a product-focused and siloed set of businesses. To support the new strategy, the executive committee proposed an operating model with a new client engagement solutions group at the centre of the design (Figure 4).

Selected Cases

Cultural and Organisational Integration at Mmi: The Momentum and Metropolitan Merger, continued

Figure 3

MMI's Reformulated Strategy

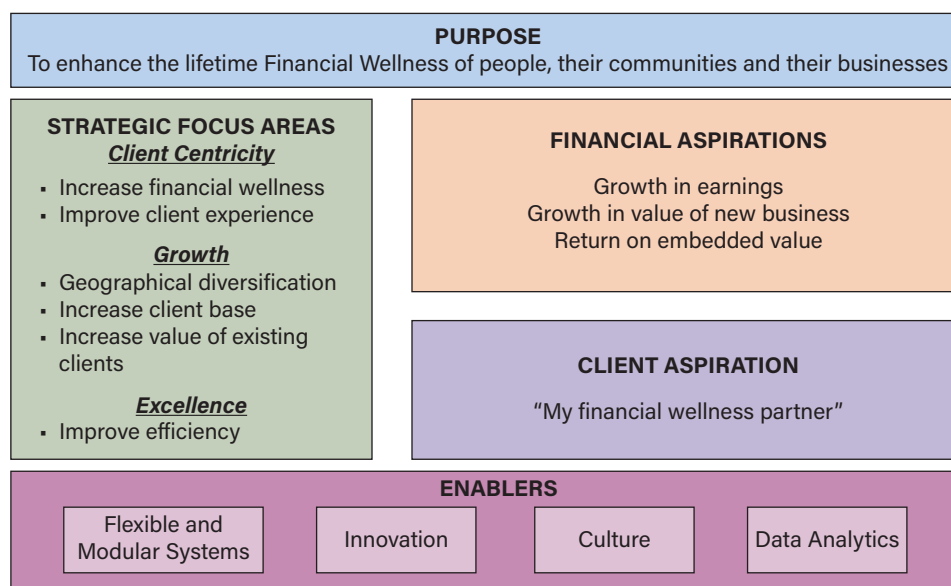
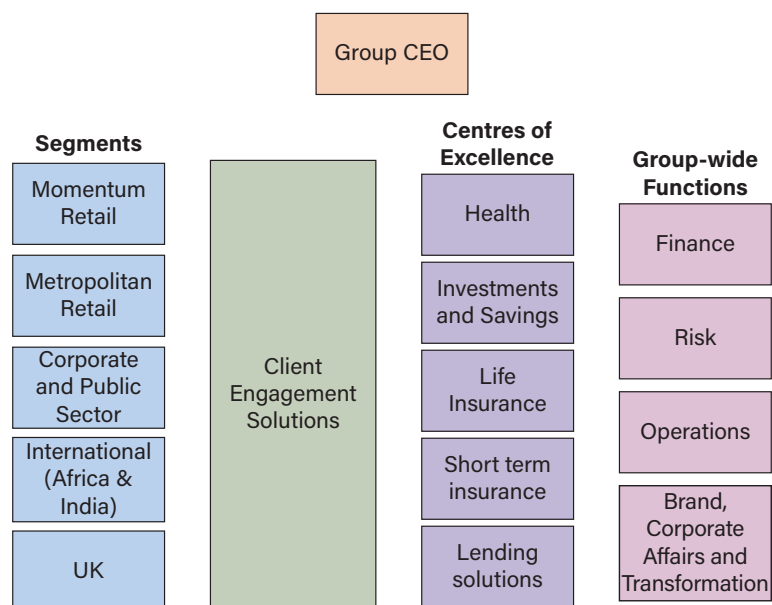


Figure 4

MMI Operating Model



Selected Cases

Cultural and Organisational Integration at Mmi: The Momentum and Metropolitan Merger, continued

With the support of the centres of excellence (shown on the right), the client engagement solutions group supported all segments and channels (shown on the left) by developing engagement tools to enhance client experiences. This operating model was designed to optimise the execution of MMI's client-centric strategy. Segment and channel businesses used their intimate understanding of clients to build financial wellness client value propositions. The value propositions would use client engagement and experience tools designed by the client engagement solutions business (in the centre), as well as products provided by MMI's centres of excellence. Group-wide functions supported the entire organisation.

The MMI executive team consciously followed a phased approach to the merger integration. They wanted to take employees with them on the journey and sometimes had to wait for the right time and opportunity to integrate a further aspect of the organisation. For example, the structural integration kicked off in 2011 with the complete back-office integrations of employee benefits, asset management, and health insurance administration divisions. However, the retail divisions were largely untouched. The new client-centric operating model with the client engagement solutions group in the center was not envisaged in 2011. The restructuring initiated in 2014 was thus a next phase.

Cultural integration interventions

By 2015, Dr. Marlene Dippenaar, an internal organisation development consultant, was asked to head up the cultural integration process. She realised that the Group CEO and executive committee were invaluable in understanding the requirements of culture change and demonstrating their commitment to the process. During an executive team two-day breakaway, the executive committee acknowledged the cultural heritages of the original organisations and considered which aspects they wanted to retain. It was important for the executives that the aspired MMI culture would support the strategic direction of the organisation. They confirmed that the six values created earlier would be important enablers of living MMI's financial wellness purpose going forward and formulated specific behaviours that would characterize each value.

They created a unifying narrative called *The MMI Way* to explain examples of the behaviors associated with each value.

The executive committee asked Blueprint Consultants from Canada to conduct a values assessment to establish the gap between the current and desired observed behaviors. The feedback revealed each business unit's performance on these values and action plans were formulated to bridge the gap in each area. In some instances, they initiated leadership development or team-building interventions.

A highlight of this journey was a leadership summit for the top 200 leaders from all business units in September 2016. Participants were divided into focus groups and they discussed the organisational enablers that supported living the values as well as the challenges. This facilitated process assisted leaders in taking ownership of the process towards culture change. In addition, Dippenaar and her cultural integration team followed up the summit activities with facilitated sessions that involved each business unit executive team. Team members offered each other feedback on whether they practically lived the values, for example, holding others accountable. Each executive team identified its limiting beliefs and what prevented its members from living the values. Throughout the organisation, storytelling sessions were held, during which employees shared how they were living the MMI values. These illustrations assisted in bringing the values alive.

As part of the cultural intervention, Dippenaar and her team undertook an extensive project to align Human Resources (HR) practices to the MMI values. There were vast differences across the former Metropolitan and Momentum companies and Dippenaar relied on the support of the MMI executive team because the actions created intense resistance. Their implementation required several iterative consultation processes with employees.

First, Dippenaar's team redesigned the on-boarding process for new employees, exposing them to the purpose, strategy, and MMI way of conducting business. New employees received a document explaining each value with its associated behaviours. The team also audited whether HR policies, such as

Selected Cases

Cultural and Organisational Integration at Mmi: The Momentum and Metropolitan Merger, continued

recruitment, selection, and promotion, were aligned to the MMI values.

Second, in terms of talent management, the team ensured that MMI's Employee Value Proposition (EVP) was aligned to the values. For example, the Multiply wellness and rewards programme—a fast-growing product that educated, engaged, empowered, and encouraged clients to improve their physical wellness, education, safety, and financial wellness—was made available to employees. It encouraged employees to make healthy changes through appropriate incentives. These actions contributed to establishing MMI's employee brand rather than Metropolitan's and Momentum's client-facing brands.

In addition, employees could be nominated for excellent performance and living MMI's values, and winners received an overseas vacation. The team also reviewed the bonus structure to ensure that employees were not awarded when they performed at the cost of others, as teamwork was one of the values. Employees were thus measured on task performance as well as value-aligned behaviour to influence promotion processes.

Third, the project team redesigned and renamed the MMI performance management system. The new "performance excellence system" indicated that the approach was to inspire employees towards excellence, and leaders were trained to explain how individual employees' performance was aligned with MMI's purpose and strategy.

Finally, an important intervention at this time helped leaders assess their level of self-deception. The program asked if there were times when they knew they were not doing the right thing but justified their behaviour. All managers had to attend the training, presented by Arbinger, to move from a default mode of "self-focus" (or in-the-box thinking) to the results-oriented and outward mindset found in a service leader culture. Another leadership development initiative, "Enabling Change," was created to build a continuous change management capability in the organisation. Kruger believed that although corporate culture was driven by leadership, it was the actions and interactions of every MMI employee that shaped the shared culture.

Reflections, Updates, and Observations

In 2016 and 2017, MMI began to see additional benefits and results from the merger, and it continued to make adjustments. For example, 2016 was a year of several awards. Metropolitan Retail was rated the number one life insurer in the South African Consumer Satisfaction Index. Momentum Retail was rated second in this index. The Corporate and Public sector business won the Financial Intermediaries Association of South Africa (FIA) 2016 award for Product Supplier of the Year in the Employee Benefits category. MMI was the winner in the Media24 competition for financial results reporting, and its Corporate Social Investment spend reached R33 million in 2016.

As shown in Table 1, MMI's financial performance showed steady improvement between 2012 and 2016. The value of new business was R850 million (up 13 percent on a consistent basis). The total dividend paid during the 2016 financial year was R2,519 million. Diluted core headline earnings were up compared to 2012, but down by 16 percent to R3,206 million from their 2015 peak. The contribution of each business to the diluted core headline earnings (as of June 30, 2016, comprising operating profit and investment income on shareholder assets) was as follows: Momentum Retail contributed 50 percent and Metropolitan Retail, 21 percent. The Corporate and Public sector contributed 19 percent, while International contributed a small percentage at 1 percent. Finally, shareholder capital contributed 9 percent to diluted core headline earnings. MMI's diluted embedded value increased to R42,989 million at the end of the 2016 financial year.

The new operating model described above offered significant optimization opportunities, and a number of group-wide optimization projects supported the expense savings target of R750 million by 2019. Annual cost savings of R104 million was achieved during 2016 (slightly ahead of the target for the year).

Finally, the composition of the 2017 executive committee was again adjusted. It demonstrated the progress of the merger integration and pointed to MMI's subsequent development (Figure 5). For example, where the previous structure had separate executives for the Momentum and Metropolitan Retail Channels, the new design combined these positions.

Selected Cases

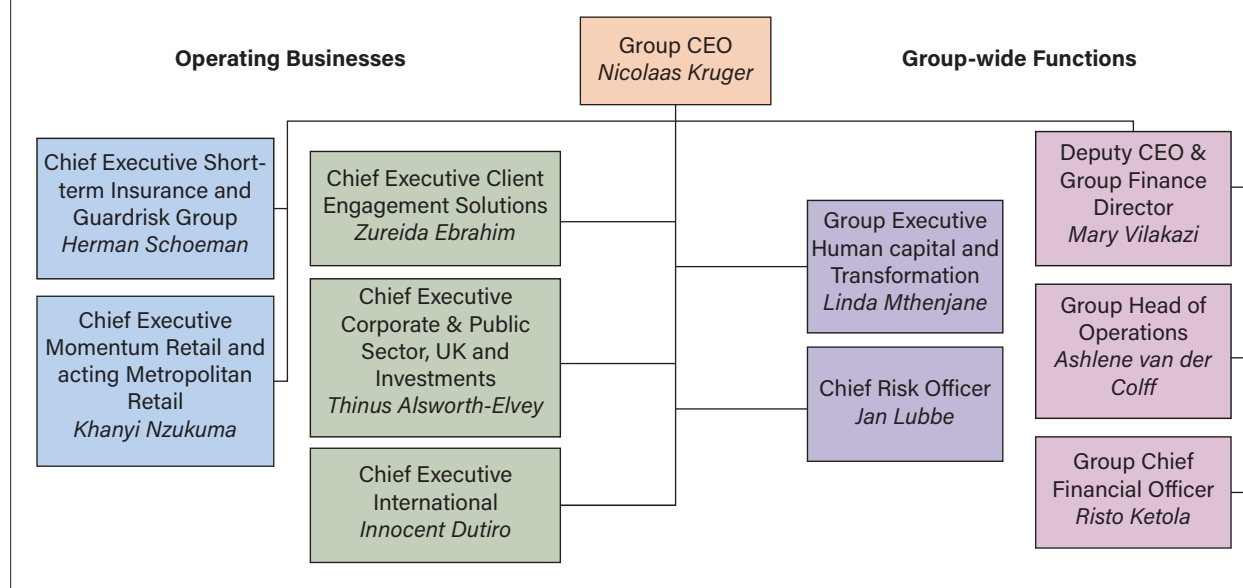
Cultural and Organisational Integration at Mmi: The Momentum and Metropolitan Merger, continued

Table 1 Five Year Financial Review

	June 2016	June 2015	June 2014	June 2013	June 2012
New business premiums (PVP) (Rm)	44,090	50,396	41,739	35,357	32,053
Diluted core headline earnings	3,206	3,836	3,621	3,241	2,955
Dividend paid (Rm)	2,519	2,486	2,278	2,037	1,813
Diluted embedded value (Rm)	42,989	40,330	39,675	35,148	32,472
Return on Embedded Value (%) (annualized)	12.8%	9.6%	19.0%	17.4%	11.3%
Value of new business (Rm)	850	954	779	681	536

Figure 5

MMI Executive Committee in 2017



Selected Cases

Cultural and Organisational Integration at Mmi: The Momentum and Metropolitan Merger, continued

MMI achieved a Level 2 status on South Africa's B-BBEE labor relations' scorecard, and MMI's executive committee of 2017 reflected the transformation efforts of the last couple of years. For example, Nicolaas Kruger's team includes four women, one of which, Mary Vilakazi, is the Deputy Group CEO. In addition, more than half of the executive committee is now from previously disadvantaged groups.

Strategic Choices Going Forward

MMI believed that it was critical to embrace the advances in digitalization and future-proof the organisation. An important strategy in this regard was the launch of MMI's "Exponential Ventures" business in 2016. Partnering with leading Fintech players, they invested in innovative young businesses that held the potential to transform the life insurance industry by profitably reaching new markets, meeting new needs, or leveraging new technologies and business models. Other African regions provided opportunities with respect to innovative technology-enabled micro-insurance products. For example, MMI entered into a joint venture (JV) with MTN, a South Africa-based multinational mobile telecommunications company, to offer innovative insurance solutions through MTN's significant telco distribution network on the continent.

The JV was called "aYo," which means Joy in Yoruba, a Nigerian language. MMI brought health, insurance systems, and expertise to the venture.

As well, India's large population and economic growth rates were attractive and MMI received regulatory approval for its Health and Wellness JV with Aditya Birla Group, launching its first offering to a particular market segment in India. MMI will probably exit selected African countries, namely Zambia, Tanzania, Mauritius, Swaziland, and Mozambique. The rationale for exiting these countries is to focus attention on more profitable countries in southern Africa with more attractive growth trajectories. MMI will also most likely scale down its presence in the United Kingdom. Going forward, MMI aimed to increase its focus on the organisation's large existing businesses in South Africa, as well as high potential growth initiatives in the country.

Discussion Questions:

1. How would you characterize the change initiatives during the MMI merger integration?
2. How effective was the roll out of these initiatives in terms of timeline, sequence and impact?
3. What advice would you give Kruger to derive even more value from the merger?

Future Directions in Organization Development

Learning Objectives

- Explore organization development's (OD) current state and several trends in its larger context.
- Explore changes in the context of OD practice.
- Explore implications for the practice of OD in the future.

Organization development (OD) continues to evolve. As organizations' needs to adapt to economic, technological, and environmental changes grow, OD is applying new methods and interventions; involving more diverse organizations, industries, and contexts; and conducting more complex and rigorous research. Yet, in the face of this growth and success, practitioners and researchers are concerned about the field's burgeoning diversity of concepts, interventions, and valued outcomes. OD, as a field of research and practice, transcends those who identify as OD practitioners. Functional specialists, administrators, and managers who help organizations

develop and build change capacity as part of their primary roles are also a part of OD. This contributes to OD's diversity and impact but makes its conceptual and application boundaries more diffuse. It becomes harder to define the field's identity, distinguish community of practice members, and understand the nature and consequences of its methods. All of this makes it difficult, if not foolhardy, for us to envisage OD's future. Therefore, in this final chapter, we step back to describe the big changes shaping our world, explore where the field might be headed, and define the crucial choices it may need to make in the coming years.¹

16-1 The Current State of Organization Development

This text has described the current state of knowledge and practice in OD. OD is an applied social science that is partly a reflection of its past, a result of its current application in organizations, and an outcome of its emergent research.

Organization development mirrors key parts of its history. Many of the interventions described in this book, including team building and process consultation, survey feedback, work design, and employee involvement, were developed and introduced early in OD's history. Organizations accept them as best practice and embed them in organizational routines. It is a testament to the enormous impact OD has had on organizations.² These interventions reflect OD's traditional humanistic values and participatory methods. They emerged in response to the overly bureaucratic practices of the time, and similar issues—rigid work rules, a heavy focus on efficiency, or top-down leadership practices—persist in many organizations today. Consequently, OD's primary goals to develop organizations that value human potential, trust, and collaboration remain sound.³

Organization development is also partly a reflection of helping organizations adapt to highly complex and dynamic environments, and the field's processes for implementing change have grown tremendously over the past decade. This has inadvertently fostered misunderstanding and confusion between OD's humanistic approach to development versus change management's more pragmatic and tool-based methods to help organizations implement any change, regardless of its source or developmental values.⁴ Championed by many consulting firms and organizational centers of excellence, change management's growing popularity has ignited debates about the differences between OD and change management, despite the existence of clear answers.⁵ Today, many OD practitioners have taken on the moniker of “change management,” fearing that OD's soft reputation could damage their standing as relevant and practical professionals.

Finally, OD is a product of active research. Led by universities and applied research centers such as the University of Southern California's Center for Effective Organizations (<http://ceo.usc.edu>), the Massachusetts Institute of Technology's Society of Organization Learning (www.solonline.org), the Tavistock Institute (www.tavistock.org), and the Institut de Socio-Economie des Entreprises et des Organisations (Institute for Socio-Economic Enterprises and Organizations [ISEOR], www.iseor.com), and practitioner-scholars, OD's knowledge and practice base is constantly being examined and refreshed. Researchers assess the efficacy of different OD interventions and, by integrating knowledge from other disciplines, extend

understanding of how organizations develop and change.⁶ Action research, the primary change and study method used in OD, contributes to today's steady growth of evidence-based management practices.⁷

16-2 Changes in the Context of Organization Development

The broader context within which OD is practiced is changing quickly and significantly. This shift is occurring along socioeconomic and technological dimensions. In describing these changes, we highlight the positive work taking place to promote equality, bridge ideological differences, or address climate change. Many of these trends are moving in a positive direction. At the same time, we don't want to naively ignore the powerful forces intentionally or unintentionally working against those outcomes. Either way, all these changes will have important and challenging implications for the future of organizations and OD's related evolution.

16-2a The Socioeconomic Context

Researchers and futurists describe a variety of social, economic, and climate changes shaping the environment of future organizations. Although these forces differ in their particulars, they can be organized under the rubric of *globalization* or how business and technology have connected people, cultures, and resources around the world. The initial stages of globalization drove price decreases in many consumer products, provided employment for people in less-developed nations, and enabled revenue growth in a variety of industries. Music, art, and other artifacts increasingly crossed cultural boundaries and enriched people's experiences.⁸

Current data on international movements in trade, capital, information, and people suggest that globalization is continuing: “All in all, data on the growth of global flows strongly rebuts the notion of a mass retreat from international to domestic activity.”⁹ The majority of respondents in a recent survey agreed that globalization is beneficial for their country.¹⁰ At the same time, the KOF Globalization Index, which has displayed a steady rise in the economic, social, and political dimensions of globalization since the 1970s, slowed a bit recently due to the COVID-19 pandemic and the increase in populism and ethnocentric government policies.¹¹

Once considered a powerful and unstoppable trend, a diverse set of outcomes is challenging the inevitability of a more integrated, worldwide economy and increasing the uncertainty facing organizations. For example, increased

inequality, political risk, and nationalism underpinned Brexit, diverse populist elections in the United States, Europe, and South America, and escalating trade disputes among nations. Globalization's interest in using technology to achieve efficiency has increased interdependencies and made the world much more fragile.¹² One need look no further than the pandemic to understand how connected we are. Thus, while the development of a global economy continues, its promised outcomes are far from complete.¹³

For example, the Gini index, which compares a country's actual income distribution against an equal distribution, suggests that globalization has not produced income equality. The more developed European countries have better income equality than most African countries and among the largest emerging and developed countries, Brazil is the most unequal while France, Germany, and the United Kingdom are the most equal. China has a better Gini Index than the US.¹⁴ Moreover, two different surveys suggest that political instability, including poverty, social inequality, and violence, is a threat to rising globalization.¹⁵ Finally, the earth's surface temperature in 2022 was almost 1 degree warmer (Celsius) than the 20th-century average. What appears to be a minor increase is causing a rise in the sea level, a decrease in arctic ice, and a growing number of weather-related storms, floods, fires, and droughts. Estimates suggest these are costing the world \$16 million per hour.¹⁶ The World Economic Forum's 2023 global risk report shows that issues related to climate change account for half or more of the world's top-10 short- and long-term risks.¹⁷ Yet, 71 percent of businesses report that their preparedness to address these challenges is ineffective.¹⁸

These global changes can be viewed at a more granular level. First, in terms of income and wealth inequality, the ratio of CEO pay to worker compensation among the 350 largest publicly owned U.S. corporations in 2022 was 344.3, down slightly from an all-time high of 389 in 2021 but relatively steady since 2000.¹⁹ In 2022, U.S. women made 84% of what men made, up from 77% in 2010 but below other developing economies, including the European Union, where women make 87.3% of male incomes.²⁰ Finally, the Federal Reserve's 2019 Survey of Consumer Finances showed that the median White family in the United States had a net worth of \$188,200, while that number was just \$24,100 for Black families and \$36,100 for Hispanic ones.²¹

Nobel Prize winner Joseph Stiglitz wrote, "The more divided a society becomes in terms of wealth, the more reluctant the wealthy become to spend money on common needs."²² The short-lived Occupy Wall Street movement is an example of the social conflict that can arise when people fear that the wealthy act in their own self-interest and at the expense of those who are financially less fortunate.

Second, in terms of social and political stability, the U.S.'s social safety net is struggling. Despite passing the Affordable Care Act in 2010, non-White populations received lower results than the White population across 70 measures of health care coverage, access, and outcomes in 2023. The Black population fared worse than the White population for 77% of these measures.²³ In a related measure, a 2022 U.S. Department of Housing and Urban Development study estimated that there were over 582,000 homeless people in the United States, up slightly from over 580,000 in 2020. Of that group, 291,000 were White and 217,000 were Black.²⁴ Finally, more than half of Americans believe White nationalism poses a serious threat to the social fabric. The number of "hate" groups (e.g., anti-government, White nationalist, anti-LGBTQ, neo-Nazi, anti-Muslim, Ku Klux Klan, or antisemitic groups) grew to 1,225 in 2022, up from 784 groups in 2014.²⁵ The number of transgender and gender-diverse people murdered in the United States rose from 17 in 2008 to 53 in 2021.²⁶

Unfortunately, nearly two-thirds of businesses believe that they are unprepared to handle the consequences of social and political instability.²⁷ A McKinsey report described a vicious circle where there is little investment in the capabilities to manage these risks because the weak and untrustworthy analyses of them do not support a threat-warranted investment.²⁸ Thus, organizations remain vulnerable to these forces.

An important consequence of inequality, political instability, and hate is the erosion of trust in social institutions, business, and media. A 2022 Gallup poll found that less than 15% of Americans had confidence in the U.S. Supreme Court (11%), the presidency (10%), congress (4%), large technology companies (11%), big business (5%), newspapers (6%), and television news (5%).²⁹

Third, in terms of sustainability, increasing investments in corporate social responsibility (CSR), environmental, social, and governance (ESG) issues, and diversity, equity, and inclusion (DEI) that signaled important shifts in organization and management have been challenged by local, state, and federal agencies as well as well-funded and organized citizen groups.³⁰ Public corporations are pressured to adhere to a singular objective function: maximize profits and shareholder wealth. Court and state decisions have challenged the use of DEI initiatives in organizations—that increased following the murder of George Floyd—with legal, moral, and effectiveness arguments.³¹ Similarly, ESG practices, which grew out of early CSR work and attempted to balance economic with social and environmental objectives, drew considerable attention in the investment community. They too have been challenged.³² Competing ESG indexes used to guide investment were shown to be uncorrelated and the inability to relate ESG ratings to financial

returns has resulted in calls to drop the approach.³³ Unfortunately, the United States remains the second largest producer of greenhouse gases, behind China, in 2022, and remains well behind the goals set in the Paris agreement.³⁴

Thus, many of the beneficial economic outcomes of globalization are unevenly distributed, and many of them have been offset by various social and environmental costs. These costs can challenge organizations, governments, and societies by adversely affecting market stability, consumer confidence, and supply chain integrity. They can reduce organizations' recruitment and retention of a competent workforce and increase their reluctance to invest in people and technology. They can constrain organizations' ability to address climate change. Finally, they can diminish government services and threaten public welfare and safety or fuel political instability, hate among groups, and the erosion of trust in social institutions, business, and media.

16-2b The Technology Context

The world's economies are in the throes of adapting to the rapidly growing revolution in information and communication technology. By almost any measure, these technologies are a ubiquitous fact of life. There were 8.5 billion mobile/smartphone subscriptions in 2023, up from 7.5 billion in 2017.³⁵ An estimated 3.7 billion worldwide Internet users in 2017 grew to 5.3 billion in 2022.³⁶ Almost two-thirds of the world's population is connected to the Internet, the backbone of a global transaction processing and social media platform, an increase of 50 percent from 2017.

Yet, a fourth industrial revolution (4.0) is already impacting us, one that blurs the boundaries of the physical, digital, and biological worlds.³⁷ Exponential technologies, ones likely to spur radical innovation, include artificial intelligence (AI), three-dimensional printing, virtual reality, digital biology, biotech and nanomedicine, and quantum computing, to name a few. ChatGPT, five days after its release in November 2022, had over 1 million users and, a year later, over 180 million users.³⁸ In contrast, Facebook took 10 months to reach 1 million users. These technological developments promise to deliver, through their fusion into the work and social processes of organizations, an enormous number and variety of personal, organizational, and societal benefits.³⁹

Despite these eye-popping prospects, there is rising concern about technology's adverse impacts. The collective frequency of cyberattacks can ruin corporate reputations (e.g., Twitter, Cisco, Microsoft, *The Guardian*, and LastPass), betray people's privacy, and increase security costs; it has radically changed the nature of warfare and may even have played a role in elections around the world. In 2022, 42% of U.S. consumers were concerned or very

concerned about their online data privacy, and yet, 63% of Internet users worldwide (and 69% of Americans) say that the Internet's convenience is worth a certain amount of privacy risk.⁴⁰

Research relating technology's growth to diminished human capability and development is commonplace.⁴¹ One study found that when working on-screen, the average human attention span dropped from 75 seconds in 2012 to 47 seconds in 2021, while the "Google effect" refers to our comfort in knowing the information we need is just a click away rather than relying on our memory.⁴² Finally, most social media applications are designed to be addictive and adversely affect mental health.⁴³ Thus, despite the promises of time-saving efficiency and ease of use, technology has also harmed and humiliated us.⁴⁴ Sir Geoffrey Vickers's keen observations on technological consequences are as relevant today as they were when voiced in 1972: "The technological system—especially with its strong connection to science—is now able to do things even if we do not understand the consequences of those actions. We approve of what it can do for us without knowing what it will do to us."⁴⁵

16-3 Implications for Organization Development's Future

These socioeconomic and technological trends suggest that OD's applicability and relevance are likely to continue, if not increase. Indeed, its fundamental purpose of helping organizations change and develop themselves in human-friendly ways may become even more relevant as these forces continue to unfold at astonishing rates. Socioeconomic conflict, climate change, and disruptive technologies will have profound effects on how organization members make decisions, relate to each other, organize themselves for productive achievement, and engage with their external stakeholders and the wider environment. While the substance of these activities will change with the times—technology will continue to insinuate itself into organization processes—many of the basic human and social processes underlying them will likely be similar to those OD has been addressing for decades. For example, organization members will still need to integrate their personal aspirations with the needs of the organization. Leaders will need to develop strong interpersonal, strategic, and change capabilities in their organizations. Teams will need to develop positive performance norms and practices and be able to address interpersonal issues. Organizations will still need to design work and structure themselves for high performance; they will need to create strategies and

cultures that enable them to engage proactively with the environment and adapt to change.

Thus, our appreciation of OD's future borrows a page from its past. OD was founded on a set of beliefs about how organizations can change and develop in ways that promote participation, inclusion, and effectiveness. The interventions described in this book show that an applied social science focused on humanistic values of openness, trust, and collaboration can contribute to positive personal and organizational outcomes while members learn to change and develop themselves. OD has created a powerful set of complementary interventions, such as team building, work design, and agile organizations, for addressing human process, technostuctural, human resource (HR), and strategic issues. These practices have shaped the way organizations are designed and managed and contributed to their effectiveness and change capability. Thus, borrowing a phrase from Peters and Waterman's best-selling book *In Search of Excellence*, a strong argument can be made for OD to "stick to its knitting."⁴⁶ That is, OD should continue to do what it does well: help organizations gain the capability to change and develop themselves.⁴⁷

This does not mean that OD can rest on its past successes but will need to make pertinent changes in its concepts, practices, and values. It will need to align them to emergent socioeconomic and technological forces while retaining the core features that have contributed to its success.⁴⁸

16-3a Toward More Integrated Change Processes and Interventions

To its credit, OD has long encouraged challenges to its status quo, debates about its essential nature, and reflections on a broad range of issues and topics. Open discussions are a healthy tradition that can, if they lead to a shared resolution or synthesis, move OD forward toward more integrated change processes and interventions.

The need for more integrative change processes follows from organizations' increasing reliance on the practicality of change management versus OD's more developmental change process. Change management focuses on tools and methods for implementing organizational changes proficiently, economically, and expeditiously—traits prized by organizations seeking change (Chapter 1). As change management has become popularized, it has become more and more detached from OD, contributing to fragmentation in how organizational change is conceptualized and practiced. Both change management and OD attend to the implementation stage of organizational change, but OD also explicitly addresses the diagnostic and design activities that determine the relevance of the change for the situation at hand. Change management's more singular focus

on implementation can lessen or neglect the diagnostic and design activities underlying the choice of a relevant change. As a result, those in power may choose changes that meet their own needs and sustain their dominance at the expense of the broader workforce. It can reduce commitment to change or its efficient implementation by driving organization members to question the rationale or purpose of the change. It can exacerbate organizational problems, provide negligible benefits while wasting resources and time, or draw attention away from the underlying threats and opportunities for improvement.

In addition, organizations' widespread benchmarking of best practices can intensify the problems of focusing singularly on the implementation of a particular change. Pfeffer and Sutton present extensive evidence that benchmarking often results in organizations trying to imitate or implement poorly understood and difficult to imitate practices that are ill-fitted to their situation. It results in what they aptly call "mindless benchmarking."⁴⁹ In the absence of careful diagnosis and evidence-based design knowledge, the embrace of best practices is likely to result in the kinds of problems that can befall change management.

Perhaps more troublesome is the longer-term effect that can accrue to organizations that emphasize change management over OD. Even when change management helps organizations implement beneficial changes, it may do little to develop their dynamic capabilities to manage future changes. A pragmatic focus on change implementation can supplant longer-term, developmental considerations to help organizations gain the knowledge and skills to change themselves. Thus, organizations may become unnecessarily dependent on change management practitioners each time they carry out a new organizational change. In today's environments, overreliance on change management expertise from practitioners, either outside or internal to the organization, can impede organizations' long-term adaptability and success.

Organization development has contributed unintentionally to this fragmentation. It has failed to make a compelling case for the importance of careful diagnosis, the consideration of multiple values in designing organizational changes *before* implementing them, or how its humanistic values and developmental practices can help organizations address socioeconomic and technological trends. Thus, in contrast to change management, organizations increasingly question OD's relevance to the demands facing them today; they see OD as limited to the "softer side" of organizations, to the psychosocial processes that are only indirectly related to hard performance outcomes. Similarly, organizations see OD's developmental approach to organizational change as too time-consuming to keep pace with complex and rapidly changing conditions. It is

common for managers and administrators to voice that OD and its developmental practices are a luxury of earlier, more stable, and less demanding times.

Purposely, practitioners of change management and OD and their client organizations are becoming more and more appreciative that a closer integration of the two approaches is the best path forward. It can provide a more strategic, robust, and relevant approach to helping organizations address the socioeconomic and technological challenges facing them than application of either approach separately. OD can bring a broader orientation to change management beyond just implementation success. For example, the development of a strategic organization purpose can improve the speed of decision making, coordinated action, and efficient change choices.⁵⁰ It can encourage organizations to address those changes most relevant for moving the organization ahead developmentally, or the changes that will equip the organization with the capabilities to solve emergent problems and to continually change and improve itself. Without a strategic and developmental perspective, change management can simply become a tool for implementing organizational changes, regardless of their purpose or intended effects.

Conversely, change management can bring to OD a more pragmatic perspective. It can provide the knowledge and methods for helping organizations execute changes that move them along their developmental path effectively and efficiently. Without a strong capability to execute organizational change, OD risks becoming a developmental conversation and diagnostic process with little chance of putting those words or assessments into action.

In addition to a more integrated change process, OD needs more integrated interventions. Similar to the pressures for pragmatism that result in preferences for change management, organizations have shown proclivities for (and OD practitioners have a propensity to commit to) specialized expertise. When leaders see a downturn in employee engagement scores, for example, it may seem expedient to seek the help of an engagement expert. However, decreases in employee engagement may have multiple sources. Lacking a thorough diagnosis, an engagement expert may recommend overly narrow or generic solutions, such as training managers to be more participative, or view the engagement problem as a leadership issue and recommend a coaching intervention.

In response to pressing needs in organizations, practitioners and scholars tend to specialize in areas like engagement, coaching, diversity, or change management. Expertise in the latest organizational fashion can lead to favored interventions and fragment OD's integrated and comprehensive approach to interventions and development.⁵¹ For example, coaching, among the most popular

interventions today, is attractive to OD practitioners who hew toward traditional interpersonal techniques that may have little effect on organization-level processes and outcomes. More integrated OD interventions question specialized myopia and focus on the development of changes that fit organizational needs and conditions.

A promising step in this direction is the application of digital technologies to provide more integrated OD interventions. As described above, organizations are applying these technologies to increase efficiency, improve customer experiences, and foster quicker decision making and collaboration. OD can also apply these technologies to provide more integrated interventions. AI tools, predictive analytics, and collaborative platforms can increase the speed, efficiency, and accuracy of diagnostic practices; involve more people in intervention design and implementation; and provide timelier and more useful implementation and evaluation feedback. This could significantly accelerate the OD change process and enable more data-driven interventions. To apply these digital technologies, OD practitioners may need to augment their traditional interpersonal skills and become educated and competent in digital applications.

The emergence of more integrated OD change processes and interventions is not only desirable but likely to happen. Change management practitioners increasingly ask how to get involved earlier in the change process when diagnostic and design activities guide intervention choices. Organizations show increasing skepticism of piecemeal interventions and “magic bullets” with their unintended consequences. Organizations engaged in digital transformations seek help to accelerate change. OD practitioners show mounting concern for increasing the effectiveness and efficiency of intervention implementation. All of this calls for a more integrated body of OD theory and practice.

16-3b Toward Responsible Progress

Traditionally, OD has supported personal and organizational growth. Personal growth remains a strength of the field, and organization growth, usually measured economically, has also become embedded in many OD frameworks.⁵² As described above, a singular attention to economic growth can overlook the scarce and limited resources that fuel it and lead to social and ecological problems for organizations and society. In the future, OD is likely to be asked, “How can my organization be successful beyond just financial and economic growth?”

OD is likely to shift from providing unquestioned support for organizations' economic growth to a vision of “responsible progress.”⁵³ Economic progress has

traditionally been defined in such terms as new products and services that make society better; the ability to put scarce resources to their most efficient use; the capacity to support full employment; and the equitable distribution of rewards in relation to the risks people take in productive enterprise. Although few people would argue with these criteria, today's socioeconomic and technological forces suggest that the criteria for organization progress have gradually narrowed to a single metric—profitability for private and public firms and benefits exceeding costs for NGOs and governments—that are not necessarily implied by words like *better*, *efficient*, or *risk*. When organizational progress is measured solely in financial terms, it can lead to wider social and ecological problems, typically called “externalities” by economists. Climate change, wealth concentration, and political instability are externalities that raise serious doubts that organizations’ economic progress is making them or society “better.”

Responsible progress, on the other hand, proposes that organizations attend to a wide range of economic, social, and ecological objectives that together contribute to organization success. *Economic objectives* recognize the importance of productivity and efficiency. In any enterprise, there must be a “net gain” of benefits to costs to justify survival. *Social objectives* include such outcomes as employee satisfaction, inclusion, and well-being, work and home life balance, and community support. *Ecological objectives* embrace living within the environment’s capacity to support life over the long run, enriching rather than depleting natural resources, and sustaining a healthy relationship among the elements of our ecosystem.

Responsible progress requires organizations to seek a healthy tension among these economic, social, and ecological objectives. Because the objectives contribute to organization success both independently and interactively, they operate as drivers of and constraints to each other. Consequently, to achieve responsible progress, organizations must *jointly optimize* the three objectives rather than attempt to maximize each one separately. Joint optimization recognizes that each of the three objectives alone is insufficient to produce responsible progress; the three must operate jointly to achieve overall success. For example, an organization’s profitability can be influenced by how well it treats employees and how its operations and products apply ecological principles. An organization’s ability to employ members or drive social success can depend on its economic survival and on the ecological outcomes it produces. An organization’s ecological results are partially determined by how well its social values and norms support environmental responsibility and how economically its operations and products perform.

Jointly optimizing economic, social, and ecological objectives is not well understood nor is it an easy task. Organizations have traditionally maximized on a single objective, such as profitability or market capitalization, and have pursued it aggressively. Expectedly, this singular focus on economic objectives leaves little time or motivation to address social and ecological outcomes. Thus, organizations can commit to narrow, economic objectives without appreciating or understanding their wider social and ecological impacts.

In some ways, OD has unwittingly contributed to organizations’ economic maximization behavior. It has promoted “fast-cycle” OD aimed at accelerating value creation, supported “big hairy audacious goals” usually tied to economic outcomes, and helped organizations streamline supply chains and workflows to speed things up and produce more in less time.

Moving ahead, OD can play a constructive role in helping organizations achieve responsible progress. It can use social-process interventions, such as process consultation, team building, conflict resolution, and large-group interventions, to facilitate the kind of open and frank discussion needed for key organizational stakeholders to recognize that joint optimization trumps maximization when considering economic, social, and ecological objectives. OD can help organizations embed these discussions in their strategic decision-making processes through such practices as dynamic strategy making, organization learning, and organization agility. Broadly, and while keeping economic objectives in mind, these change methods can mitigate or reduce the organization’s impact on social problems or climate change, and they can help the organization adapt to socioeconomic and technological changes. All of this can provide the strategic direction for designing organizational structures and processes and implementing changes that enhance organizations’ capability to achieve responsible progress. Moreover, these OD interventions can enable a diversity of stakeholders to be involved in the decision-making processes, thus increasing the likelihood of wide support for responsible progress in the organization.

16-3c Toward More Inclusive Values

Organization development has openly addressed the values that guide practice from its beginning and embraced the humanistic values of self-actualization, interpersonal openness, trust, and collaboration, as the foundation for developing organizations. Many OD interventions, such as team building and large-group interventions, are aimed at helping organizations actualize these values. These changes help organizations resolve many of the social

problems resulting from overly bureaucratic structures and practices.

To continue to be applicable to organizations, OD's values have grown beyond personal and interpersonal outcomes to include organization performance. Valuing economic outcomes, such as productivity, quality, and efficiency, has resulted in interventions aimed at work design, performance management, and organization design. These changes have helped organizations better align their social and technical parts as well as the organization to its environment. They have expanded criteria for judging OD and effectiveness to include personal, social, and economic criteria.

Moving forward, and in line with our speculations that OD is moving toward a more integrated practice and responsible progress, we believe that OD will expand its inclusive focus on both individual and organizational values. Specifically, and despite a long history of support, diversity is likely to receive even more emphasis at both levels.

Increasing OD's focus on diversity at the individual level will likely result in more attention to members' inclusion, belongingness, and well-being. Increasing diversity is an objective description of today's workforce. Given an organization's increasing dependence on intellectual capital in a knowledge-based economy, diversity in the labor pool means that the best workforce members may come from any age cohort, race, nationality, or gender. And gaining high performance from such a workforce is unlikely to result from a one-size-fits-all set of structures, systems, and HR policies. More flexible organization designs that accommodate diverse workforces not only contribute to more organic and agile organizations, but they also nurture more inclusive cultures where people are valued for their contribution, not excluded because of who they are.

Equally important, increasing OD's focus on organization-level diversity can address how all types of diversity contribute to economic, social, and ecological objectives. As a value, diversity goes beyond the ordinary description of race/ethnicity, age, gender, or abilities to become an important source of economic, social, and ecological performance. Yet, today's socioeconomic and technological changes point to an increasing narrowness in organizations' and societies' objectives, processes, and outcomes. Rising wealth and income inequality stem partially from a limited focus on financial objectives that constrain the variety of voices involved in deciding policy. A few large firms dominate a considerable part of the world's economies. Geopolitical instability is partly the result of people feeling they have little input or choice over their own destinies.

In response to this increasing narrowness, OD can embrace a broader and more strategic view of diversity as a value for developing organizations. It could encourage organizations to see diversity as a source of competitive advantage and sustainability. It might help them seek and listen to a variety of stakeholder opinions as well as explore multiple business strategies, organization designs, and ways of operating. In line with the movement toward responsible progress, OD could help organizations seek diversity in their economic, social, and ecological objectives, providing a broader set of criteria to judge performance and to guide organizational change and development.

To increase diversity in a system that has been progressively reinforcing narrowness, OD practitioners can persistently and convincingly ask decision makers: "Can we think more broadly about this issue?" "What other criteria should we consider?" "Is there a way to achieve those economic ends as well as other outcomes through different means?" OD can help organizations move beyond singular or remedial views of diversity, such as pluralism in race, gender, or nationality, as ends in themselves. It can help them treat diversity more broadly as a strategy that fuels innovation, sustainability, and economic success. The seeds for achieving responsible progress in all of its economic, social, and ecological objectives are the innovative possibilities that exist when the organization embraces and nurtures multiple viewpoints, values, and beliefs over time.

In helping organizations fulfill the diversity value, OD undoubtedly needs to create new interventions, methods of change, and ways of engaging with organizations. It has to make diversity a key criterion clearly and persistently for organizations' development and success, making it an important focus of entering and contacting (Chapter 3), diagnosing (Chapters 4), and designing interventions (Chapter 5). OD practitioners need to work closely with powerful stakeholders with different and likely conflicting interests to arrive at a sufficiently agreed-upon view of diversity to permit coordinated action. OD's recent interventions addressing economic, ecological, and social outcomes (Chapter 15) are a step in this direction, and more will be needed as OD moves toward more inclusive values.

The key point is the fundamental values that OD promotes as essential to organizations' development and success are not just platitudes but important criteria and guides for practicing OD and developing organizations. They have serious implications for how OD conceptualizes organizations and helps to develop and improve them. In combination with more integrated solutions and greater attention to responsible progress, we expect more inclusive values to guide OD moving forward.

Summary

This concluding chapter summarizes the current state of OD reflected in this book. We identified major socioeconomic and technological changes occurring in a broader context and explored their implications for future OD practice. They suggest that OD's relevance to organizations is likely to continue, if not increase, in the future. The field's basic values, concepts, and practices address many of the challenges organizations are likely to face in the coming years. As a result, OD should "stick to its knitting," continuing to do what it does well by focusing on its distinctive competencies to help organizations gain the capability to change and develop themselves. OD cannot rest on its past successes, however. It must make pertinent changes in its

practices, objectives, and values to help organizations adapt to the emergent socioeconomic and technological forces identified. OD will need to offer more integrated processes and interventions and be more technology-savvy. OD will need to move beyond attention to personal and economic growth to helping organizations achieve responsible progress on economic, social, and ecological objectives. This will require interventions that enable organizations to jointly optimize these outcomes. Finally, OD will need more inclusive values to provide organizations with more comprehensive criteria and guidance in measuring success and learning to adapt to an increasingly complex and changing environment.

Notes

1. W. Pasmore and R. Woodman, "The Future of Research and Practice in Organizational Change and Development," in *Research in Organizational Change and Development* vol. 25, eds. A. Shani and D. Noumair (Emerald, 2017): 1–32; T. Jick and K. Sturtevant, "Taking Stock of 30 Years of Change Management: Is It Time for a Reboot?" in *Research in Organizational Change and Development*, vol. 25, eds. A. Shani and D. Noumair (Emerald, 2017): 33–79; A. Church and W. Burke, "Four Trends Shaping the Future of Organizations and Organization Development," *OD Practitioner* 49 (2017): 14–22; B. Burnes and B. Cooke, "The Past, Present and Future of Organization Development: Taking the Long View," *Human Relations* 65 (2012): 1395–1429.
2. A. Kleiner, *The Age of Heretics*, 2nd ed. (Jossey-Bass, 2008).
3. C. Worley and D. Good, "Forward to the Past," *Journal of Applied Behavioral Science* 57, no. 4 (2021): 471–77.
4. W. Burke, "Reflections: Change Management Is Not Organization Development," in *Research in Organizational Change and Development*, vol. 29, eds. A. Shani and D. Noumair (Emerald, 2021): 261–74; N. Worren, K. Ruddle, and K. Moore, "From Organizational Development to Change Management: The Emergence of a New Profession," *Journal of Applied Behavioral Science* 35 (1999): 273–86; H. Hornstein, "Organizational Development and Change Management: Don't Throw the Baby Out with the Bath Water," *Journal of Applied Behavioral Science* 37 (2001): 223–26.
5. Burke, "Reflections"; T. Cummings and C. Cummings, "Appreciating Organization Development: A Comparative Essay on Divergent Perspectives," *Human Resource Development Quarterly* 25 (2014): 141–54; C. Worley, "Repositioning Change Management: OD At Its Best" (LinkedIn, February 11, 2018), <https://www.linkedin.com/pulse/repositioning-change-management-od-its-best-chris-worley/?trackingId=uvzQpe3bQMm1Cvo14JPIJQ%3D%3D>;
6. R. Tenkasi, "Re-visiting the Past to Re-imagine the Future of Organization Development and Change," *Organization Development Journal* 36 (2018): 61–73.
7. A. Pettigrew, R. Woodman, and K. Cameron, "Studying Organizational Change and Development: Challenges for Future Research," *Academy of Management Journal* 44 (2001): 697–714; L. Martins, "Organizational Change and Development," in *APA Handbook of Industrial and Organizational Psychology*, vol. 3, ed. S. Zedeck (American Psychological Association, 2011).
8. C. Worley and R. Beaujolin, "Navigating Conflicting Influences During Complex Strategic Changes: The Contribution of Diagnosis, Congruence, and Leadership," *Journal of Applied Behavioral Science* 59 (2023): 30–60; D. Coghlan and T. Brannick, *Doing Action Research in Your Own Organization* (Sage, 2014); D. Coghlan and A. B. Shani, "Creating Action Research Quality in Organization Development: Rigorous, Reflective and Relevant," *Systemic Practice and Action Research* 27 (2014): 523–36; P. Mirvis, S. Mohrman, and C. Worley, *How to Do Relevant Research: From the Ivory Tower to the Real World* (Edward Elgar, 2021); D. Coghlan, "Seeking Common Ground in the Diversity and Diffusion of Action Research and Collaborative Management Research Action Modalities: Toward a General Empirical Method," in *Research in Organizational Change and Development*, vol. 18, eds. W. Pasmore, A. Shani, and R. Woodman (Emerald, 2010); S. Mohrman and E. Lawler, "Generating Knowledge That Drives Change," *Academy of Management Perspectives* 26 (2012): 41–51; J. Pfeffer and R. Sutton, "Evidence-Based Management," *Harvard Business Review* 84 (2006): 62–74; D. Rousseau, "Is There Such a Thing as 'Evidence-Based Management'?" *Academy of Management Review* 31 (2006): 256–69.
9. J. Bhagwati, *In Defense of Globalization* (Oxford University Press, 2004); T. Cowen, *Creative Destruction* (Princeton University Press, 2002).

9. S. Altman and C. Bastian, "The State of Globalization in 2023," *Harvard Business Review* (July 11, 2023), <https://hbr.org/2023/07/the-state-of-globalization-in-2023>; Oxford Economics, "The Deglobalization Myth: How Asia's Supply Chains Are Changing" (Hinrich Foundation, January 9, 2024), <https://www.hinrichfoundation.com/research/wp/trade-and-geopolitics/how-asia-supply-chains-are-changing/>.
10. "A New World Order: Opportunity in a Polycrisis. Global Trends 2023" (Ipsos, February 2023), <https://www.ipsos.com/en/ipsos-releases-global-trends-2023-new-world-disorder>.
11. ETHzürich KOF, "KOF Globalization Index," <https://kof.ethz.ch/en/forecasts-and-indicators/indicators/kof-globalisation-index.html>.
12. A. Chua, *World on Fire* (Anchor Books, 2003); International Forum on Globalization, *Alternatives to Economic Globalization* (Berrett-Koehler, 2002); D. Cooperrider and J. Dutton, eds., *Organizational Dimensions of Global Change: No Limits to Cooperation* (Sage, 1999); J. Perkins, *Confessions of an Economic Hit Man* (Berrett-Koehler, 2004); J. Stiglitz, *The Price of Inequality* (Norton, 2012).
13. T. Friedman, *The World Is Flat* (Farrar, Straus and Giroux, 2006).
14. World Bank, "Gini Index in Key Developed and Emerging Economies in 2021" (Statista, July 25, 2023), <https://www-statista-com.lib.pepperdine.edu/statistics/1039062/gini-index-developed-emerging-economies/>.
15. Ipsos, "Most Important Problems Facing the World as of October 2023" (Statista, November 6, 2023), <https://www-statista-com.lib.pepperdine.edu/statistics/946266/most-worrying-topics-worldwide/>; Deloitte, "CEO Perspectives on Expected External Disruptions to Business Strategy in the United States in 2024" (Statista, November 13, 2023), <https://www-statista-com.lib.pepperdine.edu/statistics/1427359/expected-disruptions-to-business-strategy-ceos/>.
16. R. Newman and I. Noy, "The Global Costs of Extreme Weather That Are Attributable to Climate Change," *Nature Communications* 14 (2023): 6103.
17. World Economic Forum, "Biggest Perceived Risks to Global Society as of 2022, By Long-Term Severity" (Statista, January 31, 2023), <https://www-statista-com.lib.pepperdine.edu/statistics/1245152/biggest-perceived-threats-to-global-society-by-event/>; World Economic Forum, "Global Risk Report 2023" (January 11, 2024), <https://www.weforum.org/publications/global-risks-report-2023/>.
18. World Economic Forum, "Biggest Perceived Risks to Global Society as of 2022"; World Economic Forum, "Global Risk Report 2023."
19. Economic Policy Institute, "Aggregated CEO-to-Worker Compensation Ratio for the 350 Largest Publicly Owned Companies in the United States from 1965 to 2022" (Statista, (September 21, 2023), <https://www-statista-com.lib.pepperdine.edu/statistics/261463/ceo-to-worker-compensation-ratio-of-top-firms-in-the-us/>.
20. J. Semega and M. Koller, "2021 Income Inequality Increased for First Time Since 2011" (U.S. Census Bureau, September 13, 2022), <https://www.census.gov/library/stories/2022/09/income-inequality-increased.html>; U.S. Census Bureau, "Female to Male Earnings Ratio of Workers in The United States from 1990 to 2022" (Statista, September 13, 2023), <https://www-statista-com.lib.pepperdine.edu/statistics/203459/female-to-male-earnings-ratio-of-workers-in-the-us/>.
21. Federal Reserve System, "Figure 1" (September 28, 2020), <https://www.federalreserve.gov/econres/notes/feds-notes/disparities-in-wealth-by-race-and-ethnicity-in-the-2019-survey-of-consumer-finances-accessible-20200928.htm#fig1>.
22. J. Stiglitz, "Of the 1%, By the 1%, For the 1%," *Vanity Fair*, May 2011, <http://www.vanityfair.com/society/features/2011/05/top-one-percent-201105>.
23. Kaiser Family Foundation, "Number of Health and Health-care Measures for Which Members of Select Racial and Ethnic Groups Fared Better or Worse Than the White Population in the U.S. in 2023" (Statista, March 15, 2023), <https://www-statista-com.lib.pepperdine.edu/statistics/1356219/health-care-measure-for-select-ethnic-groups-vs-white-in-us/>.
24. U.S. Department of Housing and Urban Development, "Estimated Number of Homeless People in the United States in 2022, by Race" (Statista, February 12, 2023), <https://www-statista-com.lib.pepperdine.edu/statistics/555855/number-of-homeless-people-in-the-us-by-race/>.
25. Statista, "Nationalism in the United States" (November 2023), <https://www-statista-com.lib.pepperdine.edu/study/58060/nationalism-in-the-united-states/>; SPLC, "Number of Hate Groups in the United States from 1999 to 2022" (Statista, February 1, 2023), <https://www-statista-com.lib.pepperdine.edu/statistics/739551/number-of-hate-groups-in-the-us/>.
26. TGEU, "Number of Transgender and Gender-Diverse People Who Were Murdered in the United States from 2008 to 2021" (Statista, November 11, 2021), <https://www-statista-com.lib.pepperdine.edu/statistics/944726/murders-transgender-gender-diverse-people-us/>.
27. World Economic Forum, "Biggest Perceived Risks to Global Society as of 2022" World Economic Forum, "Global Risk Report 2023."
28. D. Erdmann, E. Greenberg, and R. Harper, "Geostrategic Risks on the Rise" (McKinsey, May 2016), <http://www.mckinsey.com/business-functions/strategy-and-corporate-finance/our-insights/geostrategic-risks-on-the-rise>.
29. Gallup, "Confidence Levels in Politics, the Press, Business, Public Institutions and Other Organizations in the United States in 2022" (Statista, July 6, 2023), <https://www-statista-com.lib.pepperdine.edu/statistics/234057/us-confidence-in-business-public-institutions-and-organizations/>.
30. A. Winston, "Why Business Leaders Must Resist the Anti-ESG Movement," *Harvard Business Review* (August 2023), <https://hbr.org/2023/04/why-business-leaders-must-resist-the-anti-esg-movement>; S. Kessler, "D.E.I. goes quiet," *New York Times*, January 13, 2024, <https://www.nytimes.com/2024/01/13/business/dealbook/dei-goes-quiet.html>.

31. T. Telford, "2024 Might Be Do-or-Die for Corporate Diversity Efforts. Here's Why," *Washington Post*, December 27, 2023, <https://www.washingtonpost.com/business/2023/12/27/dei-affirmative-action-legal-challenges-corporate-america/>; J. Jiménez, "Why Chick-fil-A is Drawing Fire Over a 'Culture of Belonging,'" *New York Times*, May 31, 2023, <https://www.nytimes.com/2023/05/31/business/chick-fil-a-woke-dei.html?searchResultPosition=2>.
32. C. Cutter and E. Glazer, "The Latest Dirty Word in Corporate America: ESG," *Wall Street Journal*, January 9, 2024, https://www.wsj.com/business/the-latest-dirty-word-in-corporate-america-esg-9c776003?mod=Searchresults_pos1&page=1.
33. F. Li and A. Polychronopoulos, "What a Difference an ESG Rating Provider Makes!" (Research Affiliates, January 2020), <https://www.researchaffiliates.com/content/dam/ra/publications/pdf/770-what-a-difference-an-esg-ratings-provider-makes.pdf>.
34. Statista, "Climate Change in the U.S., 2023," <https://www-statista-com.lib.pepperdine.edu/study/140703/climate-change-in-the-us/>; United Nations Climate Change, "The Paris Agreement: What Is the Paris Agreement?" (2015) <https://unfccc.int/process-and-meetings/the-paris-agreement>.
35. R. Molla, "Mobile Broadband Subscriptions Are Projected to Double in Five Years" (Recode, June 18, 2017), <https://www.recode.net/2017/6/18/15826036/smartphone-subscriptions-basic-phones-globally-ericsson>; Ericsson, "Key Figures," <https://www.ericsson.com/en/reports-and-papers/mobility-report/key-figures>.
36. ITU, "Number of Internet Users Worldwide from 2005 to 2022 (in millions)" (Statista, November 30, 2022), <https://www-statista-com.lib.pepperdine.edu/statistics/273018/number-of-internet-users-worldwide/>.
37. K. Schwab, "The Fourth Industrial Revolution: What It Means, How to Respond" (World Economic Forum, January 14, 2016), <https://www.weforum.org/agenda/2016/01/the-fourth-industrial-revolution-what-it-means-and-how-to-respond/>; A. Toffler, *The Third Wave* (William Morrow, 1980); D. Korten, *When Corporations Rule the World* (Berrett-Koehler, 1995); L. Thurow, *The Future of Capitalism* (William Morrow, 1996); Friedman, *The World Is Flat*; E. Lawler and C. Worley, *Management Reset* (San Francisco: Jossey-Bass, 2011); M. Young and S. Nair, "Driving Digital Transformation: Why Culture and Structure Matter" (The Conference Board Research Report R-1632-RR, June 2017), <https://www.conference-board.org/publications/publicationdetail.cfm?publicationid=7525¢erId=10>.
38. F. Duarte, "Number of ChatGPT Users (Dec 2023)" (Exploding Topics, November 30, 2023), <https://explodingtopics.com/blog/chatgpt-users>.
39. R. Torres de Oliveira, M. Ghobakhloo, and S. Figueira, "Industry 4.0 Towards Social and Environmental Sustainability in Multinationals: Enabling Circular Economy, Organizational Social Practices, and Corporate Purpose," *Journal of Cleaner Production* 430 (2023): 139712.
40. MediaPost, "Level of Concern About Online Data Among Consumers in the United States in 2021 and 2022" (Statista, September 21, 2022), <https://www-statista-com.lib.pepperdine.edu/statistics/1334405/concern-privacy-usa/>; Gen Digital, "Share of Internet Users Who Are Willing to Accept Online Privacy Risks for Convenience as of January 2023, By Country" (Statista, February 28, 2023), <https://www-statista-com.lib.pepperdine.edu/statistics/1023952/global-opinion-concern-internet-privacy-risk-convenience/>.
41. R. Hiscott, "8 Ways Technology Makes You Stupid," *Huffington Post*, July 25, 2014, https://www.huffpost.com/entry/technology-intelligence_n_5617181; N. Carr, *The Shallows: What the Internet Is Doing to Our Brains* (Norton, 2011).
42. G. Mark, *Attention Span: A Groundbreaking Way to Restore Balance, Happiness, and Productivity* (Hanover Square Press, 2023); G. Roberts, "Google Effect: Is Technology Making Us Stupid," *Independent*, July 15, 2016, <http://www.independent.co.uk/life-style/gadgets-and-tech/features/google-effect-is-technology-making-us-stupid-10391564.html>.
43. B. Marr, "Digital Addiction: Should You Be Worried?" *Forbes*, January 11, 2023, <https://www.forbes.com/sites/bernardmarr/2023/01/11/digital-addiction-should-you-be-worried/?sh=f3f6a7d59c39>; M. Daniyal, S. Javaid, A. Hassan, and M. Khan, "The relationship between cellphone usage on the physical and mental wellbeing of university students: A cross-sectional study," *International Journal of Environmental Research and Public Health* 19 (2022): 9352.
44. T. Wu, "As Technology Gets Better, Will Society Get Worse?" *The New Yorker*, February 6, 2014, <http://www.newyorker.com/tech/elements/as-technology-gets-better-will-society-get-worse>; T. Wu, "The Problem with Easy Technology," *The New Yorker*, February 21, 2014, <http://www.newyorker.com/tech/elements/the-problem-with-easy-technology>; S. Lohr, "Why the Economic Payoff from Technology is So Elusive," *New York Times*, June 5, 2016, <https://www.nytimes.com/2016/06/06/business/why-the-economic-payoff-from-technology-is-so-elusive.html>.
45. G. Vickers, *Freedom in a Rocking Boat* (Penguin Books, 1972): 24.
46. T. Peters and R. Waterman, *In Search of Excellence* (Harper and Row, 1982).
47. Worley and Good, "Forward to the Past."
48. This section draws heavily from C. Worley and A. McCloskey, "A Positive Vision of OD's Future," in *The NTL Handbook of Organization Development and Change*, eds. B. Jones and M. Brazzel (Pfeiffer, 2006): 501–13; J. Wirtenberg, L. Abrams, and C. Ott, "Assessing the Field of Organization Development," *Journal of Applied Behavioral Science* 40 (2004): 465–79; J. Wirtenberg, D. Lipsky, L. Abrams, M. Conway, and J. Slepian, "The Future of Organization Development: Enabling Sustainable Business Performance Through People," *Organization Development Journal* 25 (2007): 11–27; R. Marshak, "Organization Development as a Profession and a Field," in *The NTL Handbook of Organization Development and Change*, eds. B. Jones and M. Brazzel (Pfeiffer, 2006); Cummings and

- Cummings, “Appreciating Organization Development”; Church and Burke, “Four Trends Shaping the Future of Organizations and Organization Development”; C. Worley, K. Rhodes, J. Shaver, and A. Feyerherm, “A Cold, Hard Look in the Mirror” [Blog] (June 19, 2020), https://bschool.pepperdine.edu/blog/posts/organization-development-specialization-consequences.htm?utm_medium=social&utm_source=linkedin_gbs&utm_campaign=MSOD_Blog_Mirror.
49. J. Pfeffer and R. Sutton, *Hard Facts, Dangerous Half-Truths, and Total Nonsense: Profiting from Evidence-Based Management* (Harvard Business Press, 2006).
 50. C. Worley and T. Cummings, “How Organization Agility Produces Sustained Performance: Bringing Coherence to Diverse Conceptual Perspectives” (White paper, University of Southern California, 2023).
 51. Worley and Good, “Forward to the Past.”
 52. G. Steiner and J. Miner, *Management Policy and Strategy* (Macmillan, 1977).
 53. C. Worley and E. Lawler, “Built to Change Organizations and Responsible Progress: Twin Pillars of Sustainable Success,” in *Research in Organization Change and Development*, eds. W. Pasmore, A. Shani, and R. Woodman (Emerald, 2010).



Integrative Cases

B. R. Richardson Timber Products Corporation*

Jack Lawler returned to his desk with a fresh cup of coffee. In front of him was a file of his notes from his two visits to the B. R. Richardson Timber Products Corporation. As Lawler took a sip and opened the file, he was acutely aware that he had two tasks. In a week, he was to meet with the company president, B. R. Richardson, and the industrial relations officer, Richard Bowman, to make a presentation on his findings with regard to the lamination plant and his recommendations for what might be done. Lawler knew he had a lot of preparation to do, starting with a diagnosis of the situation. It wouldn't be easy. Taking another sip from his mug, he leaned back in his chair and recalled how this project had begun.

Making a Proposal

It was about 2:30 P.M. when the office intercom buzzed. Lawler's secretary said there was a Richard Bowman calling from Papoose, Oregon. Lawler knew that Papoose was a small community about 150 miles south, a town with three or four lumber mills lying in the mountain range of western Oregon. When Lawler picked up his telephone, Bowman introduced himself as being in charge of industrial relations for the B. R. Richardson Timber Products Corporation. He was calling because a friend of his in a regional association for training and development persons had recommended Lawler, and Bowman had heard of Lawler's management training and consulting reputation. Bowman said he was searching for someone to conduct a "motivation course" for the blue-collar employees of the lamination plant. Morale in the plant was very low, there had been a fatality in the plant a few months before, and the plant manager was "a

bit authoritative." Given the gravity of the plant situation, Bowman wanted to conduct the course within the next few months.

Lawler asked if the plant manager was supportive of the course idea. Bowman replied that he hadn't asked him but had gotten approval from B. R. Richardson, the founder and president of the firm. Lawler then stated that he really didn't have enough information on which to design such a course nor enough information to determine whether such a course was appropriate. He suggested a meeting with Bowman and Richardson the next week; he would be able to stop by Papoose in the late afternoon on his way home from another engagement. Bowman immediately accepted his proposal and gave Lawler directions.

Taking another sip of coffee, Jack Lawler continued to reminisce, visualizing the road winding past two very large lumber and plywood plants and over a small hill, and recalling his first sight of the company. It was much smaller than its neighbors, consisting of a one-story office building, a medium-size lumber mill, open storage yards, an oblong, hangarlike structure, dirt connecting roads, lumber and log piles seemingly scattered around, and cars and pickup trucks parked at random. The office building entryway was paneled with photographs showing the company buildings as they had changed over many years.

Bowman greeted Lawler, led him to a carpeted and paneled conference room, and introduced him to Ben Richardson. "BR" was a man in his late 50s, dressed in western apparel. The subsequent conversation was one in which the company as a whole was outlined and information was presented about the plant workers. Lawler described his preferred ways of working (essentially, diagnosis before training or other action). BR and Bowman shared their concerns that the plant manager, Joe Bamford, was getting out the work but wasn't sensitive to the workers. Bowman then took Lawler on a tour of the lamination plant.

The meeting ended cordially, with Lawler promising to write a letter in a few days in which he would outline his thoughts on going forward.

*Printed by permission of Craig C. Lundberg, Cornell University. Events described are not intended to illustrate either effective or ineffective managerial behavior.

Lawler opened the file in front of him on his desk and smiled as he found the copy of the letter he had sent:

Mr. Richard Bowman
B. R. Richardson Timber Corporation
P.O. Box 66
Papoose, Oregon

Dear Mr. Bowman:

When I departed from your office about a week ago, I promised a letter outlining my thoughts on some next steps regarding the laminating plant. Let me sketch some alternatives:

1. One is for me to put you in touch with someone in your immediate region who could design and/or present the “motivation” course for the laminating workers that you originally had in mind.
2. Second is for me to be engaged as a consultant. Recall the experience I described with the plywood plant in northern California in which I facilitated an approach called “action research.” You’ll remember that it basically involved a process wherein the concerned parties were helped to identify noncontrolled problems and plan to overcome them. This would begin with a diagnosis conducted by myself.
3. Third, you’ll also recall that I teach part-time at State University. This relationship leads to two ways graduate students might become involved:

I believe I could get a colleague in personnel management training to create a student team to design and conduct the motivation course.

I can have a student team in my change seminar do a diagnosis of the laminating plant and provide you with their analyses and recommendations.

I believe I was clear during my visit that I think a diagnosis is needed first, regardless of next steps. When you and Mr. Richardson have thought about these alternatives, give me a call. I’ll be prepared to outline what I see as the costs of alternatives 2 and 3.

Thanks for the opportunity to visit. I enjoyed meeting you and beginning to learn about your company.

Sincerely,

Jack Lawler

Partner

Oregon Consulting Associates

Visiting the Plant

Lawler remembered that six weeks went by before Bowman called. He had shown Lawler’s letter to BR and they agreed

that a more adequate diagnosis was probably a useful first step. Bowman was quite clear that BR did not want to invest much money but also wanted Lawler’s expertise. In the ensuing conversation, Bowman and Lawler worked out an initial plan in which he would utilize several of his graduate students in a one-day visit to the company to gather information. Lawler would then analyze it and make a presentation to BR and Bowman. The use of the graduate students would substantially reduce his time as well as provide the students with some useful experience. They agreed that he would bill for three days of his time plus the expenses incurred when he and the students visited.

The next week when Lawler went to campus to teach his evening seminar called “The Management of Change” at the Graduate School of Business, he shared with the class the opportunity for some relevant fieldwork experience. He and four students could do the observing and interviewing in one day by leaving very early in the morning to drive to Papoose and arriving home by midevening. The information gained would be the focus of a subsequent class in which all seminar participants performed the diagnosis. When he asked his seminar who was interested in the information-gathering day, six students volunteered. When particular dates for the trip to Papoose were discussed, however, most of the six had conflicting schedules. Only Mitch and Mike, two second-year MBA students, were available on one of the days that Lawler’s schedule permitted.

Having constituted the field team, Lawler suggested that the seminar invest some time that evening in two ways. He wanted to share with the class some information he had gained on his first visit to Richardson Timber and suggested that the class could help prepare Mitch and Mike for the experience in the field. He then drew an organization chart on the blackboard that showed the various segments of the corporation and the lamination business, including the personnel and main work groups. He further drew a layout of the laminating plant on the board. (Figures 1 and 2 show these sketches.) While doing this, Lawler spoke of his understanding of the technology, work flow, and product of the laminating plant as follows:

It’s a family-held corporation. It’s composed of four small companies, divisions really, three in Papoose—a logging operation, a lumber mill, and the laminating plant—and a mill over in eastern Oregon. The head office, the mill, and the lam plant are on the edge of Papoose, which is a very small logging town about six or seven miles from the interstate highway. The lam plant looks like a long airplane hangar, the type with a curved

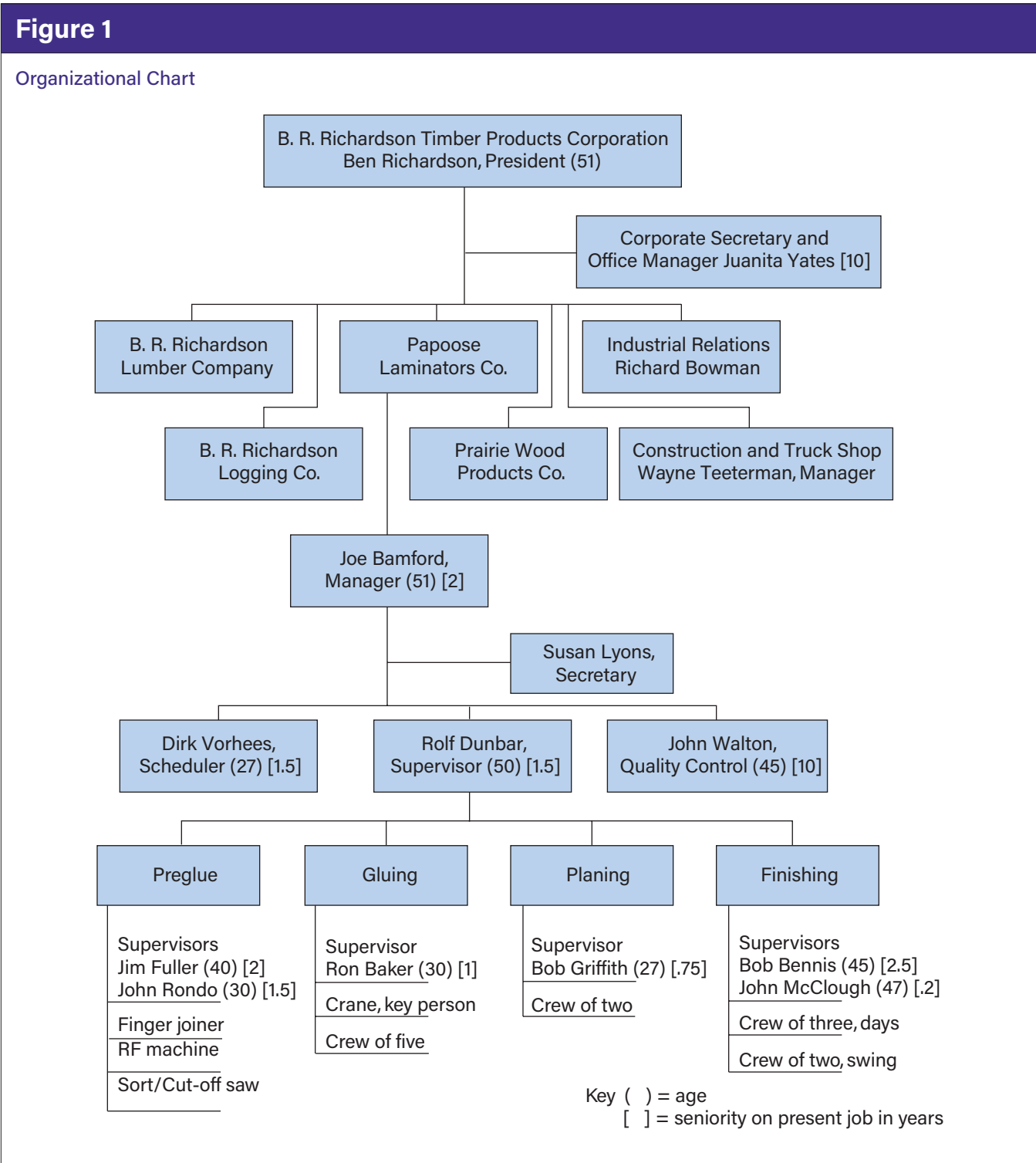
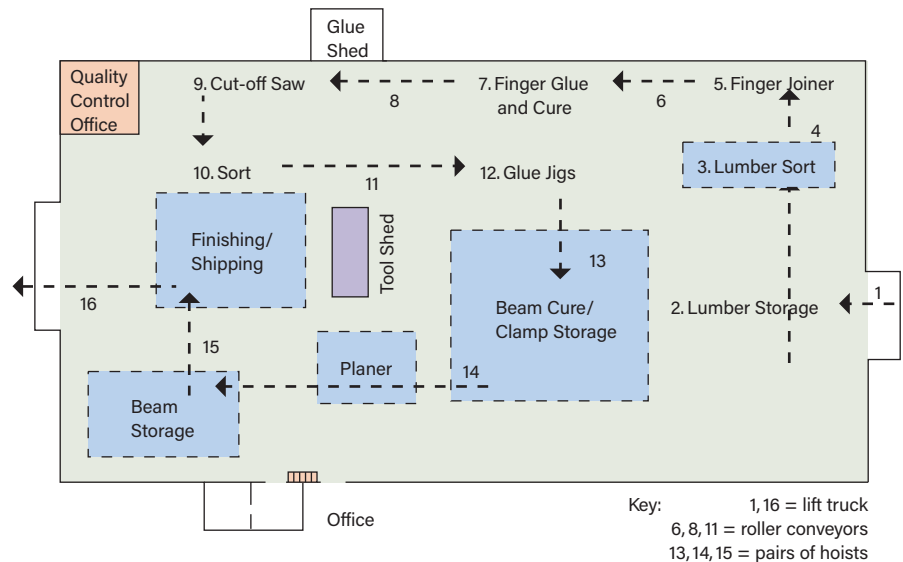


Figure 2**Laminating Plant**

roof. Rich Bowman took me on a tour, safety helmet on, and explained the activities as we went along.

Now, the end products are long, laminated wood roof trusses or beams like you sometimes see in supermarkets and arenas. These are built up out of many layers of two-by-fours, two-by-sixes, and two-by-eights glued together end to end and then side to side. So in one end of the plant come lift trucks of lumber, which is stacked up to a height of 12 to 15 feet. According to orders—and all beams are made to customer order—the lumber is sorted and then hand-placed on a machine that cuts deep notches in the ends of the lumber. These go along one wall of the plant where the notched ends, called fingers, are glued together to make really long pieces.

These then go on along the roller conveyor, to the other end of the plant almost, where they are cut to the correct length, and sets of these long pieces are grouped together—the right number of the right length to make up a beam. This set then goes to a work station where there is a metal jig. The pieces are put in the jig one at a time, the glue is applied, and they are tapped down by hand. When the beam is fully assembled, clamps are put on every little way. This rough, clamped beam, running anywhere from 20 to, say, 78 feet in length and from one to three-plus feet high, obviously very,

very heavy, is marked, then picked out of the jig by two small hoists and stacked up to cure (dry). The curing piles have cross sticks and must be 15 to 18 feet high in some places.

These beams cure and eventually are picked out of the stack with the hoists and maneuvered so that they are fed into the planer, which is set to plane the rough beam to exact thickness dimensions. After planing, the beam is stored until the finishing crew gets to it. This crew cuts the beam to length, patches minor surface blemishes, and wraps plastic around it for shipping. These beams then sometimes go directly onto a truck for shipment or into the yard until a load is ready.

The plant is noisy from saws, conveyors and hoists, and especially the planer. There are glue drippings, sawdust, and ends everywhere. The aisles tend to disappear in tools and piles. Above the plant offices of the manager, supervisor, and secretary is a lunchroom and another office for the scheduler. The company's head office is about 50 yards away in one direction and the mill about the same distance in another. The yard is graveled, with lumber of all kinds piled up and cars parked around the edges.

The class was encouraged to visualize the laminating plant and its working conditions. Lawler then divided the

class into two groups around Mike and Mitch for the task of preparing for their visit to Richardson Timber. It was important to clarify what information might be usefully sought and how informal interviewing on the work floor might be accomplished.

On the next Wednesday, the trio drove to Papoose, stopping for breakfast along the way. When they arrived at the head office, they were met by Bowman. Lawler initially interviewed Juanita Yates while Bowman took Mike and Mitch to the lamination plant and introduced them to Bamford, the manager. At lunch time, Lawler and his students drove into Papoose and ate at a cafe. They summarized what they had learned in the morning. Each of them had been jotting some notes, and Lawler encouraged even more. He reminded Mike and Mitch that they would dictate their information during the drive home but that notes were needed as cues. At 4:30 P.M., the three met at Bowman's office, turned in their safety helmets, thanked him, and left. The first hour of the drive was filled with the sharing of anecdotes from each other's day. After a dinner stop, they took turns in the back seat dictating their notes.

Reviewing the Notes

Lawler's reverie was broken by the office intercom. His secretary announced a long-distance telephone call from a potential client. After the call, Jack turned his attention to the Richardson file. He realized that his forthcoming meeting with Richardson and Bowman would take place before his graduate seminar met to diagnose the laminating plant situation, and so he had best get to work himself. He decided to review the notes he and his students had created.

Jack's Notes

Current Lam schedule: Breakout crew 2 A.M. to 12 noon. Finish end 3:30 A.M. on. Joe typically works 7 A.M. to 6 P.M.

Ben Richardson (Juanita): "In the beginning he was very authoritarian, still is somewhat. Seen as a perfectionist." "Not quite a workaholic." "Has been, for several years, politically active—that is to say, locally." "When there is a cause, he throws his energies and resources behind it." Example, workers' compensation is currently a thorn in his side, and he has encouraged Rich to fight. "In the last few years, Ben has listened a little more and seems slightly more open." The last couple of years has had consultant Chuck Byron from Eugene, who has pushed the idea of a management team. Rich is the first real outsider hired as a professional. Ben has a "conservative philosophy." Will not have safety meetings on company time. Appreciates and rewards loyalty and dedication. Example, December

1978 Christmas party—a couple of 20-year men were given \$1,000 checks and plane tickets to Hawaii for themselves and families—it surprised everybody.

Who's influential (Rich): Juanita Yates, office manager and secretary, has been with Ben 10 years. When Ben is away, he calls her once or twice a day. Second-most influential is Wayne Teeterman, also 10 years with Richardson. Heads construction and truck shop. Formerly ran the sawmill. Ben's ear to the mill. Rich is a distant third in influence. Mostly via Nita. "Ben sees Joe, manager of lam plant, as an enigma—almost canned him a couple of times." However, Joe is seen as dedicated, mostly because of the long hours put in.

Overall business pretty good (Rich): "Ben keeps thinking the other shoe will drop one of these days." "Ben used to be able to predict the lumber market. This is getting more difficult." Right now the economy is stable enough regarding lumber and lumber products. Richardson mill sales of clear-cut high grade are pretty much cutting to order. Laminating plant growing ever since it was started. It's very profitable, busy, and active—probably has the largest margin of all Richardson companies.

Laminating plant (Rich): Laminating plant has six- to seven-week delivery dates now.

Timber purchases (Rich): Timber purchases from Forest Service and BLM. One to two year's cutting is now available. Last year needed to cut only half of year's sales because of fortunate other purchases. Last year, half of timber requirements were from private ground. "Costs of cutting, however, go up, and it makes Ben nervous."

Laminating plant lumber (Rich): "Approximately 70 percent of laminating plant lumber purchased outside—30 percent from Richardson mill." This material is in the middle of the quality range. Outside purchases are primarily from Oregon companies—Weyerhaeuser, Bohemia, Georgia-Pacific, and smaller ones. Joe does the purchasing for lam plant. "He likes to do this."

Recent changes (Juanita): "Turnover has consistently been high and continues. For the company as a whole it is around 72 to 76 percent. In the lam plant there was 100 percent turnover last year" (among operators). "Right now this year it is down 50 percent."

Rolf (Juanita): Rolf was formerly industrial relations manager. A year ago April, he was appointed supervisor in the lam plant. Rolf's predecessor in lam plant ineffectual; gone from company. Rolf did not do a good job with personnel. Fatality in lam plant happened two months before Rolf went down there. It was in the breakdown area—several people quit at that time. There has been a constant concern for the height of stacking in the lam plant. "Joe has had a positive impact on morale—started a softball team in a community league."

Reward system (Juanita): “Nine paid holidays, hourly wage, liberal vacation plan, life insurance, no pension, no bonus except for those people who report directly to Ben (Nita, Wayne, Joe, and Rich). Joe has not had a bonus yet.”

Incentives for safety: Joe and Rolf have introduced incentives for safety. Competition for groups about lost time. Joe gave a fishing outfit last month for the first time that a safety target was met.

Hiring (Rich): Hiring was traditionally done by division managers. At present, Rich has taken over that. He now goes into background more deeply.

Interaction with middle management (Rich): Normally when Ben is in Papoose, he and Joe interact a couple times a week, which is about the same as Ben interacts with other division or company managers.

Ben's style (Juanita): “He focuses on a problem. He will write a list and go over it with the manager item by item. Pretty much forcing his way. Later, he will pull out that list to check up with.” He often wants Rich to play intermediary between top management and the lam plant. Rich tries to resist.

Rolf (Rich): “Fairly introverted, basically a nice guy. He finds it hard to be tough. Doesn't think he could do Joe's job.” His folks were missionaries.

Dirk (Rich): “His goal is to get into sales. Ben has given okay, and he is supposed to look into local sales. Joe has agreed but has not given Dirk time to do any of this. Dirk probably has no long-run commitment to the company.” He has a degree in forestry.

John Walton (Juanita): In charge of quality control. “Very loyal to the company. Very dedicated to quality. Member of national organization. Never gets very distressed. Seems well liked by crews. Not afraid to pitch in when they are a man short or behind.”

Jim Fuller (Rich): “Ben doesn't like him.” Had EMT training recently sponsored by the companies. Ben questions Jim's commitment. Jim gets into lots of community activities, has been a disc jockey on Sunday mornings, and is very active in community organizations with youth. “Not perceived as a real strong leadership type, but knowledgeable and pretty well liked in the lam plant.”

John Rondo (Rich): “Dedicated, works hard. Pushes the men, too. Ben sees him as having future management promise.” From an old logging family in the area. “Much more leadership oriented.”

Ron Baker (Rich): Gluing supervisor. “Business-like, could be sour. Likes to impress others.”

John McClough (Rich): “Failing as a finishing supervisor. Originally from California. Worked in Roseburg area as carpenter; does excellent work by himself. He is a flop and probably won't last much longer.”

Bob Bennis (Rich): Finishing supervisor. “Not really a pusher.” “Time has made him knowledgeable about the work.” “Willing to be directed.” He has had a number of family conflicts and has been in financial trouble. “Overall, a nice guy.”

Bob Griffith (Rich): Planer. Came to Richardson out of the service. Started in gluing, then in breakdown, then gluing. Finally, planer's job opened up, and he took it. “Still learning the job. Generally a good worker; some question about his leadership.”

Supervisors summary (Rich): “In general, the supervisors all kind of plod along.”

Jim Fuller (Juanita): Is lam plant safety committee representative.

General reputation in community (Rich): “Not good from employees' point of view. Matter of turnover, accidents, and the fatality. Seems to be turning around somewhat over the last year. The company, as a whole economically, has a successful image. It's made money, survived downturns, and so forth.”

Summer: During summer, fill-ins are hired for vacationers—sometimes college or high school students. The supervisor spots are filled in by key men on the crew.

Communication: Bulletin board outside of lam office has safety information, vacation schedule, and production information. Blackboard in lunchroom has jokes, congratulations, etc.

Reports: Daily production is scheduled by Dirk. Daily report from lam plant to office is compared against that. Production and lam's information reported daily. Joe keeps records on productivity by lam plant area. This duplicates Susan's records. Quality control turns in three sheets a day: on finger-joint testing, glue spread and temperature, and finished-product tests. Also Walton keeps cumulative information on block shear (where a core is drilled and stressed) and delamination tests made (where product is soaked and then stressed).

Records: A few years ago, 18,000 board feet was the high for preglue. May 9, daily was 16,406 board feet. Swing shift is consistently higher than the day shift preglue. Gluing, Ben expects 30,000 feet. On May 9, it was 27,815 feet.

Overtime (Juanita): “Is approximately 6 percent over the year. Right now lam plant is higher than that.”

April (Juanita): Bids for the month were \$8,166,000. Orders received for the month were \$648,600. Shipped in April: \$324,400. When \$400,000 is shipped, that is an excellent month, according to Nita. Joe does all the bidding. Sue actually may do the calls, however. “The margin is significantly higher than the sawmill or planing mill.”

History of lamplant (Juanita): “In 1968 Wayne Lauder started it. He had lots of prior experience.” “The property

that Richardson stands on had just been purchased. Wayne came to Joe with a proposition. Ended up with Wayne having stock in the Papoose Laminators Company.” Original crew was 8 to 10 men. “In fact Wayne taught Ben all Ben knows about the laminating plant.” “Got into lamination business at a very good time.” “In the early days, there were no accidents and no turnover.” “Wayne had hired old friends, largely married family types.” “Walton is the only one left from those days.” In the spring of 1973, Wayne went to South Africa on a missionary call. Between then and Joe, there have been four managers and four or five supervisors. Ben has an image of Wayne that successive managers cannot live up to. Joe, in Ben’s eyes, has done better than anyone since Wayne. The supervisor’s job was started under Wayne; since then it is not clear what they do. At one time, there was an experiment to move the lam office up to the main office so that the supervisor was forced to see the manager up there. This did not work. With Joe, the office moved back to the plant.

Sue (Juanita): Secretary in lam plant. Now hand-extending the data. Could use a computer. It is programmed; she has computer skills. “Computer never used for lam bidding since Sue came two years ago.” Phone coverage is awkward. To get copies of things means Sue has to come to the office.

Market conditions: Market conditions have been good since Joe became manager.

Joe’s ability (Juanita): Highly questioned around planning. Example: “Sue away; he knew it beforehand; it was a day he wanted to be away. This left the head office trying to get someone to cover for the phone.” “Clearly sales is Joe’s strong area. Get excellent reports back from customers. But Joe doesn’t follow up, so payables are very weak. We still haven’t got a 90-day payment and are likely to ship the next load to the customer anyway.”

Lack of communication (Juanita): “Lack of communication with us about cash flow is another weak spot of Joe’s. Lack of supervision over key people like Sue and Rolf. Seems to just let them go. Certainly doesn’t supervise them. Sue gets to set her own hours.” Example offered by Nita of misbidding because Sue didn’t get the bid back to the customer. “Joe just wasn’t aware of the timing—hadn’t planned for it.” Another example: “Sue runs out of invoice paper, which means we have to scurry around.”

Sue’s wages (Juanita): “At one time, Sue was all riled up about wages and upset the secretaries in the main office. She got no pay increase last year. Ben upset. Joe went to bat for her. Joe almost put his job on the line for her.”

Sue’s performance (Juanita): “Sue does sloppy work. Not very efficient. Poor letters; late; missing deadlines. Joe allows or accepts, or perhaps doesn’t know.” Nita is supposed to be responsible for Sue on quality matters. In

general, to make sure that her backup is there. “Sue now works 10 to 15 hours a week overtime.” Nita cannot see the reason for this.

Rolf’s attitude (Rich/Juanita): Rolf’s attitude changing. Seems more cooperative to both Rich and Nita. Nita thinks Rolf is a very intelligent man. Neither are clear exactly on what Rolf does. Company policy is to send out invoices each workday and that invoices should be sent and dated on the day shipped. Sue doesn’t send them.

After Wayne, a lot of lam workers were hippies, had long hair, etc. Part of that is the reason why Rich now hires. Why is Ben down on Jim Fuller? Nita says because of time lost with accidents. “Ben knows his family and all about the radio station. Doesn’t think he is committed to the lumber company. There have been financial problems, too. There were garnishments in the past. He’s quit or been laid off, or was fired about three years ago. Some things stick in Ben’s throat. Now Jim is out of debt; they sold the home and moved; his wife works; they do an awful lot of volunteer work at the school. Ben sees this and wonders why he can’t give that energy to the company.”

John Rondo (Juanita): From a local logging family. He is a nephew of Butch (someone from a logging company). “Notorious redneck.” Once called Ben from a bar when he was drunk and swore to Ben about his paycheck. “Ben doesn’t forget those things.”

Sue hired by Joe: Does all the paperwork in the lam plant. Doesn’t really have to interact with any of the men except Joe. Takes care of the purchase orders, invoices, and daily records.

Glue used in lam plant: Twenty-two thousand pounds at 60 cents per pound; that’s nearly \$10,000 a month.

Maintenance man: Leon replacing rails and turning chair at preglue. “Had help until noon. Don’t know where they took off to.” It’s really a two-person job. Also said that they’re probably six to eight months overdue with this job.

Hoists: Planer and helper talking at break that it is awkward and sometimes have to wait either on the finish end or breakdown side of planing because of competition for hoists. Believe the roof could hold more hoists. Can’t understand why Ben won’t spring for a couple of more hoists on each side. In the lunchroom, the planer was coaching a breakdown/finish helper on how to undo clamps efficiently. Says that the “whole operation has to be speeded up.” 1:05 P.M.—lunchroom. The planer approaches Joe: “Can we get off a little early? We’ve been working lots of 10-hour days.” Joe responds, “If you get that 57 job done, maybe we’ll see.” As Joe turns to leave, the other finish man, who helps the planer, says, “Hey, Joe, I want to talk to you later.” Joe says, “Okay.” The man turns to me and says, “He thinks we should be working harder. I want to tell him what’s what.”

Rolf put in lam plant by Ben: Probably consulted with Joe, but still he did it.

Goals for lam plant (Rich): Joe and Ben both have some goals in their heads, of course, and talk on occasion. “Probably not very systematically written down.”

Jim Fuller, preglue supervisor: Swing shift now. Three men work directly under him. First work position is a lumber grading cut-off saw. A 19- to 20-year-old tends to work here. “You need a big reach.” Then there is a cut-off saw that feeds a finger-joiner cut. Then the ends are glued. “Young men tend to be in this position, too. Need to have a lot of manual dexterity and a sense of rhythm.” Then there is the radio frequency curing machine. It gives an 8 to 10 second jolt at 109; then the hardest job comes along. The lumber is stopped, set to length, and cut three inches longer than order and then put in stacks on rollers. “You need to visually check ahead, grade lumber, and everything else.” This position has to be communicated back up to preglue line for amount.

Production scheduling (Rich/Jim): “Rolf is so-called production supervisor. However, if Joe has his druthers, he’d do that, too.” Supposed to have orders from Joe to Dirk to Jim. Needs to be scheduling. This mostly happens, but sometimes he gets a message from Joe himself. Actually Jim says, “Both Rolf and Joe more or less equally give me orders.” Jim confirms that the majority of materials come from external sources and suppliers. He thinks Joe is a “sharp bargainer.” “If he can save \$100 per thousand on 8 to 10 footers, he may buy them. Of course, this means they have to do a lot more cutting and gluing.” Somehow it’s known that 30,000 feet a day per shift is what the lam plant is to produce. It takes two preglue shifts to get that. A few years ago, Jim reports, a production quota for the plant was 18,000–20,000 feet per day. “Joe is really production-minded, a real pusher.”

Asking about problems (Jim): He quickly responds with “confusion” and elaborates that it has to do with scheduling. “Sometimes Dirk has to work on the line and get inaccurate figures, or we don’t get them in time.” Nonetheless, he thinks Dirk is a good man and tries hard. Another problem has to do with stacking. There is not enough room to handle items where beams are curing, particularly in the finishing area. He makes a big point about the difference between architectural and other grades. There are 15 percent of the former in general, but it takes more layout space in the finish end to handle it.

The most inexperienced crew, in Jim’s opinion, is in the breakdown area (unclamping beams for planing). There seems to be a bottleneck around the planer. “The crew tries hard but is somewhat inexperienced. His helpers couldn’t care a damn.” Planing is to a tolerance of plus or minus 1/16-inch. He gives an example of large beams for Los Angeles that were overplaned, and those beams now sit in

the yard until they can be worked into some later order for someone.

Another problem, according to Fuller, has to do with Paul, an electrician who works under Wayne. Has strong sawmill preference. Can never find him. For example, the RF machine is only half rebuilt. “People who do this work for Wayne will probably never get it done.”

Age of workers (Jim): Mostly young—“means that they don’t really care about working, aren’t very responsible. They take off when they feel like it; hence, there is a lot of personnel being shuffled around. Both Walton and Dirk, and even Joe, pitch in sometimes, not that this makes it really more efficient.” “Personnel is shuffled too much.” Fuller gives an example. He was hit by a beam and was off for seven weeks. Jay replaced him. There was stacking in the breakdown area on the main two. Jay tried to move a ceiling air hose; it came back; two top beams fell and “snuffed him out just like that.” Maintenance men have to fill in on lines, too. This cuts into maintenance being done on time. The whole program is behind. It’s sort of down to what Fuller calls “band-aid work.” Also, major replacements are done poorly. Example: glue area where pipes come right down in the middle of the preglue line when they should have been run down the wall. Bruce did this.

Ben’s approach (Jim): “Ben used to visit the laminating plant twice a week a few years ago. I haven’t seen Ben through here for more than a month now. Ben likes to use a big-stick approach.” He gives example of Ben looking at maintenance work in gluing shop and insisting that the millwright come in on Saturday to get it done, “or else.”

Those who report to Ben: Rich, industrial relations; Wayne, construction; Juanita, who is secretary and office manager; and managers of three companies. Richardson Lumber, which has 110 employees, was founded in 1951. Papoose Laminators started in 1968, and Prairie Wood Products started in about 1976, with 45 employees. There is a logging company, too, which is for buying.

Mitch’s Notes

Jack, Mike, and I arrive at B. R. Richardson. We enter through the main building into the office and are seated in a conference room located at the back of the main office, which is located up on a hill overlooking the rest of the plant.

Rich enters; after formal introductions, proceeds to talk about Joe, or I should say, describes Joe.

Describes Joe in the following way. Says that Joe is aware the training program was a possibility. Stated that Joe had had military experience, that he (Joe) believes he knows about management, that there are some possible resentful feelings toward our intrusion upon the plant, that he is aware of us and the fact that we are from State University.

Rich, Mike, and I leave the main office and go down to the plant to be introduced to Joe.

Rich introduces us to Joe by saying that we are with Jack and that we are down looking around at the plant, etc.—seemed awkward. Communication not straightforward. Not a lot of eye-to-eye contact. Rich is leaning up against the wall; he looks uncomfortable and leaves rather abruptly.

Joe immediately questions us as to what we are doing, why we are here, and what we are looking for. My perception is that he is resentful. In talking to Joe, I perceive that he felt the workers were good, that with the proper knowledge of the task they could lead themselves. He also stated they were “multicapacity”—that “they had many functions which they performed,” and that it wasn’t that specialized down on the floor. He mentioned that his functions were bidding, managing, and engineering. He made a comment toward work team functions (“work team crap”), and then he corrected himself. He also remarked that “theories come and theories go.”

At one point, Joe stressed the use of communication as a tool in management. He showed Mike and me a little exercise and seemed to be impressed with it.

In looking on the walls of his office, he had approximately five awards or merits for leadership or worker participation.

His assistant Rolf had a desk right next to his, which was in an office off the side of the secretarial room serving as the entrance to his building.

Joe’s background included working in many plants, primarily in forestry—that is my understanding. He said he preferred working at B. R. Richardson’s mainly because it was a “small and nonpolitical plant.” He likes leadership, and he enjoys working there. He stated, as we were walking through the plant, that he felt a high degree of frustration about the plant because the size was too small at times and the seasonal rush (which is beginning right now as of May) for summer building puts a crunch on things. He stated that production is up 10 percent from last year; that there have been scheduling problems—they received some wood in February, and it wasn’t until May that they could use it and laminate it and get it out the other side, so it’s been stacked taking up space. He stated that if they fall behind, they have no chance to catch up and that they are working at full capacity right now.

Later on that afternoon, I went back and talked to Joe. I asked him what his specific duties were. He replied in the following way: His duties were to take orders, to plan the shipping, to make bids on orders, and to manage the plant. His typical day was to arrive about 7 to 7:15 A.M., to look over the plant, to look at the new orders of the day, and to take care of any emergencies. Lately, he stated that

he was making engineering drawings. When asked if this was common, he said it usually was done by the customers, but he felt it was a service he could render them. He stated, “It’s foolishness because it takes too much time.” However, he continued to work on that project. He stated that he liked the work, that he didn’t mind long hours. When asked about the scheduling, he said that after he makes a bid and fills the order, it goes to Dirk, who schedules the work to be done, which goes to Ron, who is either in preglue or the gluing operation. I’m not sure, but I felt he was talking about the gluing operation. And he stated that Ron’s job was very specific, that he had to coordinate the people to get the wood clamped up, to get the glue on, and to get it organized in a rather specified manner. (I think it is interesting to check Ron’s description that I include later on.)

My personal comment on Joe is that he seemed very friendly with the workers, that it was a buddy-buddy relationship. At one time, we were in the lunchroom with Joe, and he was talking openly about the problems of the shop; it was kind of like “we all suffer through this too, don’t we?” He seemed to enjoy his work, he likes to work hard, he was proud of the fact that production was up, he was supportive of the men down there, and he was also apprehensive of Mike’s and my presence. I think it is interesting to note the roles that Mike and I took. Mike took the role of a person interested in design, more or less, and I took the role, as I stated to Joe, that I was interested in seeing what it was like to be a manager in this situation and to learn any knowledge he might have to offer. Many times during our encounter, he asked me what my background was and also about what I wanted to do when I got through school. He seemed very interested in my studies and my goals.

Joe’s secretary, while I did not talk to her, seemed to play an important role in the organization. At one point, I was talking to Joe when the secretary answered the phone and interrupted our conversation to tell Joe about a possible bid. Joe then made the bid based on the board footage, and the secretary questioned him on this bid, at which point Joe thought a minute and said, “Yeah, I want to keep the bid the way it is.” The secretary then asked him, “Are you sure?” and Joe said, “Yes,” at which point the secretary completed the preliminary parts of the bid over the phone.

At one point when we were walking through the plant with Joe, I made mental notes on safety aspects of the plant—this was something in question. Some of the things I noted are as follows.

There seemed to be many metal spacers or clamps by the glue section. This section wasn’t in use, so I don’t know if this was normal or not. It was very crowded and difficult to walk around. As we walked through the plant, I saw at least two different types of band saws with no guarding whatsoever—a very dangerous situation in my opinion.

There were no safety signs around the plant—at least not outside the lunchroom. One worker did not have a safety helmet on. I also noticed that the safety helmets that they gave us were of very low quality. I base this on past experience in wearing them; they were the cheapest I have seen. I did see a safety insignia on one gentleman's lunch box. (I wonder how they meet OSHA standards.) Also because of the crowdedness of the facility, it was very difficult to move around, and with things going on, I could see how it would be difficult not to get hurt. The workers at one point asked Joe about another worker (I think his name was Bob). It seems that Bob was going down the highway and was reaching for a speaker wire and hit the center rail on Highway I-5 and totaled his truck. He seemed to be okay with a mild concussion. The workers were very concerned. A group of about three of them asked Joe how Bob was doing.

I had a chance to talk to Ron, the team leader in gluing. His comment about his job was that there were long hours, that these were typically 10 or more per day, and that he received overtime for the long hours provided that in total they were over 40 hours per week. Each hour over the 40 minimum would be paid at 1.5 times the normal rate. For Ron, the normal rate was about \$8 an hour, \$12 an hour overtime. His comments about his job and his attitude toward the plant were “sweatshop,” “Richardson won't spend money,” and “everyone's worked at BR's at one time or another before.” “They have plans for expansion of the plant, but they don't want to spend the money on it.” At one point, he said he didn't really know what he was doing in terms of how to be a supervisor, how to be a leader. When I questioned him some more, he really didn't know what the supervisor did, in this case Rolf. He had just finished his first year, as far as experience on the job.

Ron had a major complaint about his job in that the glue person also had to prepare the glue and was responsible for getting all the boards and clamps in the right direction. He seemed to think maybe an extra glue prepare person would help. It seems to be a major job for him. There seemed to be quite a bit of dissatisfaction about Rolf in his mind. He stated that when overtime or a certain amount of board footage was needed to meet a quota, this created work unrest, which led to accidents. He said that Rolf was always the one who initiated or told the workers that they had to work overtime. When asked about the death that had occurred, he stated that everybody was pretty upset about it, that it was bound to happen. I asked him what happened that day. He said that a guy got hurt, and yet management still wanted them to work even after the guy died. This seemed to upset Ron.

Ron mentioned that they (the workers) had a softball team; that he felt frustrated about it because he couldn't always play because the games were at six or seven o'clock

and many times they were working until late in the evening trying to make a quota. He also stated that accidents were very high around here, that it was not uncommon to get a finger smashed or something, and that management didn't seem to care too much. He stated that he liked Joe, the manager, that he was okay but that he was maybe more production-oriented than necessary. He stated that the work is very hard and the need for better methods is evident. He stated that most men had bad backs, hernias, and broken fingers or toes, and he seemed to be kind of embarrassed. He did state that they had medical insurance.

Ron stated that one of the biggest causes of unrest, he felt, was due to overtime, and his own personal frustration was that in a year he had obtained probably the highest vertical level on the management structure, that of supervisor. He stated that the next job would probably be to take Joe's job. He said that wouldn't happen, so there seems to be a lack of job mobility in his eyes. He stated that workers do almost anything, any task at any time; that what needs to be done, needs to be done, and they do it. He also stated that in the summertime, when it is warmer, the metal building that they work in gets really hot, and it's not uncommon for men to lose five or more pounds in one shift, which would be in an eight-hour period. When asked if it was possible to ventilate the building a little bit more, he said it would be hard, that even if they could, management wouldn't spend the money to do it.

Ron said he didn't have enough time for his home life. He also stated that Rolf and Joe, who were the supervisor and manager, would come out and help when they had the time. He said they would actually end up losing a half-hour of production time that way and would be better off if they would just stay in their offices. Ron seemed to express a great amount of displeasure with Rolf, and he said most of the workers agreed that Rolf was a “thorn.” When Rolf would give orders, men would get upset and throw things around, and this would cause accidents. When asked about new members, he said they don't last more than a couple of days, and very rarely do they last over a year. Ron stated that one of the jobs they gave new workers was to bang beams in the gluing job with a weight that was on a pole that is picked up and bounced up and down off the wood. It weighed anywhere from 45 to 100 pounds; very grueling work. He laughed a little bit and said that they usually hurt their back the first day, and it takes them a couple of weeks to learn how to do it, to learn the right technique, but he said “there is no other way to learn the job, other than just jumping up there and doing it.”

My own personal opinion of Ron was that while somewhat upset at the conditions down there, he was dedicated, he did enjoy his role as a leader, and he was looked up to by the fellow workers. He mentioned at one time that the

record of total board footage was broken by his crew, and he seemed very proud of that fact. He did not seem to think that any of our suggestions would make any waves around there, that “I would not be listened to.” He was enjoyable to talk to, and he was more than willing to help me obtain the information I needed.

Marty, who like Ron has been there for over a year, was “key person” of the glue team. However, Ron acted as the leader. They seemed to be good friends and went home together that afternoon. Marty had been there the longest. He had stated that the work is hard, that there are long hours, and that he had been right next to the man who was killed. He stated that he was no more than three to six feet from his friend (I guess he was his friend) when it happened. He was the one to fill out the accident report for the police and insurance people. He stated that they wanted to stop work and that the plant, and he didn’t say specifically who, didn’t want to shut down but wanted to complete the work that was started. It seemed that most of the workers there did not want to work that day. That was the extent of my talking to Marty.

When the workers were leaving, it seems they had set up a bet for a keg of beer if the planer Griffith could plane all the beams that were set out in front of him, which from the comments of the men, was quite a chore. But Griffith seemed pretty confident that he could get the work out. He did say that he was looking to go to pharmacy school as soon as he got his hernia fixed, and when asked about the hernia, he said he got it some time ago. He said he got it working while picking up some stuff in the plant. Again, this seemed to be common.

I had a chance to talk to a couple of the preglue persons; there is a total of three. I believe Jack had talked to the leader, and I talked to the two workers. They pretty much agreed that a union would be nice; however, BR, the owner, would not allow one to come in. He said, “Work long hours, or you get fired.” There seemed to be a lot of stress as far as meeting their quota, and they could not go home until they met the quota for the day. They stated that the job was okay, but that they didn’t have much time for their families. One said, “I go home, I sleep, I get up, I go to work, and I go back home and go to sleep again.” When asked about their salary, he stated that they’re paying, in his opinion, 60 cents per hour lower than the unions around here, and he said further, “The unions will get a 65-cent-per-hour raise, and we’ll get a 45-cent-per-hour raise.”

I also had a chance to talk to some of the guys in the finish area. This seemed to be a typical eight-hour shift that consisted primarily of watching the beams run through the planer. They go back and clean it up so that it can be packaged and shipped out. One man’s biggest complaint was that he was upset about the lunch-break change, which he stated

was initiated by Rolf. It consisted of taking their one-hour lunch break and cutting it down to a half-hour. He stated that Rolf felt production would be increased by cutting down the lunch break. He seemed upset about this. I don’t know his name. He lived five blocks away from the plant and didn’t have time to go home to eat and then come back (on a half-hour break). He seemed to have a high degree of resentment toward Rolf, and he had no knowledge of what Rolf does.

I had an opportunity to meet with John, the quality-control man. He seemed like a very nice man. No real quotes. He was just there for a few minutes. He had had an eye operated on: I guess a new lens was put in. He seemed to talk with Joe very well. When I asked Joe about John, Joe stated John was officially to report to him; however, John reported to Rich, and that worked out for the best because quality control should really be removed from production somewhat. Joe seemed to see no conflict in that.

Mike’s Notes

Mitch and I had a morning interview with Joe. Some of the quotes on management style were: “I don’t know about this work team crap, oops, stuff,” “Theories come and theories go,” “I believe in giving my workers explicit instructions; perceptions differ, and you have to be sure they understand,” and “I didn’t like the politics of larger plants I’ve worked in.” Also, Joe mentioned frustration over the lack of plant space. To a worker he mentioned, “You are frustrated, aren’t you, Bill?”

During our tour, Joe set a brisk pace. He seemed to have quite a competent manner.

When Rich approached Joe about taking Mitch and me under his wing for a tour, I think Rich was intimidated by Joe. Rich had his back against the wall sideways to Joe, and he shifted his eyes from Joe to Mitch and me during the conversation.

Joe was more than a bit curious in regard to our plant visit objective. I said it was for a class project. Joe replied, “Oh, then it’s theory.” I explained we covered all the theories equally. Another quote from Joe: “A day’s production lost is a day lost,” delivered with a hint of frustration and impatience.

Joe’s office contained numerous good-worker awards. One prominent sign contained a message roughly to the effect that “I am right in the end.” My impression of the plant—there were no safety glasses on the workers. One worker had no helmet; there were no band-saw safety devices. Seemed pretty lackadaisical. During our initial interview with Joe, Darrell, a truck driver, was in the office. He talked good-naturedly with Joe, and he seemed to like Joe in general. Later on in the day I had an interview alone with Dirk. Dirk is the scheduler. Dirk has a master’s in forestry from the University of Washington. Dirk mentioned

that he spends half his time filling in various positions. He says one of the major problems is the transition between shifts. This is in regard to mistakes. One of Dirk's quotes: "There is no communication between shifts. Mainly people don't want to take the blame for mistakes." During the course of the interview, Dirk's manner was fidgety; he moved around a bit, but he seemed fairly open. A quote from Dirk: "The men change jobs so much that it is hard to train them. Everyone has to know what is needed in beams." This implies that workers weren't really trained well enough to know what was needed in beams. "Production people go home after the quota." That was his perception of the amount of overtime worked. "Repairs after gluing are costly and difficult. Double checking is needed before they are glued together. Average beam is 6,000 board feet, or approximately \$840. I currently have 75 bastard beams I have to find a home for." Then Dirk went on to an example of mistakes made. A tapecloth shrunk two inches. They used this tape for quite some time before they finally found the mistake. He also mentioned there were frequent mixups between the 1 3/16-inch and 1 1/4-inch strips for laminated beams. Dirk's quote on the workers: "A few are incompetent; they just get soft warnings. Management should be harder on them."

Item on bidding or posting for jobs: seniority or ability (whoever they think will do best) decides who gets the job. On the workers: Morale is low. Safety and overtime are the main causes. On Rich, industrial relations: "The only contact I've had with him is when he came down and asked about people." I asked, "Who, what people?" and Dirk said, "I'd rather not say." On safety, he mentioned there are no physicals required. Later on in the interview, I asked why he didn't try to change things, seeing as he has a master's and seems to have his head together. Dirk mentioned, "Go up the line. Joe would listen." I said, "Listen?" and Dirk said, "Yeah, Joe would listen." At this point, Bruce, a bubbling and brassy guy who is a millwright in charge of special-projects maintenance, came in. The interview with Dirk was about 30 minutes under way; the next 20 minutes I spent with Dirk, he mentioned Ben Richardson, the president. I asked, "Do men like to see BR?" Dirk responded, "No, BR is bad news in the laminating plant." He also mentioned that in the year he has been there, BR had been down to the laminating plant only five times.

Item from Bruce: "I've had 30 projects in the year I've been here; I only finished one. Joe keeps jerking me around. As I get something operating but not all the kinks out, I'm on to something else." Bruce also mentioned that he is on emergency call every other week. He splits it with the other maintenance person.

The beam stacks before and after planing were mentioned as being in terrible disarray. Bruce mentioned that

the Roseburg plants had a computer and a big yard with designated areas to organize their stacks. He said that this company should take a bulldozer and knock out the field to expand the outside stack area.

Item from Bruce: "Antiquated machinery. Maintenance is costly and time-consuming." Bruce commented on BR: "Joe thinks labor is cheap; we don't have that many benefits. An example of BR's attitude: one of his right-hand men got in a flap over the 3:30 A.M. shift parking down here instead of in the muddy, rutted parking lot an eighth of a mile up the road. Christ, they had a caterpillar running up there, and they didn't even smooth it out. Anyway, this guy tells Rolf, the super, if these guys are too lazy to walk down from the workers' parking lot, they can go work somewhere else." This was mentioned right in front of some of the men. Bruce went on to say, "It really makes us feel wanted." I then asked who was this guy, BR's right-hand man, and Bruce said, "I don't want to say. . . . What the hell, I'm quitting this heap in a while anyway. It was Wayne Teeterman, BR's special-projects director." During most of Bruce's spiel, Dirk appeared to be quite happy with what Bruce was saying; I'm sure he was glad he didn't have to say it himself.

It was mentioned that the sawmill didn't have a lunchroom, so the laminated plant felt favored. Also, Rolf mentioned that the bathroom was one of the best in BR's operations.

Bruce on Rolf: "He, Rolf, is a nice guy. Nobody respects him, though."

Dirk and Bruce mentioned that there are only six or seven men who have made it 10 years in all of BR's five companies.

Dirk on Joe: "Joe does too much. He keeps it all in his head. He is efficient. It would take two people to replace him. He's overworked, he doesn't like the hours, and he's just trying to keep his job." Bruce concurred on the above points.

Bruce: "Stacks of beams are too high. Two of them fell last week. Damned near got me and another guy." I noted that the accidental death last year and its details were repeated to me three times during the day.

Bruce mentioned that he recently organized a softball team. "The first thing this plant has ever had. It's hard practicing and playing games with all the overtime. We went to BR to ask him for \$700 to start it up. He gave us \$250. There's 14 teams in our league, and the minimum anyone else has gotten is \$700."

Dirk mentioned that the workers peak out at \$8 an hour after one year. He seemed to think that money was a big motivating factor.

In response to my query why there was no union, Bruce and Dirk mentioned that hearsay has it that when union representatives came, BR said, "Fine, if you want a union, I'll just close the place down."

Dirk: "Communication is the main problem. Joe schedules some changes, and I never hear about them."

Bruce, on the foremen meetings with BR: "Hell, the foremen will have their say, and in the end BR will stand up and say, 'This is the way it's going to be because I pay the checks.'"

About five minutes before the session ended, Joe came in and with a friendly greeting said, "There you are," to Bruce and indirectly to Dirk. Dirk got up as if getting ready to go back to work. Bruce stalled. Bruce then said that he didn't know how BR made any money on the operation. Dirk giggled lightly and nodded his head.

In the afternoon, I spent an hour and a half to two hours with Rolf, the superintendent. About an hour of this talking was Rolf trying to prove his competence by divulging intricate, technical, and totally useless details of the plant. I got some tasty stuff anyway, and here it is:

Me: "What does Joe do?"

Rolf: "So doggone many things, I don't know." Then he went on to mention he is a general manager in charge of scheduling and raw materials procurement and to rattle off two or three more. I said, "What's your working relationship with Joe?" Rolf said, "I implement his schedules. Dirk, the head of the finishing and planing department, and I get Joe's schedules. Joe will skip me whenever he wants to make changes—goes right to planing and finishing. Then I have to go see what's going on." I asked him if he thought it would be more efficient if Joe went through him. Rolf said, "No, we get along well. Joe saves time by going directly to the workers. We spend a lot of time after the shift going over and discussing what happened and planning for the next day and weeks ahead."

Rolf mentioned that there are often schedule changes when customers' trucks pick up their orders. I wondered if maybe they could get tougher with the customers, and Rolf said, "No, we'd lose them."

Rolf mentioned that the company deals with brokers, not contractors. He said that customers sometimes cancel their orders.

On Bruce's idea of bulldozing a pasture to expand finish-beam storage, Rolf said that in the winter it was tough enough to keep the field clear with the current area.

Rolf on equipment: "BR gives us the junkiest stuff to work with." He went on to mention one particular piece of machinery that has four wheels and five feet of clearance (I don't know what it is called): "It has no brakes and no shut-off; you have to idle it to kill it."

On Joe: "Joe's good; he and I go to bat for the guys."

Me: "You must have a pretty little bat; I hear BR is a tough guy to get through to."

Rolf: "Yeah, he picks his battles."

On Dirk: "Effective, will improve with time; he doesn't always see the opportunities for utilizing stock beams. He has his master's degree in glue technology."

On John: "Quality control marginal." That's all he said.

On Nita, BR's secretary: "She doesn't always use her power right."

On Sue, Joe's secretary: "She does the work of two people. Has lots of customer respect; they often comment on her."

On Joe: "He's too intelligent for the job. I don't know why he does not get something better. I guess he likes to work."

On Rich: "Rich does his job well."

On the workforce: "There are three types of guys.

One is eight to five and a paycheck—never volunteers or does anything extra—50 percent of the workforce. Second are the ones who use workers' compensation to get time off all the time; this is 20 percent. Workers' compensation is the biggest deterrent to an effective workforce," he went on to comment. "And third, the ones who try, 30 percent."

Rolf mentioned that 15 to 20 percent of the work hours were spent trying to unsort the beam piles, pre- and postplaner.

Rolf mentioned that architectural beams, 7 to 12 percent of the output, took three times as long to process as the plain beams.

On Joe again: "Joe does a good job of scheduling and customer relations."

On BR: "BR is secretive; he should keep the guys informed."

Rolf often has to juggle men around on their tasks and catches a lot of flack for this. I asked his criteria for deciding which men would go on which jobs. They were (1) how well the man will do the job and (2) how easy it is to replace him at his original task.

Rolf said overtime is a big problem. It's necessary to go through the jobs in order. Men never know how long they'll have to work. Lock-ups have to be finished. He mentioned that a good lock-up will take an hour, a bad one, one and a half to two hours. (A lock-up is essentially gluing and clamping the beam into a form.)

Rolf said he used to spend three hours a day on the glue crew. He doesn't do this anymore; he has a good crew. Eighty percent of the glue crew are good workers, in Rolf's opinion. He mentioned that two of the bad ones quit because they didn't want overtime. Also, Rolf noted that it was possible to avoid overtime by scheduling good or easy lock-ups. This was done when the glue crew had been putting in too much overtime.

Rolf stated that the overall problem with the operation was that everyone knows that "BR doesn't give a shit about

them.” I asked him if there was anything he liked about working for the company, and he said, “I like working for Joe.” We ended the interview with Rolf saying, “Overall, it’s not a bad place to work; the checks don’t bounce.”

Preparing the Diagnosis

Lawler leaned back in his chair and stretched. It had all come back. Now he needed a plan for working. It seemed that the first step was to determine what ideas, models, or theories would be useful in ordering and understanding the information he had. Then he would have to do a diagnosis and, finally, think about what to say to Richardson and Bowman. After buzzing his secretary to say that he didn’t

want to be interrupted, Lawler rolled up his sleeves and began to work.

Questions

1. How would you assess Jack Lawler’s entry and contracting process at B. R. Richardson? Would you have done anything differently?
2. What theories or models would you use to make sense out of the diagnostic data? How would you organize the information for feedback to Ben Richardson and Richard Bowman? How would you carry out the feedback process?
3. What additional information would you have liked Jack Lawler and his team to collect? Discuss.



Integrative Cases

Building the Cuyahoga River Valley Organization*

Sally Parker was heady with excitement. As the president and founder of the OD consulting firm, Currere, many of the ideas she had worked for over the past three years, in fact, many of the ideals she was passionate about, were coming to fruition. The Cuyahoga River Valley Organization (CRVO), an organization to be charged with carrying out the Cuyahoga Valley Initiative (CVI) through projects to restore the health and vitality of the region, was still not off the ground. There was lots of thinking to do and actions to take, but momentum was building for the transorganizational system that held the promise of not only rejuvenating the economic basis of the Cuyahoga River Valley but perhaps even restoring what was once a beautiful example of nature. As Sally pondered her next moves, she reflected on the history of the project, her involvement, and how the CRVO might be organized.

It had all started in November of 2000 with a series of articles in the *Cleveland Plain Dealer* entitled “The Forgotten Valley.” Authored by Steven Litt, art and architecture critic for the local newspaper, the articles traced the history of the Cuyahoga River Valley and highlighted its “natural beauty and full-throated industry.” As Litt concluded the series, he issued a challenge to the community to recognize and embrace the Valley as a place for “enjoyment, exploration, reinvestment, and renewal.” In December, Cuyahoga County commissioner Timothy McCormick took up the challenge and the CVI was born.

*This case was developed and written by Sally Parker, with the assistance of Chris Worley. The case draws on several written documents and materials, including the Cuyahoga Valley Initiative website, the information on the Cuyahoga Valley in the Wikipedia site, the Cuyahoga Valley National Park site, and numerous documents prepared by the Cuyahoga County Planning Commission. The case was prepared for the purposes of class discussion and is not intended to illustrate either effective or ineffective handling of an administrative situation.

The Cuyahoga Valley

To understand the CVI, one must first understand the place—northeast Ohio and the Cuyahoga River Valley. As the transition point between the Allegheny Plateau and the Great Plains, the Cuyahoga Valley was the western frontier for the emerging American nation. The area of the valley is extensive, following the river as it flows south through Akron and Cleveland into Lake Erie, the 12th largest body of fresh water on the planet. The valley is home to the historic Ohio & Erie Canal and towpath system, once a prime contributor to Northeast Ohio’s preeminence as an economic leader and now an integral part of the region’s recreation system.

Deriving its name from the Iroquois word meaning “crooked,” the Cuyahoga (or “Crooked”) River Valley is the setting for one of the most significant examples of industrialization, urbanization, degradation, and preservation in America. Located midway between extensive deposits of natural resources and with access to land and water transportation networks, the Cuyahoga River Valley positioned northeast Ohio as an early center of industry. Cleveland and Akron gained reputations as trade centers thanks to a superhighway of canals and railroads that transported everything from cotton and coal, to coffee and window glass. Made possible by the technological advances of the Industrial Revolution, Cleveland, already a port on Lake Erie, became a center for steel mills because of its proximity both to the high-quality iron ore from the upper Great Lakes region and to Ohio’s bituminous coal. Shortly afterwards, John D. Rockefeller brought the oil industry to Cleveland in the form of refineries. Akron became home to the Quaker Oats Company and emerged as the “Rubber Capital of the World” when Benjamin F. Goodrich opened his factory to manufacture carriage and bicycle tires. Miller, Seiberling, Goodyear, and Firestone companies soon followed suit and thrived as the popularity of the automobile grew.

Industrial progress, however, also was associated with increases in industrial waste, and the lower Cuyahoga River became a “flowing dump.” In fact, the Cuyahoga River has caught fire at least three times since 1936. The third and

final fire in 1969 gained worldwide attention and initiated the passage of the Clean Water Act in 1972.

The Clean Water Act greatly reduced the waste that went into the river, and the Cuyahoga River slowly began to heal itself. By 1998, the Environmental Protection Agency designated the Cuyahoga one of 14 American Heritage Rivers. However, and despite great strides forward, the Cuyahoga River is far from healthy. Environmental issues continue to plague the health of the river valley driven by urban sprawl, poor land use, and unsustainable development practices. Storm water runoff, flooding, and erosion continue to degrade the Valley. In fact, in addition to its designation as an American Heritage River, the Environmental Protection Agency has also classified portions of the Cuyahoga River Watershed as one of 43 Great Lakes Areas of Concerns. Thus, remediation of the Cuyahoga River continues.

Similar to the environmental plight of the river, northeast Ohio struggles economically as jobs, population, and personal income decline at a rate above that of the rest of the country (Figure 1). Middle-class households have fled older urban areas for outlying suburbs, and once thriving, working-class neighborhoods have fallen into decline. Individual communities often find themselves in a “shell game,”

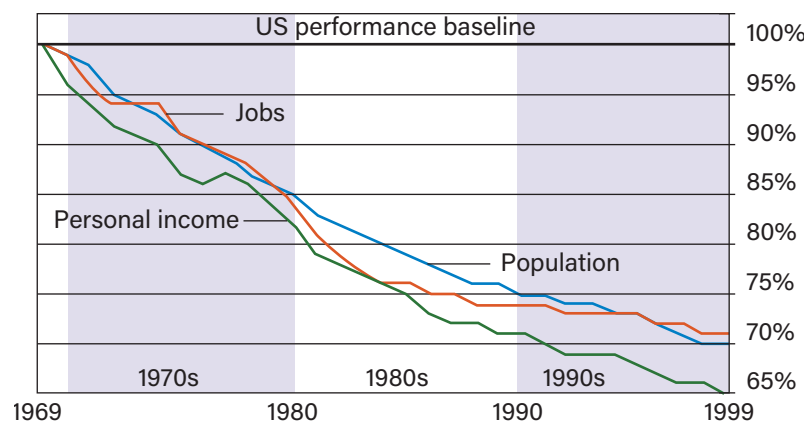
competing with neighboring communities and municipalities for the businesses, development, and residents that they hope will jumpstart their economies. Meanwhile, there are a growing number of initiatives and organizations advocating regional approaches to address shared economic challenges, leverage regional assets, and market northeast Ohio as a great place for new businesses, leisure travelers, conventions, and meetings.

The Cuyahoga River Valley is home to many of these physical, economic, and regional assets. Over its course, the river offers numerous experiences connecting nature, recreation, entertainment, history, neighborhoods, and industry. In one week, without a car, an adventuresome explorer could sail on Lake Erie, hike or bike on the towpath trail for hours through great scenery, visit a zoo, ride a scenic train, tour a steel mill, shop at a farmer’s market, experience the Rock “n” Roll Hall of Fame, hike in a National Park, and sleep in luxury accommodations.

The Cuyahoga River Valley is an invaluable regional asset, which happens to encapsulate a microcosm of the world’s environmental, economic, and social challenges. If approached with thoughtful action, these challenges could catalyze creative, innovative solutions for the region. The CVI provided a framework for leveraging this asset.

Figure 1

Greater Cleveland's Economic Growth (Compared to the US Baseline)



Source: Bureau of Economic Analysis, U.S. Department of Commerce.

The Cuyahoga Valley Initiative

The CVI began in 2001 as a Cuyahoga County–funded project under the direction of the Cuyahoga County Planning Commission and at the request of the county commissioners. Since 2001, the slate of elected commissioners has changed, yet the county has continued to budget funding for the CVI so that work on the Valley can continue.

The initial objective of the project was to create codes, guidelines, and other tools that municipalities in Cuyahoga County would use to direct redevelopment. Driven by the vision of the County Planning Commission Director Paul Alsenas, the project soon became known as the Cuyahoga Valley Initiative, a regional initiative for sustainable transformation and regeneration. Under Paul's leadership and the commitment and vision of a small team of county planners, the CVI expanded to a multicounty effort to create a culture of sustainability, using the Valley as a laboratory. During this time, local and national consultants, including Sally firm, Currere, joined Paul's team to engage hundreds of individuals and organizations that were part of the Valley.

Through Paul and the CVI team's efforts, the CVI developed a framework to guide action grounded upon the social, ecological, and financial principles of sustainability. Four principles and six organizing ideas formed the basic structure. The four principles were Build Connections, Renew the Economy, Create a Sustainable Urban Ecology, and Appreciate Our Shared Heritage. The six organizing ideas, or goals, helped to sort out the complexity of the place and provide a unique perspective on the Valley. These included:

Working River: Through innovative watershed management, the Cuyahoga River will be maintained as a state-of-the-art working river that serves industry and recreation, while being supported by healthy natural systems.

Healthy Valley: Through ecological restoration, the Cuyahoga River Valley community will transform the urban watershed to become an environmental treasure for the region, flourishing with life-sustaining, healthy natural systems.

Destination: The Cuyahoga River Valley will become a popular recreation and tourist destination. Residents and visitors alike will enjoy the Valley's cultural, historical, and ecological amenities.

Art and Design: The Valley will be a place of experimentation and creativity where new design paradigms that join artistic expression with purpose are tested.

Business Innovation: The Cuyahoga River Valley will become known for industry and thought models in

economic development through environmentally friendly development and business practices.

Community Capacity: Every community will combine its diverse assets and talents with global best practices in a way that increases individual and community wealth, encourages the development of existing and new businesses, and brings about environmental health.

As work on the Initiative advanced, it quickly became evident to Paul and the team that the Valley's transformation, as envisioned by the Cuyahoga Valley Initiative, would require more capacity than the County Planning Commission could commit. Collaboration and cooperation amongst many different individuals and organizations with many different agendas over a long time period was required to accomplish the CVI mission. County and municipal governments; a wide variety of governmental agencies and authorities; environmental, social service, and economic development non-profits; for-profit businesses (large and small, local and global); and Valley residents were among the stake-holders to be involved in meaningful action. The team realized that the CVI needed to move beyond the walls of County Planning, and in 2005, they engaged Sally's company to explore the type of organization required to take on the work of the initiative.

The Design Process

Sally's exploration began by engaging the community in a variety of one-on-one dialogues. Her team talked with more than 80 representatives from local and regional organizations, including Valley municipalities, community and economic development organizations, county government, regional authorities, local universities, Valley-related non-profit organizations, real estate developers, and Valley businesses and landowners. Through these conversations, the team learned that:

- The Cuyahoga Valley is seen as an asset for the northeast Ohio region. Although many did not experience the Valley as a cohesive place, they felt that the area could sustain a rich range of experiences for businesses, leisure travelers, conventions, and meetings that could brand the region.
- In a region that tends to be fragmented and divided, the Cuyahoga Valley was universally perceived as a place of "connection and joining." In fact, many saw the Valley as a natural and nonthreatening "venue for regionalism"—as a way to leverage the region's sustainability efforts and other agendas, such as improving racial inclusion and income equity, attracting and growing

businesses, reducing government fragmentation and inefficiency, and reducing sprawl and improving regional connectivity.

- The Cuyahoga Valley Initiative was not widely understood and in fact was a source of confusion and suspicion for some members of the community. Those with knowledge of the CVI were generally optimistic and intrigued with its approach and were eager to see results.
- If the Cuyahoga Valley Initiative was to have any chance of realizing its vision, it had to expand beyond the borders of Cuyahoga County and include Summit County to the south (Figure 2). This meant taking on a significantly larger area, including 25 local governments, three special government districts, numerous State of Ohio departments, over 40 nonprofit organizations, and thousands of private businesses and residents whose work and property management practices influence the Cuyahoga Valley—each entity having its own priorities and ways of operating.
- Any organization charged with the mission of the CVI would need to provide overall coordination and a cohesive context—or vision—for the many organizations working in the Valley. It would need to facilitate new kinds of collaborations whose work would benefit both the Valley and the members of the collaboration.

Participants in these conversations also shared a sense of reluctance about forming any kind of new organization. They warned Sally's team to "think long and hard" before recommending the creation of a new organization in a region that is saturated with nonprofits and governmental entities already competing for an insufficient and shrinking pool of resources—and where funders are looking at consolidations and collaborations to reduce redundancies.

As Sally's team considered all of this, they drew three primary conclusions:

- The Cuyahoga Valley is an asset worth leveraging and the CVI appears to be an adequate, if not inspiring, framework for its regeneration.
- To accomplish its objectives, the Cuyahoga Valley Initiative needs organizational capacity beyond that currently present in the community. It needs an organization able to work with a wide variety of organizations and agendas and able to provide context and a course and model for collaborative action.
- The formation of any new organization will be scrutinized by the community regardless of how "needed" it might be. From the get-go, its existence will have to be "justified" in the eyes of the community as an organization that is essential, non redundant, and legitimate.

Developing the Design

Armed with these conclusions, Currere worked with the County Planning Commission to secure supplemental funding through a grant from The Gund Foundation. With this funding, they decided that the next step was to think about the required design to deliver this additional capacity. Their design process was grounded on four key principles:

1. **Place Based:** The people of the community should design the organization to serve the needs of the place as a physical ecology, human community, and economy.
2. **Experiential, Participatory, Collaborative:** The organization design experience should expand thinking and perception and demonstrate how neutral space is created to support cross-organizational and cross-sectoral work.
3. **Task and Capacity Focused:** The process should accomplish specific results, while expanding individual and group capacity to accomplish additional results.
4. **Transparent:** Participants need to represent the mission and capabilities of their organizations, remaining transparent about their organization's interests or agendas.

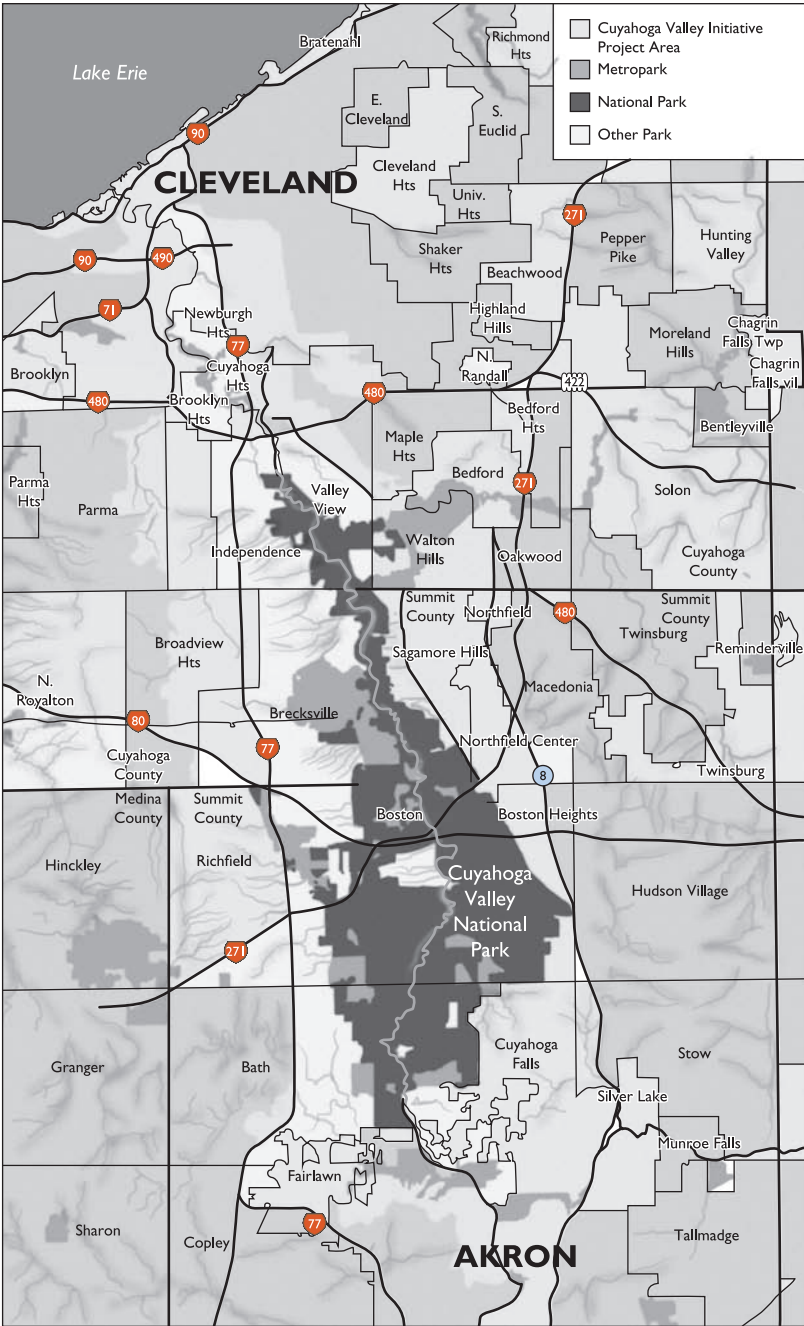
Following the above principles, Currere and the CVI team formed an ad hoc group of "usual and unusual suspects"—14 individuals representing different organizations and initiatives throughout Cuyahoga and Summit County. Pulling this ad hoc group together was a critical part of the process. The team created a matrix of the characteristics, expertise, experience, and perspectives they felt were important within this ad hoc group and brainstormed a list of prospects. They sought broad and systemic thinkers, civic champions, innovators, and leaders. They looked for individuals not afraid to speak the truth yet willing to listen to others. They wanted vision and passion about northeast Ohio and the Cuyahoga River Valley; they needed commitments of time and energy.

Paul and Sally began to meet with each of the prospects. Armed with information about the value and importance of the CVI, they prepared for a challenging "sell," expecting to be delegated to less powerful people in the chain of command. They were wrong. In fact, they were met with a great deal of interest. Whether they were meeting with the general manager of one of the world's largest steel companies, busy and successful entrepreneurs, the leader of the County library system, a mayor, a city councilman, or the head of strategy for a national developer, the most common response they got was, "How can I not do this? How can I not take this on?"

So, having met with an overwhelmingly positive response from this group of prospects, the task was to

Figure 2

The Cuyahoga River Valley



narrow the group down to 14. Together, this final ad hoc group, Currere, and the Planning Commission comprised the design team.

Under Currere's leadership, the design team immersed themselves into the Valley as place—a physical ecology, human community, and economy. Over a period of five months, the design team met about every three weeks for half-day sessions that were held in different locations throughout the Valley. In addition, three full-day sessions were conducted to provide the design team an opportunity to “try on” organization design criteria and principles with real Valley projects and the people and organizations working on them. For example, several Valley-related projects, such as the East Bank Flats Redevelopment and the City of Cleveland's industrial brownfield land-bank initiatives, were already underway, and the day-long sessions allowed the design team to think about how projects, sponsors, governments, and organizations might fit together into an organization model.

These meetings resulted in the design team grasping the complexity of a place that was the size and scale of the Valley and that hosted such a diversity of ecological, economic, and social issues. They realized how many organizations—large and small from different sectors—were already working to advance their agendas and affect the Valley. They also wrestled with questions about the essential “DNA” of an organization whose function was the transformation of such a place. They talked about the Valley as a whole system and wondered where attention and energy should be focused to catalyze and accelerate transformation and regeneration—to achieve results and create value. The design team had an epiphany as they struggled to define the physical boundaries of the Valley and to prioritize the places where work should be focused. *The primary point of leverage for effecting change in the Valley was not a project or a physical place—the primary point of leverage for transformation was people and the human network they formed.*

With this insight, the group's focus shifted to looking at the Valley as a networked system of people and organizations.

The Essential Components of the Network With Sally's help, the design team pieced together the essential elements of the system that required coordination. Rather than a singular organizational form, the Valley's transformation called for four different networks of organizational capacity working together in *partnership* to effect change (Figure 3). Central to the partnership was the Cuyahoga River Valley Organization (CRVO), acting as an orchestrator for the other three: the triad, network partners, and projects.

- **The Triad** refers to a group of individuals representing three key stakeholders—government, business, and foundations within the two counties—that can collectively legitimize and support the system of activity. This means legitimizing the Valley and the CVI as a top regional priority and the CRVO as the organization charged with the CVI mission. For the CRVO to be able to work through a network of other organizations, it must be seen by those organizations and the community as the legitimate entity to carry out this work. This legitimacy can be afforded through an articulated agreement between the governments, foundations, and business communities to:

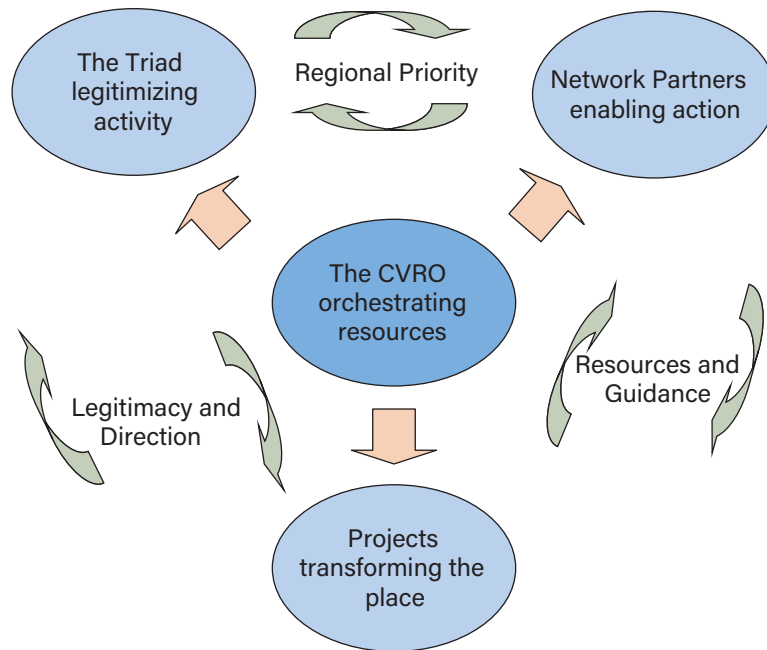
- Legitimize and fund the transformation of the Valley as a top regional priority
- Authorize and fund the CRVO as leader and orchestrator of the Valley's transformation
- Ensure the CRVO's autonomy to operate as a neutral body that can develop the multiple agendas essential for regional transformation

It is through the Triad that the CRVO can be positioned in the community with the authority, autonomy, and resources necessary to accomplish its mission.

- **Network Partners** are organizations and individuals committed to doing and enabling the work of transformation in the Valley. There are a number of these organizations and individuals, some of them networks in their own right, who are currently working on a wide variety of interests in the Valley and the number seems to grow daily.

The challenge is that these networks tend to be fragmented and focused on projects that advance specific objectives. The Valley transformation will require the emergence of a more robust and integrated “action” network of people and organizations working on the kinds of projects that will achieve positive impact at scale in the Valley. A network partner, like one of the park districts, would be motivated to be a part of this network because they would see it as a way to facilitate the accomplishment of their own objectives and also the larger regional objectives. The network would represent a means to accomplish more with less—provided each player is able to satisfy their own organizational interests.

- **Valley Projects** are where the rubber meets the road—where the Valley transformation will take shape. Many Valley projects and initiatives are already underway, engaging numerous organizations. For the CRVO, the priority would be initiating and supporting projects that address the most pressing needs of the Valley, can have an impact at scale, and will help build the Valley network.

Figure 3**The Cuyahoga River Valley Partnership**

- **The CVRO**, as the fourth element, is the orchestrator of the larger network and serves as a champion of the Valley's transformation and regeneration as a whole place. Working with a clear and compelling identity and vision, it would provide thought and action leadership, inspiration, context, direction, and coordination. As a hub or orchestrator, it would assemble resources and projects with legitimacy to maintain a robust network of individuals and organizations willing and able to advance the Valley's overall health and effect change at scale. Since there was no single entity whose scope and focus was the transformation of the Valley as a whole, the CVRO is the only organizational form in the partnership that may in fact require the incorporation of a new entity.

A Process to Operate the System

In addition to the different forms of organizational capacity, the design team realized that the Valley's transformation would require a new "protocol" or process for working together within an expanded set of values that integrates economic, environmental, and social benefit. The protocol would support a process of exploration and discovery

through trial and error and would have to be created from scratch. There were no time-tested models to draw on. In essence, the CVRO would be asking individuals and organizations to step into action, trust an exploratory process, and collaborate with others for mutual value in a region historically characterized as risk averse, fragmented, and distrustful. Even though northeast Ohioans were expressing a growing interest in regionalism, there were very few examples of collaborative regional initiatives and fewer, if any, at the CVI's scale and level of complexity.

The protocol would require working in ways that probably felt counter to conventional wisdom and often seemed paradoxical. For instance, teams would need to be encouraged to "slow down to speed up"—to spend time building a foundation for intelligent and more aligned action. The protocol would help to identify how the Triad, network partners, and the CVRO contributed to such a process. In addition, participants of divergent groups would be asked to put their individual and corporate agendas on the back burner and be curious about the agendas of others—all in the interest of mutual benefit. The protocol would provide a decision process that would encourage the integration of divergent views without paralyzing action.

Currere and the CVI knew that this would be a core challenge for the Cuyahoga Valley Initiative in general and the CRVO in particular. The CRVO, the Triad, and the Network Partners would need to live with the reality that individuals and organizations working in the Valley would be under constant pressure to default to traditional, known ways of working— particularly when tensions and stakes were high.

Implementing the Design

As Sally and the CVI team thought about the tasks ahead, their biggest challenge was how to operationalize the network system and in particular, how to design and implement the CRVO. They knew that the reason for the CRVO's existence had to be clear and compelling and the design easily understood. Sally emphasized that the CRVO could be fully grasped only in the context of the Valley partnership as a collaborative system, even though the partnership concept was complex and might be confusing. She knew that the role of each of the four elements of the partnership needed to be articulated—keeping in mind the need for a protocol or system-wide decision-making process. Sally and the CVI team needed to think about (a) the detail of the design and operating practices of the CRVO and (b) how the CRVO would develop the protocol. She began to consider the following.

Purpose, Value Proposition, and Strategy From the beginning, the team heeded the community's caution about creating “yet another organization.” They knew that for CRVO to have value in the Valley, it would need to provide tangible benefit to individual stakeholders and the broader regional community. It could not appear to create redundancies or compete with the organizations and initiatives already at work in the Valley. It had to provide a unique capacity that did not exist elsewhere and was essential and desired by the community.

They realized that at its core, the **purpose** of a CRVO would be to promote and leverage the Cuyahoga River Valley for the benefit of the region and to do that it would need to:

- Provide strategic thought leadership and direction;
- Establish a sense of identity and coherence for the Valley;
- Set and coordinate a course for aligned and collaborative action;
- Invite and engage the Cuyahoga River Valley community (organizations and individuals within the network partners) to work together in the Valley;
- Identify, facilitate, and launch projects responsible for revitalizing the Valley.

It would need to take on the following most pressing needs of the Valley:

- Healthy ecology, particularly of the water and air sheds;
- Industrial regeneration to leverage the assets in the industrial valley;
- A robust infrastructure system to link places, people, and experiences;
- Healthy place-making to create and re-create great neighborhoods and economies.

It would need to demonstrate its **value proposition** to its stakeholders by:

- Acting on behalf of county and municipal governments, the business community, and foundations, helping them to accomplish their objectives for sustainability within the Valley, while mitigating the risk associated with their direct leadership and/or involvement;
- Assembling and organizing regional and global expertise essential for transformation toward place-based sustainability and organizing capacity for impact at scale;
- Promoting the Cuyahoga River Valley experience as a core component of the region's branded identity;
- Maintaining focus on the Cuyahoga River Valley as a top regional priority and being a constant force for focused and effective action;
- Leveraging the capacity of the Valley network for maximum effectiveness; nurturing/ managing relationships throughout the network; and gaining community support.

Assembling—or aggregating—people, places, and experiences to create mutual value would be CRVO's core **strategy**. By integrating and organizing the many resources and experiences of the Valley, the CRVO increases the value of the Valley to visitors, residents, developers, business, etc.

Stakeholders and Customers In very general terms, CRVO's stakeholders and their related interests include the following:

- The Place—The Cuyahoga River Valley is an ecological, economic, and human community and the CRVO is its representative. The Place demands representation in the decisions of governments, the community, businesses, and nonprofits.
- The Triad—The shared agreement of Summit and Cuyahoga county governments, business community chambers, and foundations should support, legitimize, and authorize the CRVO as the leader and orchestrator of the Valley's transformation. As a collective, these organizations want to see that the Valley is leveraged for the good of the region—economically, socially,

and environmentally. Individually, each organization wants to build goodwill amongst its constituents and stakeholders, demonstrating collaboration and sound investment in the Valley.

- **The Network Partners**—These are the core organizations of an emerging Valley action network whose support and collaborative efforts will transform the Valley. These organizations want to demonstrate an ability to work with others for the good of the region while advancing their own objectives. They want their work in the Valley to demonstrate their value as an individual organization and as an essential component of the Valley network. Finally, they want to be able to strengthen their own capacity and expand their reach and visibility.
- **The Regional Community**—The broader community served by the Valley's transformation wants to enjoy the Valley and be able to benefit from it.

Core Work Ultimately, the design team saw the work of the CRVO in five primary categories— leadership, network development and management, marketing/branding, knowledge creation and management, and funding—all in service to the Valley. In the early stages, however, the focus of the organization would need to be narrowed to include securing and coordinating financial and human resources for initiating, leading, and/or managing projects and activities that:

1. Restore air, water, and land quality in the Cuyahoga Valley;
2. Improve the performance of businesses already sited in the Valley with respect to sustainable ecological practices, and create an attractive market for new sustainable businesses in the Valley;
3. Promote and advocate for investments in high-performance infrastructure throughout the Valley watershed;
4. Advocate for a regulatory and legislative environment that supports “healthy place-making” in the Valley;
5. Build a robust Valley network.

Getting the CRVO Off the Ground For Sally and the team, this was perhaps the biggest concern. The Valley has so many players, is large and complex, and is not perceived as a cohesive place—like the Napa Valley or Silicon Valley. Although there are networks of individuals and organizations interested in the Valley, they tend to be localized and project focused, often burdened with competing agendas.

From the beginning, the CRVO needs to be legitimized as the “face of the Valley,” yet it will need to launch before the Triad is fully formed. In fact, its existence will help the Triad develop, and while it needs the Triad to legitimize it, the CRVO will also need to maintain its autonomy because it needs to be able to work in ways that are nontraditional and may appear “risky.”

What gave life to the CVI was the vision and tenacious focus of Paul Alsenas. Finding that kind of champion to continue to drive the CRVO forward is perhaps the next greatest challenge. The organization needs to be able to start small, and stay small, honing its skills as an initiator and orchestrator. It cannot represent redundant capacity. The CRVO can accomplish its vision only by working with and through the expertise and capacity of a Valley network. From the inception, it will need to inspire other organizations to follow its lead—and trust its process. It will need to keep its eye on the prize—which is the Valley *in service to the region*—and continually evolve to best meet the Valley's needs, remain adaptive, inventive, resourceful, and stealth-like.

Questions

1. Assuming you are Sally Parker, describe the process you will initiate to form the CVRO and the protocol for decision making in the network.
2. Describe the organization design features—structure, human resource processes, leadership—that you think should characterize the CVRO.
3. What do you think are the obstacles and facilitators to your process? What are your personal hopes and fears in conducting this task?



Integrative Cases

Large-Scale Strategic Change: The Semen Indonesia Merger Integration Case*

Semen Indonesia (SMIG), formerly known as the Semen Gresik Group (SGG), is an Indonesia-based, state-owned holding company whose core business is cement production. It is also engaged, through their subsidiaries, in cement packaging and distribution, limestone and clay mining, and real estate operations.

The establishment of SMIG as a holding company on December 20, 2012 was the outcome of an OD intervention initiated with its predecessor, SGG, in December 2011. The intervention was aimed at integrating three subsidiary operating companies following a government-mandated merger in 1995. SGG, at the time of the intervention, was really Semen Gresik, one of the three large cement companies involved in the merger and acting as a virtual holding company for two other cement producers: Semen Padang and Semen Tonasa. After SGG's acquisition of a majority stake in Vietnam's Thang Long Cement (worth USD \$157 million) in December 2012, the company became the largest cement company in Southeast Asia and changed its name from SGG to Semen Indonesia to signify its establishment as a strategic holding company.

In May 2014, SMIG's market capitalization of \$8.7 billion was large enough to qualify for the Forbes Global 2000 list. The installed capacity of the company reached 32 million tons of cement per year and covered 43 percent of Indonesia's cement market in 2016.

This case describes the transformation interventions that facilitated the consolidation process and aligned the strategy, processes, and people. The result was enhanced organizational integration that helped SMIG become a more effective and efficient company and made a significant contribution to Indonesia's economy.

Background

Indonesia is the world's largest archipelago with 17,508 islands, some 6,000 of which are inhabited. With an estimated population of over 263 million and over 300 ethnic groups, Indonesia is highly diverse. The country recognizes 700 indigenous languages spoken across the region, although having Bahasa Indonesia as the national language has facilitated communication challenges. Reflecting its geographical spread, Indonesia has a considerable regional diversity and strong regional identities, defined as a strong feeling of attachment or loyalty that people in a region have for that particular territory.

In 1995, three state-owned cement companies—Semen Padang (SP), Semen Tonasa (ST), and Semen Gresik (SG) were merged by the Indonesian government as part of its reformation of State Owned Enterprises (SOEs). From a business perspective, the merger positioned the combined organizations as the largest cement company in the country. However, the government's decision to have SG serve as the parent company to whom SP and ST reported and to call the new organization SGG created ill feelings among employees as well as officials, the community, and community leaders.

Prior to the merger, the three enterprises were competitors with different work cultures that reflected the strong regional identities of the archipelago. Semen Gresik, founded in 1957, was located in East Java and owned the first cement factory built following Indonesia's independence. SP is Indonesia's oldest cement factory and the source of regional pride for people in West Sumatra. It was established in 1910 as NV Nederlandsch Indische Portland Cement Maatschappij decades before Indonesia's independence. On the other hand, ST, which was founded in 1968 in Pangkajene Kepulauan, South Sulawesi, was a symbol of government support during the conflict between the Dutch and West Iran. As the largest cement factory in the eastern part of Indonesia, ST was also a highly regarded company in the region. Thus, becoming subordinate companies was difficult for SP and ST managers and employees to accept.

These regional loyalties became the source of loud protests and the merger was strongly resisted. SP, for example, boycotted the SGG administration and deliberately refused

*This case was written and submitted by Mary Jane Balasi-Sullivan, Irham Dily, and Roby Tjiptadajaya.

to provide managerial and financial reports for several years. As a result, SGG was criticized for the accuracy of its audited financial statements. The conflicts caused considerable interruption in the operation of plants and stagnated corporate growth. Indeed, the inability to consolidate and integrate the business resulted in a decline of the company's performance.

Thus, like many mergers, SGG faced the common challenges of employee resistance, lack of operational consolidation, and the creation of a unified corporate culture. In his book, *Pride of a Nation: The Corporate Transformation of Semen Indonesia*, CEO Dwi Soetjipto, who became the new president director/CEO of SGG in 2005, highlighted the following reasons for the hampered merger of the three companies:

1. Lack of trust—each company suspected that the other companies intended to destroy it. The impact was to limit access to the other company's data and information;
2. Hoped for outcomes—There was continued belief that spin-offs might still be possible, which resulted in the companies keeping their distance from each other. Frequent rumors in Semen Gresik had it that Semen Padang would become the parent company;
3. Independence—Each company acted on their own, blocking and tackling each other in markets where their operations overlapped;
4. Self-interest—Rising sentiments or regionalism encouraged outside parties to exploit the situation for their own agenda;
5. Demands for equality—Persistent demands for welfare equality within the Semen Gresik Group hampered efforts to foster a feeling of solidarity among the group members.

The Transformation Challenge

As the former CEO of SP, Dwi Soetjipto knew that being CEO of SGG was going to be a challenge. Shortly after being appointed as CEO, top management meetings were mostly characterized by one-way communication. Other executives would just listen to what he had to say but refused to engage in a mutual conversation. They also rejected his idea of further consolidation because they believed that the deep-seated internal conflict made such ideas impossible.

Although aware of the history of conflicts and feuds among the three companies, Soetjipto believed that integrating the three companies was needed to build the foundation of a coordinated management structure for a company spread across three different regions, including Java (SG), Sumatra (SP), and Sulawesi (ST). Importantly, integration

was not meant to produce a centralized cement business since each operating company would be given freedom to innovate and develop their market. The difference was that the business would be run more efficiently. And for Soetjipto, consolidation addressed the continued decline of SGG's business performance, which was lower than its private sector competitors. He also believed that integration would require a full understanding of the interests of different stakeholders. His desire to make major changes at SGG kept him moving forward despite the resistance and rejection of his leadership in the early part of his assignment.

From 2005 to 2010, Soetjipto guided SGG through a comprehensive consolidation process. He began by implementing better governance processes and introducing the idea of organization synergy. Soetjipto defined synergy as working relationships among the three operating companies that combined their separate perspectives into a mutually supportive way of achieving shared goals. In 2007, Soetjipto led the creation of a corporate restructuring blue print with implementation plans for each entity. The aim was to combine the production potential of the three operating companies to better cope with growing market demand. In 2010, the company began creating group-level functions in procurement, marketing, quality control, human resources, IT, financial management, and internal audit. Based on a company assessment conducted between 2010 and 2011, these changes improved the company's operational and financial performance but a lack of unity among the three operating companies, manifested in a silo mentality, no common vision, and no unified culture or mindset, remained the main challenge. For this reason, Soetjipto sought the help of an OD practitioner. A local OD consultant and his American partner met with Soetjipto to understand the situation and change requirements. They outlined their general approach to change that addressed Soetjipto's issues.

The Transformation Strategy

When the two OD practitioners met with Soetjipto for a second time, the purpose of the meeting was to establish a relationship of trust with the CEO, get a better picture of the business, and understand the scope of work needed. Financial and non-financial contracting issues were clarified and the scope of the engagement, based on the CEO's desired purpose and business outcomes for the transformation journey, were clarified. Most importantly, a change blue print was initially drafted based on the consultants' experience with large scale changes. It consisted of the transformation of the executive team (Phase 1) and the transformation of the next layer of leadership (Phase 2). The CEO expressed 100 percent readiness and support for the effort.

Phase 1: Transform the Executive Team

Like most large-scale change efforts, the executive team had to be clearly aligned since they would be—individually and collectively—leading and modelling correct behavior for the entire enterprise. Phase 1 of the transformation involved meeting with the key leaders, assessing the current and desired state, facilitating an executive team intensive, and planning to sustain the journey.

Involve the Key Leaders The OD practitioners met with Soetjipto for a third time to further clarify the direction of the effort. They listened to his organizational vision, aspirations, and assessments as well as his views about the developmental needs of each member of the executive team. During this meeting, the CEO appointed Irham Dilmy and Ursula Silalahi as internal change agents. Dilmy and Silalahi were internal consultants responsible for implementing the Human Capital Master Plan that was to integrate the human resources systems of the operating companies. The OD practitioners also assured Soetjipto of their support and the anonymity and confidentiality of the process to create a safe environment. The OD practitioners met with the internal change agents to operationalize the change blue print, including the theory and practice foundation for the ensuing change journey.

Soetjipto then scheduled a meeting with the Executive Team (ET) to share the overall conceptual framework of the transformation process, solicit their input regarding the most important conversations for the 2.5-day intensive meeting, and develop their support, buy-in, and commitment. However, geographical issues—each operating company was located in a different part of the country—and the lack of unity among the executives resulted in low participation. As a result, the OD practitioners met with those who were available and made phone calls to those who were not able to attend.

During the meetings, the OD practitioners presented ET members with an initial draft of the change blue print and asked for feedback and input to refine and develop the plan. They also asked the following four questions:

1. What needs to change for each executive?
2. What changes must the ET make to become more effective?
3. What changes must the team lead in the larger organization?
4. What conversations need to take place?

Lastly, the OD practitioners discussed and asked for the ET members' support and buy-in for the transformation journey. Data collected from this activity was not only used

to refine the change blue print but also was used to create the data gathering instrument.

Assess the Current and Aspired State The data collected from the four questions were used to create an interview protocol. Although the consultants wanted this to be a collaborative effort, no one showed up to a scheduled meeting. The local OD practitioner told his American partner that Indonesians held clear beliefs and expectations that external consultants are supposed to do all the work. As a result, they created the most compelling interview questions they could. However, during the first interview it was clear that the questions were neither appropriate or well-conceived. Working with an ET member, the OD practitioners revised the questions.

The new questions were utilized to conduct one-on-one semi-structured interviews with all ET members. In addition, three focus group discussions with random participants from each of the operating companies were also conducted to obtain a richer diagnosis.

The data were collated and presented to the CEO for his feedback and approval. Soetjipto saw the data as valid and reliable, they appropriately addressed the themes and challenges facing the organization, and provided a clear focus for the conversations during the intensive. The data were used as the basis for the design and were shared with members of the Executive Team before the retreat.

In sum, the data gathered during this stage allowed the OD practitioners to understand the reality of the organization's current challenges and aspirations. It also gave the ET a platform to prepare for the transformation of the next layer of leadership during their intensive meeting.

Facilitate an Executive Intensive Together with the internal change agents, a member of the ET, and an administrative support person from SG, the OD practitioners developed specific objectives for the transformation and designed the agenda for the 2.5-day intensive. The overall purpose of the transformation journey became:

- To optimize enterprise-wide performance through increased consolidation and synergy
- To accelerate the establishment of a strategic holding company with enhanced competitiveness and increased bargaining power
- To define the role or function of holding and operating companies

The business outcomes to be pursued by the transformation included:

- Transform the three operating companies into one integrated and differentiated team

- Create an innovative business in exhibiting organization excellence
- Build the organization into a regional and national leader in the cement industry
- Improve the performance of individuals, teams, operating companies, and business activities
- Speed up the business development process
- Prepare and lead the implementation of changes necessary to achieve the performance targets by 2030

An obvious challenge in this change was alignment among the Executive Team members. For example, prior to the planned intensive, one operating company CEO who did not want to participate asked the Cabinet Minister in charge of SOEs to disapprove of the meeting and save his region's identity. The American OD practitioner travelled to the CEO's office to convey the importance of his presence at the retreat. After convincing him that he didn't need to say anything but just be present, he agreed to attend the intensive.

Ultimately, all 16 members of the Executive Team participated in the residential retreat. In the process, the CEO who reluctantly attended was heard, he heard others' viewpoints, and saw that the agenda was organized around the data collected from the participants. In addition, as the team discovered the ability to listen openly and communicate positively with each other about their organization's current challenges and plans for the future, the ET began to see the possibilities of integration.

Using the collated data reports, the focus of conversation during the 2.5-day intensive was eightfold:

1. identifying SGG's challenges and how to deal with them,
2. recognizing and celebrating SGG's achievements and uniqueness,
3. identifying the challenges and priorities to be addressed in establishing an integrated company,
4. clarifying the vision and mission and how to achieve them,
5. working on ET's relationship and team performance,
6. leadership development,
7. business development, and
8. planning for Phase 2.

Before delving into these conversations, the group engaged in an appreciative inquiry exercise to set a positive and supportive environment. They were presented with the research showing that groups who focus on non-positive issues often lower group productivity rather than improve it. In contrast, group productivity can increase significantly when using an appreciative approach.

Significant time was dedicated to building trust among the ET members. The participants dialogued on the behaviors that create trust and mistrust. Using "feedback to feed-forward," the participants exchanged appreciation for each other's strengths and gave suggestions for improvements. Among the important outcomes of the meeting was an improved relationship between the reluctant CEO and Soetjipto, a significant shift in the relationships among the operating company CEOs, and improved relationships among the ET members as a whole. Being Indonesians with a collectivist culture, it was important for them to have a harmonious relationship to drive the business going forth.

In addition, they clarified their vision and mission—To be a World Class Engineering Company—and they identified the priorities and strategies for integrating the company, including the establishment of a holding company to achieve their consolidation and integration goals. They formed a team to plan and drive its establishment, design the organizational structure, integrate its management system, and develop the HR policies and metrics aligned to the organization's vision, mission, and core values. Furthermore, they made a commitment to develop a team characterized by trust, open communication, and unity. This required setting aside the past conflicts and getting focused on the business.

The final outcome was a commitment to hold a large group event which they labelled the *Transformation Summit* in February 2012. They all agreed that they wanted to use such an event to achieve a faster, more effective, and more economic process to transform the whole organization. The third day of the retreat was dedicated to planning the large group event. The ET was divided into small groups to discuss ideas and suggestions for this event. Report outs following the discussions allowed people to provide feedback and make decisions. One group recommended that the ET should lead a serious conversation about the development of a new corporate culture. They described the aspirations of a new unified culture using the acronym of CHAMPS:

- Compete with a *Clear & Synergized Vision*
- Have a High Spirit for *Continuous Learning*
- Act with High *Accountability*
- Meet *Customer Expectations*
- Perform *Ethically with High Integrity*
- Strengthen *Teamwork*

They decided that an important objective of the Transformation Summit should be to further define and refine this aspiration, to identify the competencies needed to support such a culture, and to develop strategies for its implementation.

Sustain the Journey The ET left the intensive meeting energized with a new paradigm and guiding principles

for transforming their organization. In a meeting with the OD practitioners and three ET members, they translated commitments from the intensive into a project management system. A decision to digitize action plans and commitments for easier monitoring of the implementation allowed the ET to hold themselves accountable for the change journey.

Phase 2: Transformation of the Organization—Transformation Summit

In Phase 2 of the change, a design team was convened to plan the large group summit and establish logistics for the meeting, facilitate the intervention, and sustain the journey.

Planning the Summit Planning for the transformation summit was done by a design team comprised of the OD practitioners, the internal change agents, a member of the ET from SG, the human resources directors from each operating company, and an administrative support person from SG. Based on the data and results from Phase 1, the design team chose the theme “One Team, One Vision to be the CHAMPS” for Phase 2. With this theme, the Executive Team wanted the Transformation Summit to create a deep paradigm shift—a breakthrough. This breakthrough meant a personal transformation for each individual and a collective shift in mindset across the operating companies embracing the new corporate culture of being the CHAMPS.

The cultural norm of hiring an OD consultant to do all the work for the organization was a challenge in this stage of the process, especially for the American OD practitioner. When the OD practitioners were asked by the internal consultants to prepare everything for the large group meeting, the OD practitioners explained to them and the rest of the design team that traditional OD processes valued engagement and participation. It was very important that they be involved in and take ownership of the design. Clarifying the roles and strengthening the relationships between the OD practitioners and the internal change agents was an important part of the process.

A total of five days was spent with the design team to plan the Transformation Summit. The OD practitioners struggled to empower someone from the design team to own the development of an agenda and facilitation notes. It was an important issue because the meeting was going to be conducted in the Bahasa Indonesian language. The American OD practitioner needed to have complete faith in the person in control of the script and facilitation because he could not intervene in real time during the large meeting. Although he would be provided with a translator, it was best that the planning team be united in their understanding of

the purpose and agenda so that if adjustments and corrections needed to be made in the moment, they could do so without reliance on the OD practitioners. Finally, a woman from SP said, “I will take the challenge.” In the end, the design team produced a 60-page document detailing the activities and exercises to be followed in the summit. All instructions, scripts, and facilitation processes were translated from English to Bahasa Indonesia.

As part of the planning process, the design team chartered a logistics team comprised of interested HR executives from throughout the organization and led by the General Affairs staff of SGG. They worked closely with the design team early in the process of the design to ensure that the details of the space, materials, food, room set-up, equipment, supplies, and timing were aligned with the summit’s agenda. A “staging day” was held the day before the event to set up the room, prepare all that was needed, and allow the facilitators and ET members to rehearse their roles and presentations.

Facilitating the Transformation Summit The Transformation Summit focused on building trust among the leaders of the three operating companies (Table 1). One hundred twenty-five leaders from throughout the company were facilitated through conversations and collaborative decision making about the issues identified by the ET during Phase 1, including achieving the company’s vision and mission, establishing and designing a strategic and legitimate holding company, and refining and defining the competencies needed to support the CHAMPS culture as well as strategies for its implementation.

The transformation summit began with an exercise that honored each region’s identity but spoke to the importance of integration. Using the metaphor of an orchestra, where very different instruments work together to create a beautiful sound, the exercise prepared people psychologically to hear CEO Soetjipto speak about the vision and the “what and why” of establishing a holding company. After his presentation, participants were encouraged to ask clarifying questions. Participants then discussed at their working table their concerns around reaching the holding company vision. This was presented in the whole room for further discussion to identify actions and commitments.

After the above activity, the ET presented the strategy and they proposed milestones for setting up marketing and distribution, logistics and procurement, R&D, finance, human capital, and IT functions. These included system-wide structures and processes. Based on what they had just heard, the participants engaged in dialogue, clarified questions that were answered by the ET, gave their ideas on the advantages of establishing a holding company to their business, and provided their input on how they

could support the holding company. Time was also allotted for a conversation on the corporate culture, values, and competencies needed to support the new organization.

An internal change agent then introduced the next activity. He emphasized that successful transformations required a clear understanding of people's dissatisfaction with the current situation, the creation of a positive future vision related to the CEO's presentation, and a concrete set of first steps to reach the vision. Under these conditions, transformation in the people begins to happen and resistance is reduced. The participants discussed what was working well and what was not working well. They were encouraged to write their answers on flipcharts which were collected for the next day's activity. Selected tables reported to the whole room so everyone received a sense of how people were thinking about the system they were working in.

At the close of the day, participants shared their reflections, evaluations, and suggestions to improve the facilitation for the remaining days.

The second day of the summit began with a synthesis of Day 1 feedback followed by a summary of the "working well" and "not working well" outputs from the last exercise. All these items were posted around the room and each participant was given colored sticky dots to identify his/her top three "working" and "not working" focus areas. With this exercise, the top issues for the group quickly emerged. Working at their tables, participants brainstormed actions and commitments using the top five priorities for each category. Then they created action and commitment plans needed from the individual, sub-function, and company levels to move the whole organization to where they would like it to be. This was breakthrough work.

Two big priorities that surfaced were related to building trust and relationships, hence ample time was devoted to trust building activities accompanied by a sharing of a model of trust and openness. To heighten the three operating companies' experience of building relationships, a classic OD intergroup conflict activity was modified for use in this situation. The large group was organized by operating companies and each group was asked to provide responses to three statements:

1. This is what we want from the other operating companies. . .
2. This is what we appreciate about the other operating companies. . .
3. This is what we want you to know about our operating company. . .

With this activity, another major shift took place as evidenced by the almost continual laughter during the report outs. The list of appreciations presented about the other groups contained deep sarcasm stemming from the tension

and conflict that had built up for more than a decade. Since Asian culture is not confrontational by nature, this exercise gave the participants from each operating company the opportunity to express feelings that had been bottled up for years, to therapeutically release the ill feelings and negativity so that they could unite for a positive future. It allowed the participants a venue for an open dialogue.

The day ended with a sharing of reflections. One of the internal change agents facilitated a creative panel interview with three members from the Board of Directors who were encouraged to share their reflections and the highlights of the past two days. This was followed by a sharing of reflections and participants' feedback. In general, the participants expressed their satisfaction with the whole process. They shared that this was their first time to come together as a group and yet they were appreciative of the open and honest communication, sharing "here and now" experiences and reactions, and giving and receiving feedback to and from each other.

After dinner, a "talent show" took place to celebrate their hard work and accomplishments. Among the highlights of the evening was a song of spirit and community sung by an HR director that helped everyone think about becoming "one brain, one heart" and the playing of "We are the Champions" by the musical group Queen that fit with the theme of their new cultural aspirations.

The third day of the summit began with a presentation of feedback from Day 2. This was followed by an activity to improve the relationship between the Board of Directors and everyone else present. They exchanged appreciation for each other's strengths, provided suggestions for improvements, and made requests and offers on how the Board could better lead the group. This was followed by activities to identify ways to engage the rest of the organization after the summit. The participants agreed on ways to communicate the results of the summit to their respective organization going forward. The summit closed with two executive team members sharing their personal commitments on stage in front of all and a send-off speech from the government's state-owned enterprises Commissioner.

The outcomes from the Transformation Summit included:

- a clear understanding and acceptance of the rationale for establishing a strategic holding company
- a stronger commitment to institutionalizing the new corporate culture values
- a more trusting relationship between the executive team and the next layer of leadership
- a clear picture of what success would look like with comprehensive first steps and actions at the individual, unit, and system-wide levels
- a strong commitment to sustaining a long-term transformation journey

Sustaining the Journey The summit was followed by immediate engagement of the entire organization and the translation of actions and commitments from the summit into an accountable project management system. Among the major steps that were initiated to support the implementation were the following:

1. A multi-level communication plan played a crucial role at the beginning of the implementation. The slogan, “From Gresik to Indonesia” was created to inculcate in the minds of all stakeholders that the name change was about building pride for their country and not just for their own region. It was included in every communication about the change.
2. To develop and improve coordination for a shared goal, the ET approved a new reward system element. Seventy-five percent of a person’s bonus was based on the achievement of the holding company’s revenue objective and 25 percent of the bonus was based on the individual operating company’s revenue target. This sent a message to the employees about the importance of consolidation and working together.
3. Corporate governance practices were changed in accordance with the principles of transparency, independence, accountability, responsibility, and fairness in the company’s financial statements. Financial statements were audited by an independent auditor and presented with transparency to shareholders.
4. A culture of innovation was supported by implementing incremental and breakthrough innovation programs.
5. The Indonesian Cement Center of CHAMPS (SICC) was established to keep abreast of the current competencies and resources applied towards SMIG’s world-class competitiveness.
6. Important human resources policies were announced and implemented to retain employees. The ET assured all employees that the consolidation process would not interfere with their careers and gave employee engagement an important boost.
7. A permanent transformation team of internal change agents was established to monitor and plan the next stages of the change process.
8. The Executive Team worked hard to model the changes they were asking of others. They demonstrated to the whole organization that they were able to go beyond the past conflicts and form synergistic working relationships.

Evaluation: Impact of the Large-Scale change

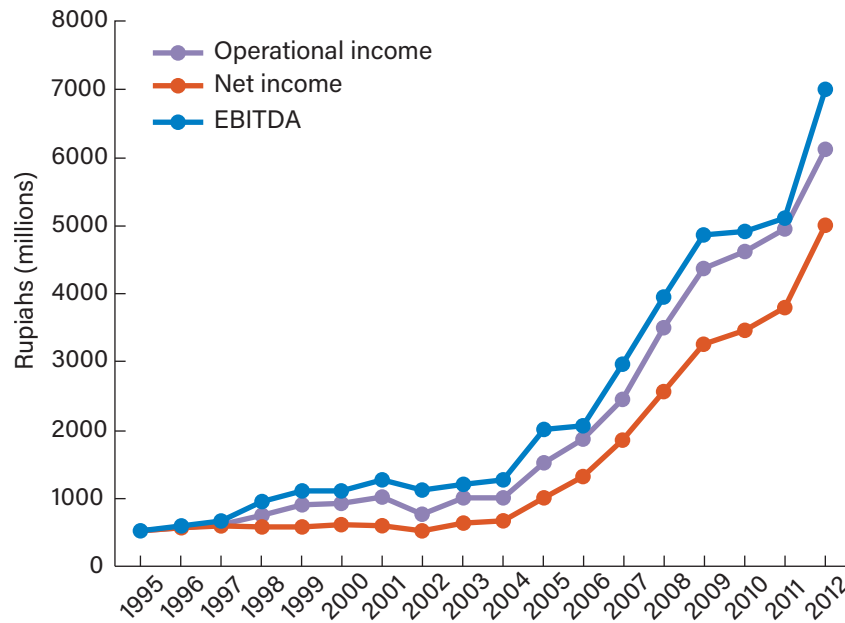
Merging three companies that had been committed to their regional identities was not easy and took many years to complete. The consolidation process led by Soetjipto in 2005 and the transformation events led by the organization helped integration occur where it mattered most. Ten months after the Transformation Summit, SGG successfully acquired Thang Long Cement in Vietnam and positioned SGG as the first state-owned multinational corporation and the largest cement company in Southeast Asia.

Table 1 High-level Transformation Summit Agenda

Day 1	Day 2	Day 3
Summit purpose & outcomes	Feedback from Day 1	Feedback from Day 2
Orchestra exercise	Prioritizing working/not working issues	Board of Directors exercise
Executive Team’s (ET) Vision of the Future	System-wide action planning on priorities	Breakouts—how to engage rest of the company
Small and large group discussions about the challenges of creating a holding company	Hopes and appreciation of operating companies	System-wide communication
ET strategy presentation	Reflection and feedback	Personal commitments
Dissatisfaction, vision, and clear first steps exercise	Evening group Performance: Talent show	Commissioner inspirational send-off
Reflection and feedback		
Evening socialization activity		

Figure 1

SMIG Profit Growth, 1995-2012



Shortly thereafter, the leadership team successfully implemented the name change from Semen Gresik Group (SGG) to Semen Indonesia (SMIG) to formally establish the strategic holding company. The smooth process, one that proceeded faster than planned, symbolized the “oneness” that had been created during the transformation events. The formation of SMIG allowed the operating companies to be viewed as equals. Other major changes included:

1. Clearly separated holding company and operating company roles and responsibilities under separate legal entities.
2. Allowing the holding company to leverage marketing, finance, IT, R&D, procurement and other functions in service of lower costs for the subsidiaries.
3. Creating the infrastructure for future regional and international expansion through acquisition of other cement companies.

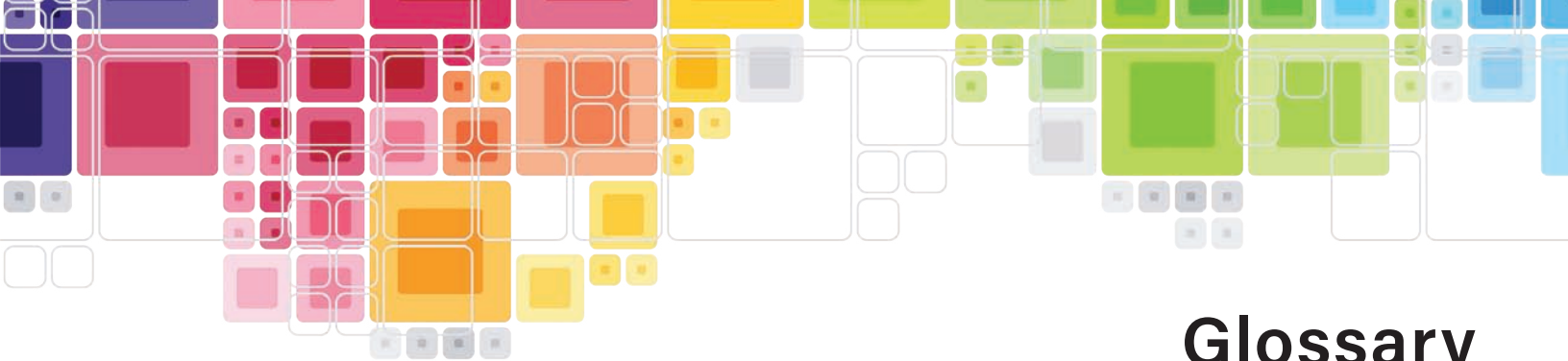
By 2012, the company recorded the largest profit among all cement companies in Indonesia. As shown in Figure 1, SMIG's profits have grown quickly since 2005.

The Semen Indonesia transformation shows that dramatic shifts are possible in business results and leadership when a whole system is engaged in the change process. Organization synergy was not only derived from the

practical consolidation measures, but more importantly, the active engagement of its senior leaders. The stronger, more coordinated, and collaborative relationships within the leadership team had a significant ripple effect across the organization. Soetjipto noted, “It was my vision for 10 years to merge or consolidate the three major cement companies in Indonesia. Utilizing the transformation process laid out by the OD practitioners was key in getting the top 125 leaders ‘on the band wagon.’” Mr. Sugiharto, the cabinet minister in charge of Indonesia's state-owned enterprises, in a comment about the Soetjipto-led change: “A transformation will not succeed if it is not supported by a strong leadership character, who is assertive, strategic in his vision, competent, and personally charming.” The tangible results of this transformation journey made SMIG the “pride of the nation.”

Questions

1. What observations—supportive and critical—do you have about the way the consultants managed this change?
2. Do you agree with CEO Soetjipto's strategy regarding consolidation? What alternatives did he have?
3. Is a large-group intervention an appropriate methodology in this situation and in this culture? What would you have done differently?



Glossary

This glossary was prepared to help the reader to understand some of the more frequently used terms in OD. Not all the terms in the glossary appear in the text, but they are frequently used in the field. Conversely, the glossary does not attempt to define every term used in the text. Nevertheless, knowledge of the terms in the glossary can be useful in understanding what at times appears to be an overly specialized language.

Accountability Responsibility to produce a promised result within a specific time.

Achievement needs A phrase applied to an individual, referring to the desire to perform work successfully and to advance in one's career.

Achievement orientation In cross-cultural analysis, the extent to which a culture favors the acquisition of power and resources.

Acquisition The purchase of one organization by another. (See *Merger*.)

Action learning A form of action research in which the focus is helping organizations to learn from their actions how to create entirely new structures, processes, and behaviors. Also called *action science*, *self-design*, or *appreciative inquiry*, this process involves considerable trial-and-error learning as participants try out new ways of operating, assess progress, and make necessary adjustments. (See *Action research*.)

Action research A cyclical process of diagnosis-change-research-diagnosis-change-research. The results of diagnosis produce ideas for changes, the changes are introduced into the same system, and their effects noted through further research and diagnosis. The number of cycles may be infinite.

Active listening Reflecting back to the other person not only what the person has said but also the perceived emotional tone of the message.

Adaptive A term used to describe the behavior of many kinds of systems. Originally used mainly to describe individuals (for example, adaptive behavior), it is now applied to groups and organizations vis-à-vis their environment.

Agility An advanced organization change capability. It represents the ability of an organization to make timely, effective,

and sustained change when and where it results in a performance advantage.

Alliance A partnership between two organizations where their resources and capabilities are combined to pursue mutual goals in developing, manufacturing, or distributing goods and services.

Appreciative inquiry A contemporary approach to planned change. Contrary to typical approaches that assume organizations are like problems to be solved, appreciative inquiry works under the assumption that organizations are like mysteries to be understood. A focus on the "best of what is" in an organization provides the necessary vision for change.

Authenticity A term synonymous with the colloquial phrase "to be straight with another person." It refers to one's openness and honesty.

Balanced scorecard A control and information system that balances traditional financial measures with operational measures relating to an organization's critical success factors.

Behavioral science A phrase for the various disciplines that study human behavior. As such, all of the traditional social sciences are included.

Benchmarking A process where companies find out how other companies do something better than they do and then try to imitate or improve on the activity.

Body language An important part of nonverbal communications that involves the transmittal of thoughts, actions, and feelings through bodily movements and how other people interpret them.

Boundary A term used to describe systems or fields of interacting forces. Boundaries can be physical, such as a wall between two departments in an organization. More subtly, boundaries can be social processes, such as the boundaries between ethnic groups. Boundaries can be temporal: Things done at different times are said to be *bounded* from each other. Any set of forces or factors that tend to differentiate parts of the system can be said to have a boundary effect.

Career The sequence of behaviors and attitudes associated with past, present, and anticipated future work-related

experiences and role activities. A career is work related and lifelong.

Career development Activities directed at helping people to attain career objectives. These may include skill training, performance feedback and coaching, job rotation, mentoring roles, and challenging and visible job assignments.

Career planning Activities aimed at helping people to choose occupations, organizations, and jobs. It involves setting individual career goals.

Change management The tools, techniques, and processes that scope, resource, and direct activities to implement a change. Change management is less concerned about the transfer of knowledge, skill, and capacity to manage change in the future than organization development.

Client system The person, group, or organization that is the object of diagnosis or change efforts. Often shortened to the client. The client may be in the same organization as the consultant, as in the case of a line manager who is the client of a staff group, or the client and consultant may be in different organizations.

Closed system The tendency to disregard relations between a system and its environment. This is often an unwitting simplification and, as such, can lead to error.

Closure, need for A commonly felt need to see something finished or brought to a logical end point. Sometimes it is used to describe a person who is uncomfortable with ambiguity and uncertainty.

Coaching An intervention designed to improve the competencies of individual organization members through committed support, feedback, new views of work, new visions of the organization, and new ways of relating to people.

Collateral organization A parallel, coexisting structure that can be used to supplement the existing formal organization. It is generally used to solve ill-defined problems that do not fit neatly into the formal organizational structure.

Communication, one-way and two-way One-way communication describes an interaction in which one or both parties are paying little attention to what the other is saying or doing. In two-way communication, presumably both parties are engaging and responding to each other.

Competency The skills and knowledge necessary to carry out some specific activity or task.

Conflict management Management's task is to manage conflict by reducing or stimulating it, depending upon the situation, in order to develop the highest level of organizational performance.

Confront The process by which one person attempts to make another person aware of aspects of behavior of which he or she seems unaware. It is used increasingly in the phrase

a confronting style to describe a person who habitually gives such feedback to others.

Confrontation meeting A structured intervention that helps two (or more) groups resolve interdepartmental misunderstandings or conflict.

Consultant An individual (change agent) who is assisting an organization (client system) to become more effective. An external consultant is not a member of the system. An internal consultant is a member of the organization being assisted but may or may not have a job title that identifies the individual as such.

Content analysis A data analysis technique that derives themes from qualitative data such as interview responses.

Contingency approach This approach suggests that there is no universal best way to design an organization, that the design instead depends upon the situation.

Continuous improvement A philosophy of designing and managing all aspects of an organization in a neverending quest for quality. The notion is that no matter how well things are going, there are always opportunities to make them better, and hundreds of small improvements can make a big difference in overall functioning. Also known as *kaizen*.

Contract A formal or informal agreement between the change agent and the client system to perform certain work. The contract typically identifies roles, expectations, resources, and other information required to successfully carry out the consultation process.

Core job dimensions These are the five basic dimensions of work, including skill variety, task identity, task significance, autonomy, and feedback.

Corporate culture This is the pattern of values, beliefs, and expectations shared by organization members. It represents the taken-for-granted and shared assumptions that people make about how work is to be done and evaluated and how employees relate to one another and to significant others, such as suppliers, customers, and government agencies.

Cost of quality The financial impact of poor quality. The cost of quality consists of the cost of conformance, nonconformance, and lost opportunity. The cost of conformance includes expenses associated with prevention measures, inspection, and appraisal. The cost of nonconformance is the dollar impact of not meeting customer expectations. The cost of lost opportunity is the revenue forgone when a customer leaves or does not renew a relationship with the organization.

Customer The person who receives the product of work. A customer may be either internal or external.

Data-based intervention A specific technique in action research. It follows some data collection phase and is an input into the system using the data that have been collected.

Alternatively, it can be the act of presenting the data to members of the system, thus initiating a process of system self-analysis.

Defensive A term widely used to describe any kind of resistant behavior.

Development organizations See *Global social change organizations*.

Diagnosis The process of collecting information about a client system and working collaboratively with it to understand the system's current functioning. Diagnosis follows entry and contracting, and precedes action planning and implementation. Diagnosis is expected to point to possible interventions to address system effectiveness.

Differentiation The extent to which individual organizational units are different from each other along a variety of dimensions, such as time, technology, or formality. High uncertainty leads to the need for more differentiation, and low uncertainty leads to the need for less.

Diversity The mix of gender, age, disabilities, cultures, ethnic backgrounds, and lifestyles that characterize the organization's workforce and potential labor pool.

Dominant coalition That minimum group of cooperating employees who control the basic policymaking and oversee the operation of the organization as a whole.

Double-loop learning Organizational behaviors directed at changing existing valued states or goals. This is concerned with radically transforming an organization's structure, culture, and operating procedures. (See *Single-loop learning* and *Organization transformation*.)

Downsizing Interventions aimed at reducing the size of the organization. Although typically associated with layoffs and reductions in force, downsizing also includes attrition, early retirement, selling businesses or divisions, outsourcing, and layering.

Dyad Two people and their dynamic interrelations; more informally, two people. Its usage has been extended recently to triad, or three people.

Dysfunctional Those aspects of systems that work against the goals. The term is meant to be objective but is often used subjectively to refer to the bad parts of systems. (See *Functional*.)

Empathic From empathy; to be able to project oneself into another's feelings and hence to understand the other person. It is used relatively interchangeably with *sensitive* and *understanding*.

Employee involvement Any set of technostuctural interventions, such as quality circles, high involvement organizations, or total quality management, that adjust the power,

information flows, rewards, and knowledge and skills in an organization. Also known as *quality of work life*.

Employee Resource Group (ERG) Also known as "affinity groups," ERGs are voluntary groups of employees organized around some common feature, such as gender, ethnicity, and subject matter, to provide support, education, or advice to its members or the organization.

Encounter An entire collection of interventions or techniques that aim to bring people into close and more intimate relations.

Enterprise resource planning (ERP) An information system that collects, processes, and provides data and information about a company, including order processing, product design, purchasing inventory, manufacturing distribution, human resources, procurement, and forecasting.

Entry The process that describes how an OD practitioner first encounters and establishes a relationship with a client system.

Environment The physical and social context within which any client system (a person, group, or organization) is functioning.

Ethics Standards of acceptable behavior for professional practicing in a particular field, such as law, medicine, or OD. In OD, it concerns how practitioners perform their helping relationship with organization members.

Evaluation feedback Information about the overall effects of a change program. It is generally used for making decisions about whether resources should continue to be allocated to the program.

Expectancy model A model of motivation suggesting that people are motivated to choose among different behaviors or intensities of effort if they believe that their efforts will be rewarded in a meaningful fashion.

Experiential A kind of learning process in which the content is experienced as directly as possible, in contrast to being simply read or talked about. The term applies to a wide variety of training techniques. It is often used in the phrase *experiential level*, in contrast to *cognitive level*.

Expert power The power and influence that a person has in a situation by virtue of technical or professional expertise. (See *Power*.)

External validity A research term concerned with assessing the general applicability of interventions. This helps to identify contingencies upon which the success of change programs depend. (See *Internal validity*.)

Facilitate A process by which events are "helped to happen." Facilitating is a kind of influence role that is neither authoritarian nor abdicative.

Feedback Information regarding the actual performance or the results of the activities of a system. In communications, it concerns looking for and using helpful responses from others.

Fishbowl An experiential training technique in which some members of a group sit in a small inner circle and work the issue while other members sit in an outer circle and observe.

Force-field analysis A qualitative tool that analyzes the forces for and the forces resisting change. It implies two change strategies, increasing the forces for change or decreasing the resistance to change.

Formal (leader, organization, system) A term introduced originally in the Hawthorne studies to designate the set of organizational relationships that were explicitly established in policy and procedure (for example, the *formal organization*). The term has been prefixed to many types of organizational phenomena.

Functional The term describes those parts of a system that promote the attainment of its goals. It comes from a mode of systems analysis that seeks to explain systems by understanding the effects that parts of the system have on one another and the mutual effects between the system and its environment.

Gain sharing This involves paying employees a bonus based upon improvements in the operating results of an organization or department. It generally covers all employees working in a particular department, plant, or company and includes both a bonus scheme and a participative structure for eliciting employees' suggestions and improvements.

Gatekeeping A term from group dynamics that describes a person in a group who regulates interaction patterns by asking people for their ideas or suggesting to others that they should talk less.

Global social change organizations Not-for-profit and nongovernmental organizations whose primary purpose is to bring about change, such as ecological awareness, hunger relief, children's rights, or political stability in a community or society.

Global strategy A worldwide strategy characterized by goals of efficiency and volume; this strategy views the world as one homogenous market.

Goal setting Activities involving managers and subordinates in jointly setting subordinates' goals, monitoring them, and providing counseling and support when necessary.

Group dynamics A set of variables, including power and influence, norms, conflict, communication, decision making, or trust, that individually and collectively describe the functioning of a group.

Group maintenance Those behaviors exhibited by members of a group that are functional for holding the group together, increasing members' liking for each other, and differentiating the group from its environment.

Group task activities Activities that are directed at helping the group accomplish its goals. Successful groups are more

able to properly combine group maintenance and group task activities than are less successful groups.

Groupthink A form of decision making that occurs when the members' striving for unanimity and closeness overcomes their motivation to realistically appraise alternative courses of action.

Growth A term reflecting theorists' and practitioners' concern for improvement in personal, group, and organizational behavior. Identification of growth stages, rates, and directions is a major focus of contemporary theory and research.

Growth needs The desire for personal accomplishment, learning, and development. An important contingency affecting work design successes; for example the greater people's growth needs, the more responsive they are to enriched forms of work.

Hawthorne effect When workers' behavior changes and productivity increases because the workers are aware that persons important in their lives are taking an interest in them.

Hidden agenda An undisclosed motive for doing or failing to do something. For example, a plant manager began to use team-building sessions, not because he wanted them but because he knew that his boss was in favor of such sessions.

Human resource systems These comprise mechanisms and procedures for selecting, training, and developing employees. They may include reward systems, goal setting, career planning and development, and stress management.

Ideal future state An articulated vision of the ideal state of the organization—the desired culture, infrastructure, and operation. What does it look like, sound like, feel like? What are people doing, with whom, and how? An ideal future state serves as the direction for present-day change efforts; it serves to bring the future into the present.

Implementation feedback Refers to information about whether an intervention is being implemented as intended. It is generally used to gain a clearer understanding of the behaviors and procedures required to implement a change program and to plan for the next implementation steps. (See *Evaluation feedback*.)

Individualism In cross-cultural analysis, the extent to which a country's culture supports individual growth, development, and achievement.

Industry structure The overall attractiveness of an industry as determined by the power of buyers, power of suppliers, threat of entry, threat of substitute products/services, and rivalry among firms.

Informal (leader, group, organization, system) A term introduced in the Hawthorne studies to designate the set of organizational relationships that emerge over time from the day-to-day experiences that people have with one another.

Informal relationships are expressive of the needs that people actually feel in situations, in contrast to needs their leaders think they should feel.

Inputs Human or other resources, such as, information, energy, and materials, coming into the system or subsystem. Also, more informally, used to describe people's contributions to a system, particularly their ideas.

Institutionalization Refers to making organizational changes a permanent part of the organization's normal functioning.

Integrated strategic change A model of large-scale organization change that integrates principles of strategic management with processes of planned change. It involves strategic analysis, strategic choice, strategic change plan design, and strategic change plan implementation.

Integration The state of collaboration that exists among departments that are required to achieve unity of effort by the demands of the environment. The term is used primarily for contingency approaches to organizational design. (See *Differentiation*.)

Interaction Almost any behavior resulting from interpersonal relationships. In human relations, it includes all forms of communication, verbal and nonverbal, conscious and unconscious.

Internal validity A research term concerned with assessing whether an intervention is responsible for producing observed results, such as improvements in job satisfaction, productivity, and absenteeism. (See *External validity*.)

Intervention Any action on the part of a change agent. Intervention carries the implication that the action is planned and deliberate and presumably functional. Many suggest that an OD intervention requires valid information, free choice, and a high degree of ownership by the client system of the course of action.

Jargon Overly specialized or technical language.

Job diagnostic survey (JDS) A questionnaire designed to measure job characteristics on such core dimensions as skill variety, task identity, task significance, autonomy, and feedback.

Job enrichment A way of making jobs more satisfying by increasing the skill variety, task identity, significance of the task, autonomy, and feedback from the work itself.

Joint optimization The goal of the sociotechnical system theory approach to work design that states that an organization will function best only if its social and technical systems are designed to fit the needs of one another and the environment.

Joint venture A separate entity for sharing development and production costs and penetrating new markets that is created by two or more firms.

Knowledge management (KM) A process that focuses on how knowledge can be organized and used to improve organization performance. KM tends to focus on the tools and techniques that enable organizations to collect, organize, and translate information into useful knowledge. Organizationally, KM applications are often located in the information systems function and may be under the direction of a chief information officer. (See *Organization learning*.)

Large-group interventions Any of several techniques, such as search conferences and open space, designed to work with a whole system, including organization members, suppliers, customers, and other stakeholders.

Leadership A process of influence exercised when institutional, political, psychological, and other resources are used to arouse, engage, and satisfy the motives of followers.

Leadership development A training and education intervention aimed at improving the competencies of managers and executives of an organization.

Learning organization An organization where everyone is involved in identifying and solving problems, enabling the organization to continuously experiment, improve, and increase its capability.

Management by objectives (MBO) A process of periodic manager-subordinate or group meetings designed to accomplish organizational goals by mutual planning of the work, review of accomplishments, and mutual solving of problems that arise in the course of getting the job done.

Management development Training or other processes to increase managers' knowledge and skills in order to improve performance in present jobs or prepare them for promotion. Increasingly tied to career planning and development.

Marginality The degree to which an individual or role must straddle the boundary between two or more groups with differing goals, values systems, and behavioral patterns.

Matrix organization An approach for integrating the activities of different specialists while maintaining specialized organizational units.

Mechanistic organization This type of organization is highly bureaucratic. Tasks are specialized and clearly defined. This is suitable when markets and technology are well established and show little change over time.

Merger The formal and legal integration of two or more organizations into a single entity. (See *Acquisition*.)

Mission A statement of the organization's purpose, range of activities, character, and uniqueness.

Model A simplification of some phenomenon for purposes of study and understanding. The concrete embodiment of a theory. To behave in an idealized way so that others might learn or change their behavior by identifying with and adopting those behaviors displayed.

Motivation The conditions responsible for variation in the intensity, quality, and direction of ongoing behavior.

Motivation-hygiene model Originally developed by Frederick Herzberg and associates, the model describes factors in the workplace that dissatisfy people and factors that motivate them.

Multinational strategy A worldwide strategy with goals of local responsiveness and specialization; views the worldwide market as heterogeneous and requiring product and service customization.

Need A central concept in psychology, referring to a biological or psychological requirement for the maintenance and growth of the human animal. It is used among practitioners chiefly to refer to a psychological demand not met in organizational life, with the emphasis on the search for ways in which more such wants can be satisfied.

Need hierarchy A particular theory about the operation of human needs introduced by Abraham Maslow. The model of motivation describes a hierarchy of needs existing within people. The five need levels are physiological, safety, social, ego, and self-actualization. The theory says that higher needs cannot be activated until lower needs are relatively satisfied. This particular theory also was the basis for McGregor's Theory X Theory Y formulation.

Network organization A newly emerging organization structure that involves managing an interrelated set of organizations, each specializing in a particular business function or task. This structure extends beyond the boundaries of any single organization and involves linking different organizations to facilitate interorganizational exchange and task coordination. (See *Transorganizational development*.)

Norms Rules regulating behavior in any social system. They are usually unwritten and are more specific and pointed than values in that deviations from norms are followed by such punishments as kidding, silent disapproval, or in the extreme, banishment.

Openness Accepting the communications and confrontations of others and expressing oneself honestly, with authenticity.

Open space meeting See *Large-group interventions*.

Open system The need to take into account relations between a system and its environment. This concept in systems theory is borrowed from the biological sciences. It refers to the nature and functions of transactions that take place between a system and its environment.

Open-systems planning A method for helping organizations or groups to systematically assess their task environment and develop a strategic response to it.

Organic organization This type of organization is relatively flexible and relaxed. The organic style is most appropriate to

unstable environmental conditions in which novel problems continually occur. (See *Mechanistic organization*.)

Organization design Involves bringing about a coherence or fit among organizational choices about strategy, organizing mode, and mechanisms for integrating people into the organization. The greater the fit among these organizational dimensions, the greater will be the organizational effectiveness.

Organization development (OD) Organization development applies social science knowledge to help organizations develop the capability to change their strategies, structures, and processes and to adapt to their environment for greater effectiveness, member well-being, and sustainability.

Organization development practitioner A generic term for people practicing organization development. These individuals may include managers responsible for developing their organizations or departments, people specializing in OD as a profession, and people specializing in a field currently being integrated with OD (for example, strategy or human resource management) who have gained some familiarity with and competence in OD.

Organization effectiveness An overall term that refers to the outputs of organization strategy and design. Typically includes financial performance, such as, profits and costs; stakeholder satisfaction, such as, employee and customer satisfaction; and measures of internal productivity, such as, cycle times.

Organization learning (OL) A change process that seeks to enhance an organization's capability to acquire and develop new knowledge. It is aimed at helping organizations use knowledge and information to change and improve continually. It involves discovery, invention, production, and generalization. In organizations, OL change processes are typically associated with the human resource function and may be assigned to a special leadership role, such as chief learning officer. (See *Knowledge management*.)

Organization transformation A process of radically altering the organization's strategic direction, including fundamental changes in structures, processes, and behaviors. (See *Double-loop learning*.)

Parallel learning structure See *Collateral organization*.

Participative A term used to describe techniques used by a power figure that aim to involve subordinate, lower-power persons in the decision-making process of an organization (for example, participative management). One aim is to increase the sense of commitment to organizational goals.

Performance appraisal A human resource system designed to provide feedback to an individual or group about its performance and its developmental opportunities. The performance appraisal process may or may not be closely linked to the reward system.

Performance management A constellation of processes that involve goal setting, performance appraisal, and reward systems that guide, develop, reinforce, and control member behavior toward desired organizational outcomes.

Planned change A generic phrase for all systematic efforts to improve the functioning of some human system. It is a change process in which power is usually roughly equal between consultants and clients and in which goals are mutually and deliberately set.

Power The ability to influence others so that one's values are satisfied. It may derive from several sources, including organizational position, expertise, access to important resources, and ability to reward and punish others.

Power distance In cross-cultural analysis, the extent to which people in a country accept large differences in status, income, authority, and equality.

Presenting problem The most salient reason the client system has asked for help from a change agent. For example, a conflict between two people can be a presenting problem or symptom that is caused by structural problems. The presenting problem is often a symptom of the true underlying problem that diagnosis is expected to uncover.

Problem-solving process A systematic, disciplined approach to identifying and solving work-related problems.

Process The way any system is going about doing whatever it is doing. Social process is the way persons are relating to one another as they perform some activity. Organizational process is the way different elements of the organization interact or how different organizational functions are handled.

Process-based organizations A type of organization structure that uses teams focused on the accomplishment of core work processes.

Process consultation A set of activities on the part of the consultant that helps the client to perceive, understand, and act upon the process events that occur in the client's environment.

Process observation A method of helping a group to improve its functioning, usually by having an individual watch the group in action and then feed back the results. Interviews may also be used. The group (or individuals) then use the data to improve its functioning.

Profit An accounting term that measures total revenues minus total costs.

Quality (outcome) Meeting and exceeding customer needs for both internal and external customers.

Quality (process) The continuing commitment by everyone in the organization to understand, meet, and exceed the needs of its customers.

Quality circles Small groups of workers who meet voluntarily to identify and solve productivity problems. These are

typically associated with Japanese methods of participative management.

Quality of work life (QWL) A way of thinking about people, work, and organization involving a concern for employee well-being and organizational effectiveness. It generally results in employee participation in important work-related problems and decisions.

Quasi-experimental research designs These designs enable OD evaluators to rule out many rival explanations for OD results other than the intervention itself. They involve choices about what to measure and when to measure; they are most powerful when they include longitudinal measurement, a comparison unit, and statistical analysis.

Re-engineering An intervention that focuses on dramatically redesigning core business processes. Successful re-engineering is often closely related to changes in an organization's information systems.

Refreezing The stabilization of change at a new state of equilibrium.

Return on assets (ROA) An accounting measure formed by the ratio of profits to total assets.

Reward power The present or potential ability to award something for worthy behavior. (See *Power*.)

Rewards, extrinsic Rewards given by the organization, such as pay, promotion, praise, tenure, and status symbols.

Rewards, intrinsic Rewards that must originate and be felt within the person. Intrinsic rewards include feelings of accomplishment, achievement, and self-esteem.

Role A set of systematically interrelated and observable behaviors that belong to an identifiable job or position. Role behavior may be either required or discretionary.

Role ambiguity A result of inadequate information regarding role-related expectation and understanding. This occurs when the individual does not clearly understand all the expectations of a particular role.

Role conflict A result of a conflict between managerial or individual expectations and managerial or individual experiences with regard to performance of the role.

Search conference A 13-day meeting involving as many organizational stakeholders as possible to reflect on the past, appreciate the present, and envision the future. The search conference specifically avoids a problem-solving approach in an effort to energize the organization toward a new way of working. (See also *Large-group interventions*.)

Selective perception The tendency to perceive only a part of a message, to screen out other information.

Self-awareness A positive goal of most training techniques that aim at behavior changes. Self-awareness means becoming

aware of one's existing patterns of behavior in a way that permits a relatively nondefensive comparison of those patterns with potential new ones.

Self-designing organizations A change program aimed at helping organizations to gain the capacity to fundamentally change themselves. It is a highly participative process, involving multiple stakeholders in setting strategic direction, designing appropriate structures and processes, and implementing them. This process helps organizations to learn how to design and implement their own strategic changes.

Self-regulating work group A work group that has a clearly defined series of tasks and a clear boundary so that the group can be generally responsible for its own output, quality, and work space. Also known as a *self-managing team*.

Sensitivity training A method of helping individuals to develop greater self-awareness and become more sensitive to their effect on others. Individuals learn by interaction with other members of their group.

Single-loop learning Organizational behaviors directed at detecting and correcting deviations from valued states or goals. This is concerned with fine-tuning how an organization currently functions. (See *Double-loop learning*.)

Six sigma A quality standard that specifies a goal of no more than 3.4 defects per million occurrences of an activity or process. Also refers to a management initiative emphasizing the pursuit of higher quality and lower costs.

Skill training Training that is more concerned with improving effectiveness on the job than with abstract learning concepts.

Social construction of reality An approach concerned with the processes by which people, their values, and commonsense and scientific knowledge produce meaning and reality.

Sociotechnical system A term that refers to simultaneously considering both the social system (human) and the technical system in order to best match the technology and the people involved.

Stakeholder A person or group having a vested interest in the organization's functioning and objectives.

Strategic change An approach to bringing about an alignment or congruence among an organization's strategy, structure, and human resource systems, as well as a fit between them and the larger environment. It includes attention to the technical, political, and cultural aspects of organizations.

Strategy Distinct from an objective or goal, a strategy defines how an organization will use its resources to gain a competitive advantage in the larger environment. It typically includes choices about the functions an organization will perform, the

products or services it will provide, and the markets and populations it will serve.

Stress management Activities aimed at coping with the dysfunctional consequences of work-related stress. These generally include diagnosing the causes and symptoms of stress and taking action to alleviate the causes and to improve one's ability to deal with stress.

Structure The structure of a system is the arrangement of its parts. Also, jargon for a change strategy that focuses on the formal organization. This is a particularly important class of interventions when the target for change is an entire organization.

Subsystem A part of a system. A change in any subsystem has an effect on the total system.

Survey feedback A type of data-based intervention that flows from surveys of the members of a system on some subject and reports the results of the surveys to the client system for whatever action appears appropriate.

System A set of interdependent parts that together make up a whole; each contributes something and receives something from the whole, which in turn is interdependent with the larger environment.

T-groups A method of helping individuals to develop greater self-awareness and become more sensitive to their effect on others. Individuals learn by interaction with other members of their group.

Task control The degree to which employees can regulate their own behavior to convert incoming materials into finished (or semifinished) products or other outputs.

Task force A group established to solve a particular problem (it may be disbanded when its work is accomplished).

Team building The process of helping a work group to become more effective in accomplishing its tasks and in satisfying the needs of group members.

Technology Consists of the major techniques (together with their underlying assumptions about cause and effect) that an organization's employees use while engaging in organizational processes or that are programmed into the machines and other equipment.

Theory X Typical Theory X managers believe that people dislike work and will avoid it whenever possible. Such managers feel that they themselves are a small, elite group of individuals who want to lead and take responsibility but that the larger mass of people want to be directed and avoid responsibility.

Theory Y Typical Theory Y managers usually assume that workers will accept responsibility provided they can satisfy personal needs and organizational goals at the same time.

Third-party intervention Activities aimed at helping two or more people within the same organization to resolve interpersonal conflicts.

Total quality management (TQM) A comprehensive and large-scale intervention that aims to focus all organization systems on the continuous improvement of quality.

Training An educational intervention typically focused on supervisors and individual contributors that is intended to increase the skills and knowledge of the workforce.

Transition state A condition that exists when the organization is moving from its current state to a desired future state. During the transition state, the organization learns how to implement the conditions needed to reach the desired future; it typically requires special structures and activities to manage this process.

Transformational change A radical change in how members perceive, think, and behave at work.

Transnational strategy A worldwide strategy with goals of customized products/services and efficient and responsive operations. Attempts to integrate operations on a worldwide basis.

Transorganizational development An intervention concerned with helping organizations to join into partnerships with other organizations to perform tasks or solve problems that are too complex and multifaceted for single organizations

to resolve. Includes the following cyclical stages: identification, convention, organization, and evaluation.

Trust level The degree of mutual trust among a set of persons. Raising the trust level is usually a major goal of team building.

Uncertainty avoidance In cross-cultural analysis, the extent to which people in a culture avoid risk taking and prefer routine, knowable situations.

Unfreezing A reduction in the strength of old values, attitudes, or behaviors.

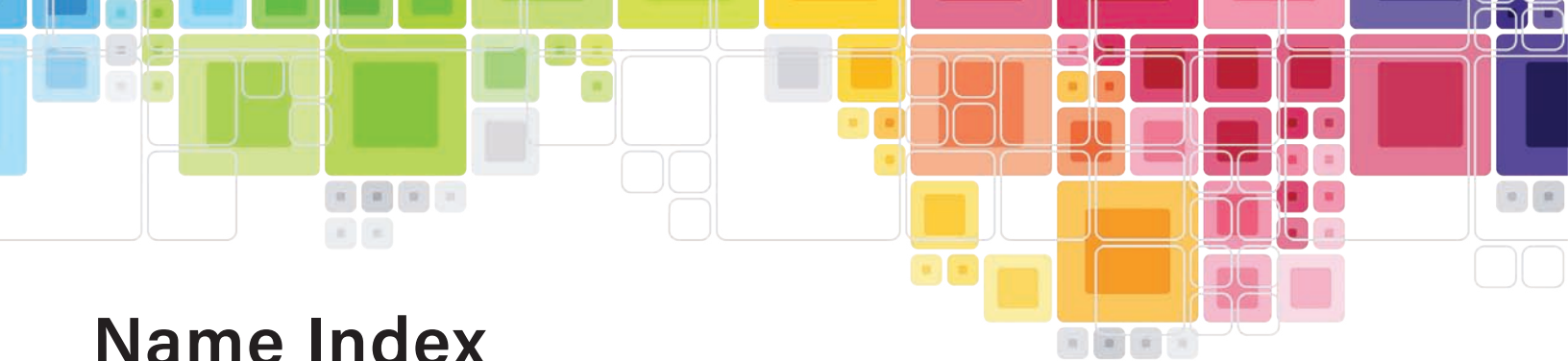
Value judgment Statement or belief based on or reflecting the individual's personal or class values.

Values Relatively permanent ideals (or ideas) that influence and shape the general nature of people's behavior.

Visioning A process typically initiated by key executives to define the mission of the organization and to clarify desired values for the organization, including valued outcomes and valued organizational conditions.

Work design The arrangement of tasks, people, and technology to produce both psychological outcomes and work performance.

Some of the terms used in this glossary were taken or adapted from *Reference Book: Organizational Effectiveness* (Fort Leavenworth, Kan.: U.S. Army Command and General Staff College, 1979).



Name Index

A

AbbVie, 78
Academy of Management, 9
Accounting Services department, 90
Adhikar, 124–128
Adidas, 9, 78
Administrative and Operational Support Unit (AOSU), 56, 57
Adobe Systems, 252
Aetna Inc., 270
AFICA Group, 241
Airbus, 188–196
Air New Zealand, 9
Akzo-Nobel (The Netherlands), 9
Alaska Health Workforce Coalition (AHWC), 355–357
Alcoa, 280
Alegent Health (AH), 161–163
Alibaba, 4
All Blacks organization, 95, 96
Amazon.com, 4, 5
Ambassador Program, 155–157
Ambulatory surgery centers, 25
American Airlines, 9, 269
American Express Financial Advisors, 307
American Productivity and Quality Center, 205
American Psychological Association, 9
American Society for Quality, 205
American Standard, 312
Americans with Disabilities Act, 268
Andersen Windows, 218
Apple, 47, 72, 168, 305
Appreciative Inquiry (AI) Summit, 22, 23, 155, 160
Argyris, Chris, 12, 165
Asea Brown Boveri (ABB), 308
Assessment centers, 274
Assistance Professionals Association, 280
The Association for Talent Development, 272
Asus, 312
AT&T, 221, 256

B

Baby boomers, 266
Baldo, A., 317
Baldrige Award, 206
Ballmer, Steve, 72
Baxter International, 270
B. Braun Medical, 257
Beckhard, Richard, 6, 8, 77, 154
Beefeater Grill, 173
Beer, Michael, 173, 209

Beijing Arbitration Commission, 9
Bel, 274
Benedictine University, 9
Ben & Jerry's, 339
Berry Growers, 79
Bessler, Robert, 277
BetterCloud, 155–157
Blake, Robert, 6–8
Block, Peter, 36
Blok, Jos de, 230
Blue Cross-Blue Shield, 321
Boeing, 9, 163
Bonnet, Ken, 238
Bösendorfer, 49
Boss, R. W., 145
Bowling Green State University, 9
Bowman, Richard, 396–400, 409
Brauer, M., 176
Brioche Pasquier Group (BPG), 9, 331–333
B. R. Richardson Timber Products Corporation, 396–409
Burke, Warner, 5
Business Charter for Disability, 272
Buurtzorg Nederlands, 229–231

C

Calvez, Didier Le, 321
Cambia Health Solutions, 252, 259, 260
Cameron, K., 319
Canadian Broadcasting Corporation, 163
Capital One, 68
Carnegie Foundation, 6
Carrefour, 45, 269
Case Western Reserve University, 9, 22
CBS, 49
Center for Effective Organizations, 59
Cerrano, John, 107
Chevrolet, 311
Chicago's Tremont Hotel, 7
CH2M, 273
Christian Caring Homes, Inc. (CCH), 136–138
Cincinnati Milacron, 257
Cisco I-Zone, 204
Cisco Systems, Inc. (Cisco), 198, 203, 204, 305, 352
Clorox, 270
CoachVille, 276
Coalition for Environmentally Responsible Economies (CERES), 339
Coch, Lester, 7
Cohen, Tim, 50, 149

Collier, John, 7
 Columbia University, 7
 Communications Workers of America, 8
 COO, 137, 138
 Cooperrider, David, 22
 Copperfield, Matt, 107
 Corning Glass Works, 223
 Corporate Equality Index, 267
 Corporate social responsibility (CSR), 386
 Costa Coffee, 173
 Costco, 45
 Cruise, Tom, 218
 Cummings, C., 3, 4
 Cummings, T., 3, 4, 168, 314, 352
 Customer and Enterprise Services (CES), 89–91
 Cuyahoga River Valley Organization (CRVO), 410–418
 C&W, 63, 64

D

Dan, 141, 142
 Daniel, J., 59
 Data General, 287
 DaVita, 252, 329
 de Blok, Jos, 230
 Dekkers, Guus, 188, 189, 191, 193, 194, 196
 Deloitte, 252
 Deming, W. Edwards, 205
 Denton, Robert, 101–104
 Design Network (DN), 170
 Det Norske Veritas (DNV), 342
 Detroit Edison, 7
 Developing Local Talent through Technology, 204
 Digital Equipment Corporate (DEC), 287
 DISC behavior assessment tool, 278
 Disk Drives, Inc. (DDI), 287–291
 Disney, 318
 DiversABILITY, 271
 DMT, 169, 170
 Donnan, Susan, 188, 189, 191, 194, 195
 Douglas McGregor, 6
 Driscoll, 78, 79
 Driscoll's of the Americas (DOTA), 79, 80
 Duke Energy, 267
 DuPont, 270
 Dutch company, 230
 Dutch Ministry of Health, Welfare, and Sport, 230
 Dyer, W., 143

E

easyJet, 274
 Eaton Corporation, 78
 Emerging Technology Group (ETG), 204
 Emerson, 313
 Employee Assistance Professionals Association, 280
 Employee assistance programs (EAPs), 266, 279–280
 Employee resource groups (ERGs), 201–204, 211, 212, 269, 273
 Enedis, 335
 The Energy for Performance program, 281
 Enron, 251
 Enterprise resource planning (ERP) system, 219, 220
 Environmental, social, and governance (ESG) issues, 386
 Envisioning, 302

Equal Employment Opportunity, 268
 Eric Trist, 8
 Eskom, 69
 Esso Standard Oil, 6
 European Union, 305
 Euro-Pharma (EP), 35–38
 ExxonMobil, 305

F

Facebook, 387
 Fazioli, 49
 FAVI, 241–245
 Fielding Graduate University, 9
 FirstRand Limited, 373–375
 Floyd, George, 386
 Ford, Henry, 8
 Fordyce, J., 154
Fortune, 65, 235, 236, 263, 326
 Four Seasons George V, 321
 French, John, 7
 Frito-Lay, 257
 Fuji-Xerox, 350

G

Gaines Pet Food, 8, 261
 Galaxy Desserts (GD), NY, 333
 Galbraith, J., 44
 Gallup, 59, 252
 Gap Inc, 338, 341
 Garnier, 271
 Gates, Bill, 72
 Gender Equality European and International Standard, 272
 Genentech, 279
 General Foods, 257
 General Mills, 6, 9, 68, 225, 257
 General Motors, 8, 305, 311
 Generation Xers, 266
 Generation Z, 266
 Gerstner, Lou, 322
 Gibson Guitar Company, 149
 Gini index, 386
 GitHub, 225
 Global and Multinational Designs, 312–313
 Global Business Certification Standard for Gender Equality, 272
 Global Contact Center (GCC) vision, 219, 220
 Goodyear, 257
 Google, 5, 72, 305
 Google X, 305
 Gordon Lippitt, 12, 34
 Gore, W. L., 225
 Gould Academy, 6
 Greiner, 168

H

Hackman, J., 50, 54, 140, 143, 222
 Hackman, Richard, 221
 Hamel, G., 172
 Hamilton, Edith, 7
 Hans, 38
 Harley-Davidson, 257, 329
 Harris, 77

Harwood Manufacturing Company, 7
 Hayek, Andrew, 24–26
 Health Resources and Services Administration, 357
 Henry Ford, 217
 Herbert Shepard, 6
 Herzberg, Frederick, 221
 Hewlett Packard (HP), 312
 Hilti, 219, 220
 Hilti's Global Contact Center (GCC) program, 219
 HIO, 211, 212
 Hitchin, 329
 Hoechst, 313
 Hogan, K., 72
 Holiday Inn, 350
 Home Depot, 274
 Honeywell, 8
 HP-Compaq, 318
 Hsieh, Tony, 308
 Hult International Business School, 9
 Humler, Herve, 207
 Huse, E., 155

I

IBM, 5, 9, 27, 60, 256, 318, 322–323, 329
 iCON (Indians Connecting People), 204
 Illycaffè, 341–343
 Imperial Chemical Industries, 221
 Implementation Advisory Team (IAT), 80
 Informal networks, 310
 Information technology (IT), 156, 216, 218, 220, 221, 223, 230
 Ingersoll-Rand, 257
 Institut de Socio-Economie des Entreprises et des Organizations
 (Institute for Socio-Economic Enterprises and Organizations
 (ISEOR), 385
 Institute for Social Research, 7
 Intel Corporation, 9
 Intellectual property (IP), 37, 141
 Intercontinental Hotels Group, 267
 Internal company dynamics, 301
 International Coaching Federation, 276
 International Coffee Agreement (ICA), 341
 International Design, 311–312
 International Labor Organization (ILO), 79
 International Organization for Standardization, 205, 339
 International Society for Organization Development and Change
 (ISODC), 9
 International Society of Six Sigma Professionals, 205
 International Space Station, 233
 Intuit, 198
 ISC, 329–330
 Israeli Army, 62
 Italtel, 352

J

James Collins, 173
 JCDecaux, 129
 JDS, 223
 Jennifer Schulte, 210, 211
 J&J's *Live for Life* wellness program, 281, 282
 Job Characteristics Model (JCM), 221, 222, 225
 Job Diagnostic Survey (JDS), 54, 222

Job Rotations and Stretch Assignments, 276
 Johnson & Johnson, 270, 280–282
 Joyce, 167
 Juran, Joseph M., 205

K

Kaiser Permanente, 9
 Kaplan, R., 136
 Karen Lynch at CVS Health, 302
 Kathleen Hogan, 72
 Kawai, 48, 49
 Kenworth Motors, 101–104
 Key performance indicators (KPIs), 219, 220, 250
 Kimberly-Clark, 257
 Kimpton Hotels and Restaurants, 270, 280
 Knowledge management (KM), 163, 164, 167, 168, 178
 Kotter, 19, 44
 KPMG, 230
 Kruger, Nicolaas, 373–375, 383
 Kurt Lewin, 7, 19, 60

L

Laamanen, T., 176
 Lancôme, 271
 Large-scale organization, 328–343
 Lawler, Edward, 81–83, 97, 213, 235
 Lawler, Jack, 396–400, 409
 Le Calvez, 321
 Lenovo, 312
 Lester Coch, 7
 Lewin, Kurt, 7, 20, 22, 60
 Liechtenstein, 219
 Likert, 7, 8
 Lilly Value and Access, 206
 Lincoln Hospital, 182–187
 Line Managers, 301–302
 Lippitt, Gordon, 19
 L.L. Bean, 163
 Lockheed Martin, 9
 L'Oréal Paris, 271
 L'Oréal's U.S. operations, 269, 271
 L'Oréal Veterans, 271–272
 Luft, 134

M

Malcolm Baldrige National Quality Award, 205, 207, 208
 Mann, Floyd, 7
 Marks & Spencer, 333
 Mark Thomson at the *New York Times*, 302
 Mars, 198
 Mars Ambassadors Program (MAP), 212
 Mars Volunteers Program (MVP), 212
 Massachusetts Institute of Technology's (MIT), 6
 Maybelline, 271
 McConkie, M., 145
 McDonald's, 43, 47
 McKinsey & Co., 44, 59, 163
 McLean, 210
 MECK Insurance, 362–372
 Mentoring programs, 268

Merger integration planning, 348
 Michaels, Paul, 211
 Michelin, 313
 Microsoft, 5, 9, 68, 71–73, 252, 274, 318
 Microsoft and Activision (gaming), 347
 Millennials, 266
 Minecraft, 72
 MIT's Society of Organization Learning, 7
 M&M, 210
 MMI Holdings Ltd., 373–383
 Mohrman, S., 50
 MOT, 52–54
 Motorola, 205
 Mouton, 7, 8
 Munson, Jacqueline, 204

N

Nadella, 72
 Nadler, D., 44
 Nancy McKinstry at Wolters Kluwer, 302
 National Education Association, 6
 National Insurance, 89, 90
 National Research Council, 176
 National Training Laboratories (NTL), 6
 Naval Research, 6
 NEOMA Business School (NBS), 56, 57
 Nest, 305
 Nestlé, 312–313
 Netflix, 255
 Network organizations, 308
 Neusoft Corporation (China), 9
 New Orleans' Ochsner Health System, 205
 Nike, 9, 255
 Nintendo, 27
 Nokia, 72
 Nondisclosure agreement (NDA), 37
 Nordstrom, 319
 North American market, 79
 Northrop Grumman, 6
 Norwegian College, 62

O

Office of Naval Research, 6
 Oil, Chemical, and Atomic Workers, 8
 Olbert, Britta, 35
 Oldham, Gregory, 221
 One-day CSI-255, 278
 Oracle, 47, 273, 316–318
 Oracle and Cerner (digital health care), 347
 Organization and Talent Development (OTD), 316
 Organization Development Consulting Practices (ODCP), 316
 Organization Development Practitioner Roles and Skills in
 Transorganizational Networks, 358
 Orrefors, 9
 Oscar, 146, 148
 Otis Elevator, 313
 O'Toole, J., 344
 Ouchi, W., 326
 Owens-Corning, 274

P

Parker, Sally, 410
 Park, Menlo, 177
 Pasquier, Pascal, 330
 Patagonia, 338
 Pedigree, 210
 PeopleSoft, 218
 Peppercorn Dining, 105–123
 Pepperdine University, 7, 9
 Pepsi, 203
 PepsiCo, 9, 198, 269, 273–276
 Piano, Baldwin, 49
 Pinduoduo, 4
 Pinkerton, 138
 Porras, J., 326
 Porter, Michael, 65, 344
 Prahalad, C., 172
 Premier Hotels, 173
 Procter & Gamble, 9, 168, 225, 257, 269
 Prologis and Duke Realty (global logistics), 347

Q

Qualcomm, 354
 Quality-of-work-life (QWL), 8, 9, 198, 199, 206, 209
 Quasi, 89
 Quinn, R., 30, 65

R

Radvan, Martin, 211
 Randall, Drew, 105–107, 111, 113, 116–120, 122
 Rand Merchant Bank Holdings (RMBH), 373
 Raytheon, 257
 Reims Management School, 56
 Rensis Likert, 7
 Research Center for Group Dynamics, 6, 7
 Ritz-Carlton Hotel Company, 206–208
 Roche, 168
 Ron, 141, 142
 Ross and Sherwin (R&S), 141
 Ross, W., 329
 Rouen Business School, 56
 Rugby Championships, 95
 Rugby World Cups, 95

S

Saab (Sweden), 9
 Saab-Scania, 231
 Safran, 274
 Salesforce, Inc., 198, 218
 Samick, 49
 SAP, 218
 SAS Institute, 270, 279
 SCA University, 26
 Schaan, 219
 Schein, Edgar, 39, 133–135
 Schneider, Hans, 35, 37
 Schön, 165
 Selmer Instruments, 49
 Semco, 225
 Semen Indonesia (SMIG), 419–426

Senge, P., 165
 Service-Learning Projects, 277
 Shell, 163
 Shingo Prize, 205
 Siemens, 313
 Simon, 137, 138
 Six Sigma, 205
 SMART (specific, measurable, achievable, relevant, and timely), 260
 Smithton, Leeza, 292–298
 Snickers, 210
 Social networks, 273
 Soetjipito, Dwi, 420–423, 425, 426
 Sony, 318
 Sound Physicians (SP), 277–278
 Southwestern Free Clinic (SFWC), 292–298
 Square One Consulting, 105
 Sprint-Nextel, 280
 Standard Oil of New Jersey, 305
 Steelworkers, 8
 Steinway craftspeople, 48–50
 Steinway Musical Instruments Company, 49
 Steinway pianos, 49
 Steinway's corporate revenues, 49
 Steinway's design components, 50
 Steinway's New York plant, 49
 Steinway & Sons, 49
 Steinway's parent company, 49
 Strategic Alliance Interventions, 350–352
 Strategy Formulation, 335
 Sullivan Hospital System (SHS), 238–240
 Sunflower Incorporated, 99–100
 Surgical Care Affiliates, Inc. (SCA), 25
 Sustainable Organizations, 338–343

T

Tannenbaum, Bob, 6, 11
 Taos Institute, 23
 Target, 270
 Tavistock Institute of Human Relations, 8
 Taylor, Frederick W., 217
 TechNova Solutions, 223, 224
 Ted, 146, 148
 Telemundo Network, 280
 Texas Instruments, 221
 Theranos, 251
 Thomas, David, 173, 174
 Tjosvold, 136
 Toto, 312
 Toyota's Kaizen, 27
 Training and development programs, 272–273
 Transnational organization designs, 313
 Transorganizational Network Interventions, 351–355
 Transportation Security Administration, 273–274
 Tremont Hotel (Chicago), 7
 Tricon, 275
 Tri-Nations tournament, 95
 Trist, Eric, 353
 TRW Space Systems, 6
 Tumi, 308
 Tushman, M., 44
 Twitter, 387

U

Uber, 251
 Uncle Ben's, 210
 Unilever, 9, 274
 United Automobile Workers, 8
 United Furniture Worker's union, 49
 UnitedHealth Group, 26
 United Technologies, 257
 University of Southern California, 9, 59, 251
 University of Technology of Chile, 204
 U.S. and global organizations, 271
 U.S. Army, 163
 U.S. companies, 267
 U.S. Department of Labor, 261
 U.S. health care industry, 277
 U.S. market organization, 219
 U.S. Navy, 62
 U.S. public corporations, 259
 U.S. Veterans Administration (VA), 218

V

Valve, 225
 Vaycot Products, 146–148
 VCA animal hospitals, 210
 Verizon, 279
 Virginia, 210
 Vitro (Mexico), 9
 Volt, Chevy, 311
 Volvo, 231, 233

W

Walton, R., 139
 Watchdog nongovernmental organizations, 301
 Watson, J., 19
 Wellness Program, 280–282
 Wells Fargo Bank, 280
 Western union, 27
 Westley, B., 19
 Whiskas, 210
 Whitbread PLC, 172–174
 Whyte, William, 7
 Williams, Deborah, 35–38
 Women of Color Think Tank, 271
 Women's and Children's (W&C) DA workshop, 161–163
 World Café, 159
 Worldwide Organization Designs, 311–313
 Worley, C., 329
 Wrigley's, 210

X

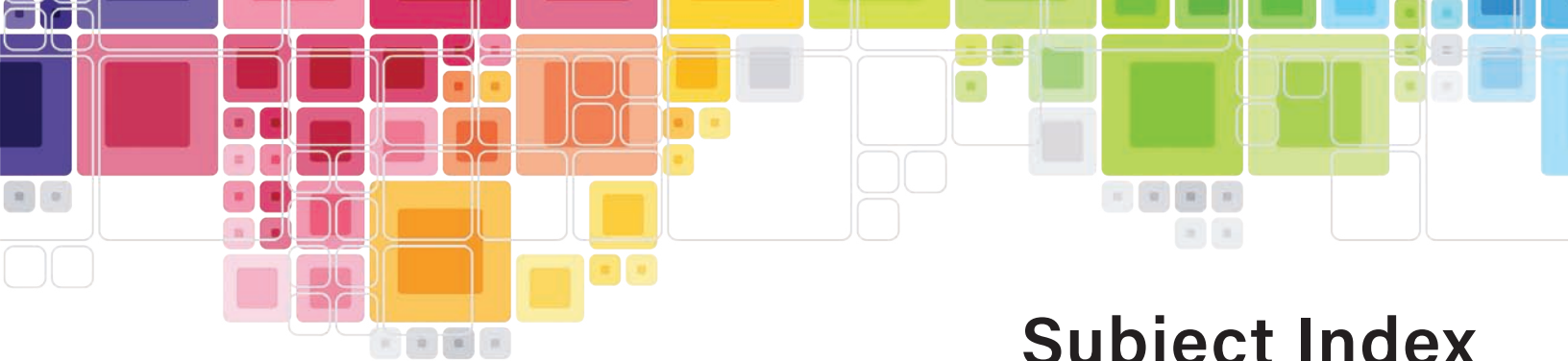
Xerox, 350

Y

Yamaha, 48, 49
 Young Chang, 49

Z

Zappos Network Structure, 308–309
 Zara, 307
 Zobrist, Jean-François, 241–244



Subject Index

A

Action research model, 7, 19, 20–22
Active learning process, 165
Active listening, 11, 75
Activist vs. neutral orientations, 358
Adaptive learning processes, 165
Adhocracy cultures, 320
Administrative and Operational Support Unit (AOSU), 56, 57
Administrative methods, 46
Age diversity, 266
Agile organizations, 328, 330–338
 ambidextrous organization structure, 336
 application stages, 335–338
 implementing routine, 334–336
 ING's Journey to, 337–338
 perceiving routine, 334
 strategizing routine, 334
Alegent Health (AH) organization, 161–163
Alignment, organizational system, 44
Alpha change, 89
Alternative dispute resolution, 136
Ambiguity, 12
Americans with Disabilities Act, 268
“Antiglobalization” movement, 4
Application
 Alaska Health Workforce Coalition (AHWC), 355–357
 Alegent Health (AH), 161–163
 BetterCloud, 156–157
 Brioche Pasquier, 331–333
 Buurtzorg Nederlands, 230
 Cambia Health Solutions, 260–261
 Christian Caring Homes, Inc. (CCH), 137–138
 Cisco Systems, Inc. (Cisco), 203–204, 352
 culture change at IBM, 322–323
 Customer Service Process at Hilti, 219–220
 C&W, 63–64
 DMT, 169–170
 illycaffè, 341–343
 Johnson & Johnson (J&J), 280–282
 ING's Journey, 337–338
 L'Oréal, 271–272
 Managing Change at Driscoll's, 79–80
 Mars, 210–212
 Menlo Park, 177
 Microsoft culture, 72–73
 MOT, 52–54
 National Insurance, 90–91
 New Zealand's All Blacks, 95–96
 PepsiCo, 275–276

 post-merger integration, 349–350
 Ritz-Carlton Hotel Company, 207–208
 Ross and Sherwin (R&S), 141–142
 Sound Physicians, 277–278
 Steinway & Sons, 49
 Surgical Care Affiliates, Inc. (SCA), 25–26
 TechNova Solutions, 224
 Vaycot Products, 146–148
 Whitbread PLC, 173–174
 Zappos network structure, 308–309
Appraisal processes, 47
Appreciative inquiry (AI) model, 19, 22–23
 knowledge base, 23
 summit approach, 160
Artifacts, 319
Attitudinal change strategy, 155
Authority, 133
Autocratic supervision, 225
Autonomy, 55, 221

B

Balanced scorecard, 250
Behavioral interventions, 155
Benchmarks, 206
Beta change, 89
Big data, 4
“Blind” window, 135
Boundaries, 43
Boundary control, 227
Boundary management, 226
Business process reengineering (BPR), 217–221, 223, 231, 234
Business strategy, 249

C

Calibration, 93–94
Career, 273
Career planning and development, 265, 272
 interventions, 273–274
 at PepsiCo, 275–276
Change. *See* Planned change
Change capability, 4
Change management, 3, 4, 24, 389
Clan culture, 320
Classic measurement methods, 89
Client–practitioner relationship, 21
Cloud computing, 4
Coaching, 276–277
Coalition for Environmentally Responsible Economies (CERES), 339

Codification, 168
 Cogenerative dialogue process, 358
 Collaborative effort, 7
 Commitment, 93
 Communication, 75, 133
 in reward systems, 259
 Comparison unit, 89
 “Competing values” approach, 320
 Comprehensive diagnostic model, 41
 Conflicts, 136
 episodic model of, 136–139
 management, 141–142
 resolution process, 139–140
 Confrontation meeting, 153–154
 Congress, 269
 Connecticut Interracial Commission, 6
 Content analysis, 60
 Content interventions, 135
 Continuous changes, 301
 Continuous OD interventions, 27
 Continuous transformational change, 28
 Contracting process
 with Euro-Pharma (EP), 37–38
 ground rules, 36–39, 39
 interpersonal process issues in, 39
 mutual expectations, 36
 time and resources, 36
 Control systems, 225
 Coordination, 50
 Core values, 68
 Corporate anorexia, 172
 Corporate social responsibility (CSR), 386
 Covert communication, 133
 COVID-19 pandemic, 4, 269, 353, 385
 and digitalization, 265
 impact on emotional or mental health, 280
 international and domestic travel drop, 172
 organizational reward systems during, 253–254
 team-building activities, 140
 virtual work preference, 270
 Cross-functional design team, 218
 Crowd-sourced feedback, 253
 CSI leadership development program, 278
 Cultural diversity, 267
 Cultural integration activities, 349
 Cultural values, 69
 Culture, 47
 Culture change, 301, 322–323
 Customer-centric organizations structure,
 307–308
 Customer service process, 219–221

D

Data analysis methods, 60–61
 Data collection methods, 58–60
 Data gathering, 21
 “Decision accelerator” interventions, 163
 Decision-making processes, 26
 Deep assumptions, 320
 DEI initiatives, 5, 386
 Demographic variables, 50

Descriptive statistics, 60
 Design components, 50–51
 Design team, 157, 250
 Deuter learning, 167
 Deutero learning, 165
 Developmental theory, 21
 Diagnosing
 comprehensive model for, 303
 data analysis methods, 60–61
 data collection, 58–60
 definition, 42
 feeding back, 61–64
 open-systems model, 42–44
 organizational systems, 44–57
 Diagnostic models, 42
 Dialogue process, 166
 Difference tests, 61
 Differentiation, 305
 Diffusion, 93
 Digital publishing, 5
 Digital sociotechnical system design, 225
 Digital technologies, 4
 Dilemma of emotional contagion, 158
 Dilemma of structure, 158
 Dilemma of voice, 158
 Disability diversity, 267
 Distribute knowledge, 168
 Diversity, 391
 dimensions, 266–267
 implementation, 269
 interventions, 269–272
 training, 270
 Diversity, equity, and inclusion (DEI), 5, 386
 Divisional organizations structure, 305
 Division of Industrial Psychology, 9
 Doctor–patient model, 21
 Dodd-Frank legislation, 259
 Double-loop learning processes, 165, 167
 Downsizing, 172–177
 Driscoll’s of the Americas (DOTA) organization, 79
 Dynamic strategy-making process, 168–172

E

Eastern & Central Europe, Middle East, & Africa (ECEMEA),
 316–317
 Economic and financial outcomes, 338
 Economic development, 69
 Economic feasibility, 253
 Effectiveness, 3
 individual-job, 55
 of organization, 47
 Egocentric dilemma, 158
 11-point plan, 174
 Employee assistance programs (EAP), 279–280
 Employee engagement (EE) interventions, 198, 201–204
 affects on productivity, 200–201
 definition of, 199–200
 and employee engagement, 200–201
 organization factors, 200
 total quality management (TQM), 205–206
 work design and, 270

workplace factors, 200
 Employee involvement (EI) interventions, 8, 198, 201–204, 249, 250, 270
 affects on productivity, 200–201
 definition of, 199
 employee engagement and, 200–201
 total quality management (TQM), 205–206
 Employee well-being, 3
 Enacted environment, 45–46, 48
 Engineering approach, 217
 Entering process
 Euro-Pharma (EP), 35
 interpersonal process issues in, 39
 organizational issue, 33
 relevant client, 33–34
 Environmental, social, and governance (ESG) issues, 386
 Environments, 42–43, 49
 Envisioned future, 68
 Episodic model of conflict, 136–139
 Equal Employment Opportunity, 268
 Equity, 267
 Espoused values, 319
 Ethics, organization development practitioner, 11–12
 Ethnic diversity, 267
 Evaluation feedback, 85–87, 90–91, 269
 Evaluation, OD intervention, 84–91
 design, 88–91
 implementation and evaluation feedback, 85–87
 measurement, 87–88
 Evidence-based knowledge, 27
 Evidence-based management, 84
 Excellence in Leadership Award, 261
 Exercise facilities, 279
 Experienced meaningfulness of work, 221
 Exploratory work systems, 335
 External environment, 44
 External equity, 254
 External OD consultants, 10
 External validity, 88
 Extrinsic rewards, 93
 types of, 256–259

F

Feedback, 7, 21, 43, 61–62, 135
 evaluation, 85–87, 90–91
 Field knowledge, 42
 Focus group, 59
 Force-field analysis, 60–61
 Formal contracting process, 37
 Formal cross-unit teams, 310
 Formal mentoring programs, 274
 4-D Cycle, 23
 Fourth Industrial Revolution, 4
 Frame of reference, 21
 Functional organizations structure, 305
 “Future Whitbread” strategy, 173–174

G

Gainsharing systems, 257–258
 Gamma change, 89, 303

Gender identity, 266
 General environment, 44–46, 45, 48
 Generalization processes, 165
 Generate knowledge, 168
 Generative learning, 165
 Geopolitical instability, 391
 Global integration, 311
 Globalization, 4, 385
 Global organization design, 312–313
 Goal clarity, 50
 Goal-setting process, 250–251
 “Google effect,” 387
 Grid Organization Development, 7–8
 Ground rules, 36, 39
 Group composition, 50–51
 Group design, 54
 Group functioning, 51, 52, 54
 Group interventions, 135–136
 Group-level diagnostic models, 50–54
 Group norms, 52, 54, 133

H

Hackman’s task group design model, 50
 Health and wellness program, 280–282
 Health benefits and liberal vacation policies, 267
 Health Facilities, 279
 Health profiling, 279
 Herzberg’s two-factor theory, 221
 Hierarchical culture, 320
 Hierarchy reward systems, 255
 Higher-level system, 42
 High-involvement organizations (HIOs), 206–212
 Human capital management practices, 260–261
 Human process interventions, 24
 Human resources (HR), 156
 function, 13
 interventions, 24
 issues, 69–70
 practices, 329
 processes, 156, 157, 210, 211, 224, 249, 250, 252, 253, 254, 259, 260, 272, 300, 304
 systems, 47, 48, 50
 Humble consulting, 135
 Hygiene factors, 221

I

Implementation feedback, 85–87
 Incentive effect, 259
 Inclusion, 268
 Incremental changes, 26
 Individual interventions, 134–135
 Individual-level diagnosis, 54–57
 Individual vs. group rewards, 255
 Individual well-being, 268
 Industrial revolution, 5
 Industry discontinuities, 301
 Informal networks, 310
 Information technology (IT), 4
 Inputs, open systems, 43
In Search of Excellence (Peters and Waterman), 388

Integrated strategic change (ISC), 329–330
 Brioché Pasquier, 331–333
 processes and interventions, 388–389
 Interdependence, 46, 52
 Intergroup conflict interventions, 145, 154–155, 320
 “Interlocking chain of conferences,” 7
 Internal equity, 254
 Internal market network, 308
 Internal OD consultants, 10
 Internal OD practitioners, 36
 Internal validity, 88
 International design, 311–312
 International division, 312
 International Society for Organization Development and Change (ISODC), 9
 Interpersonal and group process, 132
 diagnostic issues in, 133
 group interventions, 135–136
 individual interventions, 134–135
 process consultation, 133–136
 team building, 140–149
 third-party interventions, 136–140
 Interpersonal conflict, 139
 Interpersonal process issues, 39
 Intervention variables, 87
 Interview measures, 59, 63
 Intrinsic rewards, 93, 254
 Invention, 165

J

Job characteristics model (JCM), 221–222
 Job crafting, 229
 Job-design components, 55
 Job Diagnostic Survey (JDS), 222
 Job enrichment, 85, 86
 Herzberg’s theory of, 222
 program for software developers, 224
 Job sharing, 270
 Johari Window, 134–135
 Joint optimization, 226
Journal of Applied Behavioral Science and Research in Organization Change and Development, 22
 Journey to Agility, 337–338

K

Key performance indicators (KPIs), 219–220, 250
 Knowledge bases of power, 76
 Knowledge management (KM), 163–168
 Knowledge of outcomes, 68
 Knowledge of planned change, 27–28

L

Laboratory training, 6–7
 Labor force, 5
 Labor markets of modern organizations, 269
 Ladder of inference, 166
 Large-group interventions, 155–163
 Large-scale change interventions, 8, 300
 agile organizations, 330–338
 characteristics, 301–303

environmental and internal disruptions, 301
 integrated strategic change (ISC), 329–330
 multiple stakeholders, 302
 organization culture, 318–323
 organization design. *See* Organization design
 self-design, 314–318
 senior executives and line managers, 301–302
 sustainable organizations, 338–343
 Large-scale downsizings, 176
 Large-scale interventions, 24
 Large-scale multi-organizational interventions, 346
 mergers and acquisitions (M&As), 346, 347–350
 strategic alliance, 350–351
 transorganizational network interventions, 351–357
 Leadership, 133, 228
 development interventions, 266, 268, 274–279
 development program, 268, 277–278
 training program, 278
 Learning organization, 165
 Levels of performance, 19
 LGBTQ+ community, 267
 Likert scale, 7
 Local responsiveness, 311, 312
 Longitudinal measurement, 88
 Long-term planned change process, 24
 Lower-level systems, 42

M

Magnitude of change, 26–27
 Malcolm Baldrige National Quality Award, 205
 Management by objectives, 250
 Management processes, 48, 50, 304
 Managerial innovation, 5
 Market culture, 320
 Matrix organizations structure, 305–307
 Mechanistic controls, 310
 Mechanistic design, 304
 Mechanistic organizations, 165
 Mentoring, 274
 Mergers and acquisitions (M&As), 346, 347–350
 Metaverse, 9
 Mindfulness interventions, 280
 Mindfulness training, 279
 Mindless benchmarking, 388
 Motivation, 200
 Motivational approach, 221–225
 Multi-disciplinary social science, 2
 Multifunctional teams, 307
 Multinational organization designs, 312–313
 Multi-organizational changes, 8, 301
 Multi-organizational systems, 44, 346
 Multiple stakeholders, 302
 Mutual expectations, 36
 MyDevelopNet, 275

N

Negotiation skills, 358
 NEOMA, 56–57
 Networking skills, 358
 Network structures, 308

New Zealand's All Blacks, 95–96
 Nondisclosure agreement (NDA), 37
 Nonprofit TNs, 353
 Normative consensus, 94
 Norms, 51, 54, 159, 319–320

O

Objectives and key results (OKRs), 250
 Observations, 59
 Obtrusive measures, 89
 Occupy Wall Street movement, 386
 Open posting, 258
 Open-space methods, 159
 Open-systems methods, 158
 Open-systems model, 42–44
 environments, 42–43
 Open-systems plan, 302
 Operational and technical integration activities, 349
 Oracle Corporation, 316–318
 Organic design, 304
 Organizational reality, 165
 Organizational systems, 44–57
 comprehensive model for, 45, 303
 Organization culture, 318–323
 artifacts, 319
 change, 321–323
 deep assumptions, 320
 levels, 318
 norms and values, 319–320
 Organization design, 44, 50, 54
 application steps, 313–314
 components, 303–305
 definition, 303
 dividing and coordinating work, 305–311
 interventions, 313–314
 worldwide, 311–313
 Organization development (OD), 6
 change management, 389
 and change management, 3
 current state of, 385
 defined, 3–4
 diagnosis. *See* Diagnosing
 ecological objectives, 390
 economic objectives, 390
 entering and contracting. *See* Entering process, Contracting
 process
 evolution in, 9
 feedback in, 7
 future directions in, 384–392
 growth and relevance of, 4–5
 history, 5–9
 interventions in, 24, 27
 management processes, 46
 overview, 12–14
 responsible progress, 389–390
 social objectives, 390
 socioeconomic context, 385–387
 structure, 46
 technology context, 387
 Organization Development Consulting Practices (ODCP)
 team, 316
 Organization development (OD) interventions
 activity planning, 77
 designing, 67–71
 developing political support, 76–77
 evaluation, 84–91
 implementation, 71–81
 issues, 69–70
 learning processes, 78
 motivating change, 73–75
 reinforcing, 91–96
 role of, 171
 sustaining momentum, 78–80
 target of change, 69–70
 transition management, 77–78
 Organization development (OD) practitioner, 9–12
 competencies, 10–11
 ethics, 11–12
 general consultation skills, 11
 interpersonal skills, 11
 intrapersonal skills, 11
 professional values, 11
 relevant client, 33–34
 role, 10
 selection, 34–36
 in transorganizational networks, 358
 Organization development theory, 11
 Organization effectiveness, 47
 Organization factors, 200
 Organization learning (OL), 163–168
 interventions, 163–167
 Organization-level diagnostic models, 44–50
 Organization process
 confrontation meeting, 153–154
 downsizing, 172–177
 dynamic strategy making, 168–172
 interventions, 153–155
 large-group interventions, 155–163
 organization learning and knowledge management,
 163–168
 outcomes in, 259
 Organization's mission and strategy, 302
 Organize knowledge, 168
 Outputs, open systems, 43

P

Parsimonious intervention, 280
 Participative management program, 7
 Participative system, 258
 Participatory action research, 21
 Performance appraisals, 252–253, 261, 267
 Performance based rewards, 256–257
 person/job based vs., 255
 Performance contingency, 254
 Performance management
 application stages, 250
 complementarities, 267
 comprehensive approach to, 267
 elements of, 250
 goal setting, 250–251
 model, 249–250
 overview, 248–249

Performance management (*Continued*)
 performance appraisal, 252–253
 reward systems, 253–261
 Performance objectives, 218
 Personal biases, 59
 Personality sources of power, 76
 Personalization strategies, 168
 Personal management interviews (PMIs), 149
 Personal-need factors, 232–233
 Person/job based vs. performance based
 rewards, 255
 Planned change
 AI model of, 22
 comparison, 20
 critique, 27–28
 cyclical phases of, 21
 diagnosing, 24
 different types, 24–27
 evaluation and reinforcing, 24
 general model of, 23–24
 knowledge of, 27–28
 and organizational performance, 28
 planning and implementation, 24
 practice of, 28
 at Surgical Care Affiliates, 25–26
 theories, 19–23
 three models of, 23
 types, 18
 Polarization, 154
 Positive feedback, 154
 Positive methods, 160
 Positive organizational scholarship, 22
 “Possibility propositions,” 22
 Post-merger integration, 349–350
Prima facie, 347
 Private organizations, 9, 23
 Private-sector TNs, 353
 Process-based organizations structure, 307
 Process consultation (PC), 133–136
 Process interventions, 135
 Production processes, 165
 Product life cycle shifts, 301
 Project design process, 37–38
 Promotion systems, 258
 Psychological disconfirmation, 19
 Public organizations, 9, 23
 Public-sector TNs, 353

Q

Qualitative methods, 60, 65
 Quality-of-work-life (QWL), 8
 Quantitative methods, 60–61, 65
 Quasi-experimental research designs, 88, 89
 Quasi-stationary equilibrium, 19, 21, 24
 Questionnaires, 59, 86

R

Racial diversity, 267
 Reengineering approach, 218–221
 Refreezing, 19–20

Reinforcement
 framework, 92
 indicators, 94
 intervention characteristics, 92–93
 organization characteristics, 91, 92
 processes, 93–94
 and sustaining change, 95–96
 Relational analysis, 61
 Relevant client, 33–34
 Reliability measurement, 88
 Responsible progress, 389–390
 Rewards mix, 255, 267
 Reward systems, 93, 209, 253–261
 affect performance, 254
 design features, 255
 effects, 259–261
 extrinsic rewards types, 256–259
 process issues, 259
 ratings, 256
 structural components, 255–256
 structural features of, 254
 Role conflict, 12

S

Sampling design, 59
 Self-design process, 314–318
 Self-knowledge, 11
 Self-managed work teams, 226–227
 Self-management, 155
 Self-regulation, 50
 Senior Executives, 301–302
 Senior leadership team (SLT), 137–138
 Sensing, 93–94
 Seven tools of quality, 205
 70/20/10 rule, 276
 Sex and gender diversity, 266
 Sexual orientation, 266–267, 270
 Sharing process, 258
 Single-loop learning processes, 165
 Situational assessments, 171
 Six Sigma process quality, 205
 Skill/knowledge-based pay systems, 257
 Skill variety, 221
 Small-scale downsizings, 176
 Social construction, 155
 Social constructionism perspective, 22
 Socialization, 93
 Social networks power strategy, 77
 Social outcomes, 339
 Social science knowledge, 3
 Sociotechnical systems (STS) approach,
 225–231
 Sorting effect, 259
 Sound Physicians (SP), 277–278
 Span of control, 305
 Stakeholder participation, 329
 Stakeholders, 76–77, 171–172
 Strategic alliance, 350–351
 Strategic change interventions, 8
 Strategic interventions, 167
 Strategic planning, 3

Strategy, 303
 system, 171
 Strategy-making process, 46, 48, 50
 Stretch goals, 251
 Structural interventions, 135
 Survey, 7
 feedback, 62, 63, 65
 “Survivor syndrome,” 176
 Sustainability, 3
 Sustainable organizations, 338–343
 Systemic change, 175
 Systems thinking, 167

T

Tacit knowledge, 169
 Target of change, 69–71
 Task control, 227
 Task differentiation, 227
 Task environment, 44, 45–46, 48
 Task identity, 55, 221
 Task significance, 55, 221
 Task structure, 50
 Team-based reward system, 44
 Team building, 7, 140–149
 activities, 143
 checklist, 144
 group’s behavior, 145
 interventions, 143
 manager’s role in, 145–149
 results, 149
 Team process interventions, 227–228
 Teams, 50, 143
 design components, 52
 Technical and personal needs, 231–234
 Technical interdependence, 231
 Technical uncertainty, 231
 Technological and structural issues, 69
 Technostructural interventions, 71, 167
 T-group, 6–7
 Third-party interventions, 132, 136–140
 episodic model of conflict, 136–139
 360-degree feedback, 253, 277
 Three-step change model, 19–20
 Timeliness, 254
 Timing of change, 27
 Top-management team, 52, 53
 Total quality management (TQM), 205–206, 212
 at Ritz-Carlton Hotel Company, 207–208
 “Touchy-feely” process, 6
 Toyota Production System (TPS), 206
 Training, 209
 Transformational changes, 26–27, 301, 302

Transformations, open systems, 43
 Transnational designs, 313
 Transorganizational development, 352–353
 Transorganizational network, 308
 application process, 353–357
 application stages for, 354
 conceptual background, 351–353
 interventions, 351–357
 OD practitioners in, 358
 “Triple bottom line,” 3

U

Uncertainty, 46
 Unconscious bias training, 270
 Unfreezing, 19
 Unobtrusive data/measures, 59–60, 64, 89
 U.S. public corporations, 259

V

Validity measurement, 88
 Value consensus, 94
 Value expectancy model, 254
 Values, 319–320
 Values-in-use, 319
 Vertical loading, 223
 Visible rewards, 254
 Volatile, uncertain, complex, and ambiguous (VUCA), 301

W

Wellness interventions, 279–282
 Work design
 and employee engagement, 270
 engineering approach, 217
 motivational approach, 221–225
 overview, 216–217
 reengineering approach, 218–221
 sociotechnical systems approach, 225–231
 technical and personal needs, 231–234
 Workforce development, 5
 application stages, 268–269
 interventions, 265, 272–279
 Work Systems, 335–336
 Work-group performance, 61
 Work groups, 44, 50
 Workplace factors, 200
 Workplace technology, 249
 Work processes, 304
 Worldwide organization designs, 311–313

Z

Zappos network structure, 308–309

